

CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[950 NE2d 101, 926 NYS2d 365]

In the Matter of AFTON C., a Child Alleged to be Neglected.
DUTCHESS COUNTY DEPARTMENT OF SOCIAL SERVICES, Appel-
lant; JAMES C. et al., Respondents. (And Four Other
Proceedings.)

Argued March 22, 2011; decided May 5, 2011

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 16, 2010. The Appellate Division (1) reversed, on the law, so much of an order of the Family Court, Dutchess County (Valentino T. Sammarco, J.), as had, after a hearing, found that respondents father and mother had neglected the subject children, (2) denied the petitions, and (3) dismissed the proceedings.

Matter of Afton C. (James C.), 71 AD3d 887, affirmed.

HEADNOTE

**Parent and Child — Abused or Neglected Child — Untreated Level
Three Sex Offender Living with His Children — No Presumption
of Neglect**

Evidence in a Family Court Act article 10 proceeding that respondent father was living with respondent mother and their five children, that he had been convicted of sex offenses involving a victim below the age of consent, that he was adjudicated a level three sex offender under the Sex Offender Registration Act (SORA), and that he had not voluntarily sought sex offender treatment, was insufficient to support a finding that the children were neglected. A finding of neglect is only permissible where a preponderance of evidence

establishes actual or imminent danger of impairment to the subject children as a result of the parent's failure to exercise a minimal degree of parental care (Family Ct Act § 1012 [f] [i] [B]). Danger is imminent if it is near or impending, not merely possible. It cannot be presumed that an untreated sex offender residing with his or her children is a neglectful parent even where, as here, the offender's crimes involve victims younger than 18. Moreover, even assuming that a level three SORA assessment was evidence of an offender's likely recidivism, the SORA designation alone was not dispositive or directly relevant to whether the children were in imminent danger. That respondent father may have lacked candor or insight into his behavior did not fill the evidentiary gap left by petitioner's failure to introduce evidence of the facts underlying the convictions or the SORA proceedings or evidence that respondent father was sexually inappropriate with any of his children. Having failed to prove by a preponderance of the evidence that respondent father posed an imminent danger to his children, petitioner necessarily failed to prove that respondent mother neglected the children by allowing respondent father to return home.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Infants § 15; AM JUR 2d, Juvenile Courts and Delinquent and Dependent Children §§ 49, 54.
CARMODY-WAIT 2d, Proceedings Involving Abused and Neglected Children, Juvenile Delinquents, and Persons in Need of Supervision §§ 119A:20, 119A:91, 119A:92, 119A:97.
6 LAW AND THE FAMILY NEW YORK (2d ed) §§ 9:54, 9:55, 9:64.
MCKINNEY'S, Family Ct Act § 1012 (f) (i) (B); § 1046 (b) (i).
NY JUR 2d, Domestic Relations §§ 1767, 1769, 1827, 1829, 1840, 1851.

ANNOTATION REFERENCE

See ALR Index under Neglect of Child; Sex and Sexual Matters.

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Query: child! /4 neglect! & father /s sex /2 offender & preponderance /p danger!

POINTS OF COUNSEL

James Fedorchak, County Attorney, Poughkeepsie (Laura Gail Skojec of counsel), for appellant. I. The Family Court appropriately found that the parents neglected their children due to the father's status as a level three sex offender who refused sex offender treatment and the mother's failure to protect her

children by allowing him to return to the home without treatment. (*Matter of Katherine C.*, 122 Misc 2d 276; *Nicholson v Scoppetta*, 3 NY3d 357; *Matter of Anthony*, 81 Misc 2d 342; *Matter of Anndrena A.*, 13 AD3d 1164; *Matter of Kenneth V.*, 307 AD2d 767; *Matter of Christopher JJ.*, 281 AD2d 720; *Matter of Tammie Z.*, 66 NY2d 1; *Matter of Mariah CC.*, 302 AD2d 799; *Matter of Child Protective Servs. [Lionel Dunkirk T.]*, 260 AD2d 631; *Matter of Dutchess County Dept. of Social Servs. v Peter B.*, 224 AD2d 617.) II. Actual harm to the subject children is not necessary to establish neglect in cases where an untreated level three sex offender resides in the home and refuses to engage in treatment. (*Matter of Shaun X.*, 300 AD2d 772; *Matter of Anndrena A.*, 13 AD3d 1164; *Matter of Dutchess County Dept. of Social Servs. v Peter B.*, 224 AD2d 617.)

Ronna L. DeLoe, Mamaroneck, Attorney for the Child Trevor C. I. The Appellate Division committed reversible error in reversing the Family Court order, which held that the father neglected Trevor C. because the father is an untreated level three sex offender. (*People v Cotto*, 28 AD2d 1116; *Matter of Katrina W.*, 171 AD2d 250, 79 NY2d 976; *Drena v Travelers Ins. Co.*, 192 App Div 703; *Matter of Shaun X.*, 300 AD2d 772; *Matter of Travis Lee G.*, 169 AD2d 769; *Matter of Rebecca KK.*, 40 AD3d 1195, 9 NY3d 811; *Matter of Enrique T. v Annamarie M.*, 15 AD3d 310; *Matter of Kathleen OO.*, 232 AD2d 784; *Matter of Carmen L.*, 37 AD3d 468, 8 NY3d 814; *Matter of Richard S. [Michael S.]*, 72 AD3d 1133.) II. The Appellate Division committed reversible error in ignoring the pressure placed on Trevor C. to recant, which was intensified by his testifying in open court in the presence of his parents and the attorneys. (*Matter of Kayla N.*, 41 AD3d 920; *Matter of Corey C.*, 20 AD3d 736; *Matter of Frantrae W.*, 45 AD3d 412, 10 NY3d 705; *Matter of Lindsey BB. [Ruth BB.]*, 70 AD3d 1205; *Matter of Tristan R.*, 63 AD3d 1075; *Matter of Martha Z.*, 288 AD2d 706; *Matter of Caitlyn U.*, 46 AD3d 1144; *Matter of Ingrid R.*, 18 Misc 3d 1129[A], 2008 NY Slip Op 50240[U].) III. The order denying the motion for reargument is not appealable. (*Cong. Bais Rabbenu v 26 Adar N.B. Corp.*, 282 AD2d 642; *Norton v Kenderes*, 22 AD3d 817; *Weinschneider v Weinschneider*, 50 AD3d 1128.)

James C., respondent pro se. I. The Dutchess County Department of Social Services course of action is preempted by state law. II. The appeal is moot.

Farber Pappalardo & Carbonari, White Plains (*John A. Pappalardo* of counsel), Attorney for the Children Afton C. and others. I. Dutchess County Department of Social Services did not meet its burden of establishing harm or imminent risk of harm to the subject children by a preponderance of the evidence. (*Nicholson v Scoppetta*, 3 NY3d 357; *Matter of Kenneth V.*, 307 AD2d 767; *Matter of Kasey C.*, 182 AD2d 1117; *Matter of Dutchess County Dept. of Social Servs. v Peter B.*, 224 AD2d 617.) II. The Appellate Division properly reversed the Family Court finding of neglect as to James C. because Dutchess County Department of Social Services did not prove risk or imminent risk. (*Matter of Krista L.*, 20 AD3d 783; *Matter of Jemila PP.*, 12 AD3d 964; *Matter of Child Protective Servs. [Lionel Dunkirk T.]*, 260 AD2d 631; *Nicholson v Scoppetta*, 3 NY3d 357; *Matter of Travis Lee G.*, 169 AD2d 769; *Matter of Shaun X.*, 300 AD2d 772; *Matter of Kasey C.*, 182 AD2d 1117.) III. The Appellate Division properly reversed the Family Court finding of neglect as to Grace C. (*Matter of Alaina E.*, 33 AD3d 1084; *Matter of Katherine C.*, 122 Misc 2d 276; *Matter of Mariah CC.*, 302 AD2d 799; *Matter of Kayla F.*, 39 AD3d 983.)

New York Civil Liberties Union Foundation, New York City (*Andrew L. Kalloch*, *Corey Stoughton*, *Christopher Dunn* and *Arthur Eisenberg* of counsel), for New York Civil Liberties Union, amicus curiae. I. Given the fundamental nature of familial rights, due process requires the State, in a neglect proceeding, to make a particularized showing of parental unfitness. (*Troxel v Granville*, 530 US 57; *Wisconsin v Yoder*, 406 US 205; *Quilloin v Walcott*, 434 US 246; *Santosky v Kramer*, 455 US 745; *Matter of Sanjivini K.*, 47 NY2d 374; *Matter of Bennett v Jeffreys*, 40 NY2d 543; *Stanley v Illinois*, 405 US 645; *Meyer v Nebraska*, 262 US 390; *Jacobson v Massachusetts*, 197 US 11; *Prince v Massachusetts*, 321 US 158.) II. The presumption employed in the instant matter is particularly impermissible because New York's sex offender classification system is fundamentally flawed and cannot be relied upon as an indicator of present or future dangerousness for any individual. (*People v Ferrer*, 14 NY3d 709; *People v McFarland*, 29 Misc 3d 1206[A], 2010 NY Slip Op 51705[U].)

Donald S. Thomson, Elmira, and *David A. Kagle*, for Chemung County Department of Social Services, amicus curiae. I. A level three sex offender poses a threat to children. II. Exposure of a child to a sex offender constitutes neglect. (*Matter of Mary MM.*, 38 AD3d 956; *Matter of Evelyn B.*, 30 AD3d 913;

Matter of Michael VV. [Arthur VV.], 68 AD3d 1210; *Matter of Anthony Y. [Kelly AA.—Paul AA.]*, 72 AD3d 1419; *Matter of Alaina E.*, 33 AD3d 1084.) III. The mother's and father's failure to exercise a minimum degree of care with respect to their children constituted neglect. (*Matter of Mary MM.*, 38 AD3d 956.)

Alan P. Reed, County Attorney, Bath (*Ruth A. Chaffee* of counsel), for Steuben County Department of Social Services, amicus curiae. I. The Appellate Division abused its discretion in reversing the Family Court's decision by limiting its holding of reversal solely on the basis of respondent father's Sex Offender Registration Act classification and a failure to show actual harm. (*Nicholson v Scopetta*, 3 NY3d 357.) II. The Family Court's findings of neglect are supported by the record and are consistent with prevailing statutes, case law and public policy. (*Matter of Paul P.*, 306 AD2d 653; *Matter of Evelyn B.*, 30 AD3d 913; *Matter of Alaina E.*, 33 AD3d 1084; *Matter of Christopher JJ.*, 281 AD2d 720; *Matter of Christian F.*, 42 AD3d 716; *Matter of Michael VV. [Arthur VV.]*, 68 AD3d 1210; *Matter of Mary MM.*, 38 AD3d 956; *Matter of Paul U.*, 12 AD3d 969; *Matter of Christopher C. [Joshua C.]*, 73 AD3d 1349; *Matter of Anthony Y. [Kelly AA.—Paul AA.]*, 72 AD3d 1419.) III. Courts across the country hold that a sex offender whose underlying crime was committed against a child results in a presumptive finding of neglect or a rebuttable presumption of neglect against such person.

Morrison & Foerster LLP, New York City (*Matthew M. D'Amore* of counsel), and *Lawyers for Children, Inc.* (*Betsy Kramer* of counsel) for Lawyers for Children, amicus curiae. I. The due process rights of parents and their children require a finding of neglect to be based on an individualized determination of actual or imminent harm. (*Santosky v Kramer*, 455 US 745; *Troxel v Granville*, 530 US 57; *Kia P. v McIntyre*, 235 F3d 749; *Wooley v City of Baton Rouge*, 211 F3d 913; *Franz v United States*, 707 F2d 582; *Stanley v Illinois*, 405 US 645; *Prince v Massachusetts*, 321 US 158; *Moore v East Cleveland*, 431 US 494; *Mathews v Eldridge*, 424 US 319; *Vlandis v Kline*, 412 US 441.) II. A presumption of harm based on a parent's criminal status ignores the statutory and precedential mandates to identify the actual relationship between the crime committed and the risk of harm to the offender's children. (*Nicholson v Scopetta*, 3 NY3d 357; *Matter of Marie B.*, 62 NY2d 352.)

Stephen M. Dorsey, County Attorney, Ballston Spa (Karen E.S. D'Andrea of counsel), and Roger A. Wickes, County Attorney, Fort Edward (Daniel S. Martindale of counsel), for Saratoga County Department of Social Services and another, amici curiae. I. The father's status as a level three sex offender who refused to engage in sex offender treatment and the mother's failure to protect the children by allowing him to return to the home did prove neglect by a preponderance of the evidence. (*Nicholson v Scoppetta*, 3 NY3d 357; *Matter of Michael VV. [Arthur VV.]*, 68 AD3d 1210; *Matter of Karissa NN.*, 19 AD3d 766; *Matter of Cornell v Cornell*, 290 AD2d 735; *Matter of Christopher C. [Joshua C.]*, 73 AD3d 1349; *Matter of Neithan CC.*, 56 AD3d 1000; *Matter of Sean K.*, 50 AD3d 1220; *Matter of Kole HH.*, 61 AD3d 1049; *Matter of Cadejah AA.*, 33 AD3d 1155; *Matter of Heather J.*, 244 AD2d 762.) II. It is not necessary to show that the children suffered actual harm to establish neglect in cases where an untreated level three sex offender resides in the home and refuses to engage in treatment. (*Matter of Carlena B.*, 61 AD3d 752; *Matter of Jesus JJ.*, 232 AD2d 752; *Matter of Chianti FF.*, 205 AD2d 849; *Matter of Michelle F.*, 222 AD2d 747.)

OPINION OF THE COURT

CIPARICK, J.

On this appeal, we consider whether there is sufficient evidence to support a finding that the subject children are neglected pursuant to article 10 of the Family Court Act. We agree with the Appellate Division that the evidence presented is insufficient to prove neglect.

In October 2007, respondent father pleaded guilty to rape in the second degree, engaging in sexual intercourse with a person less than 15 years of age (Penal Law § 130.30 [1]), and patronizing a prostitute in the third degree, which at the time of his conviction was defined as patronizing a prostitute under 17 years of age (former Penal Law § 230.04; L 2007, ch 74, § 5). He was sentenced to one year imprisonment, and was released on time served. The court adjudicated father a level three sex offender under the Sex Offender Registration Act (SORA), but he was never ordered to attend any sex offender treatment. Father returned home, where he lived with his wife and their five children, then between the ages of 4 and 14.

In November 2007, the Dutchess County Department of Social Services (DSS) filed neglect petitions pursuant to Family Court Act article 10 against both parents. As relevant here, the

petitions alleged that father neglected the children because he was an “untreated” sex offender whose crimes involved victims between 13 and 15 years old.¹ Mother allegedly “failed to protect the children” from father. DSS sought to have the children adjudicated neglected, both parents ordered into a sex offender relapse intervention program, and a temporary order of protection issued against father on the children’s behalf.²

At the fact-finding hearing, the DSS caseworker who authored the neglect petitions testified that he began investigating the family after receiving a report from the SORA registry that father was an untreated level three sex offender. He did not receive any documentation from the New York County District Attorney’s office regarding father’s conviction, and had not interviewed any of the victims in that case. The caseworker acknowledged that he had no evidence that father was sexually inappropriate with any of the subject children.

Father testified that he “pled guilty to what ever [his] lawyer told [him] to plead guilty to,” and recalled that, during his plea colloquy, he had affirmed that he committed the crimes. He explained that the indictment had alleged that he patronized a prostitute “between 2000 and 2004,” when she was 15 to 19, but testified that he first met the victim in 2003, when she was 18. Father claimed that when he was asked during his plea colloquy “whether [he] engaged in sexual acts with her between 2000 and 2004 [he] said yes meaning . . . when she was 18 or 19.” With respect to the second degree rape conviction, father refused to comment on whether he had sexual relations with someone below the age of consent, exercising his Fifth Amendment right. Family Court permitted him not to answer, but drew a “negative inference . . . that the victim was under the age of consent.” Father further testified that, other than the events resulting in his conviction, he had never had “intercourse with an under age woman.” He acknowledged that he was a level three sex offender under SORA, and had never received sex offender treatment.

Mother testified that she had “no . . . personal knowledge” of father’s crimes, beyond knowing what he had pleaded to, and

1. The petitions also alleged that father “engaged in excessive corporal punishment” of his children. Family Court found that DSS “failed to prove . . . that the children’s physical, mental or emotional condition has been impaired as a result of excessive corporal punishment.” DSS did not appeal that determination, and it is not before us.

2. Family Court issued an order of protection, requiring father to vacate the home. That order is likewise not before us.

had not inquired into the details. She did not think father was a risk to their children because “he has never engaged in any behavior . . . that would create a risk to his children.” Other witnesses included the eldest child and a school resource officer. DSS proffered father’s certificate of conviction, but no additional evidence was submitted regarding the facts underlying the conviction.

Family Court concluded that both parents neglected their children. It found that father’s behavior created a substantial risk of harm to the children because he is a convicted level three sex offender, and therefore “pose[s] a risk of harm to the public at large.” His testimony, in the court’s view, demonstrated a “lack of candor, a shortage of insight into his own behavior and . . . obvious attempts to avoid responsibility for the illegal acts involving minors.” Moreover, the court saw father’s “failure to address any issues in counseling [as] demonstrat[ing] an ‘impaired level of parental judgment as to create a substantial risk of harm’ ” (quoting *Matter of Shaun X.*, 300 AD2d 772, 772 [3d Dept 2002]). The court’s finding that mother had neglected the children was based on her “failure to inquire into the details of the father’s illegal conduct and her decision to gauge the children’s safety by her knowledge of the father.” Both parents appealed the finding of neglect.

The Appellate Division reversed the Family Court order, denied the petitions, and dismissed the proceedings, holding that “[t]he mere fact that a designated sex offender resides in the home is not sufficient to establish neglect absent a showing of actual danger to the subject children” (*Matter of Afton C. [James C.]*, 71 AD3d 887, 888 [2d Dept 2010]). The court added that although Family Court could properly consider whether father’s testimony was evasive and that he invoked his Fifth Amendment right, “the evidence was insufficient to establish that the father posed an imminent danger to the children” (*id.*). Because DSS failed to prove that father’s presence endangered the children, the court found that, by extension, mother did not neglect them by allowing him to reside in the home (*see id.*). We granted DSS’s motion for leave to appeal from the Appellate Division order (15 NY3d 709 [2010]), and now affirm.

Under section 1012 (f) of the Family Court Act, a neglected child is defined as, inter alia:

“a child less than eighteen years of age

“(i) whose physical, mental or emotional condition

has been impaired or is in imminent danger of becoming impaired as a result of the failure of his parent or other person legally responsible for his care to exercise a minimum degree of care . . .

“(B) in providing the child with proper supervision or guardianship, by unreasonably inflicting or allowing to be inflicted harm, or a substantial risk thereof” (Family Ct Act § 1012 [f] [i] [B]).

The statute thus imposes two requirements for a finding of neglect, which must be established by a preponderance of the evidence (*see* Family Ct Act § 1046 [b] [i]). First, there must be “proof of actual (or imminent danger of) physical, emotional or mental impairment to the child” (*Nicholson v Scopetta*, 3 NY3d 357, 369 [2004]). In order for danger to be “imminent,” it must be “near or impending, not merely possible” (*id.*). Further, there must be a “causal connection between the basis for the neglect petition and the circumstances that allegedly produce the . . . imminent danger of impairment” (*id.*). This requirement is intended to “focus [neglect proceedings] on serious harm or potential harm to the child, not just on what might be deemed undesirable parental behavior” (*id.*).

Second, any impairment, actual or imminent, must be a consequence of the parent’s failure to exercise a minimum degree of parental care (*see* Family Ct Act § 1012 [f] [i]; *see also Nicholson*, 3 NY3d at 368). This is an objective test that asks whether “a reasonable and prudent parent [would] have so acted, or failed to act, under the circumstances” (*id.* at 370). A parent may deviate from this standard by “unreasonably inflicting . . . a substantial risk” of harm to the child (Family Ct Act § 1012 [f] [i] [B]). Critically, however, “the statutory test is *minimum* degree of care—not maximum, not best, not ideal—and the failure must be actual, not threatened” (*Nicholson*, 3 NY3d at 370 [internal quotation marks omitted]).³

DSS and the attorney for the eldest child argue that because father is an untreated, level three sex offender whose crimes

3. Notably, these statutory requirements have constitutional underpinnings:

“Fundamental constitutional principles of due process and protected privacy prohibit governmental interference with the liberty of a parent to supervise and rear a child except upon a showing of overriding necessity. . . . [Thus,] the State may not deprive a natural parent of the right to the care and custody of a child absent a demonstration of . . . behavior evincing utter indifference and irresponsibility to the child’s well-being” (*Matter of Marie B.*, 62 NY2d 352, 358 [1984]).

involved minors, and because he failed to demonstrate sufficient introspection or remorse, the children were properly adjudicated neglected. DSS also maintains that mother neglected the children by allowing him to return home. In response, father and the attorney for the other four children argue that DSS failed to prove that either parent neglected their children.⁴

To the extent that DSS is arguing that father's status as a level three sex offender convicted of sex crimes involving minors is sufficient to establish a presumption that he poses a danger to his children in the absence of treatment, we disagree. In *Nicholson*, we rejected use of a presumption of neglect where a parent had allowed a child to witness domestic violence, holding that this bare allegation did not meet the Family Court Act's requirements (*see* 3 NY3d at 371). We emphasized that a finding of neglect was only permissible where a preponderance of evidence established actual or imminent harm to the subject children as a result of the parent's failure to exercise a minimal degree of care (*see id.* at 372). For similar reasons, we now reject any presumption that an untreated sex offender residing with his or her children is a neglectful parent. Even where, as here, the offender's crimes involve victims younger than 18, that alone does not demonstrate that his actions "inflicted harm, or a substantial risk thereof" to his children, or that the children's "physical, mental or emotional condition . . . [was] in imminent danger of becoming impaired" (Family Ct Act § 1012 [f] [i] [B]).

DSS argues that because father is a level three sex offender under SORA, and has therefore been deemed particularly likely to reoffend (*see* Correction Law § 168-1 [5], [6] [c]), he is a danger to the subject children. SORA assessment was not designed, however, to ascertain whether the offender has met the Family Court Act's parental neglect standard. Here, even assuming that a level three SORA assessment is evidence of

4. Additionally, father argues that this appeal is moot, since (1) he has already submitted to a psychological assessment which determined that he was not a risk to his own children, (2) his wife has moved to Canada with the four younger children and has no intention of returning, while his felony conviction prevents him from entering Canada, and (3) the proceeding involving the eldest child became moot when the child turned 18 during the course of this appeal. While we agree that the proceeding regarding the 18 year old is now moot, the other four are not. That mother and the children are in Canada does not render these proceedings moot, since they may return. Father's submission to psychological evaluation creates no mootness concern, as DSS seeks to have the children adjudicated neglected and father entered into a treatment program.

likely recidivism, DSS failed to prove that father's crimes endangered his children. It follows that the likelihood of a repeat offense—which is all SORA purports to measure—is not directly relevant to whether the children are in imminent danger. While DSS could have introduced evidence from the plea and SORA proceedings, it did not do so, and the SORA designation alone is not dispositive.

No doubt there are circumstances in which the facts underlying a sex offense are sufficient to prove neglect. Where, for example, sex offenders are convicted of abusing young relatives or other children in their care, their crimes may be evidence enough (see *e.g. Matter of Christopher C. [Joshua C.]*, 73 AD3d 1349, 1351 [3d Dept 2010]; *Matter of Shaun X.*, 300 AD2d at 772-773). Our conclusion here might also be different if respondent had refused sex offender treatment after being directed to participate in it, or if other evidence showed that such treatment was necessary. In all cases, however, petitioner must meet its statutory burden. It failed to do so here.

DSS proved only father's conviction; that he was adjudicated a SORA level three sex offender; that he never sought sex offender treatment; and that he was residing at home. This evidence, without more, does not demonstrate that father breached a minimum duty of parental care and poses a near or impending harm to his children. That he declined to discuss the circumstances of his conviction and, in Family Court's view, lacked candor or insight into his behavior does not fill the evidentiary gap.

Because DSS failed to prove by a preponderance of the evidence that father posed an imminent danger to his children, it necessarily failed to prove that mother neglected the children by allowing father to return home.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

GRAFFEO, J. (concurring). I concur with the result reached by the majority but write separately to clarify why the evidence of neglect was insufficient in this case. As is clear from the majority opinion, this is not an area of law amenable to bright-line rules. Rather, whether neglect has been established during a proceeding turns on the particular facts and circumstances proven at the hearing. Here, the determination of insufficiency stems from the manner in which county social services chose to present its proof—there is no general principle of law that

dictated this result. For this reason, I doubt that our holding in this case will have broad precedential value—but it does highlight the need for an adequate evidentiary basis before a finding of neglect can be entered.

In essence, the county relied almost entirely on the fact that the father had been convicted of certain criminal offenses and that he had been adjudicated a level three sex offender to support the inference that he posed an imminent threat of harm to his children and, concomitantly, that the mother was neglecting the children by failing to protect them from the father. Yet the county submitted only the certificate of conviction and did not offer any evidence detailing the facts underlying the criminal convictions. The record does not contain any accusatory instruments, witness statements or even the transcript from the plea or sentencing proceedings in the criminal case. The county's attempts to develop proof concerning the criminal acts through questioning of the father were, not surprisingly, of limited value given his reluctance to provide details that might have substantiated the county's case.

Nor did the county offer any evidence establishing the basis for the father's designation as a level three sex offender. For example, the county did not submit any materials from the hearing held under the Sex Offender Registration Act (SORA), such as the risk assessment instrument or hearing transcript, that would have revealed the factors on which the SORA court relied in making that adjudication. The facts underlying that finding may have supported an inference that the father posed a threat of harm—but they do not appear in the record of this neglect proceeding.

Finally, the county failed to present evidence, expert or otherwise, explaining how the father's criminal history indicated that he posed a risk of harm to his children. In fact, it remains unclear whether the neglect petition was filed because the county social services agency feared that the father would sexually offend against his own children or believed a neglect finding was warranted on the theory that his criminal conduct reflected such a profound lack of judgment on his part that it demonstrated an inability to properly fulfill his parental role. Even the caseworker who initiated the petition neglected to clarify the nature of the imminent risk he believed these parents posed to their children.

By detailing the absence of evidence in this case, I do not mean to suggest that proof of each type must be offered in every

neglect proceeding similar to this one. If some of these gaps had been filled, the evidence might have risen to the sufficiency threshold. On this record, however, the neglect findings were not sufficiently supported and the Appellate Division order dismissing the petitions must be affirmed.

Chief Judge LIPPMAN and Judges READ, SMITH, PIGOTT and JONES concur with Judge CIPARICK; Judge GRAFFEO concurs in result in a separate opinion.

Order affirmed, with costs.

[950 NE2d 91, 926 NYS2d 355]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v LUIS
FELICIANO, Appellant.

Argued March 24, 2011; decided May 5, 2011

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 19, 2009. The Appellate Division denied defendant's application for a writ of error coram nobis to vacate an order of that Court entered September 25, 2008 (54 AD3d 1131), which had affirmed a judgment of the Greene County Court (George J. Pulver, Jr., J.), revoking defendant's probation and imposing a sentence of imprisonment.

People v Feliciano, 2009 NY Slip Op 89246(U), affirmed.

HEADNOTE**Crimes — Right to Counsel — Effective Representation — Failure to Make Novel Argument**

Defendant's writ of error coram nobis was properly denied where defendant claimed appellate counsel's representation was ineffective because he did not fault trial counsel for failing to argue at defendant's violation of probation (VOP) hearing that the violation should have been dismissed due to a five-year delay in the adjudication of the VOP during which time defendant had been incarcerated in another state. CPL 410.30 provides that upon reasonable cause to believe that a defendant has violated a condition of probation, a court may declare the defendant delinquent and must then "promptly" take action to cause the defendant to appear before it, and CPL 410.70 (1) entitles a defendant to a hearing on the alleged VOP "promptly after the court has filed a declaration of delinquency." Here defendant fled New York while on probation and was subsequently incarcerated in another state for several years on an unrelated charge. A New York probation officer lodged a detainer in the other state but attempts to secure defendant's extradition for the New York VOP hearing were unsuccessful. The arguments that defendant asserted trial counsel should have advanced at the hearing were not so strong that no reasonable defense lawyer could have found them to be not worth raising. They were, in fact, novel and called for an extension of or change in—not an application of—existing law, which treats probation-violation detainees differently from criminal-charge detainees. As a result, there was no reason for appellate counsel to make an ineffective assistance argument.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1117, 1135–1139.

CARMODY-WAIT 2d, Right to Counsel §§ 184:143, 184:162–184:167, 184:169, 184:287.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.7, 11.10.
NY JUR 2d, Criminal Law: Procedure §§ 861, 864–870, 879, 927.

ANNOTATION REFERENCE

Adequacy of defense counsel’s representation of criminal client regarding appellate and post-conviction remedies. 15 ALR4th 582.

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Query: ineffective /5 counsel /4 appeal appellate /p novel

POINTS OF COUNSEL

Matalon Shweky Elman PLLC, New York City (*Joseph Lee Matalon* and *Jeremy C. Bates* of counsel), for appellant. I. Counsel’s failure to argue that a five-year delay violated Luis Feliciano’s right to a prompt hearing deprived Feliciano of meaningful representation. (*People v Jackson*, 153 AD2d 977; *People v Carncross*, 59 AD3d 1112, 14 NY3d 319; *Black v Romano*, 471 US 606; *Gagnon v Scarpelli*, 411 US 778; *Strickland v Washington*, 466 US 668; *Mayo v Henderson*, 13 F3d 528; *Forbes v United States*, 574 F3d 101; *People v Caban*, 5 NY3d 143; *People v Stultz*, 2 NY3d 277; *People v Benevento*, 91 NY2d 708.) II. Luis Feliciano’s federal right to counsel and his due process rights have also been violated. (*Strickland v Washington*, 466 US 668; *Henry v Poole*, 409 F3d 48; *People v Sawinski*, 294 AD2d 667; *People v Oskroba*, 305 NY 113; *Black v Romano*, 471 US 606; *Gagnon v Scarpelli*, 411 US 778; *United States v Deutsch*, 100 F3d 943.)

Danielle D. McIntosh, District Attorney, Catskill, for respondent. I. Appellant was not denied meaningful representation because the prompt hearing argument was meritless in light of the extradition matter. (*People v Baldi*, 54 NY2d 137; *People v Miles*, 36 AD3d 1021; *People v Stultz*, 2 NY3d 277; *People v Borrell*, 12 NY3d 365; *People v Jackson*, 4 AD3d 848; *People v Turner*, 5 NY3d 476; *Cuyler v Adams*, 449 US 433; *People ex rel. Capalongo v Howard*, 87 AD2d 242; *Carchman v Nash*, 473 US 716; *People v Ball*, 68 AD3d 1148.) II. Appellant received effective assistance of counsel and due process under the federal

standard. (*Strickland v Washington*, 466 US 668; *People v Benvenuto*, 91 NY2d 708; *People v Ford*, 86 NY2d 397; *People v Horvath*, 37 AD3d 33; *Gagnon v Scarpelli*, 411 US 778; *People ex rel. Schouenborg v Flood*, 94 AD2d 751; *Moody v Daggett*, 429 US 78.)

OPINION OF THE COURT

READ, J.

On April 14, 1992, County Court in Greene County imposed a split sentence of six months in jail and five years of probation on defendant Luis Feliciano in exchange for a plea of guilty to a felony drug charge. After July 1, 1992, however, he stopped appearing for mandated weekly appointments with his probation officer, who received a report that defendant had fled New York for Puerto Rico. The probation officer investigated this information and ultimately filed a violation of probation (VOP) complaint with County Court on July 20, 1992, alleging that defendant had “absconded . . . by leaving for Puerto Rico without [his probation officer’s] permission on 7/4/92.” County Court declared defendant to be delinquent and issued an arrest warrant that same day (*see* CPL 410.30 [declaration of delinquency], 410.40 [2] [warrant]; Penal Law § 65.15 [2] [providing that declaration of delinquency tolls probationary sentence until disposition of VOP complaint]).

In 2000, defendant was arrested in Pennsylvania for shooting his pregnant wife with a rifle and killing her. He was convicted in 2001 of involuntary manslaughter and a related weapon offense, and sentenced to consecutive prison terms of 2½ to 5 years and 2 to 4 years, respectively, for these crimes. The Pennsylvania convictions caused the probation officer to discover defendant’s whereabouts during the course of a periodic search of criminal records. On February 14, 2002, he lodged a detainer¹ with the Pennsylvania prison where defendant was incarcerated.

Defendant wrote County Court on July 8, 2002, declaring that he was “available for disposition” of the pending VOP complaint, and warning that he “intend[ed] to have [the]

1. The United States Supreme Court has defined a detainer as “a request filed by a criminal justice agency with the institution in which a prisoner is incarcerated, asking the institution either to hold the prisoner for the agency or to notify the agency when release of the prisoner is imminent” (*Carchman v Nash*, 473 US 716, 719 [1985]).

charges dismissed” if they were not “disposed in a timely manner . . . consistent with the laws governing speedy trial in New York.” Defendant added that the detainer would “hamper any attempts that [he] might . . . make for pre-release programming . . . in Pennsylvania, thus making it necessary for [him] to have it dealt with as soon as possible.”

On July 19, 2002, a week after he received defendant’s letter, County Court issued a memorandum to the Greene County probation department, district attorney and public defender, attaching the letter. The judge noted that a VOP hearing was not subject to statutory speedy trial rules; however, citing CPL 410.30, he scheduled an appearance for August 20, 2002 “in the interest of taking prompt, reasonable and appropriate action to cause defendant to appear and answer the pending Declaration of Delinquency” (internal quotation marks omitted). County Court asked the district attorney to “take appropriate action to ensure Defendant’s presence,” and instructed everyone to be prepared for a revocation hearing on August 20th, if necessary.

On July 24, 2002, the district attorney informed County Court that arranging for defendant’s extradition would be difficult, if not impossible, to accomplish: the district attorney had spoken with the State’s extradition coordinator, who told him there was no “normal mechanism” to obtain defendant’s attendance in County Court because the Interstate Agreement on Detainers was “inapplicable.” She advised that “normally extraditions would take place when a defendant [had] completed his prison sentence outside of New York State whereupon he would be made available for pickup and transport to a New York State Court.”

As related by the district attorney, the extradition coordinator went on to say that, having handled over 3,000 cases in her five-year tenure, she had “never attempted an extradition of an out-of-state prisoner who [had] not completed his sentence to respond to probation violation charges in New York State,” and that the “only way [she] could think of” to do this was an agreement between the Governors of New York and Pennsylvania. She suggested that “special circumstances would have to exist and be alleged” and that the Governor’s Counsel “would be questioning” why an exception to the usual practice should be made. She also observed that the Governor’s decision whether to proceed in this fashion “would be totally discretionary,” and that New York “would have no control over whether the Pennsylvania Governor would exercise his discretion in entering into such an agreement.”

Finally, the district attorney pointed out to County Court that waiting to extradite defendant would save the County the expense of a round trip. In light of the complications presented by defendant's out-of-state incarceration, the district attorney "request[ed] that the defendant's extradition . . . take place at the conclusion of his service of his Pennsylvania sentence rather than at the present time."

One day later, the judge canceled the August 20th hearing in view of "the difficulties involved in attempting to produce [defendant] . . . , as well as the uncertainty as to whether such arrangement would be approved by the Governors of both Pennsylvania and New York." He determined that the VOP complaint would be "dealt with . . . at some time in the future upon [defendant's] release from the Pennsylvania Correctional System."

On January 14, 2003, defendant wrote County Court, imploring the judge to facilitate disposition of the VOP complaint. On January 21, 2003, the judge responded that he had "declined to schedule an appearance on the pending [VOP] prior to [defendant's] release from the Pennsylvania Correctional System" because of "uncertainty as to whether an extradition arrangement would even be approved by the Governors of Pennsylvania and New York," and that there was "no reason to deviate from this prior determination."

On June 2, 2003, defendant filed a pro se motion in County Court. He complained about the risk of double jeopardy; he conceded that he was "guilty on this [VOP]," and asked the court "to fix this legal matter." County Court held a hearing on June 24, 2003, which was attended by the public defender, the district attorney and defendant's probation officer. When the judge asked if there was any "consensus between the People and the defense counsel in regard to the issues . . . before the Court," the public defender responded that

"for due process purposes, the defendant ought to be brought back as expeditiously as possible for the purposes of addressing the issue of the [VOP] and closing that case once and for all, as opposed to allowing the case to linger for years until some day the defendant shall complete a prison term in the State of Pennsylvania."

The district attorney indicated that the People opposed defendant's production "at this time"; he suggested that the

matter was not “ripe” until defendant was about to be released from the Pennsylvania prison. When the judge asked for a specific date, the probation officer replied that defendant’s earliest and maximum release dates in Pennsylvania were January 11, 2005 and July 11, 2009, respectively. The probation officer also observed that “one of the other concerns” in retrieving defendant for a VOP hearing before he completed his prison term in Pennsylvania was the “procedural nightmare and unnecessary travel.”

At the end of the hearing, the judge again concluded that defendant should be returned “at the finish of his Pennsylvania sentence.” He issued a written decision and order to this effect, dated June 27, 2003, in which he also rejected what he understood to be defendant’s argument that “double jeopardy prohibit[ed] [County] Court from sentencing him to a prison term for the same crime for which he was previously sentenced to a term of probation.”

In advance of defendant’s scheduled release from prison to a halfway house, Pennsylvania officials notified the probation officer and arrangements were made to return defendant to Greene County. On May 24, 2007, the warrant was executed and a hearing was held in County Court, after which defendant was committed to the sheriff’s custody without bail (*see* CPL 410.60 [reasonable cause hearing]). At this hearing, defense counsel informed the judge that his client was “requesting that the time he served in prison in Pennsylvania [be] concurrent to the offense here in New York.” Both the probation officer and the district attorney made clear that this proposal was unacceptable, and that the People would seek defendant’s incarceration for 15 years. On May 24, 2007, the probation officer also amended the VOP complaint by adding a second count relating to the Pennsylvania crimes, and on May 29, 2007, defendant was arraigned again.

A revocation hearing was held on May 31, 2007; at its conclusion, County Court found that defendant had violated several of the general conditions of his probation by absconding and by committing the crimes in Pennsylvania (*see* CPL 410.70 [probation-revocation hearing]). On June 6, 2007, the judge revoked the probation portion of the sentence imposed on defendant in 1992, and resentenced him to an indeterminate term of 5 to 15 years in prison, which was the sentence specified by the Penal Law at the time defendant committed the drug felony to which he pleaded guilty (*see* CPL 410.70 [5]). Defendant

appealed, and the Appellate Division affirmed (54 AD3d 1131 [3d Dept 2008]).

Defendant then sought postconviction relief by way of two CPL 440.20 motions to set aside his sentence, both brought pro se. In his first motion, made in November 2008, defendant contended that County Court lost jurisdiction to adjudicate him in violation of probation because of an unexplained 15-year delay in producing him to answer the declaration of delinquency, citing *People v Horvath* (37 AD3d 33 [2d Dept 2006]). In a decision and order dated January 21, 2009, County Court denied the motion in its entirety; specifically, the judge ruled that defendant's objection to timeliness was unpreserved because it was not raised at the VOP hearing. On April 6, 2009, the Appellate Division denied defendant permission to appeal (2009 NY Slip Op 69279[U] [3d Dept 2009]).

In his second CPL 440.20 motion, made in March 2009, defendant raised an ineffective assistance of counsel claim under state and federal law on account of defense counsel's failure to raise the issue of delay at the VOP hearing. On May 4, 2009, County Court denied this motion, ruling in particular that defendant's ineffective assistance claim was "the proper subject of [his] direct appeal, not a CPL [article] 440 motion." On June 30, 2009, the Appellate Division denied defendant permission to appeal (2009 NY Slip Op 77128[U] [3d Dept 2009]).

In September 2009, defendant pro se applied to the Appellate Division for a writ of error coram nobis. He claimed that appellate counsel's representation was deficient because he did not fault defense counsel for failing to argue at the VOP hearing that "the six[-]year delay by the DA in moving to adjudicate the [VOP] amounted to a loss of jurisdiction [such that] the Court below would have been statutorily compelled to dismiss the violation and the case." The Appellate Division denied the application (2009 NY Slip Op 89246[U] [3d Dept 2009]). A Judge of this Court subsequently granted defendant leave to appeal (14 NY3d 840 [2010]), and we now affirm.

I.

In *People v Baldi* (54 NY2d 137, 146-147 [1981]), we created a standard of "meaningful representation" to evaluate the effectiveness of trial counsel, where the "prejudice component focuses on the 'fairness of the process as a whole rather than its particular impact on the outcome of the case'" (*People v Caban*, 5 NY3d 143, 156 [2005], quoting *People v Benevento*, 91 NY2d

708, 714 [1998]). In *People v Stultz* (2 NY3d 277 [2004]), we adopted “meaningful representation” as the measure of effective assistance of appellate counsel, commenting that it would be “inapt to have one standard for trials and another for appeals” and that “[a]ppellate courts are uniquely suited to evaluate what is meaningful in their own arena” (*id.* at 284).

Stultz characterized appellate advocacy as meaningful so long as it “reflect[ed] a competent grasp of the facts, the law and appellate procedure, supported by appropriate authority and argument” (*id.* at 285). And although “in general, the issue is whether counsel’s performance *viewed in totality* amounts to meaningful representation,” we have acknowledged that there are “rare” cases where “a single failing in an otherwise competent performance is so egregious and prejudicial as to deprive a defendant of his constitutional right” (*People v Turner*, 5 NY3d 476, 480 [2005] [emphasis added; internal quotation marks omitted]).

Turner was such a “rare” case. There, trial counsel neglected to advance “[a] clear-cut and completely dispositive” statute of limitations defense, which “no reasonable defense lawyer could have found . . . so weak as to be not worth raising” (*id.* at 481, 483). We concluded that this deficiency in trial counsel’s performance “should have been apparent to any reasonable appellate counsel, and should have prompted that counsel to make an ineffective assistance argument” (*id.* at 483).

Here, County Court postponed the VOP hearing until defendant was released from prison in Pennsylvania, as requested by the district attorney. Defendant maintains that the resulting five-year delay in adjudicating the VOP complaint violated his statutory right under CPL article 410 (or, alternatively, his federal due process right) to a prompt hearing and thereby divested County Court of jurisdiction to revoke his probation. Defendant’s trial counsel did not make these arguments—which defendant considers to be “clear-cut and completely dispositive” à la *Turner*—at the VOP hearing, and his appellate attorney did not point out the omission to the Appellate Division. The outcome of defendant’s application for a writ of error coram nobis thus depends on the soundness of his statutory and constitutional arguments.

II.

CPL 410.30 provides that, upon reasonable cause to believe that a defendant has violated a condition of a sentence of probation, the court may declare the defendant delinquent and file a

written declaration of delinquency. Upon such filing, “the court *must promptly take reasonable and appropriate action* to cause the defendant to appear before it for the purpose of enabling the court to make a final determination with respect to the alleged delinquency” (*id.* [emphasis added]). Concomitantly, CPL 410.40 (2) mandates that a warrant issued by the court in connection with a VOP must direct the defendant to be taken into custody and brought before the court “*without unnecessary delay*” (emphasis added); and CPL 410.70 (1) entitles a defendant to a hearing on the alleged VOP “*promptly* after the court has filed a declaration of delinquency” (emphasis added).

The Appellate Division examined these provisions in *Horvath*. There, Supreme Court in Kings County filed a declaration of delinquency against the defendant for allegedly violating the terms of a probationary sentence imposed upon her after she pleaded guilty to third-degree grand larceny. A few months later, the defendant was arrested on additional larceny charges in New York County; she was subsequently convicted and sentenced to 3 to 6 years in prison on these charges. Prior to sentencing, the New York City Department of Probation (City Probation Department) prepared a presentence report, which noted that the defendant was on probation for a prior felony conviction. Following sentencing, the defendant was transferred to state prison; she did not appear in Supreme Court in Kings County to answer the declaration of delinquency until roughly 20 months after she began serving her prison sentence. The defendant argued that because she was not promptly produced on the declaration of delinquency, the court lacked jurisdiction to adjudicate her in violation of probation.

The Appellate Division agreed, first noting that although constitutional and statutory speedy trial guarantees and specific statutory deadlines were not implicated, “an allegation that a probationer has violated probation may result in a serious deprivation, including the loss of liberty” (37 AD3d at 37). Consequently,

“the meaning of the command of CPL 410.30 that the court ‘promptly take reasonable and appropriate action to cause the defendant to appear before it,’ as well as the requirement of CPL 410.70 (1) that a hearing be held ‘promptly’ after the filing of the declaration of delinquency, must be informed by

the basic due process requirement that the violation of probation hearing not be unreasonably delayed” (*id.*).

The court considered four factors—the length of the delay, the reason for the delay, whether the probationer contributed to the delay and demonstrable prejudice to the probationer because of the delay—relevant to an evaluation of whether the timeliness requirements of CPL article 410 had been met, remarking that “[o]rdinarily, no single factor, standing alone, is either necessary or sufficient to warrant relief” (*id.* at 38). The Appellate Division then concluded that the delay in this case was substantial and unexplained and not in any way attributable to anything done by the defendant, observing that “the [City] Probation Department had prepared a report concerning [the defendant] which noted that she was on probation,” and she “was available to the Probation Department to be produced on the warrant throughout the period of her incarceration” (*id.* at 38). Finally, while “not prepared to say” that the defendant suffered no prejudice on account of the delay, the court held that CPL article 410 “does not demand a showing of prejudice as a sine qua non for relief,” as the City Probation Department argued. The court called this a reasonable “legislative choice” because “[t]he filing of a declaration of delinquency tolls the period of probation, thereby, in effect, extending the sentence originally imposed” (*id.* at 39, citing Penal Law § 65.15 [2]). “On this record,” the Appellate Division held that “the balance [of the factors] weigh[ed] clearly in [the defendant’s] favor and therefore the Supreme Court lost jurisdiction to adjudicate her in violation of probation” (*id.*).

According to defendant, “*Horvath* thus stands for the rule that if a probationer is available to the Probation Department by reason of being incarcerated, then the statutory right to a prompt hearing attaches, and the violation of that right causes the court to lose jurisdiction.” This formulation begs the question of what it means for a defendant to be “available . . . by reason of being incarcerated.” A probationer subject to a declaration of delinquency and incarcerated in a New York prison may readily be transported to a New York court for an appearance at a VOP hearing; this is why the lengthy delay in *Horvath* was unexplained and ultimately, in the Appellate Division’s view, inexcusable. The extradition of such a probationer from an out-of-state prison to New York for an appearance in a New York court is quite another matter.

But defendant also relies on our decision in *People v Winfrey* (20 NY2d 138 [1967]). In April 1958, a warrant was issued for the defendant's arrest for second-degree forgery and petit larceny. The defendant was soon thereafter incarcerated in Alabama for a probation violation. The New York prosecutor lodged a detainer with the prison authorities in Alabama in July 1958, but made "no effort . . . to obtain his presence in New York" (*id.* at 140). The defendant was indicted on the forgery and petit larceny charges in January 1963; he was returned to New York for prosecution in October 1963, upon his release from prison in Alabama. The defendant moved to dismiss the indictment for failure to prosecute.

The People offered the defendant's Alabama imprisonment as justification for the delay, and argued that because Alabama was not then a party to the Interstate Agreement on Detainers, "a request for [the defendant's] release before his sentence was completed would have had a dubious result" (*id.* at 142). We observed that the People's argument "overlook[ed] the fact that Alabama . . . [made] provision for transfer of defendants to other States in the discretion of the Governor" (*id.*). Further, it was

"a relatively simple matter to request the Governor of a sister State to turn over a prisoner; and there is no contention that if such a request [was] made and rejected a delay in bringing the prisoner to trial in New York occasioned by his foreign imprisonment would be unreasonable. The point [was] that in this case no effort of any kind was made" (*id.*).

We decided that the delay deprived the defendant of due process of law and so reversed the Appellate Division's order and granted the defendant's motion to dismiss the indictment, observing that

"once having instituted the prosecution by detainer warrant, indictment or other initiatory process, [the People] have the obligation of advancing it unless there is reasonable ground for delay. Refusal by another jurisdiction to surrender the defendant would, of course, be an excuse. All that the People would have to do is make the request, sincerely, for the surrender—a letter would do" (*id.* at 144).

Defendant takes *Winfrey* and, to a lesser extent our decision in *People v Romeo* (12 NY3d 51 [2009]),² to stand for the proposition that the County was, at a minimum, required to make a prompt request of the State’s extradition coordinator to arrange for defendant’s presence at a VOP hearing in New York once defendant wrote County Court in July 2002, asking to appear and answer the VOP complaint. Courts, however, have traditionally treated extradition for purposes of criminal prosecution, as in *Winfrey* and *Romeo*, as matters of far greater urgency and constitutional dimension than probation revocation proceedings. The United States Supreme Court’s decisions in *Carchman* and *Moody v Daggett* (429 US 78 [1976]) illustrate this point.

In *Carchman*, the Supreme Court held that the Interstate Agreement on Detainers, designed to encourage jurisdictions to cooperate with one another in resolving outstanding detainers, does not apply to a detainer for a probation-violation warrant. This is so because a “probation-violation charge is not a detainer based on ‘any untried indictment, information or complaint,’ within the meaning of” the language in article III of the Agreement (*Carchman*, 473 US at 726). Article III sets up a procedure whereby a prisoner incarcerated in one party state (the sending state) may demand the speedy disposition of “any untried indictment, information or complaint on the basis of which a detainer has been lodged against the prisoner” by another party state (the receiving state) (*see* CPL 580.20). Article IV sets up a corollary procedure whereby an “appropriate officer of the jurisdiction in which an untried indictment, information or complaint is pending shall be entitled to have a prisoner against whom he has lodged a detainer and who is serving a term of imprisonment in any party state made available” (*id.*).

In reaching its decision in *Carchman*, the Court stressed that the statute’s broader purposes with respect to criminal-charge detainers did not generally apply in the context of probation-violation detainers. First, there was less danger of unsubstantiated charges since the probation-violation detainer was often

2. The defendant in *Romeo* fatally shot a man in New York before absconding to Canada and fatally shooting a second victim there. We held that the 12-year postindictment delay, occasioned by the People’s decision to defer prosecution and allow the defendant to be extradited to Canada for prosecution there first, violated the defendant’s speedy trial rights. We faulted the People for failing to file an extradition warrant or make other diligent efforts to bring the defendant to trial promptly.

based on the prisoner's commission of the crimes resulting in his conviction and incarceration (*Carchman*, 473 US at 730-731). Second, there were fewer uncertainties in the likelihood of receiving an additional sentence—i.e., “[s]ince the probation revocation [was] based on commission of a crime serious enough to warrant incarceration in the sending State, the probationer no doubt often . . . [would] be sentenced to serve the full term of his suspended sentence” (*id.* at 732). Finally, the possibility that a long delay would impair the prisoner's ability to defend himself was “unlikely to be strongly implicated in the probation-violation detainer context” (*id.* at 733).

The Court commented that it had “never held . . . that a prisoner subject to a probation-violation detainer has a constitutional right to a speedy probation-revocation hearing,” citing *Moody* (*id.* at 731 n 10). Finally, although the Court recognized that an individual prisoner might have a legitimate interest in prompt disposition of a probation-violation charge, it concluded that

“[n]evertheless, . . . the purposes of the Agreement [were] significantly less advanced by application . . . to probation-violation detainees than by application . . . to criminal-charge detainees”; and “[w]hether those purposes would be advanced sufficiently by application of Art. III to probation-violation detainees to outweigh the administrative costs,^[3] and, more generally, whether the procedures of Art. III [were] the most appropriate means of disposing of probation-violation detainees, [were] questions of legislative judgment” best left to the parties to the Agreement (*id.* at 734).

Moody involved a challenge to the United States Board of Parole's decision to delay the execution of a parole-violation warrant until the alleged violator had served the custodial portion of an intervening prison sentence. While on federal parole, the parolee was convicted of two more federal offenses for which

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3. A number of states filed an amici curiae brief in which they argued that “expanding the scope of . . . the Agreement to include detainees for violation of probationary sentences,” would “create[] a substantial obligation on the States. Since there is no constitutional obligation on the States to move speedily to revoke probation [citing *Moody*], the States' obligations are those knowingly accepted . . . in signing the agreement” (1984 WL 566114, at *16-17).

he was incarcerated in a federal prison. The Board issued a parole-violation warrant, which was lodged as a detainer in the federal prison. Although the parolee requested speedy execution of the outstanding warrant, the Board allowed the warrant to remain unexecuted until the parolee had completed serving the new federal sentences.

The Supreme Court endorsed this approach, concluding that due process did not mandate a hearing promptly upon issuance of the parole-violation warrant and the detainer. The Court reasoned that the outstanding warrant did not deprive the parolee of any protected liberty interest: the possibility of future incarceration if a revocation was eventually ordered was too uncertain to constitute a liberty interest; the parolee's claim that the detainer made him ineligible for certain prison programs and caused a less desirable classification was insufficient to invoke due process; the unexecuted warrant did not deprive the parolee of the chance of concurrent sentences because the United States Parole Commission was authorized by statute to revoke parole and grant, retroactively, credit for time already served in prison for crimes committed while on parole; and the parolee made no claim that any evidence in his case would be "vitiated by delay" (*Moody*, 429 US at 88 n 9).

The Court also stated that "there [was] a practical aspect to consider" in cases where "the parolee admits or has been convicted of an offense plainly constituting a parole violation" (*id.* at 89). Specifically, the alleged parole violator might benefit from a later hearing because "a decision to revoke parole would often be foreordained" if the hearing was held immediately after imprisonment, while deferring the hearing until expiration of the parolee's intervening sentence would yield more relevant and accurate information to predict whether release was justified (*id.*). Although *Moody* is arguably distinguishable from cases involving more than one jurisdiction, post-*Moody* decisions have generally interpreted it to mean that states are not constitutionally obligated to execute detainers lodged out of state against parole or probation violators before their release from prison (*see generally* 2 N. Cohen, *The Law of Probation and Parole* §§ 24:10, 24:11, 24:12 [2d ed 1999]).⁴

4. Even though *Moody* involved a federal prisoner attacking a federal detainer, several states filed amicus curiae briefs, apparently sensing that the decision might affect their extradition practices with respect to alleged parole and probation violators. These amici emphasized that the Court's decision

(n. cont'd)

III.

As the discussion of the relevant statutes and cases shows, the arguments that defendant asserts trial counsel should have advanced at the VOP hearing are not so strong that “no reasonable defense lawyer could have found [them] . . . to be not worth raising” (*Turner*, 5 NY3d at 483). They are, in fact, novel and call for an extension of or change in—not an application of—existing law. As a result, there was no reason for appellate counsel to make an ineffective assistance argument. As we noted in *People v Borrell* (12 NY3d 365, 369 [2009]), “[c]ounsel [is] not ineffective for failing to raise an issue of . . . uncertain efficacy on the appeal.”

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur.

Order affirmed.

involving the scope of due process should consider the administrative burdens imposed on them by available alternatives. For example, the Commonwealth of Virginia argued that “[t]o require that a final revocation hearing be held while [the alleged violator] is still incarcerated in a foreign jurisdiction places an undue burden upon the paroling States and tends to overlook administrative realities” (1976 WL 181202, at *8). Essentially, the states were worried about the extra costs involved, just as Greene County was in this case.

[950 NE2d 113, 926 NYS2d 377]

YUN TUNG CHOW et al., Appellants, v RECKITT & COLMAN, INC.,
et al., Respondents, et al., Defendant. (And Other Actions.)

Argued March 24, 2011; decided May 10, 2011

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 5, 2010. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, Bronx County (John A. Barone, J.), which had granted the motion of defendants Reckitt & Colman, Inc., Reckitt & Benckiser, Inc. and Malco Products, Inc. for summary judgment dismissing the complaint.

Yun Tung Chow v Reckitt & Colman, Inc., 69 AD3d 413, reversed.

HEADNOTE

Products Liability — Defectively Designed Product — Motion for Summary Judgment Dismissing Complaint — Proof That Utility of Product Outweighs Inherent Danger

In a products liability action arising from injuries sustained by plaintiff when a lye drain cleaning product splashed back in his face after he used the product in a manner inconsistent with the label's instructions and warnings, the defendant entities responsible for the manufacture, distribution and package design of the product were not entitled to summary judgment dismissing the complaint where the motion was supported only by an attorney's affirmation stating, in effect, that lye is inherently dangerous, that the danger of lye is well known, that the precise warnings of its dangers were given and not followed, and that any variation in the product's composition would result in a different product. The adequacy of a product's warnings, even when coupled with a user's failure to read or follow them, does not end the inquiry with respect to a defective design claim. A defectively designed product is one which, at the time it leaves the seller's hands, is in a condition not reasonably contemplated by the ultimate consumer and is unreasonably dangerous for its intended use. A product may be so dangerous and its misuse so foreseeable that, despite adequate warnings, application of the required risk-utility analysis could establish that the utility of the product does not outweigh the risk inherent in marketing it. Thus, to be entitled to summary judgment dismissing a defective design case, a defendant must demonstrate that its product is reasonably safe for its intended use, i.e., that the utility of the product outweighs its inherent danger. Defendants here, knowing how dangerous lye is, failed to establish that it was reasonable for them to place it into the stream of commerce as a drain cleaning product for use by a layperson.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Products Liability §§ 231, 541, 559, 877-880,
898, 899, 954, 956-959, 1281-1286, 1288-1291.

NY JUR 2d, Products Liability §§ 9, 59, 60, 101, 148.

WEINBERGER, NEW YORK PRODUCTS LIABILITY 2d,
§§ 18:03, 18:18, 21:05.

ANNOTATION REFERENCE

Products liability: drain cleaners. 85 ALR3d 727.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: design /3 defect! & inherent /2 danger & lye

POINTS OF COUNSEL

Lisa M. Comeau, Garden City, and *Ronemus & Vilensky*, New York City, for appellants. The Appellate Division erred in affirming Supreme Court's award of summary judgment to defendants. (*Gilbert Frank Corp. v Federal Ins. Co.*, 70 NY2d 966; *GE Capital Mtge. Servs. v Mittelman*, 238 AD2d 471; *Nigro, D'Anna & Utrecht v Collard*, 208 AD2d 911; *Antonucci v Emeco Indus.*, 223 AD2d 913; *Porter v Uniroyal Goodrich Tire Co.*, 224 AD2d 674; *Colt v Great Atl. & Pac. Tea Co.*, 209 AD2d 294; *Cobrin v County of Monroe*, 212 AD2d 1011; *Vasquez v City of New York*, 210 AD2d 156; *McCue v Battaglia*, 211 AD2d 625; *Daley v Gemini Bakery Equip. Co.*, 228 AD2d 210.)

Ahmuty, Demurs & McManus, Albertson (*Brendan T. Fitzpatrick* of counsel), for Reckitt & Colman, Inc. and another, respondents. The Supreme Court and Appellate Division correctly dismissed Yun Tung Chow's design-defect and failure-to-warn claims because his failure to read and heed the warnings and straightforward instructions on the bottle constituted the sole, proximate cause of the accident. (*Heller v U. S. Suzuki Motor Corp.*, 64 NY2d 407; *Codling v Paglia*, 32 NY2d 330; *Micallef v Miehle Co., Div. of Miehle-Goss Dexter*, 39 NY2d 376; *Torrogrossa v Towmotor Co.*, 44 NY2d 709; *Davey v Dolan*, 46 AD3d 854; *Guadalupe v Drackett Prods. Co.*, 253 AD2d 378; *Andre v Pomeroy*, 35 NY2d 361; *Alvarez v Prospect Hosp.*, 68 NY2d 320; *Zuckerman v City of New York*, 49 NY2d 557; *Robinson v Reed-Prentice Div. of Package Mach. Co.*, 49 NY2d 471.)

Fiedelman & McGaw, Jericho (*James K. O'Sullivan* of counsel), and *Law Offices of Alan I. Lamer*, Elmsford, for Malco Products, Inc., respondent. I. A product that consists of a chemical compound is not "designed" and therefore cannot be the subject of a claim for defective design, absent proof that it could be produced in a manner that made it safer without significantly

affecting its utility. (*Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Denny v Ford Motor Co.*, 87 NY2d 248; *Adamo v Brown & Williamson Tobacco Corp.*, 11 NY3d 545.) II. It was improper to consider the affidavit of the expert, because of plaintiff's disregard of CPLR 3101 (d). (*Brill v City of New York*, 2 NY3d 648; *Gerry v Commack Union Free School Dist.*, 52 AD3d 467.) III. Plaintiff's own behavior was the sole proximate cause of his injuries. (*Guadalupe v Drackett Prods. Co.*, 253 AD2d 378; *Sabatino v Rosin & Sons Hardware & Paint*, 253 AD2d 417; *Sosna v American Home Prods.*, 298 AD2d 158; *Olan v Farrell Lines*, 64 NY2d 1092.) IV. Plaintiff's failure to warn claim fails to state a cause of action pursuant to the Federal Hazardous Substances Act and such a claim would be meritless in any event. (*Beyrle v Finneron*, 229 AD2d 1010; *Liz v Zinsser & Co.*, 253 AD2d 413; *Leon v Martinez*, 84 NY2d 83; *Fleischman v Peacock Water Co., Inc.*, 51 AD3d 1203; *Matter of Allstate Ins. Co. v Perez*, 157 AD2d 521.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

Plaintiff, Yun Tung Chow, and his wife brought this products liability action against the defendant entities responsible for the manufacture, distribution and package design of a product sold under the brand name Lewis Red Devil Lye (RDL). Defendants moved for summary judgment, and Supreme Court granted the motion. The Appellate Division affirmed, with two Justices dissenting solely as to the propriety of summary dismissal of the defective design cause of action (69 AD3d 413 [1st Dept 2010]). Plaintiffs then appealed to this Court as of right (CPLR 5601 [a]). We conclude, in accordance with settled summary judgment and products liability principles, that a defendant moving for summary judgment in a defective design case must do more than state, in categorical language in an attorney's affirmation, that its product is inherently dangerous and that its dangers are well known. Rather, to be entitled to summary judgment in such a case, a defendant must demonstrate that its product is reasonably safe for its intended use; that is, the utility of the product outweighs its inherent danger. Defendants failed to make such a showing here.

RDL is 100% sodium hydroxide, a chemical compound commonly known as lye. The product is sold in the form of dry crystals, and it is packaged and marketed to laypersons as a product that clears clogged drains.

Plaintiff was injured while using RDL to clear a clogged floor drain in the kitchen of the Manhattan restaurant where he

worked. Plaintiff cannot read English and testified through an interpreter that, although he had used RDL many times in the past, he never read the instructions and warnings printed on RDL's bottle. Instead, he learned how to handle RDL by following the examples of others he observed using the product. Normally, he testified, he would take one spoonful of RDL, add one cup of water, and then pour that solution down the clogged drain. Then, "right after that," he would flush the drain with water and the drain would be clear.

On the day in question, plaintiff noticed that the restaurant's kitchen floor drain had become clogged. He located the restaurant's bottle of RDL, but found that there was little remaining in the bottle, so he put all that was left, approximately three spoonfuls, into a dry aluminum container. Plaintiff then poured roughly three cups of cold water into the container. He did not observe any reaction in the container as he walked four steps to the drain, bent at the waist, and poured the solution down the floor drain. Immediately after plaintiff poured the solution down the drain, it splashed back out of the drain and onto plaintiff's face. He sustained serious burns and ultimately lost sight in his left eye as a result of the splash back.

As defendants stress, plaintiff's handling of the product was not in accordance with the label's instructions and warnings. The label warns that splash back and serious injury may occur if RDL is not used as directed. Under "DIRECTIONS FOR USE," the label states that protective eyewear and rubber gloves are to be used when handling RDL, and the user is advised that one should "NEVER POUR LYE DIRECTLY FROM CONTAINER INTO DRAIN." Instead, a plastic spoon is to be used to dispense the product (the user is specifically advised to keep RDL "away from contact with aluminum utensils"). One tablespoon is to be spooned into the clogged drain, then the user is to wait 30 minutes. After 30 minutes, the user may check to see if the drain is clear by "adding several cups of COLD water." If the drain is not clear the label advises that a repeat application should be attempted only once, and if the drain continues to be clogged a plumber should be consulted.

The Appellate Division was divided with respect to whether defendants were entitled to summary judgment on plaintiffs' defective design claim, but it was unanimous in affirming summary judgment on plaintiffs' strict products liability cause of

action based on an alleged failure to warn (69 AD3d at 416).^{*} The adequacy of a product's warnings, however, even when coupled with a user's failure to read or follow them, does not end the inquiry with respect to a defective design claim.

Our law in this area is well established. A “defectively designed product is one which, at the time it leaves the seller's hands, is in a condition not reasonably contemplated by the ultimate consumer and is unreasonably dangerous for its intended use” (*Voss v Black & Decker Mfg. Co.*, 59 NY2d 102, 107 [1983] [internal quotation marks and citation omitted]). If the “utility” of a product “does not outweigh the danger inherent in its introduction into the stream of commerce,” then the product is defectively designed (*id.* [internal quotation marks and citation omitted]).

Defendants focus on plaintiff's mishandling of the product and asserted deficiencies in his expert's affidavit, but, as with any motion for summary judgment, defendants must first show an entitlement to judgment as a matter of law (*see Gilbert Frank Corp. v Federal Ins. Co.*, 70 NY2d 966, 967 [1988]). The issue of whether a product is defectively designed such that its utility does not outweigh its inherent danger is generally one “for the jury to decide . . . in light of all the evidence presented by both the plaintiff and defendant” (*Voss*, 59 NY2d at 108).

In support of their motion here, however, defendants state only, in effect, that lye is what it is, that everyone knows lye is dangerous, and that any variation in RDL's composition would, by necessity, result in a different product because such an altered product would not be 100% sodium hydroxide. While it is true that lye is dangerous and that this product is lye, a mere statement in an attorney's affirmation in support of a motion for summary judgment to that effect does not result in a shift of the burden to plaintiff to then explain how RDL could be made safer. At this stage, defendants cannot rely simply on the fact that their product is what they say it is and that everyone knows that lye is dangerous; that only begs the question at the heart of the merits of the defective design claim: knowing how dangerous lye is, was it reasonable for defendants to place it into the stream of commerce as a drain cleaning product for use by a layperson? Defendants offered no answer to this question, and thus, did not demonstrate their entitlement to judgment as a matter of law.

^{*} The latter portion of that ruling is not challenged on this appeal. Claims made against other parties are also not in issue on this appeal.

Plaintiff's mishandling of the product here, alone, is not enough to entitle defendants to summary judgment. Summary judgment in a strict products liability case may be granted on the basis of the plaintiff's conduct when the plaintiff's actions constituted "the sole proximate cause" of his or her injuries (*Amatulli v Delhi Constr. Corp.*, 77 NY2d 525, 534 [1991]). Defendants failed to show that plaintiff's handling of RDL constituted the sole proximate cause of his injuries because a factfinder could conclude on the basis of the record before us that the product was so inherently dangerous that it should never have found its way into the stream of commerce as packaged and marketed (*see Voss*, 59 NY2d at 107 ["Liability attaches when the product, as designed, presents an unreasonable risk of harm to the user"]). That is to say, even with adequate warnings, a product may be so dangerous, and its misuse may be so foreseeable, that a factfinder employing the required risk-utility analysis our case law has established could reasonably conclude that "the utility of the product did not outweigh the risk inherent in marketing" it (*Denny v Ford Motor Co.*, 87 NY2d 248, 257 [1995] [internal quotation marks and citation omitted] [listing seven factors identified as relevant to the risk-utility analysis: "(1) the product's utility to the public as a whole, (2) its utility to the individual user, (3) the likelihood that the product will cause injury, (4) the availability of a safer design, (5) the possibility of designing and manufacturing the product so that it is safer but remains functional and reasonably priced, (6) the degree of awareness of the product's potential danger that can reasonably be attributed to the injured user, and (7) the manufacturer's ability to spread the cost of any safety-related design changes" (*id.*)]).

Defendants here may ultimately prevail on the merits by showing that RDL's utility outweighs its inherent danger and by demonstrating through expert testimony that it was not feasible to design a safer, similarly effective and reasonably priced alternative product (*see e.g. Voss*, 59 NY2d at 108-109). On this motion, however, merely stating in an attorney's affirmation that RDL is dangerous, that everyone knows it is dangerous, and that precise warnings of its danger were given and not followed was insufficient to entitle defendants to summary judgment as a matter of law. Defendants were required to demonstrate that RDL was reasonably safe for its intended use, but they offered no such evidence.

Accordingly, the Appellate Division order should be reversed, with costs, and the motion of defendants-respondents for summary judgment denied.

SMITH, J. (concurring). I join the Court's unanimous opinion. I write separately to point out that our decision is the result not of the merit of plaintiff's case, but of a feature of New York procedural law.

As the Court's opinion says, the issue on plaintiff's design defect claim is whether lye is reasonably safe for its intended use. This is an issue on which plaintiff will have the burden of proof at trial. "The plaintiff . . . is under an obligation to present evidence that the product, as designed, was not reasonably safe because there was a substantial likelihood of harm and it was feasible to design the product in a safer manner" (*Voss v Black & Decker Mfg. Co.*, 59 NY2d 102, 108 [1983]). To do this, plaintiff will have to show that the product can be designed in such a way "that it is safer but remains functional" (*id.* at 109)—i.e., that a safer version of the product would be of equivalent utility (*Adamo v Brown & Williamson Tobacco Corp.*, 11 NY3d 545 [2008]; *Felix v Akzo Nobel Coatings*, 262 AD2d 447 [2d Dept 1999]).

Here, plaintiffs tried to meet that burden in an expert's affidavit opposing defendants' summary judgment motion, but fell short. The expert proposed several products that he called "safer" alternatives to lye, but he did not show that any alternative capable of preventing plaintiff's accident would perform as well as lye at a reasonable cost. Describing his principal proposal—a 3% to 5% solution of lye—the expert admitted that it would take "somewhat longer to do the job" of unclogging drains, and did not say how much longer.

If a record identical to the present one were developed at trial, plaintiff would fail to meet his burden of proof and the court would be required to direct a verdict for defendants. One might think, therefore, that the record would entitle defendants to summary judgment. But one who thought that would be wrong under New York law, because the initial burden to make an evidentiary showing on summary judgment rests on the moving party. We said in *Alvarez v Prospect Hosp.*:

"As we have stated frequently, the proponent of a summary judgment motion must make a *prima facie* showing of entitlement to judgment as a matter of law, tendering sufficient evidence to demonstrate

the absence of any material issues of fact. Failure to make such prima facie showing requires a denial of the motion, regardless of the sufficiency of the opposing papers.” (68 NY2d 320, 324 [1986] [citations omitted]; see also *Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851, 853 [1985].)

Thus the inadequacy of plaintiff’s expert’s affidavit is irrelevant here, as the Court’s opinion points out, because defendants, in support of their summary judgment motion, produced no evidence of the absence of a safer but functionally equivalent alternative to lye. Defendants relied simply on a statement in an attorney’s affirmation that “the product at issue . . . cannot be designed differently without making it into an entirely different product” (emphasis omitted). The burden of making the necessary evidentiary showing might not have been hard to meet: an affidavit from someone knowledgeable in the industry—either a retained expert or an employee of one of the defendants—could have done it. But the burden was not met.

The federal courts have a different rule, which would probably lead to a different result in this case. As to issues on which the nonmoving party would have the burden of proof at trial, the United States Supreme Court has rejected the idea “that the burden is on the party moving for summary judgment to produce evidence showing the absence of a genuine issue of material fact,” and has held instead that “the burden on the moving party may be discharged by . . . pointing out to the district court . . . that there is an absence of evidence to support the nonmoving party’s case” (*Celotex Corp. v Catrett*, 477 US 317, 325 [1986]). If we were writing on a clean slate, I might prefer the *Celotex* rule to ours, but we are not, and I am not urging a change in our law. I am urging, however, that parties moving for summary judgment in the future be alert to the burden that New York law places on a moving party.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur with Chief Judge LIPPMAN; Judge SMITH in a separate concurring opinion in which Judge READ concurs.

Order reversed, etc.

[950 NE2d 107, 926 NYS2d 371]

In the Matter of MIGUEL M., Also Known as MIQUEL M., Appellant. CHARLES BARRON, M.D., Director of the Department of Psychiatry at Elmhurst Hospital Center, Respondent.

Argued March 23, 2011; decided May 10, 2011

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered July 28, 2009. The Appellate Division affirmed an order and judgment of the Supreme Court, Queens County (David Elliot, J.; *see Matter of M.M.*, 18 Misc 3d 696 [2007]), which had granted the petition in a proceeding pursuant to Mental Hygiene Law § 9.60 and ordered that respondent receive and accept assisted outpatient treatment for a period of six months.

Matter of Miguel M., 66 AD3d 51, reversed.

HEADNOTES

Appeal — Academic and Moot Questions — Exception to Mootness Doctrine

1. In a proceeding pursuant to Mental Hygiene Law § 9.60 wherein respondent's motion to preclude introduction of his medical records obtained by petitioner without respondent's consent or a court order was denied and respondent was directed to accept assisted outpatient treatment for a period of six months, the expiration of the six-month duration of Supreme Court's order before the Appellate Division decided the case rendered the immediate controversy moot, but the exception to the mootness doctrine applied. The case presented a novel and substantial issue that was likely to recur and likely to evade review.

Mental Health — Assisted Outpatient Treatment — Disclosure of Patient's Medical Records without Receiving Authorization from Patient or Notifying Patient of Request Prohibited

2. The Privacy Rule (45 CFR parts 160, 164) adopted by the federal government pursuant to the Health Insurance Portability and Accountability Act (Pub L 104-191, 110 US Stat 1936) prohibits the disclosure of a patient's medical records to a state agency that requests them for use in a proceeding to compel the patient to accept mental health treatment, where the patient has neither authorized the disclosure nor received notice of the agency's request for the records. Although the disclosure of a patient's medical records for purposes of an assisted outpatient treatment (AOT) proceeding is permitted by state law, that law is preempted by the Privacy Rule, which prohibits disclosure of an identifiable patient's health information without the patient's authorization, subject to certain exceptions. Here, in a proceeding pursuant to Mental Hygiene Law § 9.60 for an order requiring AOT for respondent, disclosure of respondent's medical records without respondent's authorization

and in response to a request made by petitioner without notice to respondent was not permitted by either the “public health” exception or the “treatment” exception to the Privacy Rule. The apparent purpose of the public health exception is to facilitate government activities that protect large numbers of people from epidemics, environmental hazards, and the like, or that advance public health by accumulating valuable statistical information, and the thrust of the treatment exception is to facilitate the sharing of information among health care providers working together. The disclosure of respondent’s medical records was not within the scope of either exception. Moreover, there were other exceptions that petitioner might have invoked, such as seeking a court order or serving a subpoena, but did not. Those exceptions would have required notice to respondent, and there was no reason why notice should not have been given here.

Mental Health — Assisted Outpatient Treatment — Disclosure of Patient’s Medical Records without Receiving Authorization from Patient or Notifying Patient of Request Prohibited — Records Inadmissible at Assisted Outpatient Treatment Hearing

3. In a proceeding pursuant to Mental Hygiene Law § 9.60 for an order requiring assisted outpatient treatment (AOT) for respondent, the medical records of respondent that were disclosed to petitioner without respondent’s consent or notification to respondent of petitioner’s request in violation of the Privacy Rule (45 CFR parts 160, 164), adopted by the federal government pursuant to the Health Insurance Portability and Accountability Act (HIPAA) (Pub L 104-191, 110 US Stat 1936), should not have been admitted into evidence at the AOT hearing. Neither exclusion of the records from evidence nor suppression of evidence obtained by use of the records is among the remedies for violations listed in HIPAA, and, in a criminal case, a HIPAA or Privacy Rule violation does not always require the suppression of evidence. The case here, however, was different. It is one thing to allow the use of evidence resulting from an improper disclosure of information in medical records to prove that a patient has committed a crime; it is another to use the records themselves, or their contents, in a proceeding to subject to unwanted medical treatment a patient who is not accused of any wrongdoing. Using the records in that way directly impairs, without adequate justification, the interest protected by HIPAA and the Privacy Rule: the interest in keeping one’s own medical condition private.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Appellate Review §§ 596, 601, 602; AM JUR 2d, Depositions and Discovery § 158; AM JUR 2d, Hospitals and Asylums § 49.

CARMODY-WAIT 2d, Disclosure §§ 42:93, 42:116, 42:120, 42:150.

McKINNEY’s, Mental Hygiene Law § 9.60.

NY JUR 2d, Appellate Review § 639; NY JUR 2d, Disclosure §§ 120, 123; NY JUR 2d, Infants and Other Persons Under Legal Disability § 89.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Disclosure; Medical Records; Moot and Abstract Matters.

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POINTS OF COUNSEL

Mental Hygiene Legal Service, Second Judicial Department, Mineola (Scott M. Wells, Sidney Hirschfeld, Dennis B. Feld and Lesley De Lia of counsel), for appellant. I. Disclosure of protected health information to determine individual eligibility for assisted outpatient treatment (AOT) and to establish an AOT petitioner's prima facie case does not constitute a public health activity pursuant to the federal Health Insurance Portability and Accountability Act regulations. (*Whalen v Roe*, 429 US 589; *Doe v City of New York*, 15 F3d 264; *United States v Westinghouse Elec. Corp.*, 638 F2d 570; *Schwenk v Kavanaugh*, 4 F Supp 2d 110; *Jaffee v Redmond*, 518 US 1; *MacDonald v Clinger*, 84 AD2d 482; *Arons v Jutkowitz*, 9 NY3d 393; *United States v Miller*, 303 F2d 703; *South Shore Hosp., Inc. v Thompson*, 308 F3d 91; *New York State Commn. on Cable Tel. v Federal Communications Commn.*, 571 F2d 95.) II. The Health Insurance Portability and Accountability Act Privacy Rule preempts Mental Hygiene Law § 33.13 because the federal rule provides more stringent privacy protections than the state law. (*Arons v Jutkowitz*, 9 NY3d 393; *Law v Zuckerman*, 307 F Supp 2d 705; *Bayne v Provost*, 359 F Supp 2d 234.) III. In the absence of compliance with Health Insurance Portability and Accountability Act provisions mandating satisfactory assurances relating to either notification or a qualified protective order, the psychiatric expert's testimony pertaining to facts obtained from the improper disclosure of appellant's protected health information was inadmissible. (*Ginsberg v North Shore Hosp.*, 213 AD2d 592; *Matter of Jesus A.*, 185 Misc 2d 39; *Matter of Derek*, 12 Misc 3d 1132; *Keshecki v St. Vincent's Med. Ctr.*, 5 Misc 3d 539.)

Michael A. Cardozo, Corporation Counsel, New York City (Tahirih M. Sadrieh and Edward F.X. Hart of counsel), for respondent. I. Appellant's hospital records were properly disclosed for a public health activity pursuant to Health Insurance Portability and Accountability Act's Privacy Rule. (*Forest Watch v United States Forest Serv.*, 410 F3d 115; *Reno v National Transp. Safety Bd.*, 45 F3d 1375; *Matter of K.L.*, 1 NY3d 362; *Kansas v Hendricks*, 521 US 346; *Seaton v Mayberg*, 610 F3d 530.) II. Health Insurance Portability and Accountability Act

does not preempt the Mental Hygiene Law's provision for disclosure of medical records pursuant to Kendra's Law. (*Matter of People v Applied Card Sys., Inc.*, 11 NY3d 105; *California Fed. Sav. & Loan Assn. v Guerra*, 479 US 272; *New York State Conference of Blue Cross & Blue Shield Plans v Travelers Ins. Co.*, 514 US 645; *Seaton v Mayberg*, 610 F3d 530.) III. Appellant's hospital records were properly disclosed for purposes of treatment. IV. Even if appellant's medical records were disclosed in violation of Health Insurance Portability and Accountability Act, suppression would not be an appropriate remedy. (*Northwestern Mem. Hosp. v Ashcroft*, 362 F3d 923.) V. The disclosure of appellant's medical records here did not violate his right to privacy. (*Doe v City of New York*, 15 F3d 264; *Whalen v Roe*, 429 US 589; *O'Connor v Pierson*, 426 F3d 187; *Project Release v Prevost*, 722 F2d 960; *Matter of K.L.*, 1 NY3d 362.)

OPINION OF THE COURT

SMITH, J.

We hold that the Privacy Rule adopted by the federal government pursuant to the Health Insurance Portability and Accountability Act (HIPAA) prohibits the disclosure of a patient's medical records to a state agency that requests them for use in a proceeding to compel the patient to accept mental health treatment, where the patient has neither authorized the disclosure nor received notice of the agency's request for the records.

I

Dr. Charles Barron, as designee of the New York City Department of Health and Mental Hygiene, applied for an order under Mental Hygiene Law § 9.60 requiring "assisted outpatient treatment" (AOT) for Miguel M. The petition alleged that Miguel was suffering from a mental illness; that he was unlikely to survive safely in the community without supervision; that he had a history of failing to comply with treatment; that he was unlikely to participate in necessary treatment voluntarily; and that he needed, and would benefit from, AOT to prevent a relapse or deterioration of his mental status, which would be likely to result in serious harm to Miguel or to others.

At the hearing on the petition, Barron offered in evidence records from two hospitals relating to three occasions on which Miguel was hospitalized. A witness called by Barron testified that the hospitals had furnished the records in response to a request—a request made, it is clear from the record, without

notice to Miguel. The witness acknowledged that Miguel had not authorized the release of the records, and that no court order for their disclosure had been sought or obtained.

The records were received in evidence over Miguel's objection (*Matter of M.M.*, 18 Misc 3d 696 [2007]), and Barron's witness described their contents. After the hearing, Supreme Court directed that Miguel "receive and accept assisted outpatient treatment" for a period of six months. The Appellate Division affirmed (66 AD3d 51 [2009]). We granted leave to appeal (14 NY3d 712 [2010]), and now reverse.

II

[1] The six-month duration of Supreme Court's order expired before the Appellate Division decided this case, and the immediate controversy is therefore moot. Neither party challenges, however, the Appellate Division's conclusion that the case presents a novel and substantial issue that is likely to recur and likely to evade review, and that therefore the exception to the rule against deciding moot disputes applies here (*see Matter of Hearst Corp. v Clyne*, 50 NY2d 707, 714-715 [1980]). We agree, and proceed to the merits.

Mental Hygiene Law § 9.60, known as "Kendra's Law," was enacted in 1999. It is named for Kendra Webdale, who was killed by a mentally ill man who pushed her off a subway platform. It says that, on a proper showing, a mentally ill person whose lack of compliance with treatment has, twice within the last 36 months, caused him or her to be hospitalized may be the subject of AOT pursuant to a plan stated in a court order (*see* Mental Hygiene Law § 9.60 [c], [j] [2]). Public officials identified as "directors of community services" are given the duty of enforcing Kendra's Law (Mental Hygiene Law § 9.47 [b]), and a petition to require AOT may be filed by a director of community services or his or her designee (Mental Hygiene Law § 9.60 [e] [1] [vii]). Mental Hygiene Law § 33.13 (c) (12) permits disclosure of medical records to a director of community services who requests it in the exercise of his or her duties. Thus, the disclosure of a patient's medical records for purposes of an AOT proceeding is permitted by state law, unless the applicable state law is preempted. Miguel argues that it is.

Miguel says that preemption is found in HIPAA (Pub L 104-191, 110 US Stat 1936 [codified in various titles of the United States Code]) and the Privacy Rule (45 CFR parts 160, 164) promulgated by the United States Department of Health and

Human Services under authority granted by HIPAA § 264 (c) (1) (*see* Historical and Statutory Notes following 42 USCA § 1320d-2). The Privacy Rule prohibits disclosure of an identifiable patient's health information without the patient's authorization, subject to certain exceptions (45 CFR 164.508 [a] [1]). HIPAA § 264 (c) (2) (*see* Historical and Statutory Notes following 42 USCA § 1320d-2) and the Privacy Rule (45 CFR 160.203 [b]) say that contrary state laws are preempted unless they offer privacy protections that are "more stringent" than those of the federal law; New York does not offer any more stringent protection that is relevant here. The preemption issue thus comes down to whether the disclosure of Miguel's medical records was permitted by one of the exceptions to the Privacy Rule.

[2] Barron relies on two exceptions, those permitting disclosure for purposes of "public health" and "treatment." It is possible to read the language of both exceptions as covering the disclosure now at issue, but in both cases the reading is strained. Considering the apparent purposes of these two exceptions, we conclude that neither fits these facts.

The public health exception permits disclosure of protected information to:

"A public health authority that is authorized by law to collect or receive such information for the purpose of preventing or controlling disease, injury, or disability, including, but not limited to, the reporting of disease, injury, vital events such as birth or death, and the conduct of public health surveillance, public health investigations, and public health interventions" (45 CFR 164.512 [b] [1] [i]).

Barron reasons that disclosure of a mentally ill person's hospital records for purposes of requiring that person to accept AOT protects the public health, because mentally ill people might kill or injure other people—like Kendra Webdale—who, of course, are members of the public. Thus Barron, a person designated to enforce Kendra's Law, would be a "public health authority," collecting information for the "purpose of preventing . . . injury," and his action to require AOT in Miguel's case could be called a public health intervention. We are not convinced, however, that the authors of the Privacy Rule meant "public health" in this literal, but counterintuitive, sense.

The apparent purpose of the public health exception is to facilitate government activities that protect large numbers of

people from epidemics, environmental hazards, and the like, or that advance public health by accumulating valuable statistical information. To disclose private information about particular people, for the purpose of preventing those people from harming themselves or others, effects a very substantial invasion of privacy without the sort of generalized public benefit that would come from, for example, tracing the course of an infectious disease. The disclosure to Barron of Miguel's hospital records was not within the scope of the public health exception.

The treatment exception permits disclosure of protected health information “for treatment activities of a health care provider” (45 CFR 164.506 [c] [2]). “Treatment” is defined as:

“the provision, coordination, or management of health care and related services by one or more health care providers, including the coordination or management of health care by a health care provider with a third party; consultation between health care providers relating to a patient; or the referral of a patient for health care from one health care provider to another” (45 CFR 164.501).

Again, Barron's argument is literalistic: AOT—assisted outpatient treatment—is literally “treatment”—“the provision . . . of health care . . . by one or more health care providers.” But the thrust of the treatment exception is to facilitate the sharing of information among health care providers working together. We see no indication that the authors of the regulation meant to facilitate “treatment” administered by a volunteer “provider” over the patient's objection. Disclosure for that purpose is a more serious invasion of privacy than, for example, the transmission of medical records from a patient's primary care physician to a specialist—the sort of activity for which the treatment exception seems primarily designed. The treatment exception is inapplicable here.

We find support for our conclusion that the two exceptions Barron relies on are inapposite in the existence of other exceptions that Barron might have invoked but did not. The Privacy Rule authorizes disclosure of health information, subject to certain conditions, “in the course of any judicial or administrative proceeding,” in response to either “an order of a court or administrative tribunal” (45 CFR 164.512 [e] [1] [i]) or “a subpoena, discovery request, or other lawful process” (45 CFR 164.512 [e] [1] [ii]). Thus, Barron could have pursued Miguel's

records either by seeking a court order or by serving a subpoena. To do so in compliance with the Privacy Rule, however, Barron would have had to give notice to Miguel of his request for the records. He could not, absent extraordinary circumstances, have obtained a court order requiring disclosure without giving such notice. And the Privacy Rule's exception for subpoenas and the like is conditioned on "satisfactory assurance" from the person seeking the information to the entity providing it either "that reasonable efforts have been made . . . to ensure that the individual who is the subject of the protected health information . . . has been given notice of the request" (45 CFR 164.512 [e] [1] [ii] [A]), or that an order protecting the confidentiality of the information has been sought (45 CFR 164.512 [e] [1] [ii] [B]). In a case, like this one, to which the patient is a party, a request for a protective order would require notice to the patient.

We can see no reason, and Barron has suggested none, why notice should not have been given here. It may well be, in this case as in many others, that no valid ground for withholding the records exists; courts ruling on disclosure issues will surely be conscious, as we are, of the strong public interest in seeing that mentally ill people who might otherwise be dangerous receive necessary treatment. But it seems only fair, and no great burden on the public agencies charged with enforcing Kendra's Law, to give patients a chance to object before the records are delivered.

We emphasize that it is far from our purpose to make the enforcement of Kendra's Law difficult. It may often be possible to avoid all disclosure problems by getting the patient to authorize the disclosure in advance; surely many mentally ill people will, while they are under proper care, recognize that disclosure is very much in their own interest. When there is no advance authorization, patients who are given notice that their records are being sought often may not object; when they do object, their objections may often be overruled. We hold only that unauthorized disclosure without notice is, under circumstances like those present here, inconsistent with the Privacy Rule.

III

[3] Barron argues in the alternative that, even if the disclosure of the records to him was unlawful—as we have held it was—Supreme Court did not err by admitting the records into evidence at the AOT hearing. HIPAA, as Barron points out, contains its own remedies for violations: civil penalties (HIPAA

§ 262 [a], adding 42 USC § 1320d-5) and, for the knowing and wrongful disclosure of individually identifiable health information, fines and imprisonment (HIPAA § 262 [a], adding 42 USC § 1320d-6). Neither exclusion of the records from evidence nor suppression of evidence obtained by use of the records is among the remedies listed. Barron cites decisions from other states holding that evidence obtained as a result of a HIPAA violation need not be suppressed in a criminal case (*State v Carter*, 23 So 3d 798, 801 [Fla Dist Ct App 2009]; *State v Yenzer*, 40 Kan App 2d 710, 712-713, 195 P3d 271, 272-273 [2008]; *State v Straehler*, 307 Wis 2d 360, 745 NW2d 431 [2007]).

We assume it is correct that, in a criminal case, a HIPAA or Privacy Rule violation does not always require the suppression of evidence. Indeed, we have held that suppression is not required in such a case where evidence was obtained as a result of a violation of New York's physician-patient privilege (*People v Greene*, 9 NY3d 277 [2007]). But this case is different. It is one thing to allow the use of evidence resulting from an improper disclosure of information in medical records to prove that a patient has committed a crime; it is another to use the records themselves, or their contents, in a proceeding to subject to unwanted medical treatment a patient who is not accused of any wrongdoing. Using the records in that way directly impairs, without adequate justification, the interest protected by HIPAA and the Privacy Rule: the interest in keeping one's own medical condition private. We therefore hold that medical records obtained in violation of HIPAA or the Privacy Rule, and the information contained in those records, are not admissible in a proceeding to compel AOT.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order reversed, etc.

[950 NE2d 118, 926 NYS2d 382]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v KENNETH HAYES, Appellant.

Argued March 23, 2011; decided May 10, 2011

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 6, 2010. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Ronald A. Zweibel, J.), which had convicted defendant, upon a jury verdict, of assault in the second degree and criminal possession of a weapon in the fourth degree.

People v Hayes, 72 AD3d 441, affirmed.

HEADNOTES

Crimes — Disclosure — Failure to Disclose Exculpatory Material — No Affirmative Duty to Obtain Potentially Exculpatory Evidence for Defendant

1. In a prosecution for assault and possession of a weapon arising from a stabbing which occurred in a crowded movie theater, the failure of the police to interview or acquire the contact information of two bystanders who made statements indicating that the victim was the initial aggressor and possessed the knife first, which were overheard by a police sergeant safeguarding the crime scene, did not constitute a *Brady* violation (*Brady v Maryland*, 373 US 83 [1963]). While the prosecution's duty to disclose favorable evidence that is material to guilt requires the preservation of exculpatory evidence already within the People's possession, the People have no affirmative duty to obtain potentially exculpatory evidence for the benefit of a criminal defendant. Here, the People met their obligation under *Brady* when they disclosed to defendant, during trial preparation, the content and substance of the two statements at issue. The prosecution was not required to impart identifying information unknown to them and not within their possession, and had no responsibility to acquire the contact information of the makers of the statements.

Crimes — Evidence — Use of Hearsay Evidence to Challenge Police Investigation

2. In a prosecution for assault and possession of a weapon arising from a stabbing which occurred in a crowded movie theater, the trial court properly exercised its discretion when it precluded defendant, during the cross-examination of the police sergeant who safeguarded the crime scene, from introducing hearsay statements from two anonymous bystanders for the purpose of challenging the thoroughness of the police investigation. While a challenge to the adequacy of a police investigation may constitute a permissible nonhearsay purpose where appropriate, there is no rule requiring the automatic admission of any hearsay statement. The trial court, in exercising its discretion to determine the scope of cross-examination, must weigh the probative value of hearsay evidence against the dangers of speculation,

confusion, and prejudice. Here, the trial court concluded that the use of the hearsay statements, which indicated that the victim was the initial aggressor and possessed the knife first, would have created an unacceptable risk that the jury would consider the statements for their truth. Furthermore, the hearsay statements were not so critical that their exclusion deprived defendant of due process. Since it was undisputed that at a certain point during the altercation, defendant came into possession of a knife and the victim was unarmed, the crucial inquiry with respect to defendant's justification defense was whether defendant was justified in the use of deadly physical force against an unarmed victim. Therefore, the relevancy of the hearsay statements was diminished because the question of whether the knife was initially possessed by the victim was not decisive of the issue of defendant's justified use of deadly physical force at the time of the alleged stabbing (*see* Penal Law § 35.15 [2] [a]).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Depositions and Discovery §§ 256, 280; AM JUR 2d, Witnesses §§ 782, 816.
CARMODY-WAIT 2d, Discovery §§ 187:84, 187:86–187:90, 187:95, 187:98; CARMODY-WAIT 2d, Testimony of Witnesses § 195:104.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 20.3, 24.3, 24.4.
MCKINNEY'S, Penal Law § 35.15 (2) (a).
NY JUR 2d, Criminal Law: Procedure §§ 1692, 1694, 1698, 1701, 2305.

ANNOTATION REFERENCE

See ALR Index under Cross-Examination; Discovery; Exculpatory Evidence; Hearsay.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: police /s fail! /3 interview investigat! /p exculpatory & duty /3 disclos!

POINTS OF COUNSEL

Legal Aid Society, Criminal Appeals Bureau, New York City (*John Schoeffel* and *Steven Banks* of counsel), for appellant. I. In this justification case which turned on the question of who first produced the knife, a police sergeant who heard two witnesses independently state that it was the wounded man—and not appellant—who had done so had a *Brady* duty to request their contact information, or to take some other reasonable step to preserve the exculpatory information in a form that would make it possible for a defendant to investigate it and to use it at

a trial. (*Brady v Maryland*, 373 US 83; *Youngblood v West Virginia*, 547 US 867; *Strickler v Greene*, 527 US 263; *People v Hunter*, 11 NY3d 1; *People v Vilardi*, 76 NY2d 67; *United States v Bagley*, 473 US 667; *Kyles v Whitley*, 514 US 419; *United States v Agurs*, 427 US 97; *Giglio v United States*, 405 US 150; *People v Wright*, 86 NY2d 591.) II. Under New York and federal law, the trial court was required to permit the defense to use statements on cross-examination of police witnesses for the limited nonhearsay purpose, held proper in *Kyles v Whitley* (514 US 419 [1995]), of challenging the adequacy of their investigation into the main disputed factual issue of whether the complainant had the knife. (*People v Gissendanner*, 48 NY2d 543; *Davis v Alaska*, 415 US 308; *People v Hudy*, 73 NY2d 40; *People v Knight*, 80 NY2d 845; *People v Cade*, 73 NY2d 904; *People v Schwartzman*, 24 NY2d 241; *People v Corby*, 6 NY3d 231; *Olden v Kentucky*, 488 US 227; *Delaware v Van Arsdall*, 475 US 673; *People v McDowell*, 9 NY2d 12.)

Cyrus R. Vance, Jr., District Attorney, New York City (Gina Mignola and AmyJane Rettew of counsel), for respondent. The trial judge properly handled the issues raised by comments one officer overheard from the crowd while guarding crime scene blood evidence from contamination. (*Youngblood v West Virginia*, 547 US 867; *People v Hilts*, 13 NY3d 895; *People v Rodriguez*, 100 NY2d 30; *Brady v Maryland*, 373 US 83; *People v Colon*, 13 NY3d 343; *People v Fuentes*, 12 NY3d 259; *People v Hunter*, 11 NY3d 1; *People v Garcia*, 46 AD3d 461; *DiSimone v Phillips*, 461 F3d 181; *United States v Rivas*, 377 F3d 195.)

OPINION OF THE COURT

JONES, J.

This appeal presents two issues for our review. First, whether the failure of the police to interview witnesses after overhearing two potentially exculpatory statements constituted a *Brady* violation. Second, whether defendant was improperly precluded during cross-examination from challenging the adequacy of the police investigation.

I

It is undisputed that in the early morning of August 8, 2004, Charles Shell and 10 friends attended the 1:00 A.M. showing of a movie in a Times Square theater. In the crowded theater—a two-level auditorium with a capacity for approximately 578 people—Shell and his friends were loudly talking during the

early portions of the movie when someone shouted at them to be quiet. At this point, the versions of the salient facts diverge.

According to the People, when Shell looked away from the movie, he observed his friends out of their seats and facing a group of approximately 10 people standing on the balcony level of the theater. The group, which included defendant Kenneth Hayes, descended from the balcony level. Shell and his friends left their seats to approach the group and observed defendant pacing back and forth in a “rocking motion,” saying “Who want it?” When Shell confronted defendant, defendant grabbed Shell’s left wrist, blocked his right arm, punched Shell twice in the stomach, and fled from the theater. Shell realized that he had been, in fact, stabbed when he observed blood on his shirt.

Defendant claims that he went to the lower level of the theater to politely ask Shell and his friends to refrain from talking during the movie. After he made the request, Shell leapt from his seat and confronted defendant, making a gesture with respect to his belt—an indication to defendant that Shell had a weapon. Shell removed a knife from his waistband and swung at defendant with his left arm. Defendant used his left hand to grab Shell’s arm and his right hand to wrest the knife away. During the course of the altercation, defendant was pushed onto the stairs leading up to the balcony of the theater. While he was on the ground, leaning on the stairs with possession of the knife, defendant attempted to block a further punch, but the forward momentum of Shell resulted in him being stabbed. Defendant fled the theater to escape an alleged chase by Shell’s friends.

Ultimately, defendant was apprehended outside of the movie theater by Sergeant Mack who had observed him fighting within the vestibule of the theater and throwing a metal object into the street—later recovered and identified as a gravity knife. After the arrest, in the midst of a hectic setting, Sergeant Mack then assigned officers to either secure the crime scene, control the crowd, gather evidence, or interview possible witnesses.

Sergeant Fitzpatrick was tasked with safeguarding the crime scene to prevent contamination of blood evidence. While guarding the location, Sergeant Fitzpatrick overheard two separate individuals claim, “That’s the guy [referring to Shell], . . . he had the knife first, he got it taken away from him, he got what he deserved” and “That guy [Shell] pulled the knife out first, the other guy took it away from him.” Sergeant Fitzpatrick did

not ascertain the identities of the potential witnesses, obtain contact information, or otherwise investigate these two statements.

During trial preparation, Sergeant Fitzpatrick disclosed these two statements to the prosecution, and the People immediately advised defendant of this newfound information. Defendant argued before the trial court that the lack of police investigation of the two statements and the failure to obtain contact information constituted a *Brady* violation. Defendant also sought to use the statements for the nonhearsay purpose of challenging the completeness of the police investigation. The trial court ruled that no *Brady* violation was committed by the People and precluded defense counsel, during the cross-examination of Sergeant Fitzpatrick, from eliciting testimony regarding the two statements. After a jury trial, defendant was acquitted of first degree assault, but convicted of second degree assault and weapon possession.

In a 3-2 decision, the Appellate Division affirmed the judgment, holding that the People did not violate their disclosure obligations under *Brady* and had no duty to obtain the identities or contact information of the bystanders (72 AD3d 441, 441-442 [1st Dept 2010]). Furthermore, the Appellate Division held that the trial court properly exercised its discretion in limiting defendant's cross-examination for the purpose of challenging the thoroughness of the police investigation (*id.* at 442). A Judge of this Court granted defendant leave to appeal (15 NY3d 751), and we now affirm.

II

In the seminal case *Brady v Maryland* (373 US 83, 87 [1963]), the United States Supreme Court held that a criminal defendant's right to due process is violated when the prosecution suppresses favorable evidence that is material to guilt because every criminal defendant should "be afforded a meaningful opportunity to present a complete defense" (*California v Trombetta*, 467 US 479, 485 [1984]). "To establish a *Brady* violation, a defendant must show that (1) the evidence is favorable to the defendant because it is either exculpatory or impeaching in nature; (2) the evidence was suppressed by the prosecution; and (3) prejudice arose because the suppressed evidence was material" (*People v Fuentes*, 12 NY3d 259, 263 [2009]; see also *Strickler v Greene*, 527 US 263, 281-282 [1999]).

[1] Here, defendant claims that the police and the People committed a *Brady* violation by failing to interview, or at a

minimum, acquire the contact information of the two individuals who made the statements overheard by Sergeant Fitzpatrick. While defendant's argument is couched in *Brady* terms, when distilled, he essentially seeks a rule that would impose an affirmative duty upon the police to obtain potentially exculpatory evidence for the benefit of a criminal defendant. However, this Court has declined to impose such an obligation.

In *People v Alvarez* (70 NY2d 375 [1987]), the defendant, charged with various Vehicle and Traffic Law offenses for intoxicated driving, asked this Court to require the police to obtain and preserve additional breath samples for later testing because the initial samples were destroyed when tested by the police. We concluded that there is no "basis for a rule, sought by defendants in this case, that would require the police to affirmatively gather evidence for the accused" (*Alvarez*, 70 NY2d at 381). And in *People v Reedy* (70 NY2d 826, 827 [1987]), where the defendant sought a copy of a personal account written by the victim of an attempted rape, we held, among other things, that the People had no obligation to disclose evidence "not in their possession or control." In addition, the Supreme Court has similarly noted that it is "[l]ess clear from our access-to-evidence cases the extent to which the Due Process Clause imposes on the government the additional responsibility of guaranteeing criminal defendants access to exculpatory evidence beyond the government's possession" (*Trombetta*, 467 US at 486).

While this Court has instructed that "[a] necessary corollary of the duty to disclose is the obligation to preserve evidence until a request for disclosure is made" (*People v Kelly*, 62 NY2d 516, 520 [1984]), defendant erroneously equates the word "preserve" with "obtain" or "acquire." There is a difference between preserving evidence already within the possession of the prosecution and the entirely distinct obligation of affirmatively obtaining evidence for the benefit of a criminal defendant. The protection of *Brady* extends to "discoverable evidence gathered by the prosecution" (*Kelly*, 62 NY2d at 520) and seeks to ensure the disclosure, or prevent the destruction of exculpatory information already within the People's possession (see e.g. *Kelly*, 62 NY2d at 520 [in a larceny and criminal possession of property case, the Court found a *Brady* violation when the police permanently lost property *within their possession*]; *People v Cortijo*, 70 NY2d 868 [1987] [Court held no *Brady* violation occurred where the defendant had an opportunity to

use the allegedly exculpatory information at trial, but the People are only required to disclose exculpatory material information in their control]; *People v Brown*, 67 NY2d 555, 559 [1986] [“(T)he People unquestionably have a duty to disclose exculpatory material in their control”). Here, the People met their obligation under *Brady* when they disclosed the statements to defendant; the prosecution was not required to impart identifying information unknown to them and not within their possession.

The recent federal case of *United States v Rodriguez* (496 F3d 221 [2d Cir 2007]) is illustrative. There, the defendant sought to compel production of any notes created by the government during their investigation of witnesses. The government claimed that no notes were created memorializing the interviews, and the defendant responded that this constituted a *Brady* violation. The Second Circuit held that while exculpatory information that had been procured must be disclosed, the government investigators had no affirmative obligation to create notes for the benefit of the defendant (*id.* at 224-225). Here, similarly, while the People fulfilled their duty by apprising defendant of the content and substance of the statements, they had no responsibility to acquire the contact information of the makers of the statements.

Accordingly, we adhere to our precedent, decline to impose an affirmative obligation upon the police to obtain exculpatory information for criminal defendants, and hold that the failure of the police and the People to investigate the sources of the two statements was not a *Brady* violation.

III

Defendant additionally argues that he was improperly precluded from utilizing the two statements and challenging the thoroughness of the police investigation pursuant to *Kyles v Whitley* (514 US 419 [1995]). Defendant’s argument is unavailing.

In *Kyles*, the Supreme Court, discussing the materiality under *Brady* of witness statements that were not disclosed, acknowledged that it is a common and accepted tactic for defendants to challenge the adequacy of a police investigation. There, during the investigation of a murder, the police relied upon an informant named “Beanie.” Although Beanie should have been considered a suspect, the police failed to question and investigate him, instead relying on him despite his “eager[ness] to cast

suspicion on Kyles” (*id.* at 425), as evidenced by an internally inconsistent, and continuously evolving narrative of the incident. The Supreme Court reasoned that “the defense could have examined the police to good effect on their knowledge of Beanie’s statements and so have attacked the reliability of the investigation in failing even to consider Beanie’s possible guilt” (*id.* at 446). If this line of inquiry were pursued, “the defense could have laid the foundation for a vigorous argument that the police had been guilty of negligence” (*id.* at 447).

Despite this recognized strategy, a criminal defendant does not have an unfettered right to challenge the adequacy of a police investigation by any means available. It is well settled that “[a]n accused’s right to cross-examine witnesses . . . is not absolute” (*People v Williams*, 81 NY2d 303, 313 [1993]). The scope of cross-examination is within the sound discretion of the trial court (*see People v Corby*, 6 NY3d 231, 233 [2005]) and it must “weigh the probative value of such evidence against the possibility that it ‘would confuse the main issue and mislead the jury . . . or create substantial danger of undue prejudice to one of the parties’ ” (*id.* at 234; *see People v Davis*, 43 NY2d 17, 27 [1977]).

Defendant contends that the statements were germane to his justification defense because it established that Shell was the initial aggressor and possessed the knife first. Based on that premise, defendant sought to utilize the statements and argue that the investigation was inadequate because the police: (1) failed to fingerprint the knife, and (2) failed to interview, or obtain the contact information of the two individuals who made the statements.

[2] While a defendant has a constitutional right to present a defense, “[t]he right to present a defense ‘does not give criminal defendants carte blanche to circumvent the rules of evidence’ ” (*People v Cepeda*, 208 AD2d 364, 364 [1st Dept 1994], quoting *United States v Almonte*, 956 F2d 27, 30 [2d Cir 1992]). Challenging the adequacy of a police investigation may constitute a permissible nonhearsay purpose where appropriate, but there is no rule requiring the automatic admission of any hearsay statement (*see Buie v Phillips*, 298 Fed Appx 63, 66 [2d Cir 2008] [there is no “unfettered right to introduction of hearsay testimony bearing no assurance of reliability”]). Here, the trial court did not abuse its discretion in concluding that the use of the anonymous hearsay in cross-examination would have created an unacceptable risk that the jury would consider the statements for their truth.

Furthermore, the hearsay statements were not so critical that their exclusion deprived defendant of due process (*cf. Chambers v Mississippi*, 410 US 284 [1973]). Penal Law § 35.15 (2) (a) provides that deadly physical force may not be used unless:

“(a) The actor reasonably believes that such other person is using or about to use deadly physical force. Even in such case, however, the actor may not use deadly physical force if he or she knows that with complete personal safety, to oneself and others he or she may avoid the necessity of so doing by retreating.”

Despite the conflicting accounts of the incident in question, it is undisputed that at a certain point during the altercation, defendant came into possession of a knife and Shell was unarmed. Defendant’s justification defense must be viewed at this focal point and the true, crucial inquiry is whether defendant was justified in the use of deadly physical force against an unarmed Shell (*see People v Aska*, 91 NY2d 979, 981 [1998]). Even accounting for the claim that Shell continued to struggle with, and swing at defendant, Shell was no longer capable of using deadly physical force against defendant. Therefore, the relevancy of the statements is diminished because the question of whether the knife was initially possessed by Shell is not decisive of the issue of defendant’s justified use of deadly physical force at the time of the alleged stabbing. As such, the two statements that Shell initially possessed the knife did not have the great probative force anticipated by defendant.

For the foregoing reasons, we hold that the trial court did not abuse its discretion in prohibiting the use of the hearsay statements and precluding defendant from challenging the adequacy and thoroughness of the police investigation where the probative force of the proposed evidence was outweighed by the dangers of speculation, confusion, and prejudice (*see generally Davis*, 43 NY2d at 27).

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN (dissenting). I agree that the apparent failure of the police to collect contact information respecting the putative witnesses overheard by Sergeant Fitzpatrick was not a due process violation sanctionable under *Brady v Maryland* (373 US 83 [1963]); this was not a case in which information favorable to the accused in the possession or control of the

prosecution was suppressed and, accordingly, *Brady* does not come into play (*see id.* at 87). It does not follow, however, and I do not agree, that defendant was properly precluded from using the statements overheard by Fitzpatrick to question the adequacy of the investigation upon which his prosecution was premised.

In analyzing this second point, the majority first acknowledges that the admission of out-of-court statements for the purpose of showing that the police were aware of, yet failed to pursue, information potentially exculpatory to the accused, is not barred by the hearsay rule—indeed, that the defense tactic of relying upon such statements is “common and accepted” (majority op at 52, citing *Kyles v Whitley*, 514 US 419, 446-447 [1995]). The majority, however, concludes that the trial court did not abuse its discretion in excluding the statements at issue because their probative value was outweighed by their potential to engender “speculation, confusion, and prejudice” (majority op at 54). This analysis is, in my view, flawed, principally because the record does not disclose that there was any exercise of discretion involved in the trial court’s decision to deny defendant use of the bystander statements, but also because the exercise of discretion now described by the majority is not consistent with a defendant’s basic right to present a defense.

The trial court excluded the proffered bystander statements simply as hearsay, stating at the time of its ruling, “I decide whether [the statement] comes in under the rules of evidence. And if I rule that you’re bringing it out for an impermissible purpose and it’s hearsay, it doesn’t come out” (Appellant’s Appendix at A401). This was nothing more than an erroneous application of the hearsay rule—a legal error—arising from the court’s misunderstanding of the rule and the purpose for which the statements were proposed to be introduced. It should be corrected as such; there is absolutely no indication that the court, although recognizing that there was no legal bar to the statements’ admission, nevertheless determined that they should not be received because, after performing a discretionary balancing of the sort the majority now retrospectively imputes, it had concluded they would likely mislead the jury.

But, even if some discretionary exercise had been involved, it would have been an abuse of discretion to deny defendant the limited use of the statements sought. The statements were facially indicative of the existence of independent witnesses whose accounts of the altercation agreed with defendant’s in crucial respects and were supportive of his claim that his

conduct was justified. While, because of the cited police omission, the reliability of the statements could not be tested, there was, as noted, no hearsay bar to their admission precisely to show that an investigative lapse had occurred leaving room for reasonable doubt as to the adequacy of the evidence offered by the People to meet their burden of disproving the defense of justification (*see* Penal Law § 35.00; *Matter of Y.K.*, 87 NY2d 430, 433 [1996]). The use of the statements for this legally permissible purpose would, of course, have been accompanied by appropriate limiting instructions, and as we have frequently noted, it is presumed that such instructions are heeded (*see e.g. People v Tosca*, 98 NY2d 660 [2002]).¹ Moreover, the People would have been afforded the opportunity to respond with evidence showing that their investigation was in fact suitably thorough.²

The discretionary preclusion of defendant's use of the statements on cross-examination would, under these circumstances, have been insupportable since a trial court has no discretion to cut off a legally permissible, non-collateral, indeed potentially exculpatory, line of inquiry by a criminal defendant. Such discretion would be utterly incompatible with the constitutional right to present a defense (*see People v Carroll*, 95 NY2d 375, 385-386 [2000]; *People v Hudy*, 73 NY2d 40, 57 [1988], *abrogated on other grounds by Carmell v Texas*, 529 US 513 [2000]; *see also Chambers v Mississippi*, 410 US 284, 294 [1973] ["The right of an accused in a criminal trial to due process is, in essence, the right to a fair opportunity to defend against the State's accusations"]). It is no answer to say, as the majority does, that the relevancy of the statements at issue is "diminished" (majority op at 54) because it is undisputed that at the time of the stabbing defendant possessed the knife. If the stabbing occurred under the circumstances described by defendant—as an incident

1. While the majority alludes to some discretionary exercise in which the trial court concluded that there was an unacceptable risk that the bystander statements would be considered for their truth, there is no evidence of any such exercise or conclusion in the record. Nor is it explained how such a conclusion in this case would be reconciled with the presumption, most frequently invoked by the prosecution, that limiting instructions are abided.

2. The People, for example, maintain that although Officer Fitzpatrick did not record the contact information of the declarant bystanders, there were numerous other officers on the scene assigned to interview witnesses and that, if the declarants' contact information was not obtained, it was probably because, after the declarants were interviewed, it was determined that they had no first-hand information.

of defendant's disarming of the initial aggressor at close quarters—it is plain that defendant's possession of the knife at the moment of the stabbing, and the concomitant circumstance that Shell was then unarmed, would not have been preclusive of a finding of justification (*see e.g. People v Huntley*, 59 NY2d 868, 869 [1983], *affg* 87 AD2d 488, 491 [4th Dept 1982]).

Accordingly, while due process was not violated by the State's apparent failure to develop leads seemingly favorable to defendant, it was violated by the court's failure to permit defendant to bring what were evidently highly material inadequacies in the State's investigation to the factfinder's attention. The State in our adversary system of justice has no affirmative duty to seek out evidence favorable to the accused, but when its failure to do so may reasonably be understood to impair the adequacy of the proof of guilt, judicial discretion is not properly deployed to shield the alleged infirmity from the jury's scrutiny.

Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur with Judge JONES; Chief Judge LIPPMAN dissents in a separate opinion.

Order affirmed.

[950 NE2d 473, 926 NYS2d 840]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v ROBERT
FRANOV, Respondent.

Argued March 24, 2011; decided May 10, 2011

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 16, 2010. The Appellate Division order, insofar as appealed from, modified, on the law, a judgment of the Supreme Court, Queens County (Kenneth Holder, J.), which had convicted defendant, upon a jury verdict, of unauthorized use of a vehicle in the second degree, criminal mischief in the third degree, criminal possession of stolen property in the fifth degree, and possession of burglar's tools. The modification consisted of vacating the conviction of unauthorized use of a vehicle in the second degree, vacating the sentence imposed thereon, and dismissing that count of the indictment.

People v Franov, 71 AD3d 914, reversed.

HEADNOTE**Crimes — Unauthorized Use of Vehicle — Interference with Owner's Possession and Use**

Evidence that defendant broke into an automobile, entered it without consent, ripped apart the dashboard, and stole a computerized part, was legally sufficient to support defendant's conviction for unauthorized use of a vehicle in the second degree (Penal Law § 165.06) since defendant's unauthorized entry coupled with multiple acts of vandalism and the theft of a part unquestionably interfered with the owner's possession and use of the vehicle (*see* Penal Law § 165.05 [1]). The unauthorized use statute was amended in 1965 to include the phrases "exercises control over," "rides in" and "or otherwise uses" indicating that the Legislature clearly sought to address more than "joyriding." The statute's new language, with its reduced penalty, indicated that a broader range of conduct was being prohibited. Accordingly, the statute is not limited to situations in which the vehicle is actually driven; operability is not a *sine qua non* of the crime, and the ability and intent to operate the vehicle are not required for a conviction. Whether denominated as exercising control over or otherwise using a vehicle, a violation of the statute occurs when a person enters an automobile without permission and takes actions that interfere with or are detrimental to the owner's possession and use thereof.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic §§ 966, 998;
AM JUR 2d, Larceny § 2.
McKINNEY's, Penal Law § 165.06.

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1042, 1044, 1049.

ANNOTATION REFERENCE

See ALR Index under Automobiles and Highway Traffic; Larceny or Theft.

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Database: NY-ORCS

Query: unauthorized /2 use /4 vehicle /4 second /p exercise!
/2 control

POINTS OF COUNSEL

Richard A. Brown, District Attorney, Kew Gardens (Linda Cantoni and John M. Castellano of counsel), for appellant. “Dominion and control” is not an indispensable element of unauthorized use of a vehicle; moreover, defendant’s acts of breaking into the car and stealing its light control module were sufficient to prove that he “exercise[d] control over” or “otherwise used” the car. (*People v McCaleb*, 25 NY2d 394; *People v Roby*, 39 NY2d 69; *Matter of Raquel M.*, 291 AD2d 155, 99 NY2d 92; *People v Rivera*, 82 NY2d 695; *People v Johnson*, 71 AD2d 692; *People v Luter*, 150 AD2d 391; *Matter of Garfield H.*, 185 AD2d 846; *People v Wynn*, 177 AD2d 1016; *People v Gray*, 154 AD2d 547; *Matter of Javier F.*, 3 AD3d 493.)

Judah Maltz, Kew Gardens, for respondent. Measured by precedent set down by decisions from the Appellate Division, First and Second Departments, in their interpretation of the phrases “exercises control over” “or otherwise uses” in the revised statute, Penal Law § 165.05 (1), respondent’s conviction for the crime of unauthorized use of a vehicle in the second degree was correctly dismissed. (*People v Butler*, 119 Misc 2d 1071; *People v McCaleb*, 25 NY2d 394; *People v Roby*, 39 NY2d 69; *People v Wynn*, 177 AD2d 1016; *People v Gray*, 154 AD2d 547; *Matter of Ruben P.*, 151 AD2d 485; *Matter of Archangel O.*, 157 AD2d 729; *Matter of Javier F.*, 3 AD3d 493; *Matter of Jose C.*, 52 AD3d 253; *People v Pride*, 26 Misc 3d 1214[A], 2010 NY Slip Op 50095[U].)

OPINION OF THE COURT

GRAFFEO, J.

The issue raised by this appeal is whether defendant’s conviction for unauthorized use of a vehicle in the second degree is supported by legally sufficient evidence. We conclude that it is.

On the afternoon of November 28, 2006, two uniformed officers were patrolling a residential area of Flushing, Queens County. One of the officers observed defendant Robert Franov exit the driver's side door of a Lincoln Town Car, holding a small black box. Defendant began walking in the direction of the officers but, upon seeing them, dropped the box to the ground and continued to walk. The officers stopped defendant and recovered the discarded item, which turned out to be a computerized automobile light control module. Upon examination of the automobile, they noticed that the driver's side door lock was broken and the dashboard had been ripped apart, exposing the internal wiring. The officers arrested defendant and recovered a screwdriver, ratchet and four sockets from his pants pocket. Defendant neither owned nor had permission or authority to use the car.

Following his arrest, defendant was indicted for unauthorized use of a vehicle in the second degree (Penal Law § 165.06), criminal mischief in the third degree (Penal Law § 145.05 [2]), criminal possession of stolen property in the fifth degree (Penal Law § 165.40) and possession of burglar's tools (Penal Law § 140.35). A jury convicted him of all four counts. Defendant appealed, arguing, as relevant here, that the proof was legally insufficient to sustain his conviction for unauthorized use of a vehicle in the second degree.

The Appellate Division modified the judgment by vacating the conviction of unauthorized use of a vehicle in the second degree and the sentence imposed thereon, and otherwise affirmed (71 AD3d 914 [2d Dept 2010]). The court held that the trial evidence as to that count was legally insufficient, reasoning that “defendant’s momentary presence in or about a vandalized automobile cannot, without more, provide the basis for finding that he exercised dominion and control over the vehicle as required to support a conviction for unauthorized use of a vehicle in the second degree” (*id.* at 915).

A Judge of this Court granted the People leave to appeal (15 NY3d 804 [2010]), and we now reverse and reinstate the conviction.

A person is guilty of third-degree unauthorized use of a vehicle—a class A misdemeanor—when, “[k]nowing that he does not have the consent of the owner, he takes, operates, exercises control over, rides in or otherwise uses a vehicle” (Penal Law

§ 165.05 [1]). Under Penal Law § 165.06, a person is guilty of second-degree unauthorized use of a vehicle, a class E felony, when he or she commits the crime of third-degree unauthorized use of a vehicle as defined in Penal Law § 165.05 (1) and has been previously convicted of that crime within the preceding 10 years.¹ At issue here is whether defendant's conduct fell within the scope of the statute.

The People claim that the evidence was legally sufficient to establish that defendant committed second-degree unauthorized use of a vehicle because a rational jury could have found that defendant exercised control over or otherwise used the Town Car by breaking into it, damaging the interior and taking an automotive part. Defendant, and our dissenting colleagues, argue otherwise, contending that the Appellate Division properly vacated the unauthorized use conviction on legal sufficiency grounds as the crime should be limited to instances in which the person charged had the means and intent to operate the vehicle.

Our analysis begins with former Penal Law § 1293-a, the predecessor to Penal Law § 165.05. Section 1293-a made it a felony for a person, without the consent of the owner, to “take, use or operate . . . an automobile.” We narrowly construed this provision in *Matter of Diane S.* (18 NY2d 973 [1966]), determining that the statute was inapplicable to a defendant who was a passenger in a vehicle because, even though she knew the vehicle had been taken without the owner's permission, she had not been involved in the asportation.

In 1965, the Legislature decided to broaden the reach of the unauthorized use statute by enacting Penal Law § 165.05, which replaced section 1293-a. Two phrases were added by section 165.05 (1)—“exercises control over” and “rides in”—and the clause “or otherwise uses” was placed at the end of the specifications of enlarged prohibitions (L 1965, ch 1030).² The new statutory construction clearly indicated that the Legislature sought to address more than “joyriding” or there would not have been a need to insert the amended language. In addition,

1. Defendant was previously convicted of third-degree unauthorized use of a vehicle within the 10-year period.

2. The operative language in chapter 1030 of the Laws of 1965 is identical to the current statutory text in Penal Law § 165.05.

the Legislature reduced the classification of the offense from a felony to a class A misdemeanor.³

We first had occasion to address the expanded language of Penal Law § 165.05 in *People v McCaleb* (25 NY2d 394 [1969]). In *McCaleb*, and its companion case *People v Gibbs*, the defendants were each found in different parked automobiles that had been taken and moved without the permission of their owners. McCaleb was apprehended while sitting in the vehicle's rear seat with the engine turned off and a key in the ignition. Gibbs was sleeping in the front passenger seat of a car with the engine running. Both automobiles had been reported as stolen. McCaleb and Gibbs asserted that they could not be convicted of unauthorized use of a vehicle under Penal Law § 165.05 because the statute was intended to punish only joyriding, as was its precursor, former section 1293-a.

On appeal in *McCaleb*, we rejected these arguments. We contrasted the statute's new language with former section 1293-a, observing that the inclusion of additional proscriptions "indicates that a broader range of conduct was being prohibited" (25 NY2d at 399). Turning first to the term "uses" in Penal Law § 165.05 (1), we determined that "[i]ts independent meaning is underscored by its inclusion in the extended phrase 'or otherwise uses,' " and that the modifier "otherwise" serves the purpose of "broadening" the meaning of the term (*id.*). We then focused on the scope of the phrase "exercises control over," stating:

"The exercise of control is not limited to a moving vehicle, for otherwise it would be largely synonymous with 'operates,' or covered by 'riding'. Thus barring the owner or others from entry into the car might constitute such control, as might the temporary use of the vehicle, or its motor, for a purpose accomplished while the vehicle remains or has become stationary. Moreover, by lowering the grade

3. As originally enacted, the Legislature created only one unauthorized use of a vehicle offense, codified at Penal Law § 165.05 (L 1965, ch 1030). The Legislature subsequently created unauthorized use of a vehicle in the second degree (Penal Law § 165.06) and unauthorized use of a vehicle in the first degree (Penal Law § 165.08), redesignating the crime contained in Penal Law § 165.05 as unauthorized use of a vehicle in the third degree (*see* L 1982, ch 413).

of crime from felony . . . to misdemeanor, the Legislature, understandably, included conduct less serious than that covered by the old statute and there treated as larceny” (*id.*).

Based on the more expansive language incorporated into Penal Law § 165.05, we concluded that the conduct of McCaleb and Gibbs fell within its ambit.

We revisited Penal Law § 165.05 in *People v Roby* (39 NY2d 69 [1976]), a case where the defendant was seated in the passenger seat of a stolen vehicle and his companion was in the driver’s seat trying to put a key in the ignition when the arresting officer approached. There, the defendant attempted to distinguish *McCaleb* on three grounds, claiming that he was in the car for only a short time; the motor was not running nor was the key in the ignition; and the car was not recently stolen so as to give rise to the inference that he was involved in the theft. We found these distinctions unpersuasive and affirmed the conviction. First, we stated that “[t]here is no minimum time limit for unauthorized occupation” (*id.* at 71). Second, we viewed the evidence of the codefendant’s attempt to use the key as parallel to the conduct in *McCaleb*. Finally, we held that the statute does not require any evidence of theft, and such “fact is absolutely immaterial to the quantum of proof necessary to establish commission of the crime of unauthorized use of a vehicle” (*id.*).

Reading *McCaleb* and *Roby* together, it is evident that, unlike the narrower provision from which it was derived, Penal Law § 165.05 is not limited to joyriding or situations in which the vehicle is actually driven. Moreover, although the defendants in *McCaleb* and *Roby* each had the ability to operate the automobiles in question, thus evincing control, we did not hold—as the dissent now would—that operability was a sine qua non of the crime of unauthorized use of a vehicle. Indeed, in *McCaleb* we recognized that a person may exercise control over a vehicle by “barring the owner or others from entry into the car” or temporarily using it “for a purpose accomplished while the vehicle remains . . . stationary” (25 NY2d at 399). Notably, Penal Law § 165.05 itself contains no operability or movement prerequisite. We therefore cannot agree with defendant’s contention, accepted by the dissent, that a person may not be convicted of

unauthorized use of a vehicle unless the accused had the ability and intent to operate it.⁴

On the other hand, entry alone is not enough under the statute, which expressly requires some degree of control or use. The inadvertent entry into a vehicle mistaken for one's own would not constitute this crime—something more is needed since the statute contains a knowledge component.⁵ Whether denominated as exercising control over or otherwise using a vehicle, we conclude that a violation of the statute occurs when a person enters an automobile without permission and takes actions that interfere with or are detrimental to the owner's possession or use of the vehicle.⁶ Measured against this standard, the evidence adduced at trial was legally sufficient to sustain defendant's conviction of unauthorized use of a vehicle.

Here, contrary to the Appellate Division's characterization, this case involves much more than defendant's brief presence in an automobile. Considering the evidence in the light most favorable to the People, a rational jury could have found that defendant broke into the Town Car by "popping" out the driver's side door lock; entered the car without consent; unscrewed and

4. The dissent posits that, under *McCaleb* and *Roby*, an unauthorized use conviction "may only be sustained where the defendant's presence in a stationary vehicle is *coupled with* other evidence demonstrating the ability to operate the vehicle or the means to do so" (dissenting op at 68). In effect, the dissent would restrict the scope of this crime to joyriding and attempted joyriding. But the dissent's narrow interpretation disregards the Legislature's intent to expand the types of conduct proscribed by Penal Law § 165.05 and would read the clause "or otherwise uses" out of the statute. The dissent also ignores our prior construction of that very phrase, in which we emphasized that it has an "independent meaning" and "added importance," and was intended to "broaden[]" the provision (*McCaleb*, 25 NY2d at 399). Further, the dissent's position leads to incongruous results, under which a person sitting in the back seat with a key may be prosecuted under the statute but a person who enters a car and inflicts considerable damage—precluding the owner from operating the car without first undertaking significant repairs—cannot be charged under the provision. Surely the owner of the vehicle in this case would be justified in viewing the damage caused by defendant as substantially affecting the operability of the car.

5. The concurrence views *McCaleb* and *Roby* as holding that the unauthorized entry into a vehicle, without more, is sufficient under the statute. But this would transform the unauthorized use statute into a trespass provision akin to Penal Law § 140.05, which makes it a violation to "knowingly enter[]" a premises without consent. Penal Law § 165.05, however, does not employ the word "enter." Rather, it specifically requires "control" or "use."

6. This appeal provides us no occasion to address the circumstances, if any, under which a person could exercise control over or otherwise use a vehicle without entering it.

ripped apart the driver's side dashboard; and stole the vehicle's light control module. Defendant's unauthorized entry coupled with multiple acts of vandalism and the theft of a part unquestionably interfered with the owner's possession and use of the vehicle. Put differently, defendant's actions constituted a temporary use of the car "for a purpose accomplished while the vehicle remain[ed] . . . stationary" (*McCaleb*, 25 NY2d at 399). As a result, "there is a valid line of reasoning and permissible inferences from which a rational jury could have found the elements of the crime proved beyond a reasonable doubt" (*People v Danielson*, 9 NY3d 342, 349 [2007] [internal quotation marks and citations omitted]).⁷

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, defendant's conviction of unauthorized use of a vehicle in the second degree reinstated, and the case remitted to the Appellate Division for consideration of the facts (*see* CPL 470.25 [2] [d]; 470.40 [2] [b]).

SMITH, J. (concurring). I agree with the result the majority reaches, but do not join its opinion, because the rule it states seems to me less clear than it should be. I would simply reaffirm what we said in *People v Roby* (39 NY2d 69, 70-71 [1976]), summarizing our holding in *People v McCaleb* (25 NY2d 394 [1969]): "the statute proscribing unauthorized use of a vehicle (Penal Law, § 165.05, subd 1) makes criminal the unauthorized occupation of another person's vehicle, without his consent, irrespective of whether or not the vehicle is in motion" (footnote omitted).

Under *McCaleb* and *Roby*, someone who enters and occupies someone else's vehicle "uses" that vehicle within the meaning of Penal Law § 165.05 (1), and if he does so "[k]nowing that he does not have the consent of the owner" he violates the statute. This is not the only possible interpretation of the word "uses"—it could, as the dissent argues, be read to require the "ability" or "means" to operate the vehicle (dissenting op at 66)—but it is the interpretation we chose several decades ago, and I see no reason to change our mind.

7. We also reject defendant's suggestion that he should not be prosecuted for second-degree unauthorized use of a vehicle because his actions are also punishable under other provisions, such as third-degree auto stripping (Penal Law § 165.09). Absent a contrary legislative intention, "overlapping in criminal statutes, and the opportunity for prosecutorial choice they represent, is no bar to prosecution" (*People v Robinson*, 95 NY2d 179, 184 [2000] [internal quotation marks and citation omitted]; *see also* *People v Mattocks*, 12 NY3d 326, 333-334 [2009]).

The majority seeks a middle ground, saying that “the ability and intent to operate” the vehicle is not required but that “entry alone is not enough” (majority op at 64). The majority would insist on “some degree of control or use,” which it defines as “actions that interfere with or are detrimental to the owner’s possession or use of the vehicle” (*id.* at 64). But what unauthorized occupancy of a car does not so “interfere”? Does an intruder manifest “control or use” if he talks to a friend while sitting in the car? Smokes a cigarette? Looks out the window for the time it would take to smoke a cigarette? The only example the majority gives of something that would *not* be prohibited is “inadvertent entry into a vehicle mistaken for one’s own” (*id.* at 64), but an entry without mens rea is excluded on the face of the statute, which applies only to someone who acts “[k]nowing that he does not have the consent of the owner.”

Perhaps the majority’s “control or use” test is no different in substance from the simple “unauthorized occupation . . . without . . . consent” test of *McCaleb* and *Roby*. But if that is what we mean, I think we should say so.

JONES, J. (dissenting). At issue is whether defendant’s conviction for unauthorized use of a vehicle in the second degree (Penal Law §§ 165.06, 165.05 [1]) was supported by legally sufficient evidence, where defendant did not demonstrate the ability to operate the vehicle or the means to do so.¹ Stated differently, the question is whether the evidence adduced at trial was sufficient to establish that defendant “exercised control over” or “otherwise used” the vehicle within the meaning of the unauthorized use of a vehicle in the second degree statute. Relying

1. Penal Law § 165.06 provides:

“A person is guilty of unauthorized use of a vehicle in the second degree when . . .

“[h]e commits the crime of unauthorized use of a vehicle in the third degree as defined in subdivision one of section 165.05 of this article and has been previously convicted of the crime of unauthorized use of a vehicle in the third degree as defined in subdivision one of section 165.05 or second degree within the preceding ten years.”

Penal Law § 165.05 (1) provides:

“A person is guilty of unauthorized use of a vehicle in the third degree when . . .

“[k]nowing that he does not have the consent of the owner, he takes, operates, exercises control over, rides in or otherwise uses a vehicle. A person who engages in any such conduct without the consent of the owner is presumed to know that he does not have such consent.”

primarily on this Court's decisions in *People v McCaleb* (25 NY2d 394 [1969]) and *People v Roby* (39 NY2d 69 [1976]), the majority stated, "[w]hether denominated as exercising control over or otherwise using a vehicle, a violation of the statute occurs when a person enters an automobile without permission and takes actions that interfere with or are detrimental to the owner's possession or use of the vehicle" (majority op at 64). Applying this standard, the majority held that "the evidence adduced at trial was legally sufficient to sustain defendant's conviction of unauthorized use of a vehicle" (*id.* at 64).

Because I believe the majority reads the unauthorized use of a vehicle statute too broadly, and because I believe the statute in question is meant to prohibit a defendant's unauthorized "use" of the vehicle *as a vehicle*, I disagree with the majority's holding that there was legally sufficient evidence to support defendant's conviction for unauthorized use of a vehicle. Accordingly, I dissent and would affirm the order of the Appellate Division.

McCaleb and *Roby* are not in conflict with my position. They support it. In *McCaleb*, and its companion case *People v Gibbs*, defendant McCaleb was found sitting in the back seat of a stolen car; although the car's engine was turned off, there was a working key in the ignition (*see McCaleb*, 25 NY2d at 397). The second defendant, Gibbs, was discovered sleeping in the front passenger seat of a stolen car with the engine running (*id.*). In remanding both appeals for a new trial, the Court held that the rebuttable presumption contained in Penal Law § 165.05 (1)—that a defendant in a stolen automobile had knowledge that he did not have the vehicle owner's consent—satisfies due process (*id.* at 400-401).² Further, the Court held that the unauthorized occupation of another's motor vehicle, without any movement of said vehicle, falls within the ambit of the unauthorized use of a vehicle statute (*id.* at 399). In reaching this holding, the *McCaleb* Court logically concluded that the statute's terms "exercises control over," "rides in," and "otherwise uses"

2. The Court explained:

"There is a 'fair' 'natural' and 'rational' connection between the fact that a car is being used without permission of its owner, and the presumption that those in the car, driver and passengers alike, are aware they do not have permission. The likelihood of innocent use or occupation of a 'stolen' vehicle is minimal, and in the rare instance could be easily explained, presenting no more than a light burden [on the defense] of going forward to make such explanation" (*McCaleb*, 25 NY2d at 400-401).

should be interpreted broadly to the extent of including passengers to negate any requirement that the statute covers only those involved in the actual taking of the vehicle, or only applies to situations where the vehicle is moving (*id.*).

Here, the majority points to the *McCaleb* Court's recognition that "a person may exercise control over a vehicle by 'barring the owner or others from entry into the car' or temporarily using it 'for a purpose accomplished while the vehicle remains . . . stationary'" (majority op at 63, quoting 25 NY2d at 399). In my view, the majority's reliance on such language is misplaced because the language bears no relation to what happened in *McCaleb, Roby* (39 NY2d at 71 [defendant was in the front passenger seat of a parked stolen car, while his codefendant was in the driver's seat attempting to insert a key into the ignition]) or the case at bar. This language supports the *McCaleb* Court's statement that "[t]he [statute's] exercise of control [term] is not limited to a *moving* vehicle" (25 NY2d at 399 [emphasis added]), a point I do not dispute. In addition, applying the "for a purpose accomplished while the vehicle remains . . . stationary" language leads to an overly broad and vague construction of the statute because the list of potential "purposes" would be virtually limitless. Such a construction would necessarily lead to incongruous results.

In conclusion, pursuant to *McCaleb* and *Roby*, "unauthorized use" convictions may only be sustained where the defendant's presence in a stationary vehicle *is coupled with* other evidence demonstrating the ability to operate the vehicle or the means to do so. Based on the foregoing, I would hold that for the purpose of legal sufficiency, in order for a lone defendant to come within the unauthorized use of a vehicle statute, evidence must be adduced at trial that he or she, without the authorization of the vehicle owner (and with an intent to operate the vehicle), obtained the means to set the vehicle's mechanism in operation or possessed tools designed to bypass the vehicle's ignition system.³ Without evidence of defendant's intent and ability to operate the vehicle, the requirements for "unauthorized use" cannot be met.

3. The First and Second Departments have similarly held that a defendant's presence in a parked vehicle, without evidence of ability to operate the vehicle or means to do so, is insufficient to establish unauthorized use of a vehicle (see e.g. *Matter of Jose C.*, 52 AD3d 253 [1st Dept 2008]; *Matter of Javier F.*, 3 AD3d 493 [2d Dept 2004]; *People v Gray*, 154 AD2d 547 [2d Dept 1989]).

Chief Judge LIPPMAN and Judges CIPARICK and READ concur with Judge GRAFFEO; Judge SMITH concurs in result in a separate concurring opinion; Judge JONES dissents and votes to affirm in another opinion in which Judge PIGOTT concurs.

Order, insofar as appealed from, reversed, etc.

[950 NE2d 126, 926 NYS2d 390]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v MARCOS
A. FERNANDEZ, Respondent.

Argued April 27, 2011; decided June 2, 2011

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered June 3, 2010. The Appellate Division order, insofar as appealed from, (1) reversed, on the law, a judgment of the Ulster County Court (Joseph C. Teresi, J.; op 2009 NY Slip Op 33256[U]), which had convicted defendant, upon a jury verdict, of sexual abuse in the first degree, sexual abuse in the second degree, and endangering the welfare of a child, and (2) remitted the matter to County Court for a new trial on the counts of the indictment charging defendant with sexual abuse in the first degree and endangering the welfare of a child.

People v Fernandez, 74 AD3d 1379, affirmed.

HEADNOTE

Crimes — Witnesses — Reputation for Truth and Veracity

In a prosecution in which defendant was accused of committing sex crimes against his then eight-year-old niece, the trial court improperly deprived defendant of his right to present testimony that complainant had a bad reputation in the community for truth and veracity by precluding testimony of defendant's parents regarding the niece's reputation for truthfulness within the extended family. Family and friends can constitute a relevant community for the purpose of introducing testimony pertaining to an opposing witness' bad reputation for truth and veracity, providing a reasonable assurance of reliability is established. The reliability of reputation evidence—whether a character witness has established a proper basis for knowing a key opposing witness' general reputation for truthfulness—is a question of law for the court, whereas the credibility of a character witness—whether that witness is worthy of belief or is motivated by bias—is a factual question for the jury. Here, the proper foundation for reputation evidence was laid where defendant's parents testified that they had known the niece her entire life, that they were members of the same large extended family comprising some 25 to 30 people, many of whom knew the niece, that they had overheard discussions concerning the niece's reputation for truthfulness, and that they were aware of that reputation. Although the presentation of reputation evidence by a criminal defendant is a matter of right once a proper foundation has been laid, had the trial court admitted the reputation testimony into evidence, the People could have explored if defendant's parents exhibited a bias in defendant's favor through cross-examination. Since the niece's credibility was the central issue for the jury to resolve, the court's failure to admit evidence related to her bad reputation for truthfulness could not be considered harmless and defendant was entitled to a new trial.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 699–701; AM JUR 2d, Evidence §§ 378, 380–382.
CARMODY-WAIT 2d, Testimony of Witnesses § 195:121;
CARMODY-WAIT 2d, Appeals in Criminal Cases
§§ 207:169, 207:170, 207:222.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.
NY JUR 2d, Criminal Law: Procedure §§ 2040, 2145, 2315,
3642, 3647.

ANNOTATION REFERENCE

See ALR Index under Character and Reputation; Criminal Procedure Rules; Evidence Rules; New Trial.

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POINTS OF COUNSEL

D. Holley Carnright, District Attorney, Kingston (*Joan Gudesblatt Lamb* of counsel), for appellant. The trial court did not abuse its discretion as a matter of law by prohibiting the defense from offering testimony from family members regarding the child victim's reputation in their "family" for truth and veracity as the "family" was neither sufficiently large nor diverse enough and thus the defense failed to lay a proper foundation. (*People v Hanley*, 5 NY3d 108; *People v Pavao*, 59 NY2d 282; *People v Bouton*, 50 NY2d 130; *People v Hinksman*, 192 NY 421; *People v Hopkins*, 56 AD3d 820; *People v Carter*, 31 AD3d 1167; *People v Streitferdt*, 169 AD2d 171; *People v Young*, 7 NY3d 40; *People v Patterson*, 93 NY2d 80; *People v Welch*, 71 AD3d 1329.)

Cynthia Feathers, Saratoga Springs, for respondent. The Third Department properly held that defendant's absolute right to present witnesses regarding the reputation of the complainant for being untruthful was violated, where the witnesses knew her reputation in the community of a large, close-knit, extended family. The error was not harmless, so there must be a new trial. (*People v Pavao*, 59 NY2d 282; *Michelson v United States*, 335 US 469; *People v Barber*, 74 NY2d 653; *People v Hanley*, 5

NY3d 108; *People v Crimmins*, 36 NY2d 230; *People v Hinkman*, 192 NY 421; *People v Van Gaasbeck*, 189 NY 408; *People v Bouton*, 50 NY2d 130; *People v Colantone*, 243 NY 134; *People v Boyd*, 50 AD3d 1578, 11 NY3d 785.)

OPINION OF THE COURT

CIPARICK, J.

The issue raised by this appeal is whether County Court improperly deprived defendant of his right to present testimony that complainant had a bad reputation in the community for truth and veracity. We hold that the trial court's decision to exclude such testimony on foundational grounds was an abuse of discretion as a matter of law.

In April 2008, a grand jury charged defendant with course of sexual conduct against a child in the first and second degrees (Penal Law § 130.75 [1] [a]; § 130.80 [1] [a]), rape in the first degree (Penal Law § 130.35 [3]), sexual abuse in the first and second degrees (Penal Law § 130.65 [3]; § 130.60 [2]), and endangering the welfare of a child (Penal Law § 260.10 [1]). The indictment alleged that from August 2005 to December 2005, defendant, who was 17 years old at the time, engaged in sexual conduct with complainant, his then eight-year-old niece. During the relevant time period, defendant resided with his parents, Juan Collazo and Ramona Fernandez, at their home. The allegations set forth in the indictment purportedly took place there, inside defendant's second-floor bedroom.

Defendant proceeded to trial before a jury, which heard conflicting testimony concerning the events in question. Complainant, age 11 at the time of trial, testified that, between August and December 2005, she visited defendant's home more than five times. Her visits to defendant's home typically coincided with weekends and holidays when other members of her family, including complainant's older sister, gathered. Complainant explained that although Ramona Fernandez was her biological great aunt, she referred to her as her grandmother. She similarly called Collazo her grandfather.

On direct examination, complainant recounted that, on at least three occasions between August and December 2005 (but possibly more), she and defendant were alone in his upstairs bedroom. Complainant recalled that, during the first incident, defendant pushed his dresser in front of the bedroom door, undressed himself, and removed her clothing. While complainant sat on his bed, defendant touched and kissed every intimate

part of her body. Defendant also allegedly inserted his penis into complainant's mouth, vagina, and buttocks. Complainant testified that defendant instructed her not to tell anyone about the events that had just transpired. She felt threatened by defendant's admonition and was afraid that defendant would hurt her if she disclosed what had happened.

Complainant's testimony regarding other purported encounters, however, was much less precise. For example, while complainant asserted definitively that defendant disrobed himself and removed her underpants in a second incident, she could not remember any other details. She estimated that the two were alone in defendant's bedroom for about five minutes when her older sister knocked on the door and asked for defendant. After repeatedly knocking for about a minute, complainant's sister, who also testified at trial, entered the room and observed defendant run behind the door and noted that he was not wearing a shirt. Complainant's sister also saw complainant lying in defendant's bed underneath the covers with only her face exposed.

Sometime after December 2005, complainant composed a letter to defendant, which the court admitted into evidence, expressing her anger and hatred toward him. In the letter, complainant wrote, in part, "Why did you hurt me when I was younger? Why did you do that to me? Why did you pick me?" Complainant testified that she was uncertain whether defendant received her letter, but that her intent in writing the letter was to confront him. In the summer of 2007, complainant, for the first time, confided in her sister and cousins. Complainant acknowledged that these family members initially did not believe her. Several months later, in early 2008, she also told her parents and one of her aunts about defendant's alleged sexual abuse. She informed the jury that her reason for not coming forward sooner was that she feared her father would no longer allow her to visit her grandparents.

Defendant, on the other hand, testified that complainant had visited his home on only two occasions between August and December 2005, once for Thanksgiving and once on Christmas. For Thanksgiving, defendant recollected that there was an "entire house full" of relatives and that complainant spent the weekend there. Defendant highlighted that he never had occasion to be alone in his upstairs bedroom during the Thanksgiving holiday weekend. At Christmas, defendant recounted that

complainant merely stopped by the house to retrieve her presents and did not stay overnight. Defendant denied that he had engaged in any sexual conduct with complainant. Moreover, he explained that his parents had a house rule, which prohibited a child from going upstairs unless he or she had to use the bathroom, in which case, the child had to advise an adult. Finally, defendant described that complainant was not “the easiest person for me to deal with” and “bothersome.”

Defendant’s parents also testified on his behalf. They corroborated defendant’s testimony that the only two times complainant visited their home during the period alleged in the indictment was during the Thanksgiving and Christmas holidays. Collazo and Ramona Fernandez also confirmed that they generally did not permit any of the children who visited their home to go upstairs. In addition to their factual testimony, defense counsel sought to introduce testimony from both Collazo and Ramona Fernandez that complainant—whom they considered their granddaughter—had a reputation for untruthfulness among their family and family friends. To that end, Collazo testified that he had known complainant for all of her life and that he had regular contact with her. Collazo also testified that he had heard practically all 25 to 30 members of his family, many of whom he identified, discuss complainant during the time he knew her. Although he could not specify the number of conversations that he overheard, he was aware of complainant’s reputation for truthfulness among the family. When defense counsel asked Collazo to state that reputation, County Court sustained the People’s objection to this question on the ground that defense counsel had not laid a proper foundation.

Similarly, Ramona Fernandez testified that she knew complainant since birth and that all of her family members, including her sisters and nieces, watched her grow up. She explained that her family and family friends “always talk[ed] about the children” when they were around and that, at times, they specifically discussed complainant’s reputation for truthfulness. Again, when defense counsel asked the witness to state what that reputation was, the People objected and argued both improper foundation and that complainant’s family members and friends did not constitute “a community at all.” County Court sustained the objection, precluding further testimony.

The jury convicted defendant of first and second degree sexual abuse and endangering the welfare of a child, but acquitted him of the more serious charges of first degree rape and first and

second degree course of sexual conduct against a child. Defendant moved to set aside the verdict pursuant to CPL 330.30, contending that the trial court erred in precluding the defense from eliciting testimony regarding complainant's reputation in the community for truth and veracity.

In a written decision, the trial judge denied the motion and adhered to his evidentiary rulings at trial, reasoning that "because . . . defendant did not establish the 'quality' of the community member[s'] associations with [complainant], he failed to establish[] the reliability of his proposed witnesses' testimony or lay a foundation for its introduction into evidence." (2009 NY Slip Op 33256[U], *3.) Following the court's denial of defendant's CPL 330.30 motion, he was sentenced to an aggregate term of four months jail followed by 10 years probation. Pending appeal, defendant applied for a stay in the execution of his sentence, which the Appellate Division granted.

The Appellate Division, with two Justices dissenting in part, reversed the judgment of conviction and sentence. As a threshold matter, the court concluded that defendant's conviction for second degree sexual abuse must be reversed and that count of the indictment dismissed because it was "an inclusory concurrent count of the one charging him with sexual abuse in the first degree" (*People v Fernandez*, 74 AD3d 1379, 1380 [3d Dept 2010]).¹ The court further held that "County Court improperly precluded [defendant] from presenting testimony of two family members regarding the complainant's reputation in their family for untruthfulness" (*id.*). Specifically, the court reasoned that, contrary to the trial court's conclusion, the testimony elicited from Collazo "provided an adequate foundation for the reputation testimony" (*id.* at 1381). Moreover, the court noted that the trial court erred in precluding Ramona Fernandez's testimony "on the basis that the family was not a community for purposes of reputation testimony" (*id.*). Finally, the Appellate Division observed that the error in precluding such testimony was not harmless since the People's case hinged on complainant's credibility (*see id.*).

The dissenting Justices agreed that the second degree sexual abuse count was an inclusory count warranting reversal and dismissal, but would have affirmed the judgment of conviction and sentence with respect to the first degree sexual abuse and

1. On appeal to this Court, the People do not challenge the Appellate Division's dismissal of the second degree sexual abuse count.

endangering the welfare of a child counts. The dissenters opined that the trial court did not “abuse[] its discretion in ruling that the foundational testimony of the proposed character witnesses was insufficient to allow admission of reputation evidence in this case” (*id.* at 1382). A Justice of the Appellate Division granted the People leave to appeal (15 NY3d 780 [2010]), and we now affirm.

We have long held that “a party has a right to call a witness to testify that a key opposing witness, who gave substantive evidence and was not called for purposes of impeachment, has a bad reputation in the community for truth and veracity” (*People v Pavao*, 59 NY2d 282, 290 [1983]). Indeed, a “trial court must allow such testimony, once a foundation has been laid, so long as it is relevant to contradict the testimony of a key witness and is limited to general reputation for truth and veracity” (*People v Hanley*, 5 NY3d 108, 112 [2005]). The purpose of this rule is to “ensure[] that the jury is afforded a full picture of the witnesses presented, allowing it to give the proper weight to the testimony of such witnesses” (*id.*).

In *People v Bouton* (50 NY2d 130 [1980]), we rejected the notion that one’s community was restricted to “one’s residential neighborhood” (*id.* at 140 [internal quotation marks omitted]). Rather, we observed that “[a] reputation may grow *wherever* an individual’s associations are of such quantity and quality as to permit him to be personally observed by a sufficient number of individuals to give reasonable assurance of reliability” (*id.* at 139 [emphasis added]). For example, we have concluded that a witness’ bad reputation for truth and veracity at his place of employment “can be probative and reliable” (*Hanley*, 5 NY3d at 113; *see also Bouton*, 50 NY2d at 139 [an individual “might be better known in the community of his employment and in the circle of his vocational fellows, where opportunities to evidence the traits at stake may occur with greater frequency than in the environs of his dwelling place, nestled in the anonymity of a large city or suburb”]; *cf. People v Colantone*, 243 NY 134, 139 [1926] [finding “individual and independent dealings” insufficient foundation for the admissibility of general reputation evidence]).

Once the party seeking admission of reputation evidence has laid the proper foundation, it is for the jury to evaluate the credibility of the character witnesses who testify, and to decide how much weight to give the views reported in their testimony. While a “reasonable assurance of reliability” (*Bouton*, 50 NY2d

at 139) is necessary for a proper foundation, such reasonable assurance exists where the testifying witnesses report the views of a sufficient number of people, and those views are based on sufficient experience with the person whose character is in question. Reputation evidence may be reliable within the meaning of *Bouton*, but still questionable from a credibility standpoint. This possibility, however, is not a proper basis for exclusion of reputation evidence. Reliability—whether a character witness has established a proper basis for knowing a key opposing witness’ general reputation for truth and veracity—is a question of law for the court. By contrast, the credibility of such character witness—whether that witness is worthy or unworthy of belief or is motivated by bias—is a factual question for the jury. We caution that a trial court should not use reliability as a ground for excluding evidence it believes is not credible.

Applying these principles, we begin by emphasizing that the material issue at trial was complainant’s credibility. After all, complainant’s testimony regarding the sexual abuse was the only proof adduced by the People to establish that defendant sexually abused complainant. To undercut complainant’s version of events, defendant sought to introduce evidence, through his parents, that complainant had a bad reputation for truth and veracity among her family. Until today, we have never had occasion to decide whether family and family friends could constitute a relevant community for purposes of introducing testimony pertaining to an opposing witness’ bad reputation for truth and veracity. Assuming the proper foundation has been laid, we conclude that family and family friends can constitute a relevant community for such purpose.

Here, Collazo and Ramona Fernandez’s respective testimony laid the proper foundation for reputation evidence. Collazo testified that he had known complainant since her birth and that they were members of the same large extended family, comprising approximately 25 to 30 people. Collazo identified many of these family members and indicated that his entire family knew complainant. Collazo overheard discussions among them concerning complainant and was aware of her reputation for truthfulness in the family. Likewise, Ramona Fernandez explained that she had known complainant since her birth and that she, along with many of her other family members and friends, witnessed complainant grow up. She further testified that all her family members and family friends often discussed

complainant and that she was present during such conversations. Like Collazo, she testified that she was aware of complainant's reputation for truthfulness among this group. We conclude that this foundational testimony more than adequately formed the basis for admitting into evidence further testimony pertaining to complainant's bad reputation for truth and veracity in the community (*see Hanley*, 5 NY3d at 113).²

Nevertheless, the People argue (and our dissenting colleagues agree) that County Court did not abuse its discretion in precluding this reputation evidence because Collazo and Ramona Fernandez's testimony would have been inherently unreliable, given their purported bias in favor of defendant. But under our precedents, the presentation of reputation evidence by a criminal defendant is a matter of right, not discretion, once a proper foundation has been laid. We observe that both witnesses had familial relationships with defendant as well as complainant. Indeed, complainant referred to the witnesses as her grandparents and routinely visited their home. In fact, complainant testified that she refrained from telling her father about defendant's alleged sexual conduct in fear that he would no longer permit her to see her grandparents.

Thus, had the court admitted this reputation testimony into evidence, we agree with the Appellate Division that the People could have explored whether Collazo and Ramona Fernandez actually exhibited a bias in defendant's favor through the cross-examination of these witnesses. County Court's decision to exclude this evidence deprived the jury from undertaking a meaningful assessment of complainant's credibility. Since complainant's credibility was the central issue for the jury to resolve, County Court's failure to admit evidence related to complainant's bad reputation for truth and veracity cannot be considered harmless. Defendant, therefore, is entitled to a new trial.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed.

2. The dissent's position that, as a matter of law, "a family is too insular and self-interested a grouping to provide a reliable community" (dissenting op at 80) is an unwarranted departure from our precedent. Whether a particular association constitutes a community is an assessment that ought to be made on a case-by-case basis. As already noted, the inquiry in determining whether reputation evidence should be admitted into evidence is whether "an individual's associations are of such quantity and quality as . . . to give reasonable assurance of reliability" (*Bouton*, 50 NY2d at 139). Complainant's associations with her 25-to-30-person family and family friends meet this test.

GRAFFEO, J. (dissenting). In this child sex abuse case, defendant Marcos Fernandez sought to introduce testimony at trial that complainant, his young niece, had a poor reputation in their family for veracity. The trial court barred the evidence for lack of a proper foundation based, as relevant here, on its determination that the family was not a reliable community for purposes of establishing a reputation. Following defendant's conviction on three counts, the Appellate Division reversed and ordered a new trial (74 AD3d 1379 [2010]), concluding that defendant was entitled to present such evidence, and a majority of this Court now affirms that ruling. Because I believe that the trial court did not err in precluding defendant's proffered reputation testimony under the circumstances of this case, I respectfully dissent.

As the majority correctly recounts, it is well settled that a witness may be impeached by evidence of a bad reputation in the community for truth and veracity "once a foundation has been laid" (*People v Hanley*, 5 NY3d 108, 112 [2005]). We have cautioned, however, that a proper foundation for such evidence requires a showing that the proposed testimony has a "reasonable assurance of reliability" (*People v Bouton*, 50 NY2d 130, 139 [1980]). It is on this point that I diverge from the analysis of the majority.

Typically, the reliability inquiry focuses on whether the associations of the witness whose credibility is at stake "are of such quantity and quality as to permit him to be personally observed by a sufficient number of individuals" (*id.*). But the identity of the "community" is also relevant to a court's determination of admissibility (see *Hanley*, 5 NY3d at 113 [the community must be "probative and reliable"]). We have held that a witness's reputation in a number of different settings can be probative, including reputations formed in a residential neighborhood (see *People v Van Gaasbeck*, 189 NY 408, 418-419 [1907]); the business community (see *Bouton*, 50 NY2d at 140); a vocational school or army post (see *People v Colantone*, 243 NY 134, 137-138 [1926]); and, most recently, a place of employment (see *Hanley*, 5 NY3d at 113). Notably, however, no New York case has ever addressed whether the family of a witness can constitute a reliable community, particularly the family of a pre-adolescent child witness.

Other jurisdictions have been wary of treating families as communities for purposes of introducing testimony regarding a witness's reputation for untruthfulness. In fact, courts have

repeatedly held that it is proper to exclude evidence sought to be offered by relatives because “the inherent nature of familial relationships often precludes family members from providing an unbiased and reliable evaluation of one another” (*State v Gregory*, 158 Wash 2d 759, 805, 147 P3d 1201, 1226 [2006]; *see also State v Ricker*, 770 A2d 1021, 1024 [Me 2001] [trial court committed no error in preventing testimony of family members as to the reputation of the sexual abuse victim, defendant’s niece, for untruthfulness within the family]; *Adcock v Commonwealth*, 702 SW2d 440, 445 [Ky 1986] [(A) witness cannot testify as to general reputation based solely upon what family members have stated to him or in his presence. General reputation in the community may be entirely different from the regard in which he is held by family members. It is only general reputation about which testimony can be received”]; *Gonzalez v State*, 871 So 2d 1010, 1011 [Fla Dist Ct App 2004], *review denied* 886 So 2d 226 [Fla 2004] [“A person’s family is too narrow a segment of the community to be the source of reputation testimony”]; *State v Berry*, 2002 WL 31757250, *1, 2002 Iowa App LEXIS 1302, *2 [Ct App 2002] [“A crucial foundational requirement for such testimony is that the reputation must be not among a limited group such as a family, but that of a general cross-section of the community where the witness lives or works”]).

I share these concerns and would hold that a family is too insular and self-interested a grouping to provide a reliable community under our jurisprudence. The circumstances of this case well illustrate the inherent problems in characterizing a witness’s family as a “community.” The evidence defendant offered to impeach the reputation of the child complainant—who was only eight years old at the time of the crime—was to be given by defendant’s parents, Juan Collazo and Ramona Fernandez. It goes without saying that there is a keen danger of blatant bias when a defendant’s parents are called to give testimony pertaining to the reputation of their son’s accuser.

These concerns are only magnified where, as here, the reputation of a young child is at issue. Children are dependent on their families for support and guidance, care and protection, and acceptance and affection—all factors essential to the emotional well-being of a child. It is questionable whether even an older adolescent could weather this form of public criticism from close relatives impugning his or her character and trustworthiness within the family unit. But, clearly, the

trust relationship necessary for healthy child development is seriously eroded when a young girl eventually discovers that she has been labeled a liar and a troublesome child by the very individuals she views as her “grandparents.” And to what end? Are we to believe that a jury will alter its view of the facts because a defendant’s parents testify on a topic as subjective as a child complainant’s reputation for truth or veracity? I believe jurors will readily comprehend the inherent and unavoidable bias presented by a parent providing such testimony on behalf of a son or daughter accused of having committed a crime.

Every defendant is entitled to present a defense, and the veracity of complainant was undoubtedly of paramount concern to the defense in this case. I am not, therefore, suggesting that a child should not be the subject of reputation testimony. But there are numerous other community sources capable of providing testimony regarding a child’s veracity and behavioral problems that are not of dubious reliability, would carry more credibility with a jury, and are not as likely to unjustifiably damage the child’s psychological well-being. Teachers, pediatricians, school psychologists, neighbors, coaches, troop leaders or any person in a relevant community who has consistent and meaningful contact with a child can potentially address the child’s reputation for truthfulness. In the search for truth, we need not sever whatever remains of the child’s emotional dependence on close relatives or encourage an intrafamily battle of biased witnesses.

For all of these reasons, I believe that the trial court in this case was warranted in determining that the requisite “reasonable assurance of reliability” (*Bouton*, 50 NY2d at 139) was lacking. In reaching the opposite conclusion, the majority establishes a troubling precedent under which a trial judge commits reversible error by not allowing a defendant’s parent to testify that a child complainant in a sex abuse case has a reputation in the defendant’s family for not telling the truth. I cannot subscribe to such a rule nor do I think it is compelled by our precedents.

Consequently, I would reverse the order of the Appellate Division, insofar as it is appealed from, and remit to the Appellate Division for consideration of the facts and issues raised but not decided on the appeal to that court.

Judges READ, SMITH, PIGOTT and JONES concur with Judge CIPARICK; Judge GRAFFEO dissents and votes to reverse in a separate opinion in which Chief Judge LIPPMAN concurs.

Order, insofar as appealed from, affirmed.

[950 NE2d 135, 926 NYS2d 399]

ANTHONY MARRACCINI, Appellant, v JOHN RYAN et al., Respondents, et al., Defendants.

Argued May 4, 2011; decided June 2, 2011

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 30, 2010. The Appellate Division order, insofar as appealed from, (1) reversed, on the law, so much of an order of the Supreme Court, Westchester County (Robert M. DiBella, J.), as had denied those branches of a motion by defendants John Ryan and Pam Ryan which were for summary judgment dismissing the complaint insofar as asserted against them and to vacate a mechanic's lien and cancel the notice of pendency filed against their property, (2) granted those branches of defendants' motion, and (3) remitted the matter to Supreme Court, Westchester County, for the entry of an order directing the Westchester County Clerk to vacate the mechanic's lien and cancel the notice of pendency.

Marraccini v Ryan, 71 AD3d 1100, reversed.

HEADNOTE

Licenses — Home Improvement Contractors — Enforcement of Contract Entered Into under Name Different than Name on License

Plaintiff, a licensed home improvement contractor whose license was issued only under the name of his company, was not barred from enforcing a contract entered into with defendant property owners under only his individual name where the defendants were neither deceived nor otherwise prejudiced by the misnomer. While plaintiff may have violated Westchester County Code § 863.319 (1) (b), which makes it a violation punishable by specified civil and criminal penalties to “[c]onduct a home improvement business in any name other than the one in which the person is licensed,” the County Code does not say that a violator is barred from bringing suit under a contract entered into under the wrong name. Nor does the strict common-law rule prohibiting a contractor who was unlicensed at the time the contract was executed or work performed from maintaining a cause of action extend to what seems to have been an inadvertent and harmless violation of the County Code.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Building and Construction Contracts §§ 131, 132.

NY JUR 2d, Consumer and Borrower Protection §§ 461–464, 467; NY JUR 2d, Contracts § 604.

ANNOTATION REFERENCE

Failure of building and construction artisan or contractor to procure business or occupational license as affecting enforceability of contract or right of recovery for work done—modern cases. 44 ALR4th 271.

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POINTS OF COUNSEL

Friedman, Harfenist, Kraut & Perlstein LLP, Purchase (Jonathan D. Kraut, Steven Jay Harfenist and Andrew C. Lang of counsel), for appellant. The Second Department incorrectly concluded that Anthony Marraccini was not a licensed home improvement contractor since the issuance of the license to Marraccini, doing business as Coastal Construction, is both the legal and functional equivalent of issuing the license to Marraccini individually. (*B & F Bldg. Corp. v Liebig*, 76 NY2d 689; *Al-Sullami v Broskie*, 40 AD3d 1021; *J.G. Cerasuolo Constr., Inc. v Tyler*, 35 AD3d 376; *Price v Close*, 302 AD2d 374; *Callos, Inc. v Julianelli*, 300 AD2d 612; *Holiday Point Realty Co. v Kemper Corp.*, 118 AD2d 545; *Parks v Steinbrenner*, 115 AD2d 395; *Trustees of the Mason Tenders, Dist. Council Welfare Fund, Pension Fund, Annuity Fund & Training Program Fund v Faulkner*, 484 F Supp 2d 254; *Cusano v Horipro Entertainment Group*, 301 F Supp 2d 272; *Victor Auto Parts v Cuva*, 148 Misc 2d 349.)

Brodsky & Peck, Harrison (Robert A. Brodsky and David J. Peck of counsel), for respondents. I. Appellant's argument respecting the legal effect of the Appellate Division's order was not made in the lower court and should not be considered. (*Boles v Dormer Giant, Inc.*, 4 NY3d 235; *Duffy v County of Chautauqua*, 207 AD2d 1034; *Piersa, Inc. v Rosenthal*, 72 AD2d 593; *J.G. Cerasuolo Constr., Inc. v Tyler*, 35 AD3d 376; *Flax v Hommel*, 40 AD3d 809; *AEC Bldg. Assoc. v Crystal*, 246 AD2d 496.) II. The Appellate Division's decision and order had no effect on the legal status of assumed names. It simply followed the well-settled law that home improvement jobs must be done in the name on the contractor's license or he forfeits his right to

recover. (*J.G. Cerasuolo Constr., Inc. v Tyler*, 35 AD3d 376; *Racwell Constr., LLC v Manfredi*, 61 AD3d 731; *Flax v Hommel*, 40 AD3d 809; *AEC Bldg. Assoc. v Crystal*, 246 AD2d 496; *Piersa, Inc. v Rosenthal*, 72 AD2d 593; *Dartmouth Plan v Valle*, 117 Misc 2d 534.)

OPINION OF THE COURT

SMITH, J.

We hold that a licensed home improvement contractor who enters into a contract using a name other than the one on his license is not barred from enforcing the contract unless the other party is deceived or otherwise prejudiced by the misnomer.

Plaintiff, Anthony Marraccini, filed a certificate with the Clerk of Westchester County on May 19, 1993, saying that he was transacting business under the name “Coastal Construction Development.” The following day, Marraccini applied to the Westchester County Department of Consumer Protection for a home improvement license. He designated his ownership as “Individual,” but wrote “Coastal Construction Development” after “Name of Company,” and did not fill in the blank for a “D/B/A” name. After “Name of Applicant (President or Owner)” he wrote “Anthony Marraccini.” The license was issued to Coastal Construction Development. Marraccini’s own name does not appear on the license, but it is undisputed that Marraccini and Coastal are not separate legal entities. Thus Marraccini was personally licensed to do a home improvement business, though under a name other than his own.

Eleven years later, in 2004, Marraccini did construction, rehabilitation and maintenance work for defendants, John and Pam Ryan. In dealing with the Ryans, Marraccini used his own name, not Coastal Construction Development. The record does not show why he did not use the company name, but there is no indication that he was trying to or did deceive the Ryans. It is undisputed that, if the Ryans had gone to the Department of Consumer Protection Web site and searched for “Anthony Marraccini,” they would have found his license, which was indexed under both names.

After the work was done, a dispute arose between Marraccini and the Ryans over whether he had been fully paid, and Marraccini brought this lawsuit against them. The Ryans moved for summary judgment on the ground, among others, that Marraccini was not licensed to do home improvement business in his

individual name. Supreme Court denied the motion, but the Appellate Division reversed and dismissed the complaint (71 AD3d 1100 [2010]), observing that, by doing business in his own name and not the name on his license, Marraccini violated Westchester County Administrative Code § 863.319 (1) (b). We granted leave to appeal (15 NY3d 799 [2010]), and now reverse.

Marraccini may indeed have violated section 863.319 (1) (b) of the County Code, which says in relevant part: “It shall be a violation to . . . [c]onduct a home improvement business in any name other than the one in which the person is licensed.” The County Code provides civil and criminal penalties, not to exceed \$1,000, for such a violation (Westchester County Code § 277.171 [1]; § 277.181). Repeat violators may incur larger fines, and imprisonment for up to 15 days (*id.*). The County Code does not, however, say that a violator is barred from bringing suit under a contract entered into under the wrong name. The question here is whether New York common law imposes such a sanction.

We conclude that it does not. The forfeiture of the right to be paid for work done is an excessive penalty for what seems to have been an inadvertent and harmless violation of the County Code. The case would be different if Marraccini had no license at all. *B & F Bldg. Corp. v Liebig* (76 NY2d 689, 693 [1990]) holds that a contractor who was unlicensed at the time a contract was executed or work performed may not maintain a cause of action. We see no reason, however, to extend the strict rule of *B & F Bldg. Corp.* to the much less serious violation at issue here.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, and defendants’ motion for summary judgment denied.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order, insofar as appealed from, reversed, etc.

[950 NE2d 489, 926 NYS2d 856]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DEAN
PACQUETTE, Appellant.

Argued May 3, 2011; decided June 7, 2011

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 18, 2010. The Appellate Division modified, as a matter of discretion in the interest of justice, a judgment of the Supreme Court, Kings County (Alan D. Marrus, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a weapon in the second degree. The modification consisted of vacating the sentence imposed and remitting the matter to Supreme Court for resentencing. The Appellate Division affirmed the judgment as modified.

People v Pacquette, 73 AD3d 1088, affirmed.

HEADNOTE

Crimes — Confession — Right to Counsel

In the prosecution of defendant for second-degree murder and related crimes in connection with a fatal shooting, defendant's inculpatory statements to the police were not obtained in violation of defendant's right to counsel notwithstanding that his assigned counsel at a prior arraignment on an unrelated drug charge had purportedly instructed two detectives involved in the homicide investigation not to question defendant. Any ambiguity created by the assigned counsel's failure to specify, when issuing his direction to the detectives, whether he was representing defendant in the drug case, the homicide case, or both, did not cause defendant's indelible right to counsel to attach with respect to the homicide case since an attorney may not unilaterally create an attorney-client relationship in that fashion. The assigned counsel made no statements during the arraignment on the drug charge related to the homicide and never was engaged to represent defendant on the homicide charge, as he later conceded. Moreover, nothing about defendant's conduct suggested that he meant to invoke his right to counsel before he made the statements. Defendant was issued *Miranda* rights before submitting to two lineups in the homicide case, held prior to his arraignment on the unrelated drug charge, he again waived his *Miranda* rights at the beginning of his videotaped statement, and he indicated at the end of the videotaped statement that he was not represented by a lawyer in the homicide case.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 914, 915, 921, 922, 1099, 1109,
1118.

CARMODY-WAIT 2d, Confessions; Privilege Against Self-Incrimination §§ 176:63, 176:64, 176:70–176:72, 176:75, 176:121–176:123.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 6.4, 6.9, 10.3.

NY JUR 2d, Criminal Law: Procedure §§ 600, 601, 641–643, 739, 761, 798, 1628.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Confessions and Admissions; Exclusion and Suppression of Evidence; Miranda Warnings.

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POINTS OF COUNSEL

Appellate Advocates, New York City (Steven R. Bernhard and Lynn W.L. Fahey of counsel), for appellant. When an attorney representing appellant on a Manhattan drug case told Brooklyn homicide detectives waiting to take appellant from a Manhattan courtroom to Brooklyn that appellant was represented by counsel and that they should not question him, appellant's right to counsel indelibly attached and the statements subsequently taken by the detectives in the absence of counsel must be suppressed. (*People v Cunningham*, 49 NY2d 203; *People v Ramos*, 40 NY2d 610; *People v Arthur*, 22 NY2d 325; *People v Hobson*, 39 NY2d 479; *People v Donovan*, 13 NY2d 148; *People v Garofolo*, 46 NY2d 592; *People v Marrero*, 51 NY2d 56; *People v West*, 81 NY2d 370; *People v Bing*, 76 NY2d 331.)

Charles J. Hynes, District Attorney, Brooklyn (Solomon Neubort and Leonard Joblove of counsel), for respondent. Defendant's motion to suppress his statements was properly denied because when defendant made those statements, his indelible right to counsel had not attached on this case. (*People v West*, 81 NY2d 370; *People v Grice*, 100 NY2d 318; *People v Carranza*, 3 NY3d 729; *People v Davis*, 75 NY2d 517; *People v Hobson*, 39 NY2d 479; *People v Steward*, 88 NY2d 496; *People v Bing*, 76 NY2d 331; *People v Rosa*, 65 NY2d 380; *People v Henriquez*, 214 AD2d 485; *People v Garofolo*, 46 NY2d 592.)

OPINION OF THE COURT

READ, J.

On the evening of April 19, 2007, one man was shot to death and another was wounded (he was shot in the buttocks) in a shooting incident that took place outside an abandoned building on Bainbridge Street in Brooklyn, which had become a hangout for a group of young men. The body of the deceased victim was discovered in the building's basement, to which he evidently retreated after he was hit. Defendant Dean Pacquette was indicted for second-degree murder (intentional) (Penal Law § 125.25 [1]), second-degree assault (Penal Law § 120.05 [2]), and second-degree weapon possession (two counts) (Penal Law § 265.03 [1] [b]; [3]) in connection with the shooting. He moved to suppress inculpatory statements that he made to the police on the ground that they were obtained in violation of his right to counsel.

At the ensuing *Huntley* hearing, Detective Alan Killigrew testified that he identified defendant as a suspect because of information he received shortly after the shooting from two eyewitnesses. Then on May 17, 2007, he learned that defendant had been arrested for a drug crime in Manhattan. Detective Richard Amato traveled to Manhattan to “pick up” defendant and bring him to the precinct in Brooklyn for a lineup. Amato found defendant in a holding cell in Manhattan, waiting to be arraigned, and arranged through the New York City Police Department for him to be released temporarily into his custody.

A few hours after Amato arrived at the precinct in Brooklyn with defendant, the police conducted two separate lineups—one for each of the two eyewitnesses. Both eyewitnesses identified defendant. Before these lineups, at about 9:00 P.M., *Miranda* warnings were issued to defendant, who claimed that he knew nothing about the shooting; after the lineups, Killigrew advised defendant that he was “charged with homicide.” Amato and Detective Erick Parks then escorted defendant back to Manhattan for arraignment for the drug crime. During the ride back, Amato “probably” let defendant know that he had been identified in both lineups.

Upon arrival in Manhattan, Amato spoke to prosecutors to clear defendant's release on his own recognizance after arraignment so that he could be taken back to Brooklyn. Meanwhile, Parks accompanied defendant to the courtroom. When Amato later joined them, defendant sat between the two detectives in the front row, waiting for his case to be called. At some point

before defendant's arraignment, attorney Daniel Scott was assigned to represent him on the drug charge. While Scott, Amato and Parks agree that they met and spoke in the Manhattan courtroom, their accounts of exactly what was said differ in certain respects.

According to Amato, Scott introduced himself as "the attorney for the arraignment on this case," meaning "[defendant's] drug case." Scott did not indicate that he represented defendant in any other case. Amato "took [Scott's] business card," which is how Amato later recalled Scott's name. When Scott asked Amato if he could speak to defendant "in private," Amato moved two rows back and Parks slid down the row and away from defendant so as to accommodate this request.

After defendant was arraigned and released on his own recognizance, Amato arrested him "for the homicide." The detectives then took defendant back to where he had been sitting in the courtroom because "the attorney . . . wanted to speak to him." Amato testified that he overheard Scott tell defendant that he was "not going across the bridge into Brooklyn to represent him," and that he didn't

"represent him in the other case. He represents him in the drug case. He'll have an attorney for his new case in Brooklyn. He also said, I advise you not to speak to the police because I can't tell you that you cannot speak to the police but I'm advising you not to."

Amato added that Scott did not at any time tell him that he was representing defendant on the homicide charge; Amato gave Scott his business card at Scott's request.

Parks testified that he, Amato and defendant were sitting in the front row of the courtroom waiting for defendant to be arraigned when someone he assumed to be a Legal Aid attorney (whose name Parks did not recall) "approached" defendant and "asked if he could have a moment with" him. He and Amato then "moved [their] position" so as to allow the attorney to interview defendant while they still kept an eye on him. Parks also testified that at some point after the arraignment Amato had a "brief" conversation with the attorney, and that Amato informed him that he had overheard the attorney tell defendant that "he represent[ed] him on the Manhattan case," and "doesn't go over the bridge," and was "not representing him in

Brooklyn, that he'll represent him in the Manhattan case." According to Parks, the attorney never told him that defendant was represented by counsel, and never directed him not to question defendant.

Scott testified that when he was assigned to represent defendant in the drug case, he was notified by the clerk of the night court that two Brooklyn detectives had brought defendant to the courtroom. The clerk asked him to expedite the arraignment "because the detectives had brought [defendant] in." The clerk also alerted Scott to the "agreement between the detectives and the district attorney's office [for defendant to] be released into the detectives' custody." Scott introduced himself to defendant, who was sitting between the two detectives, and gave him his business card. He "may or may not have given" business cards to the detectives, but, in any event, "it was apparent who [he] was and what [he] was doing there."

Scott did not interview defendant, because "there was no privacy whatsoever." He simply read the felony complaint and asked defendant if he understood what he was being charged with; there was "no reason to discuss . . . bail because his ROR had . . . previously been worked out." Scott, who was not on the 18-B panel in Kings County, testified that he "clearly" recalled warning the detectives that defendant "was represented by counsel and that they should not question him." Similarly, he advised defendant not to "discuss any legal matter with [the detectives] whatsoever."¹

Scott denied telling defendant or the detectives that he would not cross over the Brooklyn Bridge; he conceded, however, that he never indicated to defendant that he would be or was considering representing him in the homicide case, although he might have commented that he "would be happy to represent him." In answers to questions posed by the judge, Scott confirmed that he was not defendant's attorney for the homicide, and never told the detectives otherwise:

1. Although defendant insists that Scott made these remarks *post-arraignment*, his hearing testimony is, at best, ambiguous on the matter of timing. As relevant to this point, Scott testified that all his conversation with defendant took place within earshot of the two detectives, and lasted from 5 to 10 minutes "[t]otal," since "[i]t was just a question of informing [defendant] of the charges, never mind the bail, and *advising him not to speak*" (emphasis added). He also testified that "in the past" in similar situations he had "asked the judge while we were all in the well of the courtroom"—i.e., during arraignment—"to advise or reinforce the warning or advisement not to question [his] client."

“THE COURT: I just want to be clear, Mr. Scott, did you tell the detectives from Brooklyn who brought [defendant] over for his arraignment in Manhattan that you were representing [defendant] at any time? Did you tell them that?

“THE WITNESS: Yes, I did. Aside from it being—

“THE COURT: Okay.

“THE WITNESS: Yes, I said, he is represented by counsel, do not question him.

“THE COURT: As far as the drug case or the homicide case or both?

“THE WITNESS: I didn’t specify.

“THE COURT: You didn’t specify. So you had been engaged to represent him as an 18 B for the drug sale case in Manhattan, correct?

“THE WITNESS: Correct.

“THE COURT: You had not been engaged by anybody to represent him in the homicide case, correct?

“THE WITNESS: Correct.

“THE COURT: And you did not tell the detectives that you were representing him in the homicide case, correct?

“THE WITNESS: Correct.”

On the way back to the precinct in Brooklyn, Amato mentioned to defendant that he

“found it kind of funny that this guy was telling [him] that he wasn’t coming to Brooklyn to represent him. I didn’t think it was right. I said, you know what? I said, I wouldn’t look out for you like that. I said, you know what? If you tell us what happened, you know, maybe we can help you out.”

Amato acknowledged that he was “try[ing to] get [defendant] to say exactly what happened the day of the homicide.” Defendant was noncommittal, remarking that “he would have to think about it.” As Parks put it, defendant “had already been in a lineup so he understood what the purpose of going back to the precinct was. We spoke to him about . . . his attorney, that the

attorney doesn't represent him here in Brooklyn. If he'd like to make a statement to Detective Killigrew, that's his choice."

Amato and Parks arrived at the precinct with defendant around 1:30 or 2:00 A.M. on May 18, 2007. At about 2:30 A.M., defendant announced to Amato and Killigrew that he wanted to talk about what happened. Amato contacted the assistant district attorney on duty to "make sure that [defendant's] right to counsel didn't attach because of the [Manhattan drug] case." The prosecutor advised Amato that he could speak to defendant "because he [did not] have counsel attached in this case. He [had] counsel attached in the drug case." Amato related this advice to Killigrew and, after Killigrew reminded defendant that "he was still under the Miranda warnings that we issued earlier," defendant gave an oral statement, which Killigrew took down.

Defendant admitted to shooting—first with a shotgun, until it jammed, and then with a handgun, until it, too, became inoperable—in the direction of the door at the Bainbridge Street building, causing those standing on the front stoop to scatter or run inside. He claimed that he only meant to scare these hangers-on, one of whom he feared on account of a previous run-in, and had been unaware until the following day that anyone had died. Defendant then repeated substantially the same statement on videotape to an assistant district attorney. At the beginning of the videotaped statement, defendant again waived his *Miranda* rights; near the end, he answered "no" when asked if he was represented by a lawyer in the homicide case.

In a May 30, 2008 decision and order, the judge denied defendant's motion to suppress his statements. He reasoned that "[a]ssuming arguendo that Scott told the Detectives not to question Defendant," that instruction was nugatory because even though "Defendant was represented by counsel on the Manhattan narcotics charges, he was not in custody on those charges, having been released on his own recognizance. Scott did not represent Defendant on the homicide charges, nor did he tell the Detectives that he did."

Defendant was tried by a jury before another judge. The two eyewitnesses testified. Killigrew read his transcription of defendant's statement, and the jury viewed the videotape. Scott was the only witness called by the defense. He again testified that he instructed the detectives not to question defendant. In the following series of questions and answers on cross-examination, however, he once more conceded that he did not

represent defendant on the homicide charge at the time defendant gave his statements:

“Q Did you represent [defendant] on the homicide matter in this county, in Brooklyn?

“A I was not assigned to represent him.

“Q That is a simple question. You stood there in Manhattan Criminal Court. You had a conversation.

“When you did that, did you represent this man on the homicide matter that these detectives had a duty and desire to investigate?

“Yes or no?

“A No.”

The jury acquitted defendant of intentional murder (Penal Law § 125.25 [1]) and convicted him of the weapon charge based upon possession of a loaded firearm outside the home or business (Penal Law § 265.03 [3]).² The judge subsequently sentenced defendant to 15 years of imprisonment followed by five years of postrelease supervision. Defendant appealed. He argued that his indelible right to counsel had attached because Scott let the detectives know that he was represented by counsel and was not to be questioned, and he challenged his sentence.

In a decision and order dated May 18, 2010, the Appellate Division concluded that comments made by the sentencing court “demonstrated that it improperly considered” the murder count “as a basis for sentencing” (73 AD3d 1088 [2d Dept 2010]), and so vacated the sentence and remitted the matter to Supreme Court for resentencing.³ The Appellate Division otherwise affirmed, deciding that any error in not suppressing defendant’s statements was harmless because “the evidence of the defendant’s guilt . . . was overwhelming, and there [was] no reasonable possibility that the alleged error might have contributed to [his] conviction” (*id.*). A Judge of this Court granted defendant permission to appeal (15 NY3d 808 [2010]), and we now affirm.

Defendant urges us to send this case back to the hearing court for the judge to decide whether Scott, in fact, told the detectives that defendant “was represented by counsel and that they

2. The judge did not submit the assault and other weapon possession count to the jury.

3. On July 21, 2010, Supreme Court resentenced defendant to the same sentence originally imposed.

should not question him.” In defendant’s view, if Scott made this assertion and gave this direction, the right to counsel indelibly attached, and the statements subsequently given by defendant in the absence of counsel must be suppressed even though Scott did not, in fact, represent defendant in the murder case at the time (or ever, for that matter); or, put slightly differently, defendant contends that Scott’s neglect to “specify” to the detectives whether he represented defendant in “the drug case or the homicide case or both” created an ambiguity causing the indelible right to counsel to attach. We have never held that an attorney may unilaterally create an attorney-client relationship in a criminal proceeding in this fashion, and decline to do so now.

People v Ramos (40 NY2d 610 [1976]), for example, is not “virtually identical” to the situation here, as defendant contends. Ramos, who was wanted by the police in relation to a shooting in Manhattan, was subsequently arrested in the Bronx on a narcotics charge. At the arraignment in the Bronx on the drug matter, Ramos’s attorney proclaimed in open court, in the presence of a detective from Manhattan who was waiting to take the defendant into custody, that “[f]or the record, [he had] advised [Ramos] not to make any statements to these police officers who are taking him into custody” (*id.* at 612). Ramos was then escorted to Manhattan, where he made an incriminating statement to an assistant district attorney. At the outset of this interrogation, he was equivocal about whether he wanted a lawyer—stating, for example, “What I can tell about this here I can tell you myself just like it happened. It can go against me, I would like a lawyer. I can tell you that myself, I hope it don’t go against me, I am trying to get out of this jam”—before finally saying to the assistant district attorney “Go ahead, ask me some questions” (*id.* at 613).⁴

We held that the statement taken by the assistant district attorney should be suppressed because “the defendant was represented by counsel at the time of his interrogation” (*id.* at 618) by virtue of “the attorney’s affirmative and direct action”—i.e.,

4. When Ramos agreed to talk to the assistant district attorney, he was well aware that he had earlier made incriminating statements to three Bronx police officers who questioned him about the shooting while he was awaiting arraignment on the drug charge: he told the assistant district attorney “I already talked to detectives, if they got that record already it don’t make no difference” whether he again implicated himself in the shooting (40 NY2d at 613). The admissibility of these statements was not raised on the appeal (*id.* at 612 n 2).

his statements on the defendant's behalf in front of the judge in open court—"relative to the interrogation which was about to be commenced in connection with" the shooting (*id.* at 617). Further, we noted that Ramos's "specific although perhaps confused request: 'It can go against me, I would like a lawyer', [gave] testimony to his need *and desire* for legal advice from a lawyer representing his interests" (*id.* at 618 [emphasis added]).

Here, by contrast, Scott made no statements during the arraignment on the drug crime even arguably related to the homicide. If he had said in open court that defendant "was represented by counsel and that [the police] should not question him," the prosecutor (or the judge) would have had the occasion and the opportunity to ask him flat out whether he was defendant's lawyer in the murder case, as the judge and the prosecutor later did at the *Huntley* hearing and the trial, respectively. Moreover, there is no ambiguity here, as there was in *Ramos*, about whether defendant may have intended to invoke his right to counsel before making the inculpatory statements.

Indeed, in *People v Marrero* (51 NY2d 56, 59 [1980]), the other case principally relied upon by defendant, we equated the defendant's conduct to "a verbal request for counsel." Marrero, believing that he was being sought in a homicide investigation, asked a lawyer to contact the police and arrange for his surrender. As a result, the police took Marrero into custody in the attorney's office with the lawyer present. There was no doubt that the lawyer represented the defendant at that juncture of the homicide investigation. Later at the police station, Marrero made incriminating statements.

We held that the statements should be suppressed, observing that "[b]y consulting a lawyer to contact the police, and then surrendering in the attorney's office with counsel present, the defendant had manifested his own view that he [was] not competent to deal with the authorities without legal advice" (*id.* at 59 [internal quotation marks and citation omitted]). Further, we observed that the police did not know about the limited nature of the attorney's representation. Rather, "[a]ll they knew was that the defendant had sought the assistance of counsel *in connection with the charge they were investigating*" (*id.* [emphasis added]; see also *People v West*, 81 NY2d 370, 380 [1993] [citing *Marrero* for the proposition that "(a)bsent some indication that the representation had ceased, the police could not question defendant concerning *the very matter as to which*

they knew he had a lawyer” (emphasis added)). Here, however, nothing about defendant’s conduct suggests that he meant to invoke his right to counsel before he made the statements, and, also unlike the situation in *Marrero*, Scott had not already conspicuously represented defendant in an aspect of the homicide matter, causing the indelible right to attach.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN (dissenting). In the decision and order we now review the Appellate Division affirmed portions of a Kings County Supreme Court judgment convicting defendant of criminal possession of a weapon in the second degree. It did so over defendant’s claim that his conviction had been obtained based on an inculpatory statement that should have been suppressed since it was given by him to Brooklyn police detectives in pursuance of an invalid waiver of his right to counsel. Although that claim was fully litigated at a pretrial *Huntley* hearing, the Appellate Division did not address its merits. It held instead that if it had been error to deny suppression of defendant’s statements, the error was harmless in light of what it viewed as the overwhelming properly received evidence of defendant’s guilt (73 AD3d 1088 [2010]). This Court has now evidently concluded that the evidence was not so overwhelming as the Appellate Division thought and, accordingly, that the validity of defendant’s waiver and ensuing confession should have been determined as a necessary antecedent to affirming the judgment convicting him. Having so concluded, the Court apparently undertakes to do what the Appellate Division did not upon a hearing record which, although well developed, raises certain factual issues not yet resolved by a court with jurisdiction to do so. The testimony from which those issues arise may be briefly summarized.

Daniel Scott, the attorney assigned to represent defendant at his Manhattan arraignment on narcotics charges, testified that, in the presence of the Brooklyn detectives who had escorted defendant to the arraignment, and not privately, he “told [defendant] not to discuss any legal matter with them [the Brooklyn detectives] whatsoever.” He also testified that he separately “advised [the detectives] that Mr. Pacquette was represented by counsel and that they should not question him.” He stated as well that he never told Mr. Pacquette that he would not represent him on the Brooklyn homicide with which he was about to

be charged. The Brooklyn detectives, on the other hand, testified that defendant and Scott conferred privately but that portions of the attorney-client exchange were nonetheless overheard by Detective Amato. Amato reported that he heard Scott tell defendant that he would not represent him in his new case in Brooklyn. Amato and his partner Detective Parks both stated that Scott never advised them that defendant was represented by counsel and that they should not question him.

The hearing court did not decide whether Scott did in fact tell defendant in front of the detectives that he was not to speak with them about any legal matters or whether he told the detectives that they should not question his client. Nor did the hearing court decide whether Scott told defendant that he would not represent him in the Brooklyn homicide matter. This was because the court found dispositive Scott's acknowledgments that he was not ultimately engaged to represent defendant in the homicide and that he did not, in so many words, tell the Brooklyn detectives that he represented defendant in that case.

The majority, although declaring that Scott could not have unilaterally created an attorney-client relationship with defendant respecting the Brooklyn matter, does not go so far as to say that Scott in the course of representing defendant at his Manhattan arraignment could not have effectively signaled his entry into that matter, thus triggering, with respect to the homicide investigation, his client's indelible right to counsel. That, of course, would not be consistent with our decision in *People v Ramos* (40 NY2d 610 [1976]), which, on facts remarkably like those at bar, clearly recognizes that a defendant's attorney is, through "affirmative and direct action relative to [an] interrogation . . . about to be commenced" (*id.* at 617), capable of precluding an uncounseled waiver of the right to counsel in an unrelated matter, even one in which the attorney does not ultimately represent the defendant.¹ Rather, it appears to be the majority's position that what Scott said was not adequate to communicate to the detectives his entry into the Brooklyn matter. In taking this position, it must be supposed that the majority assumes for the purposes of its argument that Scott did in fact tell defendant in the detectives' immediate presence that he

1. We specifically rejected in *Ramos* the People's contention that Ramos's counsel could not have acted to prevent his prearraignment interrogation in an unrelated murder prosecution because he "never appeared at the defendant's murder arraignment or any other proceeding in connection with [that] case" (40 NY2d at 617).

was “not to discuss any legal matter with them whatsoever” and that he did not tell defendant that he would not represent him in Brooklyn. It must also be supposed that the majority is assuming, also for the sake of argument, that Scott did instruct the detectives “that Mr. Pacquette was represented by counsel and that they should not question him.”

Having made these assumptions in defendant’s favor in lieu of sending the matter back for factual findings that this Court may not make, the majority then says that “Scott made no statements during the arraignment on the drug crime even arguably related to the homicide” (majority op at 96). Even viewed in isolation, simply for their semantic content, Scott’s directives unambiguously communicated to the detectives that his client was not to discuss with them “*any* legal matter . . . *whatsoever*” (emphasis supplied) and, accordingly, that “they should not question [defendant]” about any legal matter whatsoever. A homicide is a legal matter.

Even if there were some doubt as to what Scott’s words themselves meant, and really there should be none, the context in which they were spoken could have left absolutely no doubt that Scott was directing the Brooklyn homicide detectives quite specifically not to question defendant about the Brooklyn homicide they were investigating. At the time, all concerned knew that defendant was a suspect in a Brooklyn homicide, and, indeed, Scott was well aware that his client was, by prearrangement, to be immediately returned to the custody of the Brooklyn detectives at the conclusion of his expedited arraignment so that he could be timely arraigned on homicide charges in Brooklyn. Given this scenario, Scott’s concern could not have been principally that defendant would be questioned in his absence about matters pertinent to the New York County drug case, something which his entry as counsel at defendant’s Manhattan arraignment itself precluded, but that he would during the interval before his arraignment on the Brooklyn homicide charges be interrogated and make imprudent admissions with respect to that homicide. Certainly the Brooklyn homicide detectives, who had no interest in defendant’s New York County drug case, would have understood that Scott’s directives to them concerned the case that they were investigating and in which Scott’s client would, in the coming hours, be a natural candidate for custodial interrogation.

Although the majority characterizes Scott’s intercession as an attempt unilaterally to create an attorney-client relationship,

defendant was already represented by Scott and no competent defense attorney would simply abandon a client about to be interrogated as a suspect in a homicide. That Scott should have sought to enter the homicide case, if only temporarily to interpose himself between his client and the Brooklyn homicide detectives until formal appointment of counsel at the impending homicide arraignment in Brooklyn, was entirely appropriate. Whether Scott could have effectively accomplished that purpose by admonishing defendant and the Brooklyn detectives as he testified he did, is an inquiry that would seem to be controlled by *Ramos*.

In *Ramos*, we held that the statement by the lawyer appearing on Ramos's behalf at his Bronx arraignment on charges of drug possession—that he had “advised Mr. Santiago [Ramos] not to make any statements to these police officers who are taking him into custody” (40 NY2d at 616)—sufficed to signal to the officers the lawyer's entry into Ramos's unrelated Manhattan homicide case, and thereby triggered Ramos's indelible right to counsel in that case. The admonitions of attorney Scott in this case, both literally and contextually virtually identical to those of Ramos's attorney, are, if precedent is a constraint upon what we do, entitled to be accorded the same legal effect. Although the majority finds it important that in *Ramos* the attorney placed his directive on the record, there appears no reason why Scott's admonitions should be deemed less effective than those of Ramos's lawyer simply because they were not placed on the record. As we noted in *Ramos*, the critical inquiry is whether “an attorney has communicated with the police for the purpose of representing the defendant” (*id.* at 615, quoting *People v Arthur*, 22 NY2d 325, 329 [1968] [internal quotation marks omitted]). Accordingly, what was crucial in *Ramos* and what should be here as well is the circumstance, necessarily assumed in appellant's favor at this juncture, that the defendant's attorney took “affirmative and direct action relative to [an] interrogation . . . about to be commenced” (*id.* at 617) “in the presence of the police officer[s] taking [his client] into custody” (*id.* at 616).²

Even if there were some residual ambiguity as to whether Scott in his admonitory statements referred to the Brooklyn

2. While the majority urges that if Scott had placed his admonitions on the record the prosecutor or judge might have clarified the extent of his representation of defendant, there was obviously nothing to prevent the detectives

(n. cont'd)

homicide, that ambiguity would not redound to the prosecution's benefit. We were very clear about this in *Ramos* where we said:

“If, in fact, the prosecution was in doubt as to whether an attorney had entered the proceeding, the burden should rest squarely on it to insure that the defendant's right to be represented by counsel be protected. The ambiguity of the lawyer's statement or the manner in which the defendant's attorney went about representing his client cannot be seized by the prosecution as a license to play fast and loose with this precious right. A defendant's right to counsel cannot be made to depend on whether in the sole judgment of the prosecution there has been sufficient activity and conduct of a proper character so as to compel a conclusion that the lawyer has entered the proceedings. Nor can we agree with the prosecutor that the defendant has an affirmative burden to point out to the prosecution that an attorney has entered the proceedings on his behalf. To hold otherwise would violate our prior holdings and seriously undermine this constitutionally guaranteed right” (*id.* at 617-618).

And, in the more recent case of *People v Marrero* (51 NY2d 56 [1980]), citing *Ramos* we again emphasized that

“[o]nce an attorney has appeared on the defendant's behalf we have refused to allow the police to rely on arguable ambiguities in the attorney-client relationship in order to justify police questioning of the defendant without the attorney being present (see, e.g., *People v Ramos*, 40 NY2d 610). We have indicated that if the police are uncertain as to the scope of the attorney's representation, the defendant should not be questioned (*People v Coleman*, 42 NY2d 500, 507)” (*id.* at 59).

While the majority understands these principles to apply only where the police do not know about the “limited nature of the attorney's representation” (majority op at 96), it is difficult to understand how that posited condition lends support to its position in this case, since, even if it were true that limited representation could not trigger representational rights, and

from pursuing the matter with Scott directly either at the arraignment or subsequently. As the majority recounts, “Amato ‘took [Scott's] business card’ ” (majority op at 90).

manifestly it is not, there is no permissible basis for a supposition that the Brooklyn detectives knew, at the time they obtained defendant's waiver of his right to counsel, about the "limited nature" of attorney Scott's representation of defendant. Only by making credibility findings on the disputed issues of what was said by Scott to defendant and what Amato overheard, would it be possible to conclude that the Brooklyn detectives had some reliable basis for believing that Scott would not represent defendant in the Brooklyn case. If such a finding is to be made and relied upon in disposing of defendant's motion, the case should be remitted for that purpose; the finding may not be made in the first instance by this Court and, obviously, what the detectives knew is not appropriately assumed adversely to appellant as a basis for our denial of his appeal and our accompanying statement of the law.

It is also suggested that *Ramos* and *Marrero* should not control here because in those cases the defendants manifested a need for legal assistance in the matters being investigated while defendant did not. It is, however, a basic and long-standing principle of our right-to-counsel jurisprudence that, if an attorney has entered a matter, the right to counsel indelibly attaches rendering it irrelevant, in the event of a subsequent uncounseled custodial waiver of the right, whether the defendant was, in interacting with his or her interrogators, not evidently averse to speaking or whether there was some manifestation by the defendant of a need for a lawyer. As we reiterated in *People v Hobson* (39 NY2d 479, 481 [1976]) and has since been the governing rule of law, "[o]nce a lawyer has entered a criminal proceeding representing a defendant in connection with criminal charges under investigation, the defendant in custody may not waive his right to counsel in the absence of the lawyer." If Scott entered his client's homicide case, the uncounseled waiver subsequently obtained from his client in that case was invalid and the confession consequently elicited must be suppressed. Because it is not possible to say on any properly assumed set of facts considered in light of *Ramos* that Scott did not effectively enter the proceeding, the matter should be remitted so that the factual findings necessary to a proper determination of defendant's suppression motion can be made.

Defendant would undoubtedly have been protected from making an uncounseled waiver of his right to counsel if he had not by careful prearrangement been "released" from custody on the

represented New York County matter to the Brooklyn detectives (who promptly rearrested him). It is questionable whether this artifice should be deemed effective to avoid attachment of the indelible right under *People v Rogers* (48 NY2d 167 [1979]) where, as here, the detectives were obviously aware of the extant representational relationship, having been present at its inception, and fully intended in the hours after defendant's "release" to subject him to custodial questioning. But accepting that the "release" of defendant was not a contrivance simply to avoid the triggering of a representational right, it is clear that the situation was one involving great peril to defendant's legal interests and, accordingly, one which defendant's lawyer could not treat with indifference as it unfolded before him. Although there may not have been an automatic entitlement to counsel in the homicide case by reason of the unrelated representation in the designedly noncustodial New York County matter, there was, as we have recognized in *Ramos*, certainly in this situation a need and a corresponding prerogative on the part of the lawyer affirmatively to act to protect his client's interests. On this record, I do not think it possible for this Court to conclude that he did not do so, indeed, if it were necessary, that he did not do so "conspicuously."

Judges CIPARICK, GRAFFEO, SMITH and PIGOTT concur with Judge READ; Chief Judge LIPPMAN dissents in a separate opinion in which Judge JONES concurs.

Order affirmed.

[950 NE2d 480, 926 NYS2d 847]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v OWEN
STEWART, Appellant.

Argued May 2, 2011; decided June 7, 2011

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 20, 2010. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Ruth Pickholz, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree (two counts) and robbery in the second degree.

People v Stewart, 72 AD3d 524, reversed.

HEADNOTES**Crimes — Jurors — Selection of Jury — Time Limit on Attorney
Questioning of Prospective Jurors**

1. In the prosecution of defendant for multiple felonies, the trial court, in imposing a five-minute time limit on counsel for questioning of potential jurors during each round of voir dire, abused its discretion by adhering to that unusually short time restriction after defense counsel objected and explained that the time period was insufficient to conduct an adequate inquiry of venire persons in light of the complexity of the prosecution. CPL 270.15, which governs jury selection, does not contain guidelines relating to the duration of voir dire but states that the scope of counsel's examination of prospective jurors shall be within the discretion of the court. While the trial court's discretion is broad, restrictions imposed on voir dire must nevertheless afford counsel a fair opportunity to question prospective jurors about relevant matters. It is not possible to formulate rigid guidelines relating to the duration of voir dire that may be applied in all cases; if, however, a court chooses to allocate a fixed period of time for questioning, the allotment should be appropriate to the circumstances of the case. Here, the trial court erred in its five-minute allotment based on the seriousness and number of charges, the identity of the victim and certain characteristics of prospective jurors that were revealed during examination by the court. Further, the fact that the time limitation appeared to be substantially shorter than the norm in multiple felony cases was an important factor.

**Crimes — Jurors — Selection of Jury — Factors to be Considered
by Court in Establishing Time Limit on Attorney Questioning of
Prospective Jurors**

2. In exercising its broad discretion under CPL 270.15 to supervise the process of counsel questioning during jury selection, the trial court may choose at the outset to allocate a fixed period of time for such questioning appropriate to the circumstances of the case. It would be impossible to compile an exhaustive list of all the factors that might inform a trial court's determination of this issue, but, in most cases, relevant considerations would include: the

number of jurors and alternate jurors to be selected and the number of peremptory challenges available to the parties; the number, nature and seriousness of the pending charges; any notoriety the case may have received in the media or local community; special considerations arising from the legal issues raised in the case, including anticipated defenses such as justification or a plea of not responsible by reason of mental disease or defect; any unique concerns emanating from the identity or characteristics of the defendant, the victim, the witnesses or counsel; and the extent to which the court will examine prospective jurors on relevant topics. Further, because the propriety of a limitation on counsel questioning must be assessed based on all the circumstances presented in a particular case, the fact that a time restriction appears to be substantially shorter than the norm for such restrictions in other cases, though not determinative of the issue, may be an important consideration. Moreover, it is incumbent on counsel to advise the court if any temporal limitation imposed relating to juror questioning is proving, in practice, to be unduly restrictive and prejudicial.

Crimes — Jurors — Selection of Jury — Showing of Prejudice

3. Defendant's conviction for robbery was reversed and the case remitted for a new trial where the trial judge improperly restricted attorneys' questioning of prospective jurors to five minutes during each round of voir dire. A trial court's abuse of discretion under CPL 270.15 in limiting the scope of counsel questioning of prospective jurors during jury selection will not warrant reversal unless defendant establishes that he or she suffered prejudice. Here, the prejudice inquiry was hampered by the manner in which the jury selection process was transcribed by the court stenographer, making it difficult to determine whether certain prospective jurors were discharged or retained. In addition, more than a dozen prospective jurors seem to have said something that invited additional inquiry in connection with their knowledge of the victim or status as a crime victim or witness. Given the lack of clarity in the record concerning whether certain prospective jurors were discharged or retained, it could not be said that defendant's claim of prejudice was refuted by the record. Since the record established that the unusually short time restriction imposed by the court prevented counsel from having a sufficient opportunity to examine the various prospective jurors whose statements could reasonably be expected to elicit further questioning, defendant's claim of prejudice could not be discounted.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 459; Jury §§ 170, 178, 180.
CARMODY-WAIT 2d, Jury Selection and Supervision
§ 191:27; CARMODY-WAIT 2d, Appeals in Criminal Cases
§ 207:170.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 22.3,
24.11.
NY JUR 2d, Criminal Law: Procedure §§ 2544, 3454, 3549,
3647.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; New Trial; Voir Dire.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: voir /2 dire /p object! /6 time /3 limit!

POINTS OF COUNSEL

Office of the Appellate Defender, New York City (Jalina J. Hudson, Richard M. Greenberg and Eunice C. Lee of counsel), for appellant. I. Owen Steward was denied his right to a fair and impartial jury and to meaningful participation in jury selection where the trial court arbitrarily and systematically imposed a five-minute limit on voir dire, thereby prohibiting defense counsel from conducting an adequate inquiry of prospective jurors. (*People v Branch*, 46 NY2d 645; *People v Rampersant*, 182 AD2d 373; *People v Hoffler*, 53 AD3d 116; *United States v Quinones*, 511 F3d 289; *People v Jean*, 75 NY2d 744; *People v Wright*, 13 AD3d 726; *People v Davis*, 166 AD2d 453; *People v Erickson*, 156 AD2d 760; *People v Habte*, 35 AD3d 1199.) II. The fact-finding province of the jury was usurped where the trial court permitted witnesses to identify Owen Steward on a videotape that had been admitted into evidence, thereby denying Mr. Steward his right to a fair trial. (*People v Narrod*, 23 AD3d 1061; *Corelli v City of New York*, 88 AD2d 810; *Kulak v Nationwide Mut. Ins. Co.*, 40 NY2d 140; *People v Harte*, 29 AD3d 475.) III. The trial court abused its discretion and denied Owen Steward due process by ruling that, if Mr. Steward chose to testify at trial, he could be impeached by a 13-year-old conviction that was remote and lacked probative value. (*People v Sandoval*, 34 NY2d 371; *People v Ellis*, 94 AD2d 652; *People v Cooke*, 101 AD2d 983; *People v Pippin*, 67 AD2d 413; *People v Schwartzman*, 24 NY2d 241; *People v Williams*, 56 NY2d 236; *People v Dickman*, 42 NY2d 294; *People v Grant*, 7 NY3d 421.)

Cyrus R. Vance, Jr., District Attorney, New York City (Timothy C. Stone and Dana Poole of counsel), for respondent. I. Contrary to defendant's largely unpreserved argument, the trial judge properly exercised her broad discretion by setting reasonable time limits on the parties' voir dire. (*People v Boulware*, 29 NY2d 135; *People v Rampersant*, 182 AD2d 373; *People v Jean*, 75 NY2d 744; *People v Nieves*, 2 NY3d 310; *People v Hines*, 97 NY2d 56; *People v Corbett*, 68 AD2d 772, 52 NY2d 714; *People v Jelke*, 284 App Div 211, 308 NY 56; *People v Smith*, 290 AD2d 367, 97 NY2d 762; *People v Rodriguez*, 184 AD2d 317, 80 NY2d 909; *People v Hecker*, 15 NY3d 625.) II. The trial judge appropriately exercised her discretion by allowing testimony about

the nightclub surveillance video. (*People v Russell*, 79 NY2d 1024; *People v Grant*, 7 NY3d 421; *People v Romero*, 78 NY2d 355; *People v Medina*, 53 NY2d 951; *People v Rivera*, 259 AD2d 316; *United States v Robinson*, 804 F2d 280; *People v Harte*, 29 AD3d 475; *Corelli v City of New York*, 88 AD2d 810; *People v Sampson*, 289 AD2d 1022, 97 NY2d 733; *People v Morgan*, 214 AD2d 809, 86 NY2d 783.) III. The court's *Sandoval* ruling was a proper exercise of discretion. (*People v Sandoval*, 34 NY2d 371; *People v Hayes*, 97 NY2d 203; *People v Grant*, 7 NY3d 421; *People v Romero*, 78 NY2d 355; *People v Greer*, 42 NY2d 170; *People v Williams*, 56 NY2d 236; *People v Mayrant*, 43 NY2d 236; *People v Walker*, 83 NY2d 455; *People v Rivera*, 227 AD2d 205, 88 NY2d 993; *People v Rodriguez*, 284 AD2d 243, 97 NY2d 643.) IV. The lower court properly provided the deliberating jurors, at trial defense counsel's request, with written copies of its instructions on the elements of the charged crimes. (*People v Lewis*, 5 NY3d 546; *People v Aezah*, 191 AD2d 312, 81 NY2d 1010; *People v Owens*, 69 NY2d 585; *People v Douglas*, 156 AD2d 173.)

OPINION OF THE COURT

GRAFFEO, J.

The issue before us in this appeal is whether the trial court abused its discretion in imposing a five-minute limitation on counsel for the questioning of jurors during each round of voir dire in this multiple felony case. Based on the seriousness and number of charges, the identity of the victim and certain characteristics of prospective jurors that were revealed during examination by the court, we conclude that the trial court erred in adhering to the unusually short time restriction after defense counsel objected. Defendant is therefore entitled to a new trial.

This prosecution arose from a robbery that allegedly occurred outside a Manhattan nightclub in the early morning hours of July 23, 2006. The alleged victim of the crime was Raashaun Casey, a prominent radio personality in New York City known as "DJ Envy" who hosted a show on "HOT 97," a popular radio station. According to the witnesses presented by the People at trial, defendant and an unidentified accomplice accosted Casey and his friend Derrick Parris at gunpoint as the two men were leaving the nightclub, demanding that Casey hand over his \$25,000 gold and diamond necklace.

After obtaining the necklace, defendant and the accomplice fled the scene in a vehicle driven by defendant. Casey and Paris

followed them in Casey's car, resulting in a high speed car chase through lower Manhattan. The defendant's vehicle crashed and the pursuit continued on foot, with the victim and Parris ultimately apprehending and detaining defendant but not the accomplice (whose identity remains unknown). Defendant offered proof suggesting that he had been beaten by Casey and Parris before the police arrived, which resulted in his hospitalization for several days after his arrest. Defendant was subsequently charged with multiple counts of first- and second-degree robbery as well as various weapon possession offenses.

Prior to the commencement of jury selection, the trial judge informed the parties that the attorneys would be given only five minutes to question each panel of prospective jurors. The judge began voir dire by instructing and examining the venire members on a variety of topics and then permitted counsel to question the panel. At the conclusion of the first round of voir dire, defense counsel objected to the time limit, contending that five minutes was an insufficient period of time for counsel to conduct an adequate inquiry of venire persons in light of the complexity of the prosecution, which involved multiple class B felony charges. Defense counsel suggested that the trial judge's usual five minute "rule" that she had employed in misdemeanor cases—where only six jurors were being selected and the parties had only three peremptory challenges—should not apply in this instance where the charges against defendant were serious, 12 jurors were being selected and the parties would be exercising 15 peremptory challenges. He also cited examples of several topics that he hoped to discuss with the prospective jurors but had not had time to address as he was able to speak to only two of the 16 prospective jurors during the allotted time. Without addressing defendant's objection, the court continued to enforce the time limit in the two subsequent rounds of voir dire.

The impact of this decision was evident throughout the remainder of voir dire, particularly in the third round. In response to questioning by the court, 12 prospective jurors indicated that they, or people close to them, had been victims of robbery or theft. Several others stated that they had either witnessed or been the victims of violent crimes. Some of these individuals told the judge that they did not "think" their past experiences would affect their ability to deliberate in this case while at least one indicated it might (the court did not follow-up with this juror). After this series of questions, the court sua sponte excused a number of jurors but the record does not

indicate whether the individuals that had been crime victims were discharged (defendant suggests that none were). Given the unusual role the victim allegedly played in facilitating defendant's capture and arrest and the considerable number of venire members that had been victims of crime, there were undoubtedly topics that would have been appropriate for follow-up questioning by counsel.

During this same round, two prospective jurors indicated that they had ties to law enforcement and several others identified themselves as lawyers or law students. Two members of the panel stated they had previously served on a jury; one had deliberated to verdict and the other case ended in a hung jury. In addition, three jurors responded that they were familiar with "DJ Envy," with one acknowledging that he listened to the victim's radio show.¹

Yet, as a result of the time restriction on questioning by counsel, defense counsel had only five minutes to explore the issues that had arisen during questioning by the court. Defense counsel used his time segment to ask follow-up questions of the prospective juror that had previously sat on a deadlocked jury. He also inquired of the panel whether jurors would hold it against his client if he did not give an opening statement and whether they would draw a negative inference from his client's decision not to testify on his own behalf. At this point, the court interrupted counsel to warn him that only one minute remained for questioning. Time expired before defense counsel had an opportunity to examine any of the prospective jurors who stated that they had heard of the victim or indicated that they had been witnesses or victims of crime.

After the jury was selected and sworn, the trial proceeded and defendant was convicted of two counts of robbery in the first degree and one count of robbery in the second degree. On appeal, defendant contended that he should be granted a new trial because counsel was not provided with an adequate opportunity to examine prospective jurors during voir dire and the defense

1. This was a recurring theme during jury selection. Before prospective jurors were placed in panels, the trial court generally asked the entire venire whether they had heard of or knew the victim either by the name Raashaun Casey or "DJ Envy." Many individuals raised their hands. The court then instructed that anyone who thought his or her knowledge of the victim would impede fair consideration of the evidence was free to leave. An unidentified number of individuals left—but it appears that many prospective jurors that were familiar with the victim remained, including the three venire members questioned during the third round.

was prejudiced as a result. The Appellate Division rejected this argument and affirmed the conviction (72 AD3d 524 [2010]). A Judge of this Court granted defendant leave to appeal (15 NY3d 810 [2010]) and we now reverse.

[1] In criminal cases, jury selection is governed by CPL 270.15, which directs that prospective jurors will initially be questioned by the trial court (CPL 270.15 [1] [b]). The statute also provides:

“The court shall permit both parties . . . to examine the prospective jurors, individually or collectively, regarding their qualifications to serve as jurors. Each party shall be afforded a fair opportunity to question the prospective jurors as to any unexplored matter affecting their qualifications, but the court shall not permit questioning that is repetitious or irrelevant, or questions as to a juror’s knowledge of rules of law” (CPL 270.15 [1] [c]).

CPL 270.15 does not contain guidelines relating to the duration of voir dire but states that the scope of counsel’s examination of prospective jurors “shall be within the discretion of the court” (*id.*). This Court has emphasized the broad discretion afforded trial courts in this arena (*see People v Jean*, 75 NY2d 744 [1989]; *People v Pepper*, 59 NY2d 353 [1983]; *People v Boulware*, 29 NY2d 135 [1971], *cert denied* 405 US 995 [1972]), while cautioning that any restrictions imposed on voir dire “must nevertheless afford . . . counsel a fair opportunity to question prospective jurors about relevant matters” (*Jean*, 75 NY2d at 745).

As we have previously recognized, this area of law is not amenable to “the formulation of precise standards or to the fashioning of rigid guidelines” that can be applied across-the-board in all cases (*Boulware*, 29 NY2d at 139). Thus, the Legislature has left to the trial court the supervision of the process of counsel questioning during jury selection. Should a court choose at the outset to allocate a fixed period of time for such questioning, the allotment should be appropriate to the circumstances of the case.

[2] It would be impossible to compile an exhaustive list of all the factors that might inform a trial court’s determination of this issue. But, in most cases, relevant considerations would include: the number of jurors and alternate jurors to be selected and the number of peremptory challenges available to the parties; the number, nature and seriousness of the pending charges; any notoriety the case may have received in the media or local

community; special considerations arising from the legal issues raised in the case, including anticipated defenses such as justification or a plea of not responsible by reason of mental disease or defect; any unique concerns emanating from the identity or characteristics of the defendant, the victim, the witnesses or counsel; and the extent to which the court will examine prospective jurors on relevant topics. Because voir dire is a fluid process and it is not always possible to anticipate the issues that may arise during examination of the venire, it is also incumbent on counsel to advise the court if any temporal limitation imposed relating to juror questioning is proving, in practice, to be unduly restrictive and prejudicial.

In this case, the trial judge was particularly conscientious in her extensive examination of the venire and her sua sponte discharge of prospective jurors who offered troubling responses—a commendable approach that is certainly to be encouraged. But the controversy centers around the court’s imposition of a five minute restriction on counsel questioning for each round of voir dire. As defendant points out, five minutes per round is significantly shorter than the time restrictions that have previously been upheld in this Court and the Appellate Divisions (*see Jean*, 75 NY2d 744 [trial court did not abuse its discretion in limiting counsel questioning to 15 minutes in first two rounds and 10 minutes in third round of voir dire]; *see e.g. People v Davis*, 166 AD2d 453 [2d Dept 1990], *lv denied* 76 NY2d 985 [1990] [15 minute restriction in first round followed by 10 minutes in second and third rounds not an abuse of discretion]; *People v Erickson*, 156 AD2d 760 [3d Dept 1989], *lv denied* 75 NY2d 966 [1990] [10 minute restriction in each round was not an abuse of discretion]). While we agree with the People that this fact is not determinative because the propriety of a limitation on counsel questioning must be assessed based on all the circumstances presented in a particular case, the fact that the time restriction appears to be substantially shorter than the norm in this multiple felony prosecution is an important consideration in our review of defendant’s claim.

It is also significant that defendant was facing four serious class B violent felony charges—offenses punishable by up to 25 years in prison—as well as five other felony offenses. And jury selection was complicated by the fact that the victim was a local radio celebrity. During questioning of the venire, it became apparent that the victim was known to many prospective jurors, with one panel member cryptically indicating that the radio

station that carried his program had a “reputation” in the community. In addition, the facts were somewhat unusual as the case involved allegations that the victims of the crime had turned the tables on the assailants after the robbery, pursuing them in a car chase and eventually capturing defendant (allegedly through the application of significant force). The case therefore raised potentially sensitive issues concerning the use of self-help by crime victims—a consideration that increased in significance once it became apparent that many of the prospective jurors had themselves been victims of crime.

In light of these circumstances, it would not have been surprising if the trial court had allotted a longer-than-average period of time for the attorneys to conduct their questioning. Instead, the attorneys were significantly limited in their efforts to follow-up on provocative answers given by prospective jurors in response to the court’s inquiries. Although defense counsel specifically alerted the court during the first round of voir dire that the time limit was unduly restrictive and that he had been able to examine only two jurors during the allotted five minutes, the judge neither revisited the issue nor explained why she had concluded that five minutes was sufficient.²

Defendant argues that the trial judge did not offer an explanation because she applied a similar rule for jury selection in all cases, regardless of the number of jurors being selected, the number or seriousness of the charges or the complexity of the issues. Although such a “one size fits all” approach does not seem to have been what the Legislature had in mind when it granted trial courts broad discretion in CPL 270.15 (1) (c), the fact that the trial court may or may not have imposed the same limitation in other cases is not relevant to the resolution of this appeal. And, from a practical standpoint, some uniformity in jury selection procedures involving comparable prosecutions is to be expected. Judges may well begin voir dire with the assumption that a time limitation that has proven appropriate in other similar trials will be adequate again (although the court should be willing to reconsider the propriety of that restriction if a party raises a legitimate concern once jury selection is underway).

2. While the trial court certainly had no obligation to articulate the basis for her decision on the record, such an explanation would have facilitated appellate review. Without it, we must search the record ourselves to discern whether there was a sufficient basis for the court’s conclusion that the time restriction provided counsel the requisite “fair opportunity” to examine prospective jurors.

But, as noted above, this was hardly a typical case. And, after counsel brought the issue to the court's attention, the difficulties posed by the time restriction became more apparent when a significant number of venire members revealed that they, or someone close to them, had been a crime victim and several others indicated their familiarity with the victim. Considering the factors that we have discussed, we conclude that the trial court abused its discretion in continuing to enforce the five-minute limitation on counsel questioning after counsel's timely objection explaining why the time period was insufficient.

[3] This error, standing alone, does not warrant reversal. A trial court's abuse of discretion in limiting the scope of counsel questioning will not warrant reversal unless defendant establishes that he suffered prejudice (*see Jean*, 75 NY2d at 745). In this case, however, the prejudice inquiry is hampered by the manner in which the jury selection process was transcribed by the court stenographer. The prospective jurors that answered questions are not identified in the record by name, initials or panel number. Rather, all members of the venire are referred to as "prospective juror" in the transcript making it difficult to differentiate between them. And there were occasions when groups of prospective jurors were excused sua sponte by the court but the record fails to identify which individuals were retained and which were dismissed. Through no fault of the court or defense counsel, it is therefore difficult to definitively resolve certain issues relevant to the prejudice inquiry.

Defendant contends that he suffered prejudice because critical issues were revealed during jury selection involving a large number of prospective jurors and, as a result of the five-minute time restriction, his attorney was unable to query the various venire members that had responded to the court's inquiries in a problematic or provocative manner. And he suggests that some of these individuals did, in fact, serve on the jury that convicted him.

Given the lack of clarity in the record concerning whether certain prospective jurors were discharged or retained, we cannot say that defendant's claim of prejudice is refuted by the record. This is not a case where defendant has done nothing other than identify one or two venire persons who made questionable remarks but were not examined by counsel due to a time constraint. In the third round of voir dire alone, more than a dozen prospective jurors seem to have said something that invited additional inquiry in connection with their knowledge of the victim

or status as a crime victim or witness—topics especially pertinent to this case. While none of these jurors made statements that, without further elaboration, would have justified their dismissal for cause, the purpose of follow-up questioning by the court or counsel is to explore hidden biases. During jury selection, attorneys pay close attention to juror responses in order to identify who should be challenged “for cause” and decide whether to exercise peremptory challenges. This process may be thwarted if an insufficient amount of time is permitted for questioning. And, here, due to peculiarities in the record, it is impossible to contradict the contention that the problematic prospective jurors that counsel was unable to examine ultimately sat on the jury that convicted him of multiple class B violent felonies.

Although we conclude that reversal is warranted in this case, we agree with the People that it is certainly possible that the statements made by these venire members were not indicative of any inappropriate bias (this, too, might have been established had counsel been provided a greater opportunity to pursue follow-up questioning). And we also recognize that efficiency is an important consideration and that judges are in the difficult position of having to properly marshal limited court resources while at the same time respecting the rights of jurors and ensuring that the parties receive a fair trial. Sometimes this can be a difficult balance to strike. But the fact remains that trial judges are not always able to cover all avenues of questioning that interest the parties during voir dire—that is why the Legislature has directed that counsel must be provided a “fair opportunity” to examine prospective jurors after the court has concluded its questioning (*see* CPL 270.15 [1] [c]). Since the record here establishes that the unusually short time restriction imposed by the court prevented counsel from having a sufficient opportunity to examine the various prospective jurors whose statements could reasonably be expected to elicit further questioning, and defendant’s claim of prejudice cannot be discounted, we conclude that the conviction must be reversed and the case remitted for a new trial.

In light of our resolution of the voir dire issue, it is unnecessary for us to consider defendant’s other claims of error.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

SMITH, J. (dissenting). This case seems to me to raise a single issue: Is five minutes of lawyer-conducted voir dire per side too

little time, as a matter of law, for the first round of jury selection in a felony case? I would answer that question no. The majority does not address it, but answers another question, one I do not think is preserved in this record.

After conducting her own voir dire of the first-round panelists, the trial judge gave each counsel five minutes to question them. After they had done so, defense counsel asked “to put on the record my objection to the time limit.” He made clear that the objection was one he had made to the same judge before, in other cases: “I tried cases before you in supreme court and criminal court. My objection isn’t something new to you, but I need to make it nevertheless.” Counsel then spoke about the importance of peremptory challenges and the need for a “fair opportunity to question jurors.” He said that he had found “no case where only five minutes was allowed in the first round of voir dire, particularly a Class B violent felony or any other felony.” He relied on a mathematical calculation: “Sixteen jurors in the box and five minutes to speak with them averages to less than 20 seconds per [prospective] juror.”

Counsel made no criticism of the judge’s voir dire, and acknowledged it was “thorough,” but stressed that his job as an advocate was different from the judge’s. He summarized by saying: “[M]y objection is that your time limit here in this case violates the defendant’s statutory right to exercise preliminary challenges and violates his rights under the state and federal constitution.” At the end of his argument, counsel briefly mentioned the circumstances of the present case, saying that he “used up four out of my five minutes” in questions of individual jurors and was forced to omit some subjects he would have covered with the group.

It is clear to me that counsel was making a generic objection to the five minute time limit, though he illustrated his argument by referring to the case at hand. He was saying that, at least in the first round of a felony case, where 12 jurors may be selected and that number of panelists or more—16 in this case—are being interviewed, five minutes is just not enough time for a lawyer to talk to them. The argument is not an unreasonable one, but I would reject the per se rule that defendant asked for.

CPL 270.15 (1) (c) says, in relevant part:

“The court shall permit both parties . . . to examine the prospective jurors, individually or collectively,

regarding their qualifications to serve as jurors. Each party shall be afforded a fair opportunity to question the prospective jurors as to any unexplored matter affecting their qualifications, but the court shall not permit questioning that is repetitious or irrelevant, or questions as to a juror's knowledge of rules of law."

The question here is whether, by limiting defendant to five minutes in the first round, the trial court denied him "a fair opportunity to question the prospective jurors as to any unexplored matter affecting their qualifications." What amounts to "a fair opportunity" is to be decided by the trial court in its discretion (*People v Jean*, 75 NY2d 744 [1989]). In *Jean*, we held that a trial court did not abuse its discretion by limiting counsel to 15 minutes in each of the first two rounds, and 10 minutes in the third.

So long as the trial court allows some appreciable time for lawyer questioning—and five minutes is appreciably more than zero—I would not hold as a matter of law that any minimum number of minutes is necessary. A lawyer who thinks more time is needed to "question the prospective jurors as to any unexplored matter" should tell the court what the "unexplored matter" is; in this case, defense counsel identified no subject not covered in the trial court's own "thorough" questioning. If he had done so, the judge might well have given him more than five minutes.

In exercising its discretion to keep lawyers on a very short leash during voir dire, the trial court implicitly recognized two important facts of courtroom life: Time is precious, and lawyers questioning prospective jurors waste a lot of it. Lawyer-conducted voir dire no doubt has its value, but it is a very inefficient process, as lawyers understandably try to get to know as well as they possibly can each human being who might serve on the jury. The Legislature's purpose in enacting CPL 270.15 (1) (c) was to avoid such waste of time by "instructing the court to maintain tight control over voir dire questioning" (Preiser, Practice Commentaries, McKinney's Cons Laws of NY, Book 11A, CPL 270.15, at 276 [2002 ed])—a practice we had previously encouraged (*People v Boulware*, 29 NY2d 135, 140 [1971]). I believe we would best serve the legislative goal by not requiring any arbitrary minimum for lawyer-conducted voir dire.

Today's majority does not suggest that it disagrees. Indeed, it disapproves of rules "that can be applied across-the-board in all

cases'' in this area (majority op at 110). Yet it reverses defendant's conviction on a ground that defendant never presented to the trial court: that the special circumstances of this case rendered the five minute limit too strict—especially in the third round of jury selection, where an unusual number of people who had been, or whose relatives had been, crime victims appeared as prospective jurors.

The majority may be right about this, but I do not see why defendant should be excused from preserving the argument. He could have said to the trial judge, essentially, everything the majority now says, but he said none of it. He never suggested that he needed more time in the third round to ask about the crimes of which panelists or their family members had been victims; indeed, he made no objection to the time limit during the third round of jury selection. He did not say, at any stage of the voir dire, that the victim's modest fame, or any other fact unique to this case, made lengthier questioning appropriate. If he had said that, perhaps the trial judge would have agreed with him. But he preserved only a generic objection to the time limit. Since I think that objection should fail, I would affirm.

Chief Judge LIPPMAN and Judges CIPARICK, PIGOTT and JONES concur with Judge GRAFFEO; Judge SMITH dissents and votes to affirm in a separate opinion in which Judge READ concurs.

Order reversed, etc.

[950 NE2d 500, 926 NYS2d 867]

ERIC CRAGG, as Administrator of the Estate of KAYLA MARGARET ROSE CRAGG, Deceased, Appellant, v ALLSTATE INDEMNITY CORPORATION, Respondent, et al., Defendants.

Argued May 4, 2011; decided June 9, 2011

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered May 7, 2010. The Appellate Division affirmed a judgment (denominated order) of the Supreme Court, Erie County (Patrick H. NeMoyer, J.), which had granted defendant Allstate Indemnity Corporation's motion for summary judgment declaring that it had no obligation to defend or indemnify defendant insureds.

Cragg v Allstate Indem. Corp., 74 AD3d 90, reversed.

HEADNOTES

Death — Wrongful Death — Wrongful Death Claim Belongs to Decedent's Distributees

1. In an action brought by plaintiff, as administrator of his daughter's estate, for the daughter's wrongful death and conscious pain and suffering, the claim for conscious pain and suffering belonged to the estate of the deceased, while the wrongful death claim belonged to the decedent's distributees. Here, the plaintiff's wrongful death claim was based on his own loss and was not derivative of any claim on behalf of his daughter.

Insurance — Homeowner's Insurance — Duty to Defend and Indemnify — Exclusion

2. Plaintiff, the father and administrator of the estate of a girl who accidentally drowned in a swimming pool at her grandparents' house where she and her mother also resided, was entitled to a judgment declaring that defendant insurer was required to defend and indemnify the insured grandparents and mother under a homeowner's insurance policy in an underlying wrongful death action, notwithstanding that the policy contained an exclusion stating that it did "not cover bodily injury to an insured person . . . whenever any benefit of this coverage would accrue directly or indirectly to an insured person." Exclusions from policy coverage are accorded a strict and narrow construction, and any ambiguity is construed in favor of the insured. Here, where the policy did not define the term "benefit," the language of the exclusion was ambiguous. Under the insurer's interpretation, i.e., that bodily injury to an insured is not covered whenever any benefit, including coverage itself in the form of defense and indemnification, would accrue to an insured, the condition of the second clause of the exclusion would always be met, as the right to defense and indemnification universally accrues to an insured. In order to give full force and effect to the policy language without rendering a portion of the provision meaningless, a benefit must mean something other than coverage itself and is more naturally read to mean proceeds paid under the

policy. Thus, the exclusion did not operate to bar coverage for the noninsured plaintiff's wrongful death claim.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 293, 298, 307, 705, 711.

COUCH ON INSURANCE (3d ed) §§ 22:14–22:16, 22:31, 22:32, 128:2–128:11.

NY JUR 2d, Insurance §§ 836, 837, 845, 849–854, 872, 1652, 1653, 1662, 1667.

ANNOTATION REFERENCE

See ALR Index under Homeowner's Insurance; Insurance and Insurance Companies.

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Query: homeowner /2 insurance & exclu! /s benefit

POINTS OF COUNSEL

Magavern Magavern Grimm LLP, Buffalo (*Edward J. Markarian* of counsel), and *Law Office of John J. Fromen (John J. Fromen, Jr., of counsel)* for appellant. I. The language of Allstate Indemnity Corporation's policy provides coverage for plaintiff's wrongful death claim. (*Heslin v County of Greene*, 14 NY3d 67; *Hernandez v New York City Health & Hosps. Corp.*, 78 NY2d 687; *George v Mt. Sinai Hosp.*, 47 NY2d 170; *Belt Painting Corp. v TIG Ins. Co.*, 100 NY2d 377; *Ace Wire & Cable Co. v Aetna Cas. & Sur. Co.*, 60 NY2d 390; *Matter of Martin*, 32 Misc 2d 555; *Matter of Terry v General Elec. Co.*, 232 NY 120; *Pioneer Tower Owners Assn. v State Farm Fire & Cas. Co.*, 12 NY3d 302; *Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304; *Cone v Nationwide Mut. Fire Ins. Co.*, 75 NY2d 747.) II. The interpretation adopted by the Appellate Division renders terms of the exclusion meaningless, and the history of the exclusion sheds light on how it should be interpreted. (*County of Columbia v Continental Ins. Co.*, 83 NY2d 618; *Roundabout Theatre Co. v Continental Cas. Co.*, 302 AD2d 1; *Continental Cas. Co. v Rapid-American Corp.*, 177 AD2d 61, 80 NY2d 640; *New England Mut. Life Ins. Co. v Doe*, 93 NY2d 122; *Allstate Ins. Co. v Pestar*, 168 AD2d 931.) III. The Appellate Division misstated the law and misconstrued plaintiff's argument, and the purpose of homeowners' insurance is achieved, not defeated, by finding coverage. (*Doyle v Pawtucket Mut. Ins. Co.*, 243 AD2d 603; *Allstate*

Ins. Co. v Pestar, 168 AD2d 931.) IV. *Cincinnati Indem. Co. v Martin* (85 Ohio St 3d 604, 710 NE2d 677 [1999])—cited by the Appellate Division—involved a different exclusion, and the other cases cited by the courts below are inapposite. V. The argument which Allstate Indemnity Corporation recently made in a Wisconsin court is contrary to the argument it made here, and the rationale of the Wisconsin ruling supports plaintiff in this case as he is the only person who will be paid in the wrongful death action. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355.)

Goldberg Segalla LLP, Buffalo (*Patrick B. Omilian* and *Sharon Angelino* of counsel), for respondent. I. The great weight of authority supports a finding of no coverage for the wrongful death of Kayla Margaret Rose Cragg. (*Allstate Ins. Co. v DiGiorgi*, 9 F Supp 2d 657; *Tokley v State Farm Ins. Cos.*, 782 F Supp 1375.) II. The policy unambiguously excludes coverage for wrongful death damages resulting from bodily injury to an insured. (*Matter of Mostow v State Farm Ins. Cos.*, 88 NY2d 321; *Butler v New York Cent. Mut. Fire Ins. Co.*, 274 AD2d 924; *Breed v Insurance Co. of N. Am.*, 46 NY2d 351; *Matter of Progressive Ins. Cos. [Nemitz]*, 39 AD3d 1121; *Maurice Goldman & Sons v Hanover Ins. Co.*, 80 NY2d 986; *R & D Maidman Family L.P. v Scottsdale Ins. Co.*, 4 Misc 3d 728; *Hartford Fire Ins. Co. v Orient Overseas Containers Lines [UK] Ltd.*, 230 F3d 549; *Fitzpatrick v American Honda Motor Co.*, 78 NY2d 61; *Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304; *Tobias v Liberty Mut. Fire Ins. Co.*, 78 AD3d 928.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

This appeal requires us to interpret the breadth of an exclusion in a homeowner's insurance policy excluding coverage for bodily injury to an insured where an insured would receive "any benefit" under the policy.

Plaintiff, Eric Cragg, is the father of decedent, Kayla Margaret Rose Cragg. Three-year-old Kayla and her mother, defendant Marina Ward, lived with defendant grandparents, Gregory and Katherine Klein, in the Kleins' Clarence, New York home. In July 2001, Kayla drowned accidentally in the Kleins' swimming pool. At the time, the Kleins had a homeowner's insurance policy in place that had been issued by Allstate. Under the terms of the policy, Kayla and her mother were insured persons, as residents of the household who were related to the policyholders.

Plaintiff maintained a separate residence and was not an insured under the Kleins' homeowner's insurance policy.

Allstate disclaimed coverage based on the policy exclusion at issue here. Under "Coverage X[—]Family Liability Protection," the policy states that "[w]e do not cover bodily injury to an insured person . . . whenever any benefit of this coverage would accrue directly or indirectly to an insured person." Bodily injury is defined in the policy as "physical harm to the body, including sickness or disease, and resulting death." The policy does not define the term "benefit."

Plaintiff, as the administrator of Kayla's estate, commenced an action seeking to recover against defendants for Kayla's wrongful death and for her conscious pain and suffering. Defendant Ward defaulted and judgment was entered against her in the amount of \$300,000—\$150,000 for wrongful death and \$150,000 for pain and suffering. Plaintiff brought this declaratory judgment action against Allstate for a declaration that Allstate was required to defend and indemnify its insureds. Supreme Court granted Allstate's motion for summary judgment, declaring that Allstate had no obligation to defend or indemnify Ward or the Kleins in relation to the wrongful death or conscious pain and suffering claims.

The Appellate Division affirmed (74 AD3d 90 [4th Dept 2010]). That Court noted that the general purpose of homeowner's insurance policies is to provide coverage for injuries sustained by those who are not insured by the subject policy and found that, based on the plain language of the exclusion, Allstate did not have to indemnify Ward because she would thereby obtain a benefit under the policy. We granted plaintiff leave to appeal (15 NY3d 705 [2010]) and we now reverse.

[1] At this stage of the litigation, plaintiff properly limits his argument to the wrongful death claims of the underlying action. As we recently noted, a claim for conscious pain and suffering belongs to the estate of the deceased, rather than the distributees (*see Heslin v County of Greene*, 14 NY3d 67, 76-77 [2010]; EPTL 11-3.2 [b]). By contrast, "a wrongful death action belongs to the decedent's distributees and is designed to compensate the distributees themselves for their pecuniary losses as a result of the wrongful act" (*Heslin*, 14 NY3d at 76; *see also* EPTL 5-4.3). Plaintiff's wrongful death claim therefore is based on his own loss and is not derivative of any claim on behalf of his insured daughter.

Insurance contracts must be interpreted according to common speech and consistent with the reasonable expectations of the average insured (*see Matter of Mostow v State Farm Ins. Cos.*, 88 NY2d 321, 326-327 [1996]). To the extent that there is any ambiguity in an exclusionary clause, we construe the provision in favor of the insured. Moreover,

“ ‘exclusions or exceptions from policy coverage . . . are not to be extended by interpretation or implication, but are to be accorded a strict and narrow construction. Indeed, before an insurance company is permitted to avoid policy coverage, it must satisfy the burden which it bears of establishing that the exclusions or exemptions apply in the particular case, and that they are subject to no other reasonable interpretation’ ” (*Pioneer Tower Owners Assn. v State Farm Fire & Cas. Co.*, 12 NY3d 302, 307 [2009], quoting *Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304, 311 [1984]).

Allstate has not met that burden here.

[2] The language of the policy exclusion—excluding coverage “whenever any benefit of this coverage would accrue directly or indirectly to an insured”—is ambiguous. It could be interpreted, as Allstate urges, to mean that bodily injury to an insured is not covered whenever any benefit—including coverage itself in the form of defense and indemnification—would accrue to an insured. However, as plaintiff points out, this interpretation ascribes meaning only to the first clause of the exclusion—“[w]e do not cover bodily injury to an insured person.” Since the right to defense and indemnification universally accrues to an insured, under Allstate’s interpretation the condition of the second clause of the exclusion would always be met. However, the second part of the exclusion must somehow modify the first part of the clause in order to have any meaning. In this context, a benefit must mean something other than coverage itself and is more naturally read to mean proceeds paid under the policy. In light of our obligation to interpret the exclusion in a manner that gives full force and effect to the policy language and does not render a portion of the provision meaningless (*see County of Columbia v Continental Ins. Co.*, 83 NY2d 618, 628 [1994]), we find plaintiff’s interpretation of the clause to be more in keeping with these well-settled principles of contract interpretation.

The current version of the exclusion at issue was brought about in response to the decision in *Allstate Ins. Co. v Pestar*

(168 AD2d 931 [4th Dept 1990]). The prior version of the exclusion had excluded coverage for bodily injury to an insured. In *Pestar*, a child was injured when she dove into a State-owned lake. Her parents filed a negligence action against the State and the State counterclaimed seeking contribution. Despite the policy exclusion, the Appellate Division determined that Allstate had a duty to defend and indemnify the parents on the State's counterclaim, finding that "the liability at issue . . . is not the parents' liability to [the insured child] but rather the parents' potential liability to the State on a claim of equitable apportionment" (*Pestar*, 168 AD2d at 931-932). The insurer subsequently added language to the exclusion stating that bodily injury to an insured is not covered "whenever any benefit of this coverage would accrue directly or indirectly to an insured person" (see 9A Couch on Insurance 3d § 128:4).

Assuming the insurer intended this language to exclude coverage under the policy entirely for bodily injury to insureds, it did not accomplish the desired result. Instead of making the exclusion broader, the additional language can be read as limiting the application of the exclusion to situations where an insured would receive a benefit (i.e. payment) under the policy. The amendment, then, can be seen as the insurer's attempt to cut off indirect claims, such as claims for contribution. As relevant to this appeal, however, the exclusion fails to bar unambiguously payment to a noninsured plaintiff, that is to say it does not clearly cut off the nonresident distributee's wrongful death claims arising from the fatal injury to an insured.

Other jurisdictions have observed that there are valid policy reasons for excluding coverage in cases such as this one. They have noted that homeowner's insurance is generally meant to cover bodily injury to noninsureds (see *Cincinnati Indem. Co. v Martin*, 85 Ohio St 3d 604, 608, 710 NE2d 677, 680 [1999]) and that coverage is excluded in these types of situations in order to avoid imposing liability on the insurer in a case where the insured, due to a close relationship with the injured party, might be unmotivated to assist the insurer in defending against the claim (see *Whirlpool Corp. v Ziebert*, 197 Wis 2d 144, 149, 539 NW2d 883, 885 [1995]).* However, faced with a very similar case addressing the identical exclusion, the Wisconsin Supreme Court recently held that "Allstate has failed to meet its burden

* We note that the record does not provide any indication that there was collusion between these parties.

to demonstrate that the policy term ‘benefit’ unambiguously includes the contractual right to receive a defense or the contractual right to indemnification” (*Day v Allstate Indem. Co.*, 332 Wis 2d 571, 596-597, 798 NW2d 199, 212, 2011 WI 24, ¶ 57 [2011]). We agree with this analysis.

We therefore find that judgment should have been granted in plaintiff’s favor, as the exclusion did not operate to bar coverage for the noninsured plaintiff’s wrongful death claim for the death of the insured decedent.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the matter remitted to Supreme Court for further proceedings in accordance with this opinion.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

[950 NE2d 908, 927 NYS2d 304]

MARGARET GRONINGER, Appellant, v VILLAGE OF MAMARONECK,
Respondent.

Argued April 28, 2011; decided June 2, 2011

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered November 10, 2009. The Appellate Division affirmed an order of the Supreme Court, Westchester County (Mary H. Smith, J.), which had granted defendant's motion for summary judgment dismissing the complaint. The following question was certified by the Appellate Division: "Was the decision and order of this court dated November 10, 2009, properly made?"

Groninger v Village of Mamaroneck, 67 AD3d 733, affirmed.

HEADNOTE

Municipal Corporations — Snow and Ice — Prior Notice of Defective Condition — Scope of Statutory Prior Written Notice Requirement

In a personal injury action arising from plaintiff's slip and fall in a parking lot owned and maintained by defendant village, the defendant met its burden of establishing that it did not receive prior written notice of the icy condition allegedly causing plaintiff's fall and was entitled to summary judgment dismissing the complaint. Although a publicly-owned parking lot is not one of the six specifically enumerated locations in CPLR 9804 and Village Law § 6-628 in which prior written notice is required before a civil action may be maintained against a village for injuries sustained as the result of snow or ice upon a sidewalk, crosswalk, street, highway, bridge, or culvert, such notice was a condition precedent to plaintiff's action. Here, the parking lot in which plaintiff fell served the "functional purpose" of a "highway," as that term is defined in Vehicle and Traffic Law § 118, in that the parking lot was owned and maintained by defendant and was accessible to the general public for vehicular traffic. Moreover, while notice is obviated where the plaintiff demonstrates that the municipality negligently created the defect or that a special use conferred a benefit on the municipality, plaintiff here never raised the special benefit exception and, to the extent that plaintiff contended that the village created the icy condition, the opinion of plaintiff's expert engineer was speculative, as it was premised on an inspection conducted of the parking lot over two years after plaintiff's fall.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Highways, Streets, and Bridges §§ 518, 527;

AM JUR 2d, Municipal, County, School, and State Tort Liability §§ 193, 245, 250.

CARMODY-WAIT 2d, Actions By and Against Public Bodies and Public Officers §§ 144:176, 144:178, 144:181, 144:186.

McKINNEY's, CPLR 9804; Vehicle and Traffic Law § 118; Village Law § 6-628.

NY JUR 2d, Government Tort Liability §§ 109, 129, 221, 347, 354, 359, 360, 366.

PROSSER AND KEETON, TORTS (5th ed) § 131.

ANNOTATION REFERENCE

See ALR Index under Highways and Streets; Municipal Corporations; Notice and Knowledge; Parking Lots and Parking Garages; Snow, Ice, Sleet, or Frost.

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POINTS OF COUNSEL

Arnold E. DiJoseph, P.C., New York City (*Arnold E. DiJoseph, III*, of counsel), and *Michael A. Barnett*, for appellant. The Appellate Division committed clear error by neither considering nor adhering to this Court's holding in *Walker v Town of Hempstead* (84 NY2d 360 [1994]) with respect to any case involving a public parking lot, parking field or parking garage owned or operated by a municipal entity. (*Stratton v City of Beacon*, 91 AD2d 1018; *Doherty v Town of Clarkstown*, 233 AD2d 477; *Lauria v City of New Rochelle*, 225 AD2d 1013; *Healy v City of Tonawanda*, 234 AD2d 982; *Tuzzolo v Town of Hempstead*, 292 AD2d 446; *Peters v City of White Plains*, 58 AD3d 824; *Mendes v Whitney-Floral Realty Corp.*, 216 AD2d 540; *Englehardt v Town of Hempstead*, 141 AD2d 601; *Fitzpatrick v Barone*, 215 AD2d 351; *Mountain View Coach Lines v Storms*, 102 AD2d 663.)

Morris Duffy Alonso & Faley, New York City (*Anna J. Ervolina* and *Kenneth E. Pitcoff* of counsel), for respondent. The dismissal of plaintiff's complaint should be affirmed because municipal parking lots are subject to the prior written notice requirements. (*Amabile v City of Buffalo*, 93 NY2d 471; *Yarborough v City of New York*, 10 NY3d 726; *Wohlars v Town of Islip*, 71 AD3d 1007; *Staudinger v Village of Granville*, 304 AD2d 929; *Healy v City of Tonawanda*, 234 AD2d 982; *Walker v Town of Hempstead*, 84 NY2d 360; *Woodson v City of New York*, 93

NY2d 936; *People v County of Westchester*, 282 NY 224; *People v Thew*, 44 NY2d 681; *People ex rel. Metropolitan St. Ry. Co. v State Bd. of Tax Commrs.*, 174 NY 417.)

OPINION OF THE COURT

PIGOTT, J.

Plaintiff commenced this personal injury action against the Village of Mamaroneck after she slipped and fell on ice in a parking lot owned and maintained by the Village. The Village moved for summary judgment dismissing the complaint, asserting that it had neither received prior written notice of the defect (see CPLR 9804; Village Law § 6-628) nor created the icy condition. Plaintiff opposed the motion, asserting, as relevant to this appeal, that the written notice requirement does not apply to publicly-owned parking lots.

Supreme Court granted the Village's motion and the Appellate Division affirmed, rejecting plaintiff's contention, and holding that the Village met its burden of demonstrating that it had not received such notice (67 AD3d 733 [2d Dept 2009]). The court further held that plaintiff failed to meet her burden of showing that either exception to the written notice requirement applied (*id.* at 734) and certified to this Court the question of whether its decision and order was properly made.

Village Law § 6-628, which is nearly identical to CPLR 9804, provides, in pertinent part, that

“[n]o civil action shall be maintained against the village . . . for damages or injuries to person or property sustained solely in consequence of the existence of snow or ice upon any sidewalk, crosswalk, street, highway, bridge or culvert unless written notice of the defective, unsafe, dangerous or obstructed condition or of the existence of the snow or ice, relating to the particular place, was actually given to the village clerk and there was a failure or neglect within a reasonable time after the receipt of such notice to repair or remove the defect, danger or obstruction complained of, or to cause the snow or ice to be removed, or the place otherwise made reasonably safe.”

Such notice is obviated where the plaintiff demonstrates that the municipality “created the defect or hazard through an affirmative act of negligence” or that a “special use” conferred a

benefit on the municipality (*Amabile v City of Buffalo*, 93 NY2d 471, 474 [1999]).

Plaintiff, relying on our holding in *Walker v Town of Hempstead* (84 NY2d 360 [1994]), argues that because a publicly-owned parking lot does not fall within any of the six specifically enumerated locations in the written notice statutes, it is not subject to the written notice requirement. We reject this argument and affirm the Appellate Division's order.

In *Walker*, the plaintiff brought a negligence action against the town for injuries he sustained on a municipal paddleball court in the town's "beach area" (84 NY2d at 364). The town code required prior written notice of defects existing in, among other things, "parking field[s]," "beach area[s]" and "playground equipment" (*Walker*, 84 NY2d at 364 n 1). This Court concluded that the town's written notice requirement ran afoul of General Municipal Law § 50-e (4)'s directive that "[n]o other or further notice . . . shall be required" concerning defects on municipal property that fall outside the statutorily delineated locations (i.e., sidewalk, crosswalk, street, highway, bridge or culvert). In reaching that conclusion, we stated that "we can only construe the Legislature's enumeration of six, specific locations in the exception . . . as evincing an intent to exclude any others not mentioned" and therefore constituting "a prohibition of any notice of defect enactment pertaining to locations beyond the six specified," meaning that the town could not rely on the lack of prior written notice as a defense to a paddleball court accident (*Walker*, 84 NY2d at 367-368 [citation omitted]). It is this last point of law upon which plaintiff relies in asserting that, because a publicly-owned parking lot is not listed as one of the locations in which defects require prior written notice, such notice was not a condition precedent to suit.

For nearly 30 years, the courts of this state have consistently found that a publicly-owned parking lot falls within the definition of a "highway" and therefore prior notice of defect is required (*see e.g. Peters v City of White Plains*, 58 AD3d 824, 825 [2d Dept 2009]; *Walker v Incorporated Vil. of Freeport*, 52 AD3d 697, 697 [2d Dept 2008]; *Healy v City of Tonawanda*, 234 AD2d 982, 982 [4th Dept 1996]; *Lauria v City of New Rochelle*, 225 AD2d 1013, 1013-1014 [3d Dept 1996]; *Stratton v City of Beacon*, 91 AD2d 1018, 1019 [2d Dept 1983]).

Plaintiff asserts that the post-*Walker* cases directly conflict with our statement in *Walker* that the town's local law requiring prior written notice as to "parking field[s]" and "beach ar-

ea[s]” was “flatly inconsistent with” General Municipal Law § 50-e (4)’s plain language excluding the written notice requirement for locations outside the delineated six (*Walker*, 84 NY2d at 366). That argument ignores our holding in the post-*Walker* decision *Woodson v City of New York* (93 NY2d 936 [1999]).

In *Woodson*, the plaintiff sued for injuries arising out of his fall on a stairway that led from a sidewalk to a municipal park. This Court rejected the plaintiff’s assertion that prior written notice of the defect was not a prerequisite to suit because a “stairway” was not listed as one of the six named locations in the statute. Specifically, this Court noted that the Administrative Code of the City of New York’s definition of “sidewalk” included the term “stairway,” and concluded that the Administrative Code’s notice requirement did not run afoul of General Municipal Law § 50-e (4) because a stairway “functionally fulfills the same purpose” as a standard sidewalk, save for the fact that the former is “vertical instead of horizontal” (*Woodson*, 93 NY2d at 937, 938).

The parking lot here serves the “functional purpose” of a “highway,” which Vehicle and Traffic Law § 118 broadly defines as “[t]he entire width between the boundary lines of every way publicly maintained when any part thereof is open to the use of the public for purposes of vehicular travel.” It was owned and maintained by the Village and was accessible to the general public for vehicular travel. As a result, the Village was entitled to notice and an opportunity to correct any defect before being required to respond to any claim of negligence with respect thereto. This holding recognizes that municipalities, which are “not expected to be cognizant of every crack or defect within [their] borders, will not be held responsible for injury from such defect unless given an opportunity to repair it” (*Gorman v Town of Huntington*, 12 NY3d 275, 279 [2009]).

The Village, through the testimony of its representative, met its burden of establishing that it did not receive prior written notice of the icy condition, thereby shifting to plaintiff the burden of demonstrating either that a question of fact existed in that regard or that one of the *Amabile* exceptions applied. Plaintiff never contested the Village’s proof that it had not received prior written notice of the defect, asserting, instead, that such notice was unnecessary. Moreover, plaintiff never raised the “special benefit” exception and, to the extent that plaintiff contends that the Village’s snow removal operations created the icy condition that caused plaintiff to fall (*see San*

Marco v Village/Town of Mount Kisco, 16 NY3d 111, 118 [2010]), the Appellate Division properly concluded that the opinion of plaintiff's expert engineer was speculative, as it was premised on an inspection conducted, and photographs taken, of the parking lot over two years after plaintiff's fall.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question should not be answered upon the ground that it is unnecessary.

Chief Judge LIPPMAN (dissenting). In *Walker v Town of Hempstead* (84 NY2d 360 [1994]), this Court, after extensive briefing¹ and careful consideration, unanimously decided that the Town of Hempstead's supersession powers did not permit its enactment of a Town Code provision imposing a prior-notice-of-defect requirement for actions seeking damages sustained by reason of "any defective parking field, beach area, swimming or wading pool or pool equipment, playground or playground equipment, skating rink or park property" (Town of Hempstead Code § 6-2). To decide the case as it did, the Court necessarily addressed two principal issues: (1) whether section 6-2 was inconsistent with state law enumerating the locations to which prior notice requirements could apply (i.e., General Municipal Law § 50-e [4]);² and (2) whether parts of the subject Code provision inconsistent with state law were nonetheless permissibly enacted by the Town in the exercise of its supersession authority under section 10 of the Municipal Home Rule Law—an inquiry turning upon whether a provision in addition to being inconsistent was expressly prohibited by state law (see *Kamhi v Town of Yorktown*, 74 NY2d 423, 429-430 [1989]). Only if a local enactment is expressly prohibited by state law, is the locality's supersession authority exceeded.

1. In addition to the parties' briefs, there were lengthy amici submissions by the New York State Conference of Mayors and Municipal Officials and the New York State Trial Lawyers Association.

2. That statute, the focus of the ensuing discussion, provides in relevant part:

"No other or further notice, no other or further service, filing or delivery of the notice of claim, and no notice of intention to commence an action or special proceeding, shall be required as a condition to the commencement of an action or special proceeding for the enforcement of the claim; provided, however, that nothing herein contained shall be deemed to dispense with the requirement of notice of the defective, unsafe, dangerous or obstructed condition of any street, highway, bridge, culvert, sidewalk or crosswalk, or of the existence of snow or ice thereon."

As to the first of these inquiries, we found, as an essential part of our analysis, that

“Town of Hempstead Code § 6-2 is in fact inconsistent with General Municipal Law § 50-e (4). The local law—to the extent that it requires prior notice of defect for accidents at a Town ‘*parking field, beach area*’, etc., as a condition precedent to the commencement of an action against the Town—is *flatly inconsistent with the plain language of section 50-e (4)* mandating that ‘[n]o other or further notice . . . shall be required as a condition to the commencement of an action’, subject to an exception for notices of defect for six specific kinds of locations, none of which is applicable here” (*Walker*, 84 NY2d at 366 [emphasis supplied]).

We explained that this conclusion was compelled by the canons of statutory construction:

“we can only construe the Legislature’s enumeration of six, specific locations in the exception (i.e., streets, highways, bridges, culverts, sidewalks or crosswalks) as evincing an intent to exclude any others not mentioned (*see*, McKinney’s Cons Laws of NY, Book 1, Statutes § 240 [‘where a statute creates provisos or exceptions as to certain matters the inclusion of such provisos or exceptions is generally considered to deny the existence of others not mentioned’])” (*id.* at 367).

With respect to the second step of the analysis, necessitated by our finding that the challenged Town Code notice provision was inconsistent with General Municipal Law § 50-e (4), we found

“the conclusion inescapable . . . that General Municipal Law § 50-e (4) . . . does indeed contain an express prohibition against the adoption of the provisions of Hempstead Code § 6-2 requiring prior notice of defects at municipal locations other than the enumerated streets, highways, bridges, culverts, sidewalks or crosswalks. This express prohibition precludes the exercise of the Town’s supersession authority” (*id.* at 367-368).

We observed in this connection that,

“General Municipal Law § 50-e (4) contains clear,

prohibitory language strictly limiting deviations from the notice requirements specifically set forth in that section, excepting only notice of defect provisions pertaining to the six enumerated locations. The statute does not merely omit a grant of authority to localities to require notice of defect at locations beyond the six specified (*cf.*, *Kamhi v Town of Yorktown, supra*), but rather in unmistakable terms provides that “[n]o other or further notice . . . shall be required” beyond those permitted by its terms. The statute must be construed, therefore, as a flat prohibition not only of the Town’s enactment of any notice of claim provision other than that provided for in the statute, but also a prohibition of *any* notice of defect enactment pertaining to locations beyond the six specified” (*id.* at 368 [emphasis supplied]).

Obviously, *Walker* was not, as the majority suggests, an appeal simply about whether the Town could rely on the lack of prior written notice as a defense to a paddleball court accident. Such a characterization trivializes the appeal’s scope of concern and ignores the analysis and findings upon which the Court’s particular conclusion—that a town paddleball court was not among the locations to which a prior written notice requirement might apply—was based. We did not merely determine that the Town could not “rely” (majority op at 128) upon a lack of prior notice defense with respect to paddleball courts, but much more fundamentally that the Town had no authority to impose *any* prior notice requirement respecting defects at locations beyond the six specifically enumerated in General Municipal Law § 50-e (4). It was only in light of our construction of General Municipal Law § 50-e (4) as an express prohibition upon the enactment of *any* prior notice requirement other than those the limiting statute specifically allowed, that we concluded as we did respecting the validity of the Town Code provision requiring prior notice of “beach area” defects.³ Our construction of section 50-e (4) left no doubt as to the invalidity of other portions of Town of Hempstead Code § 6-2, most notably its requirement of prior written notice of “parking field” defects. Indeed, we were explicit that that requirement, like the requirement respecting “beach area” defects, was “flatly inconsistent with” and expressly prohibited by the limiting state statute.

3. The paddleball court was at a public beach.

Our construction of General Municipal Law § 50-e (4) in *Walker* is entitled to be viewed as authoritative. The majority declines to give it effect, not because after close consideration and attention to the principles of stare decisis it has concluded that the construction is wrong or unworkable—manifestly, it is not—but because the intermediate appellate courts of this State have, in a handful of dubiously reasoned decisions perpetuated the pre-*Walker* notion that a parking lot is a kind of “highway” as to which the prohibition of General Municipal Law § 50-e (4) does not apply. But, of course, we held with great clarity in *Walker* that a “parking field” is not a location within the statute’s dispensational enumeration, from which it follows ineluctably that a parking lot cannot be a “highway” within the meaning of section 50-e (4). It is not an impressive ground for a contrary conclusion by this Court that the Appellate Division has persisted in adhering to an utterly inconsistent definitional equation. High regard for the work of the Appellate Division cannot alter the obvious circumstance that it is not in the nature of this Court’s role for it to defer to the intermediate appellate courts of this State in a matter of statutory interpretation, particularly when we have carefully and authoritatively construed the governing provision to require a result exactly contrary to the one they have reached.

Only somewhat less dubious as a basis for the Court’s decision, is our memorandum in *Woodson v City of New York* (93 NY2d 936 [1999]), in which we allowed that a staircase in a municipal park simply connecting lengths of sidewalk at either of its ends could be understood to be a “sidewalk” within the meaning of General Municipal Law § 50-e (4) and thus permissibly the subject of a locally enacted prior written notice requirement. Key to our decision was our observation that “[t]he stairway in this case functionally fulfills *the same* purpose that a standard sidewalk would serve on flat topography” (*id.* at 938 [emphasis supplied]). Even if it were supposed that we intended in *Woodson* to make a doctrine of functional *equivalence* generally available in discerning the range of reference of section 50-e (4)’s relevant terms—a large enough assumption given our decision in *Walker* construing the statute principally as a limitation on local legislative power—it is inconceivable that *Woodson*’s very narrow holding, that “[t]he stairway in *this* case” (emphasis supplied), i.e., the stairway simply connecting two parts of a sidewalk, was intended to sanction the utterly promiscuous doctrine of functional “equivalence” now employed

under which a parking lot is deemed to be a “highway.” Quite apart from the circumstance that our construction of section 50-e (4) in *Walker* was expressly preclusive of such an equivalence, *Woodson*, which never purported to impair *Walker*’s validity, does not by its terms allow it either.

It is so obvious as hardly to merit serious discussion that a parking lot does not fulfill the same function as a “highway.” As everyone knows, the dominant purpose of a *parking* lot is to accommodate stationary, i.e., parked, vehicles. By contrast, the precisely opposite dominant purpose of a highway is to enable vehicles to move with a degree of expedition. While a parking lot may be entered and exited by public roads, the two types of facilities are notable for their essentially discontinuous purposes. Completely absent in the relationship between highways and parking facilities is the continuity, indeed virtual identity of purpose, upon which we justified the particular equivalence drawn in *Woodson*. Moreover, in *Woodson* the equivalence, even though not obscure, had been made explicit in section 7-201 of the Administrative Code of the City of New York, whereas here the relied upon, far from evident equivalence does not appear to have been expressly articulated anywhere, raising a profound question as to whether adequate notice of the prior notice requirement was provided.

The extension of the doctrine of functional equivalence to the present facts is not made more viable by the capacious definition of “highway” found in Vehicle and Traffic Law § 118. That definition, although doubtless appropriately employed in construing statutes having to do with highway maintenance and use, was never intended to have relevance in the construction of General Municipal Law § 50-e (4), and, indeed, its superimposition upon the statute is highly problematic. This is not only because it facilitates an equivalence that *Walker* construed section 50-e (4) to prohibit. There are other problems, among them that there would be no need for the statute’s enumeration of the six location categories as to which prior notice could be required if the operative definition of “highway” was the virtually all-inclusive one contained in Vehicle and Traffic Law § 118. Nor is the use of the definition in this context compatible with the basic maxim that statutory provisions in derogation of the common law, such as those in section 50-e (4) permitting prior notice requirements as to the six specified, contextually exceptional location types, are to be strictly construed (*see Gorman v Town of Huntington*, 12 NY3d 275, 279 [2009]).

It is true as the majority observes that “municipalities . . . are not expected to be cognizant of every crack or defect within [their] borders” (majority op at 129, quoting *Gorman*, 12 NY3d at 279 [internal quotation marks omitted]), but it does not follow that there can be no crack or defect about which a municipality may be reasonably expected to acquire either actual or constructive notice in the ordinary course of discharging its proprietary responsibilities. The Legislature has quite reasonably permitted localities to enact prior notice requirements relieving themselves of the unusually onerous responsibility of frequently monitoring their ordinarily extensive “street[s], highway[s], bridge[s], culvert[s], sidewalk[s] [and] crosswalk[s]” (General Municipal Law § 50-e [4]). But, as we held in *Walker*, the Legislature has not permitted, and, in fact, has prohibited, a similar dispensation as to parking lots. Even if it were inconsistent, or from a policy perspective questionable, to treat parking lots differently from the statutorily enumerated locations, the scope of the statute’s prohibition would not be a matter for judicial adjustment. If it were, though, the case for expanding the scope of General Municipal Law § 50-e’s dispensational clause, would not be particularly compelling. Plainly, the statute’s omission of parking lots from that clause was entirely reasonable. Municipal parking lots, in distinction to extended road systems, are spatially contained; they may, particularly given the nature and frequency of their use, reasonably be expected to be regularly maintained and monitored by their municipal proprietors. The Legislature could, then, quite sensibly have concluded that, when it came to the parking lots within their borders, municipalities should, like landowners generally, be responsible for premises defects of which they have notice, either actual or constructive.

What is at issue is a legislative policy judgment that we have previously recognized and enforced in a controlling decision. A mere judicial aversion to municipal liability is not a ground upon which either should now be disturbed.

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT; Chief Judge LIPPMAN dissents in a separate opinion in which Judges CIPARICK and JONES concur.

Order affirmed, etc.

[951 NE2d 57, 927 NYS2d 618]

In the Matter of AAA CARTING AND RUBBISH REMOVAL, INC., Appellant, v TOWN OF SOUTHEAST et al., Respondents, and SANI-PRO DISPOSAL SERVICES CORP., Doing Business as SUB-URBAN CARTING, Respondent.

Argued May 3, 2011; decided June 9, 2011

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 8, 2010. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Putnam County (Andrew P. O'Rourke, J.), entered in a proceeding pursuant to CPLR article 78, which had (a) granted the petition to review a determination of respondent Town of Southeast awarding a refuse hauling contract to respondent Sani-Pro Disposal Services Corp., (b) annulled the determination, and (c) directed the town to award the contract to petitioner, (2) denied the petition, (3) confirmed the determination, and (4) dismissed the proceeding on the merits.

Matter of AAA Carting & Rubbish Removal, Inc. v Town of Southeast, 74 AD3d 959, reversed.

HEADNOTE

Municipal Corporations — Bids and Bidders — Lowest Responsible Bidder

General Municipal Law § 103 and Town Law § 122 preclude a town, in an open bidding process, from choosing a higher bid merely because it subjectively believes that a higher bidder is preferable and more responsible than a lower bidder based on criteria not set forth in the bidding proposal. Accordingly, respondent Town Board acted arbitrarily and capriciously, and in violation of law when it awarded a public bidding contract to other than the lowest responsible bidder where the rejection of the low bid from petitioner refuse removal service, as stated by the Town Board, was based on criteria not contained in the bidding proposal. Inclusion of those criteria would have ensured that every bidder had the information necessary to make an intelligent evaluation and bid. Although a municipality enjoys flexibility and discretion in its decision-making process, accepting a higher bid based on subjective assessment of criteria not specified in the bid request gives rise to speculation that favoritism, improvidence, extravagance, fraud or corruption may have played a role in the decision and effectively circumvents the open bidding process. If a town wishes to have qualitative factors considered, the proper remedy is to reject all bids submitted and begin the process anew, incorporating into the new solicitation whatever reasonable and nonrestrictive requirements it wishes to consider.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 575, 576, 618; AM JUR 2d, Public Works and Contracts §§ 57–60, 77.
CARMODY-WAIT 2d, Appeals in General §§ 70:93–70:95, 70:327, 70:328.
MCKINNEY'S, General Municipal Law § 103; Town Law § 122.
NY JUR 2d, Appellate Review §§ 137, 601; NY JUR 2d, Counties, Towns, and Municipal Corporations §§ 1309, 1330, 1332, 1356–1359.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Bids and Bidding; Public Works and Contracts.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: lowest /2 responsible /2 bidder & good /2 reason /s reject! & abuse /3 discretion

POINTS OF COUNSEL

Robinson Brog Leinwand Greene Genovese & Gluck, P.C., New York City (*John D. D'Ercole*, *Nicholas R. Caputo* and *Daniel J. Kelman* of counsel), for appellant. I. The Appellate Division erred because neither “good reason” nor a rational basis supports the conclusion that AAA Carting and Rubbish Removal, Inc. was not the lowest responsible bidder for the contract and, therefore, the Town of Southeast’s award of the contract to Suburban Carting violated General Municipal Law § 103. (*Matter of Conduit & Found. Corp. v Metropolitan Transp. Auth.*, 66 NY2d 144; *Jered Contr. Corp. v New York City Tr. Auth.*, 22 NY2d 187; *Matter of New York State Ch., Inc., Associated Gen. Contrs. of Am. v New York State Thruway Auth.*, 88 NY2d 56; *Matter of Diamond Asphalt Corp. v Sander*, 92 NY2d 244; *Matter of Dellwood Foods v Board of Educ. of Hendrick Hudson School Dist.*, 97 Misc 2d 751; *Matter of Caristo Constr. Corp. v Rubin*, 30 Misc 2d 185, 15 AD2d 561, 10 NY2d 538; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Silk v Caputa*, 21 Misc 2d 899; *Matter of Elwood Invs. Co. v Behme*, 79 Misc 2d 910; *Matter of Warren Bros. Co., Div. of Ashland Oil & Ref. Co. v Craner*, 30 AD2d 437.) II. The trial

court did not err in ordering that the contract be awarded to AAA Carting and Rubbish Removal, Inc. based upon its determination that AAA Carting was the lowest responsible bidder. (*Matter of Luboil Heat & Power Corp. v Pleydell*, 178 Misc 562; *Matter of Browning-Ferris Indus. of N.Y. v City of Lackawanna*, 204 AD2d 1047; *Matter of Progressive Dietary Consultants of N.Y. v Wyoming County*, 90 AD2d 214; *Matter of Family Auction Mkts., Inc. v Hill*, 283 App Div 824.)

Law Office of Joseph P. DePaola, Brewster (*Joseph P. DePaola* of counsel), for Town of Southeast and others, respondents. I. The Town of Southeast's decision to award the contract to Suburban Carting cannot be disturbed because the Town had a reasonable and rational basis for its decision. (*Matter of Riverkeeper, Inc. v Planning Bd. of Town of Southeast*, 9 NY3d 219; *Matter of Gandolfo v White*, 224 AD2d 526; *Matter of Schettino Serv. Corp. v Holbrook*, 218 AD2d 741; *Matter of C. K. Rehner, Inc. [City of New York]*, 106 AD2d 268; *Matter of Meyer v Board of Educ., Union Free School Dist. No. 7, Great Neck*, 31 Misc 2d 407; *Matter of Conduit & Found. Corp. v Metropolitan Transp. Auth.*, 66 NY2d 144; *Matter of Eldor Contr. Corp. v Town of Islip*, 277 AD2d 233; *Matter of Positive Transp. v City of N.Y. Dept. of Transp.*, 183 AD2d 660; *Matter of Limitone v Galgano*, 21 Misc 2d 376; *Matter of K & M Turf Maintenance [Gallo]*, 166 AD2d 445.) II. The trial court did not have the authority to direct the Town of Southeast to award the contract to AAA Carting and Rubbish Removal, Inc. because absent some evidence of fraud, this authority is exclusively reserved for the municipality. (*Burke's Auto Body v Ameruso*, 113 AD2d 198.)

Tashjian & Padian, New York City (*Gerald Padian* of counsel), and *Curtiss & Liebell, P.C.*, Carmel (*Timothy J. Curtiss* of counsel), for Sani-Pro Disposal Services Corp., respondent. I. The Town of Southeast had a rational basis for determining that appellant was not the lowest responsible bidder pursuant to Town Law § 122 and General Municipal Law § 103. (*Matter of New York State Ch., Inc., Associated Gen. Contrs. of Am. v New York State Thruway Auth.*, 88 NY2d 56; *Matter of Conduit & Found. Corp. v Metropolitan Transp. Auth.*, 66 NY2d 144; *Matter of Acme Bus Corp. v Board of Educ. of Roosevelt Union Free School Dist.*, 91 NY2d 51; *Matter of Positive Transp. v City of N.Y. Dept. of Transp.*, 183 AD2d 660; *Abco Bus Co. v Macchiarola*, 75 AD2d 831, 52 NY2d 938, 454 US 822; *Matter of Eldor Contr. Corp. v Town of Islip*, 277 AD2d 233; *Matter of DeFoe Corp. v New York City Dept. of Transp.*, 87 NY2d 754; *Matter of*

Riverkeeper, Inc. v Planning Bd. of Town of Southeast, 9 NY3d 219; *Syracuse Intercepting Sewer Bd. v Fidelity & Deposit Co.*, 255 NY 288; *Matter of Haskell-Gilroy, Inc. v Young*, 20 Misc 2d 294, 10 AD2d 629, 717.) II. The Town of Southeast was not required to hold a hearing or issue findings of fact pursuant to General Municipal Law § 103. (*Quain v Buzzetta Constr. Corp.*, 69 NY2d 376; *Matter of LaCorte Elec. Constr. & Maintenance v County of Rensselaer*, 80 NY2d 232; *Matter of B. Milligan Contr. v State of New York*, 251 AD2d 1084; *Matter of Eldor Contr. Corp. v Town of Islip*, 277 AD2d 233; *Matter of K & M Turf Maintenance [Gallo]*, 166 AD2d 445; *Matter of Haskell-Gilroy, Inc. v Young*, 20 Misc 2d 294; *Matter of Dellwood Foods v Board of Educ. of Hendrick Hudson School Dist.*, 97 Misc 2d 751; *Matter of Schiavone Constr. Co. v Larocca*, 117 AD2d 440, 68 NY2d 610; *Matter of Tilles v Williams*, 119 AD2d 233; *Matter of Consolidated Edison Co. of N.Y. v Public Serv. Commn.*, 63 NY2d 424, 470 US 1075.)

OPINION OF THE COURT

CIPARICK, J.

In this CPLR article 78 proceeding to annul a determination of a town board, the question presented is whether the town board acted arbitrarily and capriciously and in violation of law in awarding a public bidding contract to other than the lowest responsible bidder. We conclude that General Municipal Law § 103 and Town Law § 122 preclude a town, in an open bidding process, from choosing a higher bid merely because it subjectively believes that a higher bidder is preferable and more responsible than a lower bidder based on criteria not set forth in the bidding proposal.

The Town of Southeast's existing contract for residential refuse removal services, held by Advanced Waste Systems, was due to expire on December 31, 2009. In the hope of capitalizing on competitive forces in the waste removal business, the Town Board (consisting of four Councilmembers and one Supervisor), in July 2009, sought competitive bids from qualified contractors to handle the Town's waste removal needs. On July 8, 2009, the Town published a document titled "Information for Bidders and Contract Documents, Specifications & Proposal for the Collection of Refuse, Garbage, Recyclable Materials and Bulk Collection Contract" (the bid request). The bid request set forth the qualifications that the Town required from the prospective contractor. Those qualifications included, among other things,

that the work of the contractor be done in a prompt, proper, and workmanlike manner, that the contractor provide operating and safety training for its personnel, that the contractor's equipment be maintained in safe and sanitary condition, and that it have available reserve equipment that can be put into operation within two hours of a breakdown. The Town Board set August 5, 2009, as the deadline for the submission of bids and reserved the right to reject all bids and readvertise.

The Town Board received three bids. AAA Carting and Rubbish Removal, Inc. (AAA) submitted a bid for \$1,210,500 per year, Sani-Pro Disposal Services Corp., doing business as Suburban Carting (Suburban), submitted a bid for \$1,496,205 per year, and Advanced Waste Systems submitted a bid for \$1,692,306.80 per year. The Town Board, after reviewing the bids, undertook a due diligence procedure, which included visits to AAA and Suburban.¹

On August 27, 2009, Councilmember Paul Johnson visited AAA. His report concerning that visit provided at its conclusion: "I believe that AAA can reasonably be construed as being 'responsible' in addition to being the lowest bidder . . . They have the experience, the capital and infrastructure to execute the Southeast Contract." On September 2, 2009, Councilmembers Johnson and Richard Honeck visited Suburban. In their report concerning that visit, they noted that Suburban's fleet of trucks was newer than AAA's, that Suburban had a strong commitment to safety, and "[t]he operations, cleanliness, professionalism and process are head-and-shoulders superior to that of AAA."

On September 24, 2009, the Town Board held a meeting. At that meeting, Town Supervisor Michael Rights proposed a resolution, seconded by Councilmember Dwight Yee, to award the residential refuse removal contract to AAA, the lowest responsible bidder. The resolution was defeated three to two. Later, Councilmember Johnson proposed an alternate resolution seconded by Councilmember Honeck, to award the contract to Suburban. The resolution provided that "the Town Board has found that qualitative factors, such as safety, professionalism and the availability of spare vehicles are critical to ensure that

1. The Town Board did not perform due diligence concerning the bid by Advanced Waste Systems, both because it was the highest bidder and because it had been performing the waste removal for the Town, and the Town Board was well aware of its operations.

the contract is executed in a consistent, safe and quality manner.”

There was discussion regarding the resolution to award the contract to Suburban prior to holding a vote. During that discussion, Councilmember Yee and Town Supervisor Rights expressed grave concern that the Town was awarding the contract to a higher bidder. Representatives for AAA were also present and voiced opposition to the resolution. The resolution passed three to two. The Councilmembers who voted in favor of the resolution noted that safety and reliability were determinative factors in their selection of the higher bid. While casting his vote in favor of the resolution, Councilmember Johnson stated that “the lowest responsible bidder, when taking into consideration all the other qualitative factors, is [Suburban].” At no time during that meeting, or at any other time prior to the resolution and vote awarding the contract to Suburban, was there any statement that AAA did not adequately fulfill any of the requirements as set forth in the bid request.

After its bid was rejected, AAA sent a letter to Town Supervisor Rights objecting to the Town Board’s decision to award the contract to Suburban and requesting an explanation as to why its bid was considered not responsible. AAA received no response to this letter. After communicating with Town counsel, AAA filed a petition, pursuant to CPLR article 78, to set aside the award of the contract to Suburban and to direct the Town to award the contract to AAA.

In response to that petition, Councilmember Honeck provided in his affidavit that in “mak[ing] [his] ultimate decision as to which firm would be most capable of providing for the needs of the residents of the Town of Southeast,” he was “helped” by an “impressive presentation” by Suburban, some of the highlights of which were that Suburban conducted monthly training meetings and safety inspections, utilized a specific computer program for reports of accidents and violations, conducted regular alcohol and drug screening of its employees, was a union shop with uniformed employees, and had a large inventory of practically new equipment and a maintenance department with parts that were replenished daily. Additionally, Councilmember Johnson provided in his affidavit that “we as a Town Board chose a contractor that is more qualified, more ‘responsible and

responsive', and who will provide a higher level of service at a slightly higher monthly cost over the apparent low bidder."²

In response, Pasquale Cartalemi, the office manager for AAA, argued that AAA was equally qualified as Suburban in many of the criteria that the Town Board found compelling, and that AAA could have provided information regarding these criteria had it been requested to do so.

Supreme Court granted the petition finding that "[t]he award to Suburban is not based on substantial evidence, is arbitrary and capricious, represents an abuse of discretion . . . [and] violates [section] 103 of the [General] Municipal Law and [section] 122 of the Town Law." The Appellate Division reversed, holding that the Town had not acted arbitrarily or capriciously in awarding the contract to Suburban (*see Matter of AAA Carting & Rubbish Removal, Inc. v Town of Southeast*, 74 AD3d 959, 960 [2d Dept 2010]). It noted that in determining the lowest responsible bidder, the Town could investigate the skill, judgment, and experience of the bidders (*see id.*). The court further opined that "[w]here a municipality exercises its discretion to reject one or more bids, that decision 'ought not to be disturbed by the courts unless [it is] irrational, dishonest or otherwise unlawful' " (*id.*, quoting *Matter of Conduit & Found. Corp. v Metropolitan Transp. Auth.*, 66 NY2d 144, 149 [1985]). We granted AAA leave to appeal (15 NY3d 714 [2010]) and now reverse.

Pursuant to Town Law § 122 and General Municipal Law § 103, all contracts for public work must be awarded to "the lowest responsible bidder."³ The central purposes of New York's competitive bidding statutes are the "(1) protection of the public fisc by obtaining the best work at the lowest possible price; and (2) prevention of favoritism, improvidence, fraud and corruption in the awarding of public contracts" (*Matter of New*

2. It should be noted that the "slightly higher monthly cost" would have resulted in an additional cost of \$857,115 to the Town of Southeast taxpayers over the three-year period of the contract and an additional \$571,410 if extended for an additional two years as per the contract renewal options.

3. Town Law § 122 provides that "[e]very officer, board or agency of a town shall let all contracts for public work and all purchase contracts to the lowest responsible bidder after advertisement for bids where so required by section one hundred three of the general municipal law."

General Municipal Law § 103 (1) provides in pertinent part that "all contracts for public work . . . shall be awarded by the appropriate officer, board or agency of a political subdivision . . . to the lowest responsible bidder."

York State Ch., Inc., Associated Gen. Contrs. of Am. v New York State Thruway Auth., 88 NY2d 56, 68 [1996]). It is well settled that the bidding statutes are to be construed strictly in order to achieve those purposes (see *Matter of Diamond Asphalt Corp. v Sander*, 92 NY2d 244, 259 [1998]) and that rejection of the lowest bid carries with it the “inevitable implication of nonresponsibility” for the rejected bidder (*Matter of LaCorte Elec. Constr. & Maintenance v County of Rensselaer*, 80 NY2d 232, 236 [1992]).

In determining the responsibility of a bidder, an administrative agency or municipality should consider the bidder’s “skill, judgment and integrity” (*Matter of DeFoe Corp. v New York City Dept. of Transp.*, 87 NY2d 754, 763 [1996]) and “where good reason exists, the low bid may be disapproved” (*Matter of Conduit & Found. Corp.*, 66 NY2d at 148). Here, the record before the Town Board was devoid of good reason for rejecting the low bid from AAA. The disapproval, as stated by the Town Board, was based on criteria not contained in the bidding proposal. Inclusion of those criteria would have ensured that every bidder had the information necessary to make an intelligent evaluation and bid (see *Matter of Suffolk Roadways v Minuse*, 19 AD2d 888, 889 [2d Dept 1963]; see also *Matter of Browning-Ferris Indus. of N.Y. v City of Lackawanna*, 204 AD2d 1047, 1048 [4th Dept 1994]; *Matter of Progressive Dietary Consultants of N.Y. v Wyoming County*, 90 AD2d 214, 217 [4th Dept 1982]). In this instance, none of the qualitative factors that the Town Board identified were in the bid request. Accordingly, it was improper for the Town Board to award the contract based on these qualitative factors. A contract subject to the competitive bidding statutes must be awarded to the lowest responsible bidder who fulfills the specifications contained in the proposal. In this case, it was AAA.

What the Town did in essence was to award the contract to a vendor it believed to be *more* responsible. However, nowhere was it stated, prior to AAA filing its petition, that AAA was not a responsible bidder.⁴ In fact, the contrary is true. After his site visit, Councilmember Johnson opined that AAA was a responsible

4. Respondents make several arguments that AAA was not a responsible bidder, including claims that AAA allegedly did not complete the bid questionnaire, that AAA did not have sufficient equipment and that AAA was not properly licensed in Putnam County. However, these arguments were never raised on the record prior to rejecting AAA’s bid. In fact, these arguments were only raised after AAA brought its petition and therefore cannot be

(n. cont’d)

bidder noting that “[t]hey have the experience, the capital and infrastructure to execute the . . . Contract.” Absent a finding of lack of responsibility, there is no authority to support the Town Board’s rejection of AAA’s bid for one that is considered *more* responsible.

I agree with the dissent that a municipality enjoys “flexibility and discretion” (dissenting op at 147) in its decision-making process. However, accepting a higher bid based on subjective assessment of criteria not specified in the bid request gives rise to speculation that favoritism, improvidence, extravagance, fraud or corruption may have played a role in the decision. One of the primary purposes of the competitive bidding statutes is to guard against such factors (see *Matter of New York State Ch., Inc., Associated Gen. Contrs. of Am.*, 88 NY2d at 68). Furthermore, allowing the Town Board to consider additional criteria not specified in the bid request effectively circumvents the open bidding process. “The public bidding process must be protected from creative efforts by a municipality, as here, to skate around the process, however well intentioned the [Town’s] policy, fiscal or practicality grounds” (*Matter of Diamond Asphalt Corp.*, 92 NY2d at 264). Nothing in the record before the Town Board suggests that AAA was anything other than responsible.

This is not to say that the additional criteria that the Town Board considered in making its decision do not reflect legitimate concerns. If the Town wishes to have these qualitative factors considered, the proper remedy is not to reject the lowest responsible bid, but to reject all the bids submitted and begin the process anew, incorporating whatever reasonable and nonrestrictive requirements it wishes to consider into the bid solicitation (see *Matter of Conduit & Found. Corp.*, 66 NY2d at 149 [“statutory law specifically authorizes the rejection of all bids and the readvertisement for new ones”]; see also General Municipal Law § 103 [1]).

In conclusion, the Town Board acted arbitrarily, capriciously, and in violation of the provisions of General Municipal Law

considered by this Court (see *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 57 NY2d 588, 593 [1982] [“A fundamental principle of administrative law long accepted by this court limits judicial review of an administrative determination solely to the grounds invoked by the agency, and if those grounds are insufficient or improper, the court is powerless to sanction the determination by substituting what it deems a more appropriate or proper basis”]). It is impermissible for respondents to raise issues in a court proceeding that were not raised on the record at the time of the passage of the resolution.

§ 103 and Town Law § 122 in awarding the contract to Suburban rather than to AAA.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the matter remitted to Supreme Court for further proceedings in accordance with this opinion.

PIGOTT, J. (dissenting). General Municipal Law § 103 (1) and Town Law § 122 require that public work contracts be awarded “to the lowest responsible bidder.” The majority holds, for the first time, that a contract subject to such competitive bidding statutes must be awarded to the lowest bidder that meets the express bid specifications, regardless of whether the municipality, exercising discretion, considers it to be a *responsible* bidder. This ruling is a mistake, defying precedent and good policy.

The term “responsible bidder” is not defined by statute, but case law gives it a clear meaning. A responsible bidder is one that is able to perform the terms of a contract successfully in all respects. In determining whether a bidder is responsible, a municipal agency has an obligation to consider the bidder’s skill, judgment, and business integrity (*Matter of DeFoe Corp. v New York City Dept. of Transp.*, 87 NY2d 754, 763 [1996]). Because such qualities do not admit of reduction to a checklist, we have accepted that “responsibility” is “an elastic word” (*Abco Bus Co. v Macchiarola*, 75 AD2d 831, 833 [2d Dept 1980, Hopkins, J.P., dissenting], *revd for reasons stated in dissenting mem* 52 NY2d 938 [1981], *cert denied* 454 US 822 [1981]).

Competitive bidding statutes protect the public purse “by obtaining *the best work* at the lowest possible price” (*Matter of New York State Ch., Inc., Associated Gen. Contrs. of Am. v New York State Thruway Auth.*, 88 NY2d 56, 68 [1996] [emphasis added]; see also *Matter of Conduit & Found. Corp. v Metropolitan Transp. Auth.*, 66 NY2d 144, 148 [1985]). Only by exercising its sound business judgment on the question whether a bidder is financially and technically responsible can a municipal agency ensure that the best work consistent with a low price is obtained—as opposed to merely adequate work that costs less in the short term, but may cost public money in the future. The dispositive question is always whether it is in the public interest to disapprove a low bid; competitive bidding statutes exist to benefit the public, not contractors. “Neither the low bidder nor any other bidder has a vested property interest in a public works contract” (*Matter of Conduit & Found. Corp.*, 66 NY2d at 148-149).

We have always regarded the municipal agency's duty of determining the lowest responsible bidder as requiring "honest judgment and discretion" (*Syracuse Intercepting Sewer Bd. v Fidelity & Deposit Co.*, 255 NY 288, 294 [1931]; accord *Picone v City of New York*, 176 Misc 967, 969 [Sup Ct, NY County 1941]). Accordingly, we have stated that the standard of review of public work contract awards is deferential. "Although the power to reject any or all bids may not be exercised arbitrarily or for the purpose of thwarting the public benefit intended to be served by the competitive process, *the discretionary decision ought not to be disturbed by the courts unless irrational, dishonest or otherwise unlawful*" (*Matter of Conduit & Found. Corp.*, 66 NY2d at 149 [citations omitted and emphasis added]). I cannot accept the majority's ruling that the Town of Southeast acted unlawfully in selecting Suburban Carting over AAA Carting.

The majority makes much of the fact that Councilmember Johnson, in a report written after visiting AAA Carting's facilities, opined that AAA Carting could reasonably be construed as being "responsible." However, close attention to Johnson's report, the fuller report of Councilmembers Johnson and Honeck following their visit to Suburban Carting's facilities, and an e-mail of Town Supervisor Rights suggests a different picture. Comparison of the AAA Carting and Suburban Carting facilities made it plain to the Town that AAA Carting had, as the Supervisor put it, "insufficient existing infrastructure and capacity." It is true that Johnson and Honeck tended to couch their evaluations in comparative terms: Suburban Carting's "operations, cleanliness, professionalism and process are head-and-shoulders superior to that of AAA [Carting]. It is clear that [Suburban Carting] could deliver a more consistent, reliable and safer service . . . [Suburban Carting's] visibly newer fleet should also translate into fewer breakdowns as well." But what their analysis amounted to was a judgment that AAA Carting was an unprofessional organization that would not be able to ensure the "health, safety and welfare of residents"—in short a finding that AAA Carting was not a responsible bidder. They may well have been wrong, but, on this record, I cannot conclude that their conclusion was unreasonable.

In restricting the duty of a municipal agency to determining whether or not the lowest bidder has promised to fulfil the bid specifications, the majority has stripped municipalities of their sound discretion to decide whether a lowest bidder's undertaking is based on a real ability to perform. This ruling will mean

that contractors will be able to obtain public work simply by bidding low and vowing to comply with bid specifications. The result will be that municipalities will often be forced to accept shoddy work by unprofessional contractors the only virtue of whom is that they are cheap.

Moreover, it is impractical to suppose, as the majority does, that all criteria relevant to responsibility may be specified in the bid request. The case law demonstrates that bidders have been ruled not responsible for a large variety of reasons that will elude easy capture in verbal specifications (*see e.g. Matter of Interstate Indus. Corp. v Murphy*, 1 AD3d 751 [3d Dept 2003] [unresolved investigations by other agencies into alleged organized crime connections]; *Matter of Ciprietti-Tolisano Assoc. v Karnovsky*, 268 AD2d 234 [1st Dept 2000] [failure to disclose information about taxes and corporate status]; *Matter of Deol Elec. Contr. v Barrios-Paoli*, 258 AD2d 327 [1st Dept 1999] [failure to have work inspected by licensed master electrician]; *Matter of Donson Transp. Servs. v County of Broome*, 257 AD2d 825 [3d Dept 1999] [to fulfill the contract, transportation corporation would need to expand its fleet of vehicles in a very brief time frame]; *Romano Enters. of N.Y. v New York City Dept. of Transp.*, 254 AD2d 233 [1st Dept 1998] [bid-rigging scheme on prior contracts, misrepresentation of criminal record]; *Matter of Adelaide Envtl. Health Assoc. v New York State Off. of Gen. Servs.*, 248 AD2d 861 [3d Dept 1998] [possible insolvency]; *Municipal Testing Lab. v New York City Tr. Auth.*, 233 AD2d 105 [1st Dept 1996] [overcharging in a previous contract, questionable billing practices, and employment of uncertified persons]; *National States Elec. Corp. v City of New York*, 225 AD2d 745 [2d Dept 1996] [falsified records]; *Matter of Tully Constr. Co. v Hevesi*, 214 AD2d 465 [1st Dept 1995] [corrupt activity and failure to comply with an investigative subpoena regarding illegal waste disposal]; *Matter of Mid-State Indus. v City of Cohoes*, 221 AD2d 705 [3d Dept 1995] [prior criminal convictions and willful violations of the Labor Law]; *Matter of N.J.D. Elecs. v New York City Health & Hosps. Corp.*, 205 AD2d 323 [1st Dept 1994] [bribery of city inspectors]; *Matter of J. N. Futia Co. v Office of Gen. Servs. of State of N.Y.*, 39 AD2d 136 [3d Dept 1972] [delays, lack of cooperation, and poor performance on prior projects]). In short, the majority ignores our well-established doctrine that evaluation of responsibility requires flexibility and discretion, not simply the unthinking comparison of a bid with a checklist of specifications.

Consequently, I would affirm.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH and JONES concur with Judge CIPARICK; Judge PIGOTT dissents and votes to affirm in a separate opinion in which Judge READ concurs.

Order reversed, etc.

[950 NE2d 915, 927 NYS2d 311]

In the Matter of L&M BUS CORP. et al., Respondents, v NEW YORK CITY DEPARTMENT OF EDUCATION et al., Appellants, and LOCAL 1181 OF THE AMALGAMATED TRANSIT UNION, Intervenor-Appellant.

Argued May 3, 2011; decided June 14, 2011

SUMMARY

APPEALS, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 22, 2009. The Appellate Division order, insofar as appealed from, affirmed an order of the Supreme Court, New York County (Carol Edmead, J.; op 2008 NY Slip Op 33597[U]), entered in a proceeding pursuant to CPLR article 78, which had granted petitioners' application to the extent of declaring certain specifications in respondent's bid solicitation unlawful.

Matter of L&M Bus Corp. v New York City Dept. of Educ., 71 AD3d 127, modified.

HEADNOTES

Administrative Law — Judicial Review — Heightened Scrutiny — Anticompetitive Employee Protection Provisions in Municipal Bid Solicitation

1. The "Employee Protection Provisions" (EPPs) in respondent New York City Department of Education's bid solicitation for a school transportation contract, which established a master seniority list, requiring contractors with the Board to give priority in hiring to employees on the list when such employees become unemployed because of reassignment of busing contracts, were subject to heightened scrutiny under the competitive bidding laws (General Municipal Law § 103; Education Law § 305 [14]; Family Ct Act § 236 [3] [b]). Unlike common specifications, which may be challenged as having an anticompetitive effect, but are not anticompetitive on their face, and are subject to rational basis review, EPPs are atypical, patently restrictive, comprehensive prebid specifications, comparable in their status to Project Labor Agreements (PLAs). PLAs, which typically provide that only contractors who sign a prenegotiated agreement with a labor union can perform project work, trigger heightened scrutiny due to their atypical nature and comprehensive scope. Here, the EPPs were unique in the nation in requiring that successor contractors retain the employees laid off when the previous contractor lost the bid at the same salary and benefit levels that the predecessor contractor provided. With regard to comprehensiveness, the EPPs were permanent, applied to all contracts for pupil transportation for all public schools throughout the City, and had far-reaching consequences on a contractor's work force. Thus, EPPs are precisely the sort of atypical, restrictive and comprehensive prebid specifications that invoke the heightened scrutiny standard.

Municipal Corporations — Bids and Bidders — Bid Solicitation — Anticompetitive Employee Protection Provisions

2. The "Employee Protection Provisions" (EPPs) in respondent New York City Department of Education's bid solicitation for a contract to provide

transportation services to children participating in prekindergarten (Pre-K) and early intervention (EI) programs, which established a master seniority list, requiring contractors with the Board to give priority in hiring to employees on the list when such employees become unemployed because of reassignment of busing contracts, were unlawful under the competitive bidding laws (General Municipal Law § 103; Education Law § 305 [14]; Family Ct Act § 236 [3] [b]) since respondent failed to prove, under heightened scrutiny review, that the EPPs were designed to save the public money, encourage robust competition, or prevent favoritism. In practice, the EPPs, which had been included in other school busing contracts since 1979, were anticompetitive and cost-inflating, and their introduction to the Pre-K/EI bid specifications might eliminate the cost-saving, pro-competition advantages which Pre-K/EI busing had enjoyed, and would likely introduce favoritism and monopolization of the market by large contractors. Respondent's assertion that the failure to introduce EPPs into Pre-K/EI contracts would cause labor strikes and lead to disruption of contract performance was questionable since most of the current Pre-K/EI vendors were not unionized. As to the rationale that the EPPs were included to promote a skilled, safety-conscious work force comprised of veteran bus drivers, substantially less restrictive measures could have been imposed, such as an experience requirement in the bidding specifications.

Municipal Corporations — Bids and Bidders — Bid Solicitation — Bid Specifications Implementing “Per Rider Per Day” Pricing Scheme in School Busing Contract

3. Petitioner transportation vendors failed to show that respondent New York City Department of Education's decisions regarding its implementation of bid specifications for a school transportation contract which implemented a “per rider per day” pricing scheme were irrational. As these specifications were not facially anticompetitive, they were subject to ordinary rational basis review in assessing their validity. The per rider per day pricing scheme was based on respondent's rational business judgment that the public interest and the aims of the bidding laws were served by a system that allocated the risks of the inevitable changes in the needs of the busing system over the length of the contract to the vendors, rather than to respondent, and fell within respondent's discretion.

Municipal Corporations — Bids and Bidders — Bid Solicitation — Bid Specification Providing for 2% Prompt Payment Discount

4. Respondent New York City Department of Education's inclusion of a provision entitling it to a 2% discount for all payments made within 30 days of receipt of the vendor's invoice in a bid solicitation for a school transportation contract was a legitimate exercise of respondent's business judgment. As this specification was not facially anticompetitive, it was subject to ordinary rational basis review in assessing its validity. The specification was based on the rational business judgment that the 2% discounts encouraged respondent to make prompt payments, which in turn benefitted vendors, who might otherwise be compelled to borrow to cover ongoing expenses, and fell within respondent's discretion. Furthermore, since the prompt payment provision applied equally to all bidders, there was no anticompetitive aspect of the specification.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Public Works and Contracts §§ 27, 32, 43; AM
JUR 2d, Schools § 282.

McKINNEY's, Education Law § 305 (14); Family Ct Act § 236 (3) (b); General Municipal Law § 103.

NY JUR 2d, Counties, Towns, and Municipal Corporations §§ 1309, 1328–1330, 1335, 1348; NY JUR 2d, Schools, Universities, and Colleges § 402.

ANNOTATION REFERENCE

See ALR Index under Bids and Bidding; Municipal Corporations; Public Works and Contracts; Schools and Education.

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POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (*Dona B. Morris, Francis F. Caputo, Nancy F. Brodie and Michael Adler* of counsel), for appellants. I. The Employee Protection Provisions comport with competitive bidding laws by safeguarding against disruption of contractual performance, promoting the use of a proven and competent labor force, and removing a barrier that would otherwise depress the pool of interested bidders. (*Matter of American Tel. & Tel. Co. v State Tax Commn.*, 61 NY2d 393; *Matter of Procaccino v Stewart*, 32 AD2d 486, 25 NY2d 301; *Matter of Positive Transp. v City of N.Y. Dept. of Transp.*, 183 AD2d 660; *Matter of C. K. Rehner, Inc. [City of New York]*, 106 AD2d 268; *Abco Bus Co. v Macchia-rola*, 52 NY2d 938, 75 AD2d 831, 454 US 822; *Matter of New York State Ch., Inc., Associated Gen. Contrs. of Am. v New York State Thruway Auth.*, 88 NY2d 56; *Matter of Council of City of N.Y. v Bloomberg*, 6 NY3d 380; *Matter of Conduit & Found. Corp. v Metropolitan Transp. Auth.*, 66 NY2d 144; *Jered Contr. Corp. v New York City Tr. Auth.*, 22 NY2d 187; *Associated Bldrs. & Contrs. v City of Rochester*, 67 NY2d 854.) II. The New York City Department of Education has broad discretion in creating bid specifications for bus transportation for prekindergarten and early intervention program participants. Accordingly, the courts below improperly annulled certain rational and lawful provisions of the bid specifications. (*Matter of Acme Bus Corp. v Board of Educ. of Roosevelt Union Free School Dist.*, 91 NY2d 51; *Wells v Alexandre*, 130 NY 642; *New York Cent. Iron Works Co. v United States Radiator Co.*, 174 NY 331; *HML Corp. v*

General Foods Corp., 365 F2d 77; *Matter of McNutt Co. v Eckert*, 257 NY 100; *Hart v City of New York*, 201 NY 45; *Brooklyn Ash Removal Co., Inc. v O'Brien*, 238 App Div 647; *Matter of Suburban Restoration Co. v City of New York*, 290 AD2d 378; *Grace v Scott*, 125 Misc 660, 214 App Div 792; *Business Relocation Servs., Inc. v City of New York*, 19 Misc 3d 1114[A], 2008 NY Slip Op 50681[U].)

Meyer, Suozzi, English & Klein, P.C., New York City (Richard A. Brook, Richard N. Gilberg, Robert Marinovic and Melissa S. Woods of counsel), for intervenor-appellant. The Appellate Division erred by holding that the Employee Protection Provisions violate applicable competitive bidding laws. (*Matter of New York State Ch., Inc., Associated Gen. Contrs. of Am. v New York State Thruway Auth.*, 88 NY2d 56; *Matter of Council of City of N.Y. v Bloomberg*, 6 NY3d 380; *Matter of Kayfield Constr. Corp. v Morris*, 15 AD2d 373; *Matter of Albany Specialties v County of Orange*, 240 AD2d 739; *American Inst. for Imported Steel v Office of Gen. Servs. of State of N.Y.*, 47 AD2d 118, 38 NY2d 991; *Matter of Warren Bros. Co., Div. of Ashland Oil & Ref. Co. v Craner*, 30 AD2d 437; *Gerzof v Sweeney*, 16 NY2d 206; *Matter of General Contrs. Assn. of N.Y. v Tormenta*, 259 AD2d 177.)

Wasserman Grubin & Rogers, LLP, New York City (John F. Grubin and James Joyce of counsel), for respondents. I. The courts below properly enjoined the New York City Department of Education's utilization of specifications that prevented rational bids. (*Hart v City of New York*, 201 NY 45; *Brooklyn Ash Removal Co., Inc. v O'Brien*, 238 App Div 647; *Matter of Sagamore Auto Body v County of Nassau*, 104 AD2d 818; *Matter of McNutt Co. v Eckert*, 257 NY 100; *Wells v Alexandre*, 130 NY 642; *New York Cent. Iron Works Co. v United States Radiator Co.*, 174 NY 331; *Gage v City of New York*, 110 App Div 403; *Matter of Council of City of N.Y. v Bloomberg*, 6 NY3d 380; *Matter of General Contrs. Assn. of N.Y. v Tormenta*, 259 AD2d 177.) II. The courts below properly struck the New York City Department of Education's "right" to confiscate 2% of bills it pays within 30 days, a right which serves no public bidding interest and tilts the process toward big School-Age contractors. (*Kerr-McGee Chem. Corp. v Harris*, 442 F2d 1109.) III. The courts below properly struck Employee Protection Provisions that were imposed neither to save the public money nor to prevent favoritism, improvidence, fraud, or corruption in the award of public contracts. (*Matter of New York State Ch., Inc., Associated Gen. Contrs. of Am. v New York State Thruway Auth.*, 88 NY2d 56;

Matter of M. Cristo, Inc. v State of N.Y. Off. of Gen. Servs., 42 AD2d 481; *Matter of Albany Specialties v County of Orange*, 240 AD2d 739; *Van-Go Transp. Co., Inc. v New York City Bd. of Educ.*, 53 F Supp 2d 278; *National Woodwork Mfrs. Assn. v NLRB*, 386 US 612; *Matter of Council of City of N.Y. v Bloomberg*, 6 NY3d 380; *Matter of Empire State Ch. of Associated Bldrs. & Contrs. v Board of Educ. of City of Buffalo*, 269 AD2d 801; *Matter of Positive Transp. v City of N.Y. Dept. of Transp.*, 183 AD2d 660; *Matter of Bay Harbour Elec. v County of Chautauqua*, 210 AD2d 919; *Matter of Long Is. Signal Corp. v County of Nassau*, 51 Misc 2d 320.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

This appeal asks us to decide whether certain specifications in the bid solicitation of the New York City Department of Education (DOE) for a school transportation contract comport with the public bidding laws. We conclude that the “Employee Protection Provisions” (EPPs) contained in the solicitation are subject to heightened scrutiny, and hold that DOE has not proven that the EPPs are designed to save the public money, encourage robust competition, or prevent favoritism. However, we apply rational basis review to the remaining disputed bid specifications and hold that DOE’s actions regarding the pricing of school transportation and discounted payment arrangements are rational business judgments that lie within DOE’s discretion.

I.

Prior to 1979, the Board of Education of the City of New York (the Board) administered “Special Education” and “General Education” contracts with private bus companies for the transport of disabled children and the general population of school-aged children to their respective schools. Contracts were awarded pursuant to the competitive bidding procedure under Education Law § 305 (14) and included a provision requiring “replacement” contractors to give hiring priority, according to seniority, to employees of private bus companies who lost their jobs as a result of the change in contractor. When the Board attempted to exclude this provision from certain bid solicitations, members of Local 1181-1061, Amalgamated Transit Union, AFL-CIO (Local 1181) went on strike.

Following a court-ordered arbitration, the Board, Local 1181, and major bus companies entered a settlement, which required

the 1979 contracts to include certain EPPs in the specifications. In particular, the EPPs established a master seniority list, requiring contractors with the Board to give priority in hiring to employees on the list when such employees become unemployed because of reassignment of busing contracts. The New York City Department of Transportation (DOT), however, had at the same time been administering transportation contracts for young children in the prekindergarten (Pre-K) and early intervention (EI) programs by competitive, sealed bidding, without such EPPs.

In 2006, DOT transferred its Pre-K and EI contracts to DOE. Local 1181, which represents approximately 325 drivers and escorts who work for Pre-K and EI bus companies, requested that DOE include the EPPs in its solicitation for contract bids. DOE agreed, and the solicitation provided that

“[a]ny new contractors, *i.e.*, those who did not provide service pursuant to contract expiring June, 2008 . . . shall give priority in employment in July, 2008 or thereafter on the basis of seniority to every operator (driver), mechanic, dispatcher and attendant (escort-matron) performing service pursuant to such contract starting from the first employee from the [master seniority list] until such [master seniority list is] exhausted” (Bid Solicitation § 4.24.1.3).

A similar provision applied to existing contractors (*see id.* § 4.24.1.2).

DOE invited bids for providing transportation between home and school to handicapped children participating in Pre-K and EI programs. Bids were required to be submitted “on a per rider per day basis” so that DOE could track transportation costs per child for purposes of its own reimbursement. DOE solicited bids on a five-year contract to transport participants to schools, not necessarily located in the same borough, based on an estimate of the number of participants and the frequency and level of transportation required at any given time. The contract also provided DOE with a 2% discount for timely payment and vendors with increased reimbursement in the event of a reduction in the number of children transported—but only if the decrease were to exceed 30% of ridership.

Petitioners, 23 transportation vendors, commenced this CPLR article 78 proceeding to prevent DOE from implementing the

allegedly illegal bid solicitation. Petitioners asserted that the requirement that bids be submitted “on a per rider per day basis” created such grave uncertainties, that potential bidders would submit speculative bids, risk substantial economic harm, or not bid at all. Moreover, petitioners urged that inclusion of EPPs would cause bidders to inflate their bids to protect against the unknown costs of giving priority to whichever employees from the master seniority list were unemployed after the DOE awarded the contracts. Likewise, petitioners claimed that the failure to include in the solicitation the addresses or boroughs of children to be bused, as had been included in DOT’s prior solicitation, prevented bidders from calculating costs. Petitioners also sought revision or removal of nine specific provisions of the solicitation. Local 1181 was granted leave to intervene and moved to dismiss for failure to state a cause of action insofar as petitioners sought to bar the inclusion of EPPs.

As relevant to this appeal, Supreme Court granted the petition to the extent of declaring the following bid specifications unlawful: (i) section 4.24, “Employee Protection Provisions”; (ii) section 1.100 (B), regarding DOE’s right to change the service requirements in the Contractor’s Manual at any time without prior notice; (iii) section 4.10, to the extent it permitted DOE to add entire schools and programs in the vendors’ service requirements without adjusting the vendors’ prices; (iv) section 4.10, to the extent it provided for a price adjustment only in the event of a loss of ridership in excess of 30%; (v) section 1.48, “Liquidated Damages”; and (vi) section 1.35, 2% discount for DOE for “prompt payment” (2008 NY Slip Op 33597[U]). Supreme Court additionally ordered DOE to include in the specifications the addresses of children who currently participated in Pre-K/EI busing.¹

The Appellate Division affirmed the relevant aspects of Supreme Court’s order (*Matter of L&M Bus Corp. v New York City Dept. of Educ.*, 71 AD3d 127 [1st Dept 2009]). Discussing the uncertainty inherent in various provisions of the bid specifications, the court observed that the solicitation “presents a

1. In the original bid specifications, DOE did not provide any information about the location of current participating students’ addresses. Petitioners sought this information in the courts below and Supreme Court ordered that DOE provide the addresses. The Appellate Division modified the order and instead required DOE to provide the cross streets of the participating children (*see* 71 AD3d 127, 138-139 [1st Dept 2009]). The parties have since settled this dispute; accordingly the issue is no longer before this Court.

considerable challenge to potential bidders due to the complexity in ascertaining the extent of the transportation services to be supplied” (*id.* at 132) and that further difficulty arises in “the uncertainty surrounding the individual contractor’s responsibility for labor costs” (*id.* at 133). In striking the EPPs, the court reasoned, “the anticompetitive impact resulting from the restriction of the vendors’ autonomy to hire nonunion workers subjects these arrangements to the same scrutiny applied to [project labor agreements]” (*id.* at 135).

We granted leave to appeal (15 NY3d 889 [2010]) and now modify the Appellate Division order.

II.

General Municipal Law § 103 (1) mandates that “all contracts for public work . . . be awarded . . . to the lowest responsible bidder.” Education Law § 305 (14) and Family Court Act § 236 (3) (b), which governs the busing of children participating in EI programs, similarly require that transportation contracts be awarded to the lowest responsible bidder.² Dual aims underlie these requirements: “(1) protection of the public fisc by obtaining the best work at the lowest possible price; and (2) prevention of favoritism, improvidence, fraud and corruption in the awarding of public contracts” (*Matter of New York State Ch., Inc., Associated Gen. Contrs. of Am. v New York State Thruway Auth.*, 88 NY2d 56, 68 [1996] [hereinafter *New York State Chapter*]).

[1] DOE contends that the Appellate Division erred by applying to EPPs the heightened standard of review used to evaluate Project Labor Agreements (PLAs). A PLA is “a prebid contract between a construction project owner and a labor union (or unions) establishing the union as the collective bargaining representative for all persons who will perform work on the project” and typically “provides that only contractors and subcontractors who sign a prenegotiated agreement with the union can perform project work” (*id.* at 65). Consistent with the goals of public bidding laws, we held in *Matter of Council of City of N.Y. v Bloomberg* (6 NY3d 380 [2006] [hereinafter *Council v Bloomberg*]) that “PLAs and other procedures having an anti-competitive effect on the bidding process can be justified only by proof that they are designed to save the public money by

2. Because Pre-K contracts are awarded together with EI contracts, they are equally subject to the competitive bidding laws.

causing contracts to be performed at smaller cost or without disruption” (*id.* at 392).

In *New York State Chapter* (88 NY2d at 65), we ruled that the features of PLAs that trigger heightened scrutiny are their atypical nature and comprehensive scope:

“Generally, when a public entity adopts a specification in the letting of public work that impedes the competition to bid for such work, it must be rationally related to these twin purposes. Where it is not, it may be invalid [citing *Associated Bldrs. & Contrs. v City of Rochester*, 67 NY2d 854, 855 (1986)].

“As applied particularly to PLAs, which are clearly different from typical prebid specifications in their comprehensive scope, more than a rational basis must be shown. The public authority’s decision to adopt such an agreement for a specific project must be supported by the record; the authority bears the burden of showing that the decision to enter into the PLA had as its purpose and likely effect the advancement of the interests embodied in the competitive bidding statutes. Judicial review, although limited, is not without importance in that it safeguards the interests protected by the competitive bidding mandate. PLAs may not be approved in a pro forma manner” (*New York State Chapter*, 88 NY2d at 68-69 [emphasis added]).

Hence, we distinguish between common specifications that, while challenged as having an anticompetitive effect, are not anticompetitive on their face, and atypical ones that are patently restrictive. Even common specifications, like construction materials or design criteria (*see id.* at 65) may impede competition by excluding those who cannot meet them. For example, a bid specification that requires that a contractor only use a certain shade of paint may not be anticompetitive on its face. But, if a bidder challenges the requirement on the ground that only one store in the area sells the particular shade of paint and the store exclusively sells that paint to one of the bidders, then the public entity will have to show a rational basis on review in order for the specification to withstand the challenge. Unlike a specification designating the color of paint to be used in a public works project or the time frame for completion of a project, EPPs are precisely the sort of atypical, restrictive and

comprehensive prebid specifications that invoke the heightened scrutiny standard set forth in *New York State Chapter and Council v Bloomberg*.

In the first place, EPPs are unique. DOE has not pointed to any other municipality in the nation that has imposed a requirement that successor contractors retain the employees who were laid off when the previous contractor lost the bid at the same salary and benefit levels that the predecessor contractor provided.

With regard to the comprehensiveness of EPPs as compared to PLAs, EPPs are permanent and PLAs are job-specific. A PLA pertains to a single construction project and ends when the project is completed. By contrast, the EPPs that DOE introduced to its School-Age contracts in 1979 impact the entire industry of pupil transportation services provided under contract with DOE. They apply to all contracts for pupil transportation for all public schools throughout the City and, in practice, have remained in place continually from 1979 to 2011. Moreover, the consequences of EPPs are at least as far-reaching as those of PLAs. In the case of a new contractor, the EPPs proscribe the use of the contractor's work force altogether, as long as a single employee of the predecessor contractor is available for employment. EPPs dictate who the contractor must hire and what salary and benefits they must provide and makes these matters nonnegotiable.

Accordingly, we hold that EPPs are comparable to PLAs in their status as atypical, patently restrictive, comprehensive prebid specifications and in their potential for anticompetitive consequences. We therefore employ the more stringent review and turn to an assessment of whether, pursuant to *Council v Bloomberg*, DOE has demonstrated "proof that [EPPs] are designed to save the public money by causing contracts to be performed at smaller cost or without disruption" (6 NY3d at 392).

III.

[2] Appellants fail to refute the facially anticompetitive features of the EPPs, which tend to invite cost-inflation and discourage new bidders from attempting to compete with the long-term contract holders. As the Appellate Division noted,

"[t]he EPP provisions at issue raise the prospect that a vendor will be required to assume a competing

contractor's labor costs, requiring that the vendor's bid reflect not only the known expense of compensating its own employees but also the unknown and potentially much greater expense of compensating a competitor's employees" (71 AD3d at 134).

Even if a new bidder can ascertain the pay scale of the existing contractor, the bidder does not know how many of the predecessor's employees will need to be retained or the salaries of the individual employees, which vary by seniority and other factors. In these circumstances, prudent bidders might inflate their bids to cover the contingency of having to pay unspecified salaries for a large number of a predecessor's work force, and the small-scale operations that currently hold the Pre-K/EI contracts might avoid the contest altogether for fear of losing the gamble.

A brief look at the history of New York City's public busing contracts since 1979 suggests that, in practice, the EPPs have had anticompetitive and cost-inflating effects. The existence of EPPs has resulted in the School-Age transportation contracts being performed by the same companies with roughly the same employees, year after year. By contrast, Pre-K/EI transportation, which lacks EPPs, has proceeded with competitive bidding by a variety of small-scale companies, without serious reports of corruption or labor disruption, and without threats from the unions to strike or pressure to introduce EPPs. In short, the introduction of EPPs to the Pre-K/EI bid specifications might eliminate the cost-saving, pro-competition advantages Pre-K/EI busing has enjoyed and would likely introduce the same problems of favoritism and monopolization of the market by large contractors that has beset the School-Age contracts.

DOE counters the charges that EPPs are expensive and anti-competitive with claims that the failure to introduce EPPs into Pre-K/EI contracts will cause labor strikes, which will in turn lead to disruption of contract performance. As the courts below noted, the likelihood of a strike disrupting Pre-K/EI operations is not at all clear. It would appear questionable that employees of School-Age transportation vendors would strike in order to introduce EPPs into the Pre-K/EI bids, especially since most of the current Pre-K/EI vendors are not unionized.

An additional rationale proffered for the inclusion of EPPs is to promote a skilled, safety-conscious work force comprised of veteran bus drivers. While anti-displacement provisions might

be viewed as socially beneficial, the bidding laws are not the proper avenue for achieving such goals (*see Associated Bldrs. & Contrs. v City of Rochester*, 67 NY2d 854, 856 [1986] [holding that apprenticeship training to foster a skilled work force “while a desirable end, was not intended by the State Legislature to affect the qualification of an otherwise responsible low bidder”]). Indeed, this goal could be achieved by substantially less restrictive measures, such as the imposition of an experience requirement in the bidding specifications.

Based on the foregoing, we find that DOE has not met its burden of demonstrating how EPPs reduce costs or prevent disruption of service.

IV.

All but one of the remaining disputed bid specifications is broadly related to DOE’s implementation of a modified “requirements contract” in its Pre-K/EI pricing scheme, and the last is a specification granting DOE a 2% discount for prompt payment of its bills. These specifications are not facially anticompetitive; rather they reflect the difficulty of soliciting bids to meet the vast, constantly changing demands on DOE to provide transportation to New York City school children. Accordingly, we apply the ordinary rational basis review for article 78 proceedings in assessing the validity of these specifications. Under this standard, petitioners have the burden of demonstrating that the contracting agency’s determination is unlawful or improper (*see e.g. Matter of Acme Bus Corp. v Board of Educ. of Roosevelt Union Free School Dist.*, 91 NY2d 51, 55 [1997]).

DOE maintains that the “per rider per day” scheme that it seeks to implement in place of the “price per vehicle per day” scheme, which the Pre-K/EI contracts have utilized for 15 years, is equivalent to a requirements contract. This new scheme, DOE asserts, will motivate contractors to be efficient and hold down unnecessary costs. Petitioners counter that uncertainties as to where each child will have to be bused to and from and how many schools will open or close during the contract period, as well as legal restrictions that limit the amount of time a child can be on a bus for each trip, make the per rider per day scheme different from any ordinary requirements contract. With so many variables at work, petitioners insist that they will be forced to inflate bids in order to cover the most costly scenarios.

The lower courts did not strike down the per rider per day pricing scheme, but did strike the bid specifications that gave

DOE: (1) “power and sole discretion to add, delete, revise, update, reissue and/or otherwise change any or all rules, procedures, and/or requirements contained in the Contractor’s Manual at any time without prior notice to the Contractor”; (2) power to delete entire schools and programs in the vendors’ service requirements without an adjustment in the vendors’ unit prices; (3) power to require a contractor to service any new school after the contract is entered into, at the same unit price originally bid; and (4) the advantage of not having to adjust prices except in the event of a loss of ridership in excess of 30%.

[3] We now reverse the Appellate Division’s order as it pertains to these bid specifications and hold that petitioners have failed to meet their burden to show that DOE’s decisions regarding its implementation of the per rider per day pricing scheme are irrational. We decline to second-guess DOE’s business judgment that the public interest and the aims of the bidding laws are served by a system that allocates the risks of the inevitable changes in the needs of the busing system over the length of the contract to the vendors, rather than to DOE.

[4] Likewise, we reverse that part of the Appellate Division order that struck DOE’s inclusion of a 2% discount for all payments made within 30 days of receipt of the vendor’s invoice. The Appellate Division reasoned that the provision encouraged vendors to inflate their bids by 2% in anticipation of the deduction and, as such, contravened the goal of securing the lowest possible bids. Yet, DOE has offered the rational explanation that these discounts encourage DOE to make prompt payments, which in turn benefits vendors, who might otherwise be compelled to borrow to cover ongoing expenses. Furthermore, since the prompt payment provision applies equally to all bidders, there is no anticompetitive aspect of this specification. Again under rational basis review, we find the 2% discount to represent a legitimate exercise of DOE’s business judgment, which should not be disturbed.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be modified, without costs, in accordance with this opinion and, as so modified, affirmed.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order, insofar as appealed from, modified, etc.

[951 NE2d 369, 927 NYS2d 821]

COMMODITY FUTURES TRADING COMMISSION, Respondent, v STEPHEN WALSH et al., Defendants, and JANET WALSH, Appellant.

SECURITIES AND EXCHANGE COMMISSION, Respondent, v WG TRADING INVESTORS, L.P., et al., Defendants, and JANET WALSH, Appellant, et al., Relief Defendant.

Argued May 31, 2011; decided June 23, 2011

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “(1) Does ‘marital property’ within the meaning of New York Domestic Relations Law § 236 include the proceeds of fraud? (2) Does a spouse pay ‘fair consideration’ according to the terms of New York Debtor and Creditor Law § 272 when she relinquishes in good faith a claim to the proceeds of fraud?”

HEADNOTES

Husband and Wife — Equitable Distribution — Marital Property — Assets Acquired by Fraud

1. The dictates of Domestic Relations Law § 236 and the purposes of equitable distribution permit the transfer of marital assets to a recipient spouse who is unaware that some or all of those assets were illegally acquired by the other spouse. The statute expansively defines marital property to encompass “all property acquired” by either spouse during the course of the marriage and there is a presumption that all property, unless clearly separate, is deemed marital property. Furthermore, the term “acquired” does not require that property be segregated by its methods of acquisition; it merely means that a person gains possession. Given that the scope of marital property is to be construed broadly, the proceeds of fraud can constitute marital property as defined in section 236. It is therefore possible under the Domestic Relations Law to transfer assets derived from fraud to an innocent and unknowing spouse in a divorce proceeding.

Husband and Wife — Equitable Distribution — Marital Property — Assets Acquired by Fraud — Finality of Matrimonial Action

2. Monies obtained by fraud cannot be followed by the original owner into the hands of an innocent former spouse who now holds them, or assets derived from them, as a result of a divorce proceeding where that spouse in good faith and without knowledge of the fraud gave fair consideration for the transferred

property. Money obtained by fraud or felony cannot be followed by the true owner into the hands of one who has received it bona fide and for a valuable consideration in due course of business, and the rule favoring innocent transferees of stolen funds over defrauded owners is rooted in New York's concern for finality in business transactions. Similarly, ex-spouses have a reasonable expectation that once their marriage has been dissolved and the property divided, they will be free to move on with their lives. To permit an original owner of stolen property to recover it from an innocent transferee-spouse would undermine a fundamental policy underlying equitable distribution, namely finality. Moreover, as a practical matter, where the innocent spouse and matrimonial court are unaware of the tainted nature of particular assets, distribution of marital assets would become unworkable particularly where the illegal activity of one spouse is not revealed for a number of years subsequent to the divorce.

Fraudulent Conveyances — Fair Consideration — Spouse's Release of Claims in Matrimonial Action

3. A determination that an innocent spouse paid "fair consideration" according to the terms of New York Debtor and Creditor Law § 272, in connection with a property distribution made pursuant to a separation agreement incorporated into a judgment of divorce, is not precluded, as a matter of law, where part or all of the marital estate consists of the proceeds of fraud. Although such consideration cannot be predicated on a spouse's relinquishment of a claim to a greater share of the proceeds of fraud, a spouse may relinquish rights to other untainted assets in the marital estate, and consideration may consist of nonmonetary consideration such as the release of a claim for maintenance, a child support obligation, custody or visitation concessions, or inheritance rights. Moreover, even where a spouse does not relinquish a "fair equivalent" for the aggregate of assets, it is possible that fair consideration may be exchanged for at least some of the assets. Consequently, a spouse who received, under a settlement agreement, possession of illegally acquired property in good faith and gave fair consideration for it should prevail over the claims of the original owner or owners of the property.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Conversion §§ 27, 106; AM JUR 2d, Divorce and Separation §§ 477, 560; AM JUR 2d, Fraudulent Conveyances and Transfers §§ 137-139.

CARMODY-WAIT 2d, Creditors' Actions §§ 85:25-85:27; CARMODY-WAIT 2d, Spousal Support, Counsel Fees, Child Support, and Property Distribution in Matrimonial Actions §§ 118:190, 118:203, 118:251.

3A LAW AND THE FAMILY NEW YORK (2d ed) § 14:8.

McKINNEY's, Debtor and Creditor Law § 272; Domestic Relations Law § 236.

NY JUR 2d, Creditors' Rights and Remedies §§ 327, 328, 330, 335; NY JUR 2d, Domestic Relations §§ 2609, 2621, 2661.

ANNOTATION REFERENCE

See ALR Index under Conversion; Debtors and Creditors;

Equitable Distribution; Finality and Conclusiveness; Fraudulent Conveyances; Good Faith.

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POINTS OF COUNSEL

Law Offices of Steven L. Kessler, New York City (*Steven L. Kessler* and *Eric M. Wagner* of counsel), for appellant. I. The first certified question should be answered in the affirmative under the facts of this case. (*Wildenstein & Co. v Wallis*, 79 NY2d 641; *Burns v Burns*, 84 NY2d 369; *Price v Price*, 69 NY2d 8; *Fields v Fields*, 15 NY3d 158; *DeJesus v DeJesus*, 90 NY2d 643; *Majauskas v Majauskas*, 61 NY2d 481; *Musso v Ostashko*, 468 F3d 99; *Rainbow v Swisher*, 72 NY2d 106; *Doe v Doe*, 29 Misc 3d 483; *Vandelli v Vandelli*, 266 AD2d 280.) II. The second certified question should be answered in the affirmative under the facts of this case. (*Halsey v Winant*, 258 NY 512, 287 US 620; *Joslin v Lopez*, 309 AD2d 837; *Matter of American Inv. Bank v Marine Midland Bank*, 191 AD2d 690; *United States v McCombs*, 30 F3d 310; *Marine Midland Bank v Murkoff*, 120 AD2d 122, 69 NY2d 875; *Southern Indus. v Jeremias*, 66 AD2d 178; *Federal Deposit Ins. Co. v Malin*, 802 F2d 12; *Marine Midland Bank-N.Y. v Batson*, 70 Misc 2d 8; *Orbach v Pappa*, 482 F Supp 117; *Safie v Safie*, 24 AD2d 502, 17 NY2d 601.)

Nancy R. Doyle, Assistant General Counsel, Commodity Futures Trading Commission, of the District of Columbia bar, admitted pro hac vice, *Dan M. Berkovitz*, Washington, D.C., and *Gloria P. Clement*, for Commodity Futures Trading Commission, respondent. I. “Marital property” within the meaning of Domestic Relations Law § 236 does not include the proceeds of fraud. (*Commodity Futures Trading Commn. v Kimberllynn Cr. Ranch, Inc.*, 276 F3d 187; *Sharp v Kosmalski*, 40 NY2d 119; *In re First Cent. Fin. Corp.*, 377 F3d 209; *Republic of Philippines v Marcos*, 806 F2d 344; *Securities & Exch. Commn. v Cavanagh*, 155 F3d 129; *Eberhard v Marcu*, 530 F3d 122; *Chicago Tit. & Trust Co. v Fox Theatres Corp.*, 69 F2d 60; *Securities & Exch. Commn. v Unifund SAL*, 910 F2d 1028; *Levi Strauss & Co. v Sunrise Intl. Trading Inc.*, 51 F3d 982; *Federal Trade Commn. v Southwest Sunsites, Inc.*, 665 F2d 711.) II. A spouse does not pay “fair consideration” according to the terms of Debtor and

Creditor Law § 272 when she relinquishes in good faith a claim to the proceeds of fraud. (*Butner v United States*, 440 US 48; *O'Brien v O'Brien*, 66 NY2d 576; *United States v Red Stripe, Inc.*, 792 F Supp 1338; *Matter of Shelly v Doe*, 249 AD2d 756; *Kasinski v Questel*, 99 AD2d 396; *Federal Deposit Ins. Co. v Malin*, 802 F2d 12; *HBE Leasing Corp. v Frank*, 61 F3d 1054.) III. This Court should not accept Ms. Schaberg's invitation to resolve in her favor unsupported or disputed factual assertions. (*In re Nortel Networks Corp. Sec. Litig.*, 539 F3d 129; *United States v Monsanto*, 924 F2d 1186; *Nickel v Bank of Am. Natl. Trust & Sav. Assn.*, 290 F3d 1134; *Matter of Rothko*, 43 NY2d 305; *Securities & Exch. Commn. v Better Life Club of Am., Inc.*, 995 F Supp 167; *Securities & Exch. Commn. v Infinity Group Co.*, 993 F Supp 324; *Securities & Exch. Commn. v Colello*, 139 F3d 674.)

Allan A. Capute, of the District of Columbia bar, admitted pro hac vice, *Mark Cahn*, Washington, D.C., *Anne K. Small* and *Jacob H. Stillman*, for Securities and Exchange Commission, respondent. I. Proceeds of fraud are not marital property within the meaning of Domestic Relations Law § 236. (*Solomon v Solomon*, 307 AD2d 558, 1 NY3d 546; *LaPaglia v LaPaglia*, 134 Misc 2d 1030; *McMerty v Herzog*, 702 F2d 127; *Wrightsmann v Commissioner of Internal Revenue*, 111 F2d 227; *Eigenbrodt v Eigenbrodt*, 217 AD2d 752; *Matter of State of New York v Goldstein*, 170 AD2d 789; *Capasso v Capasso*, 129 AD2d 267; *Kohl v Kohl*, 24 AD3d 219; *SEC v Capital Gains Research Bureau, Inc.*, 375 US 180; *Rogers v Rogers*, 63 NY2d 582.) II. Under Debtor and Creditor Law § 272, a spouse does not pay "fair consideration"—which must be a "fair equivalent" value—when she relinquishes a claim to the proceeds of fraud, regardless of whether she does so in good faith. (*Lippe v Bairnco Corp.*, 249 F Supp 2d 357; *United States v Loftis*, 607 F3d 173; *BFP v Resolution Trust Corporation*, 511 US 531; *United States v Glen Eagles Inv. Co., Inc.*, 565 F Supp 556; *United States v Tabor Ct. Realty Corp.*, 803 F2d 1288; *Federal Deposit Ins. Co. v Malin*, 802 F2d 12; *Safie v Safie*, 24 AD2d 502, 17 NY2d 601; *United States v Barrier Indus., Inc.*, 991 F Supp 678; *Century Ctr. v Davis*, 100 AD2d 564; *McMerty v Herzog*, 702 F2d 127.)

Elliott Scheinberg, Staten Island, *Nancy Kellman*, White Plains, *Allan Mayefsky*, New York City, *Michael Stutman* and *Aaron Weitz*, amici curiae. I. Janet Schaberg's three contentions fail individually and are also internally contradictory. II. Janet Schaberg's desperate interpretation that stolen property

becomes part of the marital estate corrupts principles of equity. III. The stolen monies never entered the marital estate. IV. Spousal agreements, as contracts, require lawful consideration: the Schaberg-Walsh agreement is void because neither was possessed of lawfully obtained assets, thereby voiding the agreement for want of consideration. (*Rainbow v Swisher*, 72 NY2d 106; *Matter of Boden v Boden*, 42 NY2d 210; *Village of Upper Nyack v Christian & Missionary Alliance*, 143 Misc 2d 414, 155 AD2d 530; *Sayres v Decker Auto. Co.*, 239 NY 73; *Sweinhardt v Bamberger*, 166 Misc 256.) V. Janet Schaberg asserts that part of her consideration was her waiver of the right to seek additional equitable distribution: she could never have sought distribution of illicit assets. (*LaPaglia v LaPaglia*, 134 Misc 2d 1030.) VI. Spousal rights to property acquisition and distribution arise exclusively under the Domestic Relations Law and no other statutory scheme, such as the Debtor and Creditor Law. (*Hoops v Hoops*, 292 NY 428; *Pajak v Pajak*, 56 NY2d 394; *Matter of Seitz v Drogheo*, 21 NY2d 181; *Price v Price*, 69 NY2d 8; *Murphy v Murphy*, 56 Misc 2d 946; *Eccles v Hutchinson*, 28 Misc 2d 412; *Enthoven v Enthoven*, 167 Misc 686, 256 App Div 813; *Bowler v Bowler*, 46 Misc 2d 821; *Tuitt v Tuitt*, 36 Misc 2d 418.) VII. Janet Schaberg improperly seeks protection under the Debtor and Creditor Law. VIII. “Bona fide purchaser,” under the Debtor and Creditor Law, focuses only on the transferee’s intent. Janet Schaberg was also a transferor because she held dual possessory interests in the properties, both as joint owner and as partner in the marital estate, rendering her ineligible for transferee status. (*O’Brien v O’Brien*, 66 NY2d 576.) IX. Under the Debtor and Creditor Law, Janet Schaberg was a transferor who gave and received illicit consideration and could therefore not transfer the jointly held assets to herself and Stephen Walsh. (*In re Sharp Intl. Corp.*, 403 F3d 43; *Morse v Howard Park Corp.*, 50 Misc 2d 834; *Bankers Sec. Life Ins. Socy. v Shakerdge*, 49 NY2d 939.) X. The canons of statutory construction require that the first certified question be answered in the negative: the Domestic Relations Law does not deem proceeds of fraud marital property. (*Blickstein v Blickstein*, 99 AD2d 287; *Hasegawa v Hasegawa*, 290 AD2d 488; *Maharam v Maharam*, 245 AD2d 94.) XI. A matrimonial court could not have distributed the Walsh estate. (*Janke v Janke*, 47 AD2d 445, 39 NY2d 786.) XII. The Second Circuit misapplied *Price v Price* (69 NY2d 8 [1986]). XIII. The canons of statutory construction underscore extraordinary caution to avoid any construction which (1) is unjust to third parties, such

as creditors; (2) is unreasonable; (3) is absurd; or (4) creates hardships. (*People ex rel. United States Aluminium Print. Plate Co. v Knight*, 174 NY 475; *People v Equitable Trust Co. of New London, Conn.*, 96 NY 387; *People v Home Ins. Co.*, 92 NY 328.) XIV. New York, albeit by only a trial court, and other states reject property distribution of stolen assets to spouses not involved in the illegality; constructive trusts are imposed on such assets. (*Sharp v Kosmalski*, 40 NY2d 119; *Bankers Sec. Life Ins. Socy. v Shakerdige*, 49 NY2d 939; *Simonds v Simonds*, 45 NY2d 233; *LaPaglia v LaPaglia*, 134 Misc 2d 1030; *McMerty v Herzog*, 702 F2d 127.) XV. Janet Schaberg advances an absurd theory which was handily rejected by the First Department elsewhere. (*Litvak v Litvak*, 63 AD3d 691; *Fehring v Fehring*, 58 AD3d 1061; *Wiener v Wiener*, 57 AD3d 241; *LeRoy v LeRoy*, 274 AD2d 362.)

OPINION OF THE COURT

GRAFFEO, J.

Stephen Walsh is a defendant in related actions brought by plaintiffs Commodity Futures Trading Commission and Securities and Exchange Commission (the Agencies) alleging violations of the anti-fraud provisions of the Commodity Exchange Act and the Securities Exchange Act. The Agencies claim that between 1996 and 2009, Walsh and his codefendant, Paul Greenwood, misappropriated more than \$550 million from funds they managed for various public and private institutional investors.¹

The Agencies also pursued disgorgement efforts against Janet Schaberg, the former spouse of Walsh, seeking to recover any proceeds she held of the fraud perpetrated by Walsh. Although there is no indication that she was aware of or participated in any wrongdoing related to her ex-husband's fraudulent scheme, the Agencies allege that a sizable amount of property derived from Walsh's illegal securities activities went into Schaberg's possession under the parties' separation agreement and divorce decree.

The United States Court of Appeals for the Second Circuit asks us two questions to assist it in discerning whether Schaberg has a legitimate claim to those funds, which would prevent the Agencies from obtaining disgorgement from her. These questions involve the interplay of the Domestic Relations Law and

1. Greenwood pleaded guilty to securities fraud charges in 2010. Walsh's criminal prosecution remains pending.

the Debtor and Creditor Law and implicate significant public policy considerations.

Background

Walsh and Schaberg were married in 1982 and have two children. Over the course of their 25-year marriage, Walsh was a substantial shareholder in or a management partner of a number of successful business enterprises, such as Champion Sportswear and Tanger Malls/Prime Outlets. As a couple, they acquired a number of homes, including condominiums in Florida and New York City, and a house in Port Washington, New York. Schaberg did not have outside employment during the marriage, but she volunteered at a number of charitable organizations.

In 2004, Schaberg and Walsh separated and divorce proceedings were initiated in early 2005. They entered into a “Stipulation of Settlement and Agreement” in November 2006 pursuant to Domestic Relations Law § 236 (B) (3). Under the terms of the agreement, Schaberg conveyed her ownership interest in the Port Washington marital residence (with an alleged value of about \$7.5 million) to Walsh and she received sole ownership of the condominiums in New York City and Florida (with an alleged value of approximately \$6.7 million). The agreement also provided that Schaberg would retain nearly \$5 million held in several checking accounts and Walsh waived all claims to such monies. Walsh further agreed to pay Schaberg a distributive award of \$12.5 million, payable in biannual installment payments through 2020.² As part of the settlement, Schaberg further waived any claim for maintenance based on the parties’ lengthy marriage and, except as otherwise provided in the agreement, relinquished her right “to a distributive award or an award of equitable distribution with respect to any property acquired by [Walsh] either before or during the marriage.” In April 2007, the settlement agreement was incorporated, but not merged, into the parties’ final judgment of divorce. Schaberg moved to Florida in 2007 and remarried a year later.

Nearly two years after entry of the judgment of divorce, the Agencies filed separate complaints in the United States District Court for the Southern District of New York alleging large-scale

2. Schaberg had received \$3 million in installment payments when Walsh ceased making the payments in 2009 as a result of a restraining order imposed on his assets.

fraud by Walsh, Greenwood and various investment entities they controlled. Both complaints sought monetary penalties from the named defendants and disgorgement of ill-gotten gains from the defendants and relief defendants alike. Schaberg was named as a relief defendant, along with other parties believed to be in possession of proceeds from the fraudulent securities scheme.

The District Court granted the Agencies' requests for preliminary injunctions freezing six of Schaberg's brokerage and bank accounts containing approximately \$7.6 million. The court also prohibited Schaberg from transferring any real property, jewelry or artwork without court approval, thereby effectively freezing the bulk of her assets. Schaberg appealed, arguing that the District Court erred in issuing the injunctions because the property targeted by the injunctions was not subject to disgorgement.

The Second Circuit recognized that federal district courts have the power to order disgorgement from a relief defendant upon a finding that the party "(1) is in possession of ill-gotten funds and (2) lacks a legitimate claim to those funds" (618 F3d 218, 225 [2d Cir 2010]). In this case, the Second Circuit has determined that the question as to whether the injunctions were properly issued turns on whether the District Court correctly found, as a matter of law, that Schaberg lacked a legitimate claim to the funds.³ Acknowledging Schaberg's assertion that she has a valid claim to the funds because "she acquired her assets pursuant to the separation agreement she executed with Walsh in their divorce proceedings, and that by executing this agreement she became a good faith purchaser for value of the assets" (*id.* at 226), the court held that resolution of Schaberg's contention implicated open issues of New York law. The Second Circuit therefore certified the following two questions to us:

"(1) Does 'marital property' within the meaning of New York Domestic Relations Law § 236 include the proceeds of fraud?

"(2) Does a spouse pay 'fair consideration' according to the terms of New York Debtor and Creditor

3. The Second Circuit reserved judgment as to whether, under the first prong of the test, "some of her assets were purchased with funds that are not alleged to be the proceeds of fraud, and thereby would not be subject to disgorgement" (618 F3d at 226 n 4).

Law § 272 when she relinquishes in good faith a claim to the proceeds of fraud?” (*Id.* at 231-232.)

The Second Circuit also invited this Court to “reformulate these questions as it sees fit, or expand them to address any other issues of New York law pertinent to these appeals” (*id.* at 232).

Marital Property

Schaberg asserts that she validly acquired certain assets pursuant to the settlement agreement, and that by entering into this agreement she became a good faith purchaser for value of the distributed property. The Agencies respond that monies derived from the securities fraud were not part of the marital estate in the first instance and, consequently, cannot be retained or transferred through equitable distribution of marital assets under Domestic Relations Law § 236. The parties’ legal arguments raise difficult policy questions, requiring us to weigh the competing interests of the original owners of funds stolen in a fraudulent scheme against the innocent former spouse of the defrauder.

We begin with the language and purpose of Domestic Relations Law § 236, which codifies New York’s Equitable Distribution Law. Under the terms of the statute, section 236 “contemplates only two classes of property: marital property and separate property” (*O’Brien v O’Brien*, 66 NY2d 576, 583 [1985]). Marital property is defined as “all property acquired by either or both spouses during the marriage and before the execution of a separation agreement or the commencement of a matrimonial action, regardless of the form in which title is held” (Domestic Relations Law § 236 [B] [1] [c]), and this broad definition “includes a wide range of tangible and intangible interests” (*Fields v Fields*, 15 NY3d 158, 162 [2010], *reargued denied* 15 NY3d 819 [2010] [internal quotation marks and citation omitted]). Separate property, in contrast, is narrowly limited to four discrete categories, none of which are applicable to this case.⁴

Domestic Relations Law § 236 requires that a trial court equitably distribute marital property between the parties upon the dissolution of the marriage, while separate property remains

4. Specifically, separate property means:

“(1) property acquired before marriage or property acquired by bequest, devise, or descent, or gift from a party other than the spouse;

“(2) compensation for personal injuries;

(n. cont’d)

with the original spousal owner (*see* Domestic Relations Law § 236 [B] [5]). In making its distributive determination, the court is to consider a variety of statutory factors, including the duration of the marriage, the age and health of the parties, the income of each party, the extent of any maintenance award, the probable future financial circumstances of each party, and the nontitled spouse's direct or indirect contributions to the marriage, including "services as a spouse, parent, wage earner and homemaker" (Domestic Relations Law § 236 [B] [5] [d]). New York's Equitable Distribution Law also permits the parties—as happened here—to contract out of the elaborate statutory scheme and instead agree to a division or distribution of property, provided financial disclosure and the statutory requirements for a valid separation agreement are satisfied (*see* Domestic Relations Law § 236 [B] [3]).

The Legislature adopted the Equitable Distribution Law in 1980 to replace the existing system of distribution, which had depended, in large measure, on the traditional common-law title theory of property. In recognition that marriage represents "an economic partnership to which both parties contribute as spouse, parent, wage earner or homemaker," the Equitable Distribution Law was designed on "an entirely new theory which considered all the circumstances of the case and of the respective parties to the marriage" (*O'Brien*, 66 NY2d at 585). The comprehensive regime

"reflects an awareness that the economic success of the partnership depends not only upon the respective financial contributions of the partners, but also on a wide range of nonremunerated services to the joint enterprise, such as homemaking, raising children and providing the emotional and moral support necessary to sustain the other spouse in coping with the vicissitudes of life outside the home" (*Price v Price*, 69 NY2d 8, 14 [1986] [internal quotation marks and citations omitted]).

Consistent with this purpose, and implicit in the statutory framework as a whole, is the concept that "upon dissolution of

"(3) property acquired in exchange for or the increase in value of separate property, except to the extent that such appreciation is due in part to the contributions or efforts of the other spouse;

"(4) property described as separate property by written agreement of the parties pursuant to subdivision three of this part" (Domestic Relations Law § 236 [B] [1] [d]).

the marriage there should be a winding up of the parties' economic affairs and a severance of their economic ties by an equitable distribution of the marital assets" (*O'Brien*, 66 NY2d at 585).

[1] Against this legislative backdrop, we must decide whether the dictates of Domestic Relations Law § 236 and the purposes of equitable distribution permit the transfer of marital assets to a recipient spouse who is unaware that some or all of those assets were illegally acquired by the other spouse. The statute expansively defines marital property to encompass "all property acquired" by either spouse during the course of the marriage and there is a presumption that "all property, unless clearly separate, is deemed marital property" (*Fields*, 15 NY3d at 163 [internal quotation marks and citation omitted]). Furthermore, the term "acquired" does not require that property be segregated by its methods of acquisition; it merely means that a person gains possession (see *Black's Law Dictionary* 26 [9th ed 2009]). Given that we have repeatedly held that the scope of marital property is to be "construed broadly" (see e.g. *Mesholam v Mesholam*, 11 NY3d 24, 28 [2008] [internal quotation marks and citation omitted]), we conclude that the proceeds of fraud can constitute marital property as defined in Domestic Relations Law § 236 and answer the first certified question in the affirmative. It is therefore possible under the Domestic Relations Law to transfer assets derived from fraud to an innocent and unknowing spouse in a divorce proceeding.

[2] Nevertheless, the Agencies argue that, putting aside the language of Domestic Relations Law § 236 and focusing on public policy considerations favoring the return of stolen property to its rightful owner, we should carve out an exception to the broad definition of marital property for the proceeds of fraud. They suggest that where, as here, it is alleged that the property transferred in a divorce proceeding was itself derived from stolen funds, a court should not reach the issue of fair consideration (the topic of the Second Circuit's second certified question) because it is simply irrelevant whether fair consideration was given. In their view, the original owner—a victim of embezzlement and not a mere creditor—should have an absolute right to seek disgorgement of the previously distributed property from the transferee-spouse. Although these contentions have appeal, we are unable to agree.

It has long been the law of this State that "money obtained by fraud or felony cannot be followed by the true owner into the

hands of one who has received it *bona fide* and for a valuable consideration in due course of business” (*Stephens v Board of Educ. of Brooklyn*, 79 NY 183, 186 [1879]). This principle is premised on the recognition that, in contrast to chattels, “money has no earmark” and “cannot be identified” (*Hatch v Fourth Natl. Bank of City of N.Y.*, 147 NY 184, 192 [1895]).⁵ At its core, our rule favoring innocent transferees of stolen funds over defrauded owners is rooted in New York’s “concern for finality in business transactions” (*Banque Worms v BankAmerica Intl.*, 77 NY2d 362, 372 [1991]). We have explained that

“to permit in every case of the payment of a debt an inquiry as to the source from which the debtor derived the money, and a recovery if shown to have been dishonestly acquired, would disorganize all business operations and entail an amount of risk and uncertainty which no enterprise could bear” (*id.* [internal quotation marks and citation omitted]).

Similar concerns are relevant in the matrimonial realm. Ex-spouses have a reasonable expectation that, once their marriage has been dissolved and their property divided, they will be free to move on with their lives. To hold that the proceeds of fraud acquired by one spouse unbeknownst to the other cannot be subject to equitable distribution or conveyed through a settlement agreement as marital property would undermine one of the fundamental policies underlying the equitable distribution process, namely finality. The exception proposed by the Agencies would effectively undo court orders and settlement agreements for an indeterminate time after the “winding up of the parties’ economic affairs” (*O’Brien*, 66 NY2d at 585), and “subvert the policy of upholding settled domestic relations . . . in divorce cases” (*Rainbow v Swisher*, 72 NY2d 106, 111 [1988]; see also *Boronow v Boronow*, 71 NY2d 284, 290-291 [1988]).

Moreover, as a practical matter, where the innocent spouse and matrimonial court are unaware of the tainted nature of particular assets, distribution of marital assets under Domestic Relations Law § 236 (or pursuant to an opt-out settlement agreement) would become unworkable, particularly where the illegal activity of one spouse is not revealed for a number of

5. By comparison, an owner may seek recovery of identifiable stolen property, such as a piece of artwork, from an innocent good faith purchaser for value (see *Solomon R. Guggenheim Found. v Lubell*, 77 NY2d 311, 317 [1991]).

years subsequent to the divorce, as occurred in this case.⁶ Analogizing to the rule articulated in *Stephens* and *Hatch* in the business setting, we conclude that monies obtained by fraud cannot be followed by the original owner into the hands of an innocent former spouse who now holds them (or assets derived from them) as a result of a divorce proceeding where that spouse in good faith and without knowledge of the fraud gave fair consideration for the transferred property. That being said, whether Schaberg acted in good faith and paid fair consideration for the tainted property that came into her possession pursuant to the settlement agreement is another matter and is at the heart of the Second Circuit's second question, to which we now turn.

Fair Consideration

Schaberg contends that the District Court erred in holding, as a matter of law, that she lacked a legitimate claim to the frozen funds. She argues that she provided fair consideration in exchange for the allegedly fraudulent proceeds and thereby became a good faith purchaser for value through her execution of an arm's length separation agreement. She also claims that there is no evidence that she had knowledge of her ex-husband's illegal conduct, particularly since he had a history of being a successful entrepreneur and securities trader, nor did she engage in collusion in the divorce proceeding to deprive the defrauded parties recovery of their investments. The Agencies counter that, as a matter of law, Schaberg could not have given fair consideration because, in exchange for acquiring assets that were later determined to be derived from fraud, she only gave up a claim to a larger portion of the marital estate, which also consisted of Walsh's proceeds of fraud and, as such, her consideration was illusory. Again, both parties raise compelling arguments.

Debtor and Creditor Law § 278 provides that a creditor whose claim has matured may have a fraudulent conveyance set aside "against any person" other than a good faith purchaser for value, defined as "a purchaser for fair consideration without

6. Of course, an entirely different situation is presented if it is known that both spouses participated in or were aware of the fraud or illegal conduct. In such cases, courts have held that it would be contrary to public policy to encourage "illegal activity by making an equitable distribution of the fruits of a criminal enterprise" (*LaPaglia v LaPaglia*, 134 Misc 2d 1030, 1032 [Sup Ct, Kings County 1987]).

knowledge of the fraud” (Debtor and Creditor Law § 278 [1]). Fair consideration is given for property “[w]hen in exchange for such property, . . . as a fair equivalent therefor, and in good faith, property is conveyed or an antecedent debt is satisfied” (Debtor and Creditor Law § 272 [a]). It is well settled that an evaluation of whether fair consideration is given for property under Debtor and Creditor Law § 272 must “be determined upon the facts and circumstances of each particular case” (*Halsey v Winant*, 258 NY 512, 523 [1932]).⁷

In assessing whether a spouse pays fair consideration within the meaning of Debtor and Creditor Law § 272 in connection with a property distribution made pursuant to a separation agreement incorporated into a judgment of divorce, a court must examine a number of factors. Since consideration cannot be predicated on a spouse’s relinquishment of a claim to a greater share of the proceeds of fraud, the first step is to determine whether the spouse relinquished rights to other untainted assets in the marital estate. Clearly, this would constitute fair consideration.

Second, a court needs to look beyond the tangible marital property at issue because New York recognizes other forms of legitimate consideration, including nonmonetary consideration. For example, New York courts have found fair consideration where a spouse releases a claim for maintenance (*see Federal Deposit Ins. Co. v Malin*, 802 F2d 12, 20 [2d Cir 1986]; *In re Fair*, 142 BR 628, 631 [ED NY 1992]; *Darling v Darling*, 22 Misc 3d 343, 358 [Sup Ct, Kings County 2008]) or where consideration is predicated on “legally cognizable aspects of [the transferor’s] child support obligation” (*see First Fed. Sav. & Loan Assn. of Rochester v Kasmer*, 140 AD2d 826, 828 [3d Dept 1988]). Similarly, the waiver of inheritance rights and the relinquishment of other “rights and remedies otherwise conferred by law” are also relevant to the determination of fair consideration (*Marine Midland Bank-N.Y. v Batson*, 70 Misc 2d 8, 10 [Sup Ct, Nassau County 1972]). It is also possible that child custody or visitation concessions could be viewed as a

7. Here, as the Second Circuit noted, “it is essentially undisputed that Schaberg had no notice that the money she received in her divorce was derived from fraud” (618 F3d at 229 n 8), and “there is no reason to question Schaberg’s good faith” (*id.* at 230) in her execution of the settlement agreement. Hence, the only relevant element of Debtor and Creditor Law § 272 is whether she gave “fair consideration” for the allegedly tainted assets she received through the parties’ property settlement.

valuable form of consideration. Indeed, based on the myriad types of consideration that arise in the unique context of marital dissolution, courts have repeatedly stated that “transfers made pursuant to a valid separation agreement incorporated into a divorce decree are presumed to have been made for fair consideration” (*Durand v Ackerman*, 2010 WL 3834587, *7, 2010 US Dist LEXIS 101755, *21 [ED NY 2010]; see also *In re Cersosimo*, 2009 WL 3182989, *4, 2009 Bankr LEXIS 2009, *13-14 [ED NY 2009]; *Darling*, 22 Misc 3d at 358-359).

[3] In certifying the second question to us, the Second Circuit implicitly presumed that the only consideration Schaberg could have given in exchange for the tainted property she received was her release of a claim to other proceeds of the fraud—if that is the case, her claim would be illusory. Despite Schaberg’s claim to the contrary, we must accept for purposes of answering this question the Second Circuit’s assumption that the marital estate here “consisted almost entirely of the proceeds of fraud” (618 F3d at 230). Yet, as we’ve discussed, there are other valid forms of consideration that are relevant to the determination of fair consideration, even where the bulk of a marital estate consists of ill-gotten gains. We therefore reformulate the second question to read as follows: “Is a determination that a spouse paid ‘fair consideration’ according to the terms of New York Debtor and Creditor Law § 272 precluded, as a matter of law, where part or all of the marital estate consists of the proceeds of fraud?” As reformulated, and under our analysis, we answer this question in the negative.

Of course, the ultimate determination as to whether Schaberg gave fair consideration pursuant to Debtor and Creditor Law § 272 under the facts and circumstances of this case is a matter for the federal courts to resolve. But we note, on this limited record, that Schaberg contends that she surrendered more than her right to claim through equitable distribution a greater portion of fraudulently obtained funds constituting the marital estate. She alleges that she waived a claim for maintenance under Domestic Relations Law § 236 (B) (6), the calculation of which is based on a variety of considerations, including the length of the marriage; she released her right to inherit from Walsh’s estate; and she dispensed with her interest in the multi-million-dollar marital residence located in Port Washington,

which she claims was not acquired with moneys derived from Walsh's fraudulent activities.⁸ Furthermore, even where a spouse does not relinquish a "fair equivalent" for the aggregate of assets, it is possible that fair consideration may be exchanged for at least some of the assets (*cf. Corporation of Lloyd's v Funk*, 246 AD2d 570, 572 [2d Dept 1998], *lv dismissed* 91 NY2d 1002 [1998]).

In sum, we are not unsympathetic to the interests of parties who were fraudulently deprived of their investments and who, understandably, seek the return of a portion of their stolen monies. Most definitely, the victims of fraud are entitled to pursue disgorgement where it is demonstrated that the transferee-spouse was aware of or participated in the fraud or otherwise failed to act in good faith. One example of bad faith would be where the parties entered into a collusive divorce arrangement designed to conceal stolen money from its rightful owner. And even where the recipient executed a settlement agreement in good faith and without knowledge of the source of the ill-gotten gains, the defrauded parties may still recover if the spouse did not give fair consideration for the property under Debtor and Creditor Law § 272. But we believe that an innocent spouse who received possession of tainted property in good faith and gave fair consideration for it should prevail over the claims of the original owner or owners consistent with this State's strong public policy of ensuring finality in divorce proceedings.⁹

Accordingly, the first certified question and, as reformulated, the second certified question should be answered in accordance with this opinion.

8. In particular, Schaberg asserts that the Port Washington property was purchased in 1999 with funds derived from the sale of their previous marital residence, which in turn had been bought with legitimate funds in the early 1980s, long before Walsh's allegedly fraudulent conduct took place. Notably, Walsh was apparently permitted to sell the Port Washington home and use a portion of the untainted proceeds from that sale to pay legal fees incurred in connection with his criminal prosecution (*see Commodity Futures Trading Commn. v Walsh*, 2010 WL 882875, *3, 2010 US Dist LEXIS 21992, *9 [SD NY 2010]).

9. The Agencies suggest that disgorgement should be allowed because, upon turning the funds over to them, Schaberg could move to vacate the settlement agreement in state court on fraud grounds and seek a redistribution of any untainted assets Walsh may have received. But such an exercise would likely be fruitless, particularly where it appears that, years after the property division, Walsh liquidated the only purportedly "clean" asset he owned—the Port Washington house.

PIGOTT, J. (dissenting in part). I agree with the majority's analysis and conclusion relative to the first certified question. I also agree with much of what the majority says in its discussion of the second question, but find its reformulation of that question unnecessary. The Second Circuit posed a narrowly tailored question that is relatively simple to answer, namely, "Does a spouse pay 'fair consideration' according to the terms of New York Debtor and Creditor Law § 272 when she relinquishes in good faith a claim to the proceeds of fraud?" (*Commodity Futures Trading Commn. v Walsh*, 618 F3d 218, 231-232 [2d Cir 2010].) I would answer that question in the negative.

Debtor and Creditor Law § 278 states that a creditor with a matured claim may have a conveyance set aside against anyone "except a purchaser for fair consideration without knowledge of the fraud at the time of the purchase" (Debtor and Creditor Law § 278 [1] [a]). "Fair consideration is given for property, or obligation, . . . [w]hen in exchange for such property, or obligation, as a fair equivalent therefor, and in good faith, property is conveyed or an antecedent debt is satisfied" (Debtor and Creditor Law § 272 [a]).

The second certified question posed by the Second Circuit assumes that almost all of the proceeds in the marital estate consisted of the proceeds of fraud, the position taken by the Commodity Futures Trading Commission and the Securities and Exchange Commission (*see* 618 F3d at 230 [noting that "in her separation from Walsh, Schaberg relinquished future claims to an equitable distribution of marital property that—it is alleged—consisted almost entirely of the proceeds of fraud"])). The Second Circuit also notes that "there is no reason to question Schaberg's good faith in relinquishing her claim to what she believed was a legitimate interest in a substantial fortune" (*id.* at 230). Taking these facts into account, the question is, assuming that the marital estate consists almost entirely of the proceeds of fraud, does an "innocent spouse" like Schaberg, by virtue of relinquishing future claims to those proceeds, pay fair consideration? The answer is, of course, "no," as the majority essentially acknowledges: "consideration cannot be predicated on a spouse's relinquishment of a claim to a greater share of the proceeds of fraud" (majority op at 175).

Schaberg's forbearance from " 'seek[ing] through court proceedings or otherwise a distributive award or an award of equitable distribution with respect to' any other property acquired by [Walsh] over the course of their marriage" (*Walsh*,

618 F3d at 229) does not constitute “fair consideration” where, as the Second Circuit has asked us to assume here, the Walsh proceeds were obtained as the result of fraud. One cannot reasonably argue that a spouse—even an innocent one with no knowledge of her husband’s fraud—could be said to have given “fair equivalent” value by giving up future claims to the equitable distribution of proceeds in which she has no legitimate interest. In such a case, the innocent spouse “has not given value for the misappropriated property, but rather has gained an interest in the property simply by virtue of being married to the person who misappropriated” it (*see generally In re Marriage of Allen*, 724 P2d 651, 659 [Colo 1986] [citing cases]). Accordingly, I would answer the second certified question in the negative.

Chief Judge LIPPMAN and Judges CIPARICK, READ and JONES concur with Judge GRAFFEO; Judge PIGOTT dissents in part in a separate opinion in which Judge SMITH concurs.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in accordance with the opinion herein.

[951 NE2d 743, 928 NYS2d 221]

BRAD H. et al., on Behalf of Themselves and All Others Similarly Situated, Appellants, v CITY OF NEW YORK et al., Respondents.

Argued May 31, 2011; decided June 28, 2011

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered August 10, 2010. The Appellate Division (1) reversed, on the facts, an order of the Supreme Court, New York County (Marilyn Shafer, J.; op 2009 NY Slip Op 31561[U]), which had granted plaintiffs' motion for a preliminary injunction requiring defendants to continue to abide by the terms of the parties' stipulation of settlement entered into on January 8, 2003 and approved in an amended final order and judgment dated April 2, 2003, and denied defendants' cross motion for an order declaring the action terminated pursuant to the terms of the stipulation, (2) granted defendants' cross motion, and (3) declared the action terminated in the absence of jurisdiction over the dispute. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the order of the Supreme Court, properly made?"

Brad H. v City of New York, 77 AD3d 103, reversed.

HEADNOTE

Contracts — Construction — Settlement Agreement to Provide Mental Health Services

A motion premised on defendant City's noncompliance with a negotiated settlement agreement pertaining to the City's duty to provide mental health services to certain inmates in its jails was timely filed under a provision of the agreement providing that plaintiffs could request an extension prior to the termination of the agreement, which would occur five years after compliance monitoring of the City's obligations under the agreement began. Plaintiff's motion was brought within five years of the implementation date of the settlement, the date compliance by the City became obligatory, but not within five years of the date the monitors began to engage in some limited reviews of draft policies and procedures prior to the implementation date. Read as an integrated whole with a focus on its fundamental purposes, the settlement agreement was clear and unambiguous that compliance monitoring could not begin until the implementation date. Reference in the settlement agreement to monitoring of an inmate's "discharge plan" did not refer to the preliminary planning but to the actual evaluations of inmates, which did not commence until the implementation date arrived. Another objective of the compliance

monitors—to assess the City’s compliance with the settlement—also supported the conclusion that the five-year term began on the implementation date. The fact that the monitors began preparatory work before the implementation date was not dispositive as the termination provision was triggered five years after the commencement of monitoring, not the start of planning or preparatory work.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Compromise and Settlement §§ 32, 34–36.

NY JUR 2d, Compromise, Accord, and Release §§ 31, 39, 52, 59, 61.

WILLISTON ON CONTRACTS (4th ed) §§ 30:4–30:6, 32:5.

ANNOTATION REFERENCE

See ALR Index under Compromise and Settlement; Contracts; Prisons and Prisoners.

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POINTS OF COUNSEL

Debevoise & Plimpton LLP, New York City (*Christopher K. Tahbaz*, *Matthew S. Hackell*, *Julie M. Calderon Rizzo* and *Cari Almo Wint* of counsel), *New York Lawyers for the Public Interest, Inc.* (*Roberta Mueller* of counsel), and *Urban Justice Center* (*Jennifer J. Parish* and *Douglas Lasdon* of counsel), for appellants. I. The Appellate Division erred in concluding that the settlement terminated prior to the filing of plaintiffs’ motion for a preliminary injunction. (*Matter of Westmoreland Coal Co. v Entech, Inc.*, 100 NY2d 352; *Williams Press v State of New York*, 37 NY2d 434; *Matter of Cromwell Towers Redevelopment Co. v City of Yonkers*, 41 NY2d 1; *Reiss v Financial Performance Corp.*, 279 AD2d 13; *Carthage Tissue Paper Mills v Village of Carthage*, 200 NY 1; *Old Colony Trust Co. v Omaha*, 230 US 100; *Evans v Famous Music Corp.*, 1 NY3d 452; *Federal Ins. Co. v Americas Ins. Co.*, 258 AD2d 39.) II. The Appellate Division erred in concluding that defendants should not be estopped from asserting that the settlement expired prior to May 26, 2009. (*Triple Cities Constr. Co. v Maryland Cas. Co.*, 4 NY2d 443; *La Porto v Village of Philmont*, 39 NY2d 7; *Romano v Metropolitan Life Ins. Co.*, 271 NY 288; *Matter of Moritz v Board of Educ. of Gowanda Cent. School Dist.*, 60 AD2d 161; *Matter of New York State*

Med. Transporters Assn. v Perales, 77 NY2d 126; *Matter of McLaughlin v Berle*, 71 AD2d 707; *Brennan v New York City Hous. Auth.*, 72 AD2d 410; *Matter of 1555 Boston Rd. Corp. v Finance Adm'r of City of N.Y.*, 61 AD2d 187.)

Michael A. Cardozo, Corporation Counsel, New York City (Drake A. Colley, Jeffrey S. Dantowitz and Edward F.X. Hart of counsel), for respondents. I. Compliance monitoring began as early as May 6, 2003 and no later than May 28, 2003. Accordingly, the settlement terminated prior to the filing of plaintiffs' preliminary injunction motion on May 22, 2009. (*W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *Laba v Carey*, 29 NY2d 302; *Muzak Corp. v Hotel Taft Corp.*, 1 NY2d 42; *Graphic Scanning Corp. v Citibank*, 116 AD2d 22; *Hudson Val. Props. & Rentals v Ursuline Provincialate, E. Province of U.S.*, 221 AD2d 507; *Ronnen v Ajax Elec. Motor Corp.*, 88 NY2d 582.) II. The Appellate Division correctly found that monitoring activities did not begin with the implementation date of the settlement. (*H.K.S. Hunt Club v Town of Claverack*, 222 AD2d 769, 89 NY2d 804; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157.) III. The Appellate Division correctly found that defendants should not be estopped from asserting that the five-year period is not triggered by the implementation date of the settlement. (*Matter of New York State Med. Transporters Assn. v Perales*, 77 NY2d 126; *Matter of McLaughlin v Berle*, 71 AD2d 707, 51 NY2d 917.)

OPINION OF THE COURT

GRAFFEO, J.

This case involves a dispute over the status of a negotiated settlement agreement pertaining to New York City's duty to provide mental health services to certain inmates in its jails. We are asked whether the term of the agreement expired before plaintiffs filed a motion in Supreme Court seeking to extend the City's obligations. Applying our State's traditional principles of contract interpretation, we hold that plaintiffs sought relief prior to termination of the settlement agreement and their motion was therefore timely filed.

I

Plaintiffs initiated this action in 1999, seeking injunctive and declaratory relief for themselves and other mentally ill inmates

in New York City jails.¹ According to plaintiffs, the City had failed to satisfy its duty under the State Constitution and Mental Hygiene Law to provide adequate “discharge planning” services for mentally ill persons completing their terms of incarceration. More particularly, plaintiffs requested that the City establish discharge planning that included continuing access to medication, community-based mental health treatment, housing and public benefits. Plaintiffs were certified as a class and granted a preliminary injunction (185 Misc 2d 420 [Sup Ct, NY County 2000], *affd for reasons stated below* 276 AD2d 440 [1st Dept 2000]).

Protracted negotiations culminated in a settlement agreement that was approved by Supreme Court on April 4, 2003. Because the agreement required the City to substantially comply with the settlement requirements 60 days later, the “implementation date” of the settlement—i.e., the day compliance by the City became obligatory—was June 3, 2003.

The City’s fundamental obligation under the negotiated settlement was to provide plaintiffs with individualized, clinically adequate and appropriate “discharge planning.” The goal was to ensure that mentally ill inmates would receive medical treatment and other services immediately upon release or transfer from a City jail by transitioning them into community-based mental health treatment and support services. In furtherance of this objective, the agreement included detailed provisions setting forth the City’s responsibilities in this regard.

The parties further agreed that two “compliance monitors” would be appointed to oversee the City’s efforts by evaluating “the provision of Discharge Planning in City Jails and [the City’s] compliance with the terms of” the settlement. The monitors were to be appointed and “begin the performance of their duties . . . no later than the Implementation Date.” The agreement also described the means by which the compliance monitors would evaluate and report on the City’s fulfillment of its obligations. The monitors’ first report to the court was due in September 2003, three months after the specified implementation date.

The key provision of the agreement at issue in this appeal is the termination clause. The parties stated that the agreement would “terminate at the end of five years after monitoring by

1. The complaint named a number of defendants who we will collectively refer to as “the City.”

the Compliance Monitors begins pursuant to [section] IV” of the settlement agreement.² If, however, plaintiffs could demonstrate before the agreement expired that the City had failed to adequately discharge its responsibilities for two years, they could ask Supreme Court to extend the settlement for an additional two-year period so that violations could be corrected before the agreement terminated. Thus, the only way to determine when the settlement was set to expire—and whether a motion by plaintiffs to extend the terms of the settlement was timely filed—is to establish the date when monitoring began.

The two monitors were appointed by Supreme Court on May 6, 2003. According to the first report they issued in September 2003, the monitors “began to engage in some limited reviews of draft policies and procedures” on May 19th, met with City attorneys to discuss the draft policies on May 22nd, and observed a training session on May 28th of persons who would conduct the individualized discharge planning for inmates. The City’s new discharge planning policies and procedures went into effect on June 3rd—in compliance with the implementation date set forth in the settlement agreement. The monitors, however, did not begin their work monitoring the City’s activities “in earnest” until June 25, 2003 and, even as of the filing of the September 2003 report, they were unable to provide an opinion regarding the City’s compliance with the agreement.

In 2009, the parties were unable to resolve a notice to cure noncompliance issued by plaintiffs and, on May 22, 2009, plaintiffs moved for a temporary restraining order and a preliminary injunction requiring the City to abide by its duties under the settlement agreement. The City cross-moved to dismiss, claiming that the settlement commenced not on the implementation date, but upon the appointment of the monitors on May 6, 2003. Consequently, the City contended that plaintiffs’ motion was untimely because the settlement had expired in April 2009 (taking into account the agreed-to extensions).

Supreme Court denied the City’s cross motion, concluding that the five-year term began on the implementation date and that the expiration date occurred on May 25 or 26, 2009, thereby rendering plaintiffs’ motion timely (2009 NY Slip Op 31561[U]).

2. Over the course of the agreement, the parties consented to extensions that tolled the expiration date by 356 days. Therefore, the expiration date is to be calculated using five years plus 356 days.

The Appellate Division reversed in a three to two decision, holding that the five-year term commenced when the monitors engaged in their first affirmative act on either May 19th or 28th in 2003, which produced a termination date of either May 10th or 19th in 2009, both of which were prior to the filing date of plaintiffs' motion (77 AD3d 103, 107 [1st Dept 2010]). The dissenters concluded that the agreement was ambiguous and, as such, the parties' course of conduct—treating the commencement date of the five-year period as no earlier than the implementation date of June 3, 2003—should be used to calculate the termination date. After we dismissed plaintiffs' appeal as of right for lack of finality (15 NY3d 937 [2010]), the Appellate Division granted leave to appeal and certified a question of law to us, which we now answer in the negative.

II

Plaintiffs assert that their May 2009 motion premised on the City's alleged noncompliance was filed before expiration of the settlement agreement because the parties' agreement unambiguously provides that monitoring was not to begin before the implementation date of June 3, 2003. According to plaintiffs, the purpose of the settlement was to institute adequate discharge planning and the agreement did not obligate the City to provide that service until the implementation date. The City, in contrast, claims that monitoring began no later than May 28, 2003 (when a monitor observed a training session) because it was possible for the monitors to begin evaluating the City's plans for compliance before the implementation date. The City also argues that if the parties intended the five-year period to start on the implementation date, the termination provision would have specifically referred to that event rather than the commencement of monitoring activities.

The settlement agreement is a contract and its meaning must be discerned under several cardinal principles of contractual interpretation. A written agreement that is clear, complete and subject to only one reasonable interpretation must be enforced according to the plain meaning of the language chosen by the contracting parties (*see e.g. Vintage, LLC v Laws Constr. Corp.*, 13 NY3d 847, 849 [2009]; *Samuel v Druckman & Sinel, LLP*, 12 NY3d 205, 210 [2009]; *Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]). To determine whether a writing is unambiguous, language should not be read in isolation because the contract must be considered as a whole (*see e.g. Consedine v*

Portville Cent. School Dist., 12 NY3d 286, 293 [2009]; *Bailey v Fish & Neave*, 8 NY3d 523, 528 [2007]; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470, 475 [2004]). Ambiguity is determined within the four corners of the document; it cannot be created by extrinsic evidence that the parties intended a meaning different than that expressed in the agreement and, therefore, extrinsic evidence “may be considered only if the agreement is ambiguous” (*Innophos, Inc. v Rhodia, S.A.*, 10 NY3d 25, 29 [2008] [internal quotation marks omitted]; see e.g. *Goldman v White Plains Ctr. for Nursing Care, LLC*, 11 NY3d 173, 176 [2008]; *Van Kipnis v Van Kipnis*, 11 NY3d 573, 577 [2008]). Ambiguity is present if language was written so imperfectly that it is susceptible to more than one reasonable interpretation (see e.g. *Evans v Famous Music Corp.*, 1 NY3d 452, 458 [2004]; *Nissho Iwai Europe v Korea First Bank*, 99 NY2d 115, 121-122 [2002]).

In this case, the provision at issue in the settlement agreement—the clause that establishes termination of the settlement—reads: “five years after monitoring by the Compliance Monitors begins.” But when did monitoring begin? In our view, the answer to this question becomes clear and unambiguous if the agreement is read as an integrated whole with a focus on the two fundamental purposes that the monitors were intended to serve.

Paragraph 108 of the agreement states that their function was “to monitor [1] the provision of Discharge Planning in City Jails and [2] Defendants’ compliance with the terms of this Agreement.” The Appellate Division believed that it was possible for the monitors to undertake their first responsibility prior to the implementation date because the development of the discharge planning process necessarily occurred before any inmates were actually evaluated. Paragraph 1 (bb), however, explicitly states that “Discharge Plan” refers to “the plan describing the manner in which an individual will be able to receive a clinically appropriate level of continuing mental health treatment” and other assistance “immediately upon his or her release from or transfer out of a City Jail”—not the preliminary planning and the organizational steps the City needed to take before the program could be initiated. Thus, paragraph 108’s reference to discharge planning does not include the initial development of substantive and procedural discharge planning guidelines undertaken before the actual implementation and evaluations of inmates occurred on or after June 3, 2003.

Indeed, the City now concedes that the individualized discharge planning process did not commence until the implementation date arrived. Because these services were not available to inmates earlier than that date, it necessarily follows that there were no discharge plans for the monitors to oversee until June 3, 2003.³

The monitors' second objective—to assess the City's compliance with the settlement—also leads to the conclusion that the five-year term began on the implementation date. It is true, as the City observes, that in various sections of the settlement document there is an indication that the monitors could perform certain duties in anticipation of the implementation date. Paragraph 127 of the agreement, for example, suggests that the monitors could review drafts of manuals, training materials and other documents before the implementation date. In fact, the monitors conducted such a review on May 19, 2003. The City also notes that the monitors had access to staff and facilities, and a monitor attended a training session on May 28th. Such attendance was listed in the agreement as one of the means by which the monitors could discharge their responsibilities.

But the fact that the monitors began preparatory work before the implementation date is not dispositive. The termination provision was triggered five years after the *commencement of monitoring*, not the start of planning or preparatory work. And compliance could not be monitored before it was required by the agreement or attempted by the City. It simply was not possible for the monitors to review whether the City was in “compliance with the terms of th[e] Agreement” before June 3, 2003 because it is undisputed that the City had not yet begun the individualized inmate discharge planning process and it was not contractually obligated to be in compliance until the implementation date (*see* ¶ 160 [“Defendants and their contractors shall be in substantial compliance with the terms of this Settlement Agreement at all times after the Implementation

3. Paragraph 1 (cc) of the agreement, relied on in the dissent, is entirely consistent with this result. It defines “Discharge Planning” as the “process of formulating and implementing the Discharge Plan,” and from this clause the dissent concludes that the agreement “contemplated monitoring of the creation of Discharge Plans” (dissenting op at 190). We do not disagree with this point. However, the flaw in the dissent’s reasoning is that it fails to recognize that a “Discharge Plan” (as that term is defined in paragraph 1 [bb]) refers to evaluation of the needs of individual inmates. Such personalized evaluation was not available until June 3, 2003.

Date’]; *see also* ¶ 105 [the City “shall complete the implementation of all aspects of this Settlement Agreement no later than the Implementation Date”]). Stated differently, the monitors could review whether the City abided by the terms of the settlement agreement only after the City began to issue discharge plans for inmates or compliance became obligatory, whichever occurred first.⁴

The settlement, in essence, did not give plaintiffs five years of involvement with monitoring; it gave them five years of mental health service discharge planning for inmates that was to be monitored for compliance. As a result, these two concepts—discharge planning and oversight of the program—were necessarily interrelated. To read the agreement as creating monitoring before compliance was necessary or discharge planning and services were actually available to inmates is inconsistent with the language of the settlement, would undermine its overarching purpose and is foreclosed by our precedent on contractual interpretation.

Because discharge plans for eligible inmates and the monitoring of the City’s compliance obligations did not begin until June 3, 2003, we hold that the monitoring functions occurred no earlier than that date and the agreement did not terminate until at least five years and 356 days later on May 25 or 26, 2009. Since plaintiffs filed their motion for a temporary restraining order and a preliminary injunction on May 22, 2009, Supreme Court did not lack jurisdiction over the case and it properly denied the City’s cross motion to dismiss.⁵

Accordingly, the order of the Appellate Division should be reversed, with costs, the order of Supreme Court reinstated and the certified question answered in the negative.

PIGOTT, J. (dissenting). Because there is nothing in the record to support the theory that monitoring began on or after June 3,

4. Certain portions of the settlement agreement indicate that it was possible for the City to begin discharge planning before the implementation date, but the fact remains that it did not do so. That possibility also explains why the parties did not establish a specific implementation date in the termination clause—if the City had begun discharge planning at some earlier point in time, the monitors could have started their compliance review on a date earlier than June 3, 2003, thereby triggering the commencement of the five-year settlement period. It is evident that the parties contemplated this scenario because they stipulated that monitoring should begin “no later than the Implementation Date.”

5. In light of this determination, the other issue raised by plaintiffs is academic.

2003, I would affirm the order of the Appellate Division (77 AD3d 103 [2010]) and answer the certified question in the affirmative, holding that monitoring began on May 19, 2003. For that reason, I respectfully dissent.

The stipulation of settlement provided, in paragraph 193, that it would “terminate at the end of five years after monitoring by the Compliance Monitors begins pursuant to [section] IV.” We are called upon to determine, as a matter of law, when monitoring began. The majority opts for the settlement agreement’s implementation date—June 3, 2003. This would have been an easy date for the parties to choose to mark the beginning of the five years; after all, the implementation date is defined in the agreement. But the parties elected not to do so. In fact, the theory that monitoring began on or after the implementation date flies in the face of unambiguous language in section IV of the agreement, and the undisputed activities of the monitors themselves.

Plaintiffs have two principal arguments in opposition to defendants’ contention that the agreement had expired when they filed their motion—that monitoring logically *could* not begin before the implementation date, and that monitoring in fact *did* not begin before the implementation date. Both arguments are contrary to the record.

There is no doubt that the settlement agreement contemplated the possibility that the compliance monitors would begin monitoring before the implementation date; the stipulation made sure that the compliance monitors would be appointed in time “so that they can begin the performance of their duties pursuant to [the] Settlement Agreement *no later than* the Implementation Date” (§ 113 [emphasis added]). The implementation date was simply a deadline. As the majority puts it, “if the City had begun discharge planning at some earlier point in time, the monitors could have started their compliance review on a date earlier than June 3, 2003” (majority op at 188 n 4).

Section IV, paragraph 108 of the stipulation gave the compliance monitors a *single* task, “to monitor,” and specified two objects of that monitoring: “the provision of Discharge Planning in City Jails and Defendants’ compliance with the terms of [the Settlement].” Pursuant to the stipulation, both monitoring of discharge planning and monitoring of compliance could begin before the implementation date.

The majority attempts to defend the position that, under the stipulation, it was impossible for the compliance monitors to

monitor discharge planning until after the implementation date. They cite paragraph 1 (bb) of the stipulation, which defines a “Discharge Plan” as a “plan describing the manner in which an individual” will receive mental health treatment and other assistance immediately upon release or transfer from a City jail. According to the majority, the term “Discharge Planning” in paragraph 108 refers to such discharge plans, which were not available for monitoring until after the implementation date. However, that argument ignores paragraph 1 (cc) of the stipulation, which defines “Discharge Planning” as “the process of *formulating* and implementing the Discharge Plan” (emphasis added). Because the settlement agreement expressly contemplated monitoring of the creation of discharge plans, there is no basis for the assertion that monitoring did not embrace the initial development of discharge planning guidelines before the actual implementation. Indeed, under paragraph 127 of the settlement agreement, defendants had to provide the compliance monitors with materials related to “the provision of Discharge Planning” that were “in existence on the date on which the Compliance Monitors are appointed”—i.e. discharge planning materials that existed before the implementation date.

It is also clear that monitoring *did* as a matter of fact begin before the implementation date. According to the compliance monitors’ First Report, they began on May 19, 2003 to engage in reviews of defendants’ draft policies and procedures, and to participate in meetings. One monitor observed a training session of persons who would conduct discharge planning—a task that the stipulation expressly listed as a “principal means of monitoring” (¶ 118).

In the same Report, the monitors provided a table outlining “the major *monitoring* activities” (emphasis added) they had engaged in. The table begins with the training observation, which occurred on May 28, 2003. Moreover, an invoice, dated November 3, 2003, charges for the monitors’ services at an hourly rate, with the first charge incurred on May 19, 2003, the same date that the monitors said they began work. Clearly, the monitors considered themselves to have begun monitoring before the June 3, 2003 implementation date. There is no reason for disregarding the monitors’ own assessments of when they commenced monitoring.

If plaintiffs had wished to ensure five years of monitoring after the implementation date, they could easily have done so. Instead they made the agreement terminate five years after

monitoring began, presumably because at the time of the stipulation that date remained uncertain. It may be that they expected that there would be delays in the appointment of the compliance monitors. Perhaps plaintiffs wanted to guarantee five years of monitoring, even if the monitors started their duties some time after the implementation date. But when plaintiffs decided they would be filing an enforcement action, it was incumbent on them to bear in mind that the monitors had in fact started their monitoring duties before the implementation date.

Chief Judge LIPPMAN and Judges CIPARICK and JONES concur with Judge GRAFFEO; Judge PIGOTT dissents and votes to affirm in a separate opinion in which Judges READ and SMITH concur.

Order reversed, etc.

[953 NE2d 779, 929 NYS2d 541]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v REYNALDO CONCEPCION, Appellant.

Argued April 28, 2011; decided June 14, 2011

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 26, 2010. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Deborah A. Dowling, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a weapon in the second degree, criminal possession of a controlled substance in the third degree and assault in the third degree.

People v Concepcion, 69 AD3d 956, modified.

HEADNOTES

Crimes — Appeal — Court of Appeals — Appellate Division — Matters Reviewable

1. In defendant's appeal to the Appellate Division from his drug possession and related convictions, which brought up for review the denial of defendant's motion to suppress cocaine found during a search of his vehicle, the Appellate Division erred by upholding the denial of defendant's suppression motion on the ground that defendant had consented to the search—a basis that Supreme Court had squarely rejected. In denying defendant's motion to suppress, the trial judge had determined that the People failed to establish defendant's consent to the search, but that the cocaine would have inevitably been discovered during an inventory search. On appeal, the People conceded that the inevitable discovery doctrine was not applicable, but again argued that defendant consented to the search, and the Appellate Division agreed. However, CPL 470.15 (1) bars the Appellate Division from affirming a judgment, sentence or order on a ground not decided adversely to the appellant by the trial court, and CPL 470.35 (1) grants the Court of Appeals no broader review powers in that regard.

Crimes — Appeal — Court of Appeals — Appellate Division — Matters Reviewable — Remedy for Review Error

2. In defendant's appeal to the Appellate Division from his weapon possession, drug possession and assault convictions, the appropriate remedy for the Appellate Division's error in upholding the denial of defendant's motion to suppress the cocaine found during a search of his vehicle on the ground that defendant had consented to the search—a basis that Supreme Court had squarely rejected—was to remit the matter to Supreme Court for further proceedings. Whether an error in the proceedings relating to one count requires reversal of convictions on other jointly tried counts can only be resolved on a case-by-case basis, with due regard for the individual facts of the case, the nature of the error and its potential for prejudicial impact on the

over-all outcome. Here, if the trial court were to grant defendant's suppression motion on remittal, the suppression grant would be harmless with respect to defendant's weapon possession and assault convictions. There was no reasonable possibility that the evidence supporting the potentially tainted count, a drug possession crime related to the cocaine discovered in defendant's vehicle, had a spillover effect on the guilty verdicts for weapon possession and assault, which arose from defendant's shooting of the victim. The proof of the latter crimes was furnished by the testimony of the victim.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 210, 775.
CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:33,
207:111, 207:112, 207:132, 207:133, 207:170, 207:222.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 27.5.
MCKINNEY's, CPL 470.15 (1).
NY JUR 2d, Criminal Law: Procedure §§ 3584, 3585, 3596,
3597, 3640, 3642, 3647, 3650.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Exclusion and
Suppression of Evidence.

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POINTS OF COUNSEL

Appellate Advocates, New York City (*John Gemmill* and *Lynn W.L. Fahey* of counsel), for appellant. I. The Appellate Division lacked jurisdiction to decide whether appellant consented to the search of his van when the issue of consent had not been determined adversely to him in the trial court. (*People v LaFontaine*, 92 NY2d 470; *People v Romero*, 91 NY2d 750; *People v Goodfriend*, 64 NY2d 695; *People v Karp*, 76 NY2d 1006; *People v Cade*, 74 NY2d 410; *People v Colon*, 65 NY2d 888; *People v Falquez*, 66 AD3d 918; *People v Fields*, 151 AD2d 598; *People v Nieves*, 67 NY2d 125; *People v Ryan*, 12 NY3d 28.) II. Appellant was denied the effective assistance of counsel by his attorney's failures to (a) make any argument in support of her motion to suppress the evidence, (b) object to inadmissible hearsay evidence, and (c) object to the prosecutor's improper summation arguments. (*People v Baldi*, 54 NY2d 137; *Strickland v Washington*, 466 US 668; *People v Montgomery*, 293 AD2d 773; *People v Donovan*, 184 AD2d 654; *People v Vauss*, 149 AD2d 924; *People*

v Rodriguez, 94 AD2d 805; *People v Dean*, 50 AD3d 1052; *People v Echavarria*, 167 AD2d 138; *People v Wallace*, 187 AD2d 998; *People v Lee*, 129 AD2d 587.)

Charles J. Hynes, District Attorney, Brooklyn (Thomas S. Burka and Leonard Joblove of counsel), for respondent. I. The trial court properly denied defendant's motion to suppress the cocaine recovered from his van. In any event, any error in the admission of that evidence was harmless with respect to the convictions of criminal possession of a weapon and assault. (*People v LaFontaine*, 92 NY2d 470; *Schneckloth v Bustamonte*, 412 US 218; *People v Alvaranga*, 84 NY2d 985; *People v Thatch*, 71 NY2d 906; *People v Meredith*, 49 NY2d 1038; *People v Craig*, 78 NY2d 616; *Matter of Buffalo Columbus Hosp. v Axelrod*, 165 AD2d 605; *People v Stirrup*, 91 NY2d 434; *People v Giordano*, 87 NY2d 441; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509.) II. Defendant received effective assistance of counsel. (*Strickland v Washington*, 466 US 668; *People v Baldi*, 54 NY2d 137; *Bierenbaum v Graham*, 607 F3d 36; *Williams v Taylor*, 529 US 362; *People v Turner*, 5 NY3d 476; *People v Baker*, 14 NY3d 266; *People v Caban*, 5 NY3d 143; *People v Henry*, 95 NY2d 563; *Greiner v Wells*, 417 F3d 305, 546 US 184; *Rosario v Ercole*, 601 F3d 118.)

OPINION OF THE COURT

READ, J.

The outcome of this appeal is dictated by our decision in *People v LaFontaine* (92 NY2d 470 [1998]). There, Supreme Court denied suppression of plastic bags of cocaine and drug paraphernalia seized after the defendant's arrest, basing its ruling on one of several alternative grounds put forward by the People to support the arrest's lawfulness (159 Misc 2d 751 [1993]). LaFontaine subsequently pleaded guilty to third-degree criminal possession of a controlled substance.

On appeal, the Appellate Division, with two Justices dissenting, disagreed with Supreme Court's rationale for its suppression ruling, but upheld denial of suppression anyway, based on a ground explicitly rejected by the trial judge and therefore decided in LaFontaine's favor (235 AD2d 93 [1997]). In short, the Justices in the majority concluded that Supreme Court gave a wrong reason and spurned a right reason on the way to reaching the correct result—i.e., denial of suppression. The dissenting Justices did not believe that denial of suppression was justified by either the trial judge's rationale or the alternative basis

endorsed by the majority. A dissenting Justice granted LaFontaine leave to appeal to us (91 NY2d 883 [1997]).

We did not decide the merits of the suppression debate in the Appellate Division, explaining that CPL 470.15 (1) bars that court from affirming a judgment, sentence or order on a ground not decided *adversely* to the appellant by the trial court, and CPL 470.35 (1) grants us no broader review powers in this regard. We noted that we had previously “construed CPL 470.15 (1) as a legislative restriction on the Appellate Division’s power to review issues either decided in an appellant’s favor, or not ruled upon, by the trial court” (92 NY2d at 474, citing *People v Romero*, 91 NY2d 750, 753-754 [1998] and *People v Goodfriend*, 64 NY2d 695, 697-698 [1984]). Because we agreed with the Appellate Division’s unanimous rejection of Supreme Court’s reason for denying suppression—the “only *reviewable* predicate for a lawful arrest”—we reversed the Appellate Division’s order affirming the judgment of conviction and sentence, and remitted the matter to the trial judge for further proceedings (*id.* at 472 [emphasis added]).

In this case, after defendant Reynaldo Concepcion was arrested for shooting Stephen Brown, his gray minivan was searched, and a little more than one-half ounce of cocaine was recovered from a compartment behind the ashtray in the front console. Defendant was eventually charged with second-degree attempted murder (Penal Law §§ 110.00, 125.25 [1]); assault in the first, second, and third degrees (Penal Law § 120.10 [1]; § 120.05 [2]; § 120.00 [1]); criminal possession of a weapon in the second, third, and fourth degrees (Penal Law § 265.03 [2]; Penal Law § 265.02 [4], later repealed by L 2006, ch 742, § 1; Penal Law § 265.01 [1]); and criminal possession of a controlled substance in the third, fourth, and seventh degrees (Penal Law § 220.16 [1]; § 220.09 [1]; § 220.03).

When defendant moved to suppress physical evidence (the cocaine), the People argued that he consented to the search of the minivan, or, alternatively, that the drugs were admissible under the inevitable discovery doctrine. Supreme Court denied the motion; the trial judge determined that the People failed to establish defendant’s consent, but that the cocaine would have inevitably been discovered during an inventory search.

Following a jury trial, defendant was acquitted of attempted murder and first- and second-degree assault. He was convicted

of second-degree weapon possession, third-degree drug possession and third-degree assault, and Supreme Court sentenced him to concurrent prison terms of 10 years, six years and one year, respectively. Defendant appealed, bringing up for review the denial of his motion to suppress physical evidence.

The People conceded in the Appellate Division that the inevitable discovery doctrine was not applicable, but again argued that defendant consented to the search. The Appellate Division agreed, and so—just as in *LaFontaine*—upheld the denial of suppression on a basis that Supreme Court had squarely rejected, and affirmed the judgment of conviction and sentence (69 AD3d 956 [2d Dept 2010]). After defendant unsuccessfully moved to reargue, in part on the ground that *LaFontaine* barred the Appellate Division from finding that he consented to the search, a Judge of this Court granted him permission to appeal (14 NY3d 886 [2010]).

[1] The Appellate Division’s decision with respect to suppression was clearly erroneous under *LaFontaine*; i.e., CPL 470.15 (1) precludes that court from affirming denial of suppression on the basis of consent because the trial judge ruled in defendant’s favor on this issue. All that remains for us to decide on this appeal, then, is the proper remedy for this mistake. In *LaFontaine* itself, we simply reversed and remitted the matter to Supreme Court for further proceedings on the motion to suppress. But these proceedings were necessarily going to resolve the entire case because *LaFontaine* only pleaded guilty to a drug crime. That is not what happened here, where defendant was convicted and sentenced for weapon possession and assault as well as for a drug crime. As a result, we must decide whether granting suppression—if this is the decision reached by the trial court on remittal—would be harmless with respect to defendant’s conviction for these other crimes.* If harmless, these convictions remain; if not, defendant is entitled to a new trial on the counts of the indictment charging second-degree weapon possession and third-degree assault.

“Whether an error in the proceedings relating to one count requires reversal of convictions on other jointly tried counts . . . can only be resolved on a case-by-case basis, with due regard for the individual facts of the case, the nature of the error and its

* We have examined defendant’s claim of ineffective assistance of counsel and consider it to be meritless.

potential for prejudicial impact on the over-all outcome” (*People v Baghai-Kermani*, 84 NY2d 525, 532 [1994]).

“[T]he paramount consideration in assessing” such so-called “spillover error is whether there is a reasonable possibility that the jury’s decision to convict on the tainted counts influenced its guilty verdict on the remaining counts in a meaningful way” (*People v Doshi*, 93 NY2d 499, 505 [1999] [internal quotation marks omitted]; see also *People v Daly*, 14 NY3d 848 [2010]).

[2] In this case, there is no reasonable possibility that the evidence supporting the potentially tainted count, a drug possession crime related to the cocaine discovered in defendant’s vehicle, had a spillover effect on the guilty verdicts for weapon possession and assault, which arose from defendant’s shooting of the victim. The proof of these latter crimes was furnished by the testimony of the victim, who knew defendant before he was shot (defendant was his drug supplier). While in an ambulance awaiting transport to the hospital for treatment of his gunshot wound, the victim identified defendant to the police as his assailant by nickname and appearance. He also described the color and make of the shooter’s vehicle, which matched the minivan driven by defendant when he was later apprehended by the police.

The Dissent

The dissent proclaims that our decision in *LaFontaine* was a “mistake,” which we have “never followed” (with the caveat that, in some cases, perhaps our laxity might be explained by counsel’s neglect to mention the issue) (dissenting op at 201); and laments our unwillingness to overrule *LaFontaine* to correct the “major problem” caused by our folly (*id.* at 207). We address these assertions in turn.

I.

To support the proposition that we routinely pay no heed to *LaFontaine*, the dissent adduces several cases in the context of arguing that “there is nothing particularly unusual in an appellate court’s affirming a decision below on alternative grounds” (dissenting op at 204). True—but merely affirming a case on alternative grounds does not ignore *LaFontaine*, which is only implicated when an appellate court affirms a case on a ground that was not decided *adversely* to the appealing party at the trial level. Or, as we also put it in *LaFontaine*, CPL 470.15 (1) is

“a legislative restriction on the Appellate Division’s power to review issues either decided in an appellant’s favor, or not ruled upon, by the trial court” (92 NY2d at 474). The dissent elides this point.

For example, in *People v Wheeler* (2 NY3d 370 [2004]), we stated that “Supreme Court denied defendant’s motion to suppress . . . in a broad holding *encompassing two legal standards: the protective sweep doctrine . . . and the reasonableness analysis under the Fourth Amendment*” (*id.* at 373 [citations omitted and emphasis added]). The Appellate Division affirmed on the ground of protective sweep, and did not reach the Fourth Amendment claim (302 AD2d 411 [2004]). We rejected the protective sweep analysis, but found the police conduct reasonable under the Fourth Amendment. Thus, although we affirmed the Appellate Division on alternative grounds, neither that court nor this one resolved the case against the defendant on an issue decided in his favor (or not ruled upon) in the criminal court proceedings.

People v Parris (4 NY3d 41 [2004]), another case cited by the dissent, seems particularly irrelevant. In *Parris*, we considered whether the defendant was entitled to a reconstruction hearing when minutes of court proceedings were lost, which related to the defendant’s right to effective appellate review, a defect that affected the appellate proceedings. In short, there was no “error or defect in the criminal court proceedings which may have adversely affected the appellant” (CPL 470.15 [1]). While our rationale was not the same as the Appellate Division’s (at issue was what a defendant needs to show to get a reconstruction hearing), CPL 470.15 (1) and/or *LaFontaine* were not involved.

In *People v Paulman* (5 NY3d 122 [2005]), the hearing court determined that the second of the defendant’s four statements was not the product of custodial interrogation, even though he was in custody. The third and fourth statements, which followed the issuance of *Miranda* warnings, were allowed into evidence on the basis that the second statement (and the defendant’s first statement) were admissible. The Appellate Division held that the second statement should have been suppressed because it was the product of interrogation, but because the first, third and fourth statements were properly admitted, admission of the second statement was harmless (11 AD3d 878 [2005]). We agreed that the second statement was the product of custodial interrogation and should have been suppressed, but affirmed the admission of the remaining statements because they were

not the product of a “single continuous chain of events” such that the provision of *Miranda* warnings could not be effective (5 NY3d at 150).

This case comes the closest to presenting a *LaFontaine* problem. Having concluded that the second statement was not the product of custodial interrogation, Supreme Court did not need to decide if subsequent Mirandized statements were the product of an un-Mirandized statement. In reaching a contrary determination with regard to the second statement, perhaps the Appellate Division should have remanded the case to the suppression court so that it could determine whether the second statement rendered the subsequent statements inadmissible—an issue that was not resolved in the criminal court proceedings because, as already noted, Supreme Court did not need to do so, given its other rulings. In retrospect, we may have inadvertently overlooked—not deliberately ducked—a *LaFontaine* error. Of course, we focus on arguments made by counsel, and in *Paulman*, both parties asked us to decide attenuation if we concluded that the second statement should be suppressed.

Our decision in *People v Caban* (5 NY3d 143 [2005]) concerning the admission of a coconspirator’s statement does not reveal the basis for the trial court’s determination to admit the testimony, and therefore does not suggest that we affirmed on a different ground. The mere fact that the *Caban* opinions do not expressly state that the trial court addressed the basis for the appellate decisions does not establish that the trial court did not so rule or that we often deliberately “simply ignore *LaFontaine*’s existence” (dissenting op at 206). And in *People v Carvajal* (6 NY3d 305 [2005]), while we decided that territorial jurisdiction had been established for reasons different from those adduced by the Appellate Division (14 AD3d 165 [2005]), the question of the State’s inherent authority to prosecute does not need to be raised or preserved at trial in order to be reviewed on appeal. As a result, no *LaFontaine* error was possible in *Carvajal*.

The dissent’s reliance on *People v Lewis* (5 NY3d 546 [2005]) is also misplaced. In *Lewis*, we wrote that “[u]nlawful entry cannot itself be used as the sole predicate crime in the ‘intent to commit a crime therein’ element of burglary” as otherwise every violation of a do-not-enter provision of an order of protection would support a burglary conviction (*id.* at 551). This statement was in conflict with what the Appellate Division majority said in

response to the opposing view expressed by the dissent (*see* 13 AD3d 208, 211 [1st Dept 2004]). But neither the majority's view of this particular issue, nor ours, formed the basis of either court's legal sufficiency determination. Rather, we concluded, as did the Appellate Division (and the trial court in rejecting the defendant's motion to dismiss), that the evidence was legally sufficient to prove that the defendant intended to commit a crime inside the apartment in a manner that went beyond trespass, based on evidence that the defendant had, among other things, thrown the victim's personal belongings out on the street (5 NY3d at 552; 13 AD3d at 209). Accordingly, we did not affirm the decision below on alternative grounds, but on the same grounds as the lower courts.

In *People v Fuentes* (12 NY3d 259, 263 [2009]), the defendant was unaware of the existence of alleged *Brady* material at trial, and so he did not cross-examine the witness with the information. Discovering the material before delivering his summation, the defendant's attorney moved for a mistrial, and the trial court reserved decision until after the trial was completed. At that time, the court denied the motion on the ground that the document was not material and, as a result, there was no *Brady* violation. The court also concluded that the defendant received the document during trial and had an opportunity to use it. The Appellate Division affirmed (48 AD3d 479 [2009]) on the ground that the defendant had an opportunity to use the document at trial (a ruling that was adverse to the defendant in the criminal court proceedings), while we held that the document was not material (a ruling that was also adverse to the defendant at trial). Thus, although we affirmed on a ground different from the Appellate Division's rationale, we did not contravene *LaFontaine*.

Finally, the dissent expresses fear about the future, now that we have said that CPL 470.15 (1) still means what we said it meant in 1984 (*Goodfriend*) and 1998 (*Romero* and *LaFontaine*) (*see* dissenting op at 207). Whatever course litigation may take in the future, we find it telling that in the past, defense counsel—zealous advocates on their clients' behalf—did not spot the rampant *LaFontaine* error that the dissent now claims existed all along.

II.

The dissent and the People put forward what they consider to be a better interpretation of CPL 470.15 (1), which would

“permit[] what the Appellate Division did in this case” (dissenting op at 203). But in *LaFontaine* we rejected just such a reading of the statute—one that would allow appellate review of any question of law (i.e., any preserved alternative ground for affirmance) so long as it related to the overarching error or defect (e.g., an erroneous suppression ruling). When the People moved in *LaFontaine* to reargue the meaning of CPL 470.15 (1) on just this basis, we denied the motion. And our decision in *LaFontaine* was not a complete surprise, like a bolt of lightning from a clear blue sky. As the dissent acknowledges, *Romero* and *Goodfriend*, which we relied on in *LaFontaine*, both “say . . . that CPL 470.15 means what *LaFontaine* says it means” (dissenting op at 203).

We commented in *LaFontaine* that the statute, as we understood it, might cut against “sensible management” of litigation (92 NY2d at 475). We invited the Legislature to take a look at the matter, noting that “[s]ince the anomaly rests on unavoidable statutory language, any modification would be for the Legislature to change, if it so wishes” (*id.*). So far, the Legislature has not “so wishe[d].” Legislative inaction (which just may, after all, signal satisfaction with CPL 470.15 [1] as interpreted in *LaFontaine*) is not a license for us, in effect, now to tell the Legislature “Never mind,” and refashion the statute’s settled meaning with the freedom we enjoy in matters of common law. This would be especially imprudent here, where the statute’s subject is appellate jurisdiction, which “can never be assumed, unless a statute can be found which *expressly sanctions its exercise*” (*People v Zerillo*, 200 NY 443, 446 [1911] [emphasis added]). In short, this is not, as the dissent remarks, an “excellent case . . . for making an exception” to stare decisis (dissenting op at 204); rather, it is a particularly poor one.

Accordingly, the order of the Appellate Division should be modified by remitting to Supreme Court for further proceedings in accordance with this opinion, and as so modified, affirmed.

SMITH, J. (dissenting). *People v LaFontaine* (92 NY2d 470 [1998]) was a mistake, and a serious one—so serious that in the 13 years since *LaFontaine* was decided we have never followed it, though we have had several cases that called for its application. The People argue here that *LaFontaine* should be overruled. I had hoped that this would provide the occasion for giving that case a decent burial, but the majority ill-advisedly resurrects it.

LaFontaine holds that the Appellate Division, in reviewing a judgment, sentence or order of a trial-level criminal court, may not consider any issue of law or fact that the lower court did not decide against the appellant. Thus, under *LaFontaine*, it is impossible for the Appellate Division ever to affirm on a ground that the trial court either did not reach or decided, erroneously, in the appellant's favor. *LaFontaine* also holds that our Court is limited, in reviewing an Appellate Division affirmance of a lower criminal court's judgment, to matters that were "raised or considered" in the Appellate Division, or that could have been raised or considered under *LaFontaine*'s restricted view of the Appellate Division's jurisdiction (see 92 NY2d at 474; CPL 470.35 [1]). *LaFontaine* inflicts a large, completely unwarranted and unacceptable impairment on the jurisdiction of appellate courts.

Affirming a lower court judgment on a ground other than the one the lower court relied on is something appellate courts do all the time. It is a gross waste of judicial resources to require a new trial or other proceeding where the lower court has reached the right result, even if it did so for the wrong reason. We recognized in *LaFontaine* that our holding was undesirable from a policy point of view, saying that it "blocks . . . sensible management of this case" (92 NY2d at 475). We thought that we had no choice, however, because "the anomaly rests on unavoidable statutory language" (*id.*).

We did not explain in *LaFontaine* why we thought that statutory language made our holding "unavoidable." In fact, we were wrong to think so. CPL 470.15 (1) says:

"Upon an appeal to an intermediate appellate court from a judgment, sentence or order of a criminal court, such intermediate appellate court may consider and determine any question of law or issue of fact involving error or defect in the criminal court proceedings which may have adversely affected the appellant."

In *LaFontaine*, we apparently assumed that the word "involving" means "claimed to have caused"; in other words, that the Appellate Division is limited to reviewing questions of law and issues of fact which, the appellant claims, caused an error or defect that adversely affected him. But "involving" could equally well be read to mean "necessary to decide a claim of"—so that the Appellate Division could review any issue necessary to a determination of whether there was an error or

defect adversely affecting the appellant. This, it seems to me, is the meaning the Legislature is much more likely to have intended. No one, so far as I know, has ever suggested a reason why the Legislature should forbid appellate courts from affirming on grounds other than those adopted by the court below.

As I read the statutory language, it permits what the Appellate Division did in this case. Appellant claimed, in the Appellate Division, that he had been “adversely affected” by an “error or defect in the criminal court proceedings”—i.e., that Supreme Court had wrongly denied suppression of the cocaine. In order to determine whether appellant was correct, the Appellate Division had to “consider and determine” not only the inevitable discovery issue that Supreme Court decided in the People’s favor, but also the issue of consent to the search, on which Supreme Court agreed with appellant. The consent issue was one “involving” appellant’s claim that there was an “error or defect in the criminal court proceedings” that adversely affected him. If—as the Appellate Division decided—he did consent to the search, he was not “adversely affected” by any error.

We may have thought, when we decided *LaFontaine*, that our prior cases had foreclosed the issue, but I believe we accepted that conclusion too readily. We relied on two earlier decisions, *People v Romero* (91 NY2d 750 [1998]) and *People v Goodfriend* (64 NY2d 695 [1984]), which do indeed say—also without doing any analysis to demonstrate the point—that CPL 470.15 means what *LaFontaine* says it means. *Romero* is distinguishable; the issue that we found unreviewable there had not been preserved in the trial court (see 91 NY2d at 753 [the alternative argument was raised “for the first time” in the Appellate Division]). *Goodfriend* may be distinguishable also. The appeal to the Appellate Division in that case was by the People, from an order vacating a verdict on grounds of repugnancy; it is not clear from our brief memorandum opinion whether the alternative grounds urged by the defendant would logically have supported the trial court’s order. Our even briefer memorandum in *People v Karp* (76 NY2d 1006 [1990]) (not cited in the *LaFontaine* opinion) merely relies on *Goodfriend*.

The majority attempts no defense of *LaFontaine*, either as a matter of policy or logic. It merely insists that *LaFontaine* “settled” the law (majority op at 201)—in other words, that, even if it was a mistake, we cannot correct it. Of course, this is the general rule. *Stare decisis* ordinarily requires us to follow

our previous decisions, even when we think they were wrong. This is an excellent case, however, for making an exception.

While we recognized in *LaFontaine* that our decision would have adverse practical consequences, we underestimated their extent. Indeed, we appeared to think that *LaFontaine* was almost sui generis; our opinion refers to “the unusual procedural posture of this case” (92 NY2d at 472) and to “the exceptional procedural twist” that confronted us (*id.* at 475). But there is nothing particularly unusual in an appellate court’s affirming a decision below on alternative grounds. In fact, we have done it ourselves more than half a dozen times since *LaFontaine* was decided, without citing *LaFontaine* once. (Until today, our only citation of *LaFontaine* was in *People v Sparber* [10 NY3d 457, 472 n 8 (2008)], where we distinguished it.)

Thus in *People v Wheeler* (2 NY3d 370 [2004]), a case involving denial of a motion to suppress, Supreme Court and the Appellate Division (302 AD2d 411 [2004]) had denied suppression on a “protective sweep” theory; we affirmed “under a different rationale”—that “the officers legitimately focused their attention on defendant during the execution of the arrest warrants” (2 NY3d at 373, 374). In *People v Parris* (4 NY3d 41 [2004]) we affirmed the denial of a reconstruction hearing “on grounds different from those stated by the Appellate Division” (*id.* at 45). In *People v Paulman* (5 NY3d 122, 128 [2005]), we affirmed the suppression of several of the defendant’s statements “[a]lthough our analysis differs in some respects from that of the Appellate Division.” In *People v Caban* (5 NY3d 143, 148-150 [2005]), we affirmed a conviction, concluding that certain statements, held below to be within an exception to the hearsay rule (*see People v Caban*, 4 AD3d 274 [1st Dept 2004]), were not hearsay at all. In *People v Carvajal* (6 NY3d 305, 311 [2005]), the Appellate Division affirmed a conviction on the ground “that territorial jurisdiction . . . had been established under CPL 20.20 (1) (a)”;¹ we affirmed under CPL 20.20 (1) (c), “[w]ithout reaching” the CPL 20.20 (1) (a) issue (6 NY3d at 311).

In *People v Lewis* (5 NY3d 546 [2005]), we reviewed an Appellate Division decision affirming a conviction. The Appellate Division had held that entry into premises in violation of a court order could, by itself, satisfy the “unlawful entry” element of the crime of burglary (*see People v Lewis*, 13 AD3d 208, 211 [1st Dept 2004]); we disagreed with that conclusion, but affirmed on the alternative ground that the trial court’s charge (to the extent that any objection to it was preserved) was consistent with a correct view of the law. And in *People v Fuentes*

(12 NY3d 259, 263 [2009]), the Appellate Division affirmed a conviction on the ground that defendant had been given an adequate opportunity to use a particular document (48 AD3d 479 [2009]). We affirmed “employing a different rationale” (12 NY3d at 263)—that the document in question was not material (*id.* at 260).

In not one of these post-*LaFontaine* cases did we discuss or cite *LaFontaine*. Today’s majority atones for the omission by analyzing all seven. It virtually admits that there was *LaFontaine* error in one of them, *Paulman*, and tries to reconcile the other six with the *LaFontaine* holding. As to three of the cases—*Parris*, *Carvajal* and *Fuentes*—the majority may have a point. (The point is debatable in each, but I will not pause to debate it.) But the majority is clearly wrong about *Wheeler*, *Caban* and *Lewis*.

The majority, relying on our reference in *Wheeler* to the trial court’s “broad holding encompassing two legal standards” (2 NY3d at 373), implies that the trial court relied in part on the ground we adopted on appeal (majority op at 198); but the record shows that the trial court relied on a single ground, which we did not endorse: that the actions of the officers were “reasonable” because “the officers were in the same position as when they perform a protective sweep” (*Wheeler*, Appendix for Defendant-Appellant, at A-84). Similarly, the majority speculates that in *Caban* the trial court may have relied on the ground that was the basis for our affirmance (majority op at 199); but the record refutes the speculation, showing that the trial court admitted the evidence in question under the coconspirator exception to the hearsay rule (*Caban*, Appendix for Defendant-Appellant, at A-46)—not for the reason we gave, that the evidence, to the extent relevant to the appeal, was “nonhearsay” (5 NY3d at 150). (The trial court did later say that there were other grounds for its ruling, but it did not say what they were [*Caban*, Appendix at A-48].) In discussing *Lewis*, the majority focuses only on the legal sufficiency issue, ignoring the relevant part of our holding: that the trial court’s original charge to the jury was correct, for reasons other than those relied on by the courts below (*see* 5 NY3d at 551; *compare* majority op at 200).

It is true that in only one of the seven post-*LaFontaine* cases I have listed, *Wheeler*, was *LaFontaine* cited to us. Perhaps that should not matter, since *LaFontaine* affects our jurisdiction, but in any event all those cases, even the ones that might be reconciled with *LaFontaine*, prove my basic point—affirmance on alternate grounds, which is forbidden to the Appellate

Division (and often to us) under *LaFontaine*, is much more common than our opinion in *LaFontaine* itself implies. (Affirmance on alternate grounds, though the majority seems to think otherwise, is exactly the same thing as affirmance “on a ground that was not decided *adversely* to the appealing party” [majority op at 197].)

Indeed, I suspect that the list I have given of alternative-ground affirmances in our court is only a partial one; it is not easy to do a Lexis or Westlaw search for such cases. For similar reasons, I am unable to say how often the Appellate Division does what we often do—simply ignore *LaFontaine*’s existence—but I am convinced it is very common. A search of Appellate Division cases in Lexis and Westlaw for the year 2010 finds not a single citation to *LaFontaine*; a search for 2009 finds one case in which it was followed (*People v Falquez*, 66 AD3d 918 [2d Dept 2009]), and one in which the court assumed, without deciding, that it was applicable (*People v Shepard*, 67 AD3d 446 [1st Dept 2009]). Here, the Appellate Division ignored *LaFontaine*, though it is squarely applicable, and I do not have to seek far for another example: Twelve days ago, in *People v Hunter* (17 NY3d 725 [2011]), we held that the Appellate Division erred in affirming a conviction on a ground that the People had failed to preserve, but there was a *LaFontaine* error in that case also. Under *LaFontaine*, the Appellate Division could not affirm on a ground not decided in the trial court, whether the issue was preserved or not. The Appellate Division in *Hunter* did not cite *LaFontaine* (see *People v Hunter*, 70 AD3d 1343 [4th Dept 2010]).

Perhaps the Appellate Division departments, like our Court, have been lucky in that counsel have frequently failed to argue a *LaFontaine* issue. If that is so, their luck and ours is quite likely to run out after the bar reads today’s decision.

A little thought will suggest the reason why neither the Appellate Division nor our Court has been eager to invoke *LaFontaine*, even where we should. Its application leads to multiple absurdities. Suppose a case in which the defendant offers a document in evidence at a jury trial, and the People object on two grounds—that the document is hearsay and it is irrelevant. The judge finds the document irrelevant, and does not reach the hearsay question. The Appellate Division disagrees with the trial judge’s ruling on relevance—but it is obvious at a glance that the document is inadmissible hearsay. Must the Appellate Division reverse the defendant’s conviction, so that there can be a new trial at which the document is again offered and again

excluded, this time on hearsay grounds? Or is the case remanded so that the judge can rule, months or years after the trial, on the hearsay objection—a ruling to be followed by another appeal?

But I do not need to invent hypotheticals to make my point. The majority today remits the case to Supreme Court “for further proceedings in accordance with this opinion” (majority op at 201), the same relief afforded in *LaFontaine* itself (92 NY2d at 476). Neither in *LaFontaine* nor here is there any discussion of what those “further proceedings” should be. The majority here decides that defendant’s convictions for weapon possession and assault may stand, but what is going to happen to his drug conviction? Are the drugs to be suppressed, even though the Appellate Division found that defendant consented to the search, and we have not suggested that the Appellate Division was wrong in this? Is it a general rule that where, as here, a trial court is led to the right result by two offsetting errors, the *wrong* result is required as a matter of law? Or is Supreme Court free to reconsider its previous ruling that defendant’s consent was invalid? In doing so, may it take into account the Appellate Division’s view on that subject—though the majority holds today that the expression of that view exceeded the Appellate Division’s jurisdiction? And what will trial courts do on remittal in future cases, when the Appellate Division, as required by *LaFontaine* and today’s decision, reverses trial court decisions that may have reached the correct result, without deciding whether the result was in fact correct?

Now that the majority has breathed new life into *LaFontaine*, I really do not know what will happen. Perhaps the Legislature will rescue the court system by amending the statutes that we have, incorrectly, interpreted to create a major problem. I hope so; but we suggested a legislative change in *LaFontaine* itself (92 NY2d at 475), without result to date. If there is a workable alternative to the approach that New York appellate courts have taken since the *LaFontaine* decision—which is, in many cases, to pretend that *LaFontaine* does not exist—I do not know what that is.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO and JONES concur with Judge READ; Judge SMITH dissents and votes to affirm in a separate opinion in which Judge PIGOTT concurs.

Order modified, etc.

[952 NE2d 463, 928 NYS2d 647]

ABN AMRO BANK, N.V., et al., Appellants, et al., Plaintiffs, v
MBIA INC. et al., Respondents.

Argued May 31, 2011; decided June 28, 2011

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 11, 2011. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, three orders of the Supreme Court, New York County (James A. Yates, J.; op 26 Misc 3d 1223[A], 2010 NY Slip Op 50238[U]), which had denied defendants' motion to dismiss the complaint; (2) granted the motion; and (3) dismissed the complaint.

ABN AMRO Bank, N.V. v MBIA Inc., 81 AD3d 237, modified.

HEADNOTES

Insurance — Regulation of Insurers — Restructuring of Insurance Company — Approval of Restructuring by Superintendent of Insurance Does Not Bar Private Claims

1. The restructuring of defendant insurance company and its related subsidiaries and affiliates authorized by the Superintendent of the New York State Insurance Department did not bar plaintiff policyholders from asserting claims against defendant insurance company under the Debtor and Creditor Law and the common law. Plaintiffs alleged that the restructuring constituted a fraudulent conveyance and left defendant undercapitalized and unable to meet its obligations under the terms of their policies. The Superintendent's exclusive original jurisdiction to approve the restructuring of defendants under the relevant provisions of the Insurance Law did not make the Superintendent the exclusive arbiter of all private claims that might arise in connection with the restructuring. There was no indication from the statutory language and structure of the Insurance Law or its legislative history that the Legislature intended to give the Superintendent such broad preemptive power. Had the Legislature intended the Superintendent to extinguish the historic rights of policyholders to attack fraudulent transactions under the Debtor and Creditor Law or the common law, there would have been evidence of such intent in the statute, and affected policyholders, such as plaintiffs, would have notice and an opportunity to be heard before the Superintendent made his or her determinations. Moreover, Insurance Law § 326 (a), which provides that the Superintendent's decisions are subject to review in a CPLR article 78 proceeding, did not confer exclusive authority on the Superintendent to adjudicate plaintiffs' private claims.

Insurance — Regulation of Insurers — Restructuring of Insurance Company — Collateral Attack on Approval of Restructuring by Superintendent of Insurance

2. The approval by the Superintendent of the New York State Insurance Department of the restructuring of defendant insurance company and its

related subsidiaries and affiliates did not preclude plaintiff policyholders from asserting claims against defendant insurance company under the Debtor and Creditor Law and the common law. Collateral estoppel applies to an administrative proceeding provided that the administrative decision is quasi-judicial in character, meaning that it is rendered pursuant to the adjudicatory authority of an agency to decide cases brought before its tribunals employing procedures substantially similar to those used in a court of law. Even assuming the issues considered by the Superintendent in approving the restructuring were identical to the issues raised by plaintiffs in their plenary action, plaintiffs had no opportunity to contest the Superintendent's determination or, more importantly, challenge the validity of the financial information provided to him by defendants which formed the basis of the Superintendent's approval. The Superintendent did not conduct public hearings or provide public notice and he accepted the truth of defendant's submissions. There was nothing quasi-judicial about the Superintendent's approval process that ought to have been binding on plaintiffs. Moreover, plaintiffs were not in privity with the Superintendent, and due process would not permit a litigant to be bound by an adverse determination made in a prior proceeding to which the litigant was not a party or in privity with a party.

Fraudulent Conveyances — Transfer in Fraud of Creditors — Restructuring of Insurance Company

3. In an action arising out of the restructuring of defendant insurance company and its related subsidiaries and affiliates in which plaintiff policyholders alleged that the restructuring constituted a fraudulent conveyance and left defendant undercapitalized and unable to meet its obligations under the terms of their policies, plaintiffs adequately pleaded causes of action for fraudulent conveyances under Debtor and Creditor Law §§ 273, 274 and 276. Plaintiffs, who were creditors of defendant insurance company, supported their claims by describing a series of allegedly fraudulent transactions made in bad faith by defendants after the Superintendent of Insurance's approval of the restructuring, in which defendants assertedly stripped approximately \$5 billion in cash and securities out of defendant insurance company. Further, plaintiffs alleged that defendant insurance company received no consideration for the assets it transferred to defendant parent company and that, as a result, defendant insurance company was insolvent and unable to meet its obligations under the terms of their policies. Those allegations supported causes of action under Debtor and Creditor Law §§ 273 and 274, and, taken together and drawing all reasonable inferences in favor of plaintiffs, sufficiently alleged an intent on the part of defendants to defraud plaintiffs under Debtor and Creditor Law § 276.

Contracts — Implied Covenants — Good Faith and Fair Dealing

4. In an action arising out of the restructuring of defendant insurance company and its related subsidiaries and affiliates in which plaintiff policyholders alleged that the restructuring constituted a fraudulent conveyance and left defendant undercapitalized and unable to meet its obligations under the terms of their policies, plaintiffs pleaded a viable cause of action for breach of contract based upon a breach of the implied covenant of good faith. The implied covenant of good faith and fair dealing embraces a pledge that neither party shall do anything which will have the effect of destroying or injuring the right of the other party to receive the fruits of the contract. Here, plaintiffs sufficiently alleged that defendant insurance company, by fraudulently transferring billions of dollars of its assets to defendant parent company for no consideration, violated the covenant by substantially reducing the

likelihood that it would be able to meet its obligations under the terms of the insurance policies.

Corporations — Disregarding Corporate Entity — Restructuring of Insurance Company

5. In an action arising out of the restructuring of defendant insurance company and its related subsidiaries and affiliates in which plaintiff policyholders alleged that the restructuring constituted a fraudulent conveyance and left defendant undercapitalized and unable to meet its obligations under the terms of their policies, the complaint adequately stated a claim for abuse of the corporate form that could support a declaration piercing the corporate veil of defendant. The party seeking to pierce the corporate veil must establish that the owners, through their domination, abused the privilege of doing business in the corporate form to perpetrate a wrong or injustice against that party such that a court in equity will intervene. Here, plaintiffs' allegations that defendant parent company abused its control of defendant insurance company, its wholly-owned subsidiary, by causing it to engage in harmful transactions that shielded billions of dollars in assets from plaintiffs and exposed them to significant liability met that test.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Contracts § 370; AM JUR 2d, Corporations §§ 46-49, 57, 58, 61, 62, 66, 2319, 2320, 2322, 2336; AM JUR 2d, Fraudulent Conveyances and Transfers §§ 2, 18-24, 135, 152, 199, 200; AM JUR 2d, Insurance §§ 25, 31, 32, 34, 35, 93; AM JUR 2d, Restitution and Implied Contracts §§ 9, 12, 13, 175.

CARMODY-WAIT 2d, Judgments §§ 63:453, 63:470, 63:576, 63:577, 63:586; CARMODY-WAIT 2d, Creditors' Actions §§ 85:18-85:24, 85:36-85:39, 85:44, 85:46, 85:47, 85:54, 85:55, 85:64.

COUCH ON INSURANCE (3d ed) §§ 2:7, 2:8, 5:24, 5:32.

McKINNEY's, Debtor and Creditor Law §§ 273, 274, 276; Insurance Law § 326 (a).

NY JUR 2d, Business Relationships §§ 37-39, 41, 42; NY JUR 2d, Contracts §§ 523, 525; NY JUR 2d, Creditors' Rights and Remedies §§ 321, 323, 327, 328, 331-337, 352-361, 363, 366, 393-396, 415; NY JUR 2d, Insurance §§ 13, 24, 440; NY JUR 2d, Judgments §§ 345-349.

WILLISTON ON CONTRACTS (4th ed) §§ 63:22, 68:1, 68:5, 68:9.

ANNOTATION REFERENCE

See ALR Index under Collateral Estoppel; Contracts; Corporations; Debtors and Creditors; Insurance and Insurance Companies; Piercing Corporate Veil; Unjust Enrichment.

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POINTS OF COUNSEL

Sullivan & Cromwell LLP, New York City (*Robert J. Giuffra, Jr., Michael T. Tomaino, Jr., Brian T. Frawley, Julia M. Jordan, William H. Wagener and Jonathan C. Shapiro* of counsel), *Skadden, Arps, Slate, Meagher & Flom LLP* (*Jay B. Kasner, Scott D. Musoff and George A. Zimmerman* of counsel), *Mayer Brown LLP* (*Jean-Marie L. Atamian* of counsel), *Schulte Roth & Zabel LLP* (*Alan R. Glickman* of counsel), *Hughes Hubbard & Reed LLP* (*Michael Luskin and Robb W. Patryk* of counsel), and *Bracewell & Giuliani LLP* (*Rachel B. Goldman* of counsel), for appellants. I. The Appellate Division majority erred in holding that the Superintendent of Insurance's private letter approvals, issued without notice and a hearing, bar plaintiffs' Debtor and Creditor Law and common-law claims. (*Capital Tel. Co. v Pattersonville Tel. Co.*, 56 NY2d 11; *Abiele Contr. v New York City School Constr. Auth.*, 91 NY2d 1; *Matter of Van Wie v Kirk*, 244 AD2d 13; *Friedman v State of New York*, 24 NY2d 528; *Burden v Graves*, 23 AD3d 421; *David v Biondo*, 92 NY2d 318; *McGettigan v New York Cent. R.R. Co.*, 268 NY 66; *Levine v Tolchin*, 239 AD2d 279; *Fiala v Metropolitan Life Ins. Co.*, 6 AD3d 320; *In re MetLife Demutualization Litig.*, 689 F Supp 2d 297.) II. Under settled law, the Appellate Division majority erred in holding that plaintiffs must bring their challenge to MBIA's fraudulent "transformation" exclusively in a CPLR article 78 proceeding. (*Koerner v State of N.Y., Pilgrim Psychiatric Ctr.*, 62 NY2d 442; *May v State of New York*, 86 AD2d 898; *Capital Tel. Co. v Pattersonville Tel. Co.*, 56 NY2d 11; *Richards v Kaskel*, 32 NY2d 524; *Dacus v Spin-Nes Realty & Constr. Co.*, 22 NY2d 427; *Greyhound Leasing & Fin. Corp. v Joiner City Unit*, 444 F2d 439; *Matter of City of New York [Grand Lafayette Props. LLC]*, 6 NY3d 540; *Sohn v Calderon*, 78 NY2d 755; *Matter of Lewis Tree Serv. v Fire Dept. of City of N.Y.*, 66 NY2d 667; *Travelers Indem. Co. v State of New York*, 33 AD2d 127, 28 NY2d 561.) III. In any event, this Court should reverse, because the Appellate Division majority impermissibly considered—and found—disputed "facts" outside the "four corners" of the complaint. (*Travelers Indem. Co. v State of New York*, 33 AD2d 127; *People v Coventry First LLC*, 13 NY3d 108; *Capital Tel. Co. v Pattersonville Tel.*

Co., 56 NY2d 11; *Tango v Tulevech*, 61 NY2d 34; *United States Gypsum Co. v Indiana Gas Co., Inc.*, 350 F3d 623; *Matter of Charles H. Greenthal & Co. v Lefkowitz*, 32 NY2d 457; *Leon v Martinez*, 84 NY2d 83; *Walker v City of New York*, 46 AD3d 278; *Matter of Granwell*, 20 NY2d 91; *Securities & Exch. Commn. v First Jersey Sec., Inc.*, 101 F3d 1450.) IV. The Appellate Division majority erred in dismissing plaintiffs' well-pleaded claim for breach of the implied covenant of good faith and fair dealing. (*Dalton v Educational Testing Serv.*, 87 NY2d 384; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308; *Bank of China v Chan*, 937 F2d 780; *Gross v Empire Healthchoice Assur., Inc.*, 16 Misc 3d 1112[A], 2007 NY Slip Op 51390[U]; *Chase Manhattan Bank, N.A. v Keystone Distribs., Inc.*, 873 F Supp 808; *EBC I, Inc. v Goldman Sachs & Co.*, 7 AD3d 418; *Randall-Smith v 43rd St. Estates Corp.*, 17 NY2d 99.) V. The Appellate Division majority erred in dismissing plaintiffs' well-pleaded veil-piercing claim. (*Matter of Morris v New York State Dept. of Taxation & Fin.*, 82 NY2d 135; *First Bank of Ams. v Motor Car Funding*, 257 AD2d 287; *Serio v Ardra Ins. Co.*, 304 AD2d 362; *Grad v Roberts*, 14 NY2d 70; *Matter of EAC of N.Y., Inc. v Capri 400, Inc.*, 49 AD3d 1006; *Rebh v Rotterdam Ventures*, 252 AD2d 609; *Chase Manhattan Bank [N.A.] v 264 Water St. Assoc.*, 174 AD2d 504; *Prodell v State of New York*, 211 AD2d 966; *Associated Indem. Corp. v Fairchild Indus., Inc.*, 961 F2d 32; *Klostermann v Cuomo*, 61 NY2d 525.)

Kasowitz, Benson, Torres & Friedman, LLP, New York City (Marc E. Kasowitz, Daniel R. Benson, Albert S. Mishaan, Kenneth R. David, Seth A. Moskowitz and Sarmad M. Khojasteh of counsel), for respondents. I. The Appellate Division correctly dismissed the complaint as an impermissible collateral attack on the New York State Insurance Department's decision. (*Matter of City of New York [Grand Lafayette Props. LLC]*, 6 NY3d 540; *Matter of Foy v Schechter*, 1 NY2d 604; *Buffalo & State Line R.R. Co. v Supervisors of Erie County*, 48 NY 93; *United States Trust Co. of N.Y. v Mayor of City of N.Y.*, 144 NY 488; *City of New York v Aetna Cas. & Sur. Co.*, 264 AD2d 304; *Eslick v Blue Cross of W. N.Y.*, 159 AD2d 940; *Matter of Lewis Tree Serv. v Fire Dept. of City of N.Y.*, 66 NY2d 667; *Matter of Corrigan v Joseph*, 304 NY 172; *Fiala v Metropolitan Life Ins. Co.*, 6 AD3d 320; *Steen v Quaker State Corp.*, 12 AD3d 989.) II. The plaintiff banks cannot refute that the Appellate Division correctly dismissed their plenary action as an impermissible collateral attack. (*Abiele Contr. v New York City School Constr. Auth.*, 91 NY2d 1; *Matter of R.W. Granger & Sons v Comptroller of*

State of N.Y., 220 AD2d 945; *Matter of Hertz v Rozzi*, 148 AD2d 535; *People ex rel. Platt v Wemple*, 117 NY 136, 140 US 694; *Travelers Indem. Co. v Orange & Rockland Utils., Inc.*, 73 AD3d 576; *Capital Tel. Co. v Pattersonville Tel. Co.*, 56 NY2d 11; *Fransen v Conoco, Inc.*, 64 F3d 1481, 516 US 1166; *Matter of Van Wie v Kirk*, 244 AD2d 13; *Friedman v State of New York*, 24 NY2d 528; *Burden v Graves*, 23 AD3d 421.) III. The Appellate Division properly dismissed the plaintiff banks' claims as a matter of law. (*Matter of Feiner v New York State Off. of Real Prop. Servs.*, 25 AD3d 1005; *Kadison v Long Is. Sav. Bank*, 225 AD2d 523; *C & N Camera & Elecs. v Farmore Realty*, 178 AD2d 310; *Fiala v Metropolitan Life Ins. Co.*, 6 AD3d 320; *Steen v Quaker State Corp.*, 12 AD3d 989; *Brawer v Johnson*, 231 AD2d 664; *Matter of East N.Y. Sav. Bank Depositors Litig.*, 145 Misc 2d 620; *Craft v Florida Fed. Sav. & Loan Assn.*, 786 F2d 1546; *Harr v Prudential Fed. Sav. & Loan Assn.*, 557 F2d 751; *Wright v Prudential Ins. Co. of Am.*, 285 F Supp 2d 515.) IV. The dismissal of the plaintiff banks' plenary claims is in no way unconstitutional. (*Board of Regents of State Colleges v Roth*, 408 US 564; *Duke Power Co. v Carolina Environmental Study Group, Inc.*, 438 US 59; *Lovell v One Bancorp*, 818 F Supp 412; *Baraka v McGreevey*, 481 F3d 187, 552 US 1021; *Gibbes v Zimmerman*, 290 US 326; *Crane v Hahlo*, 258 US 142; *Martz v Incorporated Vil. of Val. Stream*, 22 F3d 26; *Walentas v Lipper*, 862 F2d 414; *S & D Maintenance Co., Inc. v Goldin*, 844 F2d 962; *Ganci v New York City Tr. Auth.*, 420 F Supp 2d 190.) V. The Appellate Division correctly dismissed the plaintiff banks' claims for failure to state a cause of action. (*Lamphear v State of New York*, 91 AD2d 791; *Rowe v Great Atl. & Pac. Tea Co.*, 46 NY2d 62; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *D & L Holdings v Goldman Co.*, 287 AD2d 65; *NPS, LLC v Ambac Assur. Corp.*, 706 F Supp 2d 162; *Water Works Bd. of City of Birmingham v Ambac Fin. Group, Inc.*, 718 F Supp 2d 1317; *Al-lapattah Servs., Inc. v Exxon Corp.*, 61 F Supp 2d 1300, 333 F3d 1248; *National Union Fire Ins. Co. of Pittsburgh, Pa. v Xerox Corp.*, 25 AD3d 309; *Bank of China v Chan*, 937 F2d 780.) VI. The plaintiff banks' request for leave to replead their complaint should be denied. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Prichard v 164 Ludlow Corp.*, 49 AD3d 408; *Minihane v Weissman*, 226 AD2d 152; *Matter of Grimm v State of N.Y. Div. of Hous. & Community Renewal Off. of Rent Admin.*, 15 NY3d 358.)

Eric T. Schneiderman, Attorney General, New York City (Steven C. Wu, Barbara D. Underwood and Richard Dearing of

counsel), for Superintendent of Insurance, amicus curiae. I. The Superintendent of Insurance's approval of insurer transactions may not be collaterally attacked in a plenary fraudulent conveyance action. (*Matter of Guardian Life Ins. Co. of Am. v Bohlinger*, 308 NY 174; *Matter of City of New York [Grand Lafayette Props. LLC]*, 6 NY3d 540; *Connors v Amax Coal Co., Inc.*, 858 F2d 1226; *Flacke v Onondaga Landfill Sys.*, 69 NY2d 355; *Breen v Cunard Lines S. S. Co.*, 33 NY2d 508; *Matter of New York Pub. Interest Research Group v New York State Dept. of Ins.*, 66 NY2d 444; *Matter of Cohen v Board of Appeals of Vil. of Saddle Rock*, 100 NY2d 395; *Milwaukee v Illinois*, 451 US 304; *Matter of Knickerbocker Agency [Holz]*, 4 NY2d 245; *Matter of Lawyers Tit. & Guar. Co.*, 254 App Div 491.) II. The plaintiff banks' arguments are meritless. (*Fransen v Conoco, Inc.*, 64 F3d 1481; *Abiele Contr. v New York City School Constr. Auth.*, 91 NY2d 1; *Whitney Nat. Bank in Jefferson Parish v Bank of New Orleans & Trust Co.*, 379 US 411; *Matter of Evans v Monaghan*, 306 NY 312; *Matter of Venes v Community School Bd. of Dist. 26*, 43 NY2d 520; *Capital Tel. Co. v Pattersonville Tel. Co.*, 56 NY2d 11; *People v Grasso*, 11 NY3d 64; *Milwaukee v Illinois*, 451 US 304; *Richards v Kaskel*, 32 NY2d 524; *Matter of Charles H. Greenthal & Co. v Lefkowitz*, 32 NY2d 457.)

New York Civil Liberties Union Foundation, New York City (Andrew L. Kalloch and Taylor Pendergrass of counsel), for New York Civil Liberties Union and others, amici curiae. I. It is a violation of due process to preclude a litigant from asserting claims on the basis of a prior proceeding to which the litigant was not a party. (*Hansberry v Lee*, 311 US 32; *Pennoyer v Neff*, 95 US 714; *Gramatan Home Invs. Corp. v Lopez*, 46 NY2d 481; *Whitley v Klauber*, 51 NY2d 555; *Parklane Hosiery Co. v Shore*, 439 US 322; *Matter of People v Applied Card Sys., Inc.*, 11 NY3d 105; *Bigelow v Old Dominion Copper Mining & Smelting Co.*, 225 US 111; *Hannah v Larche*, 363 US 420; *Ohio Bell Telephone Co. v Public Util. Comm'n of Ohio*, 301 US 292; *Morgan v United States*, 304 US 1.) II. The Insurance Department's decision cannot preclude the assertion of common-law rights and causes of action, which must be preserved in the absence of explicit derogation by the Legislature. (*Jamison v Encarnacion*, 281 US 635; *Isbrandtsen Co. v Johnson*, 343 US 779; *Kirke La Shelle Co. v Armstrong Co.*, 263 NY 79; *United States v Rodgers*, 461 US 677; *Imbler v Pachtman*, 424 US 409; *United States v Sanges*, 144 US 310; *Commodity Futures Trading Comm'n v Schor*, 478 US 833; *Briscoe v LaHue*, 460 US 325; *Nixon v Fitzgerald*, 457 US 731; *Scheuer v Rhodes*, 416 US 232.)

Patrick J. Borchers, Omaha, Nebraska, pro se and *Arthur R. Miller*, New York City, pro se, amici curiae. I. The Superintendent of Insurance's determination was not entitled to preclusive effect. (*Allied Chem. v Niagara Mohawk Power Corp.*, 72 NY2d 271; *United States v Utah Constr. & Mining Co.*, 384 US 394; *Matter of Josey v Goord*, 9 NY3d 386.) II. No issue fatal to the plaintiffs' fraudulent conveyance causes of action was conclusively decided. (*Capital Tel. Co. v Pattersonville Tel. Co.*, 56 NY2d 11.) III. Plaintiffs were strangers to the Superintendent of Insurance's determination and thus cannot be adversely bound. (*B. R. DeWitt, Inc. v Hall*, 19 NY2d 141; *Capital Tel. Co. v Pattersonville Tel. Co.*, 56 NY2d 11; *Estate of Schneider v Finmann*, 15 NY3d 306; *Phillips Petroleum Co. v Shutts*, 472 US 797; *Martin v Wilks*, 490 US 755; *Taylor v Sturgell*, 553 US 880; *Richards v Jefferson County*, 517 US 793; *Amchem Products, Inc. v Windsor*, 521 US 591; *Hansberry v Lee*, 311 US 32; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222.)

Simpson Thacher & Bartlett LLP, New York City (*David W. Ichel*, *Barry R. Ostrager*, *Joseph M. McLaughlin*, *Patrick T. Shilling* and *Daniel J. Stujenske* of counsel), for Aurelius Capital Master Ltd. and others, amici curiae. I. The MBIA defendants cannot satisfy the elements of collateral estoppel. (*Staatsburg Water Co. v Staatsburg Fire Dist.*, 72 NY2d 147; *Capital Tel. Co. v Pattersonville Tel. Co.*, 56 NY2d 11; *Leon v Martinez*, 84 NY2d 83; *Pattison v Pattison*, 301 NY 65; *Mills v Everest Reins. Co.*, 410 F Supp 2d 243; *Baker v Muraski*, 61 AD3d 1373; *Dalton v Educational Testing Serv.*, 87 NY2d 384; *FCNB Spiegel v Dimmick*, 163 Misc 2d 152; *Bauer v Planning Bd. of Vil. of Scarsdale*, 159 AD2d 532; *J. A. Preston Corp. v Fabrication Enters.*, 68 NY2d 397.) II. Even if there were a "collateral attack doctrine" apart from collateral estoppel, it could not bar plaintiffs' claims. (*Capital Tel. Co. v Pattersonville Tel. Co.*, 56 NY2d 11; *Fiala v Metropolitan Life Ins. Co.*, 6 AD3d 320; *Richards v Kaskel*, 32 NY2d 524; *Belco Petroleum Corp. v AIG Oil Rig*, 164 AD2d 583; *McGee v Lepow*, 82 AD2d 746, 54 NY2d 1027; *Matter of East N.Y. Sav. Bank Depositors Litig.*, 145 Misc 2d 620, *affd sub nom. Wechsler v Murray*, 162 AD2d 251; *Brawer v Johnson*, 231 AD2d 664; *Matter of Empire Blue Cross & Blue Shield Customer Litig.*, 164 Misc 2d 350, *affd sub nom. Minihane v Weissman*, 226 AD2d 152; *Steen v Quaker State Corp.*, 12 AD3d 989; *Academic Health Professionals Ins. Assn. v M.Q. of N.Y., Inc.*, 30 AD3d 165, 7 NY3d 895.) III. Precluding claims on the

basis of private agency determinations would be bad public policy. (*Staatsburg Water Co. v Staatsburg Fire Dist.*, 72 NY2d 147; *David v Biondo*, 92 NY2d 318.)

OPINION OF THE COURT

CIPARICK, J.

In this dispute between MBIA Insurance Corporation (MBIA Insurance) and certain of its policyholders, the principal question presented is whether the 2009 restructuring of MBIA Insurance and its related subsidiaries and affiliates authorized by the Superintendent of the New York State Insurance Department (the Superintendent) precludes these policyholders from asserting claims against MBIA Insurance under the Debtor and Creditor Law and the common law. We hold that the Superintendent's approval of such restructuring pursuant to his authority under the Insurance Law does not bar the policyholders from bringing these claims.

I.

This appeal has its origins in the unraveling of the world's financial markets that began in 2007. As described in the complaint, plaintiffs are a group of unrelated banking and financial services institutions that hold financial guarantee insurance policies issued by defendant MBIA Insurance on their structured-finance products. In May 2009, they commenced this action against defendants MBIA Insurance, MBIA Inc., and MBIA Insurance Corp. of Illinois (MBIA Illinois) following the Superintendent's February 2009 approval of their application for restructuring. Plaintiffs contend that the restructuring constituted a fraudulent conveyance, which left MBIA Insurance undercapitalized and unable to meet its obligations under the terms of their policies.

Prior to the restructuring, MBIA Inc., a publicly-traded Connecticut-based corporation, provided financial guarantee insurance and other forms of credit protection to its customers worldwide. It conducted this business through its wholly-owned subsidiary, MBIA Insurance, a New York-based corporation. MBIA Illinois, an essentially-dormant, Illinois-domiciled corporation, was a wholly-owned subsidiary of MBIA Insurance.

As a monoline insurer, MBIA Insurance "exclusively wrote financial guarantee insurance policies and did not offer property, casualty, life, disability or other forms of insurance." Under the terms of its policies, MBIA Insurance promised to pay its

policyholders if an obligor on a covered instrument defaulted. Historically, MBIA Insurance had underwritten policies that covered municipal bonds and other types of securities issued by governmental entities. However, in response to market trends, MBIA started offering guarantee insurance related to structured-finance products. Structured-finance products, which include mortgage-backed securities, are “obligations payable from or tied to the performance of pools of assets.” Notably, by the end of 2008, MBIA Insurance had a portfolio of policies with a face amount of \$786.7 billion. Approximately one third of MBIA Insurance’s portfolio consisted of structured-finance policies (\$233 billion in face amount); the remaining two thirds consisted of municipal bond policies (\$553.7 billion in face amount).

Beginning in 2007 and continuing through 2008, the health of the real estate market deteriorated. In turn, the risks associated with certain financial products tied to real estate, such as structured-finance products, increased concomitantly. Not surprisingly, MBIA Insurance’s exposure to liability with respect to its structured-finance policy portfolio grew exponentially as the real estate market crumbled during this period.

In 2008, MBIA Inc. responded to this crisis in a number of ways. On February 25, 2008, it publicly “announc[ed] that it would establish ‘separate legal operating entities for MBIA’s public, structured, and asset management businesses’ within five years.” At the same time, MBIA Inc. suspended the issuance of new structured-finance guarantee policies. In May 2008, MBIA Inc. also considered infusing \$900 million of its own cash into its subsidiaries “in order to ‘support MBIA Insurance[’s] triple-A ratings and existing and future policyholders.’ ” Despite these efforts to curb the negative effects of the downturn in the real estate market, in early June 2008, both Moody’s Investors Service, Inc. (Moody’s) and Standard & Poor’s Rating Services downgraded MBIA Insurance’s creditworthiness. MBIA Inc., as a result, opted not to invest its own cash into its subsidiaries, but instead decided to pursue its plan to segregate its municipal bond portfolio from its structured-finance portfolio, which it feared was turning toxic.

Under the Insurance Law, many aspects of this plan required approval or nondisapproval by the Superintendent. To that end, on December 5, 2008, MBIA Insurance, on behalf of itself and the other defendants, submitted an ex parte application to the Superintendent, detailing a series of proposed transactions that

would effectuate their desired goals. MBIA Insurance supplemented and amended its application several times in the ensuing two months. Defendants requested approval of the following transactions in order to separate their two sets of portfolios. First, MBIA Insurance would declare and distribute a \$1.147 billion dividend to MBIA Inc. Second, MBIA Insurance would redeem and retire roughly one third of its capital stock from MBIA Inc. and in exchange would give MBIA Inc. approximately \$938 million more in cash and securities, as well as all of the issued and outstanding stock of MBIA Illinois. Third, MBIA Inc. would transfer the cash it received from the dividend distribution and the cash, securities and MBIA Illinois stock it received in connection with the stock redemption to MuniCo Holdings Inc. (MuniCo), a wholly-owned subsidiary of MBIA Inc. Fourth, MuniCo would capitalize MBIA Illinois, no longer a subsidiary of MBIA Insurance, by contributing \$2.085 billion it received in these asset transfers.

Finally, following the capitalization of MBIA Illinois, MBIA Insurance further proposed that it and MBIA Illinois would enter into a series of transactions pursuant to which MBIA Illinois would “reinsure, on a cut-through basis, those financial guaranty insurance policies sold or reinsured by MBIA [Insurance].” Such an arrangement would allow the municipal bond policyholders to submit claims directly to MBIA Illinois as well as MBIA Insurance. In exchange, MBIA Insurance would remit about \$3.66 billion to MBIA Illinois, most of which represented “the net unearned premium reserve . . . associated with” the municipal bond policies.

By letter dated February 17, 2009, the Superintendent granted each of the approvals requested by MBIA Insurance (the Transformation). The approval letter stated that the Transformation was fair to structured-finance policyholders, noting that MBIA Insurance would “continue to pay all valid claims in a timely fashion.” No notice or opportunity to be heard was given to the policyholders.

Specifically, the Superintendent approved the proposed dividend payment made by MBIA Insurance to MBIA Inc. under Insurance Law § 4105 (a), which requires a determination that MBIA Insurance would “retain sufficient surplus to support its obligations and writings.” Next, the Superintendent approved the proposed stock redemption, concluding under Insurance Law § 1411 (d) that it was “reasonable and equitable.” Finally, with respect to the proposed reinsurance transaction, the

Superintendent did not disapprove, concluding that it comported with statutory factors enunciated in Insurance Law §§ 1308, 1505 and 6906. In his letter, the Superintendent stressed a number of times that his approvals and nondisapprovals were based on “the representations contained in the [a]pplication [by MBIA Insurance] and its supporting submissions, and in reliance on the truth of those representations and submissions.”

Following the Superintendent’s issuance of its approval/nondisapproval letter, defendants consummated the Transformation, which was given retroactive effect to January 1, 2009. The very next day, MBIA Inc. publicly announced that it had succeeded in segregating its municipal bond policy portfolio from its structured-finance policy portfolio by restructuring its principal insurance subsidiary, MBIA Insurance. MBIA Inc.’s chief executive officer emphasized in a letter to shareholders that the Transformation provided the holding company “with much needed clean capacity for new municipal bond business.”

On February 18, 2009, the Superintendent issued his own public statement, announcing that he had overseen “a transformation of [MBIA Insurance] that effectively splits that company in two, dividing its assets and liabilities between two highly capitalized insurance companies.” Despite the Superintendent’s public endorsement of the restructuring, Moody’s further downgraded MBIA Insurance’s credit rating to B3, six steps below investment grade and three steps above “junk.” One of the primary reasons Moody’s cited for its downgrade of MBIA Insurance was the “substantial reduction in claims-paying resources relative to the remaining higher-risk exposures in its insured portfolio, given the removal of capital, and the transfer of unearned premium reserves associated with the ceding of its municipal portfolio to MBIA Illinois.”

In May 2009, plaintiffs commenced this action in Supreme Court alleging fraudulent conveyances under New York’s Debtor and Creditor Law, breach of contract, abuse of the corporate form, and unjust enrichment. “[A]midst an ongoing financial crisis,” plaintiffs allege that

“[i]n an unlawful attempt to escape MBIA Insurance’s coverage obligations to [p]laintiffs and other policyholders, [d]efendants executed a series of fraudulent conveyances, in breach of MBIA Insurance’s contracts, to transfer MBIA Insurance assets into MBIA Illinois—an entity that [d]efendants

structured to be free from liabilities or other obligations to [p]laintiffs.”

Plaintiffs specifically allege that “[d]efendants [fraudulently] stripped approximately \$5 billion in cash and securities out of MBIA Insurance” and that MBIA Insurance received no consideration for the assets it transferred. They further allege that the fraudulent conveyances have exposed them to potentially billions of dollars in losses since MBIA Insurance is now woefully undercapitalized and insolvent. Moreover, plaintiffs allege that MBIA Inc. abused the corporate form by causing MBIA Insurance to engage in these unfair transactions in order to shield assets away from plaintiffs. Plaintiffs seek to set aside the allegedly fraudulent transfer or, in the alternative, a declaration that defendants shall be jointly and severally liable to plaintiffs under plaintiffs’ insurance policies, or an award of damages.

Defendants moved to dismiss the complaint on June 9, 2009. Their principal basis for dismissal is that plaintiffs’ claims in this plenary proceeding are impermissible “collateral attacks” on the Superintendent’s approval of the Transformation, which can only be challenged in a CPLR article 78 proceeding. Defendants also contend that the complaint fails to state cognizable causes of action.

On June 15, 2009—six days after defendants moved to dismiss the complaint and within the four-month statute of limitations period—plaintiffs separately filed an article 78 proceeding in Supreme Court, assigned to the same Justice handling the plenary action, challenging the Superintendent’s 2009 approval/nondisapproval of the Transformation. Plaintiffs assert in that proceeding that the Superintendent acted arbitrarily and capriciously and abused his discretion. For relief, plaintiffs seek an annulment of the Superintendent’s determination and a declaration that the transactions approved by the Superintendent in connection with the Transformation are null and void. The article 78 proceeding remains pending while the parties conduct discovery.

In a written decision, Supreme Court denied defendants’ motion seeking dismissal of the complaint (*ABN Amro Bank N.V. v MBIA Inc.*, 26 Misc 3d 1223[A], 2010 NY Slip Op 50238[U] [Sup Ct, NY County 2010]). The court rejected defendants’ “collateral attack” argument, noting that plaintiffs were not seeking a determination from the court that the Superintendent incorrectly applied New York’s Insurance Law (2010 NY Slip Op

50238[U] at *16). Rather, Supreme Court held, the “mere fact that there was earlier approval of the . . . restructuring by the Insurance Department does not immunize defendants from subsequent statutory and common law claims” (*id.* at *13). In so holding, the court observed that “[t]he Superintendent was not called upon to examine whether defendants intended to defraud policyholders” (*id.* at *15). Supreme Court then evaluated the legal sufficiency of the complaint and found that plaintiffs adequately pleaded causes of action under the Debtor and Creditor Law (*see id.* at *18). It also concluded that plaintiffs adequately stated claims for breach of contract premised on a breach of the implied covenant of good faith and fair dealing, abuse of the corporate form allowing for a declaratory judgment piercing the corporate veil of MBIA Insurance, and unjust enrichment (*see id.* at *18-19).

The Appellate Division, with two Justices dissenting in part, reversed and granted defendants’ motion to dismiss the complaint (*ABN AMRO Bank, N.V. v MBIA Inc.*, 81 AD3d 237, 248 [1st Dept 2011]). The majority construed plaintiffs’ complaint as a “collateral attack” on the Superintendent’s authorization of the Transformation. Citing its decision in *Fiala v Metropolitan Life Ins. Co.* (6 AD3d 320 [1st Dept 2004]), the majority held that “[a] plenary action that seeks the overturn of the Superintendent’s determination, or challenges matters that the determination necessarily encompasses, constitutes an impermissible indirect challenge to that determination” (81 AD3d at 246 [internal quotation marks omitted]). As a result, the majority opined that an article 78 proceeding challenging the Superintendent’s determination is the only remedy available to the plaintiffs (*see id.* at 246).

The majority also held that, in any event, plaintiffs’ three common-law claims failed to state causes of action. Specifically, the majority noted that plaintiffs’ breach of contract and piercing of the corporate veil claims should have been dismissed on the ground that plaintiffs fail to allege a default on payments owed to them under their policies (*see id.* at 244-245). The majority found that “[p]laintiffs also fail to allege particularized statements detailing fraud or other corporate misconduct that would warrant piercing the corporate veil” (*id.* at 245). Finally, the majority concluded that plaintiffs failed to state a cause of action for unjust enrichment because they did not allege that “MBIA Insurance has conferred some benefit upon MBIA Inc. and MBIA Illinois at plaintiffs’ expense” (*id.* at 246).

The two dissenting Justices agreed with the majority that plaintiffs' unjust enrichment cause of action should have been dismissed, but would have otherwise affirmed the order of Supreme Court (*see id.* at 253 [Abdus-Salaam, J., dissenting in part]). The dissent rejected the notion that an article 78 proceeding is the sole remedy available to plaintiffs here (*see id.* at 252-253). The dissenting Justices reasoned that the Superintendent's decision did not have a preclusive effect on plaintiffs' right to assert claims against defendants because, unlike the plaintiffs in *Fiala* and the other cases cited by the majority, plaintiffs here had no "opportunity to be heard or otherwise provide input regarding the determination" (*id.* at 253).

Furthermore, the dissent concluded that plaintiffs sufficiently pleaded a cause of action for breach of contract, under a theory that defendants breached an implied covenant of good faith, where they allege that defendants "substantially reduc[ed] the likelihood that MBIA Insurance [would] be able to pay its policyholders," thereby "injuring the right of plaintiffs to receive the fruits of the contract" (*id.* at 254 [internal quotation marks and brackets omitted]). Finally, the dissent concluded that plaintiffs sufficiently pleaded their claim for a declaratory judgment and piercing of the corporate veil, observing that plaintiffs allege that MBIA Inc. abused the privilege of doing business in the corporate form by causing MBIA Insurance to make fraudulent conveyances for no value (*see id.* at 254-255).

Plaintiffs appeal as of right pursuant to CPLR 5601 (a) and we now modify.

II.

[1] Defendants have consistently maintained that plaintiffs' plenary claims under the Debtor and Creditor Law and the common law constitute an "impermissible collateral attack" on the Superintendent's approval of the Transformation. To support their position, defendants do not argue that plaintiffs are collaterally estopped from commencing a proceeding in Supreme Court following the Superintendent's determination. Rather, defendants contend on this appeal that the Insurance Law vests the Superintendent with "exclusive original jurisdiction" to adjudicate plaintiffs' claims that may only be challenged through an article 78 proceeding. For the reasons that follow, we reject this argument.

It is fundamental that "Article VI, § 7 of the NY Constitution establishes the Supreme Court as a court of 'general original

jurisdiction in law and equity’ ” (*Sohn v Calderon*, 78 NY2d 755, 766 [1991], quoting NY Const, art VI, § 7 [a]). “Under this grant of authority, the Supreme Court ‘is competent to entertain all causes of action unless its jurisdiction has been specifically proscribed’ ” (*id.*, quoting *Thrasher v United States Liab. Ins. Co.*, 19 NY2d 159, 166 [1967]). Indeed, “it has never been suggested that every claim or dispute arising under a legislatively created scheme may be brought to the Supreme Court for original adjudication” (*id.*). Thus, “the constitutionally protected jurisdiction of the Supreme Court does not prohibit the Legislature from conferring exclusive original jurisdiction upon an agency in connection with the administration of a statutory regulatory program” (*id.* at 767).

We applied these principles in *Sohn* and held the agency in question there, the Division of Housing and Community Renewal (DHCR), had exclusive original jurisdiction to resolve a dispute concerning a landlord’s entitlement to demolish a rent-regulated building (*see id.* at 767-768). In analyzing the statute governing DHCR’s authority, Administrative Code of the City of New York § 26-408, we observed that it was “beyond question that the Legislature intended” such disputes “to be adjudicated by the DHCR” (*id.* at 765-766). Thus, we concluded that the statutory scheme proscribed the landlord in that case from circumventing DHCR’s authority and commencing an action in Supreme Court seeking a declaration that was within DHCR’s exclusive purview (*see id.* at 767-768). We noted that the landlord, of course, could later challenge a determination made by DHCR by way of an article 78 proceeding (*see id.* at 767).

On the other hand, in *Richards v Kaskel* (32 NY2d 524 [1973]), we held that section 352-e of the General Business Law, which vests the Attorney General with exclusive jurisdiction to approve a cooperative building conversion plan, did not preclude the plaintiffs, tenants of a rent-stabilized apartment complex, from commencing a private lawsuit alleging that their landlord engaged in fraudulent misconduct in connection with such a plan (*see id.* at 535). There, we observed that section 352-e authorized the Attorney General “to consider the sufficiency of the language and content of the [cooperative conversion] plan [and to determine] that the plan . . . complied with the disclosure requirements of the statute” (*id.* at 535 n 5). Given the limited scope of the Attorney General’s adjudicatory authority under this section of the General Business Law, we concluded that the Legislature did not “intend[] to deprive the court of its

traditional equitable jurisdiction to consider claims of illegality on the part of the sponsor apart from noncompliance with that provision” (*id.*; see also *McGee v Lepow*, 82 AD2d 746, 747 [1st Dept 1981], *appeal dismissed* 54 NY2d 1027 [1981]).

In this case, defendants essentially ask us to construe the Superintendent’s exclusive original jurisdiction to approve the Transformation under the relevant provisions of the Insurance Law to mean that he is also the exclusive arbiter of all private claims that may arise in connection with the Transformation—including claims that the restructuring rendered MBIA Insurance insolvent and was unfair to its policyholders. Defendants’ contention, taken to its logical conclusion, would preempt plaintiffs’ Debtor and Creditor Law and common-law claims. We reject this argument and conclude that there is no indication from the statutory language and structure of the Insurance Law or its legislative history that the Legislature intended to give the Superintendent such broad preemptive power (see *Matter of Zuckerman v Board of Educ. of City School Dist. of City of N.Y.*, 44 NY2d 336, 342-343 [1978] [“Although (the Public Employment Relations Board [PERB]) has exclusive jurisdiction of labor disputes between public employers and public employees involving the right to organize and the right to negotiate in good faith, this jurisdiction does not mean that any and all disputes between such parties fall exclusively to PERB. PERB’s jurisdiction encompasses only those matters specifically covered by the Taylor Law”]).

If the Legislature actually intended the Superintendent to extinguish the historic rights of policyholders to attack fraudulent transactions under the Debtor and Creditor Law or the common law, we would expect to see evidence of such intent within the statute. Moreover, we would expect that, in such a situation, affected policyholders, such as plaintiffs, would have notice and an opportunity to be heard before the Superintendent made his determinations. Here, we find no such intent in the statute.¹ Nor do we see a provision that required the Superintendent to provide notice and an opportunity to be heard to plaintiffs before he approved the Transformation (*cf. Shah v*

1. We agree with the dissent that “intent may be implied from the nature of the subject matter being regulated” and that “[a] comprehensive and detailed statutory scheme may be evidence of the Legislature’s intent to preempt” (dissenting op at 232, quoting *Matter of Cohen v Board of Appeals of Vil. of Saddle Rock*, 100 NY2d 395, 400 [2003] [emphasis omitted]). We disagree, however, that the Insurance Law implies such an intent here.

Metropolitan Life Ins. Co., 2003 NY Slip Op 50591[U], *26 [Sup Ct, NY County 2003] [*affd in part by Fiala*, 6 AD3d at 321-322] [in the context of an Insurance Law article 73 demutualization, following the required statutory notice and an opportunity to be heard by the policyholders, “(t)he (L)egislature expressly placed the determination as to whether a plan of reorganization complied with the statute and was fair and equitable to policyholders in the (exclusive jurisdiction) of the Superintendent”)].

Defendants nonetheless look to Insurance Law § 326 (a) as a provision conferring exclusive authority on the Superintendent to adjudicate plaintiffs’ private claims. Defendants’ reliance on such provision, however, is entirely misplaced. That statute, as pertinent here states that “any order, regulation or decision of the [S]uperintendent is declared to be subject to judicial review in a proceeding under article [78] of the civil practice law and rules.” A cursory reading of the plain language reveals that it does not vest the Superintendent with the power to consider causes of action such as plaintiffs’. Rather, the statute merely provides that the Superintendent’s decisions—which derive from legislatively designated authority under the Insurance Law—are subject to review in an article 78 proceeding (*see Travelers Indem. Co. v State of New York*, 33 AD2d 127, 128 [3d Dept 1969], *affd* 28 NY2d 561 [1971] [“it is clear from the legislative history that (Insurance Law § 326) was written in its present form to insure that all and not just some of the determinations made by the (Superintendent) were reviewable by an article 78 proceeding”]). The Superintendent’s determinations, however, have never included the adjudication of claims like those plaintiffs have put forward in this action. Nor can these claims be properly raised and adjudicated in an article 78 proceeding.

III.

Because we perceive no basis to conclude that the Legislature divested Supreme Court of its general jurisdiction to adjudicate plaintiffs’ Debtor and Creditor Law and common-law claims, explicitly through the Insurance Law or otherwise, we next turn to the preclusive effect, if any, of the Superintendent’s approval of the Transformation on this plenary action. Such an inquiry requires an analysis of administrative collateral estoppel principles. At the outset, however, we observe that defendants correctly concede that collateral estoppel does not apply here.

While our inquiry would normally end with such a concession, a discussion is necessary here as the so-called “collateral attack doctrine” does not exist apart from the doctrines of exclusive original jurisdiction and administrative collateral estoppel principles. And there is good reason for this. The recognized doctrines, as they exist in New York, build in protections of notice and opportunity to be heard for affected constituencies.

The doctrine of collateral estoppel (or issue preclusion) is rooted in principles of fairness. It is well settled that the doctrine “may be invoked in a subsequent action or proceeding to prevent a party from relitigating an [identical] issue decided against that party in a prior adjudication” (*Staatsburg Water Co. v Staatsburg Fire Dist.*, 72 NY2d 147, 152 [1988]). In *Capital Tel. Co. v Pattersonville Tel. Co.* (56 NY2d 11 [1982]), we reaffirmed the principle that collateral estoppel applies to an administrative proceeding (*id.* at 17). In the context of administrative agency determinations, we have recognized that the doctrine of collateral estoppel “is applied more flexibly, and additional factors must be considered by the court” (*Allied Chem. v Niagara Mohawk Power Corp.*, 72 NY2d 271, 276 [1988]). “These additional requirements are often summed up in the beguilingly simple prerequisite that the administrative decision be ‘quasi-judicial’ in character” (*id.*, citing *Ryan v New York Tel. Co.*, 62 NY2d 494, 500 [1984]).

An administrative decision is quasi-judicial in character when it is “ ‘ ‘ ‘ rendered pursuant to the adjudicatory authority of an agency to decide cases brought before its tribunals employing procedures substantially similar to those used in a court of law ’ ’ ’ ” (*Matter of Jason B. v Novello*, 12 NY3d 107, 113 [2009], quoting *Ryan*, 62 NY2d at 499). Thus, for collateral estoppel to be triggered, not only must the identity of the issue decided in the prior action or proceeding have been the same, but also “there must have been a full and fair opportunity to contest the decision now said to be controlling” (*Gilberg v Barbieri*, 53 NY2d 285, 291 [1981], quoting *Schwartz v Public Adm’r of County of Bronx*, 24 NY2d 65, 71 [1969]; see also *Capital Tel. Co.*, 56 NY2d at 17).

[2] Here, even assuming the issues considered by the Superintendent in approving the Transformation are identical to the issues raised by plaintiffs in their plenary action (which they are not), plaintiffs had no opportunity to contest the Superintendent’s determination or, more importantly, challenge the validity of the financial information provided to him by defendants

which formed the basis of the Superintendent's approval. The record is indisputable on this point. MBIA Insurance submitted a private application to the Superintendent. The Superintendent did not conduct public hearings or provide public notice before rendering his determination. Crucially, the Superintendent accepted the truth of defendants' submissions (*cf. Shah*, 2003 NY Slip Op 50591[U] at *12-13, *affd in part by Fiala*, 6 AD3d at 321 [plenary lawsuit dismissed as a collateral attack on the Superintendent's decision to approve a demutualization of an insurance company where public hearings were held and plaintiff had notice and opportunity to be heard]). Simply put, there was nothing "quasi-judicial" about the Superintendent's approval process that ought to be binding on plaintiffs in this case (*see Staatsburg Water Co.*, 72 NY2d at 154 [even where party had an opportunity to participate in a prior proceeding, such proceeding is not quasi-judicial, and therefore not binding, where party's participation "did not necessarily amount to a full and fair opportunity to contest the determination"]).

That the Superintendent complied with lawful administrative procedure, in that the Insurance Law did not impose a requirement that he provide plaintiffs notice before issuing his determination, does not alter our analysis. To hold otherwise would infringe upon plaintiffs' constitutional right to due process. Indeed, as we stated in *Gilberg*, "[d]ue process, of course, would not permit a litigant to be bound by an adverse determination made in a prior proceeding to which he was not a party or in privity with a party" (53 NY2d at 291; *see also Phillips Petroleum Co. v Shutts*, 472 US 797, 811-812 [1985] [a party cannot be bound by a prior proceeding without "minimum procedural due process protection," including "notice plus an opportunity to be heard and participate in the litigation"])). Clearly plaintiffs here were not in privity with the Superintendent.

IV.

Satisfied that the Superintendent's approval of the Transformation does not bar plaintiffs' independent plenary action, we address the sufficiency of the pleadings. Our standard of review is well familiar: "On a motion to dismiss pursuant to CPLR 3211, the pleading is to be afforded a liberal construction" (*Leon v Martinez*, 84 NY2d 83, 87 [1994]; *see* CPLR 3026). Courts must "accept the facts as alleged in the complaint as true, accord plaintiffs the benefit of every possible favorable inference, and determine only whether the facts as alleged fit within any cognizable legal theory" (*Leon*, 84 NY2d at 87-88).

[3] We conclude that plaintiffs adequately pleaded causes of action under the Debtor and Creditor Law. Plaintiffs premise their first claim on Debtor and Creditor Law § 273, which requires them to allege that MBIA Insurance fraudulently made “conveyance[s]” that rendered it “insolvent” because it did not receive “fair consideration” for such conveyances. They base their second claim on Debtor and Creditor Law § 274, which similarly requires plaintiffs to allege that MBIA Insurance fraudulently made “conveyance[s] . . . without fair consideration,” which left it with “unreasonably small capital.” Debtor and Creditor Law § 276 forms the basis of plaintiffs’ third cause of action. That statute requires plaintiffs to allege that defendants made conveyances and incurred obligations with the intent “to hinder, delay, or defraud either present or future creditors.”

Plaintiffs, who are undoubtedly creditors of MBIA Insurance, support all of these claims by describing a series of allegedly fraudulent transactions made in bad faith by defendants after the Superintendent’s approval of the Transformation, in which they ultimately assert defendants “stripped approximately \$5 billion in cash and securities out of MBIA Insurance.” Further, plaintiffs allege that MBIA Insurance received no consideration for the assets it transferred to MBIA Inc. As a result, plaintiffs allege that MBIA Insurance is insolvent and unable to meet its obligations under the terms of their policies. These allegations clearly support causes of action under sections 273 and 274 of the Debtor and Creditor Law. Moreover, these allegations, taken together and drawing all reasonable inferences in favor of plaintiffs, as we must at this stage of the litigation, sufficiently allege an intent on the part of defendants to defraud plaintiffs under section 276 (*see Dempster v Overview Equities*, 4 AD3d 495, 498 [2d Dept 2004]).

[4] Turning to plaintiffs’ common-law claims, we likewise conclude that plaintiffs pleaded a viable cause of action for breach of contract based upon a breach of the implied covenant of good faith. Of course, the implied covenant of good faith and fair dealing “embraces a pledge that neither party shall do anything which will have the effect of destroying or injuring the right of the other party to receive the fruits of the contract” (*Dalton v Educational Testing Serv.*, 87 NY2d 384, 389 [1995] [internal quotation marks omitted]). Here, plaintiffs sufficiently allege that MBIA Insurance, by fraudulently transferring billions of dollars of its assets to MBIA Inc. for no consideration, “violated the covenant by substantially reducing the likelihood

that [it] will be able” to meet its obligations under the terms of the insurance policies (*ABN AMRO Bank, N.V.*, 81 AD3d at 254 [Abdus-Salaam, J., dissenting in part]; *see also MBIA Ins. Corp. v Countrywide Home Loans, Inc.*, 2009 NY Slip Op 31527[U], *19 [Sup Ct, NY County 2009] [MBIA Insurance itself successfully pleaded a breach of contract cause of action premised on breach of implied covenant by alleging that defendant “unfairly shifted the risks of default and delinquencies” to it]).²

[5] We further conclude that the complaint adequately states a claim for abuse of the corporate form that may support a declaration piercing the corporate veil of MBIA Insurance. As the Appellate Division dissent appropriately observed,

“ ‘[t]he party seeking to pierce the corporate veil must establish that the owners, through their domination, abused the privilege of doing business in the corporate form to perpetrate a wrong or injustice against that party such that a court in equity will intervene’ (*Matter of Morris v New York State Dept. of Taxation & Fin.*, 82 NY2d 135, 142 [1993])” (81 AD3d at 255).

In that regard, plaintiffs’ allegations that MBIA Inc. abused its control of its wholly-owned subsidiary, MBIA Insurance, by causing it to engage in harmful transactions that now shield billions of dollars in assets from plaintiffs and expose them to significant liability meet this test (*cf. East Hampton Union Free School Dist. v Sandpebble Bldrs., Inc.*, 16 NY3d 775, 776 [2011] [piercing the corporate veil claim properly dismissed where plaintiff failed to allege any harm purportedly resulting from an abuse or perversion of the corporate form]).

Finally, we agree with the Appellate Division that plaintiffs’ cause of action for unjust enrichment should be dismissed.

Accordingly, the order of the Appellate Division should be modified, without costs, in accordance with this opinion, and as so modified, affirmed.

READ, J. (dissenting). Plaintiffs seek relief in this plenary action brought pursuant to the Debtor and Creditor Law and common law that, if granted, would annul the decision made by

2. Contrary to the dissent, plaintiffs’ assertions that the allegedly fraudulent transactions rendered MBIA Insurance insolvent and unable to meet payments under the terms of the policies, as pleaded in their complaint, can very well be considered “objectively measurable deviations from specific contract provisions” (dissenting op at 235).

the Superintendent of Insurance on February 17, 2009 to approve the restructuring of MBIA Insurance Corporation (MBIA Insurance) and related subsidiaries and affiliates by unwinding the underlying transactions. Whether or not this lawsuit is called, in the coinage of the First Department, a “collateral attack” on the Superintendent’s approval (81 AD3d 237, 240 [2011]), the fact remains that the Legislature has confined any challenge to the propriety of the restructuring to a CPLR article 78 proceeding. This is so because the Insurance Law has preempted plaintiffs’ statutory and common-law causes of action, which are all grounded in the notion that the restructuring sanctioned by the Superintendent caused MBIA Insurance to be insufficiently capitalized to the detriment of its structured-finance policyholders. Accordingly, I respectfully dissent.

I.

New York law has historically vested the Superintendent with broad authority to regulate the insurance industry (*see* Insurance Law § 201 [“The superintendent shall possess the rights, powers, and duties, in connection with the business of insurance in this state, expressed or reasonably implied by this chapter or any other applicable law of this state”]). As particularly relevant to this lawsuit, he is responsible for making sure that insurance companies possess sufficient reserves to pay all their claims (*see* Insurance Law § 1303), even in the face of “excessive losses occurring during adverse economic cycles” (*see id.* § 6903 [a] [1]).

The regulatory regime in the Insurance Law embraces both advance approval of certain transactions that may affect an insurer’s viability, and post-transaction supervision of the insurer’s financial condition. Further, most significant transactions between insurers in a holding company system (as happened with the restructuring) require the Superintendent’s prior approval that the terms of the transaction are “fair and equitable,” and his consideration of whether the transaction may “adversely affect the interests of policyholders” (*see id.* § 1505 [a] [1]; [e]). Thus, the Superintendent reviews any proposed dividend distribution exceeding certain thresholds to make certain that paying it will leave the insurer with sufficient assets to satisfy all outstanding claims (*see id.* § 4105 [a]). Similarly, he reviews proposed stock redemption plans in advance to ensure that they are “reasonable and equitable” (*see id.* § 1411 [d]).

In addition to his prior approval of insurance transactions, the Superintendent also continually monitors domestic insurers' financial health through periodic examinations (*see id.* §§ 309-310) and reviews of insurers' annually filed financial statements and reports (*see id.* § 307). If as part of his review the Superintendent determines that an insurer lacks sufficient reserves—i.e., if it “is unable to pay its outstanding lawful obligations as they mature in the regular course of business” (*see id.* § 1309 [a])—the Superintendent has the exclusive authority to place the insurer into specialized liquidation or rehabilitation proceedings under article 74 of the Insurance Law (*see id.* § 7402 [a], [e]). Article 74 authorizes him to avoid “[a]ny transfer of . . . the property of an insurer . . . with the intent of giving to any creditor or enabling him to obtain a greater percentage of his debt than any other creditor of the same class” (*see id.* § 7425 [a]).

The Superintendent acted to carry out his responsibilities under the Insurance Law's comprehensive regulatory regime when he approved the dividend payment and stock redemption, and did not disapprove the reinsurance transaction, the individual components of the restructuring proposed by MBIA Insurance. Although the majority notes that the Superintendent “stressed a number of times that his approvals and non-disapproval[] were based on ‘the representations made in the [a]pplication [by MBIA Insurance] and its supporting submissions, and in reliance on the truth of those representations and submissions’ ” (majority op at 219), he equally emphasized that his decisionmaking was informed by “the Department's examination of the MBIA Entities' financial condition prior to” the restructuring, and “the Department's analysis of the MBIA Entities' financial condition after the effectuation of” the restructuring. The approval, a complex 10-page document, also imposed various conditions on MBIA Insurance and/or its related affiliates and subsidiaries. In short, the Superintendent issued the approval only after a multi-month investigation of MBIA Insurance's finances, which encompassed the review of voluminous raw financial data and the running of “super-stressed or break-the-bank” tests by experts within the Department. He was not simply a passive recipient of information from MBIA Insurance, power-

less to verify that company's representations and dependent on its good graces, as the majority implies.¹

"The Legislature may expressly state its intent to preempt, or that intent may be implied from the nature of the subject matter being regulated as well as the scope and purpose of the state legislative scheme . . . A comprehensive and detailed statutory scheme may be evidence of the Legislature's intent to preempt" (*Matter of Cohen v Board of Appeals of Vil. of Saddle Rock*, 100 NY2d 395, 400 [2003] [emphases added] [state law governing review of area variances preempted contrary local law]).

As already noted, the Insurance Law vests broad powers in the Superintendent to regulate New York's insurance industry. More to the point, he is directed to ensure that precisely the kinds of transactions at issue in this case are carried out fairly and equitably, and leave the affected insurers with sufficient assets to satisfy their obligations to policyholders. The particular provisions of the "legislative scheme" relevant here, briefly described earlier, could hardly be more "comprehensive and detailed."

Concomitantly, the Superintendent considered the precise issues disputed by plaintiffs in this lawsuit when he approved the restructuring. In other words, plaintiffs' plenary action not only expressly seeks to undo the restructuring, but does so by contesting the findings underpinning the Superintendent's approval. There is essentially no daylight between the causes of action asserted by plaintiffs and the substance of the Superintendent's review.

For example, just as Debtor and Creditor Law § 274's prohibition on transfers that leave companies with "unreasonably small capital" is intended to keep companies sufficiently capitalized to "sustain operations" (*Moody v Security Pac. Bus. Credit, Inc.*, 971 F2d 1056, 1069, 1070 [3d Cir 1992]), so the Superintendent's supervision of reserves is intended to ensure that insurance companies can continue to operate by maintaining their ability to pay claims (see Insurance Law § 1309 [a]). Similarly, Debtor and Creditor Law § 276's prohibition on transfers that may "hinder [or] delay . . . either present or future" policyholders is essentially equivalent to

1. Of course, if plaintiffs believe that the Superintendent relied on inaccurate or unreliable data, they may pursue this tack in their CPLR article 78 proceeding.

the requirement that the Superintendent must determine that a transaction is “reasonable and equitable” (Insurance Law § 1411 [d]).

And in any event, the critical question is whether “*the thrust* of [plaintiffs’] complaint” goes to matters already determined by an expert agency that has been delegated the primary authority to resolve such issues (*Whitney Nat. Bank in Jefferson Parish v Bank of New Orleans & Trust Co.*, 379 US 411, 417 [1965] [emphasis added]). There need not be exact correspondence. And here, “the thrust” of plaintiffs’ complaint is that the restructuring caused MBIA Insurance to be insufficiently capitalized to the detriment of its structured-finance policyholders. The Superintendent’s approval of the restructuring was premised on his determination that this was not the case. Put another way, plaintiffs assert that the restructuring stripped MBIA Insurance of needed reserves whereas the Superintendent concluded that the restructuring left the insurer in sound financial condition, a prerequisite to his approval.²

The majority seems to suggest that if the Legislature “actually intended the Superintendent to extinguish the historic rights of policyholders to attack fraudulent transactions under the Debtor and Creditor Law or the common law, we would expect to see evidence of such intent within the statute”; and “we would expect that . . . affected policyholders . . . would have notice and an opportunity to be heard before the Superintendent made his determinations” (majority op at 224). As for the first proposition, we have, as already discussed, long held that preemption need not be express where the legislative regime is comprehensive and detailed. Most recently, for example, we held in *People v Grasso* (11 NY3d 64 [2008]) that the Not-For-Profit Corporation Law preempted certain common-law claims pressed by the Attorney General. There was no express language in the statute to this effect. And I am not

2. The majority compares this case to *Richards v Kaskel* (32 NY2d 524, 535 n 5 [1973]); however, in *Richards*, the administrative action—the Attorney General’s acceptance of a sponsor’s cooperative offering plan—“[did] not constitute approval” of the plan by him (see General Business Law § 352-e [4]; *Matter of Charles H. Greenthal & Co. v Lefkowitz*, 32 NY2d 457, 462 [1973] [noting that an offering plan is “filed simply for informational purposes” to enable prospective buyers to decide whether to purchase an interest]). Moreover, the plaintiffs in *Richards* alleged specific oral misrepresentations to tenants apart from the offering plan (see *Richards v Kaskel*, 69 Misc 2d 435, 443 [Sup Ct, NY County 1972]).

aware that we have ever considered the scope of an agency's notice and hearing provisions to be relevant to preemption.

II.

In my view, plaintiffs' common-law causes of action are also preempted because they are simply artfully repackaged versions of the Debtor and Creditor Law claims. In any event, these causes of action are deficient on the merits, as the Appellate Division majority correctly concluded.

The majority reinstates plaintiffs' breach of contract claim, locating the breach within the implied covenant of good faith and fair dealing because "plaintiffs sufficiently allege that MBIA Insurance, by fraudulently transferring billions of dollars in assets to MBIA Inc. for no consideration, violated the covenant by substantially reducing the likelihood that [it] will be able to meet its obligations under the terms of the insurance policies" (majority op at 228-229 [internal quotation marks omitted]). For support, the majority cites *MBIA Ins. Corp. v Countrywide Home Loans, Inc.* (2009 NY Slip Op 31527[U] [Sup Ct, NY County 2009]).

Countrywide underwrote and sold residential mortgage-backed securities and obtained financial guarantee insurance on those securities from MBIA Insurance. To get MBIA Insurance to sign on, Countrywide represented that if there was "a breach of any representation or warranty related to a mortgage loan (a 'Defective Loan'), it would either cure the breach or repurchase or substitute eligible mortgage loans for the Defective Loan" (*id.* at *5). The ultimate insurance between Countrywide and MBIA Insurance, in contrast to this case, "incorporated the representations and warranties . . . and gave MBIA [Insurance] the right to rely on these representations and warranties, to enforce their terms, and to exercise remedies for any breach" (*id.* at *6).

Supreme Court rejected MBIA Insurance's generalized claims that the parties' insurance agreement included an implied promise that Countrywide would tell MBIA Insurance all about different special kinds of risk and use underwriting standards of a certain quality. But the court upheld one narrow aspect of MBIA Insurance's breach of contract claim:

"the claim survives to the limited extent that it asserts that corrective action—such as investigating loans which became over 30-days delinquent—would

have preserved MBIA[Insurance]’s benefits under the bargain, but that Countrywide Home deliberately refused to take such action in order to collect more late payment fees and service charges” (*id.* at *19).

In other words, Countrywide allegedly frustrated *specific objectives in the parties’ contract*.

Here, by contrast, plaintiffs have not alleged any objectively measurable deviations from specific contract provisions. And it is undisputed that, as part of the restructuring, MBIA Illinois agreed to reinsure the \$554 billion in outstanding municipal bonds issued by MBIA Insurance. As plaintiffs themselves explain, the “reinsurance gives policyholders direct claims against both the original insurer (MBIA Insurance) and the reinsurer (MBIA Illinois).” One can hardly say that MBIA Insurance derives no benefit whatsoever from the fact that one of its sister companies is now jointly liable for its entire municipal bond portfolio.

Plaintiffs also allege that the parent company abused MBIA Insurance’s corporate form by shifting assets to cause insolvency and lack of present ability to meet its obligations to policyholders (although the company has, in fact, paid all claims that have become due since the restructuring). To pierce the corporate veil, plaintiff must show that “(1) the owners exercised complete domination of the corporation in respect to the transaction attacked; and (2) . . . such domination was used to commit a fraud or wrong against the plaintiff which resulted in plaintiff’s injury” (*Matter of Morris v New York State Dept. of Taxation & Fin.*, 82 NY2d 135, 141 [1993]). We have held that “[t]hose seeking to pierce a corporate veil . . . bear a heavy burden” (*TNS Holdings v MKI Sec. Corp.*, 92 NY2d 335, 339 [1998]).

In the majority’s view, plaintiffs can apparently show domination of MBIA Insurance by virtue of its status as a wholly-owned subsidiary of MBIA Inc. (majority op at 229); however, “[i]t is a general principle of corporate law deeply ingrained in our economic and legal systems that a parent corporation . . . is not liable for the acts of its subsidiaries” (*United States v Bestfoods*, 524 US 51, 61 [1998]). Further, the majority grounds the requisite abuse of the corporate form on the allegation that MBIA Inc. “caus[ed]” MBIA Insurance to undertake “transactions that now shield” assets from plaintiffs—in other words MBIA Inc. purportedly drained capital from its subsidiary (majority op at 229). As the Second Circuit Court of Appeals has pointed out, though, “no New York authority . . . disregards

corporate form solely because of inadequate capitalization” (*Gartner v Snyder*, 607 F2d 582, 588 [2d Cir 1979]).

III.

The Superintendent approved MBIA Insurance’s restructuring after finding that it was fair and equitable and would leave the affected insurers with sufficient assets to satisfy their obligations to policyholders, including, of course, these plaintiffs, who have persuaded the majority that the courts may nonetheless review the restructuring de novo. Having recently merged the Departments of Insurance and Banking to create a new Department of Financial Services to provide the “responsive, effective, innovative[] state banking and insurance regulation . . . necessary to operate in a global, evolving and competitive market place” (L 2011, ch 62, § 1, enacting Financial Services Law § 101-a), the Legislature may wish to consider if, as a result of today’s decision, further legislation is now necessary to address the new Department’s envisioned role as the arbiter of major financial transactions in these industries. Critically, it does not enhance New York’s reputation as a major financial center for insurers to be put in a position where they survive our State’s daunting regulatory gauntlet and gain approval for a financial transaction under the Insurance Law, yet remain vulnerable to multiple lawsuits brought in state and federal court³ by disaffected policyholders who claim that the same transaction is fraudulent under other state statutes and common law. The regulatory agency would not be a party in these lawsuits and, after today’s decision, there is no reason for such plaintiffs to bring a CPLR article 78 proceeding in addition to their plenary actions.⁴ It surely behooves the Legislature to make clear that

3. MBIA Insurance has also been sued in the United States District Court for the Southern District of New York, and in the Delaware Court of Chancery (see *Aurelius Capital Master, Inc. v MBIA Ins. Corp.*, 695 F Supp 2d 68 [SD NY 2010] [suit by a putative class of structured-finance policyholders]; *Third Ave. Trust v MBIA Ins. Corp.*, 2009 WL 3465985, 2009 Del Ch LEXIS 186 [2009] [suit by noteholders]). The plaintiffs in these two cases press the same state statutory and common-law claims advanced by plaintiffs in this lawsuit. Multiple lawsuits in multiple jurisdictions present the obvious risk of conflicting or at least inconsistent outcomes for different policyholders of the same insurer, further undermining the certainty and stability of the Superintendent’s approval.

4. Plaintiffs here did not commence their CPLR article 78 proceeding until shortly after MBIA Insurance filed its motion to dismiss. In the motion, MBIA

(n. cont’d)

for which the majority discerns inadequate support in current law: the State's comprehensive financial regulatory regime preempts lawsuits under the Debtor and Creditor Law and common law seeking to upset transactions approved or directed by the Superintendent (now, the Superintendent of Financial Services), which may only be challenged in a CPLR article 78 proceeding.

Chief Judge LIPPMAN and Judges SMITH, PIGOTT and JONES concur with Judge CIPARICK; Judge READ dissents in a separate opinion in which Judge GRAFFEO concurs.

Order modified, etc.

Insurance argued that plaintiffs' action was barred as a collateral attack on the Superintendent's approval, which apparently alerted plaintiffs to the advisability of initiating a CPLR article 78 proceeding before the four-month statute of limitations expired. Other policyholders who have sued MBIA Insurance (*see* n 3 at 236) did not commence CPLR article 78 proceedings against the Superintendent.

[952 NE2d 1028, 929 NYS2d 36]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DAVID
LANCE PAULIN, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JESUS
PRATTS, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v JAMES F.
PHILLIPS, Respondent.

Argued June 2, 2011; decided June 28, 2011

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 29, 2010. The Appellate Division affirmed an order of the Supreme Court, Bronx County (John P. Collins, J.), which had denied a motion by defendant pursuant to CPL 440.46 for resentencing.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 10, 2010. The Appellate Division affirmed an order of the Supreme Court, Bronx County (John P. Collins, J.), which had denied a motion by defendant pursuant to CPL 440.46 for resentencing.

APPEAL, in the third above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 15, 2011. The Appellate Division (1) reversed, on the law, an order of the Orange County Court (Robert H. Freehill, J.), which had denied a motion by defendant pursuant to CPL 440.46 for resentencing, and (2) remitted the matter to County Court for further proceedings and a new determination of defendant's motion.

People v Paulin, 74 AD3d 685, reversed.

People v Pratts, 74 AD3d 536, reversed.

People v Phillips, 82 AD3d 1011, appeal dismissed.

HEADNOTES

Crimes — Appeal — Academic and Moot Questions — Resentencing under Drug Law Reform Act

1. A case in which defendant sought to be resentenced under the 2009 Drug Law Reform Act (*see* CPL 440.46) was moot where the maximum term of defendant's sentence had expired.

Crimes — Appeal — Academic and Moot Questions — Resentencing under Drug Law Reform Act

2. A case in which defendant sought to be resentenced under the 2009 Drug Law Reform Act (*see* CPL 440.46) was not moot, notwithstanding that the maximum term of defendant's sentence had expired, where defendant was sentenced in another case involving a later crime while he was still imprisoned on the earlier charge. If defendant were to be resentenced on the earlier charge, that resentencing could affect the time credited toward his later sentence.

Crimes — Appeal — Academic and Moot Questions — Resentencing under Drug Law Reform Act

3. A case in which defendant sought to be resentenced under the 2009 Drug Law Reform Act (*see* CPL 440.46) was not moot where the expiration date of his maximum sentence had not been reached. Although defendant had been released on parole, that release did not defeat the application for resentencing that he made while still in prison.

Crimes — Sentence — Resentencing under Drug Law Reform Act — Parole Violators

4. Prisoners who had been sentenced under the so-called Rockefeller Drug Laws, paroled, and then reincarcerated for violating parole, were not barred from seeking resentencing under the 2009 Drug Law Reform Act (*see* CPL 440.46) because they were in custody for parole violations. Defendants met the requirements of CPL 440.46 (1) which permits a person in the custody of the Department of Correctional Services who has been convicted of a class B controlled substance felony that was committed before January 13, 2005, and is serving indeterminate sentences with a maximum exceeding three years, to apply to be resentenced to a determinate sentence. The exceptions in CPL 440.46 (5), which exclude from the coverage of the 2009 Act anyone serving a sentence or having a predicate felony conviction for a crime designated an "exclusion offense," did not apply to defendants, and nothing in subdivision (5) refers to the parole status of an offender. The purpose of the 2009 Act was to grant relief from what the Legislature perceived as the inordinately harsh punishment for low-level non-violent drug offenders that the Rockefeller Drug Laws required. By the plain text of the statute, its benefits were limited to those "in the custody of the department of correctional services"; those who had been released on parole could not apply. In making that distinction, the Legislature recognized that the burden of "inordinately harsh punishment" fell most heavily on those in prison. Therefore, it was not inherently absurd to grant relief from a harsh sentence to someone who has violated parole.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 596–599, 601, 605; AM JUR 2d, Criminal Law §§ 808, 858, 860; AM JUR 2d, Pardon and Parole § 129.
CARMODY-WAIT 2d, Sentencing Procedures §§ 203:215, 203:216; CARMODY-WAIT 2d, Appeals in Criminal Cases § 207:123.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 26.7.
MCKINNEY's, CPL 440.46 (5).

NY JUR 2d, Criminal Law: Procedure §§ 3008, 3010, 3578–3580.

ANNOTATION REFERENCE

See ALR Index under Drugs and Narcotics; Moot and Abstract Matters; Parole, Probation, and Pardon; Sentence and Punishment.

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POINTS OF COUNSEL

Center for Appellate Litigation, New York City (Mark W. Zeno and Robert S. Dean of counsel), for appellant in the first and second above-entitled actions. The court erroneously found appellant ineligible to apply for 2009 Drug Law Reform Act resentencing on the grounds that he was in Department of Correctional Services (DOCS) custody following a parole violation where the plain language of CPL 440.46 requires only that an offender be in DOCS custody on a class B drug felony, and contains no exclusion relating to an offender's parole status. (*Doctors Council v New York City Employees' Retirement Sys.*, 71 NY2d 669; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86; *Sega v State of New York*, 60 NY2d 183; *Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471; *Johnson v Hudson Riv. R.R. Co.*, 49 NY 455; *People v Smith*, 79 NY2d 309; *People v Graham*, 55 NY2d 144; *Matter of Guido v Goord*, 1 NY3d 345.)

Robert T. Johnson, District Attorney, Bronx (Maureen L. Grosdidier and Joseph N. Ferdenzi of counsel), for respondent in the first above-entitled action. I. Defendant's appeal is moot because his sentence has reached its maximum expiration date. (*Matter of Hearst Corp. v Clyne*, 50 NY2d 707.) II. The Appellate Division correctly held that the Drug Law Reform Act of 2009 was not intended to permit parole violators to be eligible to seek resentencing to a lower prison term whereas those defendants who abided by their parole terms would not be eligible. (*Doctors Council v New York City Employees' Retirement Sys.*, 71 NY2d

669; *United States v Monia*, 317 US 424; *People v Mills*, 11 NY3d 527; *Matter of Petterson v Daystrom Corp.*, 17 NY2d 32; *People v White*, 73 NY2d 468; *People v Utsey*, 7 NY3d 398; *People v Rodriguez*, 68 AD3d 676; *People v Bagby*, 11 Misc 3d 882.)

Lily Goetz, New York City, *Sara Manaugh* and *Paul Keefe*, for New York City Bar Association, amicus curiae in the first and second above-entitled actions. I. Parole violators convicted of class B drug felonies are eligible to seek resentencing under the 2009 Drug Law Reform Act. (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Tompkins v Hunter*, 149 NY 117; *People v Kisina*, 14 NY3d 153; *People v Figueroa*, 27 Misc 3d 751; *People v Rivera*, 26 Misc 3d 1236[A], 2010 NY Slip Op 50425[U]; *People v Avila*, 27 Misc 3d 974; *People v Gonzalez*, 29 AD3d 400, 7 NY3d 867; *People v Bagby*, 11 Misc 3d 882; *People v Brown*, 26 Misc 3d 1204[A], 2010 NY Slip Op 50000[U].) II. The legislature gave judges wide discretion in evaluating the merits of individual resentencing applications. (*People v Jones*, 25 Misc 3d 1238[A], 2009 NY Slip Op 52483[U].)

Robert T. Johnson, District Attorney, Bronx (*Maureen L. Grosdidier*, *Joseph N. Ferdenzi* and *Rafael Curbelo* of counsel), for respondent in the second above-entitled action. I. The Appellate Division correctly held that the Drug Law Reform Act of 2009 was not intended to permit parole violators to be eligible to seek resentencing to a lower prison term whereas those defendants who abided by their parole terms would not be eligible. (*People v Mills*, 11 NY3d 527; *Matter of Petterson v Daystrom Corp.*, 17 NY2d 32; *Doctors Council v New York City Employees' Retirement Sys.*, 71 NY2d 669; *People v White*, 73 NY2d 468; *People v Utsey*, 7 NY3d 398; *People v Rodriguez*, 68 AD3d 676; *People v Bagby*, 11 Misc 3d 882; *People v Buss*, 11 NY3d 553.) II. Defendant's argument regarding mootness is premature since he remains incarcerated. (*Matter of Hearst Corp. v Clyne*, 50 NY2d 707.)

Francis D. Phillips, II, District Attorney, Goshen (*Lauren E. Grasso* and *Andrew R. Kass* of counsel), for appellant in the third above-entitled action.

Mark Diamond, New York City, for respondent in the third above-entitled action.

OPINION OF THE COURT

SMITH, J.

The 2009 Drug Law Reform Act (DLRA) allows certain prisoners sentenced under the so-called Rockefeller Drug Laws to be

resentenced. We hold that prisoners who have been paroled, and then reincarcerated for violating their parole, are not for that reason barred from seeking relief under the statute.

I

David Lance Paulin, Jesus Pratts and James Phillips all committed class B felonies involving narcotics, and were sentenced to indeterminate prison terms under the Rockefeller Drug Laws, which governed sentencing of drug offenders until 2005. Paulin and Pratts received sentences of 2 to 6 years and Phillips 5 to 10 years. All were paroled, violated their parole, and were sent back to prison. After the enactment of the 2009 DLRA, they applied for resentencing.

Supreme Court denied the applications, holding that relief under the statute was not available to reincarcerated parole violators. In *Paulin* and *Pratts*, the Appellate Division agreed with that conclusion, and affirmed (*People v Paulin*, 74 AD3d 685 [1st Dept 2010]; *People v Pratts*, 74 AD3d 536 [1st Dept 2010]). In *Phillips*, the Appellate Division reversed, holding that the 2009 DLRA did not render parole violators “ineligible to apply for resentencing” (*People v Phillips*, 82 AD3d 1011, 1012 [2d Dept 2011]).

[1] In each case, a Judge of this Court granted leave to appeal (15 NY3d 854 [2010]; 15 NY3d 895 [2010]; 16 NY3d 834 [2011]). The *Phillips* case, however, has become moot, because the maximum term of Phillips’s sentence has expired, and the People’s appeal in that case must be dismissed.

[2, 3] The People argue that the *Paulin* and *Pratts* cases are also moot. We disagree. Though Paulin’s maximum sentence for his original drug conviction, like Phillips’s, has now expired, Paulin was sentenced in another case involving a later crime while he was still imprisoned on the earlier charge. If he is resentenced on the earlier charge, that resentencing could affect the time credited toward his later sentence. As for Pratts, the expiration date of his maximum sentence has not been reached. He has again been released on parole, but as we hold in *People v Santiago* (17 NY3d 246 [2011] [decided today]), that release does not defeat the application for resentencing that he made while still in prison.

We therefore retain jurisdiction in *Paulin* and *Pratts*. We reverse in both cases.

II

The 2009 DLRA is codified (in part) at CPL 440.46. It permits people imprisoned for class B drug felonies committed while the Rockefeller Drug Laws were in force to apply to be resentenced under the current, less severe, sentencing regime. At the time of Paulin’s and Pratts’s applications, CPL 440.46 (1) said:

“Any person in the custody of the department of correctional services convicted of a class B felony offense defined in article two hundred twenty of the penal law which was committed prior to January thirteenth, two thousand five, who is serving an indeterminate sentence with a maximum term of more than three years, may, except as provided in subdivision five of this section, upon notice to the appropriate district attorney, apply to be resentenced to a determinate sentence in accordance with sections 60.04 and 70.70 of the penal law in the court which imposed the sentence.”*

[4] Paulin and Pratts fit squarely within the text of the 2009 DLRA. Both were, when they applied for resentencing, in the custody of the Department of Correctional Services; both were convicted of class B felonies defined in Penal Law article 220 (“Controlled Substances Offenses”) that were committed before January 13, 2005; both were serving indeterminate sentences with a maximum exceeding three years; and the exceptions in CPL 440.46 (5) do not apply to them. Section 440.46 (5) excludes from the coverage of the 2009 DLRA anyone serving a sentence, or having a predicate felony conviction, for a crime designated an “exclusion offense”; nothing in subdivision (5) refers to the parole status of an offender.

The People nevertheless argue that the 2009 DLRA must be read as inapplicable to parole violators like Paulin and Pratts. They rely on the rule that a statute’s language need not be “literally or mechanically applied” when to do so “would cause an anachronistic or absurd result” (*Doctors Council v New York City Employees’ Retirement Sys.*, 71 NY2d 669, 675 [1988]). The People point out that (at least until the 2011 amendment mentioned in the footnote above) Paulin and Pratts could not

* A recent amendment changed the words “department of correctional services” to “department of corrections and community supervision” (L 2011, ch 62). The change is of no consequence in these cases. We need not decide its effect, if any, on other situations.

have applied for relief under the 2009 DLRA while they remained free on parole. To permit them to apply after they were reincarcerated would, the People say, have the absurd result of rewarding them for their parole violations.

We see no absurdity. The purpose of the 2009 DLRA, like that of its predecessors, the 2004 and 2005 DLRA (L 2004, ch 738; L 2005, ch 643), was to grant relief from what the Legislature perceived as the “inordinately harsh punishment for low level non-violent drug offenders” that the Rockefeller Drug Laws required (Assembly Sponsor’s Mem, Bill Jacket, L 2004, ch 738, at 6; *see also* Press Release, *Governor Paterson and Legislative Leaders Announce Three-Way Agreement to Reform New York State’s Rockefeller Drug Laws*, Mar. 27, 2009, available at http://www.governor.ny.gov/archive/paterson/press/press_0327091.html [accessed June 17, 2011]; NY State Senator Malcolm A. Smith, *Senate, Governor and Assembly Announce Three-Way Agreement to Reform Rockefeller Drug Laws*, Mar. 27, 2009, available at <http://www.nysenate.gov/news/senate-governor-and-assembly-announce-three-way-agreement-reform-rockefeller-drug-laws> [accessed June 17, 2011]). By the plain text of the statute, its benefits were limited to those “in the custody of the department of correctional services”; those who had been released on parole could not apply. The Legislature, in making this distinction, obviously did not mean to reward those who had been found not to merit parole. Rather, the Legislature recognized that the burden of “inordinately harsh punishment” falls most heavily on those who are in prison. That rationale is applicable to parole violators, as it is to other imprisoned offenders. It is not inherently absurd to grant relief from a harsh sentence to someone who has violated parole.

It may be, of course, that many parole violators have shown by their conduct that they do not deserve relief from their sentences. But if that is the case, courts can deny their resentencing applications. A provision of the 2004 DLRA, incorporated by reference into the 2009 DLRA (CPL 440.46 [3]), says that a resentencing application need not be granted if “substantial justice dictates that the application should be denied” (L 2004, ch 738, § 23). There is no need to read into the 2009 DLRA a nontextual exception for parole violators.

The People rely on our decision in *People v Mills* (11 NY3d 527 [2008]), but they read *Mills* too broadly. In that case, we interpreted a provision of the 2005 DLRA that has no counterpart in the 2009 act. The 2005 DLRA, applicable to drug offenders in prison for class A-II felonies, says that such an offender

“who is more than twelve months from being an eligible inmate as that term is defined in subdivision 2 of section 851 of the correction law” may apply for resentencing (L 2004, ch 643, § 1). Reading the 2005 statute with the Correction Law definition, we held in *Mills* “that in order to qualify for resentencing under the 2005 DLRA, class A-II felony drug offenders must not be eligible for parole within three years of their resentencing applications” (11 NY3d at 534). This holding is irrelevant to the present case.

The language in *Mills* on which the People now rely was part of our discussion of an argument made by the defendant in *People v Then* (11 NY3d 527 [2008]), decided with *Mills*. That defendant had been convicted of a class A-II drug felony, had been released on parole, had committed a new crime and had been convicted of that crime. As a result, at the time of his resentencing application, Then was back in prison and was more than three years away from parole eligibility on his later conviction. We held that the later conviction should be ignored for purposes of deciding whether Then was entitled to the benefit of the 2005 DLRA: “in order to be eligible for resentencing, an inmate must be more than three years from parole eligibility for the *same* class A-II drug felony for which resentencing is sought” (*id.* at 537). In explaining why we so interpreted the 2005 statute, we mentioned that it would be “illogical, if not perverse” to put Then in a better position because of his new crime than inmates who had not broken the law (*id.*). But we did not suggest that that or any other argument justified what the People ask us to do here: to write into a statute an exception that simply is not there.

Accordingly, the orders of the Appellate Division in *People v Paulin* and *People v Pratts* should be reversed and the cases remitted to Supreme Court for further proceedings in accordance with this opinion. In *People v Phillips*, the appeal should be dismissed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

In *People v Paulin* and *People v Pratts*: Order reversed, etc.

In *People v Phillips*: On review of submissions pursuant to section 500.11 of the Rules of the Court of Appeals (22 NYCRR 500.11), appeal dismissed.

[952 NE2d 481, 928 NYS2d 665]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v NYDIA SANTIAGO, Appellant.

Argued June 2, 2011; decided June 28, 2011

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 5, 2010. The Appellate Division affirmed an order of the Supreme Court, Bronx County (John P. Collins, J.), which had denied defendant's motion for resentencing pursuant to CPL 440.46 on the ground of ineligibility.

People v Santiago, 77 AD3d 407, reversed.

HEADNOTE

Crimes — Sentence — Drug Law Reform Act of 2009

Defendant, who was in prison for a 2003 drug transaction at the time she filed an application for resentencing under the 2009 Drug Law Reform Act (DLRA) but was paroled before the application was decided, was not barred from obtaining resentencing after her release. The 2009 DLRA states only that an offender must be in custody when he or she applies for resentencing; it does not require that custody continue until the application is decided (*see* CPL 440.46 [1]). Here, defendant was entitled to apply for resentencing when she filed her application because she was still in custody at the time.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law § 860.

CARMODY-WAIT 2d, Sentencing Procedures §§ 203:215, 203:216.

LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 26.7.

MCKINNEY'S, CPL 440.46 (1).

NY JUR 2d, Criminal Law: Procedure §§ 3008, 3010.

ANNOTATION REFERENCE

See ALR Index under Drugs and Narcotics; Parole, Probation, and Pardon; Sentence and Punishment.

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POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Barbara Zolot* and *Robert S. Dean* of counsel), for appellant. Where the plain language of CPL 440.46 permits “any person” in Department of Correctional Services custody to apply for resentencing and excludes from resentencing only individuals having “exclusion offense[s],” and where resentencing otherwise eligible individuals after their release to parole serves the legislative intent behind this ameliorative statute, the court erroneously denied appellant’s application on the ground that she was released to parole after filing her application. (*People v Orta*, 73 AD3d 452, 15 NY3d 755; *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Patrolmen’s Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471; *Johnson v Hudson Riv. R.R. Co.*, 49 NY 455; *People v Smith*, 79 NY2d 309; *People v Boothe*, 16 NY3d 195; *Doctors Council v New York City Employees’ Retirement Sys.*, 71 NY2d 669; *People ex rel. Joseph II. v Superintendent of Southport Correctional Facility*, 15 NY3d 126.)

Robert T. Johnson, District Attorney, Bronx (*Marc A. Sherman*, *Joseph N. Ferdenzi* and *Rafael Curbelo* of counsel), for respondent. The Appellate Division correctly held that defendant was ineligible for resentencing under the Drug Law Reform Act of 2009 because she had been released on parole and was no longer in custody. (*People v Broadie*, 37 NY2d 100; *People v Orta*, 73 AD3d 452; *People v Danton*, 27 Misc 3d 638; *People v Neely*, 27 Misc 3d 1224[A], 2010 NY Slip Op 50875[U]; *Carney v Philippone*, 1 NY3d 333.)

OPINION OF THE COURT

SMITH, J.

At least until a recent amendment, the 2009 Drug Law Reform Act (DLRA) allowed only incarcerated offenders, not offenders free on parole, to apply for resentencing (see *People v Paulin*, 17 NY3d 238 [2011] [decided today]). We hold in this case that a prisoner who applied before being paroled is not barred from obtaining resentencing after her release.

Defendant was sentenced to 4½ to 9 years in prison for a 2003 drug transaction. On November 25, 2009, she filed an application for resentencing under the 2009 DLRA. On December

3, 2009, before the application had been ruled on, she was released on parole. Supreme Court later denied her application, and the Appellate Division affirmed, saying that because defendant “is not in custody, she is not presently eligible for resentencing” (*People v Santiago*, 77 AD3d 407 [1st Dept 2010]). A Judge of this Court granted leave to appeal, and we now reverse.

This case, like *Paulin*, is controlled by CPL 440.46 (1) (codifying, in part, the 2009 DLRA), which as originally enacted said, in relevant part:

“Any person in the custody of the department of correctional services convicted of a class B felony offense defined in article two hundred twenty of the penal law which was committed prior to January thirteenth, two thousand five, who is serving an indeterminate sentence with a maximum term of more than three years, may . . . apply to be resentenced”*

It is undisputed that defendant was entitled to “apply” for resentencing when she filed her application, because at that time she was still in custody. The People argue, however, that the statute was not intended to benefit those who have already been released when their applications are decided. The argument is not an unreasonable one. As we point out in *Paulin*, the apparent reason why the Legislature limited the statute’s benefit to incarcerated offenders is that they suffer the greatest hardship from severe sentences (*see* 17 NY3d at 244). It is also true, as the People point out, that another avenue of relief is open to parolees. Executive Law § 259-j authorizes the Division of Parole to grant termination of sentence under certain circumstances; subdivisions (3) and (3-a) of that section specifically permit, and in some cases require, the termination of sentences of paroled felony drug offenders.

On the other hand, the 2009 DLRA says only that an offender must be in custody when he or she applies for resentencing; it does not require that custody continue until the application is decided. And to read that requirement into the statute would have significant disadvantages: it could produce gamesmanship,

* Here, as in *Paulin*, we need not decide whether a 2011 amendment changing “department of correctional services” to “department of corrections and community supervision” altered the scope of the 2009 DLRA (*see* L 2011, ch 62, part C, subpart B, § 79).

and unnecessarily arbitrary results, by leading the parties, and perhaps some judges, to try to accelerate or slow progress toward a decision in the expectation that parole release will cause the application to fail. We conclude that it is best to read the statute as it is written. We hold that it applies to an offender who was in prison at the time she made her application, even though she was paroled before the application was decided.

Accordingly, the order of the Appellate Division should be reversed and the case remitted to Supreme Court for further proceedings consistent with this opinion.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order reversed, etc.

[952 NE2d 482, 928 NYS2d 666]

NML CAPITAL, Respondent-Appellant, and MONTREUX PARTNERS
et al., Respondents, v REPUBLIC OF ARGENTINA, Appellant-
Respondent.

Argued June 1, 2011; decided June 30, 2011

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “(a) Is a bond provision requiring the issuer of the bond to make, on dates certain, bi-annual interest payments on principal ‘until the principal hereof is paid’ properly construed as an obligation to pay interest for so long as the principal is outstanding, including after the date of maturity? (b) Is a bond provision requiring the issuer of the bond to make, on dates certain, bi-annual interest payments on principal ‘until the principal hereof is paid’ properly construed as an obligation to pay interest for so long as the principal is outstanding, including after acceleration? (c) If either of the foregoing questions is answered in the affirmative, does that obligation provide a valid basis for awarding statutory interest under N.Y. C.P.L.R. § 5001(a) on post-maturity or post-acceleration interest payments that came due but were never paid?”

HEADNOTES

Bills, Notes and Checks — Interest — Contractual Obligation to Make Post-Maturity Interest Payments

1. Under the terms of the bond documents which governed a series of floating rate accrual notes (FRANs) issued by the nation of Argentina and directed that the FRANs be interpreted according to New York law, Argentina’s obligation to make biannual interest payments to plaintiff bondholders on unpaid principal at the contract’s floating interest rate continued after maturity of the indebtedness. Both the structure and plain language of the repayment clause contained in the FRANs certificate contemplated that the bondholders were entitled to the biannual interest payments at the contract’s rate until the principal was actually repaid in full. The repayment clause referenced the duty to repay principal on the identified maturity date, and then imposed a separate obligation to make interest payments every six months “in arrears” on specified dates, commencing on a date certain and continuing “until the principal hereof is paid or made available for payment.” Nothing in the language of the clause suggested that breach of the first obligation was

intended to relieve the issuer of the duty to fulfill the second. Had Argentina, as the drafter of the bond documents, intended that its responsibility to pay interest twice a year cease upon maturity, it could easily have restructured the language of the repayment clause. The interpretation of the repayment clause as requiring the biannual interest payments to continue beyond the maturity date was consistent with New York's well-established construction of comparable "until the principal is paid" language in controversies involving the calculation of prejudgment interest on principal.

Bills, Notes and Checks — Interest — Contractual Obligation to Make Post-Acceleration Interest Payments

2. Under the terms of the bond documents which governed a series of floating rate accrual notes (FRANs) issued by the nation of Argentina and directed that the FRANs be interpreted according to New York law, Argentina's obligation to make biannual interest payments to plaintiff bondholders on unpaid principal at the contract's floating interest rate continued after acceleration of the indebtedness. The parties to a loan agreement are free to include provisions directing what will happen in the event of default or acceleration of a debt, and, in New York, the consequences of acceleration depend on the language chosen by the parties in the pertinent loan agreement. Here, the repayment clause in the FRANs certificate unqualifiedly stated that the biannual interest payments were to be made until the principal was paid. The repayment clause referenced the duty to repay principal on the identified maturity date, and then imposed a separate obligation to make interest payments every six months "in arrears" on specified dates, commencing on a date certain and continuing "until the principal hereof is paid or made available for payment." Nothing in the bond documents indicated that the biannual interest payments were to stop in the event of acceleration, even if the principal was not repaid at that time. The interest-only payments here did not involve "unearned" interest as that term has been used by New York courts since the principal had not been repaid and the biannual interest payments reflected interest that had already been earned.

Interest — Prejudgment Interest — Unpaid Interest under Bonds

3. Plaintiffs, holders of floating rate accrual notes (FRANs) issued by the nation of Argentina, whose entitlement under the terms of the bond documents to biannual interest payments on unpaid principal continued after the FRANs matured either on the expected maturity date or through acceleration of the debt, were entitled to CPLR 5001 prejudgment interest on unpaid post-maturity or post-acceleration interest payments. The function of prejudgment interest is to compensate the creditor for the loss of use of money the creditor was owed during a particular period of time. Here, the biannual interest payments, which Argentina was required to pay plaintiff bondholders "until the principal hereof is paid or made available for payment," were designed to reimburse the bondholders for the loss of use of the principal during the relevant six-month time interval. The imposition of CPLR 5001 interest on the unpaid interest payments would not permit the bondholders to recover interest twice on the same principal but would compensate plaintiffs for the loss of use of the periodic interest payments, a separate injury.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Interest and Usury §§ 38, 39, 51, 52; AM JUR
2d, Public Securities and Obligations §§ 11, 346–348.

CARMODY-WAIT 2d, Judgments §§ 63:68, 63:97.

McKINNEY's, CPLR 5001.

NY JUR 2d, Interest and Usury §§ 2, 23, 27, 47, 48; NY JUR 2d, Public Securities §§ 21, 172, 180, 185.

ANNOTATION REFERENCE

See ALR Index under Government Bonds or Securities; Interest on Money.

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POINTS OF COUNSEL

Cleary Gottlieb Steen & Hamilton LLP, New York City (*Car-mine D. Boccuzzi, Jonathan I. Blackman* and *Christopher P. Moore* of counsel), for appellant-respondent. Post-maturity or post-acceleration, plaintiffs are entitled to prejudgment interest on principal at the contract rate, not interest at the statutory rate in addition to the contract rate. (*Pryor v City of Buffalo*, 197 NY 123; *Jamaica Sav. Bank v Giacomantonio*, 59 Misc 2d 704; *Taylor v Wing*, 84 NY 471; *Astoria Fed. Sav. & Loan Assn. v Rambalakos*, 49 AD2d 715; *Stull v Feld*, 34 AD2d 655; *Schwall v Bergstol*, 97 AD2d 540; *Valloni v Crisona*, 170 AD2d 596; *Citi-bank, N. A. v Liebowitz*, 110 AD2d 615; *European Am. Bank v Peddlers Pond Holding Corp.*, 185 AD2d 805; *City Real Estate Co. v MacFarland*, 67 Misc 286.)

Dechert LLP, New York City (*Robert A. Cohen* and *Dennis H. Hranitzky* of counsel), for respondent-appellant. I. The Republic of Argentina was contractually required to make semiannual payments of contract interest on the unpaid principal of NML Capital's (NML) accelerated floating rate accrual notes (FRANs) until the date of NML's judgment. (*Clients' Sec. Fund of State of N.Y. v Grandeau*, 129 AD2d 383, 72 NY2d 62; *Matter of Hickey*, 7 AD2d 932; *Matter of People v Applied Card Sys., Inc.*, 11 NY3d 105; *Judd v O'Brien & Waddle*, 21 NY 186; *Connors v Hartford Fire Ins. Co.*, 138 AD2d 877; *Matter of Podiatry Socy. of State of N.Y. v Regents of Univ. of State of N.Y.*, 78 Misc 2d 731; *A.J. Temple Marble & Tile v Union Carbide Marble Care*, 87 NY2d 574; 91 E. B'way Corp. v Pippo Toy Co., Inc., 185 Misc 779; *Capital Ventures Intl. v Republic of Argentina*, 552 F3d 289; *Empire Trust Co. v Equitable Off. Bldg. Corp.*, 167 F2d 346.) II. Under *Spodek v Park Prop. Dev. Assoc.* (96 NY2d 577 [2001])

the Republic of Argentina must pay statutory interest on all overdue amounts of contract interest, including semiannually due amounts of contract interest that became payable after maturity. (*NYCTL 1998-2 Trust v Wagner*, 61 AD3d 728; *Bank of Am., N.A. v Solow*, 19 Misc 3d 1123[A], 2008 NY Slip Op 50830[U], 59 AD3d 304.) III. This Court should not follow *Capital Ventures Intl. v Republic of Argentina* (552 F3d 289 [2d Cir 2009]). (*Valloni v Crisona*, 170 AD2d 596; *Matter of Khatibi v Weill*, 8 AD3d 485; *Long v State of New York*, 7 NY3d 269; *Aardwoolf Corp. v Nelson Capital Corp.*, 861 F2d 46; *Citibank, N. A. v Liebowitz*, 110 AD2d 615; *Bostwick-Westbury Corp. v Commercial Trading Co.*, 94 Misc 2d 401; *Gizzi v Hall*, 309 AD2d 1140; *Berman v Schwartz*, 59 Misc 2d 184, 33 AD2d 673; *Franklin Natl. Bank of Long Is. v Capobianco*, 51 Misc 2d 30; *Northwestern Mut. Life Ins. Co. v Uniondale Realty Assoc.*, 11 Misc 3d 980.) IV. Other provisions in the bond documents support NML Capital's reading.

Paul, Weiss, Rifkind, Wharton & Garrison LLP, New York City (*Walter Rieman* of counsel), and *Goodwin Proctor LLP*, Boston, Massachusetts (*Stephen D. Poss* and *Robert D. Carroll* of counsel), for respondents. I. Because the Republic of Argentina has never paid the principal amounts due at maturity, Argentina was contractually required to continue making payments of contract interest every six months until the dates of the judgments. (*Paramount Communications v Horsehead Indus.*, 231 AD2d 40; *Matter of Budd v Valentine*, 283 NY 508; *Abiele Contr. v New York City School Constr. Auth.*, 91 NY2d 1; *Uribe v Merchants Bank of N.Y.*, 91 NY2d 336; *Ace Wire & Cable Co. v Aetna Cas. & Sur. Co.*, 60 NY2d 390; *Matter of Union Indem. Ins. Co. of N.Y.*, 92 NY2d 107; *Empire Trust Co. v Equitable Off. Bldg. Corp.*, 167 F2d 346; *O'Brien v Young*, 95 NY 428; *European Am. Bank v Peddlers Pond Holding Corp.*, 185 AD2d 805; *Valloni v Crisona*, 170 AD2d 596.) II. Under *Spodek v Park Prop. Dev. Assoc.* (96 NY2d 577 [2001]), the Republic of Argentina must pay statutory interest on all overdue amounts of contract interest, including semiannually due amounts of contract interest that became payable after maturity. (*Empire Trust Co. v Equitable Off. Bldg. Corp.*, 167 F2d 346; *Prager v New Jersey Fid. & Plate Glass Ins. Co. of Newark, N.J.*, 245 NY 1; *Love v State of New York*, 78 NY2d 540.) III. NML Capital should not be penalized for exercising its contractual right to accelerate. (*Aardwoolf Corp. v Nelson Capital Corp.*, 861 F2d 46; *Atlas Fin. Corp. v Ezrine*, 42 AD2d 256; *Bostwick-Westbury*

Corp. v Commercial Trading Co., 94 Misc 2d 401; *Matter of LHD Realty Corp.*, 726 F2d 327.) IV. Other provisions in the bond documents support the floating rate accrual notes' (FRANs) holders' reading. (*Gizzi v Hall*, 309 AD2d 1140.) V. The Republic of Argentina misinterprets the applicable law and the underlying documents and events. (*O'Brien v Young*, 95 NY 428; *Spodek v Park Prop. Dev. Assoc.*, 96 NY2d 577; *Rachlin & Co. v Tra-Mar, Inc.*, 33 AD2d 370; *EM Ltd. v Republic of Argentina*, 720 F Supp 2d 273; *Allied Bank Intl. v Banco Credito Agricola de Cartago*, 757 F2d 516; *Pravin Banker Assoc., Ltd. v Banco Popular del Peru*, 895 F Supp 660, 109 F3d 850; *National Union Fire Ins. Co. of Pittsburgh, Pa. v People's Republic of the Congo*, 729 F Supp 936; *A.I. Credit Corp. v Government of Jamaica*, 666 F Supp 629; *Travelers Ins. Co. v Brass Goods Mfg. Co.*, 239 NY 273; *Sprint Communications Co. v APCC Services, Inc.*, 554 US 269.)

OPINION OF THE COURT

GRAFFEO, J.

In this case the United States Court of Appeals for the Second Circuit has certified questions that require us to interpret the terms of bonds issued by the nation of Argentina. We are asked to determine whether Argentina's obligation to make biannual interest-only payments to bondholders continued after maturity or acceleration of the indebtedness and, if so, whether the bondholders were entitled to CPLR 5001 prejudgment interest on payments that were not made as a consequence of the nation's default.

In 1998, Argentina issued a series of floating rate accrual notes (FRANs) that were scheduled to mature in April 2005 when the principal was due to be repaid in full to bondholders. The FRANs were governed by a series of bond documents (a Fiscal Agency Agreement, Prospectus, Prospectus Supplement and Floating Rate Accrual Notes Certificate) directing that they were to be interpreted according to New York law. As the issuer, Argentina assumed the obligation to pay the bondholders interest-only payments twice a year, on April 10 and October 10, "until the principal hereof is paid or made available for payment," at a floating interest rate calculated and published by a determination agent pursuant to a complex formula. The formula was structured in such a manner that, for each six-month period, the interest rate would rise or fall depending on Argentina's financial health as measured by certain market

indicators.¹ Acceleration clauses were also included in the bond documents, permitting bondholders to accelerate the due date of the principal in the event of a default by the issuer.

From the date it issued the bonds until October 2001, Argentina fulfilled its obligations under the FRANs by making the interest-only payments twice a year as required. Given Argentina's relatively stable economy during that period, the floating interest rate (published by Morgan Stanley, the determination agent retained by Argentina) related to the biannual payments fluctuated between 9% and 14.4% per annum. However, after a severe financial crisis in late 2001, Argentina announced that it would no longer service its approximately \$80 billion in external debt, including the FRANs at issue in this case. As a consequence of that pronouncement, the floating interest rate rose meteorically, reaching approximately 101% per annum (50.526% per biannual period) in April 2005, the last date such a calculation was made by Morgan Stanley, whose contract expired at that time. Since December 2001, Argentina has not made any of the biannual interest payments nor has it repaid any of the principal owed to the bondholders that brought this litigation. Argentina's failure to make interest-only payments and its 2001 declaration of a moratorium on servicing foreign debt were both "events of default" under the terms of the bond documents.

Plaintiffs are companies that acquired the FRANs at different points in time, some before Argentina's financial collapse and some after. In total, plaintiffs acquired FRANs representing approximately \$290 million in unpaid principal, with the lead plaintiff in this litigation—NML Capital—holding bonds valued at \$102 million. In February 2005, NML Capital accelerated about \$32 million of that debt. The principal relating to the remaining FRANs became due on the April 2005 maturity date.

Plaintiffs commenced numerous separate actions against Argentina in the United States District Court, Southern District of New York, seeking damages for the nation's default on the bonds, and the claims were subsequently consolidated. Argentina did not dispute that it breached its obligations under the FRANs and was required to repay the principal indebtedness. But after plaintiffs were granted summary judgment on liability,

1. If the nation's financial condition was poor and the market perceived the FRANs as a high-risk debt, the interest rate would rise. Conversely, if Argentina's prospects improved and the FRANs were viewed as a lower-risk debt, the interest rate would decline.

a controversy arose concerning the appropriate calculation of damages.

In particular, Argentina raised several arguments affecting plaintiffs' entitlement to prejudgment interest. First, the nation maintained that it should not be required to pay prejudgment interest at the contract rate—the floating interest rate calculated biannually based on the complex formula in the bond documents. Because the interest rate rose to extraordinary levels, Argentina asserted that the rate was unconscionable, usurious and amounted to a liquidated damages clause that imposed an unenforceable penalty. The District Court rejected these arguments, finding that the floating interest rate provision was enforceable (2009 WL 721736, 2009 US Dist LEXIS 21530). The Second Circuit affirmed this aspect of the District Court's analysis on the merits, without certifying any questions regarding those issues to this Court.

Argentina's second contention involved prejudgment interest on the biannual interest-only payments. The nation acknowledged that, in addition to prejudgment interest on unpaid principal, it was required to pay 9% statutory prejudgment interest pursuant to CPLR 5001 on the interest payments it failed to render between the date of its default and the date the FRANs matured or were accelerated. However, Argentina disputed that it had any obligation to continue biannual interest payments after the FRANs matured or were accelerated and further contended that 9% statutory interest should not be imposed on such payments because this constituted the impermissible collection of "interest on interest" under New York law.

Plaintiffs countered that Argentina had a duty under the plain language of the bond documents to continue the biannual interest payments post-maturity or post-acceleration of the debt until the principal was paid in full. Because the nation failed to make such payments (in fact, it ceased making interest payments in December 2001), plaintiffs maintained that they were entitled to collect the unpaid interest-only payments as damages, plus 9% statutory interest on those payments from the date they were due until the date of entry of a judgment.

The District Court partially credited each of the parties' arguments. Based on the language in the bond documents, the court agreed with the bondholders that Argentina was obligated to pay interest-only payments after the bonds matured until the

principal was paid and, therefore, the bondholders were entitled to 9% statutory interest on the unpaid post-maturity interest-only payments. But, with respect to the subset of bonds that were accelerated, the court sided with Argentina. Relying on *Capital Ventures Intl. v Republic of Argentina* (552 F3d 289 [2d Cir 2009], *cert denied* 558 US —, 130 S Ct 202 [2009]), the District Court held that the nation's liability for biannual interest payments ceased on the date of acceleration and, therefore, the 9% statutory interest was not owed post-acceleration (2009 WL 721736, 2009 US Dist LEXIS 21530).

Argentina and NML Capital cross-appealed to the Second Circuit. After affirming the District Court's determination that the floating interest rate provision in the bond documents was enforceable, the Second Circuit concluded that the remaining issues concerning the biannual interest payments and the calculation of prejudgment interest raised unresolved issues of New York law. Accordingly, the Second Circuit certified the following three questions for our review:

“[1] Is a bond provision requiring the issuer of the bond to make, on dates certain, bi-annual interest payments on principal ‘until the principal hereof is paid’ properly construed as an obligation to pay interest for so long as the principal is outstanding, including after the date of maturity?”

“[2] Is a bond provision requiring the issuer of the bond to make, on dates certain, bi-annual interest payments on principal ‘until the principal hereof is paid’ properly construed as an obligation to pay interest for so long as the principal is outstanding, including after acceleration?”

“[3] If either of the foregoing questions is answered in the affirmative, does that obligation provide a valid basis for awarding statutory interest under N.Y. C.P.L.R. § 5001 (a) on post-maturity or post-acceleration interest payments that came due but were never paid?” (621 F3d 230, 244 [2010].)

We accepted the certification (15 NY3d 859 [2010]).

I.

Since this appeal primarily involves a dispute concerning the calculation of prejudgment interest, we begin with some general principles of New York law pertaining to that topic. Under CPLR

5001, interest on a sum awarded as a result of a breach of contract is computed from the earliest date that the claim accrued, “except that interest upon damages incurred thereafter shall be computed from the date incurred” (CPLR 5001 [a], [b]). Thus, CPLR 5001 permits a party that prevailed in a breach of contract action to obtain prejudgment interest (postjudgment interest is addressed in CPLR 5003). And where a contract provides for periodic payments or installments, the defaulting party is required to pay prejudgment interest on any missed payment from the date the payment became due (*see Spodek v Park Prop. Dev. Assoc.*, 96 NY2d 577 [2001]).

When a claim is predicated on a breach of contract, the applicable rate of prejudgment interest varies depending on the nature and terms of the contract. Most agreements associated with indebtedness provide a “contract rate” of interest that determines the value of the loan and that rate is used to calculate interest on principal prior to loan maturity or a default in performance. If the parties failed to include a provision in the contract addressing the interest rate that governs after principal is due or in the event of a breach, New York’s statutory rate will be applied as the default rate (*see Isaias v Fischhoff*, 39 AD2d 850 [1st Dept 1972], *affd* 33 NY2d 941 [1974]). CPLR 5004 sets forth a statutory rate of 9% per annum. For example, in *Chipetine v McEvoy* (238 AD2d 536, 537 [2d Dept 1997]), where a debtor “executed a promissory note for the principal sum of \$1,000,000, with interest at 12% per annum, payable to the plaintiff,” interest on the unpaid principal was calculated at the contract rate—12%—until the debtor defaulted on the note and, thereafter, was calculated at the statutory rate of 9%.

As an important corollary, New York courts have long held that when an agreement involving an indebtedness “provides that the interest shall be at a specified rate *until the principal shall be paid*, then the contract rate governs until payment of the principal, or until the contract is merged in a judgment” (*O’Brien v Young*, 95 NY 428, 430 [1884] [emphasis added]; *see e.g. Stull v Feld*, 34 AD2d 655 [2d Dept 1970]; *see generally NYCTL 1998-2 Trust v Wagner*, 61 AD3d 728 [2d Dept 2009]). Said another way, when the principal on a loan is due on a date certain and the debtor fails to make payment, the interest rate in the contract will be used to calculate interest on unpaid principal from the date of maturity of the loan to the entry of judgment (*see e.g. Astoria Fed. Sav. & Loan Assn. v Rambalakos*, 49 AD2d 715 [2d Dept 1975]). Thus, inclusion of a clause

directing that interest accrues at a particular rate “until the principal is paid” (or words to that effect)² alters the general rule that interest on principal is calculated pursuant to New York’s statutory interest rate after the loan matures or the debtor defaults.

If the current dispute involved the proper rate to be applied when calculating interest on the principal loaned to Argentina, this well-established precedent would readily settle the issue. The bond documents required that Argentina pay interest at the complex floating rate “until the principal hereof is paid or made available for payment,” triggering the requirement that interest on principal be assessed at the contract rate until the principal was repaid (which has not occurred) or the contract merged in the judgment. Indeed, it is undisputed that Argentina must pay interest on principal at the contract rate post-maturity and post-acceleration of the debt, which is a sum equivalent to the total of any unpaid biannual interest payments.³ But the controversy here is not over the proper prejudgment interest rate to apply to *principal*; rather, the issue is whether the biannual interest payments continued to be due after maturity or acceleration of the debt and, if so, whether the bondholders are entitled to collect prejudgment interest on the *interest-only payments* that were due prior to judgment but were not made. We therefore turn to the questions framed by the Second Circuit.

II.

[1] To answer the first inquiry we must interpret the language in the bond documents to determine whether Argentina’s duty to remit interest biannually on unpaid FRANs principal continued after the bonds matured in April 2005. As we have repeatedly stated, “when parties set down their agreement in a clear, complete document, their writing should be enforced according to its terms” (*Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470, 475 [2004] [ellipsis and citation omitted]). It is the role of the courts to enforce the

2. Parties can accomplish the same result without including the phrase “until the principal is paid” (see e.g. *Citibank, N. A. v Liebowitz*, 110 AD2d 615 [2d Dept 1985] [where mortgage granted creditor the right to demand payment of the entire amount owed, “with interest up to the day (the creditor) receive(s) payment” (*id.* at 616 [emphasis omitted]), this amounted to an agreement that the contract rate of interest would continue to apply after a default]).

3. As the District Court noted, on the bond maturity date, the biannual interest rate was 50.526%, the equivalent of an annual rate of 101.052%.

agreement made by the parties—not to add, excise or distort the meaning of the terms they chose to include, thereby creating a new contract under the guise of construction (*Reiss v Financial Performance Corp.*, 97 NY2d 195, 199 [2001]). Adherence to these principles is particularly appropriate in a case like this involving interpretation of documents drafted by sophisticated, counseled parties and involving the loan of substantial sums of money.

The FRANs certificate contains a repayment clause in which Argentina promised to pay Cede & Co. (an intermediary that was to pass funds on to the beneficial owners of the bonds) the principal owed on the bonds

“on April 10, 2005 upon presentation and surrender of this Security, and to pay interest thereon . . . every six months in arrears on April 10 and October 10 in each year, commencing October 10, 1998 (each an ‘Interest Payment Date’), at the rate set forth below, until the principal hereof is paid or made available for payment.”

The “rate set forth below” refers to the floating interest rate formula applied biannually by the determination agent.

The parties agree that this provision required Argentina to make biannual interest-only payments from the commencement date until the date of maturity of the bonds. Argentina maintains, however, that its obligation to make these periodic payments ended when the debt matured. Based on the plain language of this provision, plaintiffs assert that the only event that would terminate the duty to remit interest payments would be repayment of principal, which did not occur.

Plaintiffs’ interpretation best comports with the plain language of the contract. After identifying the date that the bonds would mature and that repayment of principal was required, the provision imposes an obligation to make interest payments every six months “in arrears” on specified dates, commencing on a date certain (October 10, 1998) and continuing at the contract’s floating interest rate “until the principal hereof is paid or made available for payment.” By its terms, the contract contemplates that the bondholders are entitled to biannual interest payments until the principal is actually repaid in full—and not merely until the bond maturity date as Argentina suggests.

Had Argentina—the drafter of the bond documents—intended that its responsibility to pay interest twice a year cease upon

maturity, it could easily have clarified that intent in any number of ways. It could have stated that payments would continue from October 10, 1998 to April 10, 2005 (the specific maturity date identified earlier in the clause). Similarly, it could have restructured the clause by first referencing the payment obligation and then stating that the obligation continued “until” the maturity date. Or it could have directed that interest payments were to be made until the principal was due, thereby referring back to the loan maturity date.

Instead, both the structure and language of the provision point to a contrary intent. The clause begins by referencing the duty to repay principal on April 10, 2005 and then proceeds to indicate—using the word “and”—that interest will be paid every six months “in arrears” until the principal is paid or made available for payment. This formulation suggests two potentially separate obligations on the part of the issuer. The first is to repay the principal on the maturity date and the second is to make biannual interest payments until repayment of the principal. Nothing in the language chosen by the drafters suggests that breach of the first obligation was intended to relieve the issuer of the duty to fulfill the second. To the contrary, given the structure and language chosen in the clause, the natural interpretation is that principal was due in April 2005 and that interest-only payments would continue to be due biannually until the principal was actually paid or made available for payment.

This interpretation is consistent with our well-established construction of comparable “until the principal is paid” language in controversies involving the calculation of prejudgment interest on principal. Absent such language, the contract rate ceases to be applicable when the loan matures or the debtor defaults and prejudgment interest on principal will be calculated at the statutory rate, currently 9%. But where the parties direct that interest on principal accrues at a particular rate “until the principal shall be paid,” this extends the effectiveness of the contract’s interest rate provision beyond the date of maturity so that it “governs until payment of the principal, or until the contract is merged in a judgment” (*O’Brien*, 95 NY at 430). By analogy, in this case where the bond not only directed that interest accrue at a particular rate but also imposed a duty to make biannual interest payments until the principal was paid, the use of this language signaled that this periodic payment obligation remained in effect after the loan matured, until the principal

was paid or the contract merged in a judgment. Because the FRANs certificate in this case required the issuer to continue to make biannual interest payments post-maturity while the principal remained unpaid, we answer the first certified question in the affirmative.

III.

[2] Next, in relation to the subset of FRANs debt that was subject to acceleration prior to the contract maturity date, we are asked whether Argentina was required, under the same repayment clause, to make biannual interest-only payments after acceleration. As both parties acknowledge, “acceleration” of a repayment obligation in a note or bond changes the date of maturity from some point in the future (in this case, April 2005) to an earlier date based on the debtor’s default under the contract. In the context of a loan, this is the very definition of “acceleration” (*see* Black’s Law Dictionary 12 [9th ed 2009] [defining acceleration as “(t)he advancing of a loan agreement’s maturity date so that payment of the entire debt is due immediately”]). When NML Capital accelerated \$32 million of the debt in February 2005, it altered the maturity date for that debt from April 2005 to February 2005. The question then becomes whether Argentina’s obligation to make the interest payments twice a year “until the principal hereof is paid”—which we have already concluded extended beyond the maturity date of the loan—ceased because loan maturity was hastened by a default and acceleration.

The parties to a loan agreement are free to include provisions directing what will happen in the event of default or acceleration of the debt, supplying specific terms that supercede other provisions in the contract if those events occur. They may, for example, agree that if principal is not repaid on the maturity date, a default rate of interest will apply thereafter (*see e.g. European Am. Bank v Peddlers Pond Holding Corp.*, 185 AD2d 805 [2d Dept 1992] [using default interest rate provision in modification and extension agreement to calculate interest on principal from the date the loan matured until the date the contract merged in a judgment]). Or they may direct that a party pay a prepayment premium and specify that the premium obligation will be triggered if there is a default and acceleration of the indebtedness (*see e.g. Northwestern Mut. Life Ins. Co. v Uniondale Realty Assoc.*, 11 Misc 3d 980 [Sup Ct, Nassau County 2006] [based on the contract language, a payment

arising from foreclosure did not constitute prepayment and therefore did not trigger the duty to remit a prepayment premium]).

In this case, however, the FRANs certificate unqualifiedly states that the biannual interest payments are to be made until the principal is paid. And Argentina has not pointed to any language in the repayment or acceleration clauses—or any other provision of the bond documents—indicating that the parties intended this requirement to terminate upon acceleration of the debt, even if the principal was not repaid at that time.

Argentina points to the observation in *Capital Ventures Intl. v Republic of Argentina* (552 F3d at 296) that

“[t]he normal consequence of acceleration is that interest payments that would have been due in the future are no longer due, because, after acceleration, the entire principal is immediately due and owing; in other words, future interest payments are ‘unearned’ because the creditor is no longer loaning the debtor the principal.”

Interpreting Argentinian bonds similar to these, in *Capital Ventures* the court held that the bond issuer was not required to continue making interest payments after acceleration on the rationale that there was no specific language in the bond documents indicating that the parties intended to supplant the “normal” meaning of acceleration.

As we have indicated, in New York the consequences of acceleration of the debt depend on the language chosen by the parties in the pertinent loan agreement. While it is understood that acceleration advances the maturity date of the debt, we are unaware of any rule of New York law declaring that other terms of the contract not necessarily impacted by acceleration—such as an obligation to make biannual interest payments until the loan is repaid—automatically cease to be enforceable after acceleration.⁴ And although it is true that “unearned” interest is generally not awarded as damages in New York (absent an

4. It bears noting that the contract in this case did not call for repayment of principal in periodic installments over time, with interest amortized over the life of the loan and added to each principal payment. In that situation, depending on the language chosen by the parties and the nature of the transaction, acceleration of the debt—i.e., a demand for lump sum payment of all outstanding principal—might be inconsistent with continuing enforcement of a periodic payment obligation that purported to remain in effect until the principal was repaid. Under that scenario, it could be argued that the

(n. cont’d)

enforceable agreement to the contrary), the interest-only payments in this case do not involve “unearned” interest as that term has been used by New York courts. As pertinent here, unearned interest is interest that has not accrued, typically because it is attributable to a period after the loan has been repaid, when the creditor is no longer lending its money but has reacquired it either through repayment or a foreclosure sale (see *Atlas Fin. Corp. v Ezrine*, 42 AD2d 256 [1st Dept 1973]; *Berman v Schwartz*, 59 Misc 2d 184 [Sup Ct, NY County 1968], *affd on op below* 33 AD2d 673 [1st Dept 1969], *lv denied* 26 NY2d 612 [1970]; *Bostwick-Westbury Corp. v Commercial Trading Co.*, 94 Misc 2d 401 [NY City Civ Ct 1978]; see generally *Aardwolf Corp. v Nelson Capital Corp.*, 861 F2d 46 [2d Cir 1988]).⁵ In this case, principal has not been repaid and the biannual payments reflect interest that has already been earned (i.e., the interest in each unmade payment relates to a six-month interval between February 2005 and the judgment—a period when the loan remained outstanding).⁶ As such, New York’s “unearned interest” jurisprudence is inapplicable to this controversy.

installment payments were designed to effectuate the repayment of principal over time, something the accelerating creditor no longer sought. We note that, in this case, the principal was to be repaid in a lump sum—the periodic payments were not a vehicle for repayment of principal.

5. Unearned interest issues usually arise when repayment of the loan is to occur in installments of combined principal and interest over an extended time period and interest is precomputed at loan commencement based on the assumption that the loan will continue until full maturity. When that assumption is upset, and the loan is repaid early, such as through a foreclosure sale, the creditor is generally not entitled to recover the total amount of interest that it would have earned had the loan continued until the expected maturity date—unless the parties have agreed otherwise.

6. For this, and other reasons, Argentina’s reliance on *Gizzi v Hall* (309 AD2d 1140 [3d Dept 2003]) is misplaced. *Gizzi* involved a mortgage note that was to be repaid in installments of principal and interest. The loan document did not include an “until the principal is paid” clause of any kind. When the debtor failed to make several installment payments, the creditor accelerated the debt and subsequently brought suit, arguing that damages should be calculated as “the sum of all future mortgage payments, including unpaid principal and all future interest amounts, plus statutory interest” (309 AD2d at 1141). Thus, the creditor sought “unearned interest”—interest that had not accrued—and then demanded statutory interest on top of the unearned contract interest. The court properly denied that relief. Given the absence of “until the principal is paid” language, no similar argument could have been made in *Gizzi* that the obligation to make interest payments continued after acceleration of the debt, thereby generating an obligation to pay interest on unpaid interest payments that accrued prior to judgment.

Having concluded that the obligation to make biannual interest payments continued after the bonds matured if principal was not promptly repaid, and that nothing in the bond documents indicates that the payments were to stop in the event of acceleration of the debt, it follows that Argentina's duty to make the payments continued after NML Capital accelerated \$32 million of the debt in February 2005. We therefore answer the second certified question in the affirmative.

IV.

[3] Since we have determined that the biannual interest payments continued after the bonds matured either on the expected maturity date or through acceleration of the debt, we reach the last question posed by the Second Circuit: whether the bondholders were entitled to statutory prejudgment interest on the unmade payments from the date that they were due. Argentina acknowledged in the District Court that it was required to pay prejudgment interest at the statutory rate on the biannual payments it failed to make prior to the maturity or acceleration of the bonds. But it contended that it should not be charged with prejudgment interest on unpaid post-maturity or post-acceleration interest payments because the contract did not require it to make those payments (an argument we have rejected) and the imposition of such interest would constitute impermissible "interest on interest," providing a windfall to the bondholders. Plaintiffs counter that they are entitled to prejudgment interest at the statutory rate on any unpaid interest payments under this Court's holding in *Spodek* (96 NY2d 577), arguing that the imposition of "interest on interest" is neither inappropriate nor amounts to a double recovery.

Historically, there may have been some question as to whether the collection of "interest on interest" was disfavored in New York but New York public policy concerning the recovery of simple interest on overdue interest payments has become evident over time. In 1989, General Obligations Law § 5-527 was enacted, which clarified that agreements calling for "compound interest"—defined broadly as "the accruing of interest upon unpaid interest irrespective of whether such unpaid interest is added to the principal debt"—were enforceable if the principal debt involved more than \$250,000 (*see* L 1989, ch 202, § 1). And, in our 2001 decision in *Spodek*, we held that a promissory note holder could collect prejudgment interest pursuant to CPLR 5001 on unpaid, overdue installment payments from

the date they were due, even where the payments were comprised of both principal and interest.

Based on our analysis in *Spodek*, we conclude that the bondholders are entitled to prejudgment interest under CPLR 5001 on the unpaid biannual interest payments that were due—but were not paid—after the loans were either accelerated or matured on the due date. To be sure, there are significant differences between this case and *Spodek*. These Argentinian bonds do not call for repayment through installments of principal and interest and, here, the prejudgment interest dispute involves post-maturity and post-acceleration interest payments (the *Spodek* note did not contain “until the principal is paid” language and the unpaid installments had become due prior to loan maturity). But, for purposes of determining whether the bondholders are entitled to prejudgment interest at the statutory rate on unpaid periodic interest payments, these distinctions are not material.

As we have previously explained, the function of prejudgment interest is to compensate the creditor for the loss of use of money the creditor was owed during a particular period of time (see 96 NY2d at 581; *Love v State of New York*, 78 NY2d 540, 545 [1991]). In this case, the biannual interest payments were designed to reimburse the bondholders for the loss of use of the principal during the relevant six-month time interval. The imposition of statutory interest on the unpaid interest payments compensates the bondholders for a different loss—the failure of the issuer to timely make the interest-only payments. If those interest payments had been made, the bondholders could have invested those funds, generating income. As a consequence of this default, plaintiffs are entitled to be compensated for the loss of the time value of that money—which can be accomplished only by awarding them statutory interest on the unpaid interest-only payments. Absent this component of damages, plaintiffs would be reimbursed only for their loss of use of the principal—and not for loss of use of the periodic interest payments, a separate injury.

We do not agree with Argentina that the imposition of prejudgment interest on the unpaid interest payments permits the bondholders to recover interest twice on the same principal. The bondholders are receiving interest relating to their retention of the principal only once (represented by the recovery of the interest-only payments). The application of statutory interest on unpaid interest payments compensates

them for a distinct injury—Argentina’s failure to timely make interest payments.

Argentina emphasizes that fact that, in prior New York cases interpreting “until the principal is paid” language, interest has been applied to principal at the contract rate—a second level of statutory interest has not been recovered on the contract interest. But it overlooks the fact that the contracts in the other cases are distinguishable because the “until the principal is paid” terminology was not attached to an obligation to make periodic interest-only payments. In most, the pertinent language was included in a clause that did nothing more than establish the overall value of the debt by declaring the amount of the principal and the applicable interest rate (*see e.g. NYCTL 1998-2 Trust v Wagner*, 61 AD3d at 729 [tax lien certificate directed that the holder of the lien was entitled to principal plus interest at 18%, compounded, “until the Tax Lien Principal Balance is paid in full”]). As a result, the issue in these other cases was which interest rate should be applied to calculate damages for nonpayment of principal—they did not involve the computation of damages for unpaid interest payments.

The “interest on interest” question posed by the Second Circuit is raised in this case because the “until the principal hereof is paid” phrase is an integral component of the requirement that Argentina pay interest twice a year. For the reasons articulated above, our answer to the question of whether the bondholders are entitled to statutory interest on the delinquent interest-only payments is also “yes.”

There is no question that the judgment against Argentina will be extraordinarily large, primarily due to the passage of time and the application of the contract’s floating interest rate. But this is no reason to depart from the legal principle that contracts must be enforced according to the language adopted by the parties, particularly here where Argentina drafted the bond documents.

Accordingly, the certified questions should be answered in the affirmative.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, FIGOTT and JONES concur.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of the Court of Appeals (22 NYCRR 500.27), and after hearing

argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in the affirmative.

[952 NE2d 995, 929 NYS2d 3]

CENTRO EMPRESARIAL CEMPRESA S.A. et al., Appellants, v
AMÉRICA MÓVIL, S.A.B. DE C.V., et al., Respondents.

Argued April 27, 2011; decided June 7, 2011

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 3, 2010. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, an order of the Supreme Court, New York County (Richard B. Lowe, III, J.), which had denied defendants' motion to dismiss the complaint; (2) granted the motion; and (3) directed the clerk to enter judgment in favor of defendants dismissing the complaint.

Centro Empresarial Cempresa S.A. v América Móvil, S.A.B. de C.V., 76 AD3d 310, affirmed.

HEADNOTES

Release — Scope of Release — Unknown Fraud Claims

1. The general release (Members Release) plaintiffs granted to defendants in connection with the sale of plaintiffs' ownership interests in a company they co-owned with one of the defendants encompassed unknown fraud claims. A release may encompass unknown claims, including unknown fraud claims, if the parties so intend and the agreement is fairly and knowingly made. The broad language of the Members Release here reached "all manner of actions . . . whatsoever . . . whether past, present or future, actual or contingent, arising under or in connection with the Agreement Among Members and/or arising out of . . . the ownership of membership interests in" the company. The phrase "all manner of actions," in conjunction with the reference to "future" and "contingent" actions, indicated an intent to release defendants from fraud claims unknown at the time of contract. Although the parties executed, at the same time, a separate release (Master Release) that was substantially similar but expressly excluded fraud claims, that exception was not imported into the Members Release. Even assuming that the argument for including the exception, raised for the first time on appeal before the Court of Appeals, could be reached, courts should be extremely reluctant to interpret an agreement as impliedly stating something which the parties have neglected to specifically include. If anything, the explicit exclusion of fraud claims from the Master Release suggested that the Members Release was not so limited.

Release — Scope of Release — Unknown Fraud Claims

2. An action claiming that plaintiffs were fraudulently induced to sell their ownership interests in a company they co-owned with one of the defendants, and to release defendants from claims arising out of that ownership, was barred by the general release plaintiffs granted to defendants in connection with the sale of the ownership interests. The broad language of the release reached "all manner of actions . . . whatsoever . . . whether past, present or future, actual or contingent" arising out of the ownership of the company, and

encompassed unknown fraud claims. Having executed the release, plaintiffs could not subsequently claim that defendants fraudulently misled them regarding the value of their ownership interests unless the release was itself induced by a separate fraud. The fraud described in the complaint, that plaintiffs were induced to sell their interests in the company and execute the release based on defendants' false information regarding the company's value, fell squarely within the scope of the release. Although the parties had a fiduciary relationship, plaintiffs were sophisticated entities that negotiated and executed an extraordinarily broad release with their eyes wide open and they could not subsequently invalidate that release by claiming ignorance of the depth of their fiduciary's misconduct. Moreover, plaintiffs failed to allege that they justifiably relied on defendants' fraudulent statements in executing the release. Plaintiffs knew that defendants had not supplied them with the financial information that they needed and were entitled to, yet they chose to cash out their interests and release defendants from fraud claims without demanding either access to the information or assurances as to its accuracy.

Release — Scope of Release — Sophisticated Principal May Release Fiduciary

3. A sophisticated principal is able to release its fiduciary from claims—at least where the fiduciary relationship is no longer one of unquestioning trust—so long as the principal understands that the fiduciary is acting in its own interest and the release is knowingly entered into. To the extent that Appellate Division decisions such as *Littman v Magee* (54 AD3d 14, 17 [1st Dept 2008]), *Blue Chip Emerald v Allied Partners* (299 AD2d 278, 279-280 [1st Dept 2002]) and *H.W. Collections v Kolber* (256 AD2d 240, 241 [1st Dept 1998]) suggest otherwise, they misapprehend Court of Appeals case law.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Fraud and Deceit § 321; AM JUR 2d, Release §§ 28, 29, 31, 33, 41.

NY JUR 2d, Compromise, Accord, and Release §§ 82, 84, 93–96, 98, 99, 103, 105, 107.

WILLISTON ON CONTRACTS (4th ed) § 73:4.

ANNOTATION REFERENCE

See ALR Index under Discharge or Release; Fraud and Deceit.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: release /s unknown /2 fraud & intent

POINTS OF COUNSEL

Fox Horan & Camerini LLP, New York City (*Kathleen M. Kundar*, *JooYun Kim* and *Jennifer A. Fischer* of counsel), for appellants. I. In dismissing the complaint, the Appellate

Division majority committed reversible error when it concluded that plaintiffs had not alleged any basis for voiding the release they had granted defendants. (*Bloss v Va'ad Harabonim of Riverdale*, 203 AD2d 36; *Littman v Magee*, 54 AD3d 14; *Lobel v Maimonides Med. Ctr.*, 39 AD3d 275; *Anger v Ford Motor Co., Dealer Dev.*, 80 AD2d 736; *Newin Corp. v Hartford Acc. & Indem. Co.*, 37 NY2d 211; *Farber v Breslin*, 47 AD3d 873; *Channel Master Corp. v Aluminium Ltd. Sales*, 4 NY2d 403; *H.W. Collections v Kolber*, 256 AD2d 240; *Madison Hudson Assoc. LLC v Neumann*, 44 AD3d 473; *Birnbaum v Birnbaum*, 73 NY2d 461; *Meinhard v Salmon*, 249 NY 458.) II. The issues argued at the Appellate Division as to dismissing the complaint on grounds other than the release should be decided in favor of plaintiffs consistent with the opinion of the dissenting Justices. (*Selinger Enters., Inc. v Cassuto*, 50 AD3d 766; *First Bank of Ams. v Motor Car Funding*, 257 AD2d 287; *Mañas v VMS Assoc., LLC*, 53 AD3d 451; *Rich v New York Cent. & Hudson Riv. R.R. Co.*, 87 NY 382; *Albemarle Theatre v Bayberry Realty Corp.*, 27 AD2d 172; *M & T Bank Corp. v Gemstone CDO VII, Ltd.*, 23 Misc 3d 1105[A], 2009 NY Slip Op 50590[U]; *Mandelblatt v Devon Stores*, 132 AD2d 162; *Zumpano v Quinn*, 6 NY3d 666; *General Stencils v Chiappa*, 18 NY2d 125; *Century Fed. Sav. & Loan Assn. of Long Is. v Net Realty Holding Trust*, 87 AD2d 858.)

Mayer Brown LLP (Donald M. Falk of the California bar, admitted pro hac vice, of counsel), *Mayer Brown LLP*, New York City (Philip Allen Lacovara and Scott A. Chesin of counsel), *Mayer Brown LLP*, Houston, Texas (Steven R. Selsberg of counsel), and *Mayer Brown LLP*, Chicago, Illinois (Timothy S. Bishop and Joshua D. Yount of counsel), for respondents. I. Plaintiffs released all of their claims. (*Troy News Co. v City of Troy*, 167 AD2d 730; *Ingram Corp. v J. Ray McDermott & Co., Inc.*, 698 F2d 1295; *Erie Telecoms., Inc. v City of Erie, Pa.*, 853 F2d 1084; *Henslee v Houston*, 566 F2d 475; *RBS Holdings, Inc. v Wells Fargo Century, Inc.*, 485 F Supp 2d 472; *Cardiovascular Diagnostics Inc. v Boehringer Mannheim Corp.*, 985 F Supp 615; *Booth v 3669 Delaware*, 92 NY2d 934; *Mangini v McClurg*, 24 NY2d 556; *Rocanova v Equitable Life Assur. Socy. of U.S.*, 83 NY2d 603; *Matter of Schaefer*, 18 NY2d 314.) II. If not released, plaintiffs' claims nonetheless fail as a matter of law. (*Matter of 166 Mamaroneck Ave. Corp. v 151 E. Post Rd. Corp.*, 78 NY2d 88; *Arcadian Phosphates, Inc. v Arcadian Corp.*, 884 F2d 69; *Tonkery v Martina*, 78 NY2d 893; *Cobble Hill Nursing Home v Henry & Warren Corp.*, 74 NY2d 475; *Joseph Martin, Jr., Delicatessen v Schumacher*, 52 NY2d 105; *Saint Regis Paper Co.*

v Hubbs & Hastings Paper Co., 235 NY 30; *United Press v New York Press Co.*, 164 NY 406; *Demisay v Allied Clove Lakes Co.*, 91 AD2d 1032; *Marinas of the Future v City of New York*, 87 AD2d 270; *Willmott v Giarraputo*, 5 NY2d 250.) III. Most of the causes of action must be dismissed on additional grounds. (*Krantz v Chateau Stores of Canada*, 256 AD2d 186; *Tesoro Petroleum Corp. v Holborn Oil Co.*, 108 AD2d 607; *Bridgestone/Firestone, Inc. v Recovery Credit Servs., Inc.*, 98 F3d 13; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308; *Stangel v Zhi Dan Chen*, 74 AD3d 1050; *McGee v J. Dunn Constr. Corp.*, 54 AD3d 1010; *Mañas v VMS Assoc., LLC*, 53 AD3d 451; *Selinger Enters., Inc. v Cassuto*, 50 AD3d 766; *Old Clinton Corp. v 502 Old Country Rd.*, 5 AD3d 363; *Skillgames, LLC v Brody*, 1 AD3d 247.)

OPINION OF THE COURT

CIPARICK, J.

Plaintiffs claim they were fraudulently induced to sell their ownership interests in a company they co-owned with one of the defendants, and to release defendants from claims arising out of that ownership. We affirm the Appellate Division's determination that this action is barred by the release.

Plaintiffs Centro Empresarial Cempresa S.A. (Centro) and Conecel Holding Limited (CHL) allege they once owned substantial shares of an Ecuadorian telecommunications company, defendant Consorcio Ecuatoriano de Telecomunicaciones S.A. Conecel (Conecel). The complaint alleges that, in 1999, they approached defendant Carlos Slim Helú (Slim), the "moving force behind" defendant Teléfonos de México, S.A. de C.V. (Telmex México), which owned defendant AMX Ecuador LLC, then known as Telmex Wireless LLC (Telmex), about the possibility of Telmex investing in Conecel.

Through a "Master Agreement" executed in March 2000, Telmex obtained a 60% indirect interest in Conecel, while plaintiffs each retained a minority interest, all held through a new entity, defendant Telmex Wireless Ecuador LLC (TWE). In exchange for its interest, Telmex contributed \$150 million to TWE and paid CHL \$35 million to cancel Conecel debts. The parties simultaneously entered into various other agreements. Under the "Limited Liability Company Agreement," the members of TWE agreed that Telmex would manage accounting, tax, and record-keeping for TWE, and that TWE would provide quarterly financial statements to all its members. In the

“Agreement Among Members,” the members of TWE agreed that if Telmex ever consolidated—or “rolled up”—its Latin American telecommunications interests into a single entity “for purposes of selling the equity securities of such entity in international capital markets” at a time when plaintiffs owned 5% or more of TWE, plaintiffs could “negotiate in good faith (for a period not to exceed 20 days)” to exchange their TWE units for equity shares in the new company “at a mutually satisfactory rate of exchange.” The Agreement also stated that, prior to any roll-up, Telmex and TWE would provide “financial, accounting and legal information with respect to Conecel and [TWE] as may reasonably be requested.” A fourth agreement, the “Put Agreement,” gave plaintiffs the right to require Telmex to purchase plaintiffs’ TWE units at a set “floor price” during three separate 180-day periods between March 2002 and March 2006. Plaintiffs could exercise these put options for up to 50% of their units during the 2002 period; up to 75% during the 2004 period; and up to 95% during the 2006 period.

In September 2000, Telmex México formed defendant América Móvil, S.A.B. de C.V. (América Móvil), which became the holding company for several entities, including TWE. Plaintiffs allege that, under the Agreement Among Members, this triggered their right to negotiate an exchange of their TWE units for shares in América Móvil. They allege that in March 2001 they asked defendant Daniel Hajj Aboumrad (Hajj), Slim’s son-in-law and CEO of América Móvil, for financial information about Conecel and TWE for use in the contemplated negotiations. Plaintiffs assert that they never received the information, despite repeated requests. They also allege that throughout 2001 Hajj falsely represented that Conecel was financially weak and had not generated any profits to distribute to TWE.

At this point, the complaint states, plaintiffs were “wary of the threat that Defendants would never negotiate in good faith and would never distribute the Conecel profits . . . as agreed.” Thus left with “no practical alternative,” plaintiffs exercised the first put option in March 2002 and sold Telmex 50% of their TWE units, the maximum number allowed in the first 180-day period, for which the put agreement entitled them to over \$66 million. Over the next year, plaintiffs allege that they repeatedly attempted to open exchange negotiations, but defendants refused to negotiate. In 2003, defendants provided Conecel’s balance sheet, which indicated that the company was not doing well, and made further representations to that effect.

In 2003, Telmex offered to purchase plaintiffs' remaining units at the floor price, and plaintiffs—allegedly relying on the false financial information—agreed, entitling them to additional substantial consideration. In July 2003, plaintiffs entered a Purchase Agreement with América Móvil, AM Wireless, LLC (formerly Telmex), and Wireless Ecuador LLC (formerly TWE). The parties executed various releases in connection with the sale. In the “Release for Agreement Among Members” (Members Release), the sellers released Telmex and its affiliates, shareholders, and agents from

“all manner of actions, causes of action, suits, debts, dues, sums of money, accounts, reckonings, bonds, bills, specialties, covenants, contracts, controversies, agreements, promises, variances, trespasses, damages, judgments, extents, executions, claims and demands, liability, whatsoever, in law or equity, whether past, present or future, actual or contingent, arising under or in connection with the Agreement Among Members and/or arising out of, based upon, attributable to or resulting from the ownership of membership interests in [TWE] or having taken or failed to take any action in any capacity on behalf of [TWE] or in connection with the business of [TWE].”

A second release, the “Release for Master Agreement” (Master Release), employed nearly identical language, but added a proviso. It released the Telmex-related parties from claims,

“relating to (A) the ownership by the Telmex Released Parties of the [TWE] Units, or (B) any matter arising under or in connection with the Master Agreement, or any other document, agreement, instrument related thereto or executed in connection therewith . . . provided that the foregoing release shall not release any claims involving fraud.”

In June 2008, plaintiffs commenced this action against Telmex México and several of its affiliates: América Móvil, AMX Ecuador (formerly Telmex), Wireless Ecuador LLC (formerly TWE), Conecel, Slim, and Hajj. The complaint asserts 12 causes of action for, among other things, breach of contract, breach of fiduciary duty, fraud, and unjust enrichment. The crux of plaintiffs' claim is that defendants failed to provide them with accurate tax and financial statements for Conecel and were unwilling to negotiate in good faith for a share exchange.

Plaintiffs allege that they only discovered that defendants supplied them with fraudulent information in 2008, after the Ecuadorian government audited Conecel and released the results. They seek a minimum of \$900,000,000 in damages—the amount they claim they would have made if a good faith share exchange had been accomplished under the terms of the Members Agreement—plus interest.

Defendants moved to dismiss the complaint on several grounds, including that a defense is founded on documentary evidence (*see* CPLR 3211 [a] [1]) and the action is barred by a release (*see* CPLR 3211 [a] [5]). Supreme Court, ruling from the bench, denied the motion.

The Appellate Division reversed and granted the motion to dismiss, holding that plaintiffs' claims, "are barred by the general release they granted defendants in connection with the sale of their interest" (*Centro Empresarial Cempresa S.A. v América Móvil, S.A.B. de C.V.*, 76 AD3d 310, 311 [1st Dept 2010]). After finding that the release "includes any claim possibly to be discovered in the future that defendants had misrepresented the value of Conecel" (*id.* at 317), the court concluded that the release was not fraudulently induced, since plaintiffs failed to allege any fraud "separate and distinct" from that contemplated by the release (*id.* at 317-318). That Telmex, as the majority shareholder, owed plaintiffs a fiduciary duty did not alter the court's analysis. Further, the court noted, plaintiffs were allegedly aware that they lacked a full picture of Conecel's internal finances and that the relationship between the parties had become adversarial, yet they failed to condition the release on the truth of the information supplied by defendants, obtain representations or warranties to that effect, or insist on viewing additional information.

Two justices dissented on the ground that the release was fraudulently induced, since plaintiffs did not realize the depths of the alleged fraud and a fiduciary cannot be released from liability unless it has fully disclosed its tortious conduct (*see id.* at 329 [Catterson, J., dissenting]). The dissent emphasized that the complaint does not allege that plaintiffs had knowledge of defendants' fraud, and plaintiffs were "reasonably justified in their expectations that the defendants," as fiduciaries, "would disclose any information in their possession that might affect plaintiffs' decision on their best course of action" (*id.* at 330). Moreover, in the dissent's view, the release did not "mention[] or contemplate[]" fraud claims (*id.* at 331). Plaintiffs appealed as of right pursuant to CPLR 5601 (a).

Plaintiffs argue that, as the Appellate Division dissent found, the Members Release was not intended to reach fraud claims. They further contend that the release itself was fraudulently induced, particularly in light of the parties' fiduciary relationship, and that their reliance on defendants' financial disclosures was justified.

Generally, "a valid release constitutes a complete bar to an action on a claim which is the subject of the release" (*Global Mins. & Metals Corp. v Holme*, 35 AD3d 93, 98 [1st Dept 2006]). If "the language of a release is clear and unambiguous, the signing of a release is a 'jural act' binding on the parties" (*Booth v 3669 Delaware*, 92 NY2d 934, 935 [1998], quoting *Mangini v McClurg*, 24 NY2d 556, 563 [1969]). A release "should never be converted into a starting point for . . . litigation except under circumstances and under rules which would render any other result a grave injustice" (*Mangini*, 24 NY2d at 563). A release may be invalidated, however, for any of "the traditional bases for setting aside written agreements, namely, duress, illegality, fraud, or mutual mistake" (*id.*).

Although a defendant has the initial burden of establishing that it has been released from any claims, a signed release "shifts the burden of going forward . . . to the [plaintiff] to show that there has been fraud, duress or some other fact which will be sufficient to void the release" (*Fleming v Ponziani*, 24 NY2d 105, 111 [1969]). A plaintiff seeking to invalidate a release due to fraudulent inducement must "establish the basic elements of fraud, namely a representation of material fact, the falsity of that representation, knowledge by the party who made the representation that it was false when made, justifiable reliance by the plaintiff, and resulting injury" (*Global Mins.*, 35 AD3d at 98).

Notably, a release may encompass unknown claims, including unknown fraud claims, if the parties so intend and the agreement is "fairly and knowingly made" (*Mangini*, 24 NY2d at 566-567; *Alleghany Corp. v Kirby*, 333 F2d 327, 333 [2d Cir 1964]). As the Appellate Division majority explained below (*Centro*, 76 AD3d at 318), a party that releases a fraud claim may later challenge that release as fraudulently induced only if it can identify a separate fraud from the subject of the release (see *Bellefonte Re Ins. Co. v Argonaut Ins. Co.*, 757 F2d 523, 527-528 [2d Cir 1985]). Were this not the case, no party could ever settle a fraud claim with any finality.

[1] As a preliminary matter, the parties here debate whether the Members Release encompasses unknown fraud claims. We find that it does. The broad language of the release reaches “all manner of actions . . . whatsoever . . . whether past, present or future, actual or contingent, arising under or in connection with the Agreement Among Members and/or arising out of . . . the ownership of membership interests in [TWE].” The phrase “all manner of actions,” in conjunction with the reference to “future” and “contingent” actions, indicates an intent to release defendants from fraud claims, like this one, unknown at the time of contract (see *Ingram Corp. v J. Ray McDermott & Co., Inc.*, 698 F2d 1295, 1312 [5th Cir 1983]; *Consortio Prodipe, S.A. de C.V. v Vinci, S.A.*, 544 F Supp 2d 178, 192 [SD NY 2008]).

Plaintiffs note that the Master Release, executed at the same time as the Members Release, is substantially similar but expressly excludes fraud claims. They argue—apparently for the first time in their briefs before us—that the fraud exception in the Master Release should be read into the Members Release. Even assuming we can reach this argument (see *Matter of SoHo Alliance v New York City Bd. of Stds. & Appeals*, 95 NY2d 437, 442 [2000]), “courts should be extremely reluctant to interpret an agreement as impliedly stating something which the parties have neglected to specifically include” (*Rowe v Great Atl. & Pac. Tea Co.*, 46 NY2d 62, 72 [1978]). We see no reason to import the Master Release’s express statement into the Members Release. If anything, the explicit exclusion of fraud claims from the Master Release suggests that the Members Release is not so limited. Plaintiffs’ claims are either brought under the Agreement Among Members, under which Telmex agreed to negotiate in good faith and provide Conecel and TWE’s financial information, or otherwise “aris[e] out of” their “ownership of membership interests in [TWE].” They therefore fall under the Members Release.

[2] Having executed this release, plaintiffs cannot now claim that defendants fraudulently misled them regarding the value of their ownership interests in TWE unless the release was itself induced by a separate fraud. The fraud described in the complaint, however, falls squarely within the scope of the release: plaintiffs allege that defendants supplied them with false financial information regarding the value of Conecel and TWE, and that, based on this false information, plaintiffs sold their interests in TWE and released defendants from claims in connection with that sale. Thus, as the Appellate Division

observed: “plaintiffs seek to convert the 2003 release into a starting point for new . . . litigation, essentially asking to be relieved of the release on the ground that they did not realize the true value of the claims they were giving up” (*Centro*, 76 AD3d at 317).

That the parties had a fiduciary relationship does not alter our conclusion. It is true that Telmex, as a majority shareholder in a closely held corporation, owed a fiduciary duty to plaintiffs, minority shareholders (*see Fender v Prescott*, 64 NY2d 1077, 1079 [1985]). Telmex was therefore required to “disclose any information that could reasonably bear on plaintiffs’ consideration of [its purchase] offer” (*Dubbs v Stribling & Assoc.*, 96 NY2d 337, 341 [2001]).

[3] A sophisticated principal is able to release its fiduciary from claims—at least where, as here, the fiduciary relationship is no longer one of unquestioning trust—so long as the principal understands that the fiduciary is acting in its own interest and the release is knowingly entered into (*see Alleghany Corp.*, 333 F2d at 333 [“There is no prerequisite to the settlement of a fraud case that the (fiduciary) defendant must come forward and confess to all his wrongful acts in connection with the subject matter”]; *Consortio Prodipe, S.A. de C.V.*, 544 F Supp 2d at 191). To the extent that Appellate Division decisions such as *Littman v Magee* (54 AD3d 14, 17 [1st Dept 2008]), *Blue Chip Emerald v Allied Partners* (299 AD2d 278, 279-280 [1st Dept 2002]) and *H.W. Collections v Kolber* (256 AD2d 240, 241 [1st Dept 1998]) suggest otherwise, they misapprehend our case law. Plaintiffs here are large corporations engaged in complex transactions in which they were advised by counsel. As sophisticated entities, they negotiated and executed an extraordinarily broad release with their eyes wide open. They cannot now invalidate that release by claiming ignorance of the depth of their fiduciary’s misconduct.

[2] In addition to failing to allege that the release was induced by a separate fraud, plaintiffs have failed to allege that they justifiably relied on defendants’ fraudulent statements in executing the release. As we recently reiterated:

“[I]f the facts represented are not matters peculiarly within the party’s knowledge, and the other party has the means available to him of knowing, by the exercise of ordinary intelligence, the truth or the real quality of the subject of the representation, he

must make use of those means, or he will not be heard to complain that he was induced to enter into the transaction by misrepresentations” (*DDJ Mgt., LLC v Rhone Group L.L.C.*, 15 NY3d 147, 154 [2010], quoting *Schumaker v Mather*, 133 NY 590, 596 [1892]).

Here, according to the facts alleged in the complaint, plaintiffs knew that defendants had not supplied them with the financial information necessary to properly value the TWE units, and that they were entitled to that information. Yet they chose to cash out their interests and release defendants from fraud claims without demanding either access to the information or assurances as to its accuracy in the form of representations and warranties. In short, this is an instance where plaintiffs “have been so lax in protecting themselves that they cannot fairly ask for the law’s protection” (*id.* at 154).

In certain circumstances, a fiduciary’s disclosure obligations might effectively operate like a written representation that no material facts are undisclosed, and this might satisfy a principal’s obligation to investigate further (*see id.* at 154-155). Where a principal and fiduciary are sophisticated parties engaged in negotiations to terminate their relationship, however, the principal cannot blindly trust the fiduciary’s assertions. This is particularly true where, as alleged here, the principal has actual knowledge that its fiduciary is not being entirely forthright: “[W]hen the party to whom a misrepresentation is made has hints of its falsity, a heightened degree of diligence is required of it. It cannot reasonably rely on such representations without making additional inquiry to determine their accuracy” (*Global Mins.*, 35 AD3d at 100 [citations omitted]; *see also Littman*, 54 AD3d at 17 [if the fiduciary is “aware of information that rendered (its) reliance unreasonable, or if (it) had enough information to create a duty to investigate further, the requisite reliance cannot be established”])).

Plaintiffs repeatedly and unsuccessfully attempted to hold defendants to their disclosure obligations for years before negotiating and executing the sale of their shares and the accompanying releases. Moreover, the complaint alleges that plaintiffs were driven to sell because they were “wary of the threat that Defendants would never negotiate in good faith and would never distribute the Conecel profits.” Plaintiffs therefore cannot be said to have reasonably relied on defendants’ assertions regarding Conecel’s performance in executing the releases.

In sum, the 2003 Members Release was intended to bar the very claims that plaintiffs now bring, and plaintiffs fail to allege that the release was induced by any fraud beyond that contemplated by the release. In any event, the fraudulent statements plaintiffs point to cannot support a conclusion that the release was fraudulently induced, since plaintiffs allege that they released defendants from claims relating to the sale of their TWE units without conducting even minimal diligence to determine the true value of what they were selling. The Appellate Division majority was therefore correct in concluding that, fully crediting plaintiffs' allegations, they would not be able to prevail as a matter of law.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, FIGOTT and JONES concur.

Order affirmed, with costs.

[952 NE2d 1011, 929 NYS2d 19]

CHRISTAKIS SHIAMILI, Individually and on Behalf of ARDOR REALTY CORP., Appellant, v THE REAL ESTATE GROUP OF NEW YORK, INC., et al., Respondents.

Argued May 2, 2011; decided June 14, 2011

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 17, 2009. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Marcy S. Friedman, J.; op 2008 NY Slip Op 33479[U]), which had denied a motion by defendants to dismiss the complaint, (2) granted the motion, and (3) dismissed the complaint.

Shiamili v Real Estate Group of N.Y., Inc., 68 AD3d 581, affirmed.

HEADNOTES

Libel and Slander — Defenses — Operator of Internet Web Site — Federal Statute

1. Although a publisher of defamatory material authored by a third party is generally subject to tort liability, Congress has carved out an exception for Internet publication by enacting the Communications Decency Act, which establishes that, “[n]o provider or user of an interactive computer service shall be treated as the publisher or speaker of any information provided by another information content provider” (47 USC § 230 [c] [1]), and it preempts any state law—including imposition of tort liability—inconsistent with its protections (*see* 47 USC § 230 [e] [3]). A defendant is therefore immune from state law liability if (1) it is a provider or user of an interactive computer service; (2) the complaint seeks to hold the defendant liable as a “publisher or speaker”; and (3) the action is based on information provided by another information content provider. Moreover, the statute defines an “information content provider” as “any person or entity that is responsible, in whole or in part, for the creation or development of information provided through the Internet or any other interactive computer service” (47 USC § 230 [f] [3]). Accordingly, the statute generally immunizes Internet service providers from liability for third-party content wherever such liability depends on characterizing the provider as a “publisher or speaker” of objectionable material.

Libel and Slander — Defenses — Operator of Internet Web Site — Federal Statute

2. The Communications Decency Act (47 USC § 230) bars lawsuits seeking to hold an Internet service provider liable for its exercise of a publisher’s traditional editorial functions, such as deciding whether to publish, withdraw, postpone or alter content, and the statute does not differentiate between

“neutral” and selective publishers. However, service providers are only entitled to that broad immunity where the content at issue is provided by “another information content provider” (47 USC § 230 [c] [1]). Therefore, if a defendant service provider is itself the “content provider,” it is not shielded from liability. Moreover, since a content provider is any party “responsible . . . in part” for the “creation or development of information” (47 USC § 230 [f] [3]), any piece of content can have multiple providers.

Libel and Slander — Defenses — Operator of Internet Web Site — Federal Statute

3. Plaintiff’s claim against defendant Web site operator arising out of allegedly defamatory comments posted to the Web site was barred by the Communications Decency Act (47 USC § 230) and the action was properly dismissed where the complaint alleged that defamatory statements were posted on defendants’ Web site, and that some of them were reposted by the defendants, but did not allege that defendants authored the defamatory content. A Web site is generally not a “content provider” with respect to comments posted by third-party users, and defendants may not be deemed content providers because they created and ran a Web site which implicitly encouraged users to post negative comments about a municipal real estate industry, of which plaintiff was a member. Moreover, there was no allegation that the defamatory comments were posted in response to any specific invitation for users to bash plaintiff or his business; nor was defendant’s attempt to provoke further commentary actionable since none followed. Defendants did not become “content providers” by moving one of the defamatory comments to its own post, since reposting content created and initially posted by a third party is within a publisher’s traditional editorial functions, which are protected by the Act. In addition, there were no allegations that posting false and defamatory content was a condition of use of defendants’ Web site, or that the site worked with users to develop the posted commentary.

Libel and Slander — Defenses — Nonactionable Content on Internet Web Site

4. In an action arising out of allegedly defamatory content posted on defendants’ Internet Web site by anonymous third parties, while defendants appear to have been “content providers” with respect to the heading, sub-heading, and illustration that accompanied the reposting of the allegedly defamatory material and thus were not immune from state law liability under the Communications Decency Act (47 USC § 230), that content was not defamatory as a matter of law. The complaint did not allege that the heading or sub-heading were actionable, but only that they “preceded” and “prefaced” the objectionable commentary. The illustration that accompanied the post was alleged to be a “false and defamatory statement[] of fact,” but all it stated was that plaintiff was “King of the Token Jews.” That was not a defamatory statement, since no reasonable reader could have concluded that it was conveying facts about the plaintiff. The illustration was obviously satirical and, although offensive, it could not by itself support plaintiff’s claim of defamation; nor did it “develop” or “contribute to the illegality” of the third-party content within the meaning of the Act, which prohibits actions against Internet Web site operators for third-party content posted to their site.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Blasphemy and Profanity § 6; AM JUR 2d, Libel and Slander §§ 220, 234, 240–243.

NY JUR 2d, Defamation and Privacy §§ 85, 216, 221, 246.
47 USCA § 230 (c) (1); (e) (3); (f) (3).

ANNOTATION REFERENCE

See ALR Index under Internet; Libel and Slander.

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POINTS OF COUNSEL

The Shapiro Firm, LLP, New York City (*Jonathan S. Shapiro* and *Robert J. Shapiro* of counsel), for appellant. I. The First Department overlooked relevant facts and misapplied the Communications Decency Act when it found that defendant-respondents were simply “publishers” of the defamatory content and, as such, were entitled to immunity. (*Leon v Martinez*, 84 NY2d 83; *Rovello v Orofino Realty Co.*, 40 NY2d 633; *Fair Hous. Council of San Fernando Val. v Roommates.Com, LLC*, 521 F3d 1157; *Universal Communication Sys., Inc. v Lycos, Inc.*, 478 F3d 413; *Federal Trade Commn. v Accusearch Inc.*, 570 F3d 1187; *Carafano v Metrosplash.com. Inc.*, 339 F3d 1119; *Chicago Lawyers’ Comm. For Civ. Rights Under The Law, Inc. v Craigslist, Inc.*, 461 F Supp 2d 681; *Batzel v Smith*, 333 F3d 1018, 541 US 1085; *Parker v Google, Inc.*, 422 F Supp 2d 492; *Green v America Online [AOL]*, 318 F3d 465, 540 US 877.) II. The First Department erred in dismissing plaintiff-appellant’s complaint prediscovery, where the complaint raised a sufficient inference that defendants-respondents were responsible for authoring and/or developing the defamatory material. (*Stendig, Inc. v Thom Rock Realty Co.*, 163 AD2d 46; *Integrated Logistics Consultants v Fidata Corp.*, 131 AD2d 338; *Simpson v Term Indus.*, 126 AD2d 484; *Baron v Incorporated Vil. of Freeport*, 143 AD2d 792; *Colicchio v Port Auth. of N.Y. & N.J.*, 246 AD2d 464.)

Ford Marrin Esposito Witmeyer & Gleser, L.L.P., New York City (*Joseph D’Ambrosio*, *Andrew I. Mandelbaum* and *John Mattoon* of counsel), for respondents. I. On a motion to dismiss pursuant to CPLR 3211, pleadings are afforded a liberal construction. (*Edwards v Codd*, 59 AD2d 148; *Herzog v Town of Thompson*, 216 AD2d 801; *Lancaster v Colonial Motor Frgt. Line*, 177 AD2d 152; *NCAS Realty Mgt. Corp. v National Corp.*

for *Hous. Partnerships*, 241 AD2d 541; *Dillon v City of New York*, 261 AD2d 34; *People v Kin Kan*, 78 NY2d 54; *Zeran v America Online, Inc.*, 129 F3d 327, 524 US 937.) II. The claims are barred by the Communications Decency Act. (*Zeran v America Online, Inc.*, 129 F3d 327, 524 US 937; *Carafano v Metro-splash.com, Inc.*, 339 F3d 1119; *Batzel v Smith*, 333 F3d 1018; *Ben Ezra, Weinstein, & Co., Inc. v America Online Inc.*, 206 F3d 980; *Chicago Lawyers' Comm. For Civ. Rights Under The Law, Inc. v Craigslist, Inc.*, 461 F Supp 2d 681; *DiMeo v Max*, 433 F Supp 2d 523; *Green v America Online [AOL]*, 318 F3d 465; *Blumenthal v Drudge*, 992 F Supp 44; *Reit v Yelp!, Inc.*, 29 Misc 3d 713; *Gucci Am., Inc. v Hall & Assoc.*, 135 F Supp 2d 409.) III. Plaintiff's alleged need for additional discovery is not a basis to deny defendants' motion to dismiss. (*Fair Hous. Council of San Fernando Val. v Roommates.Com, LLC*, 521 F3d 1157; *Batzel v Smith*, 333 F3d 1018; *Bell Atlantic Corp. v Twombly*, 550 US 544; *Walsh v Liberty Mut. Ins. Co.*, 289 AD2d 842; *Matter of Greenbaum v Google, Inc.*, 18 Misc 3d 185; *Doe v MySpace, Inc.*, 528 F3d 413; *Chicago Lawyers' Comm. For Civ. Rights Under The Law, Inc. v Craigslist, Inc.*, 461 F Supp 2d 681.)

OPINION OF THE COURT

CIPARICK, J.

On this appeal, we consider for the first time whether a plaintiff's claim against a Web site operator arising out of allegedly defamatory comments posted to the Web site is barred by the Communications Decency Act (CDA), codified at 47 USC § 230. We conclude that it is, and that the defendants' motion to dismiss the complaint was properly granted.

As stated in the complaint, plaintiff Christakis Shiamili is the founder and CEO of Ardor Realty Corp. (Ardor), a New York apartment rental and sales company. In March 2008, Shiamili filed this action for defamation and unfair competition by disparagement against defendants The Real Estate Group of New York, Inc. (TREGNY), Daniel Baum, and Ryan McCann. TREGNY is a competitor of Ardor's, also engaged in selling and renting New York City apartments; Baum is TREGNY's principal and chief operating officer; and McCann is Baum's assistant.

These defendants allegedly "administer and choose content for" a publicly accessible Web site—a "blog"—dedicated to the

New York City real estate industry.¹ In February 2008, defendants allegedly published defamatory statements about Shiamili on the Web site. Specifically, a lengthy comment was added to a discussion thread by a user operating under the pseudonym “Ardor Realty Sucks.” The comment made several allegedly defamatory statements suggesting that Shiamili mistreated his employees and was racist and anti-Semitic, referring to one of the company’s agents as “his token Jew.” McCann, in his role as Web site administrator, moved the comment to a stand-alone post, prefacing it with the statement that “the following story came to us as a . . . comment, and we promoted it to a post.” The post was given the heading, “Ardor Realty and *Those People*,” and the subheading, “*and now it’s time for your weekly dose of hate, brought to you unedited, once again, by ‘Ardor Realty Sucks’.* and for the record, we are **so. not. afraid.**” The post was accompanied by a traditional image of Jesus Christ with Shiamili’s face and the words “Chris Shiamili: King of the Token Jews.”

Several of the comments posted by anonymous users in the ensuing discussion thread contained further allegedly defamatory statements, including suggestions that Ardor was in financial trouble and that Shiamili abused and cheated on his wife. One of the commentators ended by saying “call me a Liar and I’ll come back here and get REALLY specific.” The complaint alleges that McCann, under a pseudonym, responded, “liar” in an attempt to encourage the user to say more, but that commentator did not post further. Shiamili responded by drafting a lengthy comment, which was added to the discussion thread. Shiamili also contacted McCann and requested that he remove the defamatory statements, but McCann refused to do so.

Shiamili brought this action, alleging in his complaint that the defamatory statements were made with the intent to injure his reputation, and that defendants either “made” or published the statements. In addition to damages, the complaint requests injunctive relief requiring defendants to stop “publication of any and all defamatory statements concerning Shiamili and Ardor” and “any further disparagement.”

1. Defendants maintain that only McCann administers the Web site. On this motion to dismiss, we accept plaintiff’s allegation that “all McCann’s actions . . . were taken with the knowledge of or acquiescence by” the other defendants.

Defendants moved to dismiss the complaint for failure to state a cause of action (CPLR 3211 [a] [7]). In support of the motion, McCann submitted an affidavit acknowledging that he was the “administrator and moderator” of the Web site, which “functioned as a virtual bulletin board, or open discussion forum” to which anyone could add content in the form of a comment on an existing post. Only McCann, in his role as moderator, could create stand-alone posts capable of generating their own discussion threads.

Supreme Court denied the motion to dismiss. As relevant here, it found that section 230 (c) (1) of the CDA (47 USC § 230 [c] [1]) did not require dismissal of plaintiff’s claims, since “information as to defendants’ role, if any, in authoring or developing the content of the website is exclusively within their possession” and discovery had not yet occurred (2008 NY Slip Op 33479[U], *7).

The Appellate Division unanimously reversed, granted the motion to dismiss, and dismissed the complaint. The court explained that the CDA protects Web site operators from liability derived from the exercise of a publisher’s traditional editorial functions (*see Shiamili v Real Estate Group of N.Y., Inc.*, 68 AD3d 581, 583 [1st Dept 2009]). Because the complaint here does not allege that defendants authored the defamatory content, but only that they published and edited it, the court concluded that the CDA bars Shiamili’s claim and that further discovery is unnecessary (*see id.*). We granted Shiamili leave to appeal (15 NY3d 705 [2010]) and now affirm.

[1] Although a publisher of defamatory material authored by a third party is generally subject to tort liability, Congress has carved out an exception for Internet publication by enacting section 230 of the CDA, passed as part of the Telecommunications Act of 1996 (Pub L 104-104, 110 US Stat 56 [104th Cong, 2d Sess, Feb. 8, 1996]). Section 230 establishes that “[n]o provider or user of an interactive computer service shall be treated as the publisher or speaker of any information provided by another information content provider” (47 USC § 230 [c] [1]), and it preempts any state law—including imposition of tort liability—inconsistent with its protections (*see* 47 USC § 230 [e] [3]). A defendant is therefore immune from state law liability if (1) it is a “provider or user of an interactive computer service”; (2) the complaint seeks to hold the defendant liable as a “publisher or speaker”; and (3) the action is based on “information provided by another information content provider” (47

USC § 230 [c] [1]; *see also Federal Trade Commn. v Accusearch Inc.*, 570 F3d 1187, 1196 [10th Cir 2009]; *Barnes v Yahoo!, Inc.*, 570 F3d 1096, 1100-1101 [9th Cir 2009]; *Universal Communication Sys., Inc. v Lycos, Inc.*, 478 F3d 413, 418 [1st Cir 2007]). The statute defines an “information content provider” as “any person or entity that is responsible, in whole or in part, for the creation or development of information provided through the Internet or any other interactive computer service” (47 USC § 230 [f] [3]).²

In passing section 230, Congress acknowledged that “[t]he Internet . . . offer[s] a forum for a true diversity of political discourse, unique opportunities for cultural development, and myriad avenues for intellectual activity” (47 USC § 230 [a] [3]), and that it has “flourished, to the benefit of all Americans, with a minimum of government regulation” (47 USC § 230 [a] [4]). Further, “[i]t is the policy of the United States . . . to preserve the vibrant and competitive free market that presently exists for the Internet and other interactive computer services, unfettered by Federal or State regulation” (47 USC § 230 [b] [2]). As the Fourth Circuit explained in the seminal case of *Zeran v America Online, Inc.* (129 F3d 327, 330 [1997]):

“Congress recognized the threat that tort-based lawsuits pose to freedom of speech in the new and burgeoning Internet medium. The imposition of tort liability on service providers for the communications of others represented, for Congress, simply another form of intrusive government regulation of speech. Section 230 was enacted, in part, to maintain the robust nature of Internet communication and, accordingly, to keep government interference in the medium to a minimum.”

Additionally, section 230 was designed “to encourage service providers to self-regulate the dissemination of offensive material over their services” (*id.* at 331). In this respect, the statute was a response to cases such as *Stratton Oakmont, Inc. v Prodigy Servs. Co.* (1995 WL 323710, 1995 NY Misc LEXIS 229 [Sup Ct, Nassau County 1995]), in which an Internet service provider was found liable for defamatory statements posted by third parties because it had voluntarily screened and edited some

2. Section 230 defines an “interactive computer service” as “any information service, system, or access software provider that provides or enables computer access by multiple users to a computer server” (47 USC § 230 [f] [2]).

offensive content, and so was considered a “publisher” (see 1995 WL 323710 at *4, 1995 NY Misc LEXIS 229 at *10-11; S Rep 104-230, 104th Cong, 2d Sess, at 194). Section 230 (c) (1) was meant to undo the perverse incentives created by this reasoning, which effectively penalized providers for monitoring content (see *Zeran*, 129 F3d at 331). Thus, section 230 has “two parallel goals. The statute is designed at once ‘to promote the free exchange of information and ideas over the Internet and to encourage voluntary monitoring for offensive or obscene material’ ” (*Barnes*, 570 F3d at 1099-1100, quoting *Carafano v Metro-splash.com. Inc.*, 339 F3d 1119, 1122 [9th Cir 2003]).

Both state and federal courts around the country have “generally interpreted Section 230 immunity broadly, so as to effectuate Congress’s ‘policy choice . . . not to deter harmful on-line speech through the . . . route of imposing tort liability on companies that serve as intermediaries for other parties’ potentially injurious messages’ ” (*Universal Communication Sys.*, 478 F3d at 418, quoting *Zeran*, 129 F3d at 330-331; see also *Johnson v Arden*, 614 F3d 785, 791 [8th Cir 2010] [“The majority of federal circuits have interpreted the CDA to establish broad federal immunity to any cause of action that would make service providers liable for information originating with a third-party user of the service” (internal quotation marks omitted)]; *Doe v MySpace, Inc.*, 528 F3d 413, 418 [5th Cir 2008] [“Courts have construed the immunity provisions in (section) 230 broadly in all cases arising from the publication of user-generated content”]; *Barrett v Rosenthal*, 40 Cal 4th 33, 46, 146 P3d 510, 518 [2006] [noting that a broad reading of section 230 (c) (1) immunity has been “accepted, in both federal and state courts”]; *Doe v America Online, Inc.*, 783 So 2d 1010, 1013, 26 Fla L Wkly S141 [2001] [adopting the reasoning in *Zeran*]). New York trial courts have also taken this view (see *Reit v Yelp!, Inc.*, 29 Misc 3d 713, 716 [Sup Ct, NY County 2010]; *Kuersteiner v Schrader*, 2008 NY Slip Op 33614[U] [Sup Ct, NY County 2008]).

We have not yet had occasion to address the scope of section 230’s protections. In *Lunney v Prodigy Servs. Co.* (94 NY2d 242 [1999]), we took note of the Fourth Circuit’s opinion in *Zeran* and its robust understanding of CDA immunity as encompassing both publisher and distributor liability, but we left the decision whether to adopt that interpretation for another day (*id.* at 251). Today, we follow what may fairly be called the national consensus (see *Barrett*, 40 Cal 4th at 46 n 9, 146 P3d at 518 n 9

[citing cases]) and read section 230 as generally immunizing Internet service providers from liability for third-party content wherever such liability depends on characterizing the provider as a “publisher or speaker” of objectionable material.

[2] Consistent with this view, we read section 230 to bar “lawsuits seeking to hold a service provider liable for its exercise of a publisher’s traditional editorial functions—such as deciding whether to publish, withdraw, postpone or alter content” (*Zeran*, 129 F3d at 330; *see also Barnes*, 570 F3d at 1102 [“publication involves reviewing, editing, and deciding whether to publish or to withdraw from publication third-party content”]). Notably, the statute does not differentiate between “neutral” and selective publishers (*see e.g. Batzel v Smith*, 333 F3d 1018, 1031 [9th Cir 2003] [“the exclusion of ‘publisher’ liability necessarily precludes liability for exercising the usual prerogative of publishers to choose among proffered material and to edit the material published while retaining its basic form and message”]; *Blumenthal v Drudge*, 992 F Supp 44, 52 [D DC 1998] [“Congress has made a . . . policy choice by providing immunity even where the interactive service provider has an active, even aggressive role in making available content prepared by others”]).

Service providers are only entitled to this broad immunity, however, where the content at issue is provided by “another information content provider” (47 USC § 230 [c] [1]). It follows that if a defendant service provider is itself the “content provider,” it is not shielded from liability (*see e.g. Nemet Chevrolet, Ltd. v Consumeraffairs.com, Inc.*, 591 F3d 250, 254 [4th Cir 2009]; *Fair Hous. Council of San Fernando Val. v Roommates.Com, LLC*, 521 F3d 1157, 1162 [9th Cir 2008]; *Universal Communication Sys.*, 478 F3d at 419). Since a content provider is any party “responsible . . . in part” for the “creation or development of information” (47 USC § 230 [f] [3]), any piece of content can have multiple providers.

It may be difficult in certain cases to determine whether a service provider is also a content provider, particularly since the definition of “content provider” is so elastic, and no consensus has emerged concerning what conduct constitutes “development”:

“[T]he broadest sense of the term ‘develop’ could include the functions of an ordinary search engine—indeed, just about any function performed by a website. But to read the term so broadly would defeat

the purposes of section 230 by swallowing up every bit of the immunity that the section otherwise provides. At the same time, reading the exception for co-developers as applying only to content that originates entirely with the website . . . ignores the words ‘development . . . in part’ in the statutory passage” (*Roommates.Com*, 521 F3d at 1167).

The Ninth’s Circuit’s approach, which Shiamili asks us to adopt, is to “interpret the term ‘development’ as referring not merely to augmenting the content generally, but to materially contributing to its alleged unlawfulness” (*id.* at 1167-1168). This view, which has been cited with approval by the Tenth Circuit (*see Accusearch Inc.*, 570 F3d at 1200), considers a Web site a content provider “if it contributes materially to the alleged illegality of the conduct” (*Roommates.Com*, 521 F3d at 1168).

In the case before us, we need not decide whether to apply the Ninth Circuit’s relatively broad view of “development” since, even under that court’s analysis, Shiamili’s claim fails. Although the statements at issue are unquestionably offensive and obnoxious, defendants are nonetheless shielded from liability by section 230. Shiamili does not dispute that defendants, as alleged Web site operators, are providers of an “interactive computer service” under section 230 (*see Roommates.Com*, 521 F3d at 1162 n 6 [“the most common interactive computer services are websites”]; *Universal Communication Sys.*, 478 F3d at 419 [“web site operators . . . are providers of interactive computer services within the meaning of Section 230”]). Further, the claims here—defamation and unfair competition by disparagement—clearly seek to hold the defendants liable as publishers and speakers. The remaining question is whether, taking the facts alleged in the complaint as true, the defamatory statements were “provided by another information content provider” (47 USC § 230 [c] [1]).

[3] As an initial matter, the complaint alleges that the defamatory statements were first posted by anonymous users; there is no allegation that defendants actually authored the statements. A Web site is generally not a “content provider” with respect to comments posted by third-party users (*see DiMeo v Max*, 248 Fed Appx 280, 282 [3d Cir 2007]). We reject Shiamili’s contention that defendants should be deemed content providers because they created and ran a Web site which implicitly encouraged users to post negative comments about the New York City real estate industry. Creating an open forum for third parties to

post content—including negative commentary—is at the core of what section 230 protects (*see Accusearch Inc.*, 570 F3d at 1195 [noting that online message boards are “(t)he prototypical service qualifying for (section 230) immunity”]).

Moreover, there is no allegation that the defamatory comments were posted in response to any specific invitation for users to bash Shiamili or Ardor (*cf. Doctor’s Assoc., Inc. v QIP Holder LLC*, 2010 WL 669870, 2010 US Dist LEXIS 14687 [D Conn 2010]). Evidence submitted by Shiamili in opposition to defendants’ motion to dismiss indicates that the Web site had been operating for over a year before any of the comments that are the subject of this lawsuit were posted, and that the posted commentary spanned a range of topics. Even assuming that solicitation can constitute “development,” this is plainly not a case where the Web site can be charged with soliciting the defamatory content at issue. Nor can it be said that McCann’s attempt at provoking further commentary in the Shiamili discussion thread is actionable, since none followed.

The defendants did not become “content providers” by virtue of moving one of the comments to its own post. Reposting content created and initially posted by a third party is well within “a publisher’s traditional editorial functions” (*Zeran*, 129 F3d at 330). Indeed, this case is analogous to others in which service providers have been protected by section 230 after reposting or otherwise disseminating false information supplied by a third party. To cite only a few examples, in *Ben Ezra, Weinstein, & Co., Inc. v America Online Inc.* (206 F3d 980 [10th Cir 2000]) the defendant service provider would publish updated securities information supplied by third parties and derived from a variety of stock exchanges and markets. Plaintiff sued the provider for publishing inaccurate information concerning the price and share volume of plaintiff’s stock. The Tenth Circuit found that the inaccurate information was “created” by third parties, and the Web provider was not “responsible, in whole or in part, for [its] creation and development” (*id.* at 986). The Ninth Circuit reached the same result in *Batzel* (333 F3d 1018), cited with approval in *Roommates.Com* (521 F3d at 1170). There, the editor of an e-mail newsletter received a tip and incorporated it into the newsletter, adding a headnote. The tip proved false, but the Ninth Circuit found that section 230 protected the editor from being sued for libel because he had been “merely editing portions of an e-mail and selecting material for publication” (*Batzel*, 333 F3d at 1031). Similarly, in

DiMeo (248 Fed Appx at 281)—a case quite like this one—the plaintiff sued for defamation based on comments left by anonymous users on defendant’s Web site, where defendant could “select which posts to publish and edit[ed] their content” (*DiMeo v Max*, 433 F Supp 2d 523, 530 [ED Pa 2006]). The Third Circuit found that “the website posts . . . constitute information furnished by third party information content providers” (248 Fed Appx at 282).

Shiamili argues that this case fits within a line of federal decisions in which courts have found that “even if the data are supplied by third parties, a website operator may still contribute to the content’s illegality and thus be liable as a developer” of the content (*Roommates.Com*, 521 F3d at 1171; *see also Accusearch Inc.*, 570 F3d at 1199). Those cases, however, are easily distinguishable. In *Roommates.Com*, the nonparties providing the data were required to post actionable material to the defendant Web site as a condition of use, and the Web site’s “work in developing the discriminatory questions, discriminatory answers and discriminatory search mechanism [was] directly related to the alleged illegality of the site” (521 F3d at 1172). Here, in contrast, there are no allegations that posting false and defamatory content was a condition of use, or that the site worked with users to develop the posted commentary. This case also differs considerably from *Accusearch Inc.*, where the defendant Web site paid researchers to obtain information for the site to disseminate that “would almost inevitably require [the researcher] to violate the Telecommunications Act or to circumvent it by fraud or theft” (570 F3d at 1192). There is no comparable allegation against these defendants.

[4] Defendants appear to have been “content providers” with respect to the heading, subheading, and illustration that accompanied the reposting. That content, however, is not defamatory as a matter of law. The complaint does not allege that the heading and subheading are actionable, but only that they “preceded” and “prefaced” the objectionable commentary. The illustration that accompanied the post is alleged to be a “false and defamatory statement[] of fact,” but all it states is that Shiamili is “King of the Token Jews.” This is not a defamatory statement, since no “reasonable reader could have concluded that [it was] conveying facts about the plaintiff” (*Gross v New York Times Co.*, 82 NY2d 146, 152 [1993] [internal quotation marks and some brackets omitted]). The illustration was obviously satirical and, although offensive, it cannot by itself

support Shiamili's claim of defamation. Nor, contrary to the dissent's view, does it "develop" or "contribute[] materially to the alleged illegality" of the third-party content within the meaning of the CDA (dissenting op at 294).

Simply put, the complaint alleges that defamatory statements were posted on defendants' Web site, and some of them were reposted by the defendants. These statements are all "information provided by another information content provider" (47 USC § 230 [c] [1]). Defendants' added headings and illustration do not materially contribute to the defamatory nature of the third-party statements. Shiamili has therefore failed to state a viable cause of action against defendants, as his claims for defamation and unfair competition by disparagement are clearly barred by the CDA and were properly dismissed below.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN (dissenting). It is unfortunate that in this, our first case interpreting the Communications Decency Act (CDA) (47 USC § 230), we have shielded defendants from the allegation that they abused their power as Web site publishers to promote and amplify defamation targeted at a business competitor. Even in the muted form in which the majority presents them, the allegations concerning the Web site operator's material contributions to the scurrilous defamatory attacks against Mr. Shiamili and Ardor Realty are sufficiently stated and are outside the scope of CDA immunity.

Plaintiff alleged that defendants published defamatory content, which claimed, in vulgar terms, that plaintiff was a racist and anti-Semite who mistreated his employees, could not retain real estate agents, failed to pay office bills, beat up his wife, and used his office space to commit adultery with prostitutes.* The allegedly defamatory statements included the following: "I have personally heard [plaintiff] making derogatory comments about [various ethnic groups]. He calls them 'those people,' etc. He has even said he keeps [his main listing agent] around only because he is Jewish, and this is how he gets 'those' landlords . . . [Plaintiff] has called him his token Jew."

If the complaint alleged that defendants merely reposted these outrageous statements to a more prominent position on the

* We must deem the allegations of the complaint to be true in considering defendants' CPLR 3211 (a) (7) motion to dismiss.

Web site, this could plausibly be considered an exercise of “a publisher’s traditional editorial functions” (*Zeran v America Online, Inc.*, 129 F3d 327, 330 [4th Cir 1997], *cert denied* 524 US 937 [1998]). But, the allegations of defendants’ actions here are not so benign.

According to the complaint, defendants not only moved the defamatory comments to an independent post entitled “Ardor Realty and *Those People*,” but embellished the comment thread by attaching a large, doctored photograph of plaintiff depicted as Jesus Christ, with the heading: “Chris Shiamili: King of the Token Jews.” The defamatory statements were “preceded by an editor’s note, on information and belief written and published by [defendant] McCann, that ‘the following story came to us as a long . . . comment, and we promoted it to a post.’ ” McCann also allegedly introduced the post with the statements: “ ‘[A]nd now it’s time for your weekly dose of hate’ and ‘for the record, we are **so. not. afraid.**’ ”

The majority is anxious to trivialize the religiously charged illustration as “obviously satirical” and “not a defamatory statement, since no ‘reasonable reader could have concluded . . . [it was] conveying facts about the plaintiff’ ” (majority op at 292 [citation omitted]). Of course, a reasonable reader would not have gathered from this digitally edited photograph that defendants were asserting that plaintiff was in fact Jesus Christ or the king of “token” Jewish real estate agents. But a reasonable reader, viewing the heading and illustration, might very well have concluded that the site editor was endorsing the truth of the appended facts, which asserted that plaintiff was an anti-Semite who employed a single Jewish realtor in order to maintain business with Jewish landlords. Even setting aside the preface referring to the “weekly dose of hate” and the allegations of defendants’ efforts to instigate additional attacks against plaintiff’s character and business, defendants’ attachment of this illustration, if proven, should alone defeat their immunity under the CDA. As the majority concedes, it is well established in federal law that “a website helps to develop unlawful content, and thus falls within the exception to section 230, if it contributes materially to the alleged illegality of the conduct” (*Fair Hous. Council of San Fernando Val. v Roommates.Com, LLC* (521 F3d 1157, 1168 [9th Cir 2008]; *see also Federal Trade Commn. v Accusearch Inc.*, 570 F3d 1187, 1199 [10th Cir 2009] [“(A) service provider is ‘responsible’ for the

development of offensive content only if it in some way specifically encourages development of what is offensive about the content’’)].

Like the majority, I accept the “national consensus” on statutory immunity under the CDA (majority op at 288). However, I see no basis in the record for the majority’s confident conclusion that defendants served only as a passive conduit of this defamatory material, and are therefore immune as a matter of law. As the majority notes, section 230 of the Communications Decency Act, titled “Protection for private blocking and screening of offensive material,” was prompted by the undesirable result in *Stratton Oakmont, Inc. v Prodigy Servs. Co.* (1995 WL 323710, 1995 NY Misc LEXIS 229 [Sup Ct, Nassau County 1995]), where the trial court held a service provider liable in a defamation action based on its voluntary efforts to filter and edit offensive messages posted on its bulletin boards. This editorial activity, the court reasoned, rendered the provider a publisher and thus responsible for libelous content posted on its Web site (*see* 1995 WL 323710 at *4, 1995 NY Misc LEXIS 229 at *10-11).

Concerned that cases like *Stratton Oakmont, Inc.* would discourage providers from censoring offensive content on their own sites, Congress enacted section 230, in part, to insulate providers from liability for “any action voluntarily taken in good faith to restrict access to or availability of material that the provider or user considers to be obscene, lewd, lascivious, filthy, excessively violent, harassing, or otherwise objectionable, whether or not such material is constitutionally protected” (47 USC § 230 [c] [2] [A]). Both houses of Congress stressed that “[o]ne of the specific purposes of this section is to overrule *Stratton-Oakmont v. Prodigy* and any other similar decisions which have treated such providers and users as publishers or speakers of content that is not their own because they have restricted access to objectionable material” (HR Rep 104-458, 104th Cong, 2d Sess, at 194; S Rep 104-230, 104th Cong, 2d Sess, at 194 [containing same quote]).

While I do not dispute the adoption of a broad approach to immunity for on-line service providers under the CDA, an interpretation that immunizes a business’s complicity in defaming a direct competitor takes us so far afield from the purpose of the CDA as to make it unrecognizable. Dismissing this action on the pleadings is not required by the letter of the law and does not honor its spirit.

Judges GRAFFEO, READ and SMITH concur with Judge CIPAR-
ICK; Chief Judge LIPPMAN dissents and votes to reverse in a sep-
arate opinion in which Judges PIGOTT and JONES concur.

Order affirmed, with costs.

[952 NE2d 1047, 929 NYS2d 55]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v BENITO
ACEVEDO, Respondent.

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v DIONIS
COLLADO, Respondent.

Argued June 1, 2011; decided June 30, 2011

SUMMARY

APPEAL, in the first above-entitled action, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 25, 2010. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Renee A. White, J.), which had denied defendant's motion pursuant to CPL 440.20 to set aside his sentence on a judgment rendered November 14, 2006, convicting him of criminal sale of a controlled substance in the third degree and criminal possession of a controlled substance in the third degree and sentencing him as a second felony drug offender previously convicted of a violent felony, and (2) remanded the matter for sentencing, including further proceedings with respect to defendant's predicate felony status.

APPEAL, in the second above-entitled action, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 25, 2010. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Maxwell Wiley, J.), which had resentenced defendant, as a second violent felony offender, to an aggregate term of eight years to be followed by five years of postrelease supervision for his 2005 conviction for robbery in the second degree (two counts), and (2) remanded the matter for resentencing, including further proceedings with respect to defendant's predicate felony status.

People v Acevedo, 75 AD3d 255, reversed.

People v Collado, 73 AD3d 608, reversed.

HEADNOTE

Crimes — Sentence — Second Felony Offender — Effect of Resentencing Due to Failure to Pronounce Mandatory Term of Postrelease Supervision

Defendants who were sentenced on their present convictions to enhanced punishment on the basis of prior predicate felonies were not entitled to have

their enhanced sentences set aside where they subsequently moved for resentencing on their predicate crimes to correct their original sentences, which had erroneously omitted the statutorily required periods of postrelease supervision (PRS), and were resentenced to cure the omission of PRS after the present convictions.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law § 862; AM JUR 2d, Habitual Criminals and Subsequent Offenders §§ 20, 21, 50–52.
CARMODY-WAIT 2d, Sentencing Procedures §§ 203:95, 203:99, 203:103, 203:209, 203:210.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 26.6, 26.7.
NY JUR 2d, Criminal Law: Procedure §§ 2927, 3178, 3220, 3236, 3240.

ANNOTATION REFERENCE

See ALR Index under Habitual Criminals and Subsequent Offenders; Sentence and Punishment.

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POINTS OF COUNSEL

Cyrus R. Vance, Jr., District Attorney, New York City (Dana Poole and Hilary Hassler of counsel), for appellants in the first and second above-entitled actions. Defendant's adjudication as a predicate violent felony offender should be reinstated and his original sentence left undisturbed. (*People v Sparber*, 10 NY3d 457; *People v Samms*, 95 NY2d 52; *People v Morse*, 62 NY2d 205; *People v Dozier*, 78 NY2d 242; *People v Montgomery*, 24 NY2d 130; *People v Ethrindge*, 36 AD2d 80, 29 NY2d 766; *People v Bell*, 73 NY2d 153; *People ex rel. Emanuel v McMann*, 7 NY2d 342; *People v Ashley*, 71 AD3d 1286, 15 NY3d 849; *People v Wright*, 270 AD2d 213.)

Center for Appellate Litigation, New York City (Jan Hoth and Robert S. Dean of counsel), for respondent in the first above-entitled action. The Appellate Division correctly found that where a defendant is resentenced pursuant to Penal Law § 70.85, New York's strict sequentiality laws (Penal Law § 70.04 [1] [b] [ii]; § 70.06 [1] [b] [ii]) preclude the use of that conviction as a predicate felony offense on any crime committed before

the date of the resentence. (*People v Bell*, 73 NY2d 153; *People v Sparber*, 10 NY3d 457; *People v Catu*, 4 NY3d 242; *People v Mezon*, 80 NY2d 155; *People v Lawrence*, 64 NY2d 200; *Matter of Murray v Goord*, 298 AD2d 94, 1 NY3d 29; *People v Wright*, 270 AD2d 213; *People v Tatta*, 196 AD2d 328; *Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *People v Samms*, 95 NY2d 52.)

Center for Appellate Litigation, New York City (Bruce D. Austern and Robert S. Dean of counsel), for respondent in the second above-entitled action. The Appellate Division correctly applied Penal Law § 70.04 (1) (b) (ii) in ruling that defendant was not a predicate offender because the resentence on the prior conviction occurred after the commission of the present felony, and the People's claim here is not reviewable by this Court. (*People v Williams*, 14 NY3d 198; *People v Mezon*, 80 NY2d 155; *People v Lawrence*, 64 NY2d 200; *People v Samms*, 95 NY2d 52; *People v Wright*, 270 AD2d 213; *People v Robles*, 251 AD2d 20; *People v Bell*, 73 NY2d 153; *People v Sparber*, 10 NY3d 457; *Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *People v Sturgis*, 69 NY2d 816.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The threshold, and we believe dispositive, issue on these appeals is whether a resentencing sought by a defendant to correct an illegally lenient sentence is effective to temporally resituate the sentence and thus alter the underlying conviction's utility as a predicate for enhanced sentencing. This common issue arises from the following facts in each of the above-captioned matters.

People v Acevedo

In 2006, Mr. Acevedo was convicted of criminal sale of a controlled substance in the third degree and possession of a controlled substance in the third degree and sentenced as a second felony drug offender with a prior violent felony to concurrent prison terms of six years and three years of postrelease supervision (PRS). The predicate conviction for Acevedo's 2006 sentence was one for attempted robbery in the second degree for which Acevedo was originally sentenced in accordance with his plea bargain to a determinate prison term of four years in 2001. Omitted from the 2001 sentence was the statutorily required PRS term (*see* Penal Law § 70.45 [1]); it had not been

made a part of the plea and was not pronounced at the 2001 sentencing proceeding. In 2008, some three years after Acevedo had completed the sentence imposed in the 2001 judgment, but while he was still serving his sentence under the 2006 judgment, he moved pursuant to CPL 440.20 to be resentenced on his 2001 conviction. The motion was granted on the People's consent in December 2008, and defendant was resentenced, with the People's consent pursuant to Penal Law § 70.85,* to the identical term of imprisonment nunc pro tunc to July 19, 2001.

Less than three weeks after the resentence, in early January 2009, Acevedo moved, again pursuant to CPL 440.20, to vacate his second felony drug offender adjudication in the 2006 case. He argued that because his resentence on the 2001 conviction occurred in 2008, it postdated the offense for which he was sentenced in 2006 and, accordingly, that the underlying conviction no longer qualified as a predicate for enhanced sentencing in connection with his 2006 conviction. A predicate sentence, he noted, “must have been imposed before commission of the present felony” (Penal Law § 70.06 [1] [b] [ii]).

The motion court, citing *People v Sparber* (10 NY3d 457, 472 [2008]), denied vacatur of the 2006 predicate adjudication upon the ground that the defect in the 2001 sentence arose from a mere “procedural error” that did not vitiate the 2001 judgment's validity as a prior felony conviction.

The Appellate Division, with one Justice dissenting, reversed (75 AD3d 255 [2010]). It reasoned that, logically, a resentence entails vacatur of the original sentence and that we had, in fact, held in *Sparber* that the “sole remedy for a procedural error such as this [the failure of the sentencing court to pronounce a PRS term at sentencing] is to vacate the sentence and remit for a resentencing hearing so that the trial judge can make the required pronouncement” (75 AD3d at 259, quoting *Sparber*, 10 NY3d at 471 [emphasis added]). Nor was the Court of the view that the omission to be cured by the procedure described in *Sparber* was a mere formality inconsequential beyond the limited purpose of curing the trial court's failure to pronounce the required PRS component of a determinate sentence. Here,

* Penal Law § 70.85 provides in relevant part that, with the People's consent, the court may at a resentence to cure the omission of mandatory PRS from a sentence “re-impose the originally imposed determinate sentence of imprisonment without any term of post-release supervision, which then shall be deemed a lawful sentence.”

the Court noted our language in *Sparber* and *Matter of Garner v New York State Dept. of Correctional Servs.* (10 NY3d 358 [2008]) in which we stressed that resentencing to pronounce a mandatory PRS term had a substantial effect on a defendant and that the procedure implicated the public interest in ensuring the regularity of sentencing (*see Sparber*, 10 NY3d at 470; *Garner*, 10 NY3d at 363). Inasmuch, then, as the Court understood Acevedo's 2001 sentence to have been vacated as a necessary antecedent to his resentencing, it concluded that his operative sentence for the 2001 attempted robbery was the one imposed at the 2008 resentencing—one which plainly did not qualify as a predicate for enhanced sentencing with respect to the crimes for which defendant was convicted in 2006.

People v Collado

The enhanced sentence challenged by Mr. Collado was imposed in September 2005; Collado, after being convicted of two counts of second degree robbery based upon an incident that took place in December 2004, was then adjudged a second violent felony offender and sentenced to concurrent eight-year terms. The predicate offense for the second violent felony offender adjudication was a second degree attempted robbery conviction obtained against Collado in June 2000, for which he was, at that time, sentenced to a determinate term of two years. PRS, although statutorily mandated as a component of both the 2005 and 2000 sentences, was not pronounced by either sentencing court. At the conclusion of the appellate process stemming from the 2005 judgment of conviction, this Court deemed Collado's still undischarged 2005 sentence illegal by reason of the sentencing court's failure orally to pronounce the PRS portion of Collado's determinate sentence (11 NY3d 888, 889 [2008]), and, in accordance with *Sparber* (10 NY3d at 469-471), we remitted the matter for resentencing (11 NY3d at 889).

In January 2009, before the *Sparber* proceeding with respect to the 2005 conviction, Collado moved pursuant to CPL 440.20 to be resentenced upon his 2000 conviction (the predicate for his 2005 second violent felony offender adjudication) upon the ground that the sentence imposed thereon suffered from the same defect as the 2005 sentence. At the ensuing *Sparber* proceeding, in March 2009, the court addressed both sentences. With respect to the 2000 conviction, it resentenced Collado to his originally imposed prison term but added thereto a PRS term of 1½ years. The resentence, however, was imposed nunc

pro tunc to the original sentence date of June 29, 2000 and was, as the court put it, “done the second the words are out of my mouth.” As to the 2005 conviction, the court resentenced defendant to the originally imposed eight-year aggregate prison term and, in addition, pronounced as part of the sentence a five-year PRS term. The Court rejected Collado’s contention that his 2009 resentence on the 2000 conviction operated to vitiate that conviction’s utility as a predicate for enhanced sentencing on the 2005 conviction.

The Appellate Division, for the reasons stated in its decision in *Acevedo*, held that Collado could not be sentenced as a predicate felon on the 2005 conviction based on a predicate conviction for which sentence was, by reason of the 2009 resentence, subsequently imposed. It, accordingly, reversed, again over the dissent of a single Justice, vacated the judgment of resentence in connection with the 2005 conviction and remanded the matter for resentencing (73 AD3d 608 [2010]).

Both of the above-described Appellate Division orders are now before us pursuant to leave granted by a Justice of that Court.

The decisive feature of these cases is, we believe, that the sentencing errors defendants sought to correct by resentencing were errors in their favor: PRS was illegally omitted from their original sentences. The only practical benefit defendants could possibly gain from the resentencings was to move their sentences to a later date, thus eliminating their prior crimes as predicates in their later cases. We would hold that this tactic was ineffective: in circumstances like these, the original sentencing date should be the one to be considered for predicate felony purposes.

By the time of their resentence motions, *Acevedo* and *Collado* had fully served the sentences originally imposed upon the convictions later used as predicates for sentence enhancement. Assuming, without deciding, that their resentences were not nullities under our subsequent decision in *People v Williams* (14 NY3d 198 [2010], *cert denied* 562 US —, 131 S Ct 125 [2010]; *but see* 14 NY3d at 217) and that they were not for that reason ineffective to alter the relevant sentencing sequences, it remains that resentencing is not in our view permissibly employed simply to leapfrog a sentence forward so as to vitiate its utility as a sentencing predicate.

It is true, of course, that we held in *Sparber* that the sole appellate remedy for the failure of the trial court to pronounce the

PRS component of a determinate sentence is to remit for vacatur of the original sentence followed by a resentence curing the omission (10 NY3d at 469-471). *Sparber* resentencing, however, was not the remedy sought by the *Sparber* appellants—whose object was not a proceeding to cure the omission of mandatory PRS from their original sentences, but the simple expungement of the PRS terms to which they had been subject (*id.*)—and, it is fair to say that *Sparber* resentencing is not from the perspective of most defendants remedial. Ordinarily, defendants do not move for the addition of PRS to their sentences. *Sparber* resentencing is rather a remedy most frequently sought by the Department of Correctional Services pursuant to Correction Law § 601-d to assure that a sentence in connection with which PRS is required will in fact legally impose that prescribed element of punishment.

In moving to be relieved of their original sentences and thereafter resentenced in connection with their prior felony convictions, defendants manifestly had no expectation that they would obtain “relief” from those originally imposed, fully discharged sentences. It is instead transparent, if only from the timing of their CPL 440.20 motions, that defendants’ purpose was, by means of vacatur and resentence, to render their prior convictions useless as predicates to enhance punishment for the crimes they subsequently committed. Resentence is not a device appropriately employed simply to alter a sentencing date and thereby affect the utility of a conviction as a predicate for the imposition of enhanced punishment.

The present scenarios afford no occasion to decide what effect a bona fide *Sparber* resentence, or any resentence other than the ones before us, should have for predicate felony purposes. All that we would decide is that the *Sparber* relief these defendants obtained was not effective to avoid the penal consequences of reoffending.

Accordingly, in each case, the order of the Appellate Division should be reversed and the order of Supreme Court reinstated.

PIGOTT, J. (concurring). I agree with Chief Judge Lippman’s opinion that defendants are not entitled to have their sentences set aside; but I reach this conclusion for different reasons.

Under New York’s Penal Law, a court may sentence a defendant as a second felony offender only if certain statutory conditions are met. One of those conditions is the obvious one, that

the sentence for the prior conviction must have been imposed before commission of the present felony (*see* Penal Law § 70.04 [1] [b] [ii]; § 70.06 [1] [b] [ii]).

People v Bell (73 NY2d 153 [1989]) is the seminal case addressing this rule. There, prior to pleading guilty to the predicate felony, the defendant was first successful in overturning two jury convictions. Defendant argued that the “sentence” for purposes of determining second felony offender status was the original sentence on the first overturned conviction, more than 10 years before the commission of his current crimes. This Court disagreed, holding that a “reversal” under the Criminal Procedure Law “means the vacating of such judgment” (CPL 470.10 [1]), which includes both the conviction and the sentence (CPL 1.20 [15]). Having successfully challenged his prior convictions, defendant could not thereafter claim that the date of the earliest reversed conviction controlled.

Unlike the scenario in *Bell*, when a defendant is resentenced based upon a *Sparber* error, the underlying conviction remains as does that part of the sentence imposing incarceration, because, under *Sparber* and its progeny, the purpose of the resentencing is simply to provide a process to correct a “procedural error,” “akin to a misstatement or clerical error” (*People v Sparber*, 10 NY3d 457, 472 [2008]).

Our recent holding in *People v Lingle* (16 NY3d 621 [2011]) makes this clear. We stated specifically that in remitting those several cases to Supreme Court we did so “for resentencing and the proper judicial pronouncement of the relevant PRS terms” (*id.* at 634, quoting *Sparber*, 10 NY3d at 465 [emphasis omitted]). We distinguished the decretal paragraph we used in *Sparber* (10 NY3d at 473), which directed that “the order of the Appellate Division should be modified by remitting to Supreme Court for a resentencing hearing that will include the proper pronouncement of the relevant PRS term,” from the remittal language we have used in other resentencing cases, noting, for example, that in a case where the court erred in ruling that a defendant was a predicate felon, we remitted for the court to vacate the original sentence and to resentence the defendant.

The resentencing hearings that took place in these *Sparber* appeals were limited to remedying the specific procedural error of the sentencing judge; i.e., to make the required PRS pronouncement (*Lingle*, 16 NY3d at 635 [“Put another way, resentencing to set right the flawed imposition of PRS at the original sentencing is not a plenary proceeding”]). The

convictions were undisturbed because the resentencing courts lacked the power to reconsider either the conviction or the incarceration component of the original sentence. As a result, the original sentence date remained. For these reasons, I would hold that when determining whether a defendant is a prior felony offender for purposes of sentencing under the Penal Law, the original sentence date on the prior conviction, and not the *Sparber* resentencing date, controls.

JONES, J. (dissenting). Defendants seek to vacate their predicate felony adjudications on the ground that they are not second felony offenders. Their predicate felony sentences were vacated and they were resentenced under *People v Sparber* (10 NY3d 457 [2008]). The resentencing in each case took place after the commission of the second felony. Penal Law § 70.06 (1) (b) (ii) makes absolutely clear that “[f]or the purpose of determining whether a prior conviction is a predicate felony conviction . . . [the s]entence upon such prior conviction must have been imposed before commission of the present felony.” Because this criterion is absent from these cases, I respectfully dissent.

This Court fashioned the following remedy for procedurally flawed impositions of PRS terms: “vacate the sentence and remit for a resentencing hearing so that the trial judge can make the required pronouncement” (*Sparber*, 10 NY3d at 471). Because vacating a sentence has the legal effect of rendering it a nullity, there is no doubt that the *Sparber* resentences have—for better or worse—affected defendants’ predicate felony status.

Here, the failure to pronounce defendants’ mandatory PRS terms at the predicate sentencing created the circumstance which mandated that defendants be resentenced. Because their resentencing under *Sparber* took place after the subsequent felony conviction, defendants’ proper sentences were not imposed until after the commission of the present felony; as such, defendants can no longer be classified as second felony offenders (see *People v Robles*, 251 AD2d 20 [1st Dept 1998]). Accordingly, I would vote to affirm the Appellate Division orders.

Judges CIPARICK and SMITH concur with Chief Judge LIPPMAN; Judge PIGOTT concurs in result in a separate opinion in which Judges GRAFFEO and READ concur; Judge JONES dissents and votes to affirm in another opinion.

In each case: Order reversed, etc.

[952 NE2d 1033, 929 NYS2d 41]

SHEILA ELIZABETH EDWARDS, Individually and as Executrix of RICHARD EDWARDS, Deceased, and as Administratrix of the Estate of BRIAN EDWARDS, Deceased, et al., Appellants, v ERIE COACH LINES COMPANY et al., Respondents, et al., Defendants.

MEAGAN GODWIN et al., Appellants, v TRENTWAY-WAGAR, INC., et al., Respondents, et al., Defendants.

TRACI BUTLER, Appellant, v STAGECOACH GROUP, PLC, et al., Defendants, and TRENTWAY-WAGAR, INC., et al., Respondents.

COURTNEY COWAN et al., Appellants, v STAGECOACH GROUP, PLC, et al., Respondents, et al., Defendants.

LAURALEE DAVIDSON, Appellant, v COACH USA, INC., et al., Respondents.

MICHAEL ROACH, Individually and as Representative of the Estate of CATHERINE ROACH, Deceased, et al., Appellants, v COACH USA, INC., et al., Respondents.

Argued June 2, 2011; decided June 30, 2011

SUMMARY

APPEALS, in the first above-entitled action, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from two orders of that Court, entered April 30, 2010. The Appellate Division (1) affirmed an order of the Supreme Court, Livingston County (Thomas M. Van Strydonck, J.), which had (a) granted the motion of defendants Erie Coach Lines Company, Coach Canada, Inc., Trentway-Wagar, Inc., and Ryan A. Comfort for an order determining that New York choice-of-law principles required that all loss-allocation issues be decided under the Ontario, Canada law of loss allocation, and (b) determined that the law of Ontario, Canada concerning noneconomic damages applied to this action; and (2) affirmed an order of that Supreme Court which had (a) granted the motion of defendants J&J Trucking, J&J Hauling, Inc., Joseph R. French and Pamela Zeiset, as administratrix of the estate of Ernest D. Zeiset, Jr., deceased, for an order determining that New York choice-of-law principles required that all loss-allocation issues be decided under the Ontario, Canada law of loss allocation, and (b) determined that the law of Ontario, Canada concerning noneconomic damages applied to this action.

The following question was certified by the Appellate Division with respect to both appeals: “Was the order of this Court entered April 30, 2010 properly made?”

APPEALS, in the second above-entitled action, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from two orders of that Court, entered April 30, 2010. The Appellate Division (1) affirmed an order of the Supreme Court, Livingston County (Thomas M. Van Strydonck, J.), which had (a) granted the motion of defendants Stagecoach Group, PLC, Coach USA, Inc., individually and doing business as Coach Canada, Inc., Trentway-Wagar, Inc., Erie Coach Lines Company, and Ryan A. Comfort for an order determining that New York choice-of-law principles required that all loss-allocation issues be decided under the Ontario, Canada law of loss allocation, and (b) determined that the law of Ontario, Canada concerning noneconomic damages applied to this action; and (2) affirmed an order of that Supreme Court which had (a) granted the motion of defendants J&J Hauling, Inc., Joseph R. French, individually and doing business as J&J Trucking, Inc., and/or J&J Hauling, Inc., and Pamela Zeiset, as administratrix of the estate of Ernest D. Zeiset, Jr., deceased, for an order determining that New York choice-of-law principles required that all loss-allocation issues be decided under the Ontario, Canada law of loss allocation, and (b) determined that the law of Ontario, Canada concerning noneconomic damages applied to this action. The following question was certified by the Appellate Division: “Were the orders of this Court entered April 30, 2010 properly made?”

APPEALS, in the third above-entitled action, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from two orders of that Court, entered April 30, 2010. The Appellate Division (1) affirmed an order of the Supreme Court, Livingston County (Thomas M. Van Strydonck, J.), which had (a) granted the motion of defendants Stagecoach Group, PLC, Coach USA, Inc., individually and doing business as Coach Canada, Inc., Trentway-Wagar, Inc., Erie Coach Lines Company, and Ryan A. Comfort for an order determining that New York choice-of-law principles required that all loss-allocation issues be decided under the Ontario, Canada law of loss allocation, and (b) determined that the law of Ontario, Canada concerning noneconomic damages applied to this action; and (2) affirmed an order of that Supreme Court which had (a) granted the motion of defendants J&J Hauling,

Inc., Joseph R. French, individually and doing business as J&J Trucking, Inc., and/or J&J Hauling, Inc., and Pamela Zeiset, as administratrix of the estate of Ernest D. Zeiset, Jr., deceased, for an order determining that New York choice-of-law principles required that all loss-allocation issues be decided under the Ontario, Canada law of loss allocation, and (b) determined that the law of Ontario, Canada concerning noneconomic damages applied to this action. The following question was certified by the Appellate Division: “Were the orders of this Court entered April 30, 2010 properly made?”

APPEALS, in the fourth above-entitled action, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from two orders of that Court, entered April 30, 2010. The Appellate Division (1) affirmed an order of the Supreme Court, Livingston County (Thomas M. Van Strydonck, J.), which had (a) granted the motion of defendants Stagecoach Group, PLC, Coach USA, Inc., individually and doing business as Coach Canada, Inc., Trentway-Wagar, Inc., Erie Coach Lines Company, and Ryan A. Comfort for an order determining that New York choice-of-law principles required that all loss-allocation issues be decided under the Ontario, Canada law of loss allocation, and (b) determined that the law of Ontario, Canada concerning noneconomic damages applied to this action; and (2) affirmed an order of that Supreme Court which had (a) granted the motion of defendants J&J Hauling, Inc., Joseph R. French, individually and doing business as J&J Trucking, Inc., and/or J&J Hauling, Inc., and Pamela Zeiset, as administratrix of the estate of Ernest D. Zeiset, Jr., deceased, for an order determining that New York choice-of-law principles required that all loss-allocation issues be decided under the Ontario, Canada law of loss allocation, and (b) determined that the law of Ontario, Canada concerning noneconomic damages applied to this action. The following question was certified by the Appellate Division: “Were the orders of this Court entered April 30, 2010 properly made?”

APPEALS, in the fifth above-entitled action, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from two orders of that Court, entered June 11, 2010. The Appellate Division (1) affirmed an order of the Supreme Court, Livingston County (Thomas M. Van Strydonck, J.), which had (a) granted the motion of defendants Coach USA, Inc., Coach Canada, Inc., Erie Coach Lines Company, individually and doing business as Coach Canada,

Inc., Trentway-Wagar, Inc., individually and doing business as Coach Canada, Inc., Trentway-Wagar (Properties) Inc., and Ryan A. Comfort for an order determining that New York choice-of-law principles required that all loss-allocation issues be decided under the Ontario, Canada law of loss allocation, and (b) determined that the law of Ontario, Canada concerning noneconomic damages applied to this action; and (2) affirmed an order of that Supreme Court which had (a) granted the motion of defendants J&J Hauling, Inc. and the estate of Ernest D. Zeiset, Jr., deceased, for an order determining that New York choice-of-law principles required that all loss-allocation issues be decided under the Ontario, Canada law of loss allocation, and (b) determined that the law of Ontario, Canada concerning noneconomic damages applied to this action. The following question was certified by the Appellate Division: “Were the orders of this Court entered June 11, 2010 properly made?”

APPEALS, in the sixth above-entitled action, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from two orders of that Court, entered June 11, 2010. The Appellate Division (1) affirmed an order of the Supreme Court, Livingston County (Thomas M. Van Strydonck, J.), which had (a) granted the motion of defendants Coach USA, Inc., Coach Canada, Inc., Erie Coach Lines Company, individually and doing business as Coach Canada, Inc., Trentway-Wagar, Inc., individually and doing business as Coach Canada, Inc., Trentway-Wagar (Properties) Inc., and Ryan A. Comfort for an order determining that New York choice-of-law principles required that all loss-allocation issues be decided under the Ontario, Canada law of loss allocation, and (b) determined that the law of Ontario, Canada concerning noneconomic damages applied to this action; and (2) affirmed an order of that Supreme Court which had (a) granted the motion of defendants J&J Hauling, Inc. and the estate of Ernest D. Zeiset, Jr., deceased, for an order determining that New York choice-of-law principles required that all loss-allocation issues be decided under the Ontario, Canada law of loss allocation, and (b) determined that the law of Ontario, Canada concerning noneconomic damages applied to this action. The following question was certified by the Appellate Division: “Were the orders of this Court entered June 11, 2010 properly made?”

Edwards v Erie Coach Lines Co., 72 AD3d 1588, modified.

Edwards v Erie Coach Lines Co., 72 AD3d 1589, modified.

Godwin v Stagecoach Group, PLC, 72 AD3d 1587, modified.

Godwin v Stagecoach Group, PLC, 72 AD3d 1587, modified.

Butler v Stagecoach Group, PLC, 72 AD3d 1581, modified.

Butler v Stagecoach Group, PLC, 72 AD3d 1586, modified.

Cowan v Stagecoach Group, PLC, 72 AD3d 1586, modified.

Cowan v Stagecoach Group, PLC, 72 AD3d 1586, modified.

Davidson v Coach USA, Inc., 74 AD3d 1813, modified.

Davidson v Coach USA, Inc., 74 AD3d 1814, modified.

Roach v Coach USA, Inc., 74 AD3d 1813, modified.

Roach v Coach USA, Inc., 74 AD3d 1813, modified.

HEADNOTES

Pleading — Sufficiency of Pleading — Law of Foreign Country — Judicial Notice

1. In related wrongful death and personal injury actions brought by plaintiff residents of Ontario, Canada against defendant residents of Ontario, Canada and defendant residents of Pennsylvania arising from a motor vehicle accident that occurred in New York, the lower courts were not foreclosed from engaging in choice-of-law analysis by the failure of defendants to raise in their answers the law of Ontario, Canada capping noneconomic damages. CPLR 4511 (b) vests Supreme Court with discretion to take judicial notice of foreign law prior to the presentation of evidence at trial. The statute states that the court shall take judicial notice of specified matters (which include the laws of foreign countries or their political subdivisions) if a party so requests, furnishes the court sufficient data to enable it to take judicial notice, and advises adverse parties of its intent to ask the court to take judicial notice. Defendants complied with these three conditions when they made their pretrial motions for orders determining that, under New York's choice-of-law principles, Ontario law applied to "all loss allocation issues" here. Although CPLR 3016 (e) provides that where a defense is based upon foreign law "the substance of the foreign law relied upon shall be stated," CPLR 3016 (e) must be read together with CPLR 4511 (b), which provides that a court can on its own volunteer to give the foreign law judicial notice. Moreover, there was no unfairness or prejudice here. A split-domicile lawsuit, such as this one, always presents a choice-of-law dilemma where loss-allocation rules conflict. The issue may have lain dormant during discovery, but there was no reason for plaintiffs to assume that it had vanished.

Conflict of Laws — Law Governing Tort Actions — Plaintiff-by-Defendant Inquiry

2. In related wrongful death and personal injury actions brought by plaintiff residents of Ontario, Canada against defendant residents of Ontario, Canada and defendant residents of Pennsylvania arising from a motor vehicle accident that occurred in New York, the proper choice-of-law analysis was to consider each plaintiff vis-à-vis each defendant. *Neumeier v Kuehner* (31 NY2d 121 [1972]) set up a three-rule framework for resolving choice-of-law conflicts in loss-allocation situations. The rules in the *Neumeier* framework by their very nature call for a plaintiff-by-defendant inquiry in cases, such as here, with multiple tortfeasors.

Conflict of Laws — Law Governing Tort Actions — Plaintiff and Defendant Both Domiciliaries of Ontario

3. In related wrongful death and personal injury actions brought by plaintiff residents of Ontario, Canada against defendant residents of Ontario, Canada

and defendant residents of Pennsylvania arising from a motor vehicle accident that occurred in New York, the law of Ontario, Canada capping noneconomic damages controlled any such award against defendant Ontario residents because they shared an Ontario domicile with plaintiffs. Under the first *Neumeier* rule (*Neumeier v Kuehner*, 31 NY2d 121 [1972]), when the plaintiff and the defendant share a common domicile, that law should control. The domiciliary jurisdiction, which has weighed the competing considerations underlying the loss-allocation rule at issue, had the greater interest in enforcing the decisions of both parties to accept both the benefits and the burdens of identifying with that jurisdiction and to submit themselves to its authority. Ontario has weighed the interests of tortfeasors and their victims in cases of catastrophic personal injury, and has elected to safeguard its domiciliaries from large awards for nonpecuniary damages. Ontario's decision, which differs from but certainly does not offend New York's public policy, should be respected by New York courts.

Conflict of Laws — Law Governing Tort Actions — Domicile of Plaintiff, Domicile of Defendant and Place of Tort are All Different

4. In related wrongful death and personal injury actions brought by plaintiff residents of Ontario, Canada against defendant residents of Ontario, Canada and defendant residents of Pennsylvania arising from a motor vehicle accident that occurred in New York, the law of Ontario, Canada capping noneconomic damages did not control any such award against defendant Pennsylvania residents, as New York law applied. The third *Neumeier* rule (*Neumeier v Kuehner*, 31 NY2d 121 [1972]) establishes the place of the tort—here, New York—as the normally applicable choice in a conflicts situation such as the one here involving the Pennsylvania resident defendants, where the domicile of plaintiffs, the domicile of defendants and the place of the tort are different. There was no cause to contemplate a jurisdiction other than New York, the place where the conduct causing injuries and the injuries themselves occurred. Defendant Pennsylvania residents did not ask Supreme Court to consider the law of their domicile, and they had no contacts whatsoever with Ontario other than the happenstance that plaintiffs and the other defendants were domiciled there.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Conflict of Laws §§ 3, 7, 8, 11–13, 18, 19, 111–114, 133; AM JUR 2d, Evidence §§ 115, 121, 124.
CARMODY-WAIT 2d, General Rules of Pleading § 27:27;
CARMODY-WAIT 2d, Presentation of the Case § 56:30.
MCKINNEY'S, CPLR 3016 (e); 4511 (b).
NY JUR 2d, Conflict of Laws §§ 5, 6, 8, 19, 53, 54, 63, 78;
NY JUR 2d, Evidence and Witnesses §§ 25, 37.
SIEGEL, NY PRAC § 216.

ANNOTATION REFERENCE

See ALR Index under Conflict of Laws; Judicial Notice.

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POINTS OF COUNSEL

Seeger Weiss LLP, New York City (*TerriAnne Benedetto* and *Christopher A. Seeger* of counsel), for appellants in the first above-entitled action. I. This Court's review should be de novo. (*Bodea v TransNat Express*, 286 AD2d 5; *Cunningham v Williams*, 28 AD3d 1211; *LaForge v Normandin*, 158 AD2d 990; *Schwartz v Liberty Mut. Ins. Co.*, 539 F3d 135.) II. Because of prejudice to plaintiffs resulting from defendants' delay in raising the issue of the Ontario cap, the lower courts should have applied New York law without even engaging in a choice-of-law analysis—CPLR 4511 (b) does not render meaningless CPLR 3016 (e), despite the holding of the Third Department in *Burns v Young* (239 AD2d 727 [1997]). (*Cole v Mandell Food Stores*, 93 NY2d 34; *People v Lawrence*, 64 NY2d 200; *Shepardson v Town of Schodack*, 83 NY2d 894; *Bryndle v Safety-Kleen Sys., Inc.*, 66 AD3d 1396; *McCaskey, Davies & Assoc. v New York City Health & Hosps. Corp.*, 59 NY2d 755; *Neumeier v Kuehner*, 31 NY2d 121; *Bank of N.Y. v Norilsk Nickel*, 14 AD3d 140; *Galarraga v City of New York*, 54 AD3d 308; *Hilltop Nyack Corp. v TRMI Holdings*, 275 AD2d 440; *Ingraham v United States*, 808 F2d 1075.) III. *Schultz v Boy Scouts of Am.* (65 NY2d 189 [1995]) is distinguishable—rather than utilizing a *Schultz* framework with separate defendant-by-defendant analyses under *Neumeier v Kuehner* (31 NY2d 121 [1972]), a single, joint *Neumeier* analysis is appropriate under the facts of this case. (*Babcock v Jackson*, 12 NY2d 473; *Cooney v Osgood Mach.*, 81 NY2d 66; *Padula v Lilarn Props. Corp.*, 84 NY2d 519; *Feldman v Acapulco Princess Hotel*, 137 Misc 2d 878; *King v Car Rentals, Inc.*, 29 AD3d 205; *Zatuchny v "John Doe"*, 34 AD3d 398; *Cunningham v Williams*, 28 AD3d 1211.) IV. The exception to the third *Neumeier* rule is not triggered by virtue of the fact that no party was advocating for the application of Pennsylvania law—the *Schultz* Court's rationale for resorting to the exception to the third *Neumeier* rule is not applicable here—instead, the Fourth Department's analyses in *Bodea v TransNat Express* (286 AD2d 5 [2001]) and *Burnett v Columbus McKinnon Corp.* (69 AD3d 58 [2009]) in declining to resort to the exception are applicable. (*Aviles v Port Auth. of N.Y. & N.J.*, 202 AD2d 45; *Hoogenboom v Gilmore*, 278 AD2d 895; *Schultz v Boy Scouts of Am.*, 65 NY2d 189; *Neumeier v Kuehner*, 31 NY2d 121.) V. New York has a significant interest in applying its law to this dispute wherein plaintiffs, who had

come to New York as tourists, were severely injured or killed in an accident between two commercial vehicles being operated on New York roadways for profit—because of New York’s significant interest, the exception to the third *Neumeier* rule is not triggered. (*Neumeier v Kuehner*, 31 NY2d 121; *Schultz v Boy Scouts of Am.*, 65 NY2d 189; *Reale v Herco, Inc.*, 183 AD2d 163; *Cooney v Osgood Mach.*, 81 NY2d 66; *Bodea v TransNat Express*, 286 AD2d 5; *Hoogenboom v Gilmore*, 278 AD2d 895.) VI. Allowing the normal, predictable ramifications of joint and several liability to take effect does not create uncertainty such that the exception to the third *Neumeier* rule is triggered, particularly where defendants specifically acknowledged that joint and several liability applied and that each set of defendants was 100% liable to plaintiffs. (*Neumeier v Kuehner*, 31 NY2d 121; *Schultz v Boy Scouts of Am.*, 65 NY2d 189.) VII. New York public policy should be implicated to require the application of New York law where defendants are business entities operating commercial vehicles for profit on New York roadways where plaintiffs were tourists in New York and where, if the foreign case law imposing a cap is applied, innocent bus passenger plaintiffs’ damages will be subject to the cap, while recoveries of other plaintiffs related to the culpable driver of the tractor-trailer will not be similarly limited. (*Schultz v Boy Scouts of Am.*, 65 NY2d 189; *Brink’s Ltd. v South African Airways*, 93 F3d 1022; *Bader by Bader v Purdom*, 841 F2d 38; *Cooney v Osgood Mach.*, 81 NY2d 66; *Loucks v Standard Oil Co. of N.Y.*, 224 NY 99; *Hamilton v Accu-Tek*, 47 F Supp 2d 330; *Welsbach Elec. Corp. v MasTec N. Am., Inc.*, 7 NY3d 624; *Edwards v Mercy Home for Children & Adults*, 303 AD2d 543; *Phelan v Budget Rent A Car Sys.*, 267 AD2d 654; *Kilberg v Northeast Airlines*, 9 NY2d 34.)

Hiscock & Barclay, LLP, Rochester (Anthony J. Piazza, Mark T. Whitford Jr. and Joseph A. Wilson of counsel), for Erie Coach Lines Company and others, respondents in the first above-entitled action. I. Ontario’s loss-allocation law should apply. (*Padula v Lilarn Props. Corp.*, 84 NY2d 519; *Tanges v Heidelberg N. Am.*, 93 NY2d 48; *Kniery v Cottrell, Inc.*, 59 AD3d 1060; *Matter of Allstate Ins. Co. [Stolarz—New Jersey Mfrs. Ins. Co.]*, 81 NY2d 219; *Bodea v TransNat Express*, 286 AD2d 5; *Cunningham v Williams*, 28 AD3d 1211; *Babcock v Jackson*, 12 NY2d 473; *Cooney v Osgood Mach.*, 81 NY2d 66; *Schultz v Boy Scouts of Am.*, 65 NY2d 189; *Burnett v Columbus McKinnon Corp.*, 69 AD3d 58.) II. The application of Ontario’s loss-allocation rules does not violate New York’s public policy. (*Schultz v Boy Scouts of Am.*, 65 NY2d 189; *Loucks v Standard*

Oil Co. of N.Y., 224 NY 99; *Cooney v Osgood Mach.*, 81 NY2d 66; *Mertz v Mertz*, 271 NY 466; *Phelan v Budget Rent A Car Sys.*, 267 AD2d 654.) III. Plaintiffs' contentions concerning the timing of defendants' motions are without merit. (*Burnett v Columbus McKinnon Corp.*, 69 AD3d 58; *King v Car Rentals, Inc.*, 29 AD3d 205; *Dorsey v Yantambwe*, 276 AD2d 108; *Florio v Fisher Dev.*, 309 AD2d 694; *Bodea v TransNat Express*, 286 AD2d 5; *Mensah v Moxley*, 235 AD2d 910; *Shepardson v Town of Schodack*, 83 NY2d 894; *Burns v Young*, 239 AD2d 727; *Friedman v Connecticut Gen. Life Ins. Co.*, 9 NY3d 105.)

Culley, Marks, Tannenbaum & Pezzulo, LLP, Rochester (Glenn E. Pezzulo of counsel), for J&J Trucking and others, respondents in the first above-entitled action. I. Plaintiffs failed to demonstrate prejudice from defendants' reliance on Ontario's loss-allocation law. (*Burns v Young*, 239 AD2d 727.) II. The Appellate Division's analysis of *Neumeier v Kuehner* (31 NY2d 121 [1972]) and *Schultz v Boy Scouts of Am.* (65 NY2d 189 [1985]) was correct. (*Cooney v Osgood Mach.*, 81 NY2d 66; *Poplar v Bourjois, Inc.*, 298 NY 62; *Babcock v Jackson*, 12 NY2d 473; *Bodea v TransNat Express*, 286 AD2d 5; *Reach v Pearson*, 860 F Supp 141; *Marillo v Benjamin Moore & Co.*, 32 AD3d 1313; *Mensah v Moxley*, 235 AD2d 910.) III. Applying New York law to the tractor-trailer defendants ignores the 90/10 liability agreement and creates uncertainty. IV. Plaintiffs failed to meet their burden with respect to the New York public policy argument. (*Schultz v Boy Scouts of Am.*, 65 NY2d 189; *Phelan v Budget Rent A Car Sys.*, 267 AD2d 654.)

Clark, Gagliardi & Miller, P.C., White Plains (Lawrence T. D'Aloise, Jr., of counsel), for appellants in the second, third and fourth above-entitled actions. Defendants have waived and are estopped from claiming that the Ontario limitation on damages applies because they did not plead the limitation as an affirmative defense. (*Burns v Young*, 239 AD2d 727; *Cole v Mandell Food Stores*, 93 NY2d 34; *Matter of Eighth Jud. Dist. Asbestos Litig.*, 8 NY3d 717; *Alas Intl. v Ramiz*, 257 AD2d 408; *Shepardson v Town of Schodack*, 83 NY2d 894.) II. If the conflict of law issues are analyzed separately with respect to the bus and tractor-trailer defendants, New York law applies to the claims against the tractor-trailer defendants. (*Neumeier v Kuehner*, 31 NY2d 121; *Bodea v TransNat Express*, 286 AD2d 5; *Sullivan v McNicholas Transfer Co.*, 224 AD2d 966; *Cooney v Osgood Mach.*, 81 NY2d 66.) III. If the claims against all defendants are considered in one conflicts analysis, New York law applies to

plaintiffs' pain and suffering claims. (*Schultz v Boy Scouts of Am.*, 65 NY2d 189; *Neumeier v Kuehner*, 31 NY2d 121; *Cooney v Osgood Mach.*, 81 NY2d 66; *King v Car Rentals, Inc.*, 29 AD3d 205; *Gilbert v Seton Hall Univ.*, 332 F3d 105; *Bodea v TransNat Express*, 286 AD2d 5; *Cunningham v Williams*, 28 AD3d 1211.) IV. New York's public policy is implicated in these cases. (*Schultz v Boy Scouts of Am.*, 65 NY2d 189; *Loucks v Standard Oil Co. of N.Y.*, 224 NY 99; *Kilberg v Northeast Airlines*, 9 NY2d 34.)

Hiscock & Barclay, LLP, Rochester (Anthony J. Piazza, Mark T. Whitford Jr. and Joseph A. Wilson of counsel), for Trentway-Wager, Inc. and others, respondents in the second, third and fourth above-entitled actions. I. Ontario's loss-allocation law should apply. (*Padula v Lilarn Props. Corp.*, 84 NY2d 519; *Tanges v Heidelberg N. Am.*, 93 NY2d 48; *Kniery v Cottrell, Inc.*, 59 AD3d 1060; *Matter of Allstate Ins. Co. [Stolarz—New Jersey Mfrs. Ins. Co.]*, 81 NY2d 219; *Bodea v TransNat Express*, 286 AD2d 5; *Cunningham v Williams*, 28 AD3d 1211; *Mensah v Moxley*, 235 AD2d 910; *Babcock v Jackson*, 12 NY2d 473; *Cooney v Osgood Mach.*, 81 NY2d 66; *Schultz v Boy Scouts of Am.*, 65 NY2d 189.) II. The application of Ontario's loss-allocation rules does not violate New York's public policy. (*Schultz v Boy Scouts of Am.*, 65 NY2d 189; *Loucks v Standard Oil Co. of N.Y.*, 224 NY 99; *Cooney v Osgood Mach.*, 81 NY2d 66; *Mertz v Mertz*, 271 NY 466; *Phelan v Budget Rent A Car Sys.*, 267 AD2d 654.) III. The bus defendants did not wave their right to rely upon Ontario law. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Nichols v Diocese of Rochester*, 42 AD3d 903; *Burnett v Columbus McKinnon Corp.*, 69 AD3d 58; *Florio v Fisher Dev.*, 309 AD2d 694; *Bodea v TransNat Express*, 286 AD2d 5; *Mensah v Moxley*, 235 AD2d 910; *Shepardson v Town of Schodack*, 83 NY2d 894.)

Culley, Marks, Tannenbaum & Pezzulo, LLP, Rochester (Glenn E. Pezzulo of counsel), for J&J Hauling, Inc. and others, respondents in the second, third and fourth above-entitled actions. I. There was no need for defendants to affirmatively plead reliance on Ontario's loss-allocation law. (*Burns v Young*, 239 AD2d 727.) II. A choice-of-law analysis under *Neumeier v Kuehner* (31 NY2d 121 [1972]) and *Schultz v Boy Scouts of Am.* (65 NY2d 189 [1985]) correctly results in the application of the exception to the third *Neumeier* rule. (*Babcock v Jackson*, 12 NY2d 473.) III. Ontario, not New York, has the significant interest in applying its own law to the instant case. (*Schultz v Boy Scouts of Am.*, 65 NY2d 189; *Bodea v TransNat Express*, 286

AD2d 5; *Neumeier v Kuehner*, 31 NY2d 121; *Dorsey v Yantambwe*, 276 AD2d 108, 96 NY2d 712; *Mensah v Moxley*, 235 AD2d 910; *Marillo v Benjamin Moore & Co.*, 32 AD3d 1313.) IV. Plaintiffs failed to meet their burden with respect to the New York public policy argument. (*Schultz v Boy Scouts of Am.*, 65 NY2d 189.)

Kelly & Leonard, LLP, Ballston Spa (*Mitchell A. Toups* and *Thomas E. Kelly* of counsel), for appellants in the fifth and sixth above-entitled actions. I. This Court should review the decisions of the trial court de novo. (*Bodea v TransNat Express*, 286 AD2d 5; *Cunningham v Williams*, 28 AD3d 1211; *LaForge v Normandin*, 158 AD2d 990; *Schwartz v Liberty Mut. Ins. Co.*, 539 F3d 135.) II. *Schultz v Boy Scouts of Am.* (65 NY2d 189 [1985]) is distinguishable—rather than utilizing a *Schultz* framework with separate defendant-by-defendant analyses under *Neumeier v Kuehner* (31 NY2d 121 [1972]), a single, joint *Neumeier* analysis is appropriate under the facts of this case. (*Babcock v Jackson*, 12 NY2d 473; *Cooney v Osgood Mach.*, 81 NY2d 66; *Padula v Lilarn Props. Corp.*, 84 NY2d 519; *Feldman v Acapulco Princess Hotel*, 137 Misc 2d 878; *King v Car Rentals, Inc.*, 29 AD3d 205; *Zatuchny v “John Doe”*, 34 AD3d 398.) III. The trial court erred in applying the exception to the third *Neumeier* rule because the situs of the accident, New York, was not merely fortuitous in this case, as it was in *Schultz v Boy Scouts of Am.* (65 NY2d 189 [1985]) and, thus, displacing the ordinarily applicable law of the situs would create greater uncertainty here. (*Neumeier v Kuehner*, 31 NY2d 121; *Phelan v Budget Rent A Car Sys.*, 267 AD2d 654; *Cooney v Osgood Mach.*, 81 NY2d 66; *Aboud v Budget Rent A Car Corp.*, 29 F Supp 2d 178; *Reale v Herco, Inc.*, 183 AD2d 163; *Huang v Lee*, 734 F Supp 71; *Bodea v TransNat Express*, 286 AD2d 5; *Aviles v Port Auth. of N.Y. & N.J.*, 202 AD2d 45.) IV. The trial court erred in applying the Ontario cap because its application is truly obnoxious to New York public policy under the facts of this case. (*Brink’s Ltd. v South African Airways*, 93 F3d 1022, 519 US 1116; *Bader by Bader v Purdom*, 841 F2d 38; *Schultz v Boy Scouts of Am.*, 65 NY2d 189; *Cooney v Osgood Mach.*, 81 NY2d 66; *Loucks v Standard Oil Co. of N.Y.*, 224 NY 99; *Hamilton v Accu-Tek*, 47 F Supp 2d 330; *Ornstein v New York City Health & Hosps. Corp.*, 10 NY3d 1; *Losquadro v Winthrop Univ. Hosp.*, 216 AD2d 533; *Phelan v Budget Rent A Car Sys.*, 267 AD2d 654; *Aboud v Budget Rent A Car Corp.*, 29 F Supp 2d 178.) V. The trial court erred in even entertaining defendants’ eleventh-hour choice-of-law motion. (*Reach v Pearson*, 860 F Supp 141;

Schultz v Boy Scouts of Am., 65 NY2d 189; *Neumeier v Kuehner*, 31 NY2d 121; *Babcock v Jackson*, 12 NY2d 473; *Bodea v TransNat Express*, 286 AD2d 5; *RCLA, LLC v 50-09 Realty, LLC*, 48 AD3d 538; *Loomis v Civetta Corinno Constr. Corp.*, 54 NY2d 18; *Cole v Mandell Food Stores*, 93 NY2d 34; *Blacklink Transp. Consultants Pty Ltd. v Von Summer*, 18 Misc 3d 1113[A], 2008 NY Slip Op 50017[U]; *Matter of Eighth Jud. Dist. Asbestos Litig.*, 8 NY3d 717.)

Hiscock & Barclay, LLP, Rochester (Anthony J. Piazza and Mark T. Whitford Jr. of counsel), for Coach USA, Inc. and others, respondents in the fifth and sixth above-entitled actions. I. Ontario's loss-allocation law should apply. (*Padula v Lilarn Props. Corp.*, 84 NY2d 519; *Tanges v Heidelberg N. Am.*, 93 NY2d 48; *Kniery v Cottrell, Inc.*, 59 AD3d 1060; *Matter of Allstate Ins. Co. [Stolarz—New Jersey Mfrs. Ins. Co.]*, 81 NY2d 219; *Bodea v TransNat Express*, 286 AD2d 5; *Cunningham v Williams*, 28 AD3d 1211; *Babcock v Jackson*, 12 NY2d 473; *Cooney v Osgood Mach.*, 81 NY2d 66; *Schultz v Boy Scouts of Am.*, 65 NY2d 189; *Burnett v Columbus McKinnon Corp.*, 69 AD3d 58.) II. The application of Ontario's loss-allocation rules does not violate New York's public policy. (*Schultz v Boy Scouts of Am.*, 65 NY2d 189; *Loucks v Standard Oil Co. of N.Y.*, 224 NY 99; *Cooney v Osgood Mach.*, 81 NY2d 66; *Mertz v Mertz*, 271 NY 466; *Phelan v Budget Rent A Car Sys.*, 267 AD2d 654.) III. Plaintiff's remaining contentions are without merit. (*Burnett v Columbus McKinnon Corp.*, 69 AD3d 58; *King v Car Rentals, Inc.*, 29 AD3d 205; *Dorsey v Yantambwe*, 276 AD2d 108; *Florio v Fisher Dev.*, 309 AD2d 694; *Bodea v TransNat Express*, 286 AD2d 5; *Mensah v Moxley*, 235 AD2d 910; *Shepardson v Town of Schodack*, 83 NY2d 894; *Burns v Young*, 239 AD2d 727; *Friedman v Connecticut Gen. Life Ins. Co.*, 9 NY3d 105; *Cunningham v Williams*, 28 AD3d 1211.)

Culley, Marks, Tanenbaum & Pezzulo, LLP, Rochester (Glenn E. Pezzulo of counsel), for J&J Hauling, Inc. and others, respondents in the fifth and sixth above-entitled actions. I. The Appellate Division's analysis of *Neumeier v Kuehner* (31 NY2d 121 [1972]) and *Schultz v Boy Scouts of Am.* (65 NY2d 189 [1985]) was correct. (*Cooney v Osgood Mach.*, 81 NY2d 66; *Poplar v Bourjois, Inc.*, 298 NY 62; *Babcock v Jackson*, 12 NY2d 473; *Bodea v TransNat Express*, 286 AD2d 5; *Reach v Pearson*, 860 F Supp 141; *Marillo v Benjamin Moore & Co.*, 32 AD3d 1313; *Mensah v Moxley*, 235 AD2d 910.) II. Applying New York law to the tractor-trailer defendants ignores the 90/10 liability

agreement and creates uncertainty. (*Neumeier v Kuehner*, 31 NY2d 121.) III. Plaintiffs failed to meet their burden with respect to the New York public policy argument. (*Schultz v Boy Scouts of Am.*, 65 NY2d 189; *Phelan v Budget Rent A Car Sys.*, 267 AD2d 654.) IV. Plaintiffs failed to demonstrate prejudice from defendants' reliance on Ontario's loss-allocation law. (*Burns v Young*, 239 AD2d 727.)

OPINION OF THE COURT

READ, J.

Near Geneseo, New York on January 19, 2005 a charter bus carrying members of an Ontario women's hockey team plowed into the rear end of a tractor-trailer parked on the shoulder of the highway. Three bus passengers and the tractor-trailer's driver died; several bus passengers were seriously hurt. We are called upon to decide the choice-of-law issue presented by these six lawsuits, which were brought to recover damages for wrongful death and/or personal injuries.

I.

Nearly a half-century ago, in *Babcock v Jackson* (12 NY2d 473 [1963]), we abandoned what had long been our choice-of-law rule whereby the law of the place of the tort invariably governed. Because "in nearly all such cases, the conduct causing injury and the injury itself occurred in the same jurisdiction" (*id.* at 477 n 2), this rule offered "the advantages of certainty, ease of application and predictability," but at the expense of "the interest which [other] jurisdictions . . . [might] have in the resolution of particular issues" (*id.* at 478; *see also Cooney v Osgood Mach.*, 81 NY2d 66, 72 [1993] [place-of-the-tort theory "failed to accord any significance to the policies underlying the conflicting laws of other jurisdictions"]).

To "accomodat[e] the competing interests in tort cases with multi-State contacts," we adopted the "center of gravity" or "grouping of contacts" approach, which gave the "controlling effect to the law of the jurisdiction which, because of its relationship or contact with the occurrence or the parties, ha[d] the greatest concern with the specific issue raised in the litigation" (12 NY2d at 481). This new method of analysis, however, was

limited to competing loss-allocation—not conduct-regulating—rules.¹ As we explained in *Babcock*,

“[w]here the defendant’s exercise of due care in the operation of his automobile is in issue, the jurisdiction in which the allegedly wrongful conduct occurred will usually have a predominant, if not exclusive, concern. In such a case, it is appropriate to look to the law of the place of the tort so as to give effect to that jurisdiction’s interest in regulating conduct within its borders, and it would be almost unthinkable to seek the applicable rule in the law of some other place” (12 NY2d at 483).

The facts of *Babcock* illustrate how “grouping of contacts” worked. In that case, a New York passenger in a car operated by a New York driver was injured in an automobile accident that occurred in Ontario during a weekend trip to Canada. We noted that the trip began and was to end in New York, where the car was garaged, licensed and insured, and where the driver-passenger relationship arose (*id.* at 482-483). The “guest” passenger sued the “host” driver in New York for negligence. At the time, the Ontario guest statute barred the passenger from recovering damages from the driver,² while New York law did not.

Looking to the “grouping of contacts,” we decided that New York—not Ontario, the place of the tort—possessed “the dominant contacts and the superior claim for application of its law” as to whether the passenger should “recover[] for damages for a wrong concededly committed” (*id.* at 483). We commented that, in this context,

“[a]lthough the rightness or wrongness of [the driver’s] conduct may depend upon the law of the particular jurisdiction through which the automobile passes, the rights and liabilities of the parties which

1. Loss-allocation rules “prohibit, assign, or limit liability *after the tort occurs*,” whereas conduct-regulating rules “have the prophylactic effect of governing conduct to prevent injuries from occurring” in the first place (*Padula v Lilarn Props. Corp.*, 84 NY2d 519, 522 [1994] [emphasis added]).

2. This statute provided that “the owner or driver of a motor vehicle, other than a vehicle operated in the business of carrying passengers for compensation, is not liable for any loss or damage resulting from bodily injury to, or the death of any person being carried in . . . the motor vehicle” (*see* Highway Traffic Act of Province of Ontario [Ontario Rev Stat (1960) ch 172], § 105 [2], quoted in *Babcock*, 12 NY2d at 477).

stem from their guest-host relationship should remain constant and not vary and shift as the automobile proceeds from place to place. Indeed, such a result . . . accords with the interests of the host in procuring liability insurance adequate under the applicable law, and the interests of his insurer in reasonable calculability of the premium” (*id.* at 483-484 [internal quotation marks omitted]).

Over time, the “grouping of contacts” approach put into place by *Babcock* evolved into a more explicit “interest analysis.” This method of deciding choice-of-law issues “reject[ed] a quantitative grouping of contacts” because “[c]ontacts obtain significance only to the extent that they relate to the policies and purposes sought to be vindicated by the conflicting laws” (*Miller v Miller*, 22 NY2d 12, 17 [1968]; *see also Cooney*, 81 NY2d at 72 [“Of the various, sometimes competing, schools of thought on choice of law, the one that emerged as most satisfactory was ‘interest analysis,’ which sought to effect the law of the jurisdiction having the greatest interest in resolving the particular issue”]).

We refined our “interest analysis” so as “to assure a greater degree of predictability and uniformity” in *Neumeier v Kuehner* (31 NY2d 121, 127 [1972]), a case where a domiciliary of Ontario was killed when the automobile in which he was a passenger collided with a train in Ontario. The vehicle was owned and driven by a resident of New York, who was also killed in the accident. The passenger’s wife and administratrix, a citizen of Canada and a domiciliary of Ontario, brought an action for wrongful death in New York against the driver’s estate and the railway company, both of which interposed affirmative defenses involving the Ontario guest statute.³ The wife, asserting that the Ontario statute was unavailable, moved to dismiss the affirmative defenses, and Supreme Court denied the motion (63

3. When we handed down *Neumeier*, the Ontario guest statute provided that the owner or driver of a motor vehicle was not liable for damages for the injury or death of a guest-passenger in the absence of gross negligence (*see Highway Traffic Act of Province of Ontario* [Ont Rev Stat (1960) ch 172], § 105 [2], as amended by Ont Stat 1966, ch 64, § 20 [2], discussed in *Neumeier*, 31 NY2d at 124). We noted in *Neumeier* that although in *Babcock* we considered that the statute’s sole purpose was to protect Ontario defendants and their insurers from collusive lawsuits, “[f]urther research . . . revealed the distinct possibility that one purpose, and perhaps the only purpose [of the statute], was to protect owners and drivers against suits by ungrateful guests” (31 NY2d at 124 [citations and internal quotation marks omitted]).

Misc 2d 766 [1970]). The Appellate Division reversed (37 AD2d 70 [1971]), and asked us if its order was properly made. We answered, “No.”

Neumeier set up a three-rule framework for resolving choice of law in conflicts settings involving guest statutes, which by definition allocate losses after the tort occurs rather than regulate primary conduct. Under the first *Neumeier* rule, when the driver and passenger are domiciled in the same state, and the vehicle is registered there, the law of their shared jurisdiction controls (31 NY2d at 128). The second rule addresses the situation where the driver and the passenger are domiciled in different states, and the law of the place where the accident occurred favors its domiciliary. When the driver’s conduct occurs in the state where he is domiciled, which would not impose liability, that state’s law applies. Conversely, if the law of the place where the accident occurred permits the injured passenger to recover, then the driver, “in the absence of special circumstances,” may not interpose a conflicting law of his state as a defense (*id.*; see also *Cooney*, 81 NY2d at 73 [“In essence, . . . the second *Neumeier* rule adopts a ‘place of injury’ test for true conflict guest statute cases”]).

“In other situations, when the passenger and the driver are domiciled in different states, the rule is necessarily less categorical” (31 NY2d at 128). Thus, under the third *Neumeier* rule, the law of the state where the accident occurred governs unless “it can be shown that displacing that normally applicable rule will advance the relevant substantive law purposes without impairing the smooth working of the multi-state system or producing great uncertainty for litigants” (*id.*).

Since the passenger in *Neumeier* was domiciled in Ontario, where the guest statute did not allow recovery, and the driver in New York, the third rule—the law of the place of the tort (i.e., Ontario)—would normally control. We saw no reason to apply the third rule’s proviso since the wife “failed to show that [New York’s] connection with the controversy was sufficient to justify displacing” *lex loci delicti*, the law of the place of the wrong (*id.* at 129). The wife did not show that ignoring Ontario’s guest statute in a case “involv[ing] an Ontario-domiciled guest at the expense of a New Yorker . . . further[ed] the substantive law purposes of New York”; and “failure to apply Ontario’s law would impair . . . the smooth working of the multi-state system [and] produce great uncertainty for litigants by sanctioning forum shopping and thereby allowing a party to select a forum

[countenancing] a larger recovery than [that party's] own domicile" (*id.* [internal quotation marks omitted]).

We have routinely applied the *Neumeier* framework to conflicts in loss-allocation situations not involving guest statutes. For example, the issue in *Schultz v Boy Scouts of Am.* (65 NY2d 189 [1985]) was whether the doctrine of charitable immunity would apply in a lawsuit brought by plaintiffs domiciled in New Jersey. The plaintiffs were the parents of two boys, one of whom committed suicide. They sued the Boy Scouts of America and the Brothers of the Poor of St. Francis, Inc. for negligent hiring and supervision of a sexually abusive brother (also a defendant), who was supplied by the Franciscan Brothers, pursuant to an agreement with the Roman Catholic Archdiocese of Newark, as a teacher at a school owned and operated by the Archdiocese, and who was a scoutmaster of a Boy Scout troop sponsored by the school and chartered by the Boy Scouts. The plaintiffs' sons attended the class taught by the brother at the school, and were members of his scout troop.

Acts of sexual abuse were alleged to have taken place mostly during Boy Scout camping outings in New York, but also at the school in New Jersey.⁴ The Boy Scouts were domiciled in New Jersey; the Franciscan Brothers in Ohio. At the time the plaintiffs' causes of action arose, New Jersey and Ohio both recognized charitable immunity while New York did not. The Ohio rule, however, denied immunity in actions based on negligent hiring and supervision.⁵ And the plaintiffs' claims had already been determined to have been barred by the New Jersey doctrine of charitable immunity in an earlier action brought by the plaintiffs in New Jersey against the Archdiocese. We held that New Jersey law governed, and that the plaintiffs were precluded from relitigating its effect in light of the final determination in their action against the Archdiocese.

Under the first *Neumeier* rule, New Jersey law clearly controlled the plaintiffs' claim against the Boy Scouts because the plaintiffs and this defendant had "chosen to identify themselves in the most concrete form possible, domicile, with a jurisdiction that [had] weighed the interests of charitable tort-feasors and their victims and decided to retain the defense of charitable

4. We observed that "both parties and the dissent implicitly assume[d]" that "the locus of the tort . . . [was] New York because most of [the brother's] acts were committed [there]" (*Schultz*, 65 NY2d at 195).

5. We speculated that it was for this reason that the Franciscan Brothers never claimed that Ohio law governed (*Schultz*, 65 NY2d at 195).

immunity” (*id.* at 199-200). But because this was “the first case for our review [where] New York [was] the forum-locus rather than the parties’ common domicile,” we examined “the reasons most often advanced for applying the law of the forum-locus and those supporting application of the law of the common domicile” (*id.* at 200).

We identified those reasons “most often urged” to favor the forum-locus as “(1) to protect medical creditors who provided services to injured parties in the locus State, (2) to prevent injured tort victims from becoming public wards in the locus State and (3) the deterrent effect application of locus law [would have] on future tort-feasors in the locus State” (*id.* at 200). We opined that the first two reasons shared “common weaknesses,” since neither “necessarily require[d] application of the locus jurisdiction’s law, but rather invariably mandate[d] application of the law of the jurisdiction that would either allow recovery or allow . . . greater recovery” (*id.*). As a result, they were “subject to criticism . . . as being biased in favor of recovery” (*id.*). Further, we observed, neither consideration was relevant in *Schultz* since there was no evidence of unpaid medical creditors or that the plaintiffs were about to become wards of the state. As for the third reason, we acknowledged that although it was “conceivable that application of New York’s law in this case would have some deterrent effect on future tortious conduct” in New York, our “deterrent interest [was] considerably less because none of the parties [was] a resident and the rule in conflict [was] loss-allocating rather than conduct-regulating” (*id.*).

On the other side of the ledger, we toted up “persuasive reasons for consistently applying the law of the parties’ common domicile.” These included (1) reduced opportunities for forum shopping; (2) rebuttal of “charges that the forum-locus is biased in favor of its own laws and in favor of rules permitting recovery”; (3) “the concepts of mutuality and reciprocity support consistent application of the common-domicile rule” since “[i]n any given case, one person could be either plaintiff or defendant and one State could be either the parties’ common domicile or the locus, and yet the applicable law would not change depending on their status”; and (4) such a rule was “easy to apply and [brought] a modicum of predictability and certainty to an area of the law needing both” (*id.* at 201).

We then turned our attention to the plaintiffs’ claim against the Franciscan Brothers. We evaluated choice of law with

respect to this defendant under the third *Neumeier* rule “because the parties [were] domiciled in different jurisdictions with conflicting loss-distribution rules and the locus of the tort [was] New York, a separate jurisdiction”; and the law of the place of the tort would “normally apply” (*id.*). We decided, however, that this situation fit the proviso to the third rule “[f]or the same reasons stated in our analysis of the action against” the Boy Scouts; namely, this result “would further [New Jersey’s] interest in enforcing the decision of its domiciliaries to accept the burdens as well as the benefits of that State’s loss-distribution tort rules and its interest in promoting the continuation and expansion of [the Franciscan Brothers’] charitable activities in that State” (*id.*). In addition,

“although application of New Jersey’s law may not affirmatively advance the substantive law purposes of New York, it will not frustrate those interests because New York has no significant interest in applying its own law to this dispute. Finally, application of New Jersey law will enhance the smooth working of the multi-state system by actually reducing the incentive for forum shopping and it will provide certainty for the litigants whose only reasonable expectation surely would have been that the law of the jurisdiction where plaintiffs are domiciled and defendant sends its teachers would apply, not the law of New York where the parties had only isolated and infrequent contacts as a result of [the brother’s] position as Boy Scout leader” (*id.* at 201-202).

Finally, we rejected the plaintiffs’ argument that New York public policy foreclosed application of the New Jersey charitable immunity statute. We emphasized the difficulty of upsetting the choice of law in a conflicts situation on this basis; specifically, the proponent of a public policy bar would have to “establish that to enforce the foreign law ‘would violate some fundamental principle of justice, some prevalent conception of good morals, some deep-rooted tradition of the common weal’ expressed in them” (*id.* at 202). Further, “the proponent must establish that there [were] enough important contacts between the parties, the occurrence and the New York forum to implicate our public policy and thus preclude enforcement of the foreign law” (*id.*). We concluded that we did not need to decide whether enforcement of New Jersey’s charitable immunity statute offended

New York public policy “because there [were] not sufficient contacts between New York, the parties and the transactions involved to implicate our public policy and call for its enforcement” (*id.* at 203).

II.

The charter bus’s driver (Ryan A. Comfort), his employer (Erie Coach Lines Company), and the company that leased the bus (Trentway-Wagar, Inc.) are Ontario domiciliaries, as are (or were) all the injured and deceased passengers. The tractor-trailer driver (Ernest Zeiset) was a Pennsylvania domiciliary, as are his employer (Joseph French, doing business as J&J Trucking) and the companies that hired the trailer (Verdelli Farms, Inc. and V.F. Transportation, Inc.). The injured passengers and the representatives of those who died (collectively, plaintiffs) filed multiple wrongful death and personal injury lawsuits in Supreme Court.

These split-domicile lawsuits presented an obvious choice-of-law issue because Ontario caps noneconomic damages where negligence causes catastrophic personal injury,⁶ while New York does not cap such damages in a no-fault case involving serious injury. Following extensive discovery, Erie Coach, Trentway⁷ and Comfort (collectively, the bus defendants) and J&J Trucking, the administratrix of Zeiset’s estate, Verdelli Farms and V.F. Transportation (collectively, the trailer defendants) moved for orders from Supreme Court determining that, under New York’s choice-of-law principles, Ontario law applied to “all loss allocation issues” in these cases.

On March 23, 2009, Supreme Court granted both motions, noting that the Supreme Court of Canada had capped noneconomic damages at CDN \$100,000 in 1978 dollars, which was

6. The clearest statement of Canada’s rule appears in *Andrews v Grand & Toy Alberta, Ltd.* ([1978] 2 SCR 229 ¶ 98; see also *Thornton v Prince George School Dist. No. 57*, [1978] 2 SCR 267 ¶ 38; *Arnold v Teno*, [1978] 2 SCR 287 ¶¶ 108-109). The cap apparently applies only to “catastrophic personal injury cases” arising from negligence and medical malpractice (see *Young v Bella*, [2006] 1 SCR 108 ¶¶ 62-66 [Supreme Court of Canada rejected a nonpecuniary cap for defamation damages (¶ 65); stated that cases other than catastrophic personal injury cases do not raise the same policy considerations (*id.*); and left open the question whether policy considerations might warrant a cap in other circumstances (¶ 66)]).

7. Parent companies originally listed as defendants (Coach Canada, Inc., Stagecoach Group, PLC and Coach USA, Inc.) successfully moved for dismissal.

then equivalent to US \$310,000. In reaching its decisions, the court concluded that “[p]roper analysis” began with *Neumeier*. Citing the third *Neumeier* rule, the judge stated, without elaboration, that “[a]pplying Ontario loss allocation laws [would] not impair the smooth working of the multi-state system, and [would] advance the relevant substantive law purposes of the jurisdiction having the most significant connections to the allocation of loss”; and that Ontario “clearly [had] the predominant interest[] in applying its loss allocation laws to its citizens, whereas New York [had] no such interest.” Further, Supreme Court discussed *Schultz*, which it regarded as analogous; it saw no reason to consider Pennsylvania law since none of the parties requested this.

The trial of these cases was bifurcated, and, during the course of the jury trial on liability, the parties reached a settlement of that issue. In the stipulation of settlement, placed on the record on June 17, 2009, the bus defendants agreed to 90% and the trailer defendants to 10% liability. Meanwhile, plaintiffs had appealed Supreme Court’s orders determining that Ontario law would govern any award of noneconomic damages to be made at a damages trial. The Appellate Division affirmed (72 AD3d 1581, 1586, 1587, 1588, 1589 [4th Dept 2010]; 74 AD3d 1813, 1814 [4th Dept 2010]).

“As a preliminary matter,” the Appellate Division decided that Supreme Court “did not abuse its discretion by taking judicial notice of Ontario law . . . despite the failure of defendants to raise [its] applicability . . . as an affirmative defense and to provide the substance of the law in their pleadings in accordance with CPLR 3016 (e)” (72 AD3d at 1583). The court subscribed to the Third Department’s view, expressed in *Burns v Young* (239 AD2d 727, 728 [3d Dept 1997]), that “because CPLR 4511 (b) permits . . . judicial notice of the laws of foreign countries that are presented ‘prior to the presentation of any evidence at the trial,’ ” a court has discretion to apply the law of a foreign country notwithstanding “a party’s failure to comply with the requirement in [CPLR] 3016 (e) that the substance of such laws shall be set forth in the pleading” (72 AD3d at 1583). Further, the court rejected plaintiffs’ argument that the Ontario cap was procedural rather than substantive, citing *Davenport v Webb* (11 NY2d 392, 393 [1962]) for the “well established” proposition that “the measure of damages is substantive” (72 AD3d at 1583).

The Appellate Division agreed with Supreme Court’s bottom-line conclusion that the Ontario cap applied to damages

recovered from the bus and trailer defendants, but conducted separate choice-of-law analyses. With respect to the bus defendants, the court looked to the first *Neumeier* rule, which directs that the law of the parties' common domicile—here, Ontario—governs. The court observed that applying the law of a shared domicile reduced the risk of forum shopping; rebutted the charge of local bias; and served “ ‘the concepts of mutuality and reciprocity,’ ” which are “ ‘support[ed by the] consistent application of the common-domicile law’ ” (*id.* at 1584, quoting *Schultz*, 65 NY2d at 201).

As between plaintiffs and the trailer defendants, the Appellate Division applied the third *Neumeier* rule, which prefers the law of the place of the tort. Invoking the proviso to the third rule, the court decided, however, that Ontario law should govern, reasoning that “while applying Ontario law ‘[might] not affirmatively advance the substantive law purposes of New York, it [would] not frustrate those interests because New York has no significant interest in applying its own law to this dispute’ ” (72 AD3d at 1585, quoting *Schultz*, 65 NY2d at 201). The court also commented that New York law created great uncertainty for the litigants because the trailer defendants were only 10% liable for the accident pursuant to the parties' settlement. If the trailer defendants' exposure to noneconomic damages was unlimited while the bus defendants' liability for this item of damages was capped, the trailer defendants might end up paying far more than their stipulated share.

Finally, the Appellate Division concluded that plaintiffs failed to meet the “ ‘heavy burden’ of establishing that the application of Ontario law violate[d] the public policy of New York” (72 AD3d at 1585, quoting *Schultz*, 65 NY2d at 202). The court pointed out that “ ‘resort to the public policy exception should be reserved for those foreign laws that are truly obnoxious’ ” (*id.*, quoting *Cooney*, 81 NY2d at 79), which was not the case here. In any event, the Appellate Division decided that the parties' contacts were too few and limited in scope to implicate New York's public policy (72 AD3d at 1585, citing *Schultz*, 65 NY2d at 201-202).

The Appellate Division granted plaintiffs permission to appeal, and asked us whether its orders were properly made (2010 NY Slip Op 76969[U] [4th Dept 2010]). For the reasons that follow, we answer “No” with respect to the trailer defendants.

III.

[1] On this appeal, plaintiffs again contend that the lower courts were foreclosed from engaging in choice-of-law analysis because defendants did not raise the Ontario cap in their answers. In our view, defendants' motions were properly entertained. As the Appellate Division mentioned, CPLR 4511 (b) vests Supreme Court with discretion to take judicial notice of foreign law prior to the presentation of evidence at trial. This provision states that the court *shall* take judicial notice of specified matters (which include the laws of foreign countries or their political subdivisions) if a party so requests; furnishes the court sufficient data to enable it to take judicial notice; and advises adverse parties of its intent to ask the court to take judicial notice. This third requirement—notice to adverse parties—must be “given in the pleadings *or* prior to the presentation of any evidence at the trial, but a court may require or permit other notice” (CPLR 4511 [b] [emphasis added]). Defendants complied with these three conditions when they made their pretrial motions.

Plaintiffs rely on CPLR 3016 (e), however, which provides that “[w]here a cause of action or defense is based upon the law of a foreign country or its political subdivision, the substance of the foreign law relied upon *shall be stated*” (emphasis added). But CPLR 3016 (e) must be read together with CPLR 4511 (b). As a result, while “[o]bedience to [CPLR 3016 (e)]’s pleading requirement . . . would seem ipso facto to satisfy the trio of requirements necessary to *compel* judicial notice” under CPLR 4511 (b), “omission to plead the foreign law . . . need prove no more fatal, or serious, than any other omission under CPLR 3015 or 3016,” and “the fact that the court can on its own volunteer to give the foreign law judicial notice under CPLR 4511 (b) should further divest CPLR 3016 (e) of any undue rigidity” (see Connors, Practice Commentaries, McKinney’s Cons Laws of NY, Book 7B, CPLR C3016:8 [emphasis added]). Further, we do not detect the complained-of unfairness or prejudice. A split-domicile lawsuit, such as this one, always presents a choice-of-law dilemma where loss-allocation rules conflict. This issue may have lain dormant during discovery, but there was no reason for plaintiffs to assume that it had vanished.⁸

8. With respect to another preliminary matter raised by the Roach plaintiffs—whether the Ontario cap is “procedural” or “substantive”—we

(n. cont’d)

[2] Next, plaintiffs press for what they call a “single, joint *Neumeier* analysis” in cases, such as this one, with multiple tortfeasors. As a result, the Edwards plaintiffs argue, the trial judge “properly analyzed both sets of Defendants—those related to the bus and those related to the tractor trailer—together,” although he reached the wrong conclusion. In our view, however, the correct way to conduct a choice-of-law analysis is to consider each plaintiff vis-à-vis each defendant, which is essentially the approach taken by the Appellate Division. More to the point, this is the path we ourselves have already traveled: in *Schultz*, the plaintiffs likewise demanded judgment, jointly and severally, against multiple defendants, and we applied the *Neumeier* rules separately in relation to the New Jersey-domiciled Boy Scouts and the Ohio-domiciled Franciscan Brothers.⁹ The rules in the *Neumeier* framework, in fact, by their very nature call for a plaintiff-by-defendant inquiry.¹⁰

[3] Here, the Ontario cap controls any award of noneconomic damages against the bus defendants because they share an Ontario domicile with plaintiffs. We described the relevant choice-of-law principle and its rationale in *Cooney*:

“Under the first *Neumeier* rule, when [the plaintiff and the defendant] share a common domicile, that law should control. Indeed, when both parties are from the same jurisdiction, there is often little reason to apply another jurisdiction’s loss allocation

conclude that, however the cap may be characterized, it is a loss-allocation rule subject to “interest analysis” under New York’s choice-of-law principles.

9. The dissent seeks to distinguish *Schultz* from this case on the ground that the torts alleged in the former “were distinct acts occurring at different times” while here “the causes of action arise from a single incident” (dissenting op at 333). But regardless of the factual dissimilarities between the two cases, the defendants in *Schultz* were—just like defendants in this case—subject to joint and several liability for their separate allegedly tortious acts.

10. The dissent opines that “[a]pplying a single *Neumeier* analysis to jointly and severally liable defendants and having them subject to the same laws would further the goals of predictability and uniformity” (dissenting op at 333). Making multiple defendants ultimately subject to the same loss-allocation rules might make management of a case simpler for the courts and the parties. A “single . . . analysis,” however, would not guarantee “predictability and uniformity.” For one thing, under this approach the choice of law for loss allocation in a multi-state, multi-tortfeasor case would depend on which potential defendants a plaintiff chose to sue. The fact is, when we departed from *lex loci delicti* in *Babcock*, we knowingly sacrificed a degree of certainty so as to honor our sister states’ interests in enforcing their own loss-allocation rules with respect to their own domiciliaries (see *Babcock*, 12 NY2d at 478; *Cooney*, 81 NY2d at 72).

rules. The domiciliary jurisdiction, which has weighed the competing considerations underlying the loss allocation rule at issue, has the greater ‘interest in enforcing the decisions of both parties to accept both the benefits and the burdens of identifying with that jurisdiction and to submit themselves to its authority’ . . . Moreover, this rule reduces opportunities for forum shopping because the same law will apply whether the suit is brought in the locus jurisdiction or in the common domicile, the two most likely forums” (81 NY2d at 73, quoting *Schultz*, 65 NY2d at 198).

We had earlier made the same point at least as forcefully in *Schultz*, where we stressed that “the locus jurisdiction has *at best a minimal interest* in determining the right of recovery or the extent of the remedy in an action by a foreign domiciliary for injuries resulting from the conduct of a codomiciliary that was tortious under the laws of both jurisdictions” (65 NY2d at 198 [emphasis added]). We cited substantial precedent—*Tooker v Lopez* (24 NY2d 569, 576 [1969]), *Miller* (22 NY2d at 18-19) and *Babcock* (12 NY2d at 482)—to support this proposition.

In sum, Ontario has weighed the interests of tortfeasors and their victims in cases of catastrophic personal injury, and has elected to safeguard its domiciliaries from large awards for nonpecuniary damages. In lawsuits brought in New York by Ontario-domiciled plaintiffs against Ontario-domiciled defendants, New York courts should respect Ontario’s decision, which differs from but certainly does not offend New York’s public policy (*see Schultz*, 65 NY2d at 202 [emphasizing the “heavy burden” borne by a party seeking to show that a foreign law contravenes New York public policy]).

[4] Finally, we look to the third *Neumeier* rule to decide whether the Ontario cap controls with respect to the trailer defendants. Critically, the third rule establishes the place of the tort—here, New York—as the “normally applicable” choice in a conflicts situation such as this one, where the domicile of plaintiffs, the domicile of the trailer defendants and the place of the tort are different. Initially, the fact that the trailer defendants declined to advocate for Pennsylvania law does not permit them to take advantage of the Ontario cap. To rule otherwise would only encourage a kind of forum shopping. Moreover, the stipulation of settlement on liability is not relevant to “interest analysis,” which seeks to recognize and respect the policy

interests of a jurisdiction in the resolution of the particular issue where a conflict of law exists.

The trailer defendants contend that *Schultz* controls, meaning that their situation is comparable to that of the Franciscan Brothers, and so the law of New York should not govern, even though the accident occurred there. We do not agree. While New York employs “interest analysis” rather than “grouping of contacts,” the number and intensity of contacts is relevant when considering whether to deviate from *lex loci delicti* under the third *Neumeier* rule—i.e., whether even to analyze if displacing this “normally applicable” choice would “advance the relevant substantive law purposes without impairing the smooth working of the multi-state system or producing great uncertainty for litigants” (*Neumeier*, 31 NY2d at 128).

In *Schultz*, New Jersey was the state where the Franciscan Brothers supplied teachers for a New Jersey school, where some of the acts of sexual abuse allegedly took place, where one of the boys committed suicide, where the two boys allegedly suffered from and were treated for psychological injuries, where the Franciscan Brothers were said to have hired and failed to fire the brother. Under these circumstances, there was every reason to evaluate, under the proviso to the third *Neumeier* rule, whether New Jersey law should displace New York law with respect to the negligent hiring and supervision claim asserted against the Franciscan Brothers in the plaintiffs’ lawsuit. Here, by contrast, there was no cause to contemplate a jurisdiction other than New York, the place where the conduct causing injuries and the injuries themselves occurred. The trailer defendants did not ask Supreme Court to consider the law of their domicile, Pennsylvania, and they had no contacts whatsoever with Ontario other than the happenstance that plaintiffs and the bus defendants were domiciled there.

Accordingly, the orders in these cases should be modified, without costs, in accordance with this opinion and as so modified, affirmed, and the certified questions answered in the negative.

CIPARICK, J. (dissenting in part). Because I believe that a single analysis pursuant to *Neumeier v Kuehner* (31 NY2d 121 [1972]) should be applied where nondomiciliary defendants are jointly and severally liable to nondomiciliary plaintiffs in a tort action arising out of a single incident within the State of New York, and that under such an analysis New York law should

apply to all defendants for purposes of uniformity and predictability, I respectfully dissent.

Neumeier sets forth a three-rule framework for determining what law should govern when there is a conflict between the laws of the domiciles of the parties or the state in which the tort occurred.¹ The first *Neumeier* rule provides that when the plaintiff and the defendant are domiciled in the same state, the law of that state shall govern (*see* 31 NY2d at 128).

The second rule “addresses true conflicts, where the parties are domiciled in different States and the local law favors the respective domiciliary” (*Cooney*, 81 NY2d at 73 [internal quotation marks omitted]). This rule is not applicable to this case.

The third rule provides that when plaintiff and defendant are differently domiciled, the law of the location of the tort shall usually apply unless “it can be shown that displacing the normally applicable rule will advance the substantive law purposes without impairing the smooth working of the multi-state system or producing great uncertainty for litigants” (*Neumeier*, 31 NY2d at 128).

In this matter, all plaintiffs and the bus defendants are domiciliaries of Ontario whereas the tractor-trailer defendants are domiciled in Pennsylvania. The majority opines that each defendant should be analyzed separately under the *Neumeier* rules relying on *Schultz v Boy Scouts of Am.* (65 NY2d 189 [1985]) (*see* majority op at 329). In applying a separate *Neumeier* analysis to each defendant, the majority determines that Ontario law should apply to the bus defendants, while New York law should apply to the tractor-trailer defendants. I disagree.

While the facts in *Schultz* lent themselves to a separate analysis for each defendant, the facts in this case do not justify such an analysis. The plaintiffs in *Schultz* alleged that the two defendants, the Boy Scouts of America and the Brothers of the Poor of St. Francis, had each negligently hired and supervised the same sexually abusive employee. The alleged sexual abuse occurred while the plaintiffs’ sons were at a Boy Scout camp in New York and continued at a school in New Jersey. The tortious activities in *Schultz* took place over varied periods of time and in different locations. Moreover, there was no relationship between the defendants’ actions other than the fact that they

1. While the *Neumeier* rules specifically referred to guest statutes, the rules have been expanded to cover other loss-allocation conflicts (*see Cooney v Osgood Mach.*, 81 NY2d 66, 73 [1993]).

employed the same alleged bad actor. Because the torts were distinct acts occurring at different times, it was appropriate for us to perform a separate choice-of-law analysis.

In contrast, in the instant case, the causes of action arise from a single incident in New York—the collision of the bus into the parked tractor-trailer—and the liability of the defendants is interrelated (*see King v Car Rentals, Inc.*, 29 AD3d 205, 213 [2d Dept 2006] [“(b)ecause the liability of all of the defendants here is thus interrelated, the application of the laws of different jurisdictions to the several defendants may lead to unanticipated complications as potentially inconsistent law is applied”]).

Furthermore, a separate *Neumeier* analysis for differently domiciled defendants creates additional unpredictability and lack of uniformity in litigation that arises from a single incident. The purpose of the *Neumeier* rules is to “assure a greater degree of predictability and uniformity, on the basis of our present knowledge and experience” (31 NY2d at 127). Applying a single *Neumeier* analysis to jointly and severally liable defendants and having them subject to the same laws would further the goals of predictability and uniformity. In fact, this case illustrates the potential for grossly inequitable results when different laws are applied to defendants who are jointly and severally liable. Here, during a jury trial on liability, defendants entered into a stipulation whereby they agreed that they are 100% jointly and severally liable to plaintiffs and further agreed to apportion such liability between themselves at 90% to the bus defendants and the remaining 10% to the tractor-trailer defendants. The majority allows for a situation whereby the tractor-trailer defendants may end up paying more than the bus defendants because of the cap applied on noneconomic tort awards by Ontario—a patently absurd result. Therefore, to further the goal of predictability and uniformity, this matter should be analyzed under a single *Neumeier* analysis.

In analyzing this matter under a single *Neumeier* analysis, it is clear that, because plaintiffs and defendants are differently domiciled, the law of the site of the tort—here New York—should apply as set forth in the third *Neumeier* rule (*see* 31 NY2d at 128).² Moreover, the exception to the third *Neumeier* rule does not apply to these facts.

2. While the enumerated *Neumeier* rules describe situations with one plaintiff and one defendant, I see no reason why the rule should not be applied to situations, such as here, where there are multiple jointly and severally liable defendants (*see* Restatement [Second] of Conflict of Laws § 172).

Indeed, applying New York law here will not “impair . . . the smooth working of the multi-state system and produce great uncertainty for litigants by sanctioning forum shopping” (31 NY2d at 129 [internal quotation marks and brackets omitted]). New York was the site of the accident and the only state in which jurisdiction over all defendants could be acquired. New York is a proper location for this action and there is no indication that the cases were brought here on account of its favorable loss-allocation rules.

In addition, the exception to the third *Neumeier* rule should only apply when a state other than the forum-locus state has a “greate[r] interest in the litigation” (see *Schultz*, 65 NY2d at 197, quoting *Miller v Miller*, 22 NY2d 12, 15 [1968]; see also *Cooney*, 81 NY2d at 72). Here, it is uncontroverted that both defendants are commercial enterprises that perform significant business in the State of New York and more significantly are frequent users of New York’s highways in pursuit of their business. New York has a strong interest in the conduct of business enterprises on its highways and in properly compensating the victims of torts, whether New York or foreign domiciliaries, committed by business enterprises on its highways (see *Sullivan v McNicholas Transfer Co.*, 224 AD2d 966, 967 [4th Dept 1996] [applying Ohio law to an accident in Ohio because “Ohio has a substantial interest in regulating conduct on its highways and in ensuring that those who use its highway(s) will compensate those whom they have injured”]).

Thus, in determining which forum has the greatest interest in this litigation, it is clear that it is New York. Not only does New York have a strong interest in regulating the conduct of commercial vehicles on its highways, it also has an even stronger interest in having commercial vehicles that use its highways maintain insurance to compensate victims of torts committed by said vehicles. In contrast, Ontario’s primary interest in having its law applied and capping nonpecuniary losses is to keep motor vehicle insurance costs low (see *Arnold v Teno*, [1978] 2 SCR 287 ¶ 109). That interest, however, need not extend to commercial vehicles operating outside of Ontario and subject to the loss-allocation laws of those states.

Finally, because New York is “the only State with which [all] parties have purposefully associated themselves” (*Cooney*, 81 NY2d at 74) and availed themselves of New York highways for profit and tourism, applying New York law is entirely appropriate in this matter.

Accordingly, I would reverse the order of the Appellate Division.

Judges GRAFFEO, SMITH, PIGOTT and JONES concur with Judge READ; Judge CIPARICK dissents in part and votes to reverse in a separate opinion in which Chief Judge LIPPMAN concurs.

In each case: Orders modified, etc.

[953 NE2d 753, 929 NYS2d 515]

In the Matter of ARTHUR J. WALSH et al., Respondents, v ANITA S. KATZ et al., Respondents, and DANIEL C. ROSS, Appellant.
(And a Third-Party Action.)

Argued April 26, 2011; decided June 2, 2011

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 29, 2009. The Appellate Division order, insofar as appealed from, modified, on the law, an order of the Supreme Court, Suffolk County (Jeffrey Arlen Spinner, J.), entered in a proceeding pursuant to Election Law § 16-102, which had (1) converted that branch of respondent Daniel C. Ross's cross petition which was to annul Laws of 1860, chapter 113, § 2, as amended by Laws of 1898, chapter 373, § 1, as further amended by Laws of 1977, chapter 276, § 1 into a counterclaim and a third-party cause of action for a judgment declaring that such law is unconstitutional, (2) denied the petition, (3) dismissed the proceeding, without prejudice, and (4) granted that branch of the cross petition which was to validate the designating petition. The modification consisted of, in part, remitting the matter to Supreme Court for the entry of a judgment declaring that respondent Daniel C. Ross did not establish that the challenged law is unconstitutional.

Matter of Walsh v Katz, 66 AD3d 1052, affirmed.

HEADNOTES

Elections — Residence Requirement — Equal Protection Challenge — Rational Basis Standard

1. In determining whether the residency requirement for the elected position of town justice/town board member, Fishers Island, Town of Southold, Suffolk County (L 1860, ch 113, § 2, as amended by L 1898, ch 373, § 1, as further amended by L 1977, ch 276, § 1) violated the Equal Protection Clause (US Const, 14th Amend, § 1; NY Const, art I, § 11), application of a rational basis standard of review was appropriate. Election laws invariably impose some burden upon individual voters, and subjecting all voting regulations to strict scrutiny, and requiring that the regulations be narrowly tailored to advance a compelling state interest, could interfere with the state's ability to ensure the fair and efficient operation of elections. A court's inquiry into the propriety of a state election law, therefore, depends upon the extent to which a challenged regulation directly infringes upon First and Fourteenth Amendment rights. Here, the direct impact of the residency requirement was not on one's right to vote, but on an individual's right to be a candidate for public office. The requirement imposed only reasonable, nondiscriminatory restrictions

upon the First and Fourteenth Amendment rights of the voters of the Town of Southold. Since all Town Board members were elected in a town-wide election, the voters were not unduly restricted in their choice of candidates for Town Board positions. Moreover, any Southold resident who would otherwise be eligible to run for political office could run for the Fishers Island seat, as the residency requirement did not require a candidate to be a resident prior to commencement of his or her term.

Elections — Residence Requirement — Equal Protection Challenge

2. The residency requirement for the elected position of town justice/town board member, Fishers Island, Town of Southold, Suffolk County (L 1860, ch 113, § 2, as amended by L 1898, ch 373, § 1, as further amended by L 1977, ch 276, § 1) was supported by a rational basis and did not violate the Equal Protection Clause (US Const, 14th Amend, § 1; NY Const, art I, § 11). The residency requirement provides that the person holding the dual town justice/town board member position reside upon Fishers Island, which is situated in the Town of Southold, but has no direct ferry service to the mainland portion of the town. In light of the lack of direct transportation between Fishers Island and the mainland of the Town of Southold, the Fishers Island town justice, as a member of the Town Board, acted as the link between Town government and the people of Fishers Island. The legislative history of the residency requirement articulated several rational bases for the residency requirement and retaining the dual town justice/town board member seat—e.g., the main purpose of the legislation was to ensure that the residents of Fishers Island were not deprived of meaningful representation in town government.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Constitutional Law § 902; AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions § 212.

NY JUR 2d, Constitutional Law § 364; NY JUR 2d, Counties, Towns, and Municipal Corporations § 342.

ANNOTATION REFERENCE

Validity of requirement that candidate or public officer have been resident of governmental unit for specified period. 65 ALR3d 1048.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: residency /2 requirement /s elected & rational /2 basis

POINTS OF COUNSEL

Daniel C. Ross, Mattituck, appellant pro se. I. Equal protection guarantees are violated when voters are required to choose

one of the six town board members from 1.5% of the population. (*Wesberry v Sanders*, 376 US 1; *Bullock v Carter*, 405 US 134; *Williams v Rhodes*, 393 US 23; *Sununu v Stark*, 383 F Supp 1287, 420 US 958; *Dunn v Blumstein*, 405 US 330; *Matter of Campbell v Tunny*, 196 Misc 2d 860; *Reynolds v Sims*, 377 US 533; *Phelan v City of Buffalo*, 54 AD2d 262; *Landes v Town of N. Hempstead*, 20 NY2d 417; *Board of Estimate of City of New York v Morris*, 489 US 688.) II. The constitutionality of the residency requirement should be measured by strict scrutiny. (*Galbraith v New York Conservative Party*, 155 AD2d 183; *Chimento v Stark*, 353 F Supp 1211, 414 US 802; *Sununu v Stark*, 383 F Supp 1287, 420 US 958; *Matter of Campbell v Tunny*, 196 Misc 2d 860; *Stapleton v Clerk for City of Inkster*, 311 F Supp 1187; *Hadnott v Amos*, 320 F Supp 107, 401 US 968; *Bolanowski v Raich*, 330 F Supp 724; *Green v McKeon*, 335 F Supp 630; *Mogk v City of Detroit*, 335 F Supp 698; *McKinney v Kaminsky*, 340 F Supp 289.) III. The apportionment cases are most similar to this case and should be controlling. (*Hadley v Junior College Dist. of Metropolitan Kansas City*, 397 US 50; *Dusch v Davis*, 387 US 112; *Dallas County v Reese*, 421 US 477; *Wesberry v Sanders*, 376 US 1; *Reynolds v Sims*, 377 US 533; *Luther v Borden*, 7 How [48 US] 1; *Board of Estimate of City of New York v Morris*, 489 US 688.)

Smith, Finkelstein, Lundberg, Isler & Yakaboski, LLP, Riverhead (*Frank A. Isler* of counsel), for Town of Southold, respondent. I. This appeal has been rendered moot since appellant was not elected. (*Matter of Hearst Corp. v Clyne*, 50 NY2d 707; *Wisholek v Douglas*, 97 NY2d 740; *Matter of Citineighbors Coalition of Historic Carnegie Hill v New York City Landmarks Preserv. Commn.*, 2 NY3d 727.) II. The Appellate Division, Second Department, correctly applied the rationally related test to sustain the statute. (*Matter of Rosenstock v Scaringe*, 40 NY2d 563; *Galbraith v New York Conservative Party*, 155 AD2d 183; *Dusch v Davis*, 387 US 112; *Board of Estimate of City of New York v Morris*, 489 US 688; *Dallas County v Reese*, 421 US 477; *Fortson v Dorsey*, 379 US 433.)

Twomey, Latham, Shea, Kelley, Dubin & Quartararo, LLP, Riverhead (*Patrick B. Fife* and *Lauren E. Stiles* of counsel), for Arthur J. Walsh and another, respondents. The residence requirement is constitutional and does not violate the equal protection rights of Daniel Ross or the voters of the Town of Southold. (*LaValle v Hayden*, 98 NY2d 155; *Wasmuth v Allen*, 14 NY2d 391, 379 US 11; *I. L. F. Y. Co. v City Rent &*

Rehabilitation Admin., 11 NY2d 480; *People v Tichenor*, 89 NY2d 769; *People v Pagnotta*, 25 NY2d 333; *Alliance of Am. Insurers v Chu*, 77 NY2d 573; *Mugler v Kansas*, 123 US 623; *Thompson v Wallin*, 301 NY 476; *Nordlinger v Hahn*, 505 US 1; *Galbraith v New York Conservative Party*, 155 AD2d 183.)

OPINION OF THE COURT

JONES, J.

At issue, in this proceeding pursuant to Election Law § 16-102, is the constitutionality of the residency requirement for the elected position of town justice/town board member, Fishers Island, Town of Southold, Suffolk County (L 1860, ch 113, § 2, as amended by L 1898, ch 373, § 1, as further amended by L 1977, ch 276, § 1). We hold that the residency requirement does not violate the Equal Protection Clause. In so holding, we conclude that the requirement is subject to a rational basis test, and that a rational basis exists to justify the requirement.

I.

Fishers Island is situated in the Town of Southold and located approximately 11 miles off the North Fork of the eastern coast of Long Island. While the island is only about two miles from the Connecticut coast, and has no direct ferry service to the mainland portion of the town, it has historically been part of Southold in Suffolk County.

The island is Election District 1 in the Town of Southold. According to data compiled from the 2000 United States Census, a total of 20,599 individuals resided in Southold. Of this number, 289 individuals were residents of Fishers Island, which represents approximately 1.5% of Southold's population.

In 1860, the State Legislature enacted a law providing for a fifth justice of the peace for the Town of Southold (*see* L 1860, ch 113, § 2). Pursuant to the law, the fifth justice of the peace was required to reside either upon Fishers Island or upon one of the islands adjacent thereto (*id.*). At the time the law was enacted, justices of the peace were also members of the Southold Town Board. The law was amended in 1898 to require the fifth justice of the peace to reside on Fishers Island itself (*see* L 1898, ch 373, § 1).

In 1976, pursuant to Laws of 1976, chapter 739, § 2 (adding Town Law § 60-a), the Legislature eliminated the dual role and town justices no longer served on town boards. This legislation had no effect on the requirement that the fifth justice reside on Fishers Island.

In 1977, the Legislature reinstituted the dual town justice/town board member position for Fishers Island and continued the long-standing residency requirement (*see* L 1977, ch 276, § 1), as follows:

“There shall be elected at the meeting of the Town of Southold, in the county of Suffolk, to be held in the spring of [1899], and every four years thereafter, one town justice who shall reside upon Fisher’s island in said town. The justice so elected shall enter upon the duties of his office at the expiration of the term of office of his predecessor, and shall hold his office for four years. Notwithstanding the provisions of any other law, such town justice residing upon Fisher’s island shall, in addition to his duties as town justice, serve as a member of the Southold town board” (emphasis added).¹

The Bill Jacket accompanying chapter 276 of the Laws of 1977 sets forth the Legislature’s rationale in support of this enactment. It states, in pertinent part:

“The effect of the 1976 enactment is to remove the Fishers Island town justice from the Town Board and thus leave the people of Fishers Island without any representation.

“Moreover, there is no direct transportation between Fishers Island and the mainland of the Town of Southold and therefore, it is virtually impossible for the Fishers Island residents to attend Town Board meetings. It has been the custom for the resident town justice of Fishers Island to keep the residents of the Island apprised of Town matters as well as to present their views on various issues which may concern them. In effect, the Fishers Island town justice, as a member of the Town Board, has acted as the link between Town government and the people of Fishers Island. It has been argued that the effect of the 1976 amendment to the Town Law is to deprive the residents of Fishers Island from meaningful participation in Town government” (Sponsor’s Mem, Bill Jacket, L 1977, ch 276;

1. The 1977 legislation also replaced the “justice of the peace” title with “town justice” (*see* Dept of State Mem from M. Cuomo, June 6, 1977, Bill Jacket, L 1977, ch 276).

see also id., I. Evanick letter, June 2, 1977 [stating, “By operation of law the residents of Fishers Island, who are in a unique geographical position, will suffer the loss of meaningful representation. This legislation was intended to rectify this situation”]; *id.*, Dept of State Mem from M. Cuomo, June 6, 1977 [Mem noted that application of the 1976 legislation to Southold would be “unfeasible” given the “unusual circumstances” regarding Fishers Island’s access to Southold and the island’s “limited population base,” and stated that “(r)epresentation on the town board is the primary consideration”]).

Since 1977, there have been no further amendments to the Fishers Island residency requirement for the elected position of town justice/town board member, which position is elected in a town-wide election.

II.

In July 2009, respondent Daniel C. Ross, a resident of Southold but not a resident of Fishers Island, filed with the Suffolk County Board of Elections (BOE) a petition designating himself a candidate in the September 2009 primary election for the nomination of the Democratic Party as its candidate for the Fishers Island town justice/town board member seat. Petitioners Arthur J. Walsh and Nina J. Schmid—residents of Fishers Island—filed objections to the designating petition, alleging that it was invalid because Ross did not meet the residency requirement. Respondents Anita S. Katz and Cathy L. Richter Geier, as Commissioners of the BOE, denied the objections and upheld the designating petition.

Petitioners commenced this Election Law proceeding seeking to prohibit the BOE from placing Ross’s name on the ballot for the September 2009 primary election or the November 2009 general election based on Ross’s failure to meet the residency requirement. Ross counterclaimed and, in effect, cross-petitioned to validate the designating petition, challenging, among other things, the constitutionality of the residency requirement. Ross also sought to join the Town of Southold and the State of New York as parties.

Supreme Court denied the petition and dismissed the proceeding, without prejudice, on the ground that Ross was not required to meet the residency requirement until 30 days after the commencement of the term of office—in this case, by January 30,

2010. The Appellate Division modified the Supreme Court order and upheld the constitutionality of the statute on equal protection grounds (66 AD3d 1052 [2d Dept 2009]). The court held that a rational basis standard was applicable, and that a rational basis exists to support the Legislature's determination that the fifth town justice/town board member for Southold should be a resident of Fishers Island. With respect to Supreme Court's ruling that the prevailing candidate need not abide by the residency requirement until 30 days after beginning his or her term of office, the court modified Supreme Court's order by holding that January 1, 2010 was the appropriate date by which a candidate had to meet the residency requirement.

Ross appeals as of right, pursuant to CPLR 5601 (b) (1) constitutional question grounds, as limited by his notice of appeal, from that portion of the Appellate Division order that: (1) upheld the constitutionality of the Fishers Island residency requirement; and (2) remitted the matter to Supreme Court for entry of a judgment declaring that Ross did not establish that the challenged law is unconstitutional. Ross challenges the residency requirement only as it applies to the position on the Town Board of the Town of Southold.

Although Ross lost the November 2009 general election, this appeal presents a live controversy. Supreme Court converted and continued Ross's constitutional claims as a declaratory judgment action, and the Appellate Division decided the constitutional issues. Though no longer a candidate, Ross is a voter who claims that his right to vote is being unconstitutionally burdened.

III.

Ross argues that the Appellate Division improperly used a rational basis standard, as opposed to a strict scrutiny standard, in determining that the residency requirement was constitutional. He contends that the residency requirement is subject to strict scrutiny because it affects fundamental interests—the right to run for public office and the right to vote.

Ross further argues that the residency requirement violates equal protection guarantees by reserving one Town Board seat to a group of people that make up less than 1.5% of the Town of Southold's population. He contends that every voter's interest in being able to vote for this office is limited by the residency requirement. Relying on *Reynolds v Sims* (377 US 533 [1964]), Ross argues that the residency requirement violates the

constitutional right of a qualified voter not to have his/her vote diluted. According to Ross, even when the seat is contested, the person who ultimately occupies the office must be a Fishers Island resident, thereby creating a district within an otherwise at-large town election system that violates the equal protection provisions of the Federal and State Constitutions.

Next, Ross argues there is no governmental interest promoted by the residency requirement. He maintains that the reasons for the challenged legislation, which are set forth in the Bill Jacket, are not compelling, and no rational bases support the law. We disagree with Ross's arguments.

Section 1 of the 14th Amendment to the Federal Constitution provides in part that "[n]o State shall . . . deny to any person within its jurisdiction the equal protection of the laws." The Federal Equal Protection Clause extends to the states and their subdivisions (*see e.g. Hunter v Erickson*, 393 US 385 [1969]), and this Court has held that the State Constitution's equal protection guarantee (NY Const, art I, § 11 ["No person shall be denied the equal protection of the laws of this state or any subdivision thereof"]) is as broad in its coverage as that of the Fourteenth Amendment (*see Golden v Clark*, 76 NY2d 618, 624 [1990] [citations omitted]).

"[V]oting is of the most fundamental significance under our constitutional structure" (*Illinois Bd. of Elections v Socialist Workers Party*, 440 US 173, 184 [1979]); however, the right to vote in any manner and the right to associate for political purposes through the ballot are not absolute (*see Munro v Socialist Workers Party*, 479 US 189, 193 [1986]). States play an active role in structuring and regulating their own elections (*see Tashjian v Republican Party of Conn.*, 479 US 208, 217 [1986]; *Storer v Brown*, 415 US 724, 730 [1974] ["(A)s a practical matter, there must be . . . substantial (governmental) regulation of elections if they are to be fair and honest and if some sort of order, rather than chaos, is to accompany the democratic processes"]). Moreover, because election laws invariably impose some burden upon individual voters (*see Anderson v Celebrezze*, 460 US 780, 788 [1983] ["whether (the voting regulation) governs the registration and qualifications of voters, the selection and eligibility of candidates, or the voting process itself, (the regulation) inevitably affects—at least to some degree—the individual's right to vote and his right to associate with others for political ends"]), subjecting all voting regulations to strict scrutiny, and requiring that the regulations be narrowly tailored

to advance a compelling state interest, could interfere with the state's ability to ensure the fair and efficient operation of elections.

Thus, a court considering an equal protection challenge to a state election law must weigh "the character and magnitude of the asserted injury to the rights protected by the First and Fourteenth Amendments that the plaintiff seeks to vindicate" against "the precise interests put forward by the State as justifications for the burden imposed by its rule," taking into consideration "the extent to which those interests make it necessary to burden the plaintiff's rights" (*Anderson*, 460 US at 789; *Tashjian*, 479 US at 213-214). In sum, a court's inquiry into the propriety of a state election law depends upon the extent to which a challenged regulation directly infringes upon First and Fourteenth Amendment rights.

The direct impact of the Fishers Island residency requirement is not on one's right to vote, but on an individual's right to be a candidate for public office. Although "laws that affect candidates always have at least some theoretical, correlative effect on voters . . . , not every limitation or incidental burden on the exercise of voting rights is subject to a stringent standard of review" (*Bullock v Carter*, 405 US 134, 143 [1972]). That is, the mere fact that a state election law "creates barriers . . . tending to limit the field of candidates from which voters might choose . . . does not of itself compel close scrutiny" (*id.*; see *Galbraith v New York Conservative Party*, 155 AD2d 183, 185-186 [3d Dept 1990] [the right to run for elective office is not fundamental]).²

Ross cannot point to a residency requirement case that supports his position. Instead, he argues that this case should be considered under the analysis applied in apportionment cases which involve the "one person, one vote" principle. However, Ross's reliance on these cases in support for stringent review of the residency requirement is misplaced. In the apportionment cases cited by Ross, there were disproportionate numbers of voters in two districts, where each district directly elected its own representative. This resulted in unequal voting power between the two groups of voters, and the Supreme Court found that the citizens' votes had been diluted (see *Reynolds v Sims*,

2. Strict scrutiny has been held applicable to ballot access cases involving restrictions based on wealth or restrictions that impose special burdens on new or small political parties or independent candidates (see *Golden v Clark*, 76 NY2d at 624-626).

supra; *Hadley v Junior College Dist. of Metropolitan Kansas City*, 397 US 50 [1970]; *Board of Estimate of City of New York v Morris*, 489 US 688 [1989]).

Here, the challenged residency requirement imposes only reasonable, nondiscriminatory restrictions upon the First and Fourteenth Amendment rights of the voters of the Town of Southold. Since all Town Board members are elected in a town-wide election, the voters are not unduly restricted in their choice of candidates for Town Board positions. As a result, all Southold voters may vote in the elections for all six Town Board positions, including the position reserved for the Fishers Island town justice. Stated differently, each citizen of the town has an equal vote as they are all entitled to vote for the town justice/town board seat.

Further, the residency requirement does not require a candidate to be a resident of Fishers Island prior to commencement of his/her term of office. In other words, the winner of the town justice/town board position does not need to establish residency on Fishers Island until the beginning of his/her term, and must only retain that residency for the duration of the term. Thus, any Southold resident who would otherwise be eligible to run for political office can run for the Fishers Island seat.

Notably, the United States Supreme Court has addressed similar residency requirements in *Dusch v Davis* (387 US 112 [1967]) and *Dallas County v Reese* (421 US 477 [1975]). In *Dusch* and *Dallas County*, the Supreme Court rejected equal protection challenges, upholding electoral plans in which candidates were required to be residents of specific geographic areas within a larger political unit so long as all of the voters in the larger political unit were allowed to vote for each candidate. The Supreme Court recognized that a state has a legitimate interest in assuring an elected representative is familiar with the unique problems of a specific geographic area, and rejected the idea that numerical variances between political units, standing alone, are sufficient to make out an equal protection challenge in such cases.

Dusch involved an election plan for city council under which four members were elected at large, without regard to residence, and seven members, subject to a residency requirement, were elected by voters of the entire city. Each one of the seven members was required to live in one of the seven boroughs of

the city. The Supreme Court held that the election plan did not constitute invidious discrimination violative of the Equal Protection Clause even though the populations of the seven boroughs varied from less than 1,000 (i.e., 733) to nearly 30,000 (i.e., 29,048), and where the plan made no distinction based on race, creed, economic status or location.

In *Dallas County*, the Alabama State Legislature established a system for the election of members of the county commission of Dallas County, Alabama. The system provided for county-wide balloting for each of the four commission members but required that a member be elected from each of four residency districts. The Supreme Court held that the system was not unconstitutional even though the populations of the four districts varied widely. The Court determined that to establish the unconstitutionality of such an election plan, the challenge must be based on findings showing that the plan impermissibly dilutes the voting strength of an identifiable element of the voting population.

The Supreme Court also reiterated a basic teaching of representative government that it discussed previously in *Dusch* (387 US at 115) and *Fortson v Dorsey* (379 US 433, 438 [1965]), “that elected officials represent all of those who elect them, and not merely those who are their neighbors” (*Dallas County*, 421 US at 480). Applying this principle here, since the Fishers Island seat is subject to a town-wide vote, the individual elected to fill the seat represents the entire town, not just the residents of Fishers Island. Thus, Ross’s contention that the residency requirement gives the people of Fishers Island a permanent advantage of greater representation is unavailing.

[1] Based on the foregoing, we agree with the Appellate Division that the rational basis approach is the proper standard of review in the present case. There is no direct and appreciable impact on Southold’s residents’ right to vote. Nor has an identifiable class within the town been disenfranchised. To be sure, the Fishers Island residency requirement affects the right to vote, but only in an incidental and remote way. This statutory provision does not rise to a level which would require that it be subject to strict scrutiny.

[2] We further conclude, as did the Appellate Division, that the Fishers Island residency requirement satisfies the rational basis test. In particular, the legislative history of the residency requirement, discussed *supra*, articulates several rational bases

for the residency requirement and retaining the dual town justice/town board member seat—e.g., the main purpose of the legislation is to ensure that the residents of Fishers Island are not deprived of meaningful representation in town government (*see* Sponsor's Mem, Bill Jacket, L 1977, ch 276).

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, without costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order, insofar as appealed from, affirmed, without costs.

[953 NE2d 760, 929 NYS2d 522]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ALICIA LEWIE, Appellant.

Argued May 3, 2011; decided June 9, 2011

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 5, 2009. The Appellate Division order, insofar as appealed from, affirmed (1) a judgment of the Warren County Court (John S. Hall, Jr., J.), to the extent that it had convicted defendant, upon a jury verdict, of manslaughter in the second degree under count seven of the indictment, reckless endangerment in the first degree, and endangering the welfare of a child, and imposed sentence, and (2) a judgment resentencing defendant.

People v Lewie, 67 AD3d 1056, modified.

HEADNOTES

Crimes — Manslaughter — Sufficiency of Evidence — Mental Culpability

1. In the prosecution of defendant for second degree manslaughter (Penal Law § 125.15 [1]) and related charges for her role in the events leading to the death of her eight-month-old son, who had been abused and ultimately killed by the man with whom defendant lived, the evidence at trial was sufficient to support the jury's finding that defendant was aware of, and consciously disregarded, a substantial and unjustifiable risk that leaving her child in her roommate's care would lead to the child's death. The evidence showed that defendant knew, or at least believed it possible, that her roommate was hitting, shaking and biting the child. She knew that he was capable of inflicting significant injury on an adult, herself, and believed him capable of killing a small animal in a rage. She was worried enough to tell him that, if he was angry, he should "shake the teddy bear instead of [the child]." Yet, she left the child with her roommate again and again—even after she saw, on the two days prior to the child's death, that the child had been seriously hurt. Although it was, perhaps, conceivable that defendant did not actually know that her roommate's maltreatment of the child created a risk to the child's life, the jury could rationally have found that she did know it. Having found that defendant knew of that risk, the jury was also justified in finding that she consciously disregarded it. The evidence was, therefore, sufficient to support defendant's conviction for manslaughter in the second degree.

Crimes — Reckless Endangerment — Sufficiency of Evidence — Mental Culpability

2. In the prosecution of defendant for reckless endangerment in the first degree (Penal Law § 120.25) and related charges for her role in the events leading to the death of her eight-month-old son, who had been abused and

ultimately killed by the man with whom defendant lived, the evidence at trial was insufficient to support the jury's finding that defendant acted not only recklessly, but also with depraved indifference to human life when, over a period of six weeks, she repeatedly left her baby with her roommate. While defendant's conscious disregard of a substantial risk to the life of her own child, as the jury found on legally sufficient evidence, was shocking behavior, "depraved indifference to human life," as used in the murder and reckless endangerment statutes, is something even worse. A person who is depravedly indifferent is not just willing to take a grossly unreasonable risk to human life—that person does not care how the risk turns out. This state of mind is found only in rare cases, and it is even rarer when the other person is one's own child. Here, while the evidence showed that defendant cared much too little about her child's safety, it could not support a finding that she did not care at all. On the contrary, the evidence showed that defendant feared the worst and—recklessly, as the jury found—hoped for the best. Although there was evidence that defendant not only knew of, but tried to conceal, her roommate's abuse of the child, that did not show, and nothing in the record showed, that defendant did not care whether her child lived or died. The evidence was, therefore, insufficient to support defendant's conviction for reckless endangerment in the first degree.

Crimes — Right to Counsel — Representation on Unrelated Matter

3. In the criminal prosecution of defendant for her role in the events leading to the death of her eight-month-old son, a statement that defendant gave to the police after the child had died and after Family Court had appointed counsel for her in connection with an earlier proceeding to remove the child from her home was not taken in violation of defendant's indelible right to counsel. The indelible right to counsel does not attach by virtue of an attorney-client relationship in a Family Court or other civil proceeding. That right has at its core the perception that in criminal cases—wholly unlike civil cases—the presence of an attorney is the most effective means of minimizing the disadvantage at which an accused is placed when directly confronted with law enforcement. Thus while an attorney-client relationship formed in one criminal matter may sometimes bar questioning in another matter in the absence of counsel, a relationship formed in a civil matter is not entitled to the same deference.

Crimes — Jurors — Discharge of Juror

4. The trial court in defendant's criminal prosecution did not err by failing to discharge or make further inquiry beyond its initial inquiry of a juror who sent an odd and inappropriate note during jury deliberations. In the note the juror asked for the opportunity to thank all concerned, after the verdict was rendered, for the privilege of serving; mentioned the breakup of the juror's marriage and her view that one of the prosecutors was a "Cutie"; and asked to be given that prosecutor's telephone number when the trial was over. After disclosing the note to counsel and discussing it with them, the trial court interviewed the juror in counsel's presence; explained to her gently that the note was inappropriate; and obtained her assurance that nothing, including her favorable impression of a prosecutor, would prevent her from being fair to both sides. Nothing in the interview, or in the note itself, suggested that the juror was biased. She was not grossly unqualified and engaged in no substantial misconduct that would require her to be discharged under CPL 270.35 (1).

Crimes — Instructions — Definition of Recklessness

5. In the prosecution of defendant for manslaughter in the second degree, reckless endangerment in the first degree and related charges for her role in

the events leading to the death of her infant son, the portion of the trial court's supplemental instruction regarding the components of recklessness in which the court described conscious disregard of a known risk as "that goes to the particular person, what they saw, what they should have seen, and what they disregarded" was erroneous. In including the words "what they should have seen" in its description of conscious disregard, the court misspoke. The jury was required to consider what risk defendant actually perceived and disregarded, not what she should have perceived. That minor error, however, created no significant risk of confusion. The jurors had already heard, several times, a completely correct explanation of recklessness as defined in the Penal Law. The juror's specific question—should the jury consider what defendant actually thought, or what a reasonable person would have thought—was concisely answered at the beginning and end of the supplemental charge with the word "both." The supplemental charge, taken as a whole, was proper. It made clear that the jury had to consider both the risk defendant actually perceived and disregarded, and what a reasonable person in her situation would have done.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Criminal Law §§ 1105, 1120; AM JUR 2d, Evidence §§ 762, 1387, 1394; AM JUR 2d, Homicide §§ 9, 47, 61, 85, 88, 424, 490, 491, 499; AM JUR 2d, Trial §§ 963, 966, 1044, 1302, 1303, 1330, 1464.
- CARMODY-WAIT 2d, Confessions; Privilege Against Self-Incrimination §§ 176:63, 176:76; CARMODY-WAIT 2d, Jury Selection and Supervision § 191:88; CARMODY-WAIT 2d, Fundamentals of Criminal Evidence § 193:3; CARMODY-WAIT 2d, Charge and Instruction to Jury §§ 200:8, 200:14; CARMODY-WAIT 2d, Jury Conduct and Deliberation § 201:24; CARMODY-WAIT 2d, Postjudgment Motions § 205:7; CARMODY-WAIT 2d, Appeals in Criminal Cases § 207:172.
- LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 6.4, 11.1, 24.8, 24.9, 24.11.
- McKINNEY'S, CPL 270.35 (1); Penal Law §§ 120.25, 125.15 (1).
- NY JUR 2d, Criminal Law: Procedure §§ 600, 609, 2583–2585, 2719; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 452–454, 549, 550, 552, 587, 614.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Children; Confessions and Admissions; Homicide; Instructions to Jury; Jury Trials; Manslaughter; Recklessness.

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POINTS OF COUNSEL

Matthew C. Hug, Troy, for appellant. I. Appellant's indelible right to counsel was violated by the prosecution when the prosecutor, with full knowledge that appellant had been assigned an attorney in a simultaneous Family Court Act article 10 proceeding emanating out of the same nexus as the criminal investigation, and despite this knowledge, advised law enforcement to continue its interrogation. (*People v West*, 81 NY2d 370; *People v Harris*, 77 NY2d 434; *People v Settles*, 46 NY2d 154; *People v Bing*, 76 NY2d 331; *People v Grice*, 100 NY2d 318; *People v Di Biasi*, 7 NY2d 544; *People v Hobson*, 39 NY2d 479; *People v Skinner*, 52 NY2d 24; *People v Rogers*, 48 NY2d 167; *People v Bartolomeo*, 53 NY2d 225.) II. The Appellate Division's decision reversing and dismissing count six of the indictment charging appellant with manslaughter in the second degree pursuant to Penal Law § 125.15 (1) based upon its finding that the evidence was insufficient to establish that appellant was aware that her son was exposed to a grave risk of death and affirming appellant's conviction on count seven of the indictment charging appellant with manslaughter in the second degree pursuant to Penal Law § 125.15 (1) renders the verdict repugnant and requires reversal. (*People v Tucker*, 55 NY2d 1; *People v Dercole*, 72 AD2d 318; *People v Trappier*, 87 NY2d 55; *People v Raymond*, 56 AD3d 1306; *People v Reagan*, 94 NY2d 804.) III. County Court's inquiry of the "blue haired" juror was insufficient as a matter of law, rendering its decision to allow her to continue to deliberate reversible error. Moreover, simply based upon the juror's conduct and her responses to the court's terse inquiry, the court's decision not to remove her constituted reversible error. (*People v Branch*, 46 NY2d 645; *People v Buford*, 69 NY2d 290; *People v Anderson*, 70 NY2d 729; *People v Daniels*, 218 AD2d 589; *People v McClenton*, 213 AD2d 1; *People v Lapage*, 57 AD3d 1233; *People v Bradford*, 300 AD2d 685; *People v Leader*, 285 AD2d 823.) IV. Appellant's conviction for manslaughter in the second degree (count seven) was not supported by legally sufficient evidence. (*People v Raymond*, 56 AD3d 1306; *People v Stanfield*, 36 NY2d 467; *People v Reagan*, 94 NY2d 804; *People v Phippen*, 232 AD2d 790; *People v Stewart*, 40 NY2d 692; *People v Brengard*, 265 NY 100; *People v Wong*, 81 NY2d 600; *People v Northrup*, 83 AD2d 737.) V. Appellant's conviction

for reckless endangerment in the first degree was unsupported by legally sufficient evidence. (*People v Lynch*, 95 NY2d 243; *People v Roe*, 74 NY2d 20; *People v Feingold*, 7 NY3d 288; *People v Register*, 60 NY2d 270; *People v Chrysler*, 85 NY2d 413; *People v Gomez*, 65 NY2d 9; *People v Graham*, 14 AD3d 887; *People v Williams*, 191 AD2d 234; *People v Sanford*, 24 AD3d 572.) VI. County Court's supplemental jury instruction on the definition of recklessness was incorrect and had the effect of changing the charges pending and theory of the prosecution. (*People v Ladd*, 89 NY2d 893; *People v Drake*, 7 NY3d 28.) VII. The trial court's allowance of a mountain of hearsay and irrelevant, prejudicial and inflammatory evidence to be admitted at trial deprived appellant of her constitutional right to a fair trial. (*People v Wong*, 81 NY2d 600.)

Kathleen B. Hogan, District Attorney, Lake George (*Emilee B. Davenport* of counsel), for respondent. I. Since the appointment of counsel in Family Court did not effect the attachment of counsel in the criminal investigation, there is no basis for defendant's claim that her statements to Investigators Werner and Swartz were taken in violation of her indelible right to counsel. (*People v Roselle*, 84 NY2d 350; *People v Smith*, 62 NY2d 306; *Gilberg v Barbieri*, 53 NY2d 285; *People v Robinson*, 122 AD2d 173; *People v Le Blanc*, 199 AD2d 584; *People v Snyder*, 221 AD2d 870; *People v Kent*, 240 AD2d 772; *People v Townes*, 41 NY2d 97; *People v Yut Wai Tom*, 53 NY2d 44; *People v Samuels*, 49 NY2d 218.) II. The Appellate Division's reversal of defendant's conviction for manslaughter in the second degree under count six did not render the verdict of guilt under count seven repugnant since that count did not require the jury to find that defendant recklessly caused Colbi Bullock's death by failing to seek medical attention for him between November 11, 2007 and November 14, 2007. (*People v Tucker*, 55 NY2d 1.) III. County Court was not required to remove a juror where the juror unequivocally affirmed her ability to be fair and impartial. (*People v Buford*, 69 NY2d 290; *People v West*, 92 AD2d 620; *People v Anderson*, 70 NY2d 729; *People v Littebrant*, 55 AD3d 1151; *People v Smyers*, 167 AD2d 773, 77 NY2d 967; *People v Leader*, 285 AD2d 823, 97 NY2d 756; *People v Butts*, 140 AD2d 739; *People v Rodriguez*, 71 NY2d 214; *People v Rentz*, 67 NY2d 829; *People v Meyer*, 78 AD2d 662.) IV. The evidence adduced at trial, viewed in the light most favorable to the People, permitted the jury to find defendant guilty of manslaughter in the second degree under count seven of the indictment and reckless endangerment in the first degree. (*People v Bleakley*, 69 NY2d

490; *People v Foster*, 64 NY2d 1144; *People v Licitra*, 47 NY2d 554; *People v Steinberg*, 79 NY2d 673; *People v Wong*, 81 NY2d 600; *People v Northrup*, 83 AD2d 737; *People v Salley*, 153 AD2d 704; *People v Stubbs*, 122 AD2d 91; *People v Feingold*, 7 NY3d 288; *People v Suarez*, 6 NY3d 202.) V. County Court's supplemental jury instruction on recklessness sufficiently conveyed the correct principles and therefore does not mandate a reversal of defendant's conviction. (*People v Ladd*, 89 NY2d 893; *People v Russell*, 266 NY 147; *People v Drake*, 7 NY3d 28; *People v Simmons*, 15 NY3d 728; *People v Neptune*, 51 AD3d 949; *People v Crimmins*, 36 NY2d 230.) VI. The testimony permitted at trial was entirely proper and the Appellate Division correctly found that defendant's claims of error were either unpreserved, lacking in merit or harmless. (*People v Clarke*, 81 NY2d 777.)

Derek Champagne, District Attorney, Albany (*Morrie I. Kleinbart* of counsel), for District Attorneys Association of the State of New York, amicus curiae. The due process basis of the right to counsel in Family Court removal proceedings counsels against establishing an indelible right to counsel in a criminal proceeding arising from a common nucleus of facts. (*People v Smith*, 62 NY2d 306; *People v Lopez*, 16 NY3d 375; *People v Donovan*, 13 NY2d 148; *People v Noble*, 9 NY2d 571; *Patterson v New York*, 432 US 197; *Medina v California*, 505 US 437; *Matter of Ella B.*, 30 NY2d 352; *Mathews v Eldridge*, 424 US 319; *Matter of Tammie Z.*, 66 NY2d 1; *Morrissey v Brewer*, 408 US 471.)

OPINION OF THE COURT

SMITH, J.

A jury convicted defendant of second degree manslaughter and first degree reckless endangerment for her role in the events leading to the death of her son. In so doing, the jury found that defendant acted both recklessly and with depraved indifference to human life. We hold that the record supports the jury's finding as to the first of these mental states, but not the second. We therefore uphold the conviction for manslaughter and vacate the conviction for reckless endangerment.

I

On November 13, 2007, defendant and the man she lived with, Michael Flint, brought her eight-month-old son, Colbi Bullock, to a hospital emergency room. The child was not breathing and had no pulse. Attempts to resuscitate him did not succeed, and he was pronounced dead the following day.

At the time of his death, Colbi had injuries consistent with very severe abuse. There were many bruises on his face—around his cheek, his chin, both eyes and one ear—and there were also bruises elsewhere on his head, and on his neck, chest and abdomen. There were patterns of bruises and abrasions on his arms consistent with three human bite marks, two on the right arm and one on the left. The injuries on his neck were consistent with choking. His ribs had been broken at least a month previously; this injury was consistent with squeezing, or grabbing and shaking. It also appeared that the ribs had been reinjured more recently. A bone in the forearm had been recently broken, close to a bite mark. A doctor who conducted an autopsy found that injury to be “consistent with someone biting and snapping the arm at the same time.” He also found evidence of a brain injury, in the form of hemorrhages less than four days old. In the doctor’s opinion, the brain injury was the cause of death.

It is not disputed that Colbi’s injuries were inflicted by Michael Flint. Flint pleaded guilty to two counts of depraved indifference murder, and related lesser charges. Defendant was prosecuted on two counts of second degree manslaughter based on two different theories: that, in the last two or three days of Colbi’s life, she knew he had life-threatening injuries and failed to seek medical help; and that, in the last 45 days of his life, she left him in Flint’s care, knowing that to do so was to put the child’s life in danger. She was also charged with first degree reckless endangerment and with endangering the welfare of a child.

Defendant was convicted on all four counts. The Appellate Division reversed as to the first manslaughter count, finding that the evidence did not establish defendant’s knowledge that the injuries the child had received were life-threatening, and otherwise affirmed (*People v Lewie*, 67 AD3d 1056 [3d Dept 2009]). A Judge of this Court granted defendant leave to appeal (14 NY3d 889 [2010]). We now affirm as to the manslaughter and endangering the welfare of a child counts, but reverse as to reckless endangerment.

II

The People have not challenged the Appellate Division’s holding that the evidence was insufficient on the first of the two manslaughter counts, and defendant does not dispute the sufficiency of the evidence that she was guilty of endangering the welfare of a child. She does challenge the sufficiency of the

evidence supporting her remaining manslaughter conviction and her conviction for reckless endangerment. As to both counts, the critical question is what the evidence shows as to defendant's state of mind when, over a period of six weeks, she repeatedly left her baby with the man who abused and eventually killed him. We will summarize the evidence on that issue, resolving any conflicts, as the jury presumably did, in the People's favor.

Defendant and Colbi began living with Flint when Colbi was about three months old. Defendant worked full time; she hired a babysitter, but Flint was often alone with Colbi. A few days before Colbi's death, defendant dismissed the babysitter and agreed with Flint that Flint would care for the child while defendant worked.

Seven friends and acquaintances of defendant testified to contacts with defendant, Flint and Colbi during the time the three of them lived together. Five of them said that they saw bruises on Colbi, and six of them said that defendant expressed, in one way or another, knowledge, belief or fear that Flint was abusing the child. One said that defendant told her "how she felt uncomfortable leaving the baby home with Michael, that she was scared, she never knew what she was going to go home to." The same witness said defendant "told me that Michael had shaken the baby . . . shaken and bit him." Another witness recounted a conversation between defendant and Flint, as defendant described it to the witness: "she had told him he had to be more careful with Colbi . . . and if he happened to get angry or upset, to shake the teddy bear instead of Colbi." (In a statement to police after Colbi's death, defendant admitted telling Flint something quite similar.) A third witness said that Flint had shown the witness some bruises on Colbi's head and that, when defendant learned of the conversation, she "walked over to Michael and started yelling at him She asked him why he pointed out the bruises to me."

Three witnesses said they had told defendant to call the police, leave the apartment or both. A fourth told her that the idea of Flint as babysitter "scared me and made me quite nervous for Colbi," and a fifth, when defendant told him that Flint would be babysitting, observed: "You're nuts."

There was other evidence that defendant knew Flint could be violent and cruel. Three witnesses testified that defendant told them Flint had abused her physically: one said that, according to defendant, Flint had shoved, hit and bitten her; another that

defendant had “bruises . . . that she said [were] from Michael”; and a third that she had “bruises and a burn” that she said “were from Mike.” Two witnesses testified that defendant knew Flint had been charged with cruelty to a dog, and one said that she had “started to believe” he was guilty of that crime. The same witness testified that, according to defendant, Flint had once kicked a kitten against a wall; defendant later found the kitten dead; and “she believed Michael had killed the cat.”

The events of the last days of Colbi’s life, while directly relevant to the dismissed manslaughter count (based on failure to seek medical care), also have some bearing on the counts before us, because they show defendant’s persistence in leaving Colbi with a dangerous man. Flint called defendant at work on November 12 to tell her that “the baby had fallen in the shower.” Defendant reported this to a coworker who was a certified nursing assistant, and received advice about what symptoms to look for. Arriving home, defendant found, according to her statement to the police, that Colbi “had bruising on the side of his face, his eyes were black and blue, he had a fat lip, and he had redness on his torso and his neck area.” Flint told her the baby had vomited—one of the symptoms the coworker had identified as calling for medical attention.

Defendant not only sought no care for the baby; there was evidence that she tried to conceal the injuries. A witness who encountered Colbi, Flint and defendant the following morning, before defendant went to work, testified that her attention was drawn by Colbi’s “persistent, weak . . . very strange cry.” Colbi was dressed in a snowsuit, with a hood covering his head (though defendant herself wore a T-shirt). When the witness slid the hood back, she saw that Colbi had two black eyes, and asked defendant: “Did you take him to the hospital?” Defendant replied, falsely, that she had been at the hospital all night, and that the doctor had told her that the baby was fine. Later that day, defendant went to work as usual, leaving Colbi with Flint for the last time.

We must decide whether this evidence shows the degree of culpability necessary to support defendant’s manslaughter and reckless endangerment convictions. We consider the two separately.

Manslaughter

Defendant was convicted of manslaughter in the second degree, a class C felony, under Penal Law § 125.15 (1), applicable to someone who “recklessly causes the death of another

person.” “Recklessly” is defined in Penal Law § 15.05 (3), which says, in relevant part:

“A person acts recklessly with respect to a result . . . when he is aware of and consciously disregards a substantial and unjustifiable risk that such result will occur . . . The risk must be of such nature and degree that disregard thereof constitutes a gross deviation from the standard of conduct that a reasonable person would observe in the situation.”

The question here is whether the jury could find, beyond a reasonable doubt, that defendant was aware of, and consciously disregarded, a substantial and unjustifiable risk that leaving Colbi in Flint’s care would lead to Colbi’s death. It is not enough that defendant should have known the child’s life was in danger, or that she did know the child could be seriously hurt. She must have actually known of, and consciously disregarded, a risk to the child’s life (*see People v Wong*, 81 NY2d 600, 608 [1993]). On the other hand, it is not necessary to a manslaughter conviction that defendant knew the child would die, or believed it likely. Even a small risk that a baby will die of child abuse is “substantial and unjustifiable.”

[1] We conclude that the evidence is sufficient to support the jury’s finding that defendant knew such a risk existed. The evidence shows that defendant knew, or at least believed it possible, that Flint was hitting, shaking and biting her child. She knew that he was capable of inflicting significant injury on an adult, herself. She believed him capable of killing a small animal in a rage. She was worried enough to tell Flint that, if he was angry, he should “shake the teddy bear instead of Colbi.” Yet, she left Colbi with Flint again and again—even after she saw, on November 12 and 13, that Colbi had been seriously hurt.

It is, perhaps, conceivable that defendant did not actually know that Flint’s maltreatment of Colbi created a risk to the child’s life, but the jury could rationally find that she did know it. The dissent, in concluding otherwise, proceeds on the mistaken premise that “[w]e know” from the Appellate Division’s dismissal of the first manslaughter count that defendant perceived no substantial and unjustifiable risk to Colbi’s life during the child’s last three days (dissenting op at 367). In fact, the dismissal establishes only that the People failed to prove defendant knew the injuries Colbi had *already* received

were life-threatening. There is no inconsistency in holding, as the Appellate Division correctly did, that the People presented sufficient evidence that defendant knew—before and during the last days of Colbi’s life—of a substantial and unjustifiable risk that Flint *would* injure him fatally.

Having found that defendant knew of that risk, the jury was also justified in finding that she consciously disregarded it. And it is obvious that the risk was “of such nature and degree that disregard thereof constitutes a gross deviation from the standard of conduct that a reasonable person would observe in the situation.” The evidence was therefore sufficient to support defendant’s conviction for manslaughter in the second degree.

Reckless Endangerment

Reckless endangerment in the first degree is defined by Penal Law § 120.25: “A person is guilty of reckless endangerment in the first degree when, under circumstances evincing a depraved indifference to human life, he recklessly engages in conduct which creates a grave risk of death to another person.”

This crime, a class D felony, is less serious than manslaughter in the second degree. Yet the mental culpability necessary to support defendant’s reckless endangerment conviction is greater than that required to support her manslaughter conviction: to be guilty on the reckless endangerment count, she must have acted not only recklessly, but also with depraved indifference to human life.

The reason for this apparent anomaly is an exercise of prosecutorial discretion. The People chose not to charge defendant with depraved indifference murder, though such a charge has just as much basis in the record as the charge of first degree reckless endangerment. The definition of depraved indifference murder contained in Penal Law § 125.25 (2) is identical to the definition of reckless endangerment that we have quoted, except that the murder statute adds the words “and thereby causes the death of another person.” Here, of course, the person who was put at risk did die, and indeed the jury, in convicting defendant of manslaughter, so found. Thus the jury that convicted defendant on the reckless endangerment count would, if it was logically consistent, also have convicted her of depraved indifference murder had that charge been presented to it. And we cannot uphold her reckless endangerment conviction unless we would uphold a murder conviction on the same facts.

The distinction between conscious disregard of a known risk to human life (required for a reckless manslaughter conviction)

and depraved indifference to human life (required for a depraved indifference murder or first degree reckless endangerment conviction) can be hard to grasp, especially in a disturbing case like this one. Consciously to disregard a substantial risk to the life of one's own child—as the jury found, on legally sufficient evidence, this defendant did—is shocking behavior, and in ordinary speech people might call it “depraved.” But “depraved indifference to human life,” as used in the murder and reckless endangerment statutes, is something even worse.

Our cases make clear that the word “indifference” is to be taken literally: “depraved indifference is best understood as an utter disregard for the value of human life—a willingness to act . . . because one simply doesn't care whether grievous harm results or not” (*People v Feingold*, 7 NY3d 288, 296 [2006], quoting 7 NY3d at 298 [Ciparick, J., dissenting], quoting *People v Suarez*, 6 NY3d 202, 214 [2005]). In other words, a person who is depravedly indifferent is not just willing to take a grossly unreasonable risk to human life—that person does not care how the risk turns out. This state of mind is found only in “rare cases” (*Suarez*, 6 NY3d at 218-219 [G.B. Smith, Rosenblatt and R.S. Smith, JJ., concurring]). Such cases do exist; in the situation before us, Flint pleaded guilty to depraved indifference murder, and we do not suggest that his plea was ill-founded. But depraved indifference to the life of another is still rare, and it is surely even rarer when the other person is one's own child.

[2] Here, while the evidence certainly shows that defendant cared much too little about her child's safety, it cannot support a finding that she did not care at all. On the contrary, the evidence shows that defendant feared the worst and—recklessly, as the jury found—hoped for the best. A witness who unsuccessfully advised defendant to call the police about Flint's behavior testified that defendant seemed “worried,” and no witness's testimony points to a contrary finding. Some of the evidence most damaging to defendant on the manslaughter count is actually favorable to her on the depraved indifference issue. Thus her statement that she “was scared” and “never knew what she was going to go home to” shows that she was fearful of harm to her baby, not that she was indifferent to the possibility. And in telling Flint to “shake the teddy bear instead of Colbi,” she was trying, however weakly and ineffectively, to protect the child.

There is, it is true, evidence that defendant not only knew of, but tried to conceal, Flint's abuse of the child. She chastised

Flint for showing someone Colbi's bruises and, in the last hours of Colbi's life, she tried to hide his injuries and lied to minimize their severity. Even this, however, does not show—and nothing in the record shows—that defendant did not care whether Colbi lived or died. Trying to cover up a crime does not prove indifference to it.

In short, while the evidence is sufficient to support the jury's finding that defendant was guilty of manslaughter, it would not support a conviction for the even more serious crime of depraved indifference murder. Perhaps the People implicitly recognized this when they decided not to bring a murder prosecution—even though they asked the jury to find all the elements of depraved indifference murder. Since a murder conviction could not stand on this record, as a matter of logic the conviction of depraved indifference reckless endangerment cannot stand either.

III

Defendant suggests several other reasons for reversal. We reject them all; three warrant some discussion.

First, defendant claims that one of several statements that she gave to the police after Colbi's death should have been suppressed because it was taken in violation of her "indelible" right to counsel (*see generally People v Lopez*, 16 NY3d 375, 377 [2011]; *People v Bing*, 76 NY2d 331 [1990]). That right attached, defendant says, when counsel was appointed for her in a Family Court proceeding, hours before Colbi was officially pronounced dead. Though the child was, according to the first doctor who saw him, "moribund" and "essentially deceased" when he arrived at the hospital on November 13, a vain effort to resuscitate him continued for almost 24 hours. During that time, a proceeding was begun to remove Colbi from defendant's home, and Family Court appointed a Legal Aid lawyer to represent defendant. The People were notified of the appointment at 4:06 P.M. on November 14; Colbi was declared dead, thus mooted the Family Court proceeding and ending the attorney-client relationship, at 6:18 P.M. During that two-hour interval, defendant, who had previously received *Miranda* warnings and agreed to speak to the police, continued answering their questions. She now says that the questioning should have stopped when the People received notice that she was represented by counsel.

[3] We have never held, and we now reject the argument, that the indelible right to counsel can attach by virtue of an attorney-client relationship in a Family Court or other civil proceeding.

The indelible right, as Judge Kaye’s concurring and dissenting opinion in *Bing* explained, has “at its core the perception that in criminal cases—*wholly unlike civil cases*—the presence of an attorney is the most effective means we have of minimizing the disadvantage at which an accused is placed when . . . directly confronted with the awesome law enforcement machinery possessed by the State” (76 NY2d at 351 [internal quotation marks omitted and emphasis added]). Thus while an attorney-client relationship formed in one criminal matter may sometimes bar questioning in another matter in the absence of counsel (*see Lopez*, 16 NY3d at 380), a relationship formed in a civil matter is not entitled to the same deference.

People v Townes (41 NY2d 97 [1976]), on which defendant relies, is distinguishable. There, an attorney-client relationship was formed in a criminal proceeding: “the defendant was arraigned in criminal court and counsel was assigned by order of that court” (*id.* at 99). A police officer then interviewed the defendant, in the absence of counsel, in connection with a complaint the defendant had filed with the Civilian Complaint Review Board, and the People sought to use the resulting statements in the criminal case. We held that the criminal and Review Board proceedings were so closely related that the indelible right, which attached when an attorney-client relationship was formed in the criminal case, barred questioning in the non-criminal one. But here no relationship was formed in a criminal case, and no indelible right ever attached.

Secondly, defendant argues that the trial court erred in its response when, during jury deliberations, one of the jurors sent an odd and inappropriate note asking for the opportunity to thank all concerned, after the verdict was rendered, for the privilege of serving. The note mentioned, among other things, the breakup of the juror’s marriage and her view that the male lawyer who sat in the second chair at the prosecution table was a “Cutie”; the juror asked, perhaps jokingly, to be given that lawyer’s telephone number when the trial was over.

[4] We think the trial judge handled this problem quite skillfully. After disclosing the note to counsel and discussing it with them, he interviewed the juror in counsel’s presence; explained to her gently that the note was inappropriate; and obtained her assurance that nothing, including her favorable impression of a prosecutor, would prevent her from being fair to both sides. Nothing in the interview, or in the note itself, suggests that the

juror was biased. Indeed, she made clear that her gratitude for the opportunity to serve extended not only to the judge and both sides' lawyers, but to defendant personally. Defendant argues in substance that the juror's note and her comments during the dialogue in chambers show that the juror had an eccentric personality, but eccentrics are not barred from serving on juries. Under CPL 270.35 (1), a sworn juror may be discharged only if the court finds that she "is grossly unqualified to serve . . . or has engaged in misconduct of a substantial nature." This juror was not grossly unqualified and engaged in no substantial misconduct. There was no reason for the trial judge either to discharge her or to make further inquiry.

Thirdly, defendant complains of five words in the trial court's response to a juror's question during deliberations about the meaning of recklessness. In its original charge, the court defined that term twice, once in explaining the elements of manslaughter and again in explaining the elements of reckless endangerment. The court's definition tracked the language of Penal Law § 15.05 (3), and defendant does not complain of it. After retiring to deliberate, the jury asked several times for the definition to be reread, and the court obliged. Later, in response to a jury note, the court gave a slightly expanded version of the definition, not changing its substance but separating it into three components—awareness of a risk, conscious disregard of the risk, and gross deviation from a reasonable person's standard of conduct. This supplemental charge, also, is not now challenged.

After some other supplemental instructions were given, a juror asked for further explanation of recklessness, saying: "Are we supposed to do [*sic*] consider how the Defendant is thinking or what a reasonable person would think?" After a discussion with counsel outside the jury's presence, the court replied that recklessness "requires both of those things." The judge again took the jury through the three components of recklessness, summarizing the second—conscious disregard of a known risk—in this way:

"Then the second part is required as well. So, besides the first part, the second part must be that he or she—in this case, the Defendant—was aware of and consciously disregarded the risk. So, that goes to the particular person, what they saw, *what they should have seen*, and what they disregarded" (emphasis added).

The court concluded its response to the juror's question by saying:

“So, long and short answer to your question is both of those things come in: What the individual Defendant's aware of, and what she or he consciously disregards; and then secondly, whether that risk that they're aware of deviated from—constitutes a gross deviation from the standard that a reasonable person would observe.”

It is undisputed that, in including the words “what they should have seen” in its description of conscious disregard, the court misspoke. The jury was required to consider what risk defendant actually perceived and disregarded, not what she should have perceived. Indeed, when this supplemental charge is examined minutely, the words “should have seen” do not make sense; it is not possible “consciously” to disregard something one “should have” seen but did not.

[5] In evaluating a jury charge, however, we are “not limited to the appropriateness of a single remark” (*People v Umali*, 10 NY3d 417, 426 [2008]). Rather, we examine “the context and content of the entire charge” (*id.* at 427) and determine whether “the instruction as a whole . . . was likely to confuse the jury” (*People v Fields*, 87 NY2d 821, 823 [1995]). We are satisfied that the minor error in the supplemental charge here created no significant risk of confusion. The jurors had already heard, several times, a completely correct explanation of recklessness as defined in the Penal Law. The juror's specific question—should the jury consider what defendant actually thought, or what a reasonable person would have thought—was concisely answered at the beginning and end of the supplemental charge with the word “both.” And the supplemental charge as a whole makes clear that the jury must consider both the risk defendant actually perceived and disregarded, and what a reasonable person in her situation would have done. The supplemental charge, taken as a whole, was proper.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be modified by vacating defendant's conviction for reckless endangerment in the first degree, dismissing that count of the indictment and remitting the matter to County Court for resentencing, and as so modified affirmed.

JONES, J. (dissenting in part). I agree with the majority's dismissal of the reckless endangerment count. However, I dissent

from that portion of the majority's opinion upholding defendant's conviction for manslaughter in the second degree (count seven of the indictment) because I do not believe this conviction was supported by legally sufficient evidence.

In a legal sufficiency inquiry, this Court's role is limited to determining whether, "after viewing the evidence in the light most favorable to the prosecution, *any* rational trier of fact could have found the essential elements of the crime beyond a reasonable doubt" (*Jackson v Virginia*, 443 US 307, 319 [1979]; see also *People v Contes*, 60 NY2d 620, 621 [1983]). Where the evidence adduced at trial establishes "any valid line of reasoning and permissible inferences [that] could lead a rational person" to convict, then the conviction survives sufficiency review (*People v Williams*, 84 NY2d 925, 926 [1994]). "A sufficiency inquiry requires a court to marshal competent facts most favorable to the People and determine whether, as a matter of law, a jury could logically conclude that the People sustained its burden of proof" (*People v Danielson*, 9 NY3d 342, 349 [2007]).

Penal Law § 125.15 (1) provides that a "person is guilty of manslaughter in the second degree when . . . [h]e *recklessly causes* the death of another person" (emphasis added). Penal Law § 15.05 (3) defines the term "recklessly" as follows:

"A person acts recklessly with respect to a result or to a circumstance described by a statute defining an offense when he is aware of and consciously disregards a substantial and unjustifiable risk that such result will occur or that such circumstance exists. The risk must be of such nature and degree that disregard thereof constitutes a gross deviation from the standard of conduct that a reasonable person would observe in the situation."

Thus, the elements of second-degree manslaughter are "the creation of a substantial and unjustifiable risk [of death]; an awareness and disregard of the risk on the part of defendant; and a resulting death" (*People v Licitra*, 47 NY2d 554, 558 [1979]).

Our case law makes clear that causation is "an essential element which the People must prove beyond a reasonable doubt" in a second-degree manslaughter prosecution (*People v Stewart*, 40 NY2d 692, 697 [1976]). That is, "the defendant's actions must be a *sufficiently direct cause* of the ensuing death" (*id.*). If the evidence only establishes a possible or probable connection between defendant's acts and the victim's death, the evidence is not legally sufficient to support a conviction for second-degree manslaughter (see *id.*).

Defendant Alicia Lewie is not alleged to have herself ever physically abused her child. She is accused of recklessly causing the death of her eight-month-old son by repeatedly leaving him in her live-in boyfriend's (Michael Flint) unsupervised care during a 45-day period prior to the child's death (between October 1, 2007 and November 14, 2007), despite being aware that Flint was physically abusing the child. Because she is a "passive" defendant charged with reckless manslaughter, this Court's decision in *People v Wong* (81 NY2d 600 [1993]) has application. In *Wong*, both caretakers of an infant who died of shaken baby syndrome were convicted of first- and second-degree manslaughter and endangering the welfare of child, even though there was no evidence as to which of the caretakers shook the child. In reversing the convictions, this Court held that the prosecution had to establish that the passive defendant was personally aware that the physical abuse had taken place and "*that such abusive conduct created a risk that the infant would die without prompt medical treatment*" (*Wong*, 81 NY2d at 608 [emphasis added]; see *People v Northrup*, 83 AD2d 737 [3d Dept 1981]). In *Northrup*, defendant mother was convicted in Otsego County Court of depraved indifference murder stemming from the death of her son at the hands of her live-in boyfriend, who physically abused the child. Defendant was charged with causing her son's death by unjustifiably and inexcusably failing to obtain or provide medical care or assistance for him. In reversing this conviction on legal sufficiency grounds, the Appellate Division wrote:

"Evidence is lacking that this 23-year-old woman, without medical training or knowledge, was cognizant of that risk [of death] and consciously disregarded it. Although the external injuries were serious, [her son] ceased crying and walked about without complaining shortly after [her boyfriend] left. *Particularly noteworthy is the fact that the injury causing his death was an internal one, not detectable from observing the boy's body. In our view, this record does not support a finding that defendant acted recklessly*" (*Northrup*, 83 AD2d at 738 [emphasis added]).

The *Northrup* court further stated, "[s]ince reckless conduct is also a requisite for manslaughter in the second degree, one of the lesser included offenses which was charged, defendant's conviction of that crime must likewise be ruled out" (83 AD2d at 738).

The prosecution here built its reckless manslaughter case around the allegation that sometime during the stated 45-day period, defendant actually became aware that Flint was physically abusing her son and chose to ignore the grave risk this conduct posed for the child by repeatedly leaving him in Flint's unsupervised care. To make out its case, the prosecution had witnesses testify that defendant told them that Flint, on numerous occasions, had physically abused her and was physically abusing her child in her absence. Further, the prosecution proffered medical evidence which confirmed that defendant's son had been repeatedly abused during the period of time that defendant left him in Flint's unsupervised care.

While this evidence may have shown that defendant was criminally negligent in leaving her child with Flint, it did not establish the elements necessary to support a reckless manslaughter conviction.* The evidence, when viewed in the light most favorable to the prosecution, established that the acts of abuse took place while defendant was at work—i.e., defendant could not know the severity of the abuse to the child; it was not possible for defendant to know that the injuries sustained by her child were life-threatening or could contribute to his death because to the naked eye they only appeared to be marks or bruises; hospital personnel were only able to determine the extent of the child's internal injuries after multiple X rays and blood tests were performed; and the internal injuries that caused the child's death were only detected upon the medical examiner's internal inspection of the child's remains during the post-mortem examination. Further, while the evidence established that the child's death resulted from trauma to the head, the medical examiner was unable to pinpoint precisely when the trauma was inflicted upon the child. He could only opine that the fatal injuries were sustained within four days prior to his death (which occurred on November 14, 2007).

While the evidence adduced at trial established that defendant was aware of a risk of abuse to her son, the prosecution did not meet its burden of establishing defendant's awareness and conscious disregard of a substantial and unjustifiable risk of her son's death. There was no evidence to establish at what point

* Viewing this evidence in conjunction with the trial court's supplemental instruction to the jury explaining recklessness in terms of what defendant saw, *what defendant should have seen*, and what defendant disregarded, a reasonable argument could be made that the jury convicted defendant of reckless manslaughter based on proof of criminally negligent homicide.

during the stated 45-day period defendant actually perceived that her child was exposed to a substantial and unjustifiable risk of death. We know from the unchallenged dismissal of the reckless manslaughter count under count six of the indictment that the jury could not rationally find that defendant perceived this risk during the last three days of her son's life, the last three days of the stated 45-day period. We further know from the dismissal of count six that the jury could not rationally find that defendant perceived this risk when during the three days covered by that count she left her child in Flint's care when she left for work. Nor was there evidence that defendant would have disregarded a substantial and unjustifiable risk to her child's life even had one been apparent. Her actions—on November 12 and 13, 2007—with respect to her child—i.e., attempting to treat him with over-the-counter medications, feeding and playing with him, checking on him throughout the night, and when it became apparent that his condition worsened, calling 911 and taking him to the hospital—believe the allegation that she would have consciously disregarded a substantial and unjustifiable risk to her child's life.

Moreover, the evidence adduced by the prosecution did not prove that defendant was aware that Flint's abusive conduct created a risk that defendant's child would die without prompt medical treatment (*see Wong*, 81 NY2d at 608). As stated *supra*, it was not possible for defendant to know that the injuries sustained by her child were life-threatening or could contribute to his death. Further, there was no proof demonstrating that defendant's acts (of leaving the child with Flint) or omissions were a sufficiently direct cause of the child's death (*see Stewart*, 40 NY2d at 697).

In upholding defendant's reckless manslaughter conviction, the majority concludes that the jury could logically find, based on the evidence adduced at trial, that defendant knew a substantial and unjustifiable risk of death existed and consciously disregarded it (*see majority op* at 357). But, in support of the inference it claims the jury could make, the majority points to evidence of defendant's awareness of a risk of physical abuse, *not* death. Stated differently, the majority, without support, equates knowledge of a risk of physical abuse with knowledge of a risk of death. In effect, the majority has held that once a parent is aware his/her child has been physically abused by someone with whom they regularly leave the child, even where the abuse occurs outside the presence of the parent, and even

where any injuries sustained appear to be superficial, that parent may be held criminally liable for reckless manslaughter if the child dies at the hands of the abusive caregiver. Such a ruling marks an unwarranted departure from our jurisprudence and a drastic diminution of the proof required to make out reckless manslaughter in a case involving a passive defendant parent. Indeed, the majority's holding appears to read the very stringent direct causation requirement out of the reckless manslaughter statute in cases involving passive defendant parents.

For the foregoing reasons, I would modify by dismissing count seven of the indictment charging reckless manslaughter and by dismissing count eight of the indictment charging reckless endangerment.

Judges CIPARICK, GRAFFEO, READ and PIGOTT concur with Judge SMITH; Judge JONES dissents in part and votes to modify by dismissing count seven of the indictment charging manslaughter in the second degree and by dismissing the count charging reckless endangerment, in a separate opinion in which Chief Judge LIPPMAN concurs.

Order, insofar as appealed from, modified, etc.

[953 NE2d 794, 929 NYS2d 556]

JOHN MCCARTHY et al., Plaintiffs, v TURNER CONSTRUCTION, INC., Defendant, JOHN GALLIN & SON, INC., Respondent, and BOSTON PROPERTIES, INC., et al., Appellants. (And Other Actions.)

Argued June 1, 2011; decided June 28, 2011

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered April 20, 2010. The Appellate Division affirmed an order of the Supreme Court, New York County (Michael D. Stallman, J.; op 24 Misc 3d 1245[A], 2009 NY Slip Op 51889[U]), which had denied the motion of defendants Boston Properties, Inc. and Times Square Tower Associates, LLC for summary judgment on their cross claims for contribution and common-law indemnification against defendant John Gallin & Son, Inc., and awarded defendant John Gallin & Son, Inc. summary judgment dismissing the cross claim. The following question was certified by the Appellate Division: “Was the order of the Supreme Court, as affirmed by this Court, properly made?”

McCarthy v Turner Constr., Inc., 72 AD3d 539, affirmed.

HEADNOTE

Indemnity — When Claim for Indemnification Available — Labor Law Action — Actual Supervision Required to Impose Common-Law Duty to Indemnify

In an action to recover damages for injuries sustained by plaintiff electrician when he fell from a ladder while working at a construction site, defendant property owners, who were found vicariously liable under Labor Law § 240 (1), were not entitled to common-law indemnification from defendant general contractor, notwithstanding an agreement between the general contractor and nonparty tenant pursuant to which the general contractor was engaged as construction manager and contractually required to supervise and control the work and implement safety precautions. While Labor Law § 240 (1) did not obviate the right of the property owners to seek full indemnification from the party wholly responsible for plaintiff’s accident, a party’s authority to supervise the work and implement safety procedures is not alone a sufficient basis for requiring common-law indemnification. Consistent with the equitable purpose underlying common-law indemnification, which is to impose the duty to indemnify on parties who were actively at fault in bringing about the injury, liability for indemnification may only be imposed against those parties who exercise actual supervision. Here, the agreement between the general contractor and the tenant was insufficient alone to establish that the general contractor actually supervised or directed the plaintiff’s work, especially in light of the electrical work having been contracted out to subcontractors, and

the trial court's findings that the general contractor had no supervisory authority over the subcontractor which employed plaintiff, would not have directed plaintiff as to how to perform his work, and did not provide any tools or ladders to the subcontractors who worked at the site.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship § 269; AM JUR 2d, Indemnity §§ 2, 20, 29; AM JUR 2d, Premises Liability § 49.

McKINNEY's, Labor Law § 240 (1).

NY JUR 2d, Contribution, Indemnity, and Subrogation §§ 114–117, 125, 126; NY JUR 2d, Employment Relations §§ 286–288, 359; NY JUR 2d, Premises Liability § 226.

PROSSER AND KEETON, TORTS (5th ed) §§ 51, 62, 80.

ANNOTATION REFERENCE

Building contractor's liability, upon bond or other agreement to indemnify owner, for injury or death of third person resulting from owner's negligence. 27 ALR3d 663.

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POINTS OF COUNSEL

Carol R. Finocchio, New York City and *Marie R. Hodukavich*, for appellants. I. Boston Properties, Inc. and Time Square Tower Associates, LLC are entitled to common-law indemnification from John Gallin & Son, Inc., the general contractor who assumed overall responsibility for the project, including supervision and control of the work and safety of persons working on the project. (*McDermott v City of New York*, 50 NY2d 211; *Rosado v Proctor & Schwartz*, 66 NY2d 21; *Service Sign Erectors Co. v Allied Outdoor Adv.*, 175 AD2d 761; *City of New York v Lead Indus. Assn.*, 222 AD2d 119; *Glaser v Fortunoff of Westbury Corp.*, 71 NY2d 643; *Raquet v Braun*, 90 NY2d 177; 17 *Vista Fee Assoc. v Teachers Ins. & Annuity Assn. of Am.*, 259 AD2d 75; *Colyer v K Mart Corp.*, 273 AD2d 809; *Felker v Corning Inc.*, 90 NY2d 219; *Gillmore v Duke/Fluor Daniel*, 221 AD2d 938.) II. As a matter of sound public policy, this Court should hold that common-law indemnification may be granted upon a showing that the indemnitor either was actually negligent or

that it had the authority to direct, control or supervise the injury-producing work. (*Kelly v Diesel Constr. Div. of Carl A. Morse, Inc.*, 35 NY2d 1; *Godoy v Abamaster of Miami*, 302 AD2d 57.) III. Even if this Court holds that the standard for common-law indemnification requires actual direction, control and supervision over plaintiff's work, Boston Properties, Inc. and Time Square Tower Associates, LLC are still entitled to common-law indemnification from John Gallin & Son, Inc. (*Chapel v Mitchell*, 84 NY2d 345.)

Malapero & Prisco, LLP, New York City (Andrew L. Klauber and Frank J. Lombardo of counsel), and *Farber Brocks & Zane L.L.P.*, Mineola (Sherri N. Pavloff of counsel), for respondent. I. Defendants-appellants are not entitled to common-law indemnification. (*D'Ambrosio v City of New York*, 55 NY2d 454; *Chapel v Mitchell*, 84 NY2d 345; *Mas v Two Bridges Assoc.*, 75 NY2d 680; *Board of Mgrs. of Riverview at Coll. Point Condominium III v Schorr Bros. Dev. Corp.*, 182 AD2d 664; *Port Chester Elec. Constr. Corp. v Atlas*, 40 NY2d 652; *Kelly v Diesel Constr. Div. of Carl A. Morse, Inc.*, 35 NY2d 1; *Raquet v Braun*, 90 NY2d 177; *Landgraff v 1579 Bronx Riv. Ave., LLC*, 18 AD3d 385; *Farduchi v United Artists Theatre Circuit, Inc.*, 23 AD3d 613; *Delaney v Spiegel Assoc.*, 225 AD2d 1102.) II. Defendants-appellants' common-law indemnification motion was untimely as a matter of law. (*Brill v City of New York*, 2 NY3d 648; *Miceli v State Farm Mut. Auto. Ins. Co.*, 3 NY3d 725; *Filannino v Triborough Bridge & Tunnel Auth.*, 34 AD3d 280.) III. The doctrines of law of the case and collateral estoppel preclude defendants-appellants from relitigating the issues raised on this appeal. (*Briggs v Chapman*, 53 AD3d 900; *Town of Massena v Healthcare Underwriters Mut. Ins. Co.*, 40 AD3d 1177; *Webster v Ragona*, 51 AD3d 1128; *Beneke v Town of Santa Clara*, 45 AD3d 1164, 10 NY3d 706; *Brownrigg v New York City Hous. Auth.*, 29 AD3d 721; *Kaufman v Eli Lilly & Co.*, 65 NY2d 449; *Lodal, Inc. v Home Ins. Co.*, 309 AD2d 634; *Fish v Vanderlip*, 218 NY 29; *O'Brien v City of Syracuse*, 54 NY2d 353; *Ryan v New York Tel. Co.*, 62 NY2d 494.)

OPINION OF THE COURT

JONES, J.

The issue before the Court is whether defendant property owners Boston Properties, Inc. and Times Square Tower Associates, LLC (the property owners) are entitled to common-law indemnification from defendant general contractor John Gallin

& Son, Inc. (Gallin). For the reasons that follow, we hold they are not.

The property owners leased a retail storefront located at 7 Times Square Tower (the premises) to nonparty Ann Taylor, Inc. By agreement dated December 20, 2004, Ann Taylor, Inc. engaged Gallin, as construction manager, to build out its space. Pursuant to the agreement, Gallin was required to “supervise and direct the Work, using [its] best skill and attention[, and] be solely responsible for and have control over construction means, methods, techniques, sequences and procedures for coordinating all portions of the Work under the Contract.” The agreement further stated that Gallin was required to take reasonable safety precautions to protect the workers from injury. The name of the construction project was “Ann Taylor 7 Times Square.”

Pursuant to a purchase order dated December 29, 2004, Gallin engaged Linear Technologies, Inc. (Linear) as its subcontractor to install telephone and data cables. About two weeks later, Linear, by purchase order, hired Samuels Datacom, LLC (Samuels) as its subcontractor to perform the actual cable installation for the project. Plaintiff, an electrician, was an employee of Samuels.

On March 2, 2005, plaintiff, while working on the project site, was injured when he fell from an A-frame ladder. Plaintiff, and his wife derivatively (collectively, plaintiff), brought a personal injury action against Turner Construction, Inc., Gallin and the property owners, asserting claims under Labor Law §§ 200, 240 (1) and § 241 (6) and common-law negligence.¹ In their answer, the property owners asserted cross claims for contribution and common-law indemnification, contractual indemnification and breach of contract against Gallin. Subsequently, Gallin impleaded Linear, and Linear impleaded Samuels. After the completion of discovery and the filing of the note of issue, motions and cross motions for summary judgment were brought regarding, *inter alia*, the parties’ Labor Law § 240 (1) liability and the property owners’ contractual indemnification claim against Gallin.

Supreme Court granted plaintiff summary judgment on his Labor Law § 240 (1) claim, finding that the property owners *and* Gallin were vicariously liable for plaintiff’s injuries under

1. By stipulation dated November 30, 2005, the action against Turner Construction, Inc. was discontinued.

the statute.² Further, the court denied that portion of the property owners' cross motion for summary judgment seeking contractual indemnification against Gallin, finding that there was no contract between the property owners and Gallin, and that the property owners were not third-party beneficiaries of the agreement between Ann Taylor, Inc. and Gallin such that they could avail themselves of any contractual indemnification claim that might be owed by Gallin.³ In addition, the court found and held that

“the record contains no evidence of Gallin’s negligence. Although Gallin interacted with Linear, Gallin had no supervisory authority over Samuel[s]’s work. [Further, Robert] Kondracki[—Gallin’s vice-president and project manager—]stated that Gallin would not have directed [plaintiff] how to perform his work, and [that] Gallin did not provide any tools or ladders to the subcontractors who worked at the [project] site.” (2007 NY Slip Op 31325[U], *14-15.)

The defendants eventually settled plaintiff’s claims for \$1.6 million, with the property owners contributing \$800,000 and Gallin contributing \$800,000.

Relying primarily on the agreement between Ann Taylor, Inc. and Gallin, the property owners then moved for judgment on their cross claim for common-law indemnification against Gallin. Supreme Court denied the motion and dismissed the property owners’ claim, concluding they failed to establish that Gallin “had direct control over the work giving rise to the injury” (i.e., plaintiff’s work) (24 Misc 3d 1245[A], 2009 NY Slip Op 51889[U], *5). The Appellate Division affirmed, stating “Gallin neither was negligent nor directly supervised and controlled plaintiff’s work” (72 AD3d 539 [1st Dept 2010] [citation omitted]).

The Appellate Division, First Department, granted the property owners leave to appeal and certified the following question to the Court: “Was the order of the Supreme Court, as affirmed by this Court, properly made?” We now affirm the order of the Appellate Division, and answer the certified question in the affirmative.

2. Summary judgment, dismissing so much of plaintiff’s complaint as alleged violations of Labor Law §§ 200 and 241 (6) and common-law negligence, was granted in the property owners’ favor.

3. No claim for contractual indemnification is before us.

The property owners argue they are entitled to common-law indemnification, whether or not Gallin directly supervised and controlled plaintiff's work, since Gallin, by virtue of its agreement with Ann Taylor, Inc., contractually assumed sole responsibility and control of the entire project, and had the contractual authority to (1) direct, supervise and control the means and methods of plaintiff's work, and (2) institute safety precautions to protect the workers. Based on this authority, the property owners argue, only Gallin was in the position to take any steps to protect plaintiff and prevent the accident. The property owners thus request that this Court adopt the following general rule: a party may be liable for common-law indemnification upon a showing that the party (i.e., the proposed indemnitor) either was actually negligent *or* had the authority to direct, control or supervise the injury-producing work, even if it did not exercise that authority. In essence, the property owners are equating a party with mere authority to direct, control or supervise with a party who is actively at fault in bringing about the injury suffered by the plaintiff.

We reject the property owners' arguments and their proposed articulation of the applicable rule because under their rule, every party engaged as a general contractor or construction manager, whether by the owner or not, would owe a common-law duty to indemnify the owner regardless of whether such party was actively at fault in bringing about the injury. This proposed rule is not consistent with the equitable purpose underlying common-law indemnification.

Labor Law § 240 (1) imposes upon owners and general contractors, and their agents, a nondelegable duty to provide safety devices necessary to protect workers from risks inherent in elevated work sites (*see Rocovich v Consolidated Edison Co.*, 78 NY2d 509, 512-513 [1991]; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494, 500 [1993]; *Felker v Corning Inc.*, 90 NY2d 219, 223-224 [1997]). However, Labor Law § 240 (1)—which holds owners and general contractors absolutely liable for any breach of the statute even if “the job was performed by an independent contractor over which [they] exercised no supervision or control” (*Rocovich*, 78 NY2d at 513)—does not obviate the right of an owner or general contractor, who is only vicariously liable by statute, to seek “full indemnification from the party wholly responsible for the accident” (*Kelly v Diesel Constr. Div. of Carl A. Morse, Inc.*, 35 NY2d 1, 6 [1974]).

A party's right to indemnification may arise from a contract or may be implied “based upon the law's notion of what is fair

and proper as between the parties” (*Mas v Two Bridges Assoc.*, 75 NY2d 680, 690 [1990]). “Implied[, or common-law,] indemnity is a restitution concept which permits shifting the loss because to fail to do so would result in the unjust enrichment of one party at the expense of the other” (*id.*, citing *McDermott v City of New York*, 50 NY2d 211, 216-217 [1980]; *see also Rosado v Proctor & Schwartz*, 66 NY2d 21, 24 [1985] [indemnity may be implied “to prevent a result which is regarded as unjust or unsatisfactory” and “is frequently employed in favor of one who is vicariously liable for the tort of another” (internal quotation marks and citations omitted)]). Common-law indemnification is generally available “in favor of one who is held responsible solely by operation of law because of his relation to the actual wrongdoer” (*Mas*, 75 NY2d at 690; *see D’Ambrosio v City of New York*, 55 NY2d 454, 460 [1982]).

Consistent with the equitable underpinnings of common-law indemnification, our case law imposes indemnification obligations upon those actively at fault in bringing about the injury, and thus reflects an inherent fairness as to which party should be held liable for indemnity (*see e.g. Rogers v Dorchester Assoc.*, 32 NY2d 553 [1973]; *Kelly v Diesel Constr. Div. of Carl A. Morse, Inc.*, 35 NY2d 1 [1974]; *Felker v Corning Inc.*, 90 NY2d 219 [1997]). The *Rogers* Court concluded that common-law indemnification was available to the owner and manager of an apartment building, held statutorily liable under Multiple Dwelling Law § 78—which imposes a nondelegable duty on owners to maintain their premises in a reasonably safe condition—for plaintiff’s injuries resulting from an elevator accident, against Otis Elevator Company because Otis, under a maintenance contract, assumed “the exclusive duty to maintain the elevators” and “the owner and manager had the right . . . to look to Otis to perform their entire duty to plaintiff” (*Rogers*, 32 NY2d at 563; *see Mas*, 75 NY2d 680 [same]). In *Kelly*, the Court held that a general contractor was entitled to full indemnity from subcontractor hoist company whose negligence was the sole cause of plaintiff’s (who was subcontractor’s employee) accident. Although the general contractor “undertook to furnish, maintain and operate the hoist,” it, through various subcontracts, delegated responsibility for supply and maintenance of the hoist “particularly its brakes and other safety devices” to the hoist company, which inspected the equipment before and after installation (*Kelly*, 35 NY2d at 4-5). *Felker* involved a plaintiff who was injured when he fell over an eight-foot alcove

wall and through a suspended ceiling to the floor nine feet below. This Court held that the general contractor was entitled to common-law indemnification from the subcontractor (plaintiff's employer) notwithstanding the absence of a showing of negligence on the part of the subcontractor and the existence of a contractual agreement to indemnify the general contractor only if the subcontractor is negligent (*see Felker*, 90 NY2d at 226). The Court based its holding on the fact the subcontractor supervised and controlled the work of the injured plaintiff (*id.*).

Although our case law imposes the duty to indemnify on those parties who actually supervised and controlled the injury-producing work, some of the Appellate Division decisions have reached different conclusions regarding what sort of showing must be made to establish a claim for common-law indemnification where the proposed indemnitor is not actually negligent in causing the injury. A number of decisions have suggested that a party may be obligated to indemnify under the common law solely on the basis of that party's authority to supervise the work at a site (*see e.g. Rodriguez v Metropolitan Life Ins. Co.*, 234 AD2d 156, 156 [1st Dept 1996] [held that the subcontractor was obligated to indemnify defendants (owner and general contractor); the court stated, "A subcontractor may be obligated to indemnify under the common law upon proof that its actual negligence caused an accident, but it can also be held liable where it 'had the authority to direct, supervise and control the work giving rise to the injury' " (234 AD2d at 156, quoting *Terranova v City of New York*, 197 AD2d 402, 402 [1st Dept 1993])]; *Hernandez v Two E. End Ave. Apt. Corp.*, 271 AD2d 570, 571 [2d Dept 2000] [*Hernandez I*] [court repeats the rule that a subcontractor may be liable for common-law indemnification based on its "authority to direct, supervise and control the work giving rise to the injury" (quoting *Rodriguez*, 234 AD2d at 156)]; *Hernandez v Two E. End Ave. Apt. Corp.*, 303 AD2d 556, 557 [2d Dept 2003] [same as *Hernandez I*; summary judgment on owner's common-law indemnification claim precluded because material issue of fact existed as to whether the injured plaintiff's employer was only the entity with the authority to direct, supervise, and control work giving rise to plaintiff's injury]).

In addition, there are cases that support the view that an entity may be liable for common-law indemnification on the basis of its authority, by virtue of a contractual duty, to supervise the work (*see e.g. Ortega v Catamount Constr. Corp.*, 264 AD2d

323 [1st Dept 1999]). In *Ortega*, the court found a common-law indemnity obligation where the proposed indemnitee, the property owner, “did not exercise any actual control or supervision over the work” because the owner had “hired [the construction manager] to exercise such control and supervision” (264 AD2d at 324). The *Ortega* decision specifically refers to “the absence of any evidence of the construction manager’s direct supervision of the work in which plaintiff was engaged” (*id.*).

On the other hand, a number of cases have held that common-law indemnity is available against the party that “*actually* supervised, directed and controlled the work that caused the injuries” (*Keck v Board of Trustees of Corning Community Coll.*, 229 AD2d 1016, 1017 [4th Dept 1996] [emphasis added]; see *Landgraff v 1579 Bronx Riv. Ave., LLC*, 18 AD3d 385 [1st Dept 2005] [In this Labor Law § 240 (1) action, the building owner brought a third-party claim for common-law indemnification against a building tenant. The court held that owner was not entitled to indemnification from tenant, noting that tenant was not an active tortfeasor and did not exercise any actual control or supervision of the injury-producing work]). In further support of the view that there must be *actual* supervision over the injury-producing work, the Second Department, in *Perri v Gilbert Johnson Enters., Ltd.* (14 AD3d 681 [2d Dept 2005]), spoke of common-law indemnification being available against a party that “exclusively supervised and controlled plaintiff’s work site” (14 AD3d at 685).

To be sure, there are cases that appear to stand for the proposition that contractual authority to supervise, direct and control, standing alone, is enough to hold a party liable for indemnity under the common law. However, these cases do not adequately address the question whether a party who is contractually responsible for supervision at a work site is liable in indemnity even if there is a showing that another party, with authority, engaged in actual supervision of the injury-producing work at the site. Moreover, a close examination of a preponderance of the case law reveals that in spite of the different articulations of the applicable standard, the Appellate Division departments have usually, consistent with the equitable principles of common-law indemnification and this Court’s teachings, imposed the obligation to indemnify on parties who were actively at fault in bringing about the injury.

Based on the foregoing, a party cannot obtain common-law indemnification unless it has been held to be vicariously liable

without proof of any negligence or actual supervision on its own part. But a party's (e.g., a general contractor's) authority to supervise the work and implement safety procedures is not alone a sufficient basis for requiring common-law indemnification. Liability for indemnification may only be imposed against those parties (i.e., indemnitors) who exercise actual supervision (see *Felker*, 90 NY2d at 226; see also *Colyer v K Mart Corp.*, 273 AD2d 809, 810 [4th Dept 2000] [for standard]). Thus, if a party with contractual authority to direct and supervise the work at a job site never exercises that authority because it subcontracted its contractual duties to an entity that actually directed and supervised the work, a common-law indemnification claim will not lie against that party on the basis of its contractual authority alone.

Here, Gallin and nonparty Ann Taylor, Inc., not the property owners, entered an agreement under which Gallin was Ann Taylor, Inc.'s general contractor/construction manager. Further, Gallin engaged a subcontractor (Linear), which, in turn, engaged its own subcontractor (Samuels), the entity which employed plaintiff. Although the agreement, inter alia, required Gallin to supervise and direct the work at the premises owned by the property owners, this fact alone was insufficient to establish that Gallin actually supervised or directed the injured plaintiff's work, especially in light of the fact that Gallin contracted the work that resulted in plaintiff's injury out to a subcontractor, and Supreme Court's findings that Gallin (1) had no supervisory authority over Samuels's (plaintiff's employer's) work, (2) would not have directed plaintiff as to how to perform his work, and (3) did not provide any tools or ladders to the subcontractors who worked at the site.

Because it did not actually supervise and/or direct the injured plaintiff's work, Gallin is not required to indemnify the property owners under the common law. Indeed, the property owners' vicarious liability (under Labor Law § 240 [1]) may not be passed through to Gallin, the nonnegligent, vicariously liable general contractor with whom they did not contract. This result is consistent with the law's notion of what is fair and proper as between Gallin and the property owners (see *Mas*, 75 NY2d at 690).

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

McCARTHY v TURNER CONSTR. [17 NY3d 369] 379

Opinion by JONES, J.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ,
SMITH and PIGOTT concur.

Order affirmed, etc.

[953 NE2d 773, 929 NYS2d 535]

In the Matter of KATHLEEN K., a Child Alleged to be Permanently Neglected. SUFFOLK COUNTY DEPARTMENT OF SOCIAL SERVICES, Respondent; STEVEN K., Appellant. (And Two Other Proceedings.)

Argued May 4, 2011; decided June 9, 2011

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 30, 2010. The Appellate Division (1) affirmed an order of disposition of the Family Court, Suffolk County (Andrew G. Tarantino, Jr., J.), dated June 2, 2009, which had terminated respondent's parental rights on the ground of permanent neglect and transferred guardianship and custody of Kathleen K. and Rachel K. to petitioner; (2) dismissed, as superseded by the order of disposition, the appeal from a fact-finding order of that Family Court, dated May 7, 2009, which, after a hearing, had found that respondent permanently neglected the subject children; and (3) dismissed, as abandoned, the appeal from an order of disposition of that Family Court, dated January 22, 2009, which had changed the subject children's permanency plan to "placement for adoption."

Matter of Kathleen K. (Steven K.), 71 AD3d 1146, affirmed.

HEADNOTE

Parent and Child — Termination of Parental Rights — Right to Representation Pro Se

Family Court did not err in refusing to allow respondent father to proceed pro se in a proceeding to terminate his parental rights. Assuming that a parent in such a proceeding has a *Faretta*-type right of self-representation (*Faretta v California*, 422 US 806 [1975]), the record did not demonstrate respondent's unequivocal and timely application for self-representation that would have triggered a "searching inquiry" to ensure that respondent's waiver of the right to counsel was knowing, intelligent, and voluntary. Respondent's first alleged application for self-representation was not unequivocal where respondent's counsel stated that she wanted to be relieved from the case but did not advise the court that respondent wished to proceed pro se. When Family Court sought further explanation from respondent himself, he proffered nonresponsive answers that did not provide any clarity as to the basis of the application. The record did not reflect an affirmative desire for self-representation, and it could be reasonably inferred that the gravamen of respondent's complaint stemmed from dissatisfaction with counsel, and that self-representation was reserved as a final, conditional resort. Respondent's second alleged application

for self-representation was untimely since it was made on the second day of trial. An application made after the commencement of trial may be granted at the trial court's discretion and only under compelling circumstances. Here, the record did not indicate that a compelling factor had arisen during the period between the first and second applications to warrant reconsideration.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1149–1153; AM JUR 2d, Parent and Child §§ 36, 37.

CARMODY-WAIT 2d, Proceedings Involving Abused and Neglected Children, Juvenile Delinquents, and Persons in Need of Supervision § 119A:690; CARMODY-WAIT 2d, Right to Counsel §§ 184:80, 184:86, 184:87.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 11.3.

6 LAW AND THE FAMILY NEW YORK (2d ed) § 8:74.

McKINNEY's, NY Const, art I, § 6.

NY JUR 2d, Criminal Law: Procedure §§ 828–830; NY JUR 2d, Domestic Relations §§ 1266, 1305, 1745.

US Const 6th Amend.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Pro Se; Termination of Parental Rights.

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POINTS OF COUNSEL

Feldman and Feldman, Uniondale (Steven A. Feldman and Arza Feldman of counsel), for appellant. Appellant should be granted a new termination hearing, before a different Family Court judge, because, notwithstanding a timely and unequivocal prehearing request to represent himself, the Family Court denied his *Faretta* request without conducting the requisite inquiry. (*Faretta v California*, 422 US 806; *People v Arroyo*, 98 NY2d 101; *People v McIntyre*, 36 NY2d 10; *Adams v United States ex rel. McCann*, 317 US 269; *People v Smith*, 68 NY2d 737; *Matter of Casey N.*, 59 AD3d 625; *Matter of McGregor v Bacchus*, 54 AD3d 678; *Matter of Silvestris v Silvestris*, 24 AD2d 247; *People v Slaughter*, 78 NY2d 485; *People v Vivenzio*, 62 NY2d 775.)

Christine Malafi, County Attorney, Riverhead (*James G. Bernet* and *Ann K. Kandel* of counsel), for respondent. I. Appellant did not make either a timely or unequivocal request to represent himself. (*Faretta v California*, 422 US 806; *Matter of Casey N.*, 59 AD3d 625; *Matter of Jetter v Jetter*, 43 AD3d 821; *Matter of McGregor v Bacchus*, 54 AD3d 678; *People v McIntyre*, 36 NY2d 10; *People v Smith*, 92 NY2d 516; *People v Arroyo*, 98 NY2d 101; *Matter of Jisun L. v Young Sun P.*, 75 AD3d 510; *People v Mitchell*, 42 AD3d 758; *People v McClam*, 297 AD2d 514.) II. The trial court had sufficient information to make a correct decision on a self-representation application. (*People v Arroyo*, 98 NY2d 101; *People v Providence*, 2 NY3d 579; *People v Slaughter*, 78 NY2d 485; *People v Vivenzio*, 62 NY2d 775; *Matter of Allen v Strough*, 301 AD2d 11; *Edgewater Constr. Co., Inc. v 81 & 3 of Watertown, Inc.*, 24 AD3d 1229; *Matter of Wesley R.*, 307 AD2d 360; *People v Fernandez*, 72 AD3d 303, 15 NY3d 213; *People v Smith*, 92 NY2d 516.) III. If appellant's self-representation application was improperly denied, such denial was harmless error. (*Chapman v California*, 386 US 18; *People v Crimmins*, 36 NY2d 230; *People v Wardlaw*, 6 NY3d 556; *People v Gillian*, 28 AD3d 577, 8 NY3d 85; *People v Navarro*, 96 AD2d 1126; *Matter of Star Leslie W.*, 63 NY2d 136; *Matter of Grace Q.*, 200 AD2d 894; *People v McIntyre*, 36 NY2d 10; *People v Smith*, 92 NY2d 516; *People v Slaughter*, 78 NY2d 485.) IV. Incompetency argument, raised for first time on appeal, lacks merit. (*T. W. Oil v Consolidated Edison Co. of N.Y.*, 57 NY2d 574; *Hunt v Bankers & Shippers Ins. Co. of N.Y.*, 50 NY2d 938; *Gulf Ins. Co. v Kanen*, 13 AD3d 579; *People v Providence*, 2 NY3d 579; *People v McIntyre*, 36 NY2d 10; *Matter of Nereida S.*, 57 NY2d 636; *Faretta v California*, 422 US 806; *People v Arroyo*, 98 NY2d 101; *People v Morgan*, 87 NY2d 878; *Jackson v Indiana*, 406 US 715.)

Judd & Moss, P.C., Ronkonkoma (*Francine H. Moss* of counsel), Attorney for the Children. I. There was no prehearing *Faretta* request and requests made after the trial commenced were untimely and not unequivocal; as such appellant's rights were not violated. (*People v McIntyre*, 36 NY2d 10; *Faretta v California*, 422 US 806; *Chapman v United States*, 553 F2d 886; *United States v Smith*, 780 F2d 810; *Savage v Estelle*, 924 F2d 1459; *United States v Stevens*, 83 F3d 60; *People v Smith*, 68 NY2d 737; *People v Gillian*, 8 NY3d 85; *People v LaValle*, 3 NY3d 88; *People v Arroyo*, 98 NY2d 101.) II. Given that the parental termination proceeding is a civil and not a criminal proceeding, the Second Department's ruling is not internally

inconsistent. (*Matter of Vance A.*, 105 Misc 2d 254; *Matter of Daniel Aaron D.*, 49 NY2d 788; *Matter of Carmen G.F.*, 63 AD2d 651; *Matter of Casey J.*, 251 AD2d 1002; *Matter of Justice T.*, 19 AD3d 1079, 5 NY3d 707; *Matter of Barbara Anne B.*, 51 AD3d 1018; *Matter of Shawndalaya II.*, 31 AD3d 823; *Godinez v Moran*, 509 US 389.) III. The present status of the children is relevant and this Court must be concerned with their best interests. (*Matter of Michael B.*, 80 NY2d 299; *Matter of Danielle Joy K.*, 60 AD3d 948, 12 NY3d 865; *Matter of Antonette Alasha E.*, 8 AD3d 375; *Matter of Shad S. [Amy C.Y.]*, 67 AD3d 1359.)

OPINION OF THE COURT

JONES, J.

In June 2007, child neglect proceedings were commenced, pursuant to Family Court Act article 10, by Suffolk County Child Protective Services against appellant Steven K., the father of Kathleen K. and Rachel K. At a hearing on June 5, 2007, testimony was elicited indicating that Steven K. had subjected his children and spouse to mental and physical abuse. Family Court issued a temporary order of protection directing Steven K. to cease all contact with his children except for supervised visitation. At a subsequent trial on September 7, 2007, Family Court found by a preponderance of the evidence that Steven K. had neglected his children. Consequently, in the best interests of the children, the order of protection was made permanent; the children were placed in the foster care of the Suffolk County Department of Social Services (DSS); and Steven K. was ordered to, among other things, undergo a mental health evaluation, attend a parenting skills program, and obtain safe and suitable housing.¹

At a hearing on January 22, 2009, after learning that Steven K. had failed to comply with the court-ordered conditions, Family Court concluded that the permanency goal for the children should be modified to “free [them] for adoption” and directed DSS to file a petition seeking the termination of Steven K.’s parental rights. The mother of the children voluntarily surrendered her parental rights on December 18, 2008, and DSS filed parental right termination petitions on January 22, 2009 against Steven K. on the ground of permanent neglect (*see* Social Services Law § 384-b [7]).

On March 31, 2009, prior to the commencement of trial, counsel for Steven K. made an application to the court “to be

1. Family Court’s finding of neglect in 2007 was affirmed by the Appellate Division (*see Matter of Kathleen K.*, 66 AD3d 683 [2d Dept 2009]).

relieved from this case” on the basis that Steven K. had “refused to work with [counsel] to discuss, to prepare for this trial.” The attorney further argued that it was impossible to work with, or provide effective assistance to Steven K. because of his recalcitrant behavior. Family Court inquired about the application directly with Steven K., but in an exchange with the court, his response did not address the application; instead he spoke about personal medical issues, financial issues, and the possibility of an adjournment of the trial. Family Court denied the application. After DSS had called its first witness, the following colloquy occurred between Family Court and Steven K.:

“THE COURT: And you are not in a position to object. You have a lawyer. You cannot object.

“[STEVEN K.]: I asked for the lady to be terminated.

“THE COURT: You’re ready to proceed on your own?

“[STEVEN K.]: If I have to.

“THE COURT: You can’t proceed on your own. You don’t know the law.

“[STEVEN K.]: We went through this already.

“THE COURT: Sorry.

“[STEVEN K.]: So you’re refusing me an assignment of counsel.

“THE COURT: I gave you counsel.

“[STEVEN K.]: I turned it down.”

Additionally, on April 2, 2009, counsel for Steven K. stated that she was renewing her application to be relieved and his application to represent himself. Family Court again denied the motion.

Following the completion of trial, Family Court terminated Steven K.’s parental rights due to his persistent failure to comply with court-mandated conditions and the lack of evidence evincing efforts to adequately provide for his family.² The Appellate Division unanimously upheld the disposition, holding that Steven K.’s applications to represent himself were not unequivocal and timely (71 AD3d 1146, 1147 [2d Dept 2010]). This Court granted leave to appeal (15 NY3d 702 [2010]), and we now affirm on the same basis.

It is well settled that a criminal defendant’s constitutional right to counsel concomitantly includes the right to refuse

2. The children were subsequently adopted on March 12, 2010.

appointed counsel (see *Faretta v California*, 422 US 806 [1975]; *People v McIntyre*, 36 NY2d 10 [1974]; US Const Amend VI; NY Const, art I, § 6). In the seminal case *Faretta*, the United States Supreme Court explained that the right to defend oneself in a criminal proceeding is a personal right, i.e., it is defendant's right, not counsel's, to be informed of the charges and to confront the witnesses against him. Consequently, a criminal defendant can decline representation, but self-representation is not an unfettered right. The trial court must ensure that the defendant knowingly, intelligently, and voluntarily waives counsel before permitting the individual to forgo counsel and proceed pro se (*id.* at 835 [the court must ensure that “(defendant) knows what he is doing and his choice is made with eyes open”]). That a defendant lacks legal skill or knowledge is not a preclusive bar to self-representation so long as the defendant voluntarily waives the right to counsel (*id.* at 836 [“(T)echnical legal knowledge, as such, was not relevant to an assessment of his knowing exercise of the right to defend himself”]).

New York similarly guarantees a constitutional right of self-representation to criminal defendants. This Court has recognized that “even in cases where the accused is harming himself by insisting on conducting his own defense, respect for individual autonomy requires that he be allowed to go to jail under his own banner if he so desires and if he makes the choice with eyes open” (*McIntyre*, 36 NY2d at 14 [internal quotation marks omitted]).

Accordingly, this Court has enumerated certain essential requirements that must be satisfied for a criminal defendant to effectively represent himself:

“A defendant in a criminal case may invoke the right to defend *pro se* provided: (1) the request is unequivocal and timely asserted, (2) there has been a knowing and intelligent waiver of the right to counsel, and (3) the defendant has not engaged in conduct which would prevent the fair and orderly exposition of the issues” (*id.* at 17).

If a timely and unequivocal request has been asserted, then the trial court is obligated to conduct a “searching inquiry” to ensure that the defendant's waiver is knowing, intelligent, and voluntary (see *People v Slaughter*, 78 NY2d 485 [1991]; *People v Vivenzio*, 62 NY2d 775, 776 [1984]). A waiver is voluntarily made when the trial court advises the defendant and can be

certain that the “dangers and disadvantages of giving up the fundamental right to counsel have been impressed upon the defendant” (*Slaughter* at 491 [internal quotation marks omitted]). A “searching inquiry” does not have to be made in a formulaic manner (see *People v Smith*, 92 NY2d 516, 520 [1998]), although it is better practice to ask the defendant about his “age, education, occupation, previous exposure to legal procedures and other relevant factors bearing on a competent, intelligent, voluntary waiver” (*People v Arroyo*, 98 NY2d 101, 104 [2002]).

Assuming, without deciding, that a parent in a termination of parental rights proceeding has a *Faretta*-type right of self-representation, in our view, the record does not facially demonstrate unequivocal and timely applications for self-representation that would have triggered a “searching inquiry.” Steven K. argues that there are two junctures within the record where he invoked the right to represent himself. The first occurred on March 31, 2009, prior to the commencement of trial; and subsequently on April 2, 2009, the second day of trial. With respect to the first application, although its timeliness is not at issue because it was made prior to trial, on this record, the request was not unequivocal. Contrary to Steven K.’s contention, rather than clearly articulating that he sought to represent himself, his counsel stated that she wanted “to be relieved from this case” without advising the court that Steven K. wished to proceed pro se (see *People v Rainey*, 240 AD2d 682, 683 [2d Dept 1997]; *People v Jones*, 187 AD2d 750 [3d Dept 1992]). When Family Court sought further explanation from Steven K. himself, he proffered nonresponsive answers that did not provide any clarity as to the basis of the application. The record further belies Steven K.’s position that he unequivocally sought to represent himself when he later informed the court “[t]hat’s why I want a different counsel.”

While Steven K. correctly argues that a request for self-representation does not require the recitation of “[a] talismanic formula” to alert a trial court (*Dorman v Wainwright*, 798 F2d 1358, 1366 [11th Cir 1986]), the application must reflect a purposeful decision to relinquish the benefit of counsel and proceed singularly. In *People v Gillian* (8 NY3d 85 [2006]), we held that a criminal defendant’s request for self-representation which was made in the alternative to an underlying request for substitution of counsel was not an unequivocal request, especially where it was used as leverage to compel dismissal of assigned counsel. There, the defendant initially sought to

substitute his assigned counsel on the grounds of conflict of interest and difference in strategy. When that application was denied, the defendant moved to represent himself. The trial court denied the motion and the defendant again sought reassignment of counsel, or in the alternative, self-representation. The trial court twice substituted counsel, but when the defendant was assigned his third attorney, he did not renew any applications. This Court concluded that in substance the defendant's applications were for substitution of counsel because he was dissatisfied with his representation, and warned that a request for self-representation must be clear, unconditional, and unequivocal "[i]n order to ensure that convicted defendants do not pervert the system by subsequently claiming a denial of their *pro se* right" (*id.* at 88 [internal quotations marks omitted]). Like *Gillian*, this record does not reflect an affirmative desire for self-representation. It can be reasonably inferred that the gravamen of Steven K.'s complaint stemmed from dissatisfaction with counsel, and the tenor of the initial application indicates that self-representation was reserved as a final, conditional resort (*see People v LaValle*, 3 NY3d 88, 106 [2004]).

The second request, made after the commencement of trial, is clearly untimely. An application is "timely interposed when it is asserted before the trial commences" (*McIntyre*, 36 NY2d at 17; *see also People v Jenkins*, 45 AD3d 864, 865 [2d Dept 2007]; *People v Spohn*, 43 AD2d 843 [2d Dept 1974]). If the request is made thereafter, the "right is severely constricted" and the trial court must exercise its sound discretion and grant the request only under compelling circumstances (*McIntyre*, 36 NY2d at 17). Here, counsel reiterated her earlier application and proffered no compelling circumstances justifying the need to grant the application. In addition, there is nothing in the record to indicate that a compelling factor had arisen during the period between the first request on March 31, 2009 (the first day of trial) and the ensuing application on April 2, 2009 (the second day of trial) to warrant particular consideration by the court.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

SMITH, J. (concurring). Here, as in *People v Gillian* (8 NY3d 85 [2006]), the majority finds equivocation where I cannot. Appellant did answer, "If I have to," to the trial court's question: "You're ready to proceed on your own?" But when he said that, it was clear, beyond doubt, that he *did* have to unless he was to

continue with his court-appointed lawyer; and it was equally clear that he found that lawyer unacceptable. The whole point of the right of self-representation recognized in *Faretta v California* (422 US 806 [1975]) is that a defendant in a criminal case is entitled to choose, however foolishly and self-destructively, to represent himself rather than to take a lawyer forced on him by the state. Thus if appellant here had a *Faretta* right, his invocation of it was not equivocal.

The trial court's response to appellant's application was: "You can't proceed on your own. You don't know the law." Surely no one would argue—and the majority here does not suggest—that this would be an appropriate response to a defendant's request to go pro se in a criminal case. Criminal defendants, no matter how little law they know, are entitled to blunder through on their own if they want to, so long as they are competent to stand trial (*Godinez v Moran*, 509 US 389 [1993]).

I therefore think that this case requires us to reach the question the majority avoids deciding: Does the right protected by *Farreta* and *Godinez* apply in a Family Court proceeding for the termination of parental rights? I would answer that question no. The difference between a criminal case and a case like this is glaring. A criminal defendant who chooses to go without a lawyer will ordinarily harm no one but himself, but a parent who makes that choice in a parental rights proceeding can harm his children. Weighty as appellant's own interest in the outcome of this proceeding is, the interests of his two daughters are no less so. It was essential for their protection that both sides of the case be competently presented; otherwise there would be an unacceptable danger that parental rights would be terminated when they should not be.

Thus I conclude that the Family Court judge in this case was entirely right—just as right as a criminal court judge similarly situated would have been wrong—to tell appellant: "You can't proceed on your own. You don't know the law." For that reason, I concur in the result reached by the majority.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ and PIGOTT concur with Judge JONES; Judge SMITH concurs in result in a separate opinion.

Order affirmed, without costs.

[953 NE2d 790, 929 NYS2d 552]

FARRAH DONALD, Appellant, v STATE OF NEW YORK, Respondent.

SHAKIRA EANES, Appellant, v STATE OF NEW YORK, Respondent.

JONATHAN ORELLANES, Appellant, v STATE OF NEW YORK, Respondent.

ISMAEL ORTIZ, Also Known as JOSE RODRIGUEZ, Appellant, v
STATE OF NEW YORK, Respondent.

Argued May 31, 2011; decided June 23, 2011

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered May 7, 2010. The Appellate Division (1) reversed, on the law, an order of the Court of Claims (Frank P. Milano, J.; op 24 Misc 3d 329), which had granted claimant's motion for partial summary judgment on liability and denied defendant's cross motion to dismiss the claim; (2) denied claimant's motion; (3) granted defendant's cross motion; and (4) dismissed the claim.

APPEAL, in the second above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 4, 2010. The Appellate Division affirmed an order of the Court of Claims (Francis T. Collins, J.), which, among other things, had granted defendant's cross motion for summary judgment dismissing the claim.

APPEAL, in the third above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 4, 2010. The Appellate Division affirmed an order of the Court of Claims (Judith A. Hard, J.), which, among other things, had granted defendant's motion for summary judgment dismissing the claim.

APPEAL, in the fourth above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 4, 2010. The Appellate Division affirmed an order of the Court of Claims (Francis T. Collins, J.), which had denied claimant's application pursuant to Court of Claims Act § 10 (6) for permission to file a late notice of claim.

Donald v State of New York, 73 AD3d 1465, affirmed.

Eanes v State of New York, 78 AD3d 1297, affirmed.

Orellanes v State of New York, 78 AD3d 1308, affirmed.

Ortiz v State of New York, 78 AD3d 1314, affirmed.

HEADNOTES

Judges — Judicial Immunity — Failure to Orally Pronounce Term of Postrelease Supervision

1. Claimant, who was subjected to a statutorily-required period of post-release supervision (PRS) (Penal Law § 70.45 [1]) which was administratively added to his prison term by the Department of Correctional Services (DOCS) even though the sentencing judge improperly failed to orally pronounce a term of PRS, was not entitled to recover damages from the State as a result of being subjected to PRS and imprisoned for PRS violations. Since the commitment sheet issued by the sentencing court, as recorded by the court clerk, included a term of PRS, DOCS merely carried out the mandate of the sentencing court in entering a PRS term on claimant's record. The only error was by the sentencing judge, and any claim against the State based on that error was barred by judicial immunity.

Torts — False Imprisonment — Privileged Confinement — Violation of Postrelease Supervision

2. Claimants, who were each subjected to a statutorily-required period of postrelease supervision (PRS) (Penal Law § 70.45 [1]) which was administratively added to their prison terms by the Department of Correctional Services (DOCS) even though the oral pronouncements of their sentences and the commitment sheets omitted PRS, failed to plead the essential elements to support their claims of false imprisonment against the State. One claimant was not imprisoned for PRS violations, and the two claimants who were imprisoned failed to allege that their confinement was not privileged since neither alleged any defect in the process by which he or she was arrested for violating PRS, or in the jurisdiction of the court that issued the process.

State — Claim against State — Immunity from Liability — Discretionary Acts of Department of Correctional Services

3. The State was immune from liability for the alleged negligence of the Department of Correctional Services (DOCS) in subjecting claimants to unauthorized postrelease supervision (PRS) terms since DOCS's actions in recording PRS terms as part of claimants' sentences, even though the oral pronouncement of claimants' sentences and the commitment sheets omitted PRS, were discretionary. In each case, DOCS was presented with a prisoner sentenced to a determinate prison term, for whom PRS was mandatory under state law (Penal Law § 70.45 [1]), and made the reasoned judgment that it should interpret their sentences as including PRS. Making judgments as to the scope of its own authority in interpreting the directions it has received from the court system is a normal and legitimate part of DOCS's functions.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 739, 791; AM JUR 2d, False Imprisonment §§ 10, 11, 35, 88, 92, 112; AM JUR 2d,

Judges §§ 61, 67–69; AM JUR 2d, States, Territories, and Dependencies §§ 97, 98, 102, 105, 113.

CARMODY-WAIT 2d, Sentencing Procedures §§ 203:73, 203:210.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 26.2.

McKINNEY's, Penal Law § 70.45 (1).

NY JUR 2d, Criminal Law: Procedure §§ 3178, 3179, 3184, 3185; NY JUR 2d, Government Tort Liability §§ 15, 17, 22, 31, 150, 154, 175.

PROSSER AND KEETON, TORTS (5th ed) §§ 11, 131.

ANNOTATION REFERENCE

See ALR Index under False Imprisonment and Arrest; Parole, Probation, and Pardon; Privileges and Immunities; States.

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POINTS OF COUNSEL

McKain Law Firm, P.C., Rochester (*Kevin K. McKain* and *Andrew D. Fiske* of counsel), for appellant in the first above-entitled action. I. The Appellate Division decision should be reversed because the Department of Correctional Services lacks jurisdiction to impose postrelease supervision onto a criminal sentence without the express consent of the sentencing court. (*Davis v City of Syracuse*, 66 NY2d 840; *Earley v Murray*, 451 F3d 71; *Hill v United States ex rel. Wampler*, 298 US 460; *Collins v State of New York*, 69 AD3d 46.) II. Even if *Collins v State of New York* (69 AD3d 46 [2009]) is upheld, the Appellate Division decision should be reversed because the case at bar is factually and legally distinguishable. (*Matter of Quinones v New York State Dept. of Correctional Servs.*, 46 AD3d 1268; *People ex rel. Burch v Goord*, 48 AD3d 1306.)

Law Office of Robert Dembia, PC, New York City (*Robert Dembia* of counsel), for appellant in the second, third and fourth above-entitled actions.

Eric T. Schneiderman, Attorney General, Albany (*Andrea Oser*, *Barbara D. Underwood* and *Zainab A. Chaudhry* of counsel), for respondent in the first above-entitled action. I. Common-law privilege protects the State of New York from liability for the

actions of state officials who revoked claimant's postrelease supervision and received him in custody. (*Martinez v City of Schenectady*, 97 NY2d 78; *Broughton v State of New York*, 37 NY2d 451; *Davis v City of Syracuse*, 66 NY2d 840; *Harty v State of New York*, 29 AD2d 243, 27 NY2d 698; *Jones v State of New York*, 31 AD2d 992; *Boose v City of Rochester*, 71 AD2d 59; *Nastasi v State of New York*, 275 App Div 524, 300 NY 473; *Nuernberger v State of New York*, 41 NY2d 111; *Nazario v State of New York*, 75 AD3d 715; *People ex rel. Spinks v Harris*, 53 NY2d 784.) II. The State of New York is not liable for recording claimant's mandatory period of postrelease supervision without confirming oral pronouncement by the sentencing court. (*Artega v State of New York*, 72 NY2d 212; *Newiadony v State of New York*, 276 App Div 59; *Lauer v City of New York*, 95 NY2d 95; *Tango v Tulevech*, 61 NY2d 34; *McLean v City of New York*, 12 NY3d 194; *Haddock v City of New York*, 75 NY2d 478; *Tarter v State of New York*, 68 NY2d 511; *Semkus v State of New York*, 272 AD2d 74, 95 NY2d 761; *Eiseman v State of New York*, 70 NY2d 175; *Barrett v State of New York*, 220 NY 423.) III. The State of New York is not liable for continuing to hold claimant in the wake of *Earley v Murray* (451 F3d 71 [2006]), *Matter of Garner v New York State Dept. of Correctional Servs.* (10 NY3d 358 [2008]) and *People v Sparber* (10 NY3d 457 [2008]) until individualized adjudication by the courts. (*People v Kin Kan*, 78 NY2d 54; *Scott v Fischer*, 616 F3d 100; *Ruffins v Department of Correctional Servs.*, 701 F Supp 2d 385; *Davis v State of New York*, 257 AD2d 112; *Waterman v State of New York*, 207 Misc 773, 1 AD2d 235, 2 NY2d 803; *Brown v State of New York*, 10 Misc 2d 833, 6 AD2d 1022; *Todzia v State of New York*, 53 Misc 2d 200; *State of New York v Myers*, 22 Misc 3d 809; *People ex rel. Spinks v Harris*, 53 NY2d 784; *People v Lingle*, 16 NY3d 621.)

Eric T. Schneiderman, Attorney General, Albany (*Andrea Oser*, *Barbara D. Underwood* and *Zainab A. Chaudhry* of counsel), for respondent in the second, third and fourth above-entitled actions.

Joel Berger, New York City, for Sidney Burch and others, amici curiae. Individuals sentenced to postrelease supervision (PRS) (Penal Law § 70.45) by the Department of Correctional Services rather than by the sentencing judge, and subsequently imprisoned by the Division of Parole for technical violations of PRS after *Earley v Murray* (451 F3d 71 [2d Cir 2006]), are entitled to damages for the period during which they were

illegally incarcerated. (*Hill v United States ex rel. Wampler*, 298 US 460; *Burhlre v Earley*, 551 US 1159; *Brown v Board of Education*, 347 US 483; *People v Wright*, 56 NY2d 613.)

Legal Aid Society, Criminal Appeals Bureau and Parole Revocation Defense Unit, New York City (*Elon Harpaz* of counsel), amicus curiae. The State of New York should pay damages for wrongful imprisonment where it mounted a massive campaign of resistance to the Second Circuit’s decision in *Earley v Murray* (451 F3d 71 [2d Cir 2006]) in an attempt to justify the continued unlawful incarceration of individuals for violating a term of administratively imposed postrelease supervision. (*People v Kin Kan*, 78 NY2d 54; *People v Catu*, 4 NY3d 242; *People v Martinez*, 40 AD3d 1012; *People v Wilson*, 37 AD3d 855; *People v Boyd*, 12 NY3d 390; *People v Boyce*, 12 AD3d 728; *People v White*, 296 AD2d 867; *People v Cephus*, 13 Misc 3d 1211[A], 2006 NY Slip Op 51779[U]; *People v Ryan*, 13 Misc 3d 451.)

OPINION OF THE COURT

SMITH, J.

Claimants in these four cases were convicted of crimes for which they received determinate sentences. A statute required that such a sentence include a period of postrelease supervision (PRS), but in each claimant’s case the sentencing judge failed to pronounce a PRS term. Claimants were nevertheless subjected to PRS, and in three of the four cases were imprisoned for PRS violations. They now seek damages from the State of New York, asserting that they were wrongly made to undergo supervision and confinement. We hold that all of their claims are without merit.

I

Each claimant was convicted of a felony: Farrah Donald of weapon possession, Shakira Eanes of attempted robbery, Jonathan Orellanes of robbery and Ismael Ortiz of assault. Each received a determinate prison term. At the time of their sentences, Penal Law § 70.45 (1) said: “Each determinate sentence also includes, as a part thereof, an additional period of post-release supervision.” In claimants’ cases, however, as in many others, the sentencing judge pronounced only a term of imprisonment, not a term of PRS, a practice we held to be improper in *People v Sparber* (10 NY3d 457 [2008]) and *Matter of Garner v New York State Dept. of Correctional Servs.* (10 NY3d 358 [2008]). Orellanes’s case is like that of the *Sparber*

defendants, in that the commitment sheet issued by the sentencing court did include a PRS term, but the other claimants are in the position of the *Garner* petitioner: the commitment sheets, like the sentences orally pronounced by the judge, omitted all mention of PRS.

The Department of Correctional Services (DOCS) entered a PRS term for each claimant on its records. Each claimant, upon being released, was informed that he or she was subject to PRS, was given a list of conditions to comply with, and was subjected to supervision by the Division of Parole. All claimants except Ortiz violated one or more of their PRS conditions, and were incarcerated again as a result.

Each claimant filed a claim against the State in the Court of Claims, and in each case the State moved to dismiss. In *Donald*, the Court of Claims denied the motion to dismiss and granted Donald partial summary judgment (*Donald v State of New York*, 24 Misc 3d 329 [Ct Cl 2009]); the Court of Claims dismissed the other three cases. The Appellate Division reversed in *Donald* (*Donald v State of New York*, 73 AD3d 1465 [4th Dept 2010]) and affirmed in the other cases (*Eanes v State of New York*, 78 AD3d 1297 [3d Dept 2010]; *Orellanes v State of New York*, 78 AD3d 1308 [3d Dept 2010]; *Ortiz v State of New York*, 78 AD3d 1314 [3d Dept 2010]), thus dismissing all claimants' claims. We granted claimants leave to appeal, and now affirm.

II

All claimants assert, in substance, that they are entitled to damages from the State because DOCS, acting without court authority, administratively added PRS to their prison terms. On the face of the claims, it is clear that none of the claimants may recover.

[1] *Orellanes* is the easiest case to dispose of, because in that case DOCS did not err; in entering a PRS term on Orellanes's record, DOCS was merely carrying out the mandate of the sentencing court, as recorded by the court clerk in a commitment sheet. The only error in that case was by the sentencing judge, who failed to pronounce the PRS term orally. Any claim against the State based on the judge's error would be barred by judicial immunity (*Mosher-Simons v County of Allegany*, 99 NY2d 214 [2002]).

[2] The claims of Donald, Eanes and Ortiz require only a bit more discussion. Each of them sues the State for false imprisonment (also known as wrongful confinement), but none has

pleaded the essential elements of that tort. Ortiz has not even alleged, and apparently cannot allege, that DOCS's error caused him to be imprisoned or confined. Donald and Eanes clear that hurdle, but fail to allege another element: that their confinement was not privileged (*see Broughton v State of New York*, 37 NY2d 451, 456 [1975]; *Collins v State of New York*, 69 AD3d 46 [4th Dept 2009]). "A detention, otherwise unlawful, is privileged where the confinement was by arrest under a valid process issued by a court having jurisdiction" (*Davis v City of Syracuse*, 66 NY2d 840, 842 [1985] [internal quotation marks and citations omitted]). Neither Donald nor Eanes alleges any defect in the process by which he or she was arrested for violating PRS, or in the jurisdiction of the court that issued that process.

[3] The claims of Donald, Eanes and Ortiz may also be read as asserting that the State is liable for DOCS's alleged negligence in subjecting these claimants to unauthorized PRS terms. To establish such liability, claimants would have to show what every tort plaintiff must show: a duty owed to the claimant, a breach of that duty, and injury resulting from the breach. Issues exist as to each of these three elements, but we do not reach any of those issues, because the negligence claims are barred for another reason: the State is immune from liability for the discretionary acts of its officials (*Tango v Tulevech*, 61 NY2d 34, 40 [1983] ["when official action involves the exercise of discretion, the officer is not liable for the injurious consequences of that action even if resulting from negligence or malice"]; *Lauer v City of New York*, 95 NY2d 95, 99 [2000] ["A public employee's discretionary acts . . . may not result in the municipality's liability even when the conduct is negligent"]; *McLean v City of New York*, 12 NY3d 194, 203 [2009] ["Government action, if discretionary, may not be a basis for liability"]).

Where the issue is governmental immunity, an action is considered "discretionary" if it involves "the exercise of reasoned judgment" (*Lauer*, 95 NY2d at 99). DOCS's actions in recording PRS terms as part of claimants' sentences were discretionary in that sense. In each of these cases, DOCS was presented with a prisoner sentenced to a determinate prison term, for whom PRS was mandatory under state law. DOCS made the "reasoned judgment" that it should interpret their sentences as including PRS, though the sentences rendered by the courts did not mention it. We held in *Garner* that that judgment was mistaken, but it clearly was just that—a mistake in judgment—not a ministerial error, like mistranscribing an entry or confusing the files of two different prisoners.

Making judgments as to the scope of its own authority in interpreting the directions it has received from the court system is a normal and legitimate part of DOCS's function. We implicitly recognized this in *Garner*, where we observed that administratively adding a PRS term was an act “*in excess of DOCS's jurisdiction*” (10 NY3d at 362 [emphasis added]). We did not suggest that DOCS was without any jurisdiction to make judgments of this kind. Because DOCS was exercising—albeit mistakenly—the discretion given it by law, its acts cannot be a basis for state liability.

Accordingly, the order of the Appellate Division in each case should be affirmed, with costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur.

In *Donald v State of New York*: Order affirmed, with costs.

In *Eanes v State of New York*, *Orellanes v State of New York* and *Ortiz v State of New York*: On review of submissions pursuant to section 500.11 of the Rules of the Court of Appeals (22 NYCRR 500.11), order affirmed, with costs.

[955 NE2d 329, 931 NYS2d 22]

THE RGH LIQUIDATING TRUST, on Behalf of RELIANCE GROUP HOLDINGS, INC., and Others, Appellant, v DELOITTE & TOUCHE LLP et al., Respondents.

Argued April 27, 2011; decided June 23, 2011

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 8, 2009. The Appellate Division order, insofar as appealed from, modified, on the law, so much of an order of the Supreme Court, New York County (Karla Moskowitz, J.; op 17 Misc 3d 1128[A], 2007 NY Slip Op 52181[U]), as had denied defendants' motion to dismiss the amended complaint with respect to claims asserted on behalf of identified creditors and groups of creditors of Reliance Group Holdings, Inc. The modification consisted of granting defendants' motion to the extent of dismissing the claims asserted on behalf of holders of bonds issued by Reliance Group Holdings, Inc. The following question was certified by the Appellate Division: "Was the order of the Supreme Court, as modified by this Court, properly made?"

RGH Liquidating Trust v Deloitte & Touche LLP, 71 AD3d 198, reversed.

HEADNOTE

Accounts and Accounting — Action against Accountants — Liquidating Trust's Assertion of Fraud Claims of Bondholders of Bankrupt Company Not Barred by Federal Law

The Securities Litigation Uniform Standards Act of 1998 (Pub L 105-353, 112 US Stat 3227 [SLUSA]; see 15 USC § 77p [f] [2] [C]; § 78bb [f] [5] [D]) did not preclude Supreme Court from adjudicating the state common-law fraud claims that plaintiff liquidating trust brought against defendants accounting firm and a principal of the firm for the benefit of bondholders of the parent companies of a liquidated insurance company. SLUSA provides that no state or federal court may entertain a covered class action brought by a private party and based on state statutory or common law, which alleges fraud (misrepresentation or omission of a material fact) or manipulation in connection with the purchase or sale of a covered security. As relevant here, SLUSA defines a "covered class action" as a "single lawsuit" or "group of lawsuits" in which "damages are sought on behalf of more than 50 persons or prospective class members" (see 15 USC § 77p [f] [2] [A] [i] [I]; § 78bb [f] [5] [B] [i] [I]) and further provides that "a corporation, investment company, pension plan, partnership, or other entity, shall be treated as one person or prospective class member, but only if the entity is not established for the purpose of

participating in the action” (15 USC § 77p [f] [2] [C]; § 78bb [f] [5] [D]). Here, plaintiff liquidating trust, established under the bankruptcy organization plan of one of the parent companies as the debtor’s successor and assigned the litigation claims of both parent companies and their general unsecured creditors, was “one person” within the meaning of the single-entity exemption in SLUSA. Judged by the language in the bankruptcy organization plan and the trust agreement, the “primary purpose” of plaintiff liquidating trust was far broader than the pursuit of creditors’ causes of action. The trust was not a device created by plaintiffs or their attorneys to circumvent SLUSA, which is what the statutory language precluding unitary status for entities created for “the purpose of participating in the action” was designed to forestall.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Corporations § 2062; AM JUR 2d, Courts § 93;
AM JUR 2d, Federal Courts § 1559; AM JUR 2d, Securities
Regulation—Federal §§ 878, 883, 999; AM JUR 2d, Securities
Regulation—State § 143.

NY JUR 2d, Investment Securities §§ 279, 280, 286.

15 USCA § 77p (f) (2) (A), (C); § 78bb (f) (5) (B), (D).

ANNOTATION REFERENCE

Validity, construction, and operation of Securities Litigation Uniform Standards Act of 1998. 2 ALRFed 2d 1.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: state /2 law /s fraud & slusa

POINTS OF COUNSEL

Gage Spencer & Fleming LLP, New York City (*William B. Fleming* and *G. Robert Gage, Jr.*, of counsel), for appellant. I. The RGH Liquidating Trust should be treated as “one person” under the Securities Litigation Uniform Standards Act’s single-entity exemption. (*Matter of Lower Manhattan Loft Tenants v New York City Loft Bd.*, 66 NY2d 298; *Scaringi v Broome Realty Corp.*, 154 Misc 2d 786; *State of Maryland v Antonelli Creditors’ Liquidating Trust*, 123 F3d 777; *In re Boston Regional Med. Ctr., Inc.*, 410 F3d 100; *In re Refco, Inc. Sec. Litig.*, 628 F Supp 2d 432; *LaSala v Bordier et Cie*, 519 F3d 121; *Smith v Arthur Andersen LLP*, 421 F3d 989; *Cape Ann Invs. LLC v Lepone*, 296 F Supp 2d 4.) II. The First Department’s dismissal of the claims of the five bondholders specifically identified in the amended complaint was improper. (*Smith v Arthur Andersen LLP*, 421 F3d 989.)

Kramer Levin Naftalis & Frankel LLP, New York City (*Michael J. Dell* and *Adina C. Levine* of counsel), for respondents. I. The First Department’s unanimous ruling that The RGH Liquidating Trust’s claims on behalf of the bondholders are precluded by Securities Litigation Uniform Standards Act should be affirmed. (*LaSala v Bordier et Cie*, 519 F3d 121; *Golub v Hilb, Rogal & Hobbs Co.*, 379 F Supp 2d 639; *Kircher v Putnam Funds Trust*, 547 US 633; *Editorial Photocolor Archives v Granger Collection*, 61 NY2d 517; *INS v National Center for Immigrants’ Rights, Inc.*, 502 US 183; *People v Realmato*, 294 NY 45; *Cape Ann Invs. LLC v Lepone*, 296 F Supp 2d 4; *Smith v Arthur Andersen LLP*, 421 F3d 989; *Flanagan v Prudential-Bache Sec.*, 67 NY2d 500; *United States v Banks*, 514 F3d 959.) II. Alternatively, the Appellate Division’s decision should be affirmed on other grounds because The RGH Liquidating Trust has not stated bondholder claims. (*Matter of Chasm Hydro, Inc. v New York State Dept. of Envtl. Conservation*, 14 NY3d 27; *Matter of OnBank & Trust Co.*, 90 NY2d 725; *Public Serv. Mut. Ins. Co. v Goldfarb*, 77 AD2d 521; *Reno v Bull*, 226 NY 546; *Megaris Furs v Gimbel Bros.*, 172 AD2d 209; *Eurycleia Partners, LP v Seward & Kissel, LLP*, 12 NY3d 553; *Greschler v Greschler*, 51 NY2d 368; *Parks v Leahey & Johnson*, 81 NY2d 161; *Waggoner v Caruso*, 68 AD3d 1; *Linden v Moskowitz*, 294 AD2d 114.)

OPINION OF THE COURT

READ, J.

We hold that The RGH Liquidating Trust (the Trust or the Liquidating Trust), established under the bankruptcy reorganization plan of Reliance Group Holdings, Inc. (RGH) as the debtor’s successor, is “one person” within the meaning of the single-entity exemption in the Securities Litigation Uniform Standards Act of 1998 (Pub L 105-353, 112 US Stat 3227 [SLUSA]; see 15 USC § 77p [f] [2] [C]; § 78bb [f] [5] [D]).¹ As a result, SLUSA does not preclude Supreme Court from adjudicating the state common-law fraud claims that plaintiff Trust has brought against defendants Deloitte & Touche LLP, an accounting and consulting firm, and Jan A. Lommele, a principal of the firm, for the benefit of RGH’s and Reliance Financial Services Corporation’s (RFS) bondholders.

1. SLUSA was incorporated into both the Securities Act of 1933 (Pub L 73-22, 48 US Stat 74) and the Securities Exchange Act of 1934 (Pub L 73-291, 48 US Stat 881) in substantially similar form.

I.

RGH, a publicly held company, owned 100% of the stock of RFS, which, in turn, owned 100% of the stock of Reliance Insurance Company (RIC). RIC generated upwards of 90% of the income of RGH, whose principal business was its ownership, through RFS, of RIC and its property and casualty insurance subsidiaries. Deloitte was the independent outside accountant and auditor for RGH, RFS and RIC and its subsidiaries, supplying annual audits of their financial statements; Lommele served as RIC's appointed actuary, responsible for assessing the adequacy of the company's loss reserves.

By the end of 1999, the Reliance companies, their financial condition deteriorating, were edging toward insolvency. RGH suffered an operating loss of \$318.3 million in 1999, and, in February 2000, announced that it was suspending its quarterly dividend and extending the maturity of its bank loans. Then in May, RGH reported a \$36.5 million operating loss (before gains on sales of investments) for the first quarter of 2000. Sometime in June 2000, RIC stopped underwriting property and casualty insurance. In July, a deal for a major holding company to acquire RGH collapsed, and Moody's Investors Service downgraded its ratings for the company. By December 5, 2000, RGH's shares had fallen 99.9% during the year, closing at 39 cents. On December 6, 2000, the New York Stock Exchange suspended trading of RGH's securities.

On June 22, 2000, certain RGH common stockholders filed a class action complaint (the first of several) in the United States District Court for the Southern District of New York against RGH and three former directors and officers of RGH and RIC. These stockholder plaintiffs alleged that RGH and the individual defendants violated federal securities laws by making false and misleading statements regarding RGH's financial condition, thereby artificially inflating the company's stock price. Subsequently, bondholders launched similar federal securities class actions against RGH and individual directors and officers in the same court. All the cases were consolidated in October 2000. On July 16, 2001, an amended class action complaint was filed on behalf of stockholders who purchased common stock during the period from February 8, 1999 through December 6, 2000, and bondholders who purchased 9% senior notes due November 15, 2000 (hereafter, the senior bondholders) or 9.75% senior subordinated debentures due November 15, 2003 (hereafter, the

subordinated bondholders) (collectively, the bondholders) during that same time period.²

On May 29, 2001, the Commonwealth Court of Pennsylvania placed RIC in rehabilitation, and named the Pennsylvania Insurance Commissioner as RIC's rehabilitator. RIC entered liquidation on October 3, 2001, and the Commissioner was appointed liquidator. Meanwhile, on June 12, 2001, RGH and RFS filed voluntary petitions in the United States Bankruptcy Court for the Southern District of New York, seeking chapter 11 bankruptcy protection. For administrative and procedural purposes, the court consolidated the two bankruptcies.

On April 22, 2005, RFS's plan of reorganization, approved by the bankruptcy court, went into effect and RFS emerged from bankruptcy as Reorganized RFS Corporation. Under RFS's bankruptcy plan, its litigation claims and those of its general unsecured creditors were assigned to RGH. The bankruptcy court subsequently confirmed RGH's bankruptcy plan—the First Amended Plan of Reorganization of Reliance Group Holdings, Inc. (the Plan), effective December 1, 2005—which created the Trust as successor to RGH pursuant to a Liquidating Trust Agreement and Declaration of Trust (the Trust Agreement). The Plan transferred the bankruptcy estate's assets, which included the litigation claims of RGH, RFS and their respective general unsecured creditors who did not opt out of the Plan, to the Trust.

Specifically, the Plan stated that the Trust was established for the “primary purpose” of “the liquidation of the assets transferred to it.” Concomitantly, the Trust Agreement specified that the Trust's “primary purpose” was to “receive the Trust Property and assume the Assumed Liabilities, and thereafter liquidate and distribute the Trust Property for the benefit

2. In May 2001, the parties to the federal securities class action entered into a Memorandum of Understanding (MOU) and Funding Agreement whereby underwriters of insurance coverage for RGH and its subsidiaries and directors would pay \$17.4 million to settle the lawsuit (*see In re Reliance Group Holdings, Inc. Sec. Litig.*, 2004 WL 943545, 2004 US Dist LEXIS 7666 [SD NY 2004] [granting the plaintiffs' motion to enforce the MOU and Funding Agreement and describing the interrelated history of the federal securities class action, RGH's bankruptcy and RIC's liquidation]). The order and final judgment in this lawsuit, signed by the United States District Court Judge on March 22, 2006 and filed four days later, excluded Deloitte and Lommele from the class of persons eligible to participate in the settlement; specified that Deloitte and Lommele were not “Released Parties”; and excluded any claims against them from the definition of “Settled Claims,” “Settled Defendants' Claims” and “Settled Insurance Claims.”

of the Trust Beneficiaries [i.e., bankruptcy estate creditors].” The Plan defined “Trust Property” as “the Assets that vest in the Liquidating Trust on the [Plan’s] Effective Date plus any income earned thereon and all proceeds thereof minus all costs and expenses of and paid by the Liquidating Trust and Distributions [i.e., transfers of cash or other property to those whose claims were allowed]”; and “Assets” as “any and all assets of the Estate as of the [Plan’s] Effective Date, whether tangible or intangible, liquidated or unliquidated.”

In furtherance of the Trust’s primary purpose, the Plan authorized it to

“issue the beneficial interests in the Liquidating Trust to Trust Beneficiaries [i.e., bankruptcy estate creditors], in accordance with the terms hereof, preserve, protect and maximize the value of the Trust Property, evaluate litigation claims, sell or otherwise liquidate the Trust Property as promptly and efficiently as is reasonably possible, and distribute all income and proceeds from the Trust Property in accordance with the terms of the Plan and the Liquidating Trust Agreement.”

Under the Trust Agreement, the Trust was permitted to exercise any powers consistent with its powers under the Plan and the Trust Agreement, including investing the Trust’s assets; making distributions; paying taxes and any other obligations owed or incurred by the Trust; creating and administering reserves in accordance with the Plan; filing tax returns; and acting in accordance with the various court-approved settlements forming the Plan’s basis. The Plan also clarified that the Trust was empowered to object to and/or otherwise resolve any disputed claims against RGH’s bankruptcy estate.

On January 6, 2006, the Trust filed an action in Supreme Court against Deloitte and Lommele on behalf of RGH, RFS and their general unsecured creditors, alleging causes of action for actuarial fraud, accounting and auditing fraud, breach of contract and fraudulent conveyance. Defendants moved to dismiss on various grounds, and Supreme Court granted the motion on September 27, 2006; however, as for the creditors’ fraud claims, Supreme Court granted the Trust leave to serve and file an amended complaint to plead “reliance and the consequence of that reliance with more specificity” (13 Misc 3d 1219[A], 2006 NY Slip Op 51908[U], *6 [Sup Ct, NY County 2006]). The Trust appealed (except as to the creditors’ fraud

claims), and the Appellate Division affirmed (47 AD3d 516 [1st Dept 2008]).

On November 2, 2006, the Trust filed an amended complaint, which alleged two causes of action: one for actuarial fraud against Deloitte and Lommele, and one for accounting and auditing fraud against Deloitte. The Trust asserted these claims for the benefit of unidentified general unsecured creditors; the senior and subordinated bondholders; 15 bank lenders; former employees; and the Pension Benefit Guaranty Corporation (PBGC), a wholly owned United States government corporation and agency of the United States. The Trust committed to distribute any monies recovered on the bondholders' claims on a pro rata basis to a "participant list" maintained by a depository trust company, as well as to those who "have identified [themselves] as bondholders by filing proofs of claims with the Bankruptcy Court." Deloitte again moved to dismiss, now arguing that SLUSA preempted the lawsuit. The Trust countered that it qualified for the so-called single-entity exemption that SLUSA affords "a corporation, investment company, pension plan, partnership, or other entity . . . not established for the purpose of participating in the action" (*see* 15 USC § 77p [f] [2] [C]; § 78bb [f] [5] [D]).

In a decision dated November 7, 2007, Supreme Court held that the Trust was a single entity within the meaning of SLUSA because its primary purpose was broader than the pursuit of the state law fraud claims. Accordingly, the court granted the motion only as to the Trust's claims on behalf of the unidentified general unsecured creditors, whose reliance was not specifically pleaded (17 Misc 3d 1128[A], 2007 NY Slip Op 52181[U] [Sup Ct, NY County 2007]). Deloitte appealed; the Trust did not cross-appeal.

On December 8, 2009, the Appellate Division modified Supreme Court's order by granting the motion to dismiss the Trust's claims for the benefit of the bondholders (71 AD3d 198 [1st Dept 2009]). The court took the position that the Trust was not exempt from SLUSA as a single entity because "the bondholders' claims against Deloitte [were] not being asserted on behalf of the Reliance bankruptcy estate; the claims originally belonged to the bondholders, not Reliance" (*id.* at 214). The Appellate Division agreed, however, that Supreme Court properly declined to dismiss the Trust's claims for the benefit of the other groups of creditors—i.e., the 15 banks, two former employees and the PBGC (71 AD3d at 215). On July 8,

2010, the Appellate Division certified the following question to us: “Was the order of the Supreme Court, as modified by this Court, properly made?” For the reasons that follow, we answer the certified question in the negative.

II.

To combat the perceived harm to markets from frivolous private securities fraud class actions, Congress enacted the Private Securities Litigation Reform Act of 1995 (Pub L 104-67, 109 US Stat 737, codified in part at 15 USC §§ 77z-1, 78u-4 [the PSLRA]; see HR Rep 104-369, at 31-32 [1995]). The PSLRA created hurdles to discourage strike suits,³ including heightened pleading standards and an automatic stay of discovery once a defendant filed a motion to dismiss. These requirements were intended to make it difficult for plaintiffs to survive a motion to dismiss in nonmeritorious cases. “In enacting these changes, Congress made clear its belief that opportunistic trial lawyers were undermining the securities litigation system and were the primary target of the legislation” (Painter, *Responding to a False Alarm: Federal Preemption of State Securities Fraud Causes of Action*, 84 Cornell L Rev 1, 33-34 [1998]).

But passage of the PSLRA created an incentive for plaintiffs’ attorneys to shift class action litigation against publicly traded issuers from federal to state courts (see S Rep 105-182, at 3 [1998] [noting that during the course of hearings to review the effect of the PSLRA, “one disturbing trend became apparent; namely, that there was a noticeable shift in class action litigation from federal to state courts”]). Congress worried that this migration endangered “the benefits flowing to investors from a uniform national approach,” and, “beyond the number of, and dollar amounts involved, . . . created a ripple-effect that . . . inhibited small, high-growth companies in their efforts to raise capital, and . . . damaged the overall efficiency of our capital markets” (*id.* at 3-4 [internal quotation marks omitted]). To close this “‘federal flight’ loophole,” Congress enacted SLUSA,

3. A “strike suit” has been defined as “an action making largely groundless claims to justify conducting extensive and costly discovery with the hope of forcing the defendant to settle at a premium to avoid the costs of the discovery” (*Francis v Giacomelli*, 588 F3d 186, 193 n 2 [4th Cir 2009], citing 5A Wright and Miller, *Federal Practice and Procedure* § 1296, at 46 and at 46 n 9]; see also Black’s Law Dictionary 1572 [9th ed 2009] [defining a strike suit as a lawsuit “based on no valid claim, brought either for nuisance value or as leverage to obtain a favorable or inflated settlement”]).

which effectively vested federal courts with exclusive jurisdiction, subject to stated exceptions not applicable here, for private securities fraud class actions (*see Spielman v Merrill Lynch, Pierce, Fenner & Smith, Inc.*, 332 F3d 116, 123 [2d Cir 2003]).

SLUSA provides that no state or federal court may entertain a “covered class action” brought by a private party and based on state statutory or common law, which alleges fraud (misrepresentation or omission of a material fact) or manipulation in connection with the purchase or sale of a “covered security” (15 USC § 77p [b]).⁴ To implicate SLUSA, the complaint must advance

“either (1) an explicit claim of fraud or misrepresentation (e.g., common law fraud, negligent misrepresentations, or fraudulent inducement), or (2) other garden-variety state law claims that sound in fraud. A claim sounds in fraud when, although not an essential element of the claim, the plaintiff alleges fraud as an integral part of the conduct giving rise to the claim” (*In re Kingate Mgt. Ltd. Litig.*, 2011 WL 1362106, *6, 2011 US Dist LEXIS 41598, *23-24 [SD NY 2011] [internal quotation marks and citation omitted]).

SLUSA defines a “covered class action” as a “single lawsuit” or “group of lawsuits” in which “damages are sought on behalf of more than 50 persons or prospective class members, and questions of law or fact common to those persons or members . . . predominate over any questions affecting only individual persons or members” (*see* 15 USC § 77p [f] [2] [A] [i] [I]; § 78bb [f] [5] [B] [i] [I]); a “covered security” is one traded nationally and listed on a regulated national exchange (*see* 15 USC § 77p [f] [3]; § 78bb [f] [5] [E]; § 77r [b]). As relevant to this appeal, SLUSA specifies that, for purposes of counting whether there are more than 50 persons or prospective class members, “a

4. Courts often talk about SLUSA in terms of “preemption.” The United States Supreme Court in *Merrill Lynch, Pierce, Fenner & Smith Inc. v Dabit* (547 US 71, 87 [2006]), however, highlights that

“SLUSA does not actually pre-empt any state cause of action. It simply denies plaintiffs the right to use the class-action device to vindicate certain claims. The Act does not deny any individual plaintiff, or indeed any group of fewer than 50 plaintiffs, the right to enforce any state-law cause of action that may exist.”

In *Dabit*, the Supreme Court interpreted SLUSA to preclude suits by “holders” of securities (i.e., those allegedly induced by fraud to retain or delay selling) as well as suits by purchasers or sellers.

corporation, investment company, pension plan, partnership, or other entity, shall be treated as one person or prospective class member, but only if the entity is not established for the purpose of participating in the action” (15 USC § 77p [f] [2] [C]; § 78bb [f] [5] [D]).

Finally, SLUSA makes all “covered class action[s]” removable to the federal district court for the district in which the action is pending (15 USC § 77p [c]; § 78bb [f] [2]). “Congress inserted this provision so that federal courts, rather than state courts, would interpret the scope of the preemption under the statute” (M. Perino, *Securities Litigation Under the PSLRA* [formerly *Securities Litigation After the Reform Act*] § 11.03, at 11-14—11-15 [2010]; *see also* HR Rep 105-640, at 16 [noting that the removal provision was meant “to prevent a State court from inadvertently, improperly, or otherwise maintaining jurisdiction over an action” precluded by SLUSA]). The district court must dismiss any removed action that SLUSA precludes (*see Romano v Kazacos*, 609 F3d 512 [2d Cir 2010]). Conversely, the district court must remand a removed action to state court if it decides that SLUSA does not bar the suit; federal appeals courts lack jurisdiction to review an order directing remand (*see Kircher v Putnam Funds Trust*, 547 US 633 [2006]).⁵

The question presented by this appeal is a difficult one, which will ultimately be resolved by the federal courts.⁶ The difficulty

5. Obviously, Deloitte and Lommele elected not to remove this lawsuit to the United States District Court for the Southern District of New York, as they were entitled to do.

6. And the federal courts continue to grapple with SLUSA. We note, for example, that two judges in the Southern District of New York are currently considering the question of whether the trustee appointed pursuant to the Securities Investor Protection Act (SIPA) for the consolidated liquidation of Madoff Securities may bring state common-law claims against third parties “for failing to adequately investigate Madoff Securities despite being confronted with myriad red flags and indicia of fraud” (*Picard v HSBC Bank PLC*, 450 BR 406, 409 [SD NY 2011, Rakoff, J.] [internal quotation marks omitted]; *see also Securities Inv. Protection Corp. v Bernard L. Madoff Inv. Sec. LLC*, 2011 WL 2119720, 2011 US Dist LEXIS 44126 [SD NY 2011, McMahon, J.]). Judge Rakoff observed that the trustee would “clearly” be an entity treated as one person under SLUSA “if the Trustee were suing on behalf of the Madoff Securities estate However, . . . the Trustee [was] primarily suing, not on behalf of the Madoff Securities estate, but on behalf of thousands of customers. Thus, whether the Trustee’s Action is a ‘covered class action’ under SLUSA is a novel question” (450 BR at 413). A SIPA trustee is vested

(n. cont’d)

resides in SLUSA's abbreviated treatment of bankruptcy trustees. In discussing the single-entity exemption, the Senate Report accompanying 1998 US Senate Bill S 1260, the bill that became SLUSA, made the point that the drafters had changed

“[t]he class action definition . . . from the original text of S. 1260 to ensure that the legislation does not cover instances in which *a person or entity is duly authorized by law*, other than by a provision of state or federal law governing class action procedures, *to seek damages on behalf of another person or entity*.¹⁷ Thus, *a trustee in bankruptcy*, a guardian, a receiver, and other persons or entities duly authorized by law (other than a provision of state or federal law governing class action procedures) to seek damages on behalf of another person or entity would not be covered by this provision” (see S Rep 105-182, at 8 [emphases added]).

In this case, the Trust is the successor of RGH, the debtor, under the Plan and the Trust Agreement, which were endorsed by the bankruptcy judge in the chapter 11 bankruptcy proceeding. The assets of RGH's bankruptcy estate vested in the Trust, and these assets included claims of the bankruptcy estate's creditors, who are the beneficiaries of any recoveries from Deloitte and Lommele. Thus, it could

with the same powers and title with respect to the debtor and the debtor's property as a bankruptcy trustee, in addition to those powers set forth in SIPA (15 USC § 78fff-1 [a]).

7. The original version of S 1260 defined a “class action” as
 - “[A]ny single lawsuit, or any group of lawsuits filed in or pending in the same court involving common questions of law or fact, in which—
 - “(A) damages are sought on behalf of more than 25 persons;
 - “(B) one or more named parties seek to recover damages on a representative basis on behalf of themselves and other unnamed parties similarly situated; or
 - “(C) one or more of the parties seeking to recover damages did not personally authorize the filing of the lawsuit” (see Painter, 84 Cornell L Rev at 48, at 47-49, 56-58 [discussing the original versions of HR 1689 and its near mirror image, S 1260, and changes in these bills as approved by each house, adopted by the House-Senate Conference Committee and passed by Congress]).

By adding a single-entity exemption in the final bill to cover legal entities that may act on behalf of numerous beneficiaries, Congress made sure that, in bringing suits in their own names, these entities would be counted as one person, unless they were “established for the purpose of participating in the action” (see 15 USC § 77p [f] [2] [C]; § 78bb [f] [5] [D]).

certainly seem that the Trust is an “entit[y] duly authorized by law . . . to seek damages on behalf of another person or entity” (*id.*).

Moreover, chapter 11 plans apparently often call for this type of postconfirmation liquidation vehicle (PCLV) to collect, administer and distribute estate assets after the debtor’s plan has been confirmed. Indeed, “[t]he shortening of Chapter 11 timelines” effected by the Bankruptcy Abuse Prevention and Consumer Protection Act of 2005 (Pub L 109-8, 119 US Stat 23 [BAPCPA]) may have “increas[ed] the importance and prominence of PCLVs” because they “allow a Chapter 11 debtor to focus preconfirmation on the more pressing needs of its reorganization or liquidation while deferring issues regarding illiquid estate assets, causes of action, and claims reconciliation until after confirmation of its plan” (Thau, Friedland and Geekie, *Postconfirmation Liquidation Vehicles [Including Liquidating Trusts and Postconfirmation Estates]: An Overview*, 16 J Bankr L & Prac 2 art 4 [2007]).

Further, liquidating trusts and postconfirmation estates seem to have grown in popularity because of the “post-*Enron/WorldCom* world of Sarbanes-Oxley” in which we live, “where claims might exist against the debtor’s former insiders, accountants, financiers, and others” (*id.*). Because this kind of litigation is “complicated, expensive, and time-consuming,” it “can take years to get to trial and many months to try, not something that fits with BAPCPA’s contemplated timeline for plan confirmation” (*id.*). These issues may be resolved

“by transferring the right to bring these actions (with unsecured and secured creditors even agreeing to share in recoveries) to a PCLV. Debtor’s management is no longer faced with the prospect of suing those with whom they have possibly worked or with the expense and distraction of contentious litigation, and it can devote its energies toward more pressing, internal reorganization efforts and plan confirmation issues. On the other hand, creditors do not face the same concerns or constraints as debtor management, and those creditors faced with little or no cash distribution under the plan[] are happy to take a flier on such litigation. By transferring this litigation to a PCLV, debtor management can avoid

unattractive litigation *while creating incentives for plan approval*” (*id.* [emphasis added]).⁸

SLUSA’s single-entity exemption was first examined in the bankruptcy context in *Cape Ann Invs. LLC v Lepone* (296 F Supp 2d 4 [D Mass 2003]). There, Cape Ann, an investor syndicate, and other shareholders assigned their claims to a litigation trust created by the bankruptcy court to pursue any potentially recoverable assets of the bankruptcy estate. When the trustee of the litigation trust brought a state court action on the shareholders’ behalf against the defunct company’s accountants, the accounting firm (Deloitte, as in this case) removed the complaint to the federal district court, and moved to dismiss on the ground of SLUSA preclusion. In response, the trustee moved to remand. There were more than 50 of these shareholders (although Cape Ann itself was acknowledged to be a single entity).

The United States District Court for the District of Massachusetts held that the trust was not “one person” within the meaning of SLUSA’s single-entity exemption (296 F Supp 2d at 10). The Judge was principally persuaded that the trust was not “a unitary entity” because “[t]he Trust Agreement describe[d] the primary purpose of the Trust as prosecuting the Causes of Action contributed to it . . . and distributing to the [beneficiaries; i.e., the shareholders] the assets of the Trust remaining after payment of all claims against or assumed by the Trust” (*id.* [internal quotation marks omitted]).

Similarly, in *LaSala v Bank of Cyprus Pub. Co. Ltd.* (510 F Supp 2d 246 [SD NY 2007]), the United States District Court for the Southern District of New York looked to the “primary purpose” of a trust to decide whether it qualified for treatment as “one person” under SLUSA.⁹ In this case, a liquidating trust was formed under state law pursuant to three court orders issued in connection with the settlement of a securities fraud

8. The authors suggest additional reasons why liquidating trusts have grown in popularity in recent years: they (1) maximize value for creditors by increasing the speed of restructuring; (2) are consistent with the growing trend of major section 363 (11 USC § 363) sales and liquidating cases rather than stand-alone reorganizations; (3) provide a potential source of recovery to otherwise out-of-the-money creditors, creating an incentive for them to support the chapter 11 plan; and (4) reduce the expenses of administering the estate by eliminating the redundancy in professional costs.

9. The Judge actually dismissed this lawsuit on the basis of forum non conveniens, but nonetheless discussed the alternative ground of SLUSA preclusion in the event the circuit court disagreed (510 F Supp 2d at 267).

class action lawsuit involving AremisSoft, a bankrupt corporation, and its chapter 11 plan of reorganization (*see LaSala v Bordier et Cie*, 452 F Supp 2d 575, 578 [D NJ 2006]). Claims arising out of the purchase or sale of AremisSoft's securities during the relevant time period and all of the company's pre-bankruptcy claims were assigned to this trust.

The Judge concluded, based on various provisions in the trust agreement, that "the [AremisSoft] Trust was formed for the primary purpose of engaging in litigation" on behalf of more than 6,000 beneficiaries, and therefore "the entity exception [did] not apply" (*LaSala*, 510 F Supp 2d at 270). The same court, in another case involving the AremisSoft Trust, distinguished *Smith v Arthur Andersen LLP* (421 F3d 989 [9th Cir 2005]), discussed *infra*, on the ground that "the prevalence of ordinary bankruptcy-related tasks in the mandate of the trust [in *Smith*] precluded a finding that it was organized for the primary purpose of litigating trust claims" (*LaSala v UBS, AG*, 510 F Supp 2d 213, 237 [SD NY 2007]). The United States District Court for the District of New Jersey—which approved the creation of the AremisSoft Trust in the first place—distinguished that trust from the trust in *Smith* on the basis that the latter

"did not receive an assignment of claims from a class of shareholders pursuant to a class action settlement as in the instant case and in *Cape Ann*. Instead, the *Smith* trust was formed to be the bankruptcy estate's representative for *all purposes*. Therefore, by the terms of its creation, the [AremisSoft] Trust, like the *Cape Ann* trust, functions more like a shareholder class representative than a traditional bankruptcy trustee, pursuing this litigation on behalf of a class of approximately 6,000 persons" (*LaSala*, 452 F Supp 2d at 584).

In *Smith*, the Ninth Circuit cited the reasoning of the District Court in *Cape Ann* with approval, noting that the *Cape Ann* court's "suggest[ion] that an entity is not one person if its 'primary purpose' is to pursue causes of action" was "sensible" (*Smith*, 421 F3d 1007). Further, a

"contrary interpretation, under which any entity established 'at least in part' for the purpose of pursuing litigation is not a 'person,' [would be] inconsistent with [SLUSA's] plain language, which

provides that an entity ‘shall be treated as one person’ if the entity is not ‘established for *the* purpose of participating in the action.’ Moreover, that interpretation could potentially deprive many bankruptcy trustees of the ability to pursue state-law securities fraud claims on behalf of an estate. Nothing in SLUSA suggests that Congress intended to work such a radical change in the bankruptcy laws” (*id.* at 1007-1008).

The *Smith* court concluded that “pursuing causes of action” was not the trustee’s “‘primary’ purpose” because

“[t]he Debtor’s Plan, under which the Trustee was appointed, provides that the Trustee will ‘act as the Estates’ representative for *all purposes*, and will be responsible for (i) controlling and managing the consideration received from [the company to which some of the debtor’s assets were sold under the bankruptcy plan] and all Retained Assets, (ii) monetizing Retained Assets, (iii) filing, prosecuting and settling claim objections, (iv) administering the disputed claim reserve, (v) prosecuting and settling Estate causes of action, (vi) making distributions in accordance with the terms of the Plan, and (vii) winding-up and closing the Estates” (*id.* at 1008 [internal quotation marks omitted]).

The court held that “[b]ecause the Trustee [was] to ‘act as the Estates’ representative for all purposes,’ and not just for the purpose of pursuing causes of action, the Trustee [was] one person, and the Trustee’s Action [was] not a ‘single lawsuit’ barred by SLUSA” (*id.*). In *Smith*, unlike *Cape Ann* (and *LaSala*), the trustee was not asserting claims assigned to a trust by a debtor’s creditors, although this was not the reason given by the court for its decision.

More recently, the Third Circuit examined the single-entity exemption in *LaSala v Bordier et Cie* (519 F3d 121 [3d Cir 2008], *cert dismissed* 555 US 1028 [2008]), an appeal from the District Court’s dismissal (discussed earlier) of the state and Swiss law fraud claims brought by the trustees of the Aramis-Soft Trust against two banks. The defendants allegedly assisted the debtor’s officers and directors in a “pump and dump” scheme whereby after “pumping” the stock’s price by misrepresenting the company’s finances, the insiders “dumped” the stock on the market for unsuspecting investors to purchase

at the artificially inflated prices. The court vacated the District Court's order, holding that SLUSA did not preclude the action.

The Third Circuit observed that the trustees were claiming damages "in their capacity as assignees of the true injured parties," and that "the injured party [was], at least in the first instance, AremisSoft," while the banks asserted that the injured parties were, in fact, the "[p]urchasers in their individual capacities as purchasers of securities" (*id.* at 131). "Reading the complaint against the background of Delaware law," the court first concluded that the complaint's aiding-and-abetting claims were "originally owned by AremisSoft, and assigned to the Trust by the AremisSoft bankruptcy estate" (*id.* at 132). Put another way, the claims originally "belonged to AremisSoft, not to the purchasers of AremisSoft stock" (*id.*).

Turning to SLUSA, the Third Circuit then considered that the single-entity exemption, by its wording, directed judges "to follow the usual rule of not looking through an entity to its constituents unless the entity was established for the purpose of bringing the action, *i.e.*, to circumvent SLUSA" (*id.* at 132-133; *see also id.* at 134 ["SLUSA's single exception to this rule is that when (a) corporation is established for the purpose of litigation, *i.e.*, when plaintiffs try to avoid SLUSA by running their securities claims through a corporate entity, the court should look to the corporation's constituents"]). To evaluate the District Court's ruling, the court opined that it was

"first necessary to recall the nature and ownership of these claims[, which] . . . at one time belonged to AremisSoft, the entity allegedly injured by its Directors' breaches of duty and the Banks' aiding those breaches. In bankruptcy, the claims passed to AremisSoft's bankruptcy estate . . . but the debtor-in-possession did not assert them during the pendency of the bankruptcy. Rather, the bankruptcy estate assigned them to the Trust, a state-law entity created in large part to pursue these and similar claims for the ultimate benefit of the Purchasers, the only group whose interests were impaired by the plan of reorganization. Thus, the Trust can only bring these claims as assignee of the bankruptcy estate" (*id.* at 133).

The court then observed that "[t]hough the parties do not go into detail on this point, one would assume that this deal was

struck so that the Purchasers would vote to approve the plan of reorganization, even though their interests were impaired” (*id.* at 133 n 16).¹⁰

The Third Circuit concluded that it was, in fact, irrelevant whether the AremisSoft Trust was established for the purpose of litigation; the purchasers were simply the beneficial owners of the claims assigned by the true injured party, AremisSoft, to the AremisSoft Trust. The banks argued that “allowing these claims to go forward [would] re-create a loophole for abusive securities litigation that Congress intended, through SLUSA, to close,” to which the court replied that it was difficult to “imagin[e] such assignments occurring outside very special contexts, such as bankruptcy, a context in which Congress clearly intended fiduciary-duty actions to go forward” (*id.* at 142).

Thus, the majority of the federal courts to have considered whether a liquidating trust may press state law fraud claims against a bankrupt corporation’s outside counselors and consultants for the benefit of the corporation’s creditors have zeroed in on whether the trust’s “primary purpose” is litigation of such claims. This was the analytical test applied by Supreme Court to decide that SLUSA does not preclude this action, and we agree with that court that, judged by the language in the Plan and the Trust Agreement, the “primary purpose” of the Trust is far broader than the pursuit of creditors’ causes of action.

There are many reasons why a liquidating trust appeals to debtors, creditors and bankruptcy courts. As the Third Circuit noted in *LaSala*, bankruptcy is a “very special context[]” where Congress clearly intended to preserve the prerogative of bankruptcy trustees to assert claims of bankruptcy estates (*id.* at 135-136). In short, the Liquidating Trust was not a device created by plaintiffs or their attorneys to circumvent SLUSA, which is what the statutory language precluding unitary status for entities created for “the purpose of participating in the action” was designed to forestall.

The dissent favors the approach taken by the Third Circuit, which did not assess the “primary purpose” of the particular trust at issue. Instead, based on an assessment of the pleadings in light of Delaware law, that court determined that AremisSoft, the bankrupt corporation, was the true “injured party” on

10. The interests of the senior and subordinated bondholders in this case were, of course, likewise impaired by the Plan.

whose “behalf” the litigation was brought, not the 6,000 purchasers who assigned their claims to the AremisSoft Trust. Indeed, the dissent is certain that the Third Circuit “would have held the present case to be barred by SLUSA” (dissenting op at 418). The facts in *LaSala*, however, are very different from the facts here.

In *LaSala*, the bankruptcy estate assigned the debtor’s claims to the purchasers and the purchasers separately assigned these claims (which were originally the debtor’s claims) to the AremisSoft Trust. Here, as previously discussed, the Plan transferred the bankruptcy estate’s assets, which included the litigation claims of RGH, RFS and their respective general unsecured creditors who did not opt out of the Plan, to the Trust. Under section 541 (a) (7) of the Bankruptcy Code, a bankruptcy estate includes “[a]ny interest in property that the estate acquires after the commencement of the case” (11 USC § 541 [a] [7]; see *In re CBI Holding Co., Inc.*, 529 F3d 432, 457-458 [2d Cir 2008] [discussing the legislative history of section 541 (a) (7)]). In other words, the bondholders’ claims were property within the estate, and the Trust brought this action on behalf of the estate for the benefit of the bondholders. Put yet another way, in *LaSala* the creditors (i.e., the purchasers) owned the debtor’s (i.e., AremisSoft’s) claims and enlisted the AremisSoft Trust to prosecute the debtor’s claims for their benefit. Here, the debtor’s estate owned the creditors’ (i.e., the bondholders’) claims and enlisted the Trust to prosecute the estate’s claims for their benefit. We assume the Third Circuit would not have even needed to analyze the identity of the true injured party in *LaSala* if the purchasers’ claims had been included within a bankruptcy estate, rather than separately assigned by the purchasers to the AremisSoft Trust.

Finally, we have decided in this appeal, involving a pre-answer motion to dismiss, only that SLUSA does not preclude the bondholders’ lawsuit against Deloitte and Lommele, which adequately pleaded fraud. We do not opine on any issues related to the merits of these claims. When defendants interpose their answers they are, of course, free to plead any potentially applicable affirmative defense.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, the order of Supreme Court reinstated, and the certified question answered in the negative.

SMITH, J. (dissenting). More than 50 bondholders of Reliance Group Holdings, Inc. (RGH) assigned claims to The RGH Liquidating Trust, which agreed to distribute to those bondholders the net proceeds resulting from any recovery on those claims. The Trust then brought this action asserting the claims of the bondholders (among others) against Deloitte & Touche and a Deloitte principal under New York law. The Trust alleges that Deloitte, as RGH's auditor, fraudulently caused RGH's financial condition to be misstated, thus inducing the bondholders to buy, or to refrain from selling, RGH bonds. The reason for bringing the case under state law is apparent: a federal securities law claim against Deloitte would have been time-barred (*see Lampf, Pleva, Lipkind, Prupis & Petigrow v Gilbertson*, 501 US 350, 364 [1991]; 28 USC § 1658 [b]).

Congress enacted the Securities Litigation Uniform Standards Act of 1998 (15 USC § 78bb [SLUSA]) to prevent exactly this kind of evasion of federal securities law barriers to suit. The majority nevertheless finds the Trust's action on behalf of the bondholders permissible under SLUSA. It does so through a narrow reading of the statute that is inconsistent with the approach taken to similar questions by the federal courts.

SLUSA says: "No covered class action based upon the statutory or common law of any State . . . may be maintained in any State or Federal court . . . alleging . . . a misrepresentation or omission of a material fact in connection with the purchase or sale of a covered security" (15 USC § 78bb [f] [1] [A]). It is undisputed that RGH's bonds are covered securities; the issue here is whether the Trust's lawsuit is a "covered class action." SLUSA defines that term, in relevant part, as:

"any single lawsuit in which—

"(I) damages are sought on behalf of more than 50 persons . . . and questions of law or fact common to those persons . . . , without reference to issues of individualized reliance on an alleged misstatement or omission, predominate over any questions affecting only individual persons" (15 USC § 78bb [f] [5] [B] [i]).

This is a covered class action if the Trust is seeking damages "on behalf of more than 50 persons." In common sense, of course it is: it is the assignee of more than 50 bondholders, and any damages it recovers will be distributed to those bondholders. Indeed, the Trust's amended complaint says that it is suing

“on behalf of the general unsecured creditors” of RGH, a term that includes the bondholders.

But the Trust argues, and the majority holds, that the action may be treated as though it were brought on behalf of only one person, the Trust, because of the following SLUSA provision, captioned “Counting of certain class members”: “For purposes of this paragraph, a corporation, investment company, pension plan, partnership, or other entity, shall be treated as one person . . . but only if the entity is not established for the purpose of participating in the action” (15 USC § 78bb [f] [5] [D]).

Deloitte argues, persuasively it seems to me, that this provision is not relevant to this case, because even if the Trust is “treated as one person” it is still suing “on behalf of” more than 50 others—just as a class representative may be one person, but a class action will still be barred by SLUSA. If the “counting” provision is controlling here, however, that should not change the result.

The counting provision means, as the United States Court of Appeals for the Third Circuit has explained, “that the court is to follow the usual rule of not looking through an entity to its constituents unless the entity was established for the purpose of bringing the action, *i.e.*, to circumvent SLUSA” (*LaSala v Bordier et Cie*, 519 F3d 121, 132-133 [3d Cir 2008]). The record makes clear that bringing actions like this one—and thus circumventing SLUSA—was an important part of the reason for the Trust’s creation. That was not, it is true, the Trust’s sole purpose. According to the Plan of Reorganization that brought the Trust into existence, it was “established . . . for the purposes of receiving the Trust Property and assuming the Assumed Liabilities, and liquidating and distributing the Trust Property for the benefit of the Trust Beneficiaries.” But the bondholders are “Trust Beneficiaries” and the “Trust Property” includes what the Plan calls “Creditor Litigation Claims”—among them the claims that the Trust is now asserting. Indeed, Creditor Litigation Claims, and the resulting proceeds, were viewed as a very significant part of the Trust’s assets. The Disclosure Statement prepared in connection with the Plan of Reorganization says: “on the Effective Date, the primary assets of the Liquidating Trust will consist of: (i) Causes of Action, including, but not limited to, the D&O Litigation Proceeds and the Creditor Litigation Proceeds.”

In short, bringing lawsuits like this one was one of the major purposes of the Trust. To treat the Trust as a single person

when it is implementing that purpose, and to ignore the obvious fact that it is acting on behalf of more than 50 other persons, simply invites evasion of SLUSA. That, as I view it, is all there is to this case.

The majority reaches another conclusion through what seems to me a confused reading of SLUSA's legislative history. It is true, as the majority says, that the legislative history shows that SLUSA's authors did not want to bar litigation by trustees in bankruptcy and similar entities "duly authorized by law . . . to seek damages on behalf of another person or entity" (S Rep 105-182, at 8 [quoted in majority op at 407]). That is why language in the draft legislation that might have been read to bar an action by a trustee in bankruptcy was deleted. But the majority ignores the difference, critical for SLUSA purposes, between a trustee in bankruptcy—who sues, ordinarily, on behalf of a single entity, the debtor—and a liquidating trust like this one, which is bringing claims assigned to it for the purpose of suit by more than 50 potential plaintiffs. Nothing in either the language or the legislative history of SLUSA suggests that Congress meant to grant an exemption to any "liquidation vehicle" that is doing precisely what SLUSA was enacted to prevent.

The federal cases dealing with this sort of question are consistent with the distinction I have made between the successor in interest to a single entity (e.g. a trustee in bankruptcy) and the assignee of many (e.g. the Trust here). That distinction is explicitly drawn by Judge Pollak's opinion for the Third Circuit in *LaSala*.

LaSala was, in a critical way, the mirror image of this case: the claims being litigated there had originally belonged not to many entities, but to one, a bankrupt company called AremisSoft. The claims had passed, as the court explained, "from a corporation to its bankruptcy estate to a trust" (519 F3d at 126). That was the critical fact supporting the Third Circuit's holding that the case was not barred by SLUSA. The court concluded, after a careful analysis, that the claims it was analyzing "originally belonged to AremisSoft, not to the purchasers of AremisSoft stock" (*id.* at 132). If the claims had originally belonged to the purchasers (of whom there were more than 50) the *LaSala* court would have come out differently. Interpreting the words of SLUSA that are critical here—"on behalf of more than 50 persons"—the court explained that that phrase

“seems to refer to someone bringing a claim on behalf of 50 *injured* persons. In other words, the phrase refers to the assignors of a claim, not to the assignee . . . Under this reading, the Trust is not bringing its claims ‘on behalf of’ the Purchasers, as SLUSA uses the term, because the Purchasers are not the injured parties; rather, the Trust is bringing the claims ‘on behalf of’ AremisSoft.” (*Id.* at 134.)

It is apparent that the *LaSala* court would have held the present case to be barred by SLUSA. Here, it is undisputed that “the assignors” were not a bankrupt corporation, but more than 50 bondholders. It is they, in *LaSala*’s terms, who are the “injured parties,” and this action is brought on their “behalf.”

The majority takes a contrary view of *LaSala*’s application to this case, based, apparently, on the majority’s belief that the claims of the bondholders here were momentarily included in “the bankruptcy estate’s assets” (majority op at 414)—i.e., that the claims passed through the estate’s hands on their way from the bondholders to the Trust, rather than being directly assigned to the Trust by the bondholders. Even if true, that would be irrelevant under the *LaSala* court’s reasoning: it would not alter the fact that the bondholders were the injured parties. But I believe the majority is factually wrong: I see nothing in the record to support the assertion that the RGH bankruptcy estate ever owned these claims. The majority is correct in saying that the assignment of the claims from the bondholders to the Trust was effected in RGH’s Plan of Reorganization—but why this purely formal distinction would change the *LaSala* court’s analysis is something the majority does not explain.

Other federal cases are consistent with the *LaSala* approach. In *Smith v Arthur Andersen LLP* (421 F3d 989 [9th Cir 2005]), the action was brought by a trustee in bankruptcy, the successor in interest to a single entity, Boston Chicken, Inc. The court held the action not barred by SLUSA, observing that a contrary holding “could potentially deprive many bankruptcy trustees of the ability to pursue state-law securities fraud claims on behalf of an estate” (*id.* at 1008). By contrast, in *Cape Ann Invs. LLC v Lepone* (296 F Supp 2d 4 [D Mass 2003]), the court dismissed under SLUSA claims that had been assigned to a litigation trust by shareholders who claimed they had been induced to purchase, or to refrain from selling, stock in a company that went bankrupt. The trustee, as the court pointed out, had a duty to act “for the benefit of the . . . Shareholders. In that respect, his

role is no different than that of any shareholder class representative” (*id.* at 10).

The *Smith* and *Cape Ann* opinions, like the majority opinion here, speak of the “primary purpose” for which a particular entity is formed. But unlike today’s majority, these federal cases address the “primary purpose” question with reference to the particular purpose being carried out in the lawsuit at hand—i.e., they in substance ask whether the lawsuit is an evasion of SLUSA or not. The Third Circuit in *LaSala* adopted what seems to me a more useful interpretation of SLUSA’s “established for the purpose of participating in the action” language: “when the corporation is established for the purpose of litigation, *i.e.*, when plaintiffs try to avoid SLUSA by running their securities claims through a corporate entity, the court should look to the corporation’s constituents” (519 F3d at 134). Because that is exactly what happened here—the bondholders have tried to avoid SLUSA by running their claims through a liquidation trust—I would affirm the Appellate Division’s order dismissing those claims.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, PIGOTT and JONES concur with Judge READ; Judge SMITH dissents and votes to affirm in a separate opinion.

Order, insofar as appealed from, reversed, etc.

[955 NE2d 343, 931 NYS2d 36]

DIANE YATAURO et al., Appellants, v EDWARD P. MANGANO, as
Nassau County Executive, et al., Respondents, and WILLIAM
T. BIAMONTE, Appellant.

Argued August 24, 2011; decided August 30, 2011

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered August 9, 2011. The Appellate Division order, insofar as appealed from, with two Justices dissenting in part, (1) reversed, on the law and the facts, so much of an order and judgment (one paper) of the Supreme Court, Nassau County (Steven M. Jaeger, J.; op 32 Misc 3d 838), entered in a hybrid CPLR article 78 proceeding and declaratory judgment action, as had, upon converting plaintiffs/petitioners' order to show cause into a motion for summary judgment on the first cause of action, granted the motion for summary judgment to the extent of declaring that the implementation of Local Law No. 3-2011 of the County of Nassau in connection with the general election to be held on November 8, 2011 was null and void for lack of compliance with Nassau County Charter §§ 113 and 114; (2) denied that branch of plaintiffs/petitioners' motion which was for summary judgment on the first cause of action; (3) declared that the legislative boundaries described in Annex A to the Nassau County Charter, as amended by Local Law No. 3-2011, must be implemented in connection with the general election to be held on November 8, 2011; and (4) affirmed so much of the order and judgment as had declared that the adoption of Local Law No. 3-2011 was in accord with Nassau County Charter § 112.

Yatauro v Mangano, 87 AD3d 582, reversed.

HEADNOTE

Elections — Redistricting Plan — Reapportionment of Nassau County Legislative Districts — Timing of Implementation

Supreme Court properly declared that Local Law No. 3-2011 of the County of Nassau, which reapportioned 19 legislative districts based on the results of the 2010 federal census and specified new metes and bounds descriptions for each district, was in accord with Nassau County Charter § 112, but that its implementation was null and void in connection with the November 8, 2011 general election for lack of compliance with Nassau County Charter §§ 113 and 114. The new metes and bounds descriptions in Local Law No. 3-2011 did not apply to the 2011 general election; rather, they were the first part of a

three-step process to take effect in 2013. The integrated process includes consideration of the recommendations of a temporary commission with public input (*see* Nassau County Charter § 113), and culminates in the adoption of a redistricting plan “no later than eight months before [the] general election” (Nassau County Charter § 114). Such an integrated interpretation would result in an orderly, deliberative process and avoid the prospect of redrawing district lines in two consecutive general elections.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Elections §§ 8, 30; AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions § 116.

NY JUR 2d, Counties, Towns, and Municipal Corporations § 230; NY JUR 2d, Elections § 55.

ANNOTATION REFERENCE

See ALR Index under Counties; Elections and Voting.

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POINTS OF COUNSEL

Jaspan Schlesinger LLP, Garden City (*Steven R. Schlesinger* of counsel), for Diane Yatauro and others, appellants. I. There is no basis in the Nassau County Charter to immediately redistrict the 19 legislative districts of Nassau County for the use in the 2011 general election. (*Frank v Meadowlakes Dev. Corp.*, 6 NY3d 687; *Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Rangolan v County of Nassau*, 96 NY2d 42; *Reynolds v Sims*, 377 US 533; *League of United Latin American Citizens v Perry*, 548 US 399; *Matter of Anderson v Board of Educ. of City of Yonkers*, 46 AD2d 360, 38 NY2d 897.) II. The interpretation of Nassau County Charter § 112 as set forth in the August 9, 2011 Appellate Division, Second Department decision will lead to an absurd result. (*Long v State of New York*, 7 NY3d 269.)

Thomas J. Garry, Mineola, for William T. Biamonte, appellant. I. The redistricting plan cannot be implemented for the 2011 election. (*Matter of Gross v Albany County Bd. of Elections*, 3 NY3d 251; *Matter of Panio v Sunderland*, 4 NY3d 123.) II. The plain language of the Nassau County Charter requires reversal of the appellate decision. (*Frank v Meadowlakes Dev.*

Corp., 6 NY3d 687; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577.) III. The appellate decision contradicts state law. (*Matter of Monahan v Murphy*, 71 AD2d 92; *Matter of Gross v Albany County Bd. of Elections*, 3 NY3d 251; *Matter of Fahy v New York State Bd. of Elections*, 104 AD2d 535; *Matter of Fromson v Lefever*, 112 AD2d 1064; *Matter of Higby v Mahoney*, 48 NY2d 15; *Matter of Staber v Fidler*, 65 NY2d 529; *Matter of Engel v Board of Elections of State of N.Y.*, 144 AD2d 175.) IV. Nassau County Charter §§ 113 and 114 fulfill the purpose of the legislative intent. (*Matter of Ador Realty, LLC v Division of Hous. & Community Renewal*, 25 AD3d 128; *Schulman v Group Health Inc.*, 39 AD3d 223; *Pataki v Kiseda*, 80 AD2d 100; *Matter of Schacht v Allen*, 20 AD2d 507; *People ex rel. Mason v McClave*, 99 NY 83.)

John Ciampoli, County Attorney, Mineola (Joseph Nocella, Alpa Sanghvi, Dennis J. Saffran and Andrew K. Preston of counsel), for Edward P. Mangano and another, respondents. I. Election Law § 4-106 (2) is inapplicable to this action. (*City of New York v New York City Bd. of Elections in City of N.Y.*, 77 NY2d 938; *Matter of Broda v Monahan*, 309 AD2d 959; *Matter of Engel v Board of Elections of State of N.Y.*, 144 AD2d 175; *Matter of Monahan v Murphy*, 71 AD2d 92, 51 NY2d 807; *Bareham v City of Rochester*, 246 NY 140; *National Org. for Women v Metropolitan Life Ins. Co.*, 131 AD2d 356, 70 NY2d 939; *Reynolds v Sims*, 377 US 533.) II. The Appellate Division, Second Department, dissent's conjuring of "absurd results" represents the type of theoretical speculation that this Court has cautioned against. (*Matter of Westchester County Dept. of Social Servs. v Robert W.R.*, 25 AD3d 62; *National Assn. of Ind. Insurers v State of New York*, 89 NY2d 950; *Pashcow v Town of Babylon*, 53 NY2d 687.) III. The Appellate Division, Second Department, dissent's allusion to "constitutional safeguards," when there are no constitutional claims in this case, is unavailing: an interim redistricting to comply with one person/one vote more quickly than constitutionally required does not "deprive" anyone of "constitutional safeguards." (*Reynolds v Sims*, 377 US 533.) IV. The Nassau County Charter has been properly applied and interpreted in this case. (*Matter of Burke v Krug*, 161 Misc 687; *Mehiel v County Bd. of Legislators of County of Westchester*, 175 AD2d 109, 78 NY2d 855; *Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95; *Ferrin v New York State Dept. of Correctional Servs.*, 71 NY2d 42; *Rangolan v County of Nassau*, 96 NY2d 42.)

Bee Ready Fishbein Hatter & Donovan, LLP, Mineola (*Peter A. Bee, William C. De Witt, Stephen L. Martir and Court Cousins* of counsel), and *Ryan, Brennan & Donnelly, LLP*, Floral Park (*John E. Ryan* of counsel), for Peter J. Schmitt and others, respondents. I. The Nassau County Charter governs the disposition of the issues in this case. (*Mehiel v County Bd. of Legislators of County of Westchester*, 175 AD2d 109, 78 NY2d 855.) II. Municipal Home Rule Law § 35 empowers the Nassau County Legislature to interpret its own charter and local laws. III. Before the 2011 election cycle commenced, Local Law No. 3-2011 of the County of Nassau became the “law of the land.” (*Transaero, Inc. v Biri Assoc. Corp.*, 39 AD3d 738; *Wilson v Wilson*, 21 AD3d 548; *Matter of Maron v Silver*, 14 NY3d 230; *Hussein v State of New York*, 81 AD3d 132.) IV. The Court should avoid judicial legislation. (*Pajak v Pajak*, 56 NY2d 394.) V. Legislative redistricting plans carry a “strong presumption of constitutionality.” (*Matter of Wolpoff v Cuomo*, 80 NY2d 70; *Matter of Fay*, 291 NY 198.) VI. Election Law § 4-106 (2) is inapplicable to this proceeding. VII. Even if the Legislature’s sole redistricting experience was an “established past practice,” the Legislature is free to establish new practices. (*Matter of New York Tel. Co. v Public Serv. Commn. of State of N.Y.*, 286 App Div 28, 309 NY 569; *Matter of Cowan v Kern*, 41 NY2d 591; *Grumet v Cuomo*, 90 NY2d 57; *Itri Brick & Concrete Corp. v Aetna Cas. & Sur. Co.*, 89 NY2d 786.) VIII. The trial court erroneously accepted, and relied upon, inadmissible statements of legislative intent. (*Matter of Garufi v Bennett*, 150 Misc 2d 799; *Matter of Daniel C.*, 99 AD2d 35, 63 NY2d 927; *McKechnie v Ortiz*, 132 AD2d 472, 72 NY2d 969; *Civil Serv. Empls. Assn. v County of Oneida*, 78 AD2d 1004, 53 NY2d 603.) IX. Impossibility of performance is not an issue for review on this appeal.

Carrie M. Solages, Elmont, amicus curiae pro se. I. The Appellate Division decision should be reversed and the short form order of the Supreme Court should be affirmed finding that, pursuant to the Election Law and the Nassau County Charter there is no legal basis to immediately adjust the 19 legislative districts of Nassau County based upon the 2010 census data and implement Local Law No. 3-2011 of the County of Nassau for use in the upcoming 2011 general election of the Legislature. II. The Appellate Division, Second Department, dissent properly held that the implementation of Local Law No. 3-2011 of the County of Nassau in the 2011 election would violate the three-step process in Nassau County Charter §§ 112, 113 and 114 and would be inconsistent with the Election Law.

OPINION OF THE COURT

Per Curiam.

In 1994, pursuant to a judicial determination that the system of “weighted voting” used by the local legislative body ran afoul of the Equal Protection Clause (*see Jackson v Nassau County Bd. of Supervisors*, 818 F Supp 509, 535 [ED NY 1993]), the Nassau County Board of Supervisors passed Local Law No. 11-1994 of the County of Nassau. To complete the court-ordered legislative restructuring, the Nassau County Commission on Government Revision was established and, after conducting public hearings, generated a proposal. The proposal ultimately resulted in the amendment of the County Government Law of Nassau County (hereinafter Nassau County Charter), approved by voter referendum, to establish a County Legislature comprised of 19 single-member districts, taking the place of the existing six-member Board of Supervisors (*see* Local Law No. 11-1994). The amendments included provisions setting forth the boundaries of the 19 legislative districts and providing procedures for reapportioning those districts based on the results of each decennial United States census. As first proposed by the Commission on Government Revision, section 112 of the Nassau County Charter constituted the core reapportionment provision. The outgoing Board of Supervisors, however, refused to approve the proposal in that form and added sections 113 and 114 to the final version of the Charter.

Section 112 mandates that “[t]he nineteen county legislative districts shall be set forth in the map attached hereto as Annex A, bounded and described in said Annex A” (Nassau County Charter § 112 [1]). In addition, the statute requires that

“[t]he County Legislature shall within six months after public announcement of the enumeration of the inhabitants of Nassau County in each decennial federal census commencing with the federal census for the year 2000, adopt a local law amending Annex A hereto to describe the nineteen county legislative districts which shall be based upon the new census data. Such local law shall comply with the legal and constitutional requirements for equal representation in the County Legislature of the residents of the county” (Nassau County Charter § 112 [2]).

Section 113 provides for an 11-member bipartisan commission—a “temporary districting advisory commission”—which

would be “established [in] each legislative term in which the legislature is required to reapportion the county legislative districts as a result of the federal decennial census” (Nassau County Charter § 113 [1] [a]). The time frame for the appointment of commission members is “no earlier than one year and eight months before, and no later than one year and six months before, the general election of the county legislators to be held in the year two thousand and three and every ten years thereafter in accordance with the provisions of this section” (Nassau County Charter § 113 [1] [a]). The commission is to recommend a reapportionment plan for the 19 legislative districts and is permitted to hold public hearings, and hire consultants, experts and others as necessary to assist the commission with its work (*see* Nassau County Charter § 113 [2], [3]). The commission must submit its plans and recommendations to the County Legislature “[n]o later than ten months before the general election” (Nassau County Charter § 113 [4]).

Finally, the County Legislature can adopt the advisory commission’s proposed plan or any other redistricting plan that comports with constitutional and statutory requirements (*see* Nassau County Charter § 114). “The County Legislature, shall, no later than eight months before such general election . . . prepare and adopt by local law a final plan for the redistricting of the county legislature” (Nassau County Charter § 114).

On May 24, 2011, the County Legislature adopted Local Law No. 3-2011 of the County of Nassau, reapportioning the 19 legislative districts based on the results of the 2010 federal census, and specified new metes and bounds descriptions for each of the legislative districts. Petitioners assert that roughly 44% of the County’s population would be moved into new legislative districts as a consequence of the amendment. Respondents maintain that population shifts over the past decade have resulted in substantial deviations among the existing districts that mandate adjustment.

Plaintiffs/petitioners commenced this hybrid declaratory judgment action/CPLR article 78 proceeding on May 10, 2011, seeking a declaration that the implementation of Local Law No. 3-2011 in relation to the November 8, 2011 general election is null and void for lack of compliance with the Nassau County Charter. Supreme Court concluded that petitioners were entitled to partial relief because there was “no basis in the Nassau County Charter itself, the legislative intent, the legislative history, or the established past practice of the Legislature” for

adjusting the district lines prior to the 2011 general election (32 Misc 3d 838, 852 [2011]). The court determined that sections 112 through 114 of the Nassau County Charter required that a three-step redistricting process be implemented before new lines are adopted for the 2013 general election. The court declared that adoption of Local Law No. 3-2011 was in accord with Nassau County Charter § 112, but that its implementation for use in the 2011 general election was ineffective for lack of compliance with Nassau County Charter §§ 113 and 114. The court further declared that new district lines based on the 2010 census data would not go into effect until the 2013 general election and therefore the 2011 general election would be held based on the district lines designated in Local Law No. 2-2003 of the County of Nassau.

The Appellate Division reversed insofar as appealed from, declaring that the legislative boundaries designated in Local Law No. 3-2011 must be implemented in connection with the 2011 general election and affirmed insofar as cross-appealed from, declaring that the adoption of the local law was in accord with Nassau County Charter § 112 (87 AD3d 582 [2011]). The Court found that the County Legislature was required “to formally amend Annex A,” not merely to propose new district lines that would not take effect until after the completion of a three-step redistricting process (87 AD3d at 587). The Court determined that the metes and bounds descriptions of the 19 legislative districts stated in Annex A, as amended by Local Law No. 3-2011, were the operative district lines to be used in the 2011 general election and that they would remain in effect until further amendment of Annex A.

Two justices dissented in part. They would have held that Nassau County Charter §§ 112 through 114 required a three-step process and that, although the adoption of Local Law No. 3-2011 was the first step in that process, it did not operate to alter the legislative district boundaries for the 2011 general election. Petitioners appeal to this Court as of right (*see* CPLR 5601 [a]) and we now reverse.

“When presented with a question of statutory interpretation, our primary consideration ‘is to ascertain and give effect to the intention of the Legislature’ ” (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006], quoting *Riley v County of Broome*, 95 NY2d 455, 463 [2000]). The starting point for discerning legislative intent is the language of the statute itself (*see Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270, 286

[2009]). “Courts must harmonize the various provisions of related statutes and . . . construe them in a way that renders them internally compatible” (*Matter of Dutchess County Dept. of Social Servs. v Day*, 96 NY2d 149, 153 [2001] [internal quotation marks and citation omitted]).

Against this background, we consider the provisions at issue. The heart of the dispute between these parties is whether the new metes and bounds descriptions in Local Law No. 3-2011 apply to the 2011 general election or whether they are the first part of a three-step process to take effect in 2013.

The conflicting provisions of sections 112 and 113 can be reconciled only if section 112 is interpreted to provide for new metes and bounds descriptions as the initial step of an integrated process that includes consideration of the recommendations of a temporary commission with public input (*see* Nassau County Charter § 113), and culminates in the adoption of a redistricting plan “no later than eight months before [the] general election” (Nassau County Charter § 114). Such an integrated interpretation results in an orderly, deliberative process and avoids the prospect of redrawing district lines in two consecutive general elections.

For the reasons stated above, we hold that Supreme Court properly declared that Local Law No. 3-2011 is in accord with Nassau County Charter § 112, but that its implementation is null and void in connection with the November 8, 2011 general election for lack of compliance with Nassau County Charter §§ 113 and 114.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, without costs, and the order and judgment of Supreme Court reinstated.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur in per curiam opinion.

Order, insofar as appealed from, reversed, etc.

[957 NE2d 733, 933 NYS2d 164]

In the Matter of WORLD TRADE CENTER BOMBING LITIGATION.

STEERING COMMITTEE et al., Respondents, v THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY, Appellant.

Decided September 22, 2011

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Supreme Court, New York County (Lottie E. Wilkins, J.), entered January 20, 2010. The judgment, entered upon a jury verdict in favor of plaintiff Antonio Ruiz, awarded plaintiff damages in the total sum of \$824,100.06. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 29, 2008. The Appellate Division affirmed an order of the Supreme Court, New York County (Nicholas Figueroa, J.; op 2007 NY Slip Op 34467[U]), which had denied defendant's motion to set aside the jury verdict or, alternatively, for a new trial.

Steering Comm. v Port Auth. of N.Y. & N.J., 51 AD3d 337, reversed.

HEADNOTES**State — Sovereign Immunity — Waiver — Governmental Immunity — Port Authority of New York and New Jersey**

1. The waiver language in McKinney's Unconsolidated Laws of NY §§ 7101 and 7106 (L 1950, ch 301, §§ 1, 6) does not preclude the defendant Port Authority of New York and New Jersey from asserting the common-law defense of governmental immunity. There is a distinction between sovereign immunity and immunity-based defenses available to governmental agencies, and the mere waiver of sovereign immunity does not preclude a governmental agency from asserting an immunity-based defense where appropriate. A plain reading of section 7106 evinces a waiver of sovereign immunity, but there is no indication that the statute was meant to effectuate a concomitant, wholesale waiver of governmental immunity. The statute merely indicates that the waiver will have the intended effect of subjecting the Port Authority to lawsuit for claims sounding in tort. That the waiver treats the Port Authority like a private corporation does not have any unique significance beyond the waiver of sovereign immunity. Moreover, the singular waiver of the Port Authority's sovereign immunity and its exposure to distinct lawsuits is evidenced by the statutory scheme of sections 7101 through 7106 of the Unconsolidated Laws, which specify the impact of such waiver with respect to various causes of action.

Public Authorities — Claims against Public Authorities — Terrorist Bombing of World Trade Center — Governmental Immunity of Port Authority of New York and New Jersey

2. In an action to recover for injuries sustained as a result of a terrorist bombing at the World Trade Center (WTC), defendant Port Authority of New

York and New Jersey, which oversaw and operated the WTC, acted within its governmental capacity in its provision of security at the WTC because its security operations constituted police protection. Although the Port Authority performed dual proprietary and governmental functions, the determination of the primary capacity under which a governmental agency was acting turns solely on the acts or omissions claimed to have caused injury, that is, whether the precise failures for which the Port Authority was found liable were governmental or proprietary in nature. Here the gravamen of the complaint alleged a failure to provide adequate security. The Port Authority's purported lapses in adequately examining the risk and nature of terrorist attack and adopting specifically recommended security protocols to deter terrorist intrusion were not separable from the Port Authority's provision of security; rather, they were a consequence of the Authority's mobilization of police resources for its exhaustive study of the risk of terrorist attack, the policy-based planning of counter-terrorist strategy, and the consequent allocation of resources. The Authority's failure to allocate police resources lay not within the safety measures that a reasonable landowner would implement, but within security operations with respect to the strategic allocation of police resources. Police protection is a quintessential example of a governmental function. While the terrorist bombing within the parking garage of a commercial building complex may have implicated some proprietary responsibility, it could not overcome the governmental tenor of the security strategy established by the Port Authority to counteract terrorist intrusion.

Public Authorities — Claims against Public Authorities — Terrorist Bombing of World Trade Center — Governmental Immunity of Port Authority of New York and New Jersey

3. The complaint in an action to recover for injuries sustained as a result of a terrorist bombing at the World Trade Center (WTC) was dismissed where plaintiff alleged that defendant Port Authority of New York and New Jersey, which oversaw and operated the WTC, failed to provide adequate security, since the Port Authority exercised discretion in its security decision-making entitling it to the common-law defense of governmental immunity. The Port Authority's administration of security at the WTC involved discretionary decision-making, and the governmental immunity doctrine recognizes that police protection is best left within the discretion of the governmental entity because police resources are limited. Given the finite nature of police resources, the mechanisms by which security and police protection is afforded cannot be dictated by the edict of a court or the retrospective conclusions of a jury. The record evinced that the Authority made the type of informed, policy-based decision-making that entitled a governmental agency to immunity. Moreover, governmental entities cannot be expected to be absolute, infallible guarantors of public safety, but in order to encourage them to engage in the affirmative conduct of diligently investigating security vulnerabilities and implementing appropriate safeguards, they must be provided with the latitude to render those critical decisions without threat of legal repercussion.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Municipal, County, School, and State Tort Liability §§ 10, 47, 70, 395, 409.

McKINNEY'S Unconsolidated Laws of NY § 7106.

NY JUR 2d, Counties, Towns, and Municipal Corporations
 §§ 1305, 1306; NY JUR 2d, Government Tort Liability §§
 1-3, 5, 12, 14, 17-20.

PROSSER AND KEETON, TORTS (5th ed) § 131.

ANNOTATION REFERENCE

See ALR Index under Governmental Immunity or Privilege.

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POINTS OF COUNSEL

Weil, Gotshal & Manges LLP, New York City (*Richard A. Rothman, Gregory Silbert, David Yolkut and Adam Banks* of counsel), and *Goldberg Segalla LLP*, Mineola (*Paul S. Devine* of counsel), for appellant. I. In holding the Port Authority of New York and New Jersey liable for its counterterrorism decisions, the courts below have set a dangerous precedent that disregards the prior decisions of this Court. (*Weiner v Metropolitan Transp. Auth.*, 55 NY2d 175; *McLean v City of New York*, 12 NY3d 194; *Haddock v City of New York*, 75 NY2d 478; *Miller v State of New York*, 62 NY2d 506; *United States v Salameh*, 152 F3d 88; *Bonner v City of New York*, 73 NY2d 930; *Dinardo v City of New York*, 13 NY3d 872; *United States v Rahman*, 189 F3d 88; *Marilyn S. v City of New York*, 134 AD2d 583, 73 NY2d 910; *Glick v City of New York*, 53 AD2d 528, 42 NY2d 831.) II. The Appellate Division departed from prior precedents holding that a landlord has a duty to take only minimal security precautions against foreseeable third-party criminal acts. (*Nallan v Helmsley-Spear, Inc.*, 50 NY2d 507; *Gross v Empire State Bldg. Assoc.*, 4 AD3d 45; *Mason v U.E.S.S. Leasing Corp.*, 96 NY2d 875; *Burgos v Aqueduct Realty Corp.*, 92 NY2d 544; *Cipriani Fifth Ave., LLC v RCPI Landmark Props., LLC*, 4 Misc 3d 850.) III. Apportionment of 68% of fault for the terrorist bombing to the Port Authority of New York and New Jersey—and only 32% to the terrorists themselves—was unsupportable and contrary to law. (*Roseboro v New York City Tr. Auth.*, 10 AD3d 524; *Stevens v New York City Tr. Auth.*, 19 AD3d 583; *Chianese v Meier*, 98 NY2d 270; *Cabrera v Hirth*, 8 AD3d 196; *Cintron v New York City Tr. Auth.*, 22 AD3d 248.)

Davis Wright Tremaine LLP, New York City (Victor A. Kovner, Sharon L. Schneier, Edward J. Davis and Deborah A. Adler of counsel), *Sullivan Papain Block McGrath & Cannavo P.C.* (Brian J. Shoot of counsel), *Richard J. Katz, LLP* (Jonathan A. Rapport of counsel) and *Fensterstock & Partners LLP* (Blair C. Fensterstock of counsel) for respondents. I. The Port Authority of New York and New Jersey's unique liability statute renders it liable in tort cases "as though it were a private corporation." (*Roochvarg v Port of N.Y. Auth.*, 190 Misc 406; *LeBeau Piping Corp. v City of New York*, 170 Misc 644; *Trippe v Port of N.Y. Auth.*, 14 NY2d 119; *Port Authority Trans-Hudson Corp. v Feeney*, 495 US 299; *Matter of Rodriguez v Perales*, 86 NY2d 361; *Matter of Lorie C.*, 49 NY2d 161; *Jones v Beame*, 45 NY2d 402.) II. In holding the Port Authority of New York and New Jersey liable for its negligent operation of a parking garage, the courts below followed well-established precedent distinguishing between proprietary and governmental functions. (*El Gemayel v Seaman*, 72 NY2d 701; *Glenbriar Co. v Lipsman*, 5 NY3d 388; *Bates Adv. USA, Inc. v 498 Seventh, LLC*, 7 NY3d 115; *Matter of E.S. v P.D.*, 8 NY3d 150; *Mercantile & Gen. Reins. Co. v Colonial Assur. Co.*, 82 NY2d 248; *Loomis v New York Cent. & Hudson Riv. R.R. Co.*, 214 NY 447; *Lindlots Realty Corp. v County of Suffolk*, 278 NY 45; *Matter of Attorney Gen. of State of N.Y. v Firetog*, 94 NY2d 477; *Matter of Metlife Auto & Home v Pennella*, 10 AD3d 726; *Washington v Washington*, 14 NY3d 777.) III. The Appellate Division correctly upheld the jury's determination that the Port Authority of New York and New Jersey breached its duty of care; the evidence established that the bombing was not only foreseeable, but was actually and repeatedly foreseen by the Port Authority. (*Jacqueline S. v City of New York*, 81 NY2d 288; *Moskal v Fleet Bank*, 269 AD2d 260; *Rudel v National Jewelry Exch. Co.*, 213 AD2d 301; *Basso v Miller*, 40 NY2d 233; *Bethel v New York City Tr. Auth.*, 92 NY2d 348; *Peralta v Henriquez*, 100 NY2d 139; *Sanchez v State of New York*, 99 NY2d 247; *Miller v State of New York*, 62 NY2d 506; *Nallan v Helmsley-Spear, Inc.*, 50 NY2d 507; *McDonald v M.J. Peterson Dev. Corp.*, 269 AD2d 734.) IV. The jury's apportionment of fault was a determination of fact that the court cannot review, and it was fully supported by the evidence. (*Heary Bros. Lightning Protection Co., Inc. v Intertek Testing Servs., N.A., Inc.*, 4 NY3d 615; *Scheemaker v State of New York*, 70 NY2d 985.)

Fiedelman & McGaw, Jericho (Andrew Zajac, Dawn C. DeSimone, Rona L. Platt, Brendan T. Fitzpatrick, David Hamm and

Jonathan A. Judd of counsel), for Defense Association of New York, Inc., amicus curiae. I. Any alleged negligence on the part of the Port Authority of New York and New Jersey in its role as *landlord*, as distinct from its police power function, was not a proximate cause of this intentionally targeted assault on the World Trade Center. (*Zimmer v Chemung County Performing Arts*, 65 NY2d 513; *Mack v Altmans Stage Light. Co.*, 98 AD2d 468; *Nallan v Helmsley-Spear, Inc.*, 50 NY2d 507; *Bridges v Riverbay Corp.*, 102 AD2d 800, 64 NY2d 1075; *Santiago v New York City Hous. Auth.*, 63 NY2d 761; *Miller v State of New York*, 62 NY2d 506; *Jacqueline S. v City of New York*, 81 NY2d 288; *Waters v New York City Hous. Auth.*, 69 NY2d 225; *Weiner v Metropolitan Transp. Auth.*, 55 NY2d 175; *Flynn v Esplanade Gardens, Inc.*, 76 AD3d 490.) II. The Port Authority of New York and New Jersey was not liable for the unforeseeable terrorist attack on the World Trade Center in 1993, and this Court should reverse and dismiss the complaint. (*Levine v City of New York*, 309 NY 88; *Lewis v Metropolitan Transp. Auth.*, 99 AD2d 246, 64 NY2d 670; *Basso v Miller*, 40 NY2d 233; *Nallan v Helmsley-Spear, Inc.*, 50 NY2d 507; *Hubbell v City of Yonkers*, 104 NY 434; *Jacqueline S. v City of New York*, 81 NY2d 288; *Palsgraf v Long Is. R.R. Co.*, 248 NY 339; *Danielenko v Kinney Rent A Car*, 57 NY2d 198; *Greene v Sibley, Lindsay & Curr Co.*, 257 NY 190; *Derdiarian v Felix Contr. Corp.*, 51 NY2d 308.)

OPINION OF THE COURT

JONES, J.

This appeal, involving litigation arising from the 1993 terrorist bombing incident in the parking garage of the World Trade Center complex (WTC), raises critical issues regarding the interplay of the proprietary and governmental functions of a public entity and the provision of security, particularly against the risk of terrorist attack. First, we must determine whether the Port Authority of New York and New Jersey (Port Authority) was performing a governmental or proprietary function in its provision of security at the premises. Second, if the Port Authority was engaged in such a governmental function, we must consider whether it exercised discretion in its security decision-making to entitle it to the common-law defense of governmental immunity. We hold that the Port Authority is entitled to the protection of governmental immunity.

I

The Port Authority is a public entity jointly created by a 1921 compact between New York and New Jersey to oversee

and operate critical centers of commerce and trade, as well as transportation hubs such as ports, airports, bridges, and tunnels (*see* McKinney's Uncons Laws of NY § 6404 [L 1921, ch 154, § 1, as amended]).¹ The Port Authority is a financially self-reliant public entity that draws its revenue and income from fees generated by its various properties, and not from the tax revenue of either New York or New Jersey.

Among its properties, the WTC was a key facility developed, constructed, and operated by the Port Authority. The WTC was created through 1962 legislation "for the benefit of the people of the states of New York and New Jersey" (McKinney's Uncons Laws of NY § 6610 [L 1962, ch 209, § 10]) with "the single object of preserving . . . the economic well-being of the northern New Jersey-New York metropolitan area" (McKinney's Uncons Laws of NY § 6601 [9] [L 1962, ch 209, § 1]).

Structurally, the WTC was comprised of seven high-rise buildings erected on a 16-acre site—including the 110-story Twin Towers—which housed offices and various commercial establishments such as a hotel and a concourse of shops and restaurants. In addition, the WTC served as a center for various federal and state government agencies including, for example, the United States Secret Service and the New York State Police, among others. The complex contained six subgrade levels, B-1 through B-6, with parking facilities located on levels B-1 through B-4 for Port Authority personnel, WTC tenants, and the public. Sixteen hundred parking spaces were reserved for tenants and other WTC and Port Authority personnel, and 400 spaces were allotted for public parking by transient visitors.

The Port Authority employed a security force of 40 Port Authority police officers assigned on a full-time basis to a precinct located within the confines of the WTC. A second, separate contingent of officers was assigned to the PATH railroad station located within a subgrade level of the complex. In addition, numerous security personnel were deployed at the Port Authority's other facilities, tunnels, and bridges. The reserved parking, on levels B-2 through B-4, was patrolled routinely by

1. The Port Authority oversees John F. Kennedy International, LaGuardia, Newark Liberty International, Teterboro, and Stewart International Airports; the George Washington Bridge, Bayonne Bridge, Goethals Bridge, and the Outerbridge Crossing; the Holland and Lincoln Tunnels; the Port Authority Bus Terminal and the George Washington Bridge bus station; the PATH rail system; major port and cargo terminals; and the former World Trade Center complex.

Port Authority officers. Level B-1 was typically manned by civilian personnel with surveillance cameras trained on all the ramps leading to and from the parking garage. The Port Authority also retained, from 1989 to 1994, a separate, additional private force comprised of security guards employed by City Wide Security Services, Inc. These security guards patrolled the WTC, including the underground, subgrade levels.

Visitors essentially had unimpeded ingress and egress into the parking garage areas, but not the parking lot proper. For example, on the B-2 level, peripheral public parking areas were accessible as a driver would encounter a guard or gate only when entry was sought, from a ramp or roadway, into the parking lot itself. As such, a vehicle could be parked on an internal, underground roadway without actually entering a parking lot.

Starting in the early 1980s, the Port Authority engaged in exhaustive counterterrorism planning and investigation. In 1983, as a member of both the New York State Terrorism Task Force and the FBI's Joint Terrorism Task Force, it obtained access to confidential information pertaining to security threats against Port Authority facilities. As a result, it implemented a "Terrorist Countermeasure Planning" initiative whereby the Port Authority was able to exchange vital security intelligence with various federal and state agencies. Pursuant to this initiative, it established security protocols and response mechanisms, including a threat level system, for all of its facilities.

In the early 1980s, the Executive Director of the Port Authority expressed concern with "the threat of terrorist[] attacks on Port Authority facilities" due to "an emerging pattern in signs around the globe of terrorist attack." In 1984, an internal report entitled "Terrorism Assessment World Trade Center 1984" was circulated among the management of the Port Authority and it concluded that the WTC "should be considered a prime target for domestic as well as international terrorists." The WTC was a "high risk target" and its "parking lots [were] accessible to the public and . . . highly susceptible to car bombings."

Later that same year, the Port Authority created the Office of Special Planning (OSP) to study and assess the "nature" and "dimension" of the security risks faced by all of its facilities, and ultimately, to recommend appropriate security measures. The OSP staff consisted of police and civilian employees of the Port Authority and worked in tandem with federal and state agencies such as the FBI, CIA, National Security Agency, State

Police, and New York City Police Department to evaluate security risks at all Port Authority facilities, including the WTC.

At the same time, the Port Authority retained an outside security consultant, Charles Schnabolk Associates, to study the risk of a terrorist attack on the WTC. Schnabolk's July 1985 report, entitled "Terrorism Threat Perspective and Proposed Response for the World Trade Center of the Port Authority of New York & New Jersey," advised that bombing attempts were "probable" and "[t]he WTC is highly vulnerable through the parking lot." Schnabolk identified the "parking lot, Concourse doors, [redacted]" as "highly vulnerable" such that "[w]ith little effort terrorists could create havoc without being seriously deterred by the current security measures." The report recommended, among other measures, that "[v]ehicles coming to the Port Authority parking areas may be screened for the presence of explosives" by inspecting trunks and undercarriages of cars. In a letter accompanying the report, Schnabolk impressed upon the Port Authority the "urgent" need to implement "many or most" of the recommended security measures.

In mid-1985, the OSP issued a preliminary study entitled "WTC Study Brief," where it hypothesized various terrorist attack scenarios while assessing the specific vulnerabilities of the WTC. This preliminary report considered the possibility of a "[b]omb-laden truck attack" and that "[a] strategically positioned truck or van could cause extensive structural damage to the Trade Center as well as a large number of casualties." Among "[k]ey questions to be raised" were "[w]hat areas provide[d] the largest 'bang for the buck' for various amounts of explosives in a truck or van (e.g., across the street from the WTC, in the parking lot below the Trade Center, etc.)."

In November 1985, the OSP issued a formal report entitled "Counter-Terrorism Perspectives: The World Trade Center" which addressed the threat of terrorism with respect to the entire WTC complex. The report theorized as "Option Nine" that a "time bomb-laden vehicle could be driven into the WTC and parked in the public parking area. The driver could then exit . . . At a predetermined time, the bomb could be exploded in the basement." The risk assessment section of the report stated that although "the real possibility of an incident occurring at the WTC does exist; . . . it is not considered to be a high risk situation at present." Concomitantly, OSP concluded that "terrorist events," particularly car bombings in the parking garage were considered "low risk."

Within the same report, myriad recommendations were proffered on how to bolster security within the WTC. With respect to the parking garage, the idea of entirely eliminating public parking was advanced along with alternative measures such as manned entrances, restrictions on pedestrian access to parking area ramps, random vehicle inspections, and dog patrols. However, manned entrances were considered to be an ineffective deterrent; limits on pedestrian access were considered futile because the parking areas could still be accessed in other ways; and random vehicle inspections were deemed unconstitutional. Following the completion of the report, the Port Authority convened several meetings in 1986 to discuss the issue of transient public parking, among other safety concerns. These meetings were attended by high-level officials such as the Executive Director of the Port Authority; the Director of the World Trade Department; the Port Authority police; and other heads of law enforcement. Although some “sub-grade security checks” were implemented—e.g., a full-time guard was stationed at the parking garage entrance on Barclay Street—it was determined that the Port Authority would not eliminate public parking. Others concurred in that determination as the head of OSP testified at trial that the report “couldn’t produce anything other than a low risk” of attack in the parking garage, and the Port Authority’s head of police believed that the “risk, if anything, was extremely low.”

After OSP issued its final report, the Port Authority hired an outside security consultant, Science Applications International Corporation (SAIC), to assess security issues and propose safety recommendations. An early report ranked the threat level at the WTC as “moderate to high” and envisioned a scenario where “[a] small delivery truck laden with several hundred pounds of explosive can be readily positioned on ramp G adjacent to the north meter room door and detonated following a short time delay to allow the driver’s escape.”

In its final report, “Physical Security Review of the World Trade Center,” SAIC concluded that vehicle access to and from the subgrade levels was “for security purposes, uncontrolled” and the detonation of a “well-placed vehicle bomb” on Ramps A, B, E, F or G “would likely damage at least half of the support services (fresh water, steam, cooling water, electrical, and telephone) to the WTC users.” The report considered the elimination of public parking, but did not recommend that as a security measure because it would be “very costly either in

terms of operational impact, public acceptance, or monetary cost.”

In 1991, following the Persian Gulf War, the Port Authority retained still another consulting firm, Burns and Roe Secura-com, Inc., to assess threats to the WTC from an electrical engineering perspective. The firm issued two reports in March 1991 and December 1991 entitled “Vulnerability Study Electronic Engineering Security Review for the Port Authority of New York and New Jersey for the World Trade Center Complex” and “World Trade Center Complex Full Engineering Feasibility Study,” respectively. In the latter report, Burns and Roe analyzed potentially vulnerable areas of the WTC using a scale of 0-350. The report identified public areas with high population density as the most vulnerable areas. For example, the public concourse was rated a 350 (the highest figure) and the plaza was assigned a 245. By contrast, the parking garage was assigned a seven and the subgrade levels were considered low-risk areas.

As a result of these studies and evaluations, the Port Authority augmented its police and security force presence within the WTC, especially within high-population areas such as the concourse and plaza. With respect to the parking garage, the Port Authority installed surveillance cameras and door alarms, and increased lighting. Surveillance camera footage was routed to monitors manned by Port Authority personnel. By 1992, the Port Authority had also established security patrols encompassing the parking garage ramps and exterior roadways. A security guard with the title of “Truck Dock Coordinator” would survey the parking garage by golf cart, record the length of time vehicles were parked, and report any “suspicious or undesirable[]” vehicles. When presented with intelligence about a potential attack, the Port Authority heightened its security measures.² For example, in January 1993, the Port Authority received intelligence that an “office complex” within New York

2. In 1986, the Port Authority closed the entire WTC parking garage, increased police presence, inspected packages and utilized helicopter aerial surveillance in response to intelligence indicating a terrorist threat in New York City. In 1989, the Port Authority closed the parking garage in response to general threats related to events commemorating the 200th anniversary of George Washington’s inauguration. In 1991, during the Persian Gulf War, the Port Authority increased the number of police patrols; checked vehicles; installed security cameras in the parking garage; and removed trash cans. In 1992, during the 500th anniversary of Christopher Columbus’s landing, the Port Authority closed the WTC and restricted underground access.

was a potential target of an attack due to turmoil in the Middle East. Consequently, the Port Authority and its police captain “reviewed what the protocols and procedures were and what our standard protocol would be to this kind of a threat.” As a result, the Port Authority heightened security by increasing the number of patrols by its private security force, Port Authority police, and plainclothes detectives; establishing guard posts; and creating a vehicular blockade.

From 1983-1992, the WTC identified approximately 350 bomb threats or scares—a “threat” included phone calls, letters, or verbal statements, and a “scare” related to situations where the risk of a bomb attack was imminent, such as the appearance of a suspicious package. None of these threats or scares involved a car or truck bomb in the parking garage, and only one instance involved a car bomb.³ Of these threats, only two involved the parking garage.⁴

On February 26, 1993, terrorists Ramzi Yousef and Eyad Ismoil⁵ drove a rented van containing a fertilizer bomb into the B-2 level of the WTC parking garage. Without entering an actual parking lot, they parked the van on the side of one of the garage access ramps and lit the fuse on the bomb for a timed detonation to occur approximately 10 minutes later. Both men were able to enter and exit the parking garage area undetected. The resulting explosion, occurring at 12:18 P.M., created a blast

3. In 1983, an unidentified male called 911 and informed the operator that “there is a bomb in a car outside the World Trade Center. I’ll call back in 5 minutes with instructions.” Within half an hour of that call, the Port Authority had secured public areas and the perimeter of the WTC, finding no credible threat.

4. In 1984, the Port Authority Police Desk received an anonymous call that “a bomb [was] set to go off in the garage.” Authorities, including the FBI, were contacted and the entire parking garage was searched within 45 minutes. No bomb was located. In 1988, a parking attendant observed a briefcase that had been inadvertently left unattended for more than 30 minutes and contacted the Port Authority police. The entire parking garage—including ramps, staircases, entrances, and exits—was closed and the threat was resolved when the briefcase was found to be harmless.

5. Yousef and Ismoil were captured in Pakistan and Jordan, respectively, and were convicted of crimes related to the World Trade Center bombing in 1997. Four other terrorists involved in the incident, Mohammad Salameh, Nidal Ayyad, Mahmoud Abouhalima, and Ahmad Mohammad Ajaj were convicted in March 1994. Sheik Omar Abdel Rahman (also known as the “Blind Sheik”) and nine other members of the same jihadist organization were convicted in January 1996 for crimes related to the bombing. All conspirators received 240-year sentences.

crater six stories deep and killed six people, including four Port Authority employees.⁶

II

Six hundred and forty-eight plaintiffs commenced 174 actions against the Port Authority for injuries sustained as a result of the bombing. The actions were litigated jointly for some purposes and a Steering Committee was formed to oversee the litigation on behalf of some of the plaintiffs. The gravamen of the claims was a negligent failure by the Port Authority to provide adequate security—i.e., the failure to adopt the recommendations in the security reports; to restrict public access to the subgrade parking levels; to have an adequate security plan; to establish a manned checkpoint at the garage; to inspect vehicles; to have adequate security personnel; to employ recording devices concerning vehicles, operators, occupants, and pedestrians; and to investigate the possible consequences of a bombing within the WTC.

During pretrial discovery, plaintiffs demanded the production of WTC security-related risk assessment reports obtained by the Port Authority, including any OSP reports and reports created by outside security consultants. The Port Authority, relying on the public interest privilege, objected to the broad disclosure of those documents, and argued that the production of those documents could expose any remaining vulnerabilities at the WTC. A Special Master conducted an in camera review of the security reports and determined that documents pertaining to the security risks of the parking garage should be disclosed while documents with respect to other Port Authority facilities should be withheld. Supreme Court adopted the Special Master's recommendations and ordered that some, but not all documents be disclosed, subject to a confidentiality order.

The Appellate Division modified, holding that the public interest privilege was not applicable and that all documents had to be disclosed, subject to a confidentiality order (*Matter of World Trade Ctr. Bombing Litig.*, 248 AD2d 137, 137-138 [1st Dept 1998]). This Court reversed, holding that the Appellate Division's "matter-of-law rejection of the public interest privilege in the face of the legitimate concerns of the [Port Authority

6. The 1993 WTC bombing represented the first Islamic terrorist attack, the first terrorist car bombing, and the first terrorist attack in an underground parking garage on American soil.

was] too sweeping” (*Matter of World Trade Ctr. Bombing Litig.*, 93 NY2d 1, 9 [1999]) and a fact-specific inquiry was needed to balance the concerns of the Port Authority (*see id.*). On remand, the Appellate Division affirmed Supreme Court’s 1997 discovery ruling.

Following the completion of discovery, the Port Authority moved for summary judgment on grounds that it was entitled to the protection of governmental immunity and that the terrorist attack was not foreseeable as a matter of law. Supreme Court denied the motion, concluding that the negligent acts at issue stemmed from the Port Authority’s proprietary capacity as a landowner, and not any exercise of a governmental function (*Matter of World Trade Ctr. Bombing Litig.*, 3 Misc 3d 440, 466-467 [Sup Ct, NY County 2004]). The Appellate Division affirmed without opinion (*Matter of World Trade Ctr. Bombing Litig.*, 13 AD3d 66 [1st Dept 2004]).

In 2005, following a bifurcated trial solely on liability, a jury found that the Port Authority was liable for negligently failing to maintain the WTC parking garage in a reasonably safe condition. The jury apportioned 68% of the fault to the Port Authority and 32% to the terrorists. Supreme Court denied the Port Authority’s motion to set aside the verdict (2007 NY Slip Op 34467[U] [2007]).

The Appellate Division unanimously affirmed (51 AD3d 337 [1st Dept 2008]). With respect to the Port Authority’s governmental immunity argument, the Appellate Division concluded that “the gravamen of this action is not that defendant failed properly to allocate government services to the public at large, but that it failed in its capacity as a commercial landlord to meet its basic proprietary obligation to its commercial tenants and invitees reasonably to secure its premises, specifically its public parking garage, against foreseeable criminal intrusion” (51 AD3d at 344). The Appellate Division also rejected the argument that plaintiffs had failed to show a likelihood of a terrorist attack, given the lack of a history of prior similar attacks at the WTC. The Appellate Division concluded that “the relevant requirement in premises liability actions is ultimately notice, not history” and that there was overwhelming record evidence that the Port Authority had notice that a car bombing could occur if security was not adequately addressed (*see* 51 AD3d at 345).

The parties returned to Supreme Court where they litigated damages separately in the various actions. Upon a jury verdict,

Supreme Court awarded plaintiff-respondent Antonio Ruiz the total sum of \$824,100.06. We granted the Port Authority leave to appeal, pursuant to CPLR 5602 (a) (1) (ii), from Supreme Court's judgment in the Ruiz action, bringing up for review the prior Appellate Division order as to Ruiz, and we now reverse.⁷

III

As an initial matter, plaintiffs contend that the Port Authority is precluded from raising a governmental immunity argument because a statutory waiver of that defense serves as a dispositive threshold issue (*see* McKinney's Uncons Laws of NY §§ 7101, 7106 [L 1950, ch 301, §§ 1, 6]).

Section 7101 provides that

“[u]pon the concurrence of the state of New Jersey in accordance with section twelve hereof, the states of New York and New Jersey consent to suits, actions or proceedings of any form or nature at law, in equity or otherwise (including proceedings to enforce arbitration agreements) against the Port of New York Authority (hereinafter referred to as the ‘port authority’), and to appeals therefrom and reviews thereof, except as hereinafter provided in sections two through five, inclusive, hereof.”

Section 7106 provides that

“[t]he foregoing consent is granted upon the condition that venue in any suit, action or proceeding against the port authority shall be laid within a county or a judicial district, established by one of said states or by the United States, and situated wholly or partially within the port of New York district. The port authority shall be deemed to be a resident of each such county or judicial district for the purpose of such suits, actions or proceedings. *Although the port authority is engaged in the performance of governmental functions, the said two states consent to liability on the part of the port authority in such suits, actions or proceedings for*

7. The request of Linda Nash, plaintiff in one of the other actions, to present argument on this appeal, was granted. The Nash action, however, is beyond the scope of this appeal. A judgment in the Nash action was recently affirmed by the Appellate Division (*see Nash v Port Auth. of N.Y. & N.J.*, 85 AD3d 414 [1st Dept 2011]).

tortious acts committed by it and its agents to the same extent as though it were a private corporation” (emphasis added).

Plaintiffs rely specifically on the highlighted language above to argue that section 7106 serves as a broad waiver of governmental immunity because the Legislature, through the plain language of the statute, acknowledged that the Port Authority performed governmental functions, but stripped it of any governmental cloak and immunity-based defenses.

[1] It should be noted that there is, of course, a distinction between sovereign immunity and immunity-based defenses available to governmental agencies. Sovereign immunity is “the historic immunity derived from the State’s status as a sovereign and protects the State from suit” (*Brown v State of New York*, 89 NY2d 172, 192 [1996]), whereas governmental immunity, legislative immunity, or judicial immunity are defenses where “as a matter of policy, the courts have foreclosed liability” (*id.* at 192). Accordingly, the mere waiver of sovereign immunity does not preclude a governmental agency from asserting an immunity-based defense where appropriate. As explained in the Restatement (Second) of Torts:

“(3) Even when a State is subject to tort liability, it and its governmental agencies are immune to the liability for acts and omissions constituting

“(a) the exercise of a judicial or legislative function, or

“(b) the exercise of an administrative function involving the determination of fundamental governmental policy.

“(4) Consent to suit and repudiation of general tort immunity do not establish liability for an act or omission that is otherwise privileged or is not tortious” (Restatement [Second] of Torts § 895B [3] [a], [b]; [4]).

As a matter of statutory construction, a court must “attempt to effectuate the intent of the Legislature” (*Patrolmen’s Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205, 208 [1976]) and “[w]here the terms of a statute are clear and unambiguous, ‘the court should construe it so as to give effect to the plain meaning of the words used’ ” (*Matter of Auerbach v Board of Educ. of City School Dist. of City of N.Y.*, 86 NY2d 198,

204 [1995], quoting *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d at 208). As such, if section 7106 clearly expresses a waiver of governmental immunity, then our inquiry must be foreclosed.

Here, a plain reading of section 7106 evinces a waiver of sovereign immunity, but there is no indication that the statute was meant to effectuate a concomitant, wholesale waiver of governmental immunity. The statute merely indicates that the waiver will have the intended effect of subjecting the Port Authority to lawsuit for claims sounding in tort. That this waiver treats the Port Authority like a private corporation does not have any unique significance beyond the waiver of sovereign immunity.

For comparison's sake, we may look, as an example, to Court of Claims Act § 8, a statute that undisputedly waives only the traditional sovereign immunity formerly enjoyed by the State of New York. That statute provides:

“The state hereby waives its immunity from liability and action and hereby assumes liability and consents to have the same determined in accordance with the same rules of law as applied to actions in the supreme court against individuals or corporations, provided the claimant complies with the limitations of this article. Nothing herein contained shall be construed to affect, alter or repeal any provision of the workmen's compensation law” (Court of Claims Act § 8 [emphasis added]).

While it is uncontroverted that Court of Claims Act § 8 operates only as a waiver of sovereign immunity, it too employs language nearly identical to section 7106, treating the State as an “individual[] or corporation[]” with respect to tort liability. Such language, however, has never been considered to have the broad waiver effect plaintiffs propose.

In *Weiss v Fote* (7 NY2d 579, 586-587 [1960]), the plaintiffs asserted that the language of the Court of Claims Act waived the defense of governmental immunity. This Court held that the “individual” and “corporation” language merely denoted that the State was relinquishing its sovereign status and would be subject to lawsuits like a private party. The *Weiss* Court further noted that, “[t]his is far different from saying, however, that the Court of Claims Act places the State on a parity with private corporations or individuals *in respect of all of its defenses*.

Neither the language of the statute nor its tenor supports such a view” (*id.* at 587). We see no remarkable distinction between the language of Court of Claims Act § 8 and section 7106, and like the *Weiss* Court, conclude that there is no reasonable view that section 7106 serves to broadly waive the Port Authority’s entitlement to a governmental immunity defense.

Plaintiffs direct us to *Rittenhouse v A. Star Container Serv.* (1988 WL 112898, 1988 US Dist LEXIS 11689 [SD NY 1988]) where the United States District Court for the Southern District of New York summarily held that section 7106 waived the Port Authority’s entitlement to governmental immunity. This interpretation of New York State law is not binding on our Court, which has never before addressed the operative effect of section 7106. Further, we give no credence to plaintiffs’ argument that the “sweeping coverage” of sections 7101 and 7106 waived the Port Authority’s entitlement to governmental immunity (*Trippe v Port of N.Y. Auth.*, 14 NY2d 119, 124-125 [1964]).

In *Trippe*, this Court was asked to pass on the singular issue of whether a lawsuit arising from the taking of private property by the Port Authority was subject to the one-year limitation imposed for the commencement of a lawsuit against the Port Authority. We simply held that “the one-year limitation is mandatory as to all suits against the Port Authority” (*id.* at 123). We were not asked to address the effect of section 7106. The “sweeping coverage” language from *Trippe* referred to the Port Authority’s waiver of sovereign immunity and consent to various types of lawsuits, not an overarching, additional waiver of governmental immunity (*see id.* at 124-125). Furthermore, the singular waiver of the Port Authority’s sovereign immunity and its exposure to distinct lawsuits is evidenced by the statutory scheme of sections 7101 through 7106. For example, following the pronouncement in section 7101 of the waiver of sovereign immunity, the subsequent sections clearly specify the impact of such waiver on the Port Authority with respect to various causes of action.⁸ Therefore, contrary to plaintiffs’ contention, section 7106 can be harmonized with section 7101 and is not rendered a nullity.

Plaintiffs also refer to the legislative history of section 7106 to argue that in 1950, civic entities such as the Citizens Union

8. For example, section 7103 deals with causes of action “based on contracts executed or assumed before effective date”; section 7104 involves actions for recovery of statutory penalties; and section 7105 pertains to actions for injunctions against the Port Authority.

and the New York Board of Trade—frustrated by the commercial advantage enjoyed by the Port Authority because of its exemption from lawsuits—sought the enactment of section 7106. Plaintiffs identify some notations in the bill jacket for the statute that section 7106 is “an improvement which the Citizens Union has long advocated [and] [i]t will even be good for the Port Authority as it will remove public suspicion resulting from its present immunity” (Bill Jacket, L 1950, ch 301, at 3). However, the legislative history is consistent with the sole purpose of waiving the Port Authority’s sovereign immunity and does not support plaintiffs’ proposition. That the proponents of the legislation endeavored to remove the Port Authority’s blanket exemption from lawsuit is a markedly different ambition than restricting its entitlement to present a defense. As such, plaintiffs cannot identify any other legislative history signaling an intent to deprive the Port Authority from asserting an immunity-based defense.

In sum, there is no express indication in the plain language of section 7106 that the statute was meant to preclude the Port Authority from asserting a governmental immunity defense, or any evidence in the legislative history evincing an intent of the Legislature to effect such an overarching waiver. Clearly, section 7106 does not operate to waive the Port Authority’s entitlement to the common-law defense of governmental immunity.

IV

[2] Having concluded that sections 7101 and 7106 of the Unconsolidated Laws of New York do not waive the Port Authority’s right to assert a governmental immunity defense, we now turn to the crux of this appeal—whether the Port Authority’s provision of security at the WTC was the performance of a governmental function or was that of a landlord. The Port Authority claims that by assessing security risks, allocating police resources, and implementing safeguards at the WTC in the face of numerous possible threats, it engaged in conduct akin to a governmental, rather than a proprietary, function. Accordingly, the Port Authority asks us to apply the governmental immunity doctrine to absolve it of tortious liability for the subject terrorist attack. On the other hand, plaintiffs maintain that the provision of security within the parking garage—a commercial area that served the commercial tenants of the WTC (as well as the public) and generated income—fell within the Port Authority’s proprietary capacity. Therefore, the Port

Authority is not entitled to governmental immunity and its alleged negligence must be reviewed pursuant to the common-law duties of a landowner (*see e.g. Nallan v Helmsley-Spear, Inc.*, 50 NY2d 507 [1980]). We find plaintiffs' arguments unavailing and hold that the Port Authority acted within its governmental capacity because its security operations at the WTC constituted police protection.

The difficulty in a case such as this—where a governmental entity performs dual proprietary and governmental functions—is in ascertaining the proper capacity in which the Port Authority's actions should be assessed.⁹ In *Miller v State of New York* (62 NY2d 506, 511-512 [1984]), this Court explained that the functions of a governmental entity can be viewed along a “continuum of responsibility” ranging from the most basic proprietary obligation, like that of a private landlord, to the most complex governmental function, such as the provision of police protection.

Generally, when a governmental agency

“acts in a proprietary capacity as a landlord, it is subject to the same principles of tort law as is a private landlord . . . A governmental entity's conduct may fall along a *continuum of responsibility* to individuals and society deriving from its governmental and proprietary functions. This begins with the simplest matters directly concerning a piece of property for which the entity acting as landlord has a certain duty of care, for example, the repair of steps or the maintenance of doors in an apartment building. *The spectrum extends gradually out to more complex measures of safety and security for a greater area and populace, whereupon the actions increasingly, and at a certain point only, involve governmental functions, for example, the maintenance of general police and fire protection.* Consequently, any issue relating to the safety or security

9. While the dissent “emphasize[s] that the WTC was a predominantly commercial venture” (dissenting op at 464), this Court has previously concluded in the context of this very litigation that because the Port Authority, in operating the WTC, “shall be regarded as *performing an essential governmental function*” (*Matter of World Trade Ctr. Bombing Litig.*, 93 NY2d 1, 5 [1999], quoting McKinney's Uncons Laws of NY § 6610), it cannot be regarded as “‘just another landlord’” (*id.* at 8), as the dissent does on the current appeal.

of an individual claimant must be carefully scrutinized to determine the point along the continuum that the State's alleged negligent action falls into, either a proprietary or governmental category" (62 NY2d at 511-512 [emphasis added]).

The relevant inquiry in determining whether a governmental agency is acting within a governmental or proprietary capacity is to examine

"the specific act or omission out of which the injury is claimed to have arisen and the capacity in which that act or failure to act occurred . . . , not whether the agency involved is engaged generally in proprietary activity or is in control of the location in which the injury occurred" (*id.* at 513, quoting *Weiner v Metropolitan Transp. Auth.*, 55 NY2d 175, 182 [1982]).¹⁰

As such, in light of the fact that the varied functions of a governmental entity can be interspersed with both governmental and proprietary elements, the determination of the primary capacity under which a governmental agency was acting turns solely on the acts or omissions claimed to have caused the injury. That is, we must now consider whether the precise failures for which the Port Authority was found liable were governmental or proprietary in nature.

The gravamen of plaintiffs' complaint alleges a failure to provide adequate security for the WTC. Specifically, Supreme Court summarized the plaintiffs' claims as:

"[B]ased on . . . allegations that the Port Authority was negligent with respect to security: in failing to adopt, implement, and follow the recommendations in the security reports; in failing to restrict public access to the parking levels; in failing to have an adequate security plan; in failing to provide an electronic security system; in failing to institute a manned checkpoint at the garage; in failing to

10. The flaw in the dissent's reasoning is that it ignores the second portion of this language in *Miller* clarifying that, in determining the capacity in which the act occurred, we are not to consider whether the agency is generally performing proprietary activity or is in control of the particular location at which the injury occurred (62 NY2d at 513). Contrary to the instruction of *Miller*, the dissent concludes that the Port Authority is not entitled to governmental immunity simply because it was generally engaged in proprietary activity at the WTC.

subject vehicles to inspection and to have security signs; in failing to have adequate security personnel; in failing to employ recording devices concerning vehicles, operators, occupants, and pedestrians; and in failing to conduct studies of the possible results of a bombing of the complex” (*Matter of World Trade Ctr. Bombing Litig.*, 3 Misc 3d at 453).

While some of plaintiffs’ claims may touch upon the proprietary obligations of a landlord, when scrutinizing the purported injury-causing acts or omissions, they allude to lapses in adequately examining the risk and nature of terrorist attack and adopting specifically recommended security protocols to deter terrorist intrusion. These actions are not separable from the Port Authority’s provision of security at the WTC, as the dissent concludes; rather, they were a consequence of the Port Authority’s mobilization of police resources for the exhaustive study of the risk of terrorist attack, the policy-based planning of effective counterterrorist strategy, and the consequent allocation of such resources. Thus, the ostensible acts or omissions for which plaintiffs seek to hold the Port Authority liable stem directly from its failure to allocate police resources (*see Weiner*, 55 NY2d at 182) as these failures lie, not within the safety measures that a reasonable landowner would implement, but within security operations featuring extensive counterterrorism planning and investigation that required discretionary decision-making with respect to the strategic allocation of police resources.

“The Port Authority is and of necessity has to be a State agency” (*Whelan v Wagner*, 4 NY2d 575, 584 [1958]) and the Port Authority “shall be regarded as performing an essential governmental function in undertaking the effectuation [of the WTC], and in carrying out the provisions of law related thereto” (McKinney’s Uncons Laws of NY § 6610 [L 1962, ch 209, § 10]). Police protection, particularly, is a quintessential example of a governmental function as it involves “the provision of a governmental service to protect the public generally from external hazards and particularly to control the activities of criminal wrongdoers” (*Riss v City of New York*, 22 NY2d 579, 581 [1968]; *see also Miller*, 62 NY2d at 512; *Bass v City of New York*, 38 AD2d 407, 411 [2d Dept 1972]). But what distinguishes police protection from “a landowner[’s duty to] maintain[] his property in a reasonably safe condition in view of all the circumstances” (*Miller*, 62 NY2d at 513), is that it is “limited by the resources of the community and by a considered legislative-executive decision as to how those resources may be deployed”

(*Riss*, 22 NY2d at 581-582). Indeed, in *Weiner*, the plaintiff—who was accosted by a stranger while in a subway station—alleged that the Transit Authority negligently failed in its proprietary capacity to either shutter the train station during late night hours or adequately police the area (55 NY2d at 180). This Court concluded that the failures were not proprietary, but derived from a governmental furnishment of police protection (*id.* at 181) as the implementation, or non-implementation, of security options such as providing police surveillance or closing the station during late night hours involved the exercise of discretion by the Transit Authority with respect to the allocation of police resources (*id.* at 182). An analogous situation is presented by this appeal.

Here, the Port Authority's general operating responsibilities at the WTC, like at its other facilities, necessarily included the provision of security for the premises as it was tasked with administering security measures to counter criminal activity (see *Gasset v City of New York*, 198 AD2d 12, 12 [1st Dept 1993]). This obligation was not limited to the benefit of commercial tenants and their customers, but extended to all who would avail themselves of the WTC facility.¹¹ More significantly, the security planning was broad in scope as it also concentrated on the risk of terrorist attack, not just within the parking garage, but the entire premises. To guard against terrorism, police resources were deployed in the investigation of threats and the implementation of security measures. But, unlike the safety precautions required of every reasonable landowner, the Port Authority's security operations featured policy-based decision-making involving due consideration of pertinent factors such as the risk of harm, and the costs and benefits of pursuing a particular allocation of resources. As a result, the Port Authority placed police resources in priority areas deemed more susceptible to attack—i.e., the high-risk plaza and concourse rather than the low-risk parking garage.

A finding of police protection is supported by the record which is replete with evidence of extensive, strategic decisions and continuous security assessments. The Port Authority, which retains its own police force, constantly communicated with

11. In its report entitled, "Physical Security Review of the World Trade Center," SAIC noted that "[t]he business and tourist related activities of the multi-tenant complex result[ed] in more than 130,000 employees and visitors frequenting the WTC complex on a normal business day."

federal and state police agencies as a member of various security and anti-terrorism task forces, making it privy to sensitive, confidential intelligence and keeping it abreast of impending threats. The OSP, which included members of law enforcement, conducted internal investigations while commissioning various security reports to identify vulnerabilities and procure expert security recommendations. In response to these reports, the Port Authority's top security officials held meetings in conjunction with law enforcement to assess safety at the WTC, including the parking garage and the issue of transient parking. As a result, security was augmented and the Port Authority continued to monitor threats, taking specific responsive measures to credible warnings.

These responsibilities were more expansive and discretionary in nature than the "repair of steps or the maintenance of doors in an apartment building" deemed proprietary in *Miller* (62 NY2d at 511-512). To equate the broad scope of the Port Authority's security operations at the WTC with a proprietary responsibility belies the record. Our conclusion is also consistent with *Miller* which recognizes that "complex measures of safety and security for a greater area and populace" is more indicative of the performance of a governmental function (*id.* at 512). Accordingly, the breadth and nature of the Port Authority's responsibilities places its security-related conduct squarely within the ambit of governmental function.

Plaintiffs rely on *Miller* primarily for the proposition that this case involves proprietary responsibility. In that case, the plaintiff was a female student at SUNY Stony Brook who was attacked and raped within her dormitory by a third-party, non-student stranger who had entered the facility. Apparently, strangers and crime were not uncommon within the hallways, but the school failed to lock the dormitory's outer doors (*id.* at 509). Ultimately, this Court identified the failure to lock the outer doors as the injury-causing act or omission at issue and held that this was a proprietary function (*id.* at 513). Plaintiffs contend that the Port Authority similarly failed to undertake the safety precautions required of a reasonable landowner and thus, acted within a proprietary capacity. However, *Miller* acknowledges that greater, more intricate security measures may fall further along the governmental function portion of the continuum (*id.* at 514 ["This is not to say that further security measures relating to a particular dormitory or the entire campus might not be located so far along the continuum as to be beyond

the scope of the State's duty as a landlord and constitute actions undertaken in its police protection capacity"). Moreover, in a series of cases following *Miller*, this Court afforded governmental immunity where the conduct at issue involved the furnishing of police protection and the allocation of police resources, and not merely proprietary responsibility.

In *Bonner v City of New York* (73 NY2d 930 [1989]), the plaintiff was a New York City public school teacher who was injured inside a playground by non-students who struck him with a baseball bat. The playground had been enclosed by a chain-link fence that included two gates, one of which could not properly lock because it was off its hinges. The assailants entered the playground through the unlocked gate. The plaintiff alleged that the City, in its capacity as a landowner, negligently failed to provide adequate security by allowing the gate to remain broken (*id.* at 932). Although the failure was seemingly proprietary in nature, this Court held that the negligence at issue fell within the City's governmental function because plaintiff's station at the gate was in accordance with prior instruction given upon the school's discretionary determination regarding that aspect of its overall security system. "[T]he provision of security against physical attacks by third parties in circumstances as are presented here, is a governmental function involving policymaking regarding the nature of the risks presented, and . . . no liability arises from the performance of such a function absent a special duty of protection" (*id.*; see also *Doe v City of New York*, 67 AD3d 854, 856 [2d Dept 2009]; *Marilyn S. v City of New York*, 134 AD2d 583, 585 [2d Dept 1987], *aff'd for reasons stated therein* 73 NY2d 910, 912 [1989] [the court held that a New York City school's inadequate control and distribution of school room keys was not a proprietary responsibility, but a governmental function involving the provision of security against attacks from third parties]).

Furthermore, in *Clinger v New York City Tr. Auth.* (85 NY2d 957, 959 [1995]), this Court held that the plaintiff's allegation that the defendant Transit Authority had failed "either to close the tunnel [where she was sexually assaulted] or to properly police it" was "overwhelmingly governmental in nature." Here, plaintiffs advance similar arguments that the Port Authority failed to close the parking garage or to guard against the risks posed by the permission of transient parking. Like *Clinger*, these arguments center on the allocation of police resources. We see no discernible difference between these cases and hence, reach the same conclusion.

The leanings of this Court's precedents in *Weiner*, *Bonner* and the other progeny of *Miller*, compel us to conclude that even when proprietary functions may be involved, if the essential nature of the governmental agency's injury-causing acts or omissions was a failure to provide security involving police resources—i.e., police protection—then a governmental function was being performed. The dissent argues that “in contrast to *Bonner* and *Clinger*, the decisions made by the Port Authority were made in its capacity as a landlord involved in the quintessentially private enterprise of running a parking garage in a major commercial building complex” (dissenting op at 465). However, when viewed narrowly, *Bonner*, *Clinger* and this case all superficially present solely proprietary responsibilities—i.e., failing to lock a gate or closing a subway tunnel. The touchstone that analogizes these cases is the authority of the public entities, after reasoned consideration, to opt (or not opt) for a certain configuration of security measures involving the allocation of finite police resources. That the WTC was primarily a commercial building complex or that the bombing incident pertained, in part, to security measures within the parking garage may implicate some proprietary responsibility, but it cannot overcome the governmental tenor of the security strategy established by the Port Authority to counteract terrorist intrusion.

V

[3] The Port Authority's administration of security at the WTC involved discretionary decision-making. In *Tango v Tulevech* (61 NY2d 34, 40 [1983]), this Court held that “when official action involves the exercise of discretion, the officer is not liable for the injurious consequences of that action even if resulting from negligence or malice.” The governmental immunity doctrine recognizes that police protection is best left within the discretion of the governmental entity because, as discussed earlier, police resources are limited (*Riss*, 22 NY2d at 581-582). Given the finite nature of police resources, the mechanisms by which security and police protection is afforded cannot be dictated by the edict of a court or the retrospective conclusions of a jury. Police protection is best left in the hands of those most expert and qualified to render informed, deliberate decisions on implementing the most reasonable safeguards.

Often, the exercise of discretion with respect to the allocation of police resources involves reasoned consideration of varying

alternatives. For example, while some of the security reports commissioned by the Port Authority appear facially damaging because they identified vulnerabilities¹² within the parking garage and theorized that a car bombing could occur in the WTC garage, these reports rated the parking garage and subgrade levels as low-risk, especially in comparison to population-dense areas such as the concourse and plaza. Specifically, the OSP report and the Securacom, Inc. report (which rated the parking garage a low-risk grade of 7 out of 350) both indicated that other portions of the WTC presented higher risks of destruction to property and human life than the subgrade parking levels. Indeed, even the preliminary determination of which report to credit before implementing security measures was a decision that necessarily involved the exercise of discretion.

Plaintiffs contend that the risk of harm could have been obviated if the parking garage was closed to the public, but, as the head of OSP testified, “there were a lot of other considerations that would have to be taken into account” in making that determination. Port Authority officials credited the OSP report and concluded that security should be focused on other sectors of the WTC because the parking garage was a low-risk target. They also weighed the costs, benefits, and feasibility of various recommendations before ultimately concluding that the magnitude of the risk of harm of a terrorist attack at the concourse and plaza necessitated a greater concentration of the Port Authority’s police resources in those areas than in the comparatively low-risk parking garage. Thus, the record evinces the type of informed, policy-based decision-making that entitles a governmental agency to immunity. The calamitous and harmful consequences of the 1993 terrorist bombing do not abrogate the principle that discretionary governmental acts may not be a basis of liability (*see McLean v City of New York*, 12 NY3d 194, 203 [2009]).

Additionally, governmental immunity provides public entities with the latitude to operate without fear of legal reprisal for the injurious consequences of a particular course of action. In *Laratro v City of New York* (8 NY3d 79, 81-82 [2006]) we explained that

12. The OSP report entitled “Counter-Terrorism Perspectives: The World Trade Center,” defined “vulnerability” as “the extent to which the target would be damaged by the destructive materials that can be brought to bear against it.” Therefore, high “vulnerability” did not mean there was a greater likelihood of attack.

“[p]rotecting health and safety is one of municipal government’s most important duties. Since municipalities are run by human beings, they sometimes fail in that duty, with harmful, even catastrophic consequences. When that happens, as a general rule, the municipality is not required to pay damages to the person injured. The rationale for this rule is that the cost to municipalities of allowing recovery would be excessive; the threat of liability might deter or paralyze useful activity; and thus the net result of allowing recovery would be to make municipal governments less, not more, effective in protecting their citizens” (*id.* at 81-82; *see also Pelaez v Seide*, 2 NY3d 186, 201-202 [2004]).

Despite the injurious results of the instant terrorist attack, the policy of the governmental immunity doctrine seeks to promote the proactive, deliberate, and informed security procedures that were developed here. For example, the Port Authority solicited numerous expert opinions on the security risks and measures to be considered before allocating its police resources. While the Port Authority’s decision-making could have proceeded along different acceptable paths of action, in this case, it reached a reasoned discretionary conclusion to heighten security in sectors of the WTC considered more susceptible to harmful attack. This is the type of assiduous behavior that governmental agencies should be encouraged to undertake in rendering informed decisions that involve the balancing of burdens and risks, competing interests, and allocation of resources. To hold otherwise would create a disincentive for governmental agencies to investigate these types of security threats. And to expose the Port Authority to liability because in the clarity of hindsight its discretionary determinations resulted in harm would engender a chilling effect on government and dissuade public entities from investigating security threats and exercising their discretion, especially in a time when the risk of terrorist attack is more apparent than ever before. As this Court has emphasized previously:

“Whether absolute or qualified, [governmental] immunity reflects a value judgment that—despite injury to a member of the public—the broader interest in having government officers and employees free to exercise judgment and discretion in their official functions, unhampered by fear of second-guessing and retaliatory lawsuits, outweighs the

benefits to be had from imposing liability for that injury” (*Haddock v City of New York*, 75 NY2d 478, 484 [1990]).

VI

In sum, we are compelled to hold in favor of the Port Authority because our precedent dictates that the provision of security for the benefit of a greater populace involving the allocation of police resources constitutes the performance of a governmental function.¹³ While the instant terrorist bombing occurred within the parking garage and may focus some attention on proprietary responsibility, the Port Authority’s police resources were devoted to countering criminal incidents for the benefit of all who visited the WTC. Any failure to secure the parking garage against terrorist attack predominantly derives from a failed allocation of police resources and thus, this case is analogous to *Weiner* and the *Miller* progeny.

Further, the governmental immunity doctrine requires us to find the Port Authority insulated from tortious liability. Our courts simply cannot ignore that this policy-based doctrine is intended to afford deference to the exercise of discretion by the officials of municipalities and governmental entities, especially with respect to security measures and the deployment of limited police resources. Governmental entities cannot be expected to be absolute, infallible guarantors of public safety, but in order to encourage them to engage in the affirmative conduct of diligently investigating security vulnerabilities and implementing appropriate safeguards, they must be provided with the latitude to render those critical decisions without threat of legal repercussion.

The judgment appealed from and the order of the Appellate Division brought up for review should be reversed, with costs, and the complaint of plaintiff Antonio Ruiz dismissed.

CIPARICK, J. (dissenting). On February 26, 1993, terrorists detonated a powerful car bomb in the subterranean parking area of the World Trade Center (WTC). Our Court has been charged with determining whether defendant the Port Authority of New York and New Jersey (Port Authority), which owned and operated the WTC, can be liable for negligently failing to

13. Because of our disposition of this appeal, we do not reach, and express no opinion, on any of the other issues raised by the parties and decided by the courts below.

provide adequate security in the subterranean garage. I conclude that the Port Authority's status as a government entity does not shield it from liability because the alleged negligence stemmed from proprietary activities taken in its capacity as a commercial landlord. I therefore respectfully dissent. And since the evidence presented at trial was sufficient to support the jury's finding of liability and the Port Authority's challenge to the jury's apportionment of fault is beyond this Court's further review power, I would affirm the order of the Appellate Division sustaining the verdict.

I.

The Port Authority is an interstate agency formed in 1921 by New York and New Jersey to "better co-ordinat[e] . . . the terminal, transportation and other facilities of commerce in, about and through the port of New York" (McKinney's Uncons Laws of NY § 6401 [L 1921, ch 154, § 1]; *see also Matter of World Trade Ctr. Bombing Litig.*, 93 NY2d 1, 5 [1999] [*WTC Litig.*]). It has authority over the New York City metropolitan area's three major airports, interstate bridges and tunnels, bus terminals, ports, the Port Authority Trans-Hudson (PATH) rail system and various other facilities (*see WTC Litig.*, 93 NY2d at 5; *Matter of World Trade Ctr. Bombing Litig.*, 3 Misc 3d 440, 443 [Sup Ct, NY County 2004] [*WTC Litig.*]).

In 1962, the State Legislature authorized the creation of the WTC as part of a development project that would "unify[, at a single, centrally located site, . . . the principal New York terminal of the . . . interurban electric railway and a facility of commerce" (McKinney's Uncons Laws of NY § 6601 [7] [L 1962, ch 209, § 1]). The project's purpose was to "preserve and protect the position of the port of New York as the nation's leading gateway for world commerce" (McKinney's Uncons Laws of NY § 6601 [5]) and "preserv[e] . . . the economic well-being of the northern New Jersey-New York metropolitan area" (McKinney's Uncons Laws of NY § 6601 [9]). The WTC itself was the "portion of [this project] constituting a facility of commerce," and was defined to include any part not "devoted primarily to railroad functions, activities or services or to functions, activities or services for railroad passengers, notwithstanding that [parts of it might] not be devoted to purposes of the port development project other than the production of incidental revenue" (McKinney's Uncons Laws of NY § 6602 [L 1962, ch 209, § 2, as amended]). Construction began in 1966 and the first tenants arrived in 1970.

The WTC complex eventually consisted of seven buildings on 16 acres—the two iconic office towers, a third large office tower, two smaller office buildings, a United States Custom House and a hotel. The complex contained 12 million square feet of rentable office space, and over 50 retail stores, restaurants and other services. Most of the structures, including the twin towers, were situated around a central plaza. Underneath the plaza was a concourse with shops and restaurants. Below the concourse were six sublevels containing, among other things, tenant storage, truck loading docks, maintenance facilities, the PATH terminal, communication systems, emergency generators, power lines and tenant and public parking.

The sublevel parking facility had 1,600 tenant parking spaces and 400 spaces for the public. The public accessed parking on the B-2 level through two vehicle entry ramps and exited by two other ramps. The entrance ramps were not manned, although there was a ticket office operated by a parking manager. A separate truck entrance had a gate and guard post.

The WTC was managed by the Port Authority's World Trade Department, a management team that maintained security personnel separate from, and not responsible to, the Port Authority Police. The civilian security detail monitored the complex, reported accidents and intruders to the police and provided directions to the public. The Port Authority Police also maintained a presence at the WTC, including a command post on one of the sublevels, and were responsible for public safety, criminal investigations and accidents. None of the civilian security guards were assigned to the subgrade area. Only a single Port Authority Police Officer patrolled the subgrade areas.

As indicated by the majority, from the mid-1980s until the attack in 1993, the Port Authority commissioned a series of studies to assess potential security risks at the WTC, including the risk of terrorist attacks. It appears that these types of security reviews were not uncommon for commercial landlords—the record indicates that independent security consultants were hired by other large private commercial landlords, such as the operators of the Fox Plaza in Los Angeles and the Prudential Center in Boston, to make similar risk assessments during the same period. In the course of these security reviews, the Port Authority was repeatedly warned by internal and external security experts that this open, relatively unguarded parking area posed a security risk. As early as 1984, a report prepared at the Port Authority Police Superintendent's request described the WTC

as “a prime target for . . . terrorists,” and that an attack of this nature could have “catastrophic” results. In the summer of 1984, the Port Authority’s executive director traveled to England and discussed anti-terrorism strategy with London’s Metropolitan Police—Scotland Yard. On his return, he circulated a memo noting that “[t]hey are appalled to hear we had transient parking directly underneath the towers at a facility like the [WTC].”

That same year, the Port Authority created the Office for Special Planning (OSP), a combined civilian and police unit in the Port Authority’s Public Safety Department, to assess and respond to the threat of terrorism at its facilities. In a preliminary “Study Brief,” OSP observed that “[g]iven the recent truck bombings in Lebanon, it is important to consider the potential impact of such an attack on the WTC. A strategically positioned truck or van could cause extensive structural damage to the [WTC] as well as a large number of casualties.”

While the OSP was working on its WTC report, the Port Authority hired a consultant, Charles Schnabolk, to prepare a report on the WTC’s vulnerability to terrorism. His 1985 report noted that a bombing attempt at the WTC was “probable,” and that the facility was “highly vulnerable through the parking lot.” It found that “[t]he parking area need[ed] better surveillance” and recommended the installation of security cameras and ground mirrors. It also suggested that trunks and the undersides of vehicles entering the garage be inspected for explosives.

Later that year, the OSP issued its WTC counterterrorism report. It warned that the WTC complex had the “classic elements” of a terrorist target, particularly because of its great symbolic value, and that “[p]arking for 2,000 vehicles in the underground areas presents an enormous opportunity . . . for terrorists to park an explosive filled vehicle that could affect vulnerable areas.” It described the WTC’s public parking as “a definite security risk in that explosives may be readily concealed within a vehicle and parked within the core of the complex” and concluded that there was “ample justification to take decisive target hardening measures in this area.” The report recommended eliminating public parking altogether. It also made less severe “compromise” suggestions, including posting guards at garage entrances, subjecting vehicles to random inspection and having the Port Authority Police frequently patrol the public parking area with explosive-detecting dogs.

Port Authority leadership declined to adopt these recommendations, citing concerns about inconvenience to tenants, the constitutionality of random searches and the potential loss of revenue.

In 1986, the Port Authority hired another security consultant, Science Applications International Corporation (SAIC), to evaluate and prioritize WTC security risks. That report determined that the WTC support systems were vulnerable to an attack from the vehicle ramps in the subgrade parking area: “[a] well-placed vehicle bomb . . . would likely damage at least half of the support services (fresh water, steam, cooling water, electrical, and telephone) to the WTC users.” The report described a possible “attack scenario” in which the detonations of a truck bomb on one of the garage ramps could cause extreme damage. It therefore suggested installing barriers across the vehicle ramps, eliminating public parking and conducting searches of vehicles prior to granting them access to the parking area. The report recognized that these recommendations were “very costly” in terms of “operational impact.” The Port Authority rejected these recommendations.

In 1991, concerned about domestic terrorism in the wake of the Gulf War, the Port Authority hired yet another consulting firm, Burns and Roe Securacom, Inc., to evaluate the WTC’s exposure to terrorist activities. According to a Securacom employee’s trial testimony, the report’s authors emphasized that the parking garage created “a potential” for a vehicle bombing and expressed this concern at various meetings with the Port Authority. The Port Authority took no significant action to address the risks associated with the garage that had been repeatedly identified by its own security experts.¹

These long-standing concerns regarding the parking garage’s vulnerability, tragically, proved well-founded when the terrorists drove a rented van filled with explosives into the public parking area of the B-2 level of the garage, parked it on one of the garage ramps, lit the fuse and left the facility. The bomb detonated approximately 10 minutes later, killing six people, injuring many others and impairing services to tenants. Some of those injuries gave rise to this complex litigation in which plaintiffs alleged

1. In contrast, during the early 1990s, the operators of several other large privately-owned commercial complexes, having been similarly alerted to risks presented by unmanned underground parking facilities, had accepted the recommendations of security experts to ameliorate those risks by restricting or eliminating public access to their underground facilities.

that the Port Authority had failed to maintain the garage in a reasonably secure condition since it had, among other things, failed to adopt the various expert security recommendations; failed to restrict public access to the garage; failed to subject vehicles to inspection; and failed to have a manned checkpoint at the garage entrance with adequate security personnel or adequate electronic surveillance.

Following discovery, the Port Authority moved for summary judgment dismissing plaintiffs' claims. Supreme Court denied the motion, finding that there were triable issues of fact. Relevant to this controversy, the court rejected the argument that, based on language included in statutes waiving sovereign immunity (McKinney's Uncons Laws §§ 7101, 7106 [L 1950, ch 301, §§ 1, 6]), the Port Authority had also waived the right to assert a governmental immunity defense. That being said, the court determined that the Port Authority owed a duty to plaintiffs arising out of its obligations as a commercial landlord and could not rely on the shield of governmental immunity because its alleged negligence in "failing to close or provide adequate security in the WTC parking garage . . . involve[d] proprietary functions" (*WTC Litig.*, 3 Misc 3d at 460). However, "[t]o the extent that any of plaintiffs' allegations . . . could be construed as the failure to have more Port Authority Police patrolling"—a purely governmental function—the court dismissed those allegations (*id.* at 466). Supreme Court also rejected the Port Authority's argument that the bombing was unforeseeable as a matter of law, noting that foreseeability is generally within the province of the trier of fact. The Appellate Division unanimously "affirmed for the reasons stated" by Supreme Court (*Matter of World Trade Ctr. Bombing Litig.*, 13 AD3d 66 [1st Dept 2004] [*WTC Litig.*]).

At the subsequent liability trial, the jury found that the Port Authority had been "negligent by not maintaining the . . . garage in a reasonably safe condition," and that this negligence was a "substantial factor" in "permitting" the bombing, apportioning fault between the Port Authority and the bombers (2007 NY Slip Op 34467[U], *3, 4 [2007]). Supreme Court denied the Port Authority's motion to set aside the liability verdict and held that plaintiffs' evidence was legally sufficient to permit the jury to find liability. It also concluded that the jury charge and verdict sheet did not erroneously instruct the jury to apply a reasonable care, rather than a "minimal security measures," standard, and declined to disturb the apportionment of fault.

The Appellate Division affirmed, reaffirming its prior conclusion that the Port Authority was not entitled to governmental immunity and holding that there was legally sufficient evidence that the Port Authority breached its duty as a landlord to protect those on its premises from third-party criminal conduct. Further, that court declined to exercise its authority to set aside the jury's apportionment of fault as against the weight of the evidence (*see Nash v Port Auth. of N.Y. & N.J.*, 51 AD3d 337, 344-353 [1st Dept 2008] [*WTC Litig.*]).

Following the Appellate Division's affirmance of the liability ruling, one of the plaintiffs involved in the liability trial—plaintiff Antonio Ruiz—proceeded to trial on the issue of damages. Supreme Court entered judgment in favor of Ruiz for a total amount of \$824,100.06 and we granted the Port Authority leave to appeal from the judgment (15 NY3d 708 [2010]), bringing up for review the prior Appellate Division order rejecting the Port Authority's governmental immunity defense.

II.

The Port Authority first contends that any negligent security decisions it made were inherently governmental thereby shielding it from liability under the governmental immunity doctrine. The majority agrees that governmental immunity precludes recovery here but I believe the majority has misconstrued our jurisprudence in this arena. Plaintiffs are not claiming that the Port Authority failed to protect the public generally, but rather that it failed to meet discrete obligations it owed its tenants and invitees as the landlord of a commercial office complex.

As an initial matter, there is no dispute that the Port Authority is a government entity and is therefore entitled to sovereign immunity except to the extent waived by statute (*see Trippe v Port of N.Y. Auth.*, 14 NY2d 119, 123 [1964]). There is also no dispute that this sovereign immunity has been statutorily waived. Moreover, I concur with the majority's conclusion that McKinney's Unconsolidated Laws of NY §§ 7101 and 7106 only “evinced [] a waiver of sovereign immunity” and “that the statute[s] were not meant to effectuate a concomitant, wholesale waiver of governmental immunity” (majority op at 443). Indeed, it is clear that the governmental immunity the Port Authority currently asserts here is doctrinally separate from the sovereign immunity waived by sections 7101 and 7106 (*see Riss v City of New York*, 22 NY2d 579, 581-582 [1968]). Technically speaking, it

is not immunity, but a defense that State entities may assert “to avoid paying damages for some tortious conduct because, as a matter of policy, the courts have foreclosed liability” (*Brown v State of New York*, 89 NY2d 172, 192 [1996]).

I do not, however, share the majority’s view that the Port Authority is entitled to the defense of governmental immunity under the facts of this case as the acts and omissions complained of relating to the failure to provide adequate security in the public parking garage arise from activities traditionally carried out by private commercial landlords. Under the governmental immunity doctrine, an agency of government is not liable for the negligent performance of a governmental function that involves the exercise of discretionary acts. A narrow exception applies when the negligence relates to a ministerial act, but only if “there existed ‘a special duty to the injured person, in contrast to a general duty owed to the public’ ” (*McLean v City of New York*, 12 NY3d 194, 199 [2009], quoting *Garrett v Holiday Inns*, 58 NY2d 253, 261 [1983]; see *Lauer v City of New York*, 95 NY2d 95 [2000]; *Tango v Tulevech*, 61 NY2d 34 [1983]).

This immunity is available only if the State entity is performing a government function. “[W]hen the State acts in a proprietary capacity as a landlord, it is subject to the same principles of tort law as is a private landlord” (*Miller v State of New York*, 62 NY2d 506, 511 [1984]). By assuming a traditionally private role, the State assumes individualized and specific responsibilities that are distinct from its broad obligations to the populace as a whole (see *Riss*, 22 NY2d at 581). Even when acting as a landlord, however, a “[p]ublic entit[y] remain[s] immune from negligence claims arising out of the performance of [its] governmental functions, including police protection” (*Miller*, 62 NY2d at 510; see also *Price v New York City Hous. Auth.*, 92 NY2d 553, 557-558 [1998]; *Weiner v Metropolitan Transp. Auth.*, 55 NY2d 175, 180-181 [1982]). In other words, a State entity often has a “dual role” as sovereign and landlord over property it controls (*Miller*, 62 NY2d at 511). “[T]he State may act in its proprietary capacity as a landlord by virtue of its ownership of and control over a public facility and at the same time act in its governmental capacity by providing police protection to maintain law and order at that facility” (*Sebastian v State of New York*, 93 NY2d 790, 793-794 [1999]). Thus, “a governmental entity which is a landlord is distinguishable from a private

landlord, which would remain liable for the negligent performance of a security force it retained for the safety of its tenants” (*Miller*, 62 NY2d at 513).

Although some security measures are part of the State’s obligation to provide police protection to the general public, a governmental entity may assume additional and separate obligations as a landlord. The difficulty lies in determining where to draw the line between police protection and proprietary security measures (*see id.* at 511). Acknowledging the fact-specific nature of this distinction, we have declined to sharply delineate the scope of a State entity’s proprietary responsibility for security. Instead, in *Miller*, we established that “[a] governmental entity’s conduct may fall along a continuum of responsibility to individuals and society deriving from its governmental and proprietary functions” (*id.* at 511-512). At one end of the continuum are simple security measures “directly concerning a piece of property for which the entity acting as landlord has a certain duty of care, for example, the repair of steps or the maintenance of doors in an apartment building” (*id.* at 512). From there, “[t]he spectrum extends gradually out to more complex measures of safety and security for a greater area and populace, whereupon the actions increasingly, and at a certain point only, involve governmental functions, for example, the maintenance of general police and fire protection” (*id.*).

When determining whether an action is governmental or proprietary, we look to “the specific act or omission out of which the injury is claimed to have arisen and the capacity in which that act or failure to act occurred” (*id.* at 513, quoting *Weiner*, 55 NY2d at 182). The *Miller* continuum therefore considers both the nature of the action at issue—ranging from the simplicity of a door lock to the complexity of police patrol—and the extent to which provision of that type of security measure is traditionally a governmental concern.

In *Miller*, we noted that “[o]wnership and care relating to buildings with tenants has traditionally been carried on through private enterprise . . . and thus constitutes a proprietary function when performed by the State” (62 NY2d at 513). The action for which the State was found liable—a failure to lock the outer doors of a dormitory—was straightforward and site-specific, thereby falling within this proprietary duty as it involved simple “physical security devices” (*id.* at 508) for the protection of a limited number of people towards whom the

state had assumed the private role of landlord (*see id.* at 509-510).²

In considering where on the *Miller* continuum the Port Authority's conduct in this case falls, it is important to emphasize that the WTC was a predominantly commercial venture. Indeed, it is described by the governing statute as "a facility of commerce" (McKinney's Uncons Laws of NY § 6602 [L 1962, ch 209, § 2, as amended]). It contained 12 million square feet of rentable office space, which was almost totally occupied by private tenants, together with over 50 shops, restaurants and other services. Parking was available in the garage for the purpose of accommodating these tenants and the existence of public parking for visitors and potential customers naturally increased the retail value of the commercial space. Moreover, the Port Authority's security decisions regarding the garage were made by civilian managers, not law enforcement or security authorities, and stemmed from commercial concerns such as a desire to accommodate tenants and avoid inconveniencing visitors. In short, the Port Authority engaged in decision-making as a proprietary landlord when it decided not to adopt additional garage security measures.

In contrast to the approach taken by the majority, in my view it is essential to consider the precise failures for which the jury found the Port Authority liable. These are relatively common, site-specific measures, such as the failure to install barriers to the garage entrance, to provide a manned ticket booth, to install adequate electronic surveillance devices, or to restrict garage access to tenants only. In fact, Supreme Court explicitly dismissed plaintiffs' claims "[t]o the extent that any of plaintiffs' allegations . . . could be construed as the failure to have more Port Authority Police patrolling the WTC garage" (*WTC Litig.*, 3 Misc 3d at 466). Supreme Court correctly decided, and the Appellate Division appropriately affirmed, that although the Port Authority could not be liable for decisions it made regarding the deployment of its police personnel, it could be liable for failing to take other basic security measures that would

2. In contrast, in *Bonner v City of New York* (73 NY2d 930 [1989]), we absolved the City for failing to have a working lock on a schoolyard gate. Obviously, the different outcomes in these cases cannot be attributed to the difference between a locking door and a locking gate. The key difference was that one involved a municipality's security decisions in running a school system—a traditionally governmental function—while the other involved the State acting in a traditionally private capacity as a dormitory landlord (*see id.* at 933).

be expected of any private landlord of a large commercial building.

The majority misreads my analysis, contending that I believe “the Port Authority is not entitled to governmental immunity simply because it was generally engaged in proprietary activity at the WTC” (majority op at 447 n 10). Rather, I actually agree with the majority that there are actions for which the Port Authority could not be liable at the WTC. For example, it could not be liable for how it chose to deploy the Port Authority Police. The Port Authority argues that the omissions for which it was found liable involved police protection, and it analogizes this case to others in which we have found that government agencies are immune from liability for failing to provide better security in a public school yard (*see Bonner*, 73 NY2d at 932-933) or failing to close or provide better security in a New York City subway access tunnel (*see Clinger v New York City Tr. Auth.*, 85 NY2d 957 [1995]). But the Port Authority was not found liable for negligently allocating police resources, but rather for its failure to take other reasonable measures to secure a commercial parking garage at a particularly vulnerable location. Indeed, *Miller* commands that we consider “the capacity in which [the negligent] act or failure to act occurred” (*id.* at 513). And here, in contrast to *Bonner* and *Clinger*, the decisions made by the Port Authority were made in its capacity as a landlord involved in the quintessentially private enterprise of running a parking garage in a major commercial building complex that was operated for profit. As a result, the Port Authority’s governmental immunity with respect to garage security was far narrower than its immunity in making security decisions for other property and facilities where it was engaged in more traditional governmental functions, like airports or bridges.

To be sure, the *Miller* continuum lacks the clarity of a bright-line rule and there will inevitably be difficulty in categorizing cases. Traditional governmental enterprises are often interspersed with traditionally private ones—airports, for example, have ample commercial space.³ But that is precisely why, as we emphasized in *Miller*, “any issue relating to the safety or security of an individual claimant must be carefully scrutinized to

3. It bears noting that the presence of commercial establishments at airports or terminals is incidental to the operation of those transportation hubs, generally a governmental function. Here, in contrast, the commercial activity was the central purpose of the WTC.

determine the point along the continuum that the State's alleged negligent action falls into, either a proprietary or governmental category" (62 NY2d at 512). Based on the specific facts presented in this case, the acts and omissions for which the Port Authority was found liable fall on the proprietary end of the spectrum. Simply put, the alleged security deficiencies did not, as the Port Authority and the majority maintain, involve governmental functions or arise out of a pure "exercise of discretion . . . with respect to [overall] security measures and the deployment of limited police resources" (majority op at 455). I therefore cannot join the majority holding that the Port Authority was absolutely immune from liability.

III.

Because the majority dismisses the claims based on its analysis of the governmental immunity issue, it has not addressed the Port Authority's other contentions. However, since I believe this case was properly submitted to the jury, I must consider the Port Authority's alternative arguments, including the contention that, even if not entitled to governmental immunity, reversal is nonetheless warranted either because the jury made its finding of negligence by applying an improper standard or the Port Authority satisfied its obligations as a proprietary landlord as a matter of law.

It is well settled that a proprietary landlord has an "obligation . . . to take reasonable steps to minimize the foreseeable danger [posed by criminal activity] to those unwary souls who might venture onto the premises" (*Nallan v Helmsley-Spear, Inc.*, 50 NY2d 507, 518 [1980]). This is a "natural corollary" to the landlord's "common-law duty to make the public areas of his property reasonably safe for those who might enter" (*id.* at 519). For a danger to be foreseeable, a landowner must "know[] or [have] reason to know from past experience 'that there is a likelihood of conduct on the part of third persons which is likely to endanger the safety of the visitor' " (*id.* [ellipsis omitted], quoting Restatement [Second] of Torts § 344). If a danger is foreseeable, a landlord has a duty to employ reasonable measures to protect visitors from such risks, including danger posed by third parties. Of course, "foreseeability is generally an issue for the fact finder" (*Bell v Board of Educ. of City of N.Y.*, 90 NY2d 944, 946 [1997]). Concomitantly, "[w]hat safety precautions may reasonably be required of a landowner is almost always a question of fact for the jury" (*Nallan*, 50 NY2d at 520).

n 8). In determining what is reasonable, the jury may consider “such variables as the seriousness of the risk and the cost of the various available safety measures” (*id.*).

Here, there was an adequate basis for the jury to conclude that an act of terrorism involving a truck or car bombing in the subterranean parking garage was foreseeable. There was ample evidence at trial demonstrating that the Port Authority was repeatedly warned by its consultants regarding its exposure to the risks associated with the detonation of a vehicle bomb in the parking facility. Experts warned that the “parking lots [were] . . . highly susceptible to car bombings”; that there was “ample justification to take decisive target hardening measures” to prevent such a bombing; that such an attack was “probable”; and that the WTC, the premier symbol of American enterprise, was “highly vulnerable through the parking lot.” Thus, it was the jury’s prerogative to weigh the evidence and determine whether the Port Authority had adequate notice that such an incident was foreseeable and its conclusion was rational based on the evidence presented.

Furthermore, the jury found the Port Authority negligent under our well established tort standards. Supreme Court charged the jury that “negligence requires both a reasonable, foreseeable danger to another and conduct that is unreasonable in proportion to that danger.” The court added that “the owner of a building such as the Port Authority has a duty to use reasonable care to keep the premises in a reasonably safe condition for the protection of all persons whose presence is reasonably foreseeable.” Although the court did not use the “minimal precautions” language referenced in some of our cases, this did not impair the propriety of the instruction as the court effectively communicated the landowner’s duty to reasonably and proportionally respond to foreseeable danger.

And I also believe that the verdict survives the Port Authority’s sufficiency challenge. Undoubtedly, there was a record basis for the jury’s determination that the Port Authority’s response to a potential terrorist threat was less than reasonable, particularly in light of “the seriousness of the risk and the cost of the various available safety measures” (*Nallan*, 50 NY2d at 520 n 8). Needless to say, the scope of the risk of harm here was enormous. As the OSP Study Brief warned, a bomb in the garage could “cause extensive structural damage . . . as well as a large number of casualties.” The jury could have rationally determined that most of the security measures that the Port

Authority declined to take, such as improving electronic surveillance, erecting barriers or having a manned ticket booth, would have cost little to implement compared to the consequences of the potential danger.

Finally, although there is a challenge to the manner in which the jury apportioned fault between the Port Authority and the terrorists, it does not afford this Court a basis for reversal. While there have been occasions when the Appellate Divisions have altered a jury's apportionment of fault as against the weight of the evidence (see *Stevens v New York City Tr. Auth.*, 19 AD3d 583, 585 [2d Dept 2005]; *Roseboro v New York City Tr. Auth.*, 10 AD3d 524, 526 [1st Dept 2004]), this Court is limited to considering questions of law, and thus lacks the authority to conduct a weight of the evidence review. Therefore, we cannot alter a jury's fault assessment on that basis.

From a moral standpoint, there is certainly no comparison between the reprehensible conduct of the terrorists and the negligent omissions attributed to the Port Authority. But the jury's task was not to assign moral blame. While, on this record, reasonable minds could certainly differ concerning the resolution of many of the factual issues presented to the jury, including the apportionment of fault, the jury's fault assessment was not so clearly unsupported by any rational inferences as to be subject to reversal as a matter of law.

In sum, I would affirm in this case because the Port Authority's failure to implement discrete and basic security measures in the public parking area of the commercial building complex arose from the exercise of its proprietary—rather than governmental—obligations. Treating the Port Authority as a private landlord, there was sufficient evidence at trial to support the jury's finding of liability and its apportionment of fault. Accordingly, such determination lies beyond our further review.

Judges READ, PIGOTT and MERCURE⁴ concur with Judge JONES; Judge CIPARICK dissents and votes to affirm in a separate opinion in which Judges GRAFFEO and PRUDENTI⁴ concur; Chief Judge LIPPMAN and Judge SMITH taking no part.

Judgment appealed from and order of the Appellate Division brought up for review reversed, etc.

4. Designated pursuant to NY Constitution, article VI, § 2.

[957 NE2d 255, 932 NYS2d 765]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ALEX-
ANDER G. CRAMPE, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v BLAKE
WINGATE, Appellant.

Argued September 15, 2011; decided October 13, 2011

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, entered March 9, 2010. The Appellate Term affirmed a judgment of the Justice Court of the Town of Riverhead, Suffolk County (Allen M. Smith, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a controlled substance in the seventh degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 2, 2010. The Appellate Division modified, on the law and as a matter of discretion in the interest of justice, a judgment of the Supreme Court, Queens County (Mark H. Spires, J., at trial; Joseph A. Grosso, J., at suppression hearing), which had convicted defendant, upon a jury verdict, of criminal possession of stolen property in the fourth degree and criminal possession of a controlled substance in the seventh degree. The modification consisted of vacating the conviction of criminal possession of stolen property in the fourth degree, vacating the sentence imposed thereon, and dismissing that count of the indictment. The Appellate Division affirmed the judgment as modified.

People v Crampe, 26 Misc 3d 144(A), 2010 NY Slip Op 50421(U), reversed.

People v Wingate, 70 AD3d 734, modified.

HEADNOTES

Crimes — Right to Representation Pro Se — Sufficiency of “Searching Inquiry” — Form Order

1. The town justice in defendant’s criminal prosecution did not make the requisite searching inquiry to insure that defendant was aware of the drawbacks of self-representation before allowing defendant to waive his right

to counsel and conduct his defense pro se. When a defendant asserts the right to proceed pro se, the court is obligated to undertake a “searching inquiry” to ascertain whether defendant’s waiver of the right to counsel is knowing, voluntary and intelligent. A “searching inquiry” is designed to insure that the defendant is aware of the dangers and disadvantages of proceeding without counsel, and encompasses consideration of a defendant’s pedigree since such factors as age, level of education, occupation and previous exposure to the legal system may bear on a waiver’s validity. Here, the town justice read aloud a form order after asking defendant if he intended to proceed pro se, and defendant replied “I guess[] so.” The form order only pointed out that proceeding pro se brought with it the danger of conviction—a risk that also exists when the accused is represented by counsel—and that criminal trial and proceedings are complicated. Accordingly, defendant was entitled to a new trial.

Crimes — Right to Representation Pro Se — Sufficiency of “Searching Inquiry” — Sufficient Colloquy at Trial Incapable of Curing Suppression Court’s Deficient Colloquy

2. In a felony prosecution, the judge at defendant’s suppression hearing did not make the requisite searching inquiry to insure that defendant was aware of the drawbacks of self-representation before allowing defendant to waive his right to counsel and conduct his defense pro se. When a defendant asserts the right to proceed pro se, the court is obligated to undertake a “searching inquiry” to ascertain whether defendant’s waiver of the right to counsel is knowing, voluntary and intelligent. Here, the colloquy conducted by the suppression court did not constitute a sufficient “searching inquiry” since it did not direct defendant’s attention to the dangers and disadvantages of self-representation beyond the risk of a felony conviction. Although the trial court later engaged in an extensive colloquy sufficient to show that defendant’s decision to defend himself at trial was knowing, voluntary and intelligent, including questions regarding defendant’s age, occupation, competency in English, schooling, work history and knowledge of the criminal justice system, the trial court’s warnings of the perils of proceeding pro se were incapable of retrospectively curing the suppression court’s error. While the record as a whole may be considered by a reviewing court, the critical consideration was defendant’s knowledge at the point in time when he first waived his right to counsel, and defendant’s waiver at the suppression hearing was not knowing, intelligent and voluntary. Accordingly, defendant was entitled to a new suppression hearing, and should he prevail at the hearing, a new trial should be held.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Criminal Law §§ 1154, 1158; AM JUR 2d, Evidence § 660.

CARMODY-WAIT 2d, Right to Counsel §§ 184:80, 184:86–184:89.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 11.5.

NY JUR 2d, Criminal Law: Procedure §§ 840, 841, 846, 1610, 3647.

ANNOTATION REFERENCE

Accused’s right to represent himself in state criminal proceeding—modern state cases. 98 ALR3d 13.

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POINTS OF COUNSEL

Legal Aid Society, Appeals Bureau, Riverhead (Adrienne Wallace, Robert C. Mitchell and Alfred J. Cicale of counsel), for appellant in the first above-entitled action. In view of the totality of the circumstances bearing on defendant’s capability of representing himself, it was fatal error for the trial judge to permit defendant to proceed pro se; moreover, such error was compounded by the court’s appointment of standby counsel whose presence and function were virtually unutilized, particularly at critical stages of the trial. (Faretta v California, 422 US 806; People v Rosen, 81 NY2d 237; People v McIntyre, 36 NY2d 10; People v Davis, 49 NY2d 114; People v Schoolfield, 196 AD2d 111.)

Thomas J. Spota, District Attorney, Riverhead (Marcia R. Kucera of counsel), for respondent in the first above-entitled action. The trial court properly gave effect to appellant’s knowingly, voluntarily and intelligently executed pretrial waiver of his right to counsel. (People v Arroyo, 98 NY2d 101; People v McIntyre, 36 NY2d 10; Faretta v California, 422 US 806; People v Slaughter, 78 NY2d 485; Adams v United States ex rel. McCann, 317 US 269; People v Kinchen, 60 NY2d 772; People v Olivo, 52 NY2d 309; People v Schoolfield, 196 AD2d 111, 83 NY2d 915; People v Wilder, 275 AD2d 268, 95 NY2d 893; People v Glover, 90 AD2d 776.)

Warren S. Landau, New York City, and Lynn W.L. Fahey for appellant in the second above-entitled action. I. The court violated appellant’s right to counsel when it allowed him to represent himself, at his pretrial hearing and for months thereafter, without advising him of the risks of self-representation or the importance of having counsel. (Iowa v Tovar, 541 US 77; Faretta v California, 422 US 806; Gideon v Wainwright, 372 US 335; Johnson v Zerbst, 304 US 458; People v Arroyo, 98 NY2d 101; People v Harris, 77 NY2d 434; People v Bing, 76 NY2d 331; People v Davis, 75 NY2d 517; People v McIntyre, 36 NY2d 10; Martinez v Court of Appeal of Cal., Fourth Appellate Dist., 528 US 152.) II. The court violated appellant’s due process right to present a defense, the prescribed order of trial, and the

fundamental mode of criminal proceedings when it required him to decide whether he would put on a defense case before the end of the People's case and without speaking with his investigator. (*Chambers v Mississippi*, 410 US 284; *People v Mehmedi*, 69 NY2d 759; *People v Fujah*, 182 AD2d 774; *People v Whipple*, 97 NY2d 1; *People v Olsen*, 34 NY2d 349; *People v Fama*, 212 AD2d 542; *People v Ventura*, 35 NY2d 654; *Brooks v Tennessee*, 406 US 605; *People v Rosen*, 81 NY2d 237; *McKaskle v Wiggins*, 465 US 168.)

Richard A. Brown, District Attorney, Kew Gardens (John F. McGoldrick and John M. Castellano of counsel), for respondent in the second above-entitled action. I. The Appellate Division correctly held that defendant's exercise of his right to proceed pro se was knowing and intelligent. (*Iowa v Tovar*, 541 US 77; *Johnson v Zerbst*, 304 US 458; *Faretta v California*, 422 US 806; *Patterson v Illinois*, 487 US 285; *Dallio v Spitzer*, 343 F3d 553; *United States v Sandles*, 23 F3d 1121; *United States v Orey*, 263 F3d 669; *People v Sawyer*, 57 NY2d 12; *People v Smith*, 92 NY2d 516; *People v Arroyo*, 98 NY2d 101.) II. The Appellate Division properly rejected defendant's assertion that the trial court erroneously altered the order of the trial, and defendant's claim is unpreserved. (*People v Riback*, 13 NY3d 416; *People v Gray*, 86 NY2d 10; *People v Agramonte*, 87 NY2d 765; *People v Gajadhar*, 9 NY3d 438; *People v Brown*, 7 NY3d 880; *People v Washington*, 64 NY2d 961; *People v Garcia*, 69 NY2d 903; *People v Santos*, 86 NY2d 869; *People v Medina*, 53 NY2d 951; *People v Kisoona*, 8 NY3d 129.) III. Defendant's pro se supplemental claims are largely unreviewable and completely without merit. (*People v Gray*, 86 NY2d 10; *People v Smith*, 138 Misc 2d 531; *People v Shelton*, 136 Misc 2d 644; *People v Ifill*, 137 Misc 2d 14; *People v Mason*, 136 Misc 2d 968; *United States v Ross*, 719 F2d 615; *People v Burnett*, 245 AD2d 460; *People v Hawkins*, 11 NY3d 484; *People v Diaz*, 15 NY3d 764; *People v Scarborough*, 49 NY2d 364.)

OPINION OF THE COURT

READ, J.

The common question in these appeals is whether the courts fulfilled their responsibility to make a "searching inquiry" before allowing defendants to give up the right to a lawyer and conduct their defenses pro se (see *People v Arroyo*, 98 NY2d 101, 103 [2002]; *People v McIntyre*, 36 NY2d 10, 17 [1974]; see also *Faretta v California*, 422 US 806, 835 [1975]; *Iowa v Tovar*, 541

US 77, 88-89 [2004]). In both cases, we conclude that the inquiries were deficient because defendants were not adequately advised of the dangers and disadvantages of self-representation.

I.

Crampe

Defendant Alexander Crampe was arrested and charged with seventh-degree criminal possession of a controlled substance (Penal Law § 220.03) for possessing a vial of phencyclidine, or PCP. When he appeared in Justice Court, defendant acknowledged that he had not retained an attorney to represent him. The town justice then asked defendant if he intended to proceed pro se, and defendant replied “I guess[] so, your Honor.”

This exchange prompted the judge to hand defendant a pre-trial order meant to apply to the six cases then pending against him. The form order, which the judge reviewed with defendant by reading it aloud to him, stated that defendant’s failure to accept the referral to the Legal Aid Society would be taken as a waiver of his right to assigned counsel and his election to proceed without counsel; that he should be prepared to proceed to trial on the next scheduled adjourn date; and that his failure to appear with counsel would “be deemed an acknowledgment of the advice and warnings of this Court relative to the right of counsel.”

The form order continued as follows:

“The defendant has the absolute right to have counsel at all times during this proceeding. The defendant has a further constitutional right to represent himself in a criminal proceeding.

“The defendant acknowledges and understands the risk of representing himself and the failure to cooperate with counsel. Among those risks is the risk that he could be convicted of a crime, and he may be sentenced to jail if found guilty.

“The defendant acknowledges that a criminal trial and proceedings associated with a trial are difficult to understand and complex in nature.

“If you elect to represent yourself by failure to cooperate with the Legal Aid Society and retain counsel, you acknowledge that you are under no distress, no threats or promises have been made to

you, and you are not suffering from any mental defect, and your election to represent yourself is not affected by drugs or alcohol.

“You are further advised that you have a constitutional right to be present at a trial of these charges before this Court. This right may be waived by your conduct. Such conduct must be a knowing, voluntary, intelligent waiver of this right. Acknowledgment of this right is by your signature hereon this date.

“Further, your signature is taken as evidence that you are not under any distress or compulsion, and you are ready for trial on August 21, 2008 at 9:30 [A.M.], or any adjourn date thereafter without justifiable excuse, shall be deemed a waiver of your right to be present at the trial of these charges, and we will proceed in your absence at that time.”

Defendant signed the order, and the case was adjourned for trial. The judge cautioned him as he left: “Be here with a lawyer or without a lawyer, as you choose. I advise you to get a lawyer, sir.” Defendant did not heed the judge’s advice, however, and so went to trial pro se, with standby counsel. The jury returned a verdict of guilty, and the judge sentenced defendant to six months of incarceration.

Upon defendant’s appeal, the Appellate Term unanimously affirmed, concluding that “Justice Court adequately warned defendant of the importance of legal representation and the risks associated with proceeding pro se” (26 Misc 3d 144[A], 2010 NY Slip Op 50421[U] [2010]). The court added that it was “apparent[] from defendant’s prior arrest and conviction record” that he was “not unfamiliar with the operation of the criminal justice system.” A Judge of this Court granted defendant leave to appeal (15 NY3d 748 [2010]).

Wingate

Defendant Blake Wingate was arrested and subsequently indicted for fourth-degree criminal possession of stolen property (Penal Law § 165.45 [5]) and seventh-degree criminal possession of a controlled substance (Penal Law § 220.03) after the police found him sitting in a stolen van and recovered a crack pipe from his pocket.

When defendant informed his assigned counsel that he might “go to the grievance committee,” the attorney successfully

moved to be relieved. Supreme Court appointed a second attorney to represent defendant, who asked if there were “any way” he could represent himself with this new counsel assisting him. The judge instructed him to consult with his new attorney first. But at the next calendar call, defendant’s second assigned counsel informed the court that defendant did not want her to represent him “in any way, shape or form,” and “[o]n top of that, he [had] sent correspondence indicating his displeasure” and “[t]he lines of communication [were] irreparably broken.” She requested to be relieved.

Defendant complained to the judge that his attorney “was trying to talk [him] out of [his] . . . defense.” The judge asked defendant if he wanted to represent himself at the suppression hearing, and defendant responded that he did, but “need[ed] co-counsel” and had previously represented himself with a lawyer’s assistance. The judge advised defendant that he was not entitled to hybrid representation, and again inquired as to what he wanted to do. Defendant replied “Same as before. Request to represent myself.” At that point, the judge engaged in the following exchange with defendant:

“THE COURT: You understand that you’re facing felony charges, sir?

“THE DEFENDANT: Yes.

“THE COURT: You understand that you face jail time if convicted of the top charge in this indictment?

“THE DEFENDANT: Yes.

“THE COURT: Do you understand that the right to represent yourself is not an absolute right? If you can’t conduct yourself in a proper manner in the courtroom, you would forfeit the right to pro se representation. Do you understand that?

“THE DEFENDANT: Yes.

“THE COURT: Sir, notwithstanding any of the risks that you face representing yourself, do you still wish to go forward and defend yourself in this case? That’s your constitutional right. Do you understand that?

“THE DEFENDANT: Yes.

“THE COURT: Okay. I will allow you to represent yourself.”

A suppression hearing was held before a judicial hearing officer later the same day. The hearing officer recommended denial of defendant's motion to suppress physical evidence (the crack pipe) and statements that he made to the police, and referred the case back to Supreme Court for determination. Supreme Court adopted the hearing officer's findings of fact and conclusions of law, and denied defendant's motion.

The case went to trial five months later before another Supreme Court Justice, who explored with defendant whether he had "considered legal representation." This judge first confirmed with defendant that he had turned down an offer of a minimum sentence of 1½ to 3 years; warned him that he faced a sentence of 15 years to life if convicted and sentenced as a discretionary persistent felon; and stressed that, "based on [his] many years of experience," it was his

"good faith belief that it is a mistake to represent yourself. Areas of law can be complicated and a person, not even another lawyer [should] engage in self-representation. So I strongly urge you to get a lawyer, and if you cannot afford one, a lawyer will be appointed for you. That is my honest heartfelt belief. Because of the exposure that you may be facing in terms of incarceration, should you lose and the intricacies involved in self-representation and legal matters, you should seriously get a lawyer to represent you. Do you understand that?"

Defendant responded that he understood.

After reiterating that defendant "could be facing a long time in jail, up to life," the trial judge cautioned that it was "a big mistake to go it alone." The judge then asked defendant if he had any legal training, and defendant replied that he had been studying law for the last 10 or 12 years "in the street and different libraries" and was "not a paralegal [but] just received legal research certificates." When the judge inquired if he was a college graduate, defendant responded that he held a two-year associate's degree in labor studies from Empire State College, and was "a law librarian, library clerk in the facility" where he worked.

Again, the trial judge "strongly urge[d]" defendant "with all the sincerity that [he could] muster that [defendant] must" get a lawyer. As the judge put it, "I say that because obviously the decision is yours, but I use the term 'must' get a lawyer. You are

facing too much in this case. Once it's over, it's over. So you should seriously consider that." Before sending the case to the trial-ready part for disposition of defendant's pro se speedy trial motion, the judge reiterated that defendant should think twice before representing himself:

"THE COURT: You think about what I told you. This case may be disposed of. You may be back here or not. Whatever you do, you may seriously think about what I am telling you. I can't tell you in [any] stronger terms[:] get a lawyer. Don't play with this.

"THE DEFENDANT: I requested an assistant.

"THE COURT: Listen to me. Get a lawyer. Don't play with this. You will end up in jail for the rest of your life and that's ridiculous.

"THE DEFENDANT: I appreciate it.

"THE COURT: You insist that a lawyer represent you."

After defendant's speedy trial motion was denied and his case was recalled for trial, the trial judge "reiterate[d]" that he had "indicated to [defendant] before the matter was referred back [to the trial-ready part] that [he] should seriously consider getting a lawyer." When the judge asked defendant whether he had "done that," defendant replied "Yes, I have considered it, your Honor." He explained that "the reason why I am persistent now is because I had attorneys. I am going this by myself. I appreciate what you said. I asked for an attorney to assist me, but I am not going to let them take control because that's why I am persistent." At that point, the judge said there was "[n]o reason for any further explanation," and appointed standby counsel to assist defendant, as he had requested.

Stating that there were "a few questions" that he had to pose before he might allow defendant to represent himself, the trial judge next carried out an extensive dialogue with him, filling 20 pages of transcript. The judge first looked into defendant's age and competency in English; he explored whether defendant was taking or had ever taken medications that might compromise his understanding; he confirmed that defendant did not suffer from any mental or physical condition that might impair his ability to follow what was happening in court. The judge inquired if defendant had been afforded "sufficient time to reflect on [his] decision to represent [him]self." When defendant responded affirmatively, the judge asked "And having

reflected on this decision, you are now desirous of continuing to represent yourself?" Defendant answered "Yes."

The trial judge then reviewed defendant's schooling, work history and knowledge of the criminal justice system, eliciting that defendant had achieved an "A" average at Empire State College; had worked as an electrician, a cook, and a legal clerk; was not a stranger to the criminal justice system; had experienced some success representing himself in this case in the past; and had appeared in court with a lawyer, although he ultimately did not get along with either of his two assigned attorneys. The judge followed up by establishing that defendant had never represented himself at trial, and examining whether he knew anything about the rules of evidence. (He ultimately announced that he was "convinced" that defendant knew next to nothing about this topic.) The judge looked at whether defendant had been coerced or threatened or in any way influenced to request to represent himself.

The trial judge probed defendant's comprehension of the charges against him, the plea offer that had been made (and that he would have "minimal time" left if he accepted it) and the length of the sentence he might receive if convicted. In response to the judge's questions, defendant claimed to understand his lawyers' explanations of court procedures and legal issues related to the charges. When asked to explain to the judge exactly why he wished to waive his right to counsel, defendant asserted that, otherwise, he would not know about "things . . . going on between [his attorney] and the DA," wanted to "eliminate the middle person" and believed he was "better off just representing [him]self."

The trial judge pursued whether defendant knew the functions of the court and the jury, and defendant answered that the "jury would be the triers of the facts" and would decide the case "based on the facts . . . presented . . . and the instructions." When the judge called upon defendant to explain his role and the prosecutor's role, defendant responded that the

"prosecutor's role is . . . to seek justice not just convictions. Her duty is to present her case . . . and to do it fairly. My job is to protect, preserve the rights of myself . . . , and to present the same information or evidence that I have to contradict what is being stated by the witnesses . . . that [the] prosecution presents."

The trial judge observed to defendant that

“[t]he law recognizes the right of a person to defend himself or herself. However, the law also recognizes such a choice may not be a wise one. Let me alert you now to some of the [dangers] of self-representation so that you will be aware of them before you finally decide whether you wish to give up your right to be represented by a lawyer. Please listen to me carefully. Even the most intelligent and educated layman has small and sometimes no skills in the field of law. Left without the assistance of counsel, he or she may be put on trial without a proper charge and convicted upon incomplete[], irrelevant, or inadmissible evidence. Often the layman lacks the skill [or] knowledge to adequately prepare his or her defense, even though he may have a good one. Without counsel, though an accused may not be guilty, he faces the danger of conviction because he does not know how to adequately protect his legal rights. Lawyers are both generally college and law school trained before they are permitted to take the bar examination. Only those who pass the bar are licensed to practice law. The number who become trial lawyers [is] small. In order to adequately represent a client, a trial lawyer needs a comprehensive knowledge of the rules of evidence, which I believe you do not possess, as well as an understanding of the art of jury selection and the art of cross-examination . . . [M]ost non-lawyers do not have such education and training. Did you understand what I just said?”

Defendant answered “Yes.”

The trial judge then asked defendant if he understood that almost all pro se representations are unsuccessful; that by choosing to represent himself he was not entitled to a lawyer, although the judge would appoint a lawyer to “sit next to [him] and give [him] legal advice”; that he would be held to the same legal standards as an attorney; that he would “receive no advantage or assistance from [the] court” because “[e]ven in those cases where [he] show[ed] a lack of complete knowledge of how to represent [himself], [the court couldn’t] jump in the middle” and help him out; that when defendant did “something wrong,” the judge was going to “call [him] on it” and he had to

“live with that”; that he risked not being able to understand legal terms of art used in court proceedings, the “case names used and what they stand for” and potentially applicable rules or theories of criminal law; that he would be subject to the same rules of evidence as an attorney and chanced not being able to introduce evidence because of his ignorance of these rules; that his examination of witnesses would be held to the same standards as those expected of an attorney; that he would have to make his own opening and closing statements to the jury; that the assistant district attorney presenting the case against him was trained in the law and was familiar with criminal law principles, and would not “go ‘easy’ on” him because he was representing himself; that by waiving his right to counsel he was giving up the “benefit of [an] attorney’s ability, training, and past experiences in speaking to a jury”; and that he would be expected to “conduct [himself] appropriately in the courtroom.” Defendant indicated that he understood all of these things, and “[w]ithout a doubt” still wished to represent himself.

The trial judge elaborated on his admonition to defendant that “self-representation [was] not a license to abuse” the courtroom’s “dignity and decorum,” cautioning him that if he did not conduct himself properly he might lose his right to be present at trial. Again, defendant said that he understood. With that representation, the judge pronounced himself satisfied that he had asked defendant the “relevant questions to determine if [he understood] the consequence[s] and the pitfalls of self-representation.”

The case went to trial, and the jury convicted defendant of the charged crimes. Supreme Court subsequently sentenced him to prison terms of 2 to 4 years on the stolen property charge, and one year on the drug possession charge, to run concurrently.

The Appellate Division unanimously modified by vacating the conviction of possession of stolen property and dismissing that count of the indictment, and otherwise affirmed (70 AD3d 734 [2d Dept 2010]). Although defendant’s legal sufficiency claim was unpreserved, the court reached it in the interest of justice and determined that his presence in the van was too brief to establish the element of possession. The court further held that, although the suppression court did not conduct a proper waiver colloquy before allowing defendant to represent himself at the pretrial suppression hearing, “the record as a whole demonstrate[d] that the defendant made a knowing, voluntary, and

intelligent decision to waive his right to counsel and proceed pro se” (*id.* at 735). A Judge of this Court granted defendant leave to appeal (15 NY3d 780 [2010]).

II.

“[B]efore proceeding pro se a defendant must make a knowing, voluntary and intelligent waiver of the right to counsel” (*Arroyo*, 98 NY2d at 103, citing *People v Slaughter*, 78 NY2d 485, 491 [1991] [in order for a defendant to “forego() the benefits associated with the right to counsel . . . the court must be satisfied that (the defendant’s waiver) was unequivocal, voluntary and intelligent” (citations omitted)] and *People v Vivenzio*, 62 NY2d 775, 776 [1984] [“Regardless of his lack of expertise and the rashness of his choice, defendant could choose to waive counsel if he did so knowingly and voluntarily”]). As we emphasized in *McIntyre*—the foundation stone of our self-representation jurisprudence under article I, § 6 of the New York State Constitution—“[i]mplicit in a defendant’s assertion of his right to defend *pro se* is the decision to disavow the constitutional right to counsel. For such a waiver to be effective, the trial court must be satisfied that it has been made competently, intelligently and voluntarily” (36 NY2d at 17).

To ascertain whether a waiver is knowing, voluntary and intelligent, a court must undertake a “searching inquiry” designed to “insur[e] that the defendant [is] aware of the dangers and disadvantages of proceeding without counsel” (*People v Providence*, 2 NY3d 579, 582 [2004] [internal quotation marks and citation omitted]; see also *People v Sawyer*, 57 NY2d 12, 21 [1982], *rearg dismissed* 57 NY2d 776 [1982], *cert denied* 459 US 1178 [1983] [to ascertain the validity of a waiver, “the court should undertake a sufficiently searching inquiry of the defendant to be reasonably certain that the dangers and disadvantages of giving up the fundamental right to counsel have been impressed on the defendant” (internal quotation marks omitted)]; *People v Kaltenbach*, 60 NY2d 797, 799 [1983] [court did not satisfy the duty to make a searching inquiry by declaring that defendant was entitled to legal representation, was facing a serious charge and, if convicted, might receive a year’s imprisonment because this “precautionary inquiry (did not) adequately warn defendant of the risks inherent in representing himself or apprise him of the value of counsel” (internal quotation marks omitted)]; *Slaughter*, 78 NY2d at 491 [suppression court failed to undertake sufficiently searching inquiry to be

reasonably certain that defendant understood the dangers and disadvantages of proceeding *pro se*]; *People v Smith*, 92 NY2d 516, 520 [1998] [“To pass muster, a searching inquiry must reflect record evidence that defendants know what they are doing and that choices are exercised with eyes open” (internal quotation marks omitted)]; *Arroyo*, 98 NY2d at 103 [“In determining whether a waiver (is knowing, voluntary and intelligent), the court should undertake a searching inquiry of defendant” (internal quotation marks omitted)]. Additionally, a searching inquiry encompasses consideration of a defendant’s pedigree since such factors as age, level of education, occupation and previous exposure to the legal system may bear on a waiver’s validity (see *Providence*, 2 NY3d at 583; *Arroyo*, 98 NY2d at 104; *Smith*, 92 NY2d at 520).

“Although we have eschewed application of any rigid formula and endorsed the use of a nonformalistic, flexible inquiry, the court’s record exploration of the issue ‘must accomplish the goals of adequately warning a defendant of the risks inherent in proceeding *pro se*, and apprising a defendant of the singular importance of the lawyer in the adversarial system of adjudication’ ” (*Arroyo*, 98 NY2d at 104, quoting *Smith*, 92 NY2d at 520 [citing *Kaltenbach*, 60 NY2d at 799]; see also *Providence*, 2 NY3d at 583).

Finally, we have held that “a reviewing court may look to the whole record, not simply to the waiver colloquy, in order to determine if a defendant effectively waived counsel” (*id.*).

[1] In *Crampe*, the town justice did not make the requisite searching inquiry to insure that defendant was aware of the drawbacks of self-representation before allowing him to go down that path. The form that he read aloud only pointed out that proceeding *pro se* brought with it the danger of conviction—a risk that also exists when the accused is represented by counsel—and that criminal trials and proceedings are complicated (*cf. Vivenzio*, 62 NY2d at 776 [waiver colloquy sufficient where, among other things, “(t)he court warned defendant forcefully that he did not have the training or knowledge to defend himself, that others who had done so had been unsuccessful and that if he insisted upon appearing *pro se* he would be held to the same standards of procedure as would an attorney”]).

[2] The colloquy conducted by the suppression court in *Wingate* was deficient for the same reason—the court’s inquiry did

not direct defendant's attention to the dangers and disadvantages of self-representation beyond the risk of a felony conviction. Conversely, the trial court engaged in an extensive colloquy with defendant, drawing his attention to the many challenges that he would face if he proceeded pro se rather than avail himself of legal representation. As a result, there is a sufficient showing that defendant's decision to defend himself *at trial* was knowing, voluntary and intelligent. And certainly, it may logically be inferred from this record that nothing the suppression court might have said would have dissuaded defendant from representing himself at the pretrial hearing: he was impervious to the trial court's later repeated and thorough explanations of the perils of defending himself at trial and the importance of counsel, and was dissatisfied with the attorneys assigned to represent him and, ultimately, with standby counsel as well. This may be what the Appellate Division meant when it decided that the "record *as a whole*" demonstrated a valid waiver of counsel and election to proceed pro se (70 AD3d at 735 [emphasis added]), citing *Providence*. There, we looked to the record as a whole to establish that the judge was already familiar with the defendant's pedigree information when he engaged in the waiver colloquy. While the record as a whole may also be considered when a court assesses whether the accused is aware of the dangers of self-representation, we agree with defendant that this situation is very different. Simply put, the trial court's warnings were incapable of retrospectively "curing" the suppression court's error. The critical consideration is defendant's knowledge at the point in time when he first waived his right to counsel, and his waiver then was not knowing, intelligent and voluntary.

It remains as true today as it was in 1974 that "the multifaceted problems generated by a motion to proceed *pro se* [make] the task of the trial court . . . exceedingly difficult" (*McIntyre*, 36 NY2d at 14). A checklist might be helpful as a memory aid, but there is simply no one-size-fits-all format for a searching inquiry. And while the inquiry conducted by the trial judge in *Wingate* was exemplary, we do not mean to suggest that the colloquy there has created a template to be followed in every instance where a defendant seeks to proceed pro se.

As the United States Supreme Court suggested in *Tovar*, the scope of a searching inquiry turns on the context in which the right to counsel is waived. Justice Ginsburg explained that in *Patterson v Illinois* (487 US 285 [1988]), the Court "elaborated

on ‘the dangers and disadvantages of self-representation’ to which *Faretta* referred” by observing that at trial, “ ‘counsel is required to help even the most gifted layman adhere to the rules of procedure and evidence, comprehend the subtleties of *voir dire*, examine and cross-examine witnesses effectively . . . , object to improper prosecution questions, and much more’ ” (*Tovar*, 541 US at 89, quoting *Patterson* at 300 n 13); and that warnings of the pitfalls of going to trial without counsel must therefore be “ ‘rigorous[ly]’ conveyed . . . [while] at earlier stages of the criminal process, a less searching or formal colloquy may suffice” (*id.*, quoting *Patterson* at 298). Thus,

“*Patterson* describes a ‘pragmatic approach to the waiver question,’ one that asks ‘*what purposes a lawyer can serve at the particular stage of the proceedings in question, and what assistance he could provide to an accused at that stage,*’ in order ‘to determine the scope of the Sixth Amendment right to counsel, and the type of warnings and procedures that should be required before a waiver of that right will be recognized’ ” (*id.* at 90 [emphasis added], quoting *Patterson* at 298).*

Accordingly, in *People v Crampe*, the order of the Appellate Term should be reversed and a new trial ordered; and in *People v Wingate*, the order of the Appellate Division should be modified by remitting to Supreme Court for a new suppression hearing. In the event defendant prevails at the suppression hearing, a new trial should be held; alternatively, in the event the People prevail, the judgment should be amended to reflect that result

* *Tovar* resolved a conflict among federal courts of appeals concerning the proper application and interpretation of the *Faretta* decision. Specifically, some courts had interpreted *Faretta* to require a trial judge to conduct a searching inquiry or special hearing to insure that the accused understood the dangers and disadvantages of defending himself before allowing self-representation (essentially, the same way we interpreted the right-to-counsel provision in the state constitution), while other courts took the position that no searching inquiry or special hearing was required in order for an accused’s exercise of the right of self-representation to be considered knowing and intelligent (see *McDowell v United States*, 484 US 980, 980-981 [1987] [two-Justice dissent from the denial of a writ of certiorari]). For example, before *Tovar* the Second Circuit did not take *Faretta* to mean that a searching inquiry was constitutionally mandated (see *Dallio v Spitzer*, 343 F3d 553, 564-565 [2d Cir 2003] [court concludes in a habeas corpus proceeding that “neither *Faretta*’s holding nor its *dictum* clearly establishes that explicit warnings about the dangers and disadvantages of self-representation are a minimum constitutional prerequisite to every valid waiver of the right to counsel,” although such warnings are desirable to insure knowing and intelligent waivers]).

(*Slaughter*, 78 NY2d at 493; *People v Millan*, 69 NY2d 514, 521-522 [1987]). As so modified, the order in *People v Wingate* should be affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH, FIGOTT and JONES concur.

In *People v Crampe*: Order reversed, etc.

In *People v Wingate*: Order modified, etc.

[957 NE2d 1133, 933 NYS2d 631]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ISIDRO RODRIGUEZ, Appellant.

Argued September 14, 2011; decided October 18, 2011

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 9, 2010. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Edward J. McLaughlin, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a forged instrument in the second degree (four counts).

People v Rodriguez, 71 AD3d 450, affirmed.

HEADNOTE

Crimes — Possession of Forged Instrument — Intent — Sufficiency of Evidence

In a prosecution for criminal possession of a forged instrument in the second degree (Penal Law § 170.25), which requires possession of a specified forged instrument with an “intent to defraud, deceive or injure another,” there was legally sufficient circumstantial evidence of defendant’s intent to defraud, deceive or injure. Direct evidence of intent is unnecessary where there is legally sufficient circumstantial evidence of intent. Here, defendant had a motive to assume a false identity because he was aware that the police were searching for him. That three of the four false identification documents found in defendant’s possession bore his photograph provided a sound basis for the inference that defendant actively participated in manufacturing them. Furthermore, the jury could rationally have determined that the items contained photographs of defendant because he posed for the photographs for the purpose of making the documents and that he subsequently made the documents, assisted in the creation of the documents, or directed someone else to make them. Also, defendant was observed, upon arrest, wearing a jacket which appeared to be the same jacket he was seen wearing in photographs found in his possession. From that it was permissible for the jury to infer that defendant was recently involved in the production of the false documents and that he retained the intent to defraud at the time of his arrest. Moreover, defendant carried the false documents separately from his true identification which led to the inference that he wanted to keep the two separate so that he could quickly and easily produce one or the other, as needed. Finally, defendant sent a letter to the court requesting to plead guilty: while the letter did not include an express admission of intent, the jury could have determined that defendant had the requisite intent and was admitting as much by requesting to plead guilty.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Forgery §§ 9, 31, 51, 53, 60.

McKINNEY's, Penal Law § 170.25.

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1144–1147, 1149, 1154.

ANNOTATION REFERENCE

Evidence of intent to defraud in state forgery prosecution.
108 ALR5th 593.

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Database: NY-ORCS

Query: possession /4 forged /2 instrument /4 second /p
sufficien! /4 evidence /p intent

POINTS OF COUNSEL

Weil Gotshal & Manges, LLP, New York City (*Evert J. Christensen, Jr.*, *Seth Goodchild* and *Robert V. Spake, Jr.*, of counsel), and *Office of the Appellate Defender* (*Richard M. Greenberg* and *Eunice C. Lee* of counsel) for appellant. Isidro Rodriguez's conviction should be reversed as legally insufficient because the People failed to prove an intent to use the forged identification documents found in his possession to defraud, deceive or injure. (*People v Contes*, 60 NY2d 620; *Jackson v Virginia*, 443 US 307; *People v Patterson*, 39 NY2d 288; *People v Stevens*, 109 NY 159; *People v Bailey*, 13 NY3d 67; *People v Brunson*, 66 AD3d 594; *People v Bracey*, 41 NY2d 296; *People v Dallas*, 46 AD3d 489.)

Cyrus R. Vance, Jr., *District Attorney*, New York City (*Deborah L. Morse* and *Gina Mignola* of counsel), for respondent. The decision of the Appellate Division fully comported with the governing legal principles as set out by this Court, and there was legally sufficient trial proof of the requisite fraudulent intent. (*People v Bailey*, 13 NY3d 67; *People v Cabey*, 85 NY2d 417; *Matter of Kevin B.*, 128 AD2d 63; *People v McDonald*, 88 NY2d 281; *People v Caraballo*, 138 AD2d 725; *People v Sanchez*, 86 NY2d 27; *People v Bracey*, 41 NY2d 296; *United States of Am. v MacPherson*, 424 F3d 183; *Mallette v Scully*, 752 F2d 26; *People v Dallas*, 46 AD3d 489.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The question before the Court is whether the evidence in this case was legally sufficient to convict the defendant of criminal possession of a forged instrument in the second degree. We hold that it was.

In March 2007, as part of a criminal investigation, New York City Police Detective Steven Goetz interviewed a complainant who provided him with the name, photograph, and phone number of a possible suspect whom she identified as Devine Perez. Goetz called the phone number and spoke to a person who identified himself as Devine Perez and who told Goetz that he was in Hartford, Connecticut and would be unable to come in to meet with the detective. Later that month, Goetz received information suggestive of the possible suspect's whereabouts. On March 19, 2007, while driving to that location, the detective spotted a man on the street whom he recognized to be the person in the photograph given to him by the complainant. Detective Goetz exited his vehicle and arrested the man, defendant Isidro Rodriguez. During the course of a search incident to arrest,¹ Detective Goetz found the following items: a forged New York State driver's license bearing defendant's photograph, a forged New York State non-driver identification card bearing defendant's photograph, a forged Social Security card, a forged permanent resident card ("green card") bearing defendant's photograph, four loose ID-sized photographs of defendant, and identification documents indicating defendant's true identity. Defendant's genuine identification documents were found in a wallet in his pocket, while the false documents, all in the name of Louis Amadou,² were also found in his pocket but were not in his wallet. Upon arrest, Detective Goetz observed that defendant was wearing a tan corduroy suit jacket that defendant also appeared to be wearing in the photographs found in his possession.

Following a jury trial, defendant was convicted of four counts of criminal possession of a forged instrument in the second degree. The Appellate Division affirmed defendant's conviction (71 AD3d 450 [1st Dept 2010]), holding that there was sufficient circumstantial evidence from which the jury could rationally have inferred that defendant possessed the forged documents with intent to defraud, deceive, or injure, as required to sustain a conviction for criminal possession of a forged instrument as defined by Penal Law § 170.25. A Judge of this Court granted defendant leave to appeal (15 NY3d 777 [2010]), and we now affirm.

Evidence is sufficient to sustain a conviction where " 'there is any valid line of reasoning and permissible inferences which

1. This search is not challenged on this appeal.

2. The first name of the alias was misspelled on one of the documents.

could lead a rational person to the conclusion reached by the jury on the basis of the evidence at trial' ” (*People v Mateo*, 2 NY3d 383, 409 [2004] [citations omitted]). “A person is guilty of criminal possession of a forged instrument in the second degree when, with knowledge that it is forged and with intent to defraud, deceive or injure another, he utters or possesses any forged instrument of a kind specified in section 170.10” (Penal Law § 170.25). Forged government identification cards fall under one category of documents specified in Penal Law § 170.10.³

Because intent is an “ ‘invisible operation of [the] mind’ ” (*People v Samuels*, 99 NY2d 20, 24 [2002] [citation omitted]), direct evidence is rarely available (in the absence of an admission) and is unnecessary where there is legally sufficient circumstantial evidence of intent (*see People v Bracey*, 41 NY2d 296, 301 [1977] [noting that “intent can also ‘be inferred from the defendant’s conduct and the surrounding circumstances’ ” (citation omitted)]).

Defendant, relying on *People v Bailey* (13 NY3d 67 [2009]), argues that the evidence of intent was insufficient in this case because he was arrested on a public street and as such there were no surrounding circumstances from which the inference of intent could permissibly be drawn.

In *Bailey*, the defendant was observed by police officers for a period of time before his arrest entering and exiting several fast food restaurants. During that time he never engaged in any conduct evincing intent to use the counterfeit bills in his possession to defraud anyone, nor were there any circumstances surrounding his arrest which suggested that he had the intent to do anything other than steal from the patrons of the restaurants he visited. In reversing the conviction for criminal possession of a forged instrument in the first degree, we made clear that intent cannot be presumed from knowing possession alone unless there is a statute establishing such a presumption (*see id.* at 72).

In contrast to *Bailey*, here there are several factors which, taken together, form a sufficient basis for the permissible inference that defendant acted with the requisite intent. Here, defendant had a motive to assume a false identity because he was

3. Penal Law § 170.10 (3) references a forged instrument that purports to be “[a] written instrument officially issued or created by a public office, public servant or governmental instrumentality.”

aware that the police were searching for him. Furthermore, the fact that three of the four documents found in defendant's possession bear his photograph provides a sound basis for the inference that defendant actively participated in manufacturing the false identification documents (*compare People v Brunson*, 66 AD3d 594 [1st Dept 2009]). Upon inspecting the forged documents to which defendant's photograph was affixed, the jury could rationally have determined that the items contained photographs of defendant because he posed for the photographs for the purpose of making the documents and that he subsequently made the documents, assisted in the creation of the documents, or directed someone else to make them. Also, defendant was observed, upon arrest, wearing a tan corduroy suit jacket which appears to be the same suit jacket he is seen wearing in the loose photographs found in his possession. From this it was permissible for the jury to infer that defendant was recently involved in the production of the false documents and that he retained the intent to defraud at the time of his arrest.

Moreover, defendant carried the false documents separately from his true identification which leads to the inference that he wanted to keep the two separate so that he could quickly and easily produce one or the other, as needed. Finally, defendant sent a letter to the court requesting to plead guilty. While the letter did not include an express admission of intent, the jury could have evaluated the evidence to be supportive of a finding that defendant had the requisite intent and was admitting as much by requesting to plead guilty.

A conviction for criminal possession of a forged instrument in the second degree requires both knowing possession and intent. Penal Law § 170.25 does not, however, require use or attempted use as an element of the crime (a person is guilty under the statute if he or she utters *or possesses* a forged instrument, so long as that person also has the requisite intent). Nor does Penal Law § 170.25 require that the contemplated use be imminent. In sum, there are cases in which, in the absence of use or attempted use, and in the absence of a statutory presumption of intent,⁴ there is nevertheless legally sufficient circumstantial evidence of intent to defraud, deceive, or injure. This is such a case. The evidence adduced at trial established more than

4. The only presumption of intent set forth in Penal Law article 170 pertains to the possession of forged credit or debit cards (*see* Penal Law § 170.27).

defendant's knowing possession of four forged instruments. It provided a solid basis for the jury to infer that defendant had the requisite intent to defraud, deceive, or injure and for it to conclude rationally that defendant was guilty beyond a reasonable doubt.

Accordingly, the order of the Appellate Division should be affirmed.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order affirmed.

[958 NE2d 72, 934 NYS2d 38]

ALEXANDER LIFSON, as Executor of IRENE LIFSON, Deceased, Appellant, v CITY OF SYRACUSE, Defendant, and DEREK KLINK, Respondent.

Argued September 8, 2011; decided October 13, 2011

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered April 30, 2010. The Appellate Division order, insofar as appealed from, affirmed a judgment of the Supreme Court, Onondaga County (Brian F. DeJoseph, J.), entered after a jury trial, which had dismissed the action as against defendant Derek Klink and apportioned liability of defendant City of Syracuse at 15% and the comparative fault of plaintiff's decedent at 85%.

Lifson v City of Syracuse, 72 AD3d 1523, reversed.

HEADNOTES

Negligence — Emergency Doctrine — Driver Temporarily Blinded by Sun Glare

1. In an action alleging that defendant motorist was negligent in striking plaintiff's decedent as she was crossing a city street, the trial court erred in instructing the jury on the emergency doctrine in defendant's favor based on defendant's claim that the accident occurred while he was temporarily blinded by sun glare as he was making a turn. Under the emergency doctrine, an actor faced with a sudden and unexpected circumstance, not of the actor's own making, which leaves little time for thought, deliberation or consideration may not be negligent if the actions taken are reasonable and prudent in the emergency context. While defendant did not drive that particular route often, he was familiar with the general area since he worked nearby and was about to turn to the west at a time of day that the sun would be setting. It is well known, and therefore cannot be considered a sudden and unexpected circumstance, that the sun can interfere with one's vision as it nears the horizon at sunset, particularly when one is heading west. This is not to say that sun glare can never generate an emergency situation but, under the circumstances presented, there was no reasonable view of the evidence under which sun glare constituted a qualifying emergency.

Trial — Harmless and Prejudicial Error — Improper Jury Instruction

2. In an action alleging that defendant motorist was negligent in striking plaintiff's decedent as she was crossing a city street, the trial court's improper emergency doctrine instruction to the jury, based on defendant's claim that the accident occurred while he was temporarily blinded by sun glare as he was making a turn, was not harmless error. The improper charge permitted the jury to consider defendant's action under an extremely favorable standard and could have affected the outcome of the trial.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 654, 658, 662, 673; AM JUR 2d, Automobiles and Highway Traffic § 1081.
CARMODY-WAIT 2d, Charge to Jury §§ 57:16, 57:17;
CARMODY-WAIT 2d, Appeals in General §§ 70:428, 70:437, 70:438.
NY JUR 2d, Appellate Review §§ 754, 760, 764; NY JUR 2d, Automobiles and Other Vehicles § 1000; NY JUR 2d, Trial §§ 421, 611.
NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 2:14.
PROSSER AND KEETON, TORTS (5th ed) § 29.

ANNOTATION REFERENCE

Modern status of sudden emergency doctrine. 10 ALR5th 680.

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Database: NY-ORCS

Query: emergency /4 instruction charge & sun /3 glare

POINTS OF COUNSEL

Longstreet & Berry, LLP, Syracuse (*Michael J. Longstreet* of counsel), for appellant. I. The trial court erred in charging the discredited sun glare excuse under the guise of an emergency. (*Caristo v Sanzone*, 96 NY2d 172; *Rivera v New York City Tr. Auth.*, 77 NY2d 322; *Kuci v Manhattan & Bronx Surface Tr. Operating Auth.*, 88 NY2d 923; *Ferrer v Harris*, 55 NY2d 285; *Martin v Herzog*, 228 NY 164; *Jacobellis v New York State Thruway Auth.*, 51 AD3d 976; *Romero v Metropolitan Suburban Bus Auth.*, 25 AD3d 683; *Barton v Youmans*, 13 AD3d 1151; *Wenz v Shafer*, 293 AD2d 742; *Roviello v Schoolman Transp. Sys., Inc.*, 10 AD3d 356.) II. The refusal to grant the emergency charge in favor of Irene Lifson was erroneous. (*Raimondo v Harding*, 41 AD2d 62; *Scott v State of New York*, 27 AD2d 961; *Wolfson v Darnell*, 15 AD2d 516, 12 NY2d 819; *Gajjar v Shah*, 31 AD3d 377; *Madden v Mullet*, 211 AD2d 623; *Flanel v Magli-one Italian Ices*, 266 AD2d 505; *Batal v Associated Univs.*, 293 AD2d 558.) III. The court erroneously defined the location of the crosswalk. (*Fan v Buzzitta*, 42 AD2d 40; *Vanbenschoten v Pitarys*, 284 AD2d 912; *People v County of Westchester*, 282 NY 224; *Farnsworth v Village of Potsdam*, 228 AD2d 79; *Petrowski v*

Abraham, 265 AD2d 901; *Donnelly v Village of Perry*, 88 AD2d 764; *Lloyd v Village of Walton*, 57 App Div 288; *Finnegan v Mayer*, 200 App Div 855.) IV. Derek Klink was negligent as a matter of law. (*Perez v Paljevic*, 31 AD3d 520; *Safran v Amato*, 155 AD2d 653; *Larmer v Boyd*, 202 AD2d 982; *Johnson v Ahmed*, 63 AD3d 1108; *Finkel v Benoit*, 211 AD2d 749; *Larsen v Spano*, 35 AD3d 820; *Weigand v United Traction Co.*, 221 NY 39; *Bolta v Lohan*, 242 AD2d 356; *Doxtader v Janczuk*, 294 AD2d 859; *Perez v Brux Cab Corp.*, 251 AD2d 157.) V. Expert testimony placing Irene Lifson outside the crosswalk was speculative. (*Inglut v Consolidated Rail Corp.*, 185 AD2d 614; *Northrop v Smith*, 37 AD2d 1014; *Saba v Montgomery*, 125 AD2d 902; *Thomas v New York City Tr. Auth.*, 194 AD2d 663; *Hodge v Losquadro Fuel Corp.*, 29 AD3d 861; *Pascuzzi v CCI Cos.*, 292 AD2d 685; *People v Jones*, 73 NY2d 427; *Cillo v Resjefal Corp.*, 16 AD3d 339; *Gomez v New York City Hous. Auth.*, 217 AD2d 110; *Neider v Austin S. Edgar, Inc.*, 204 AD2d 1030.)

Costello, Cooney & Fearon, PLLC, Syracuse (*Donald S. DiBenedetto* and *Jennifer L. Nuhfer* of counsel), for respondent.

I. The Appellate Division, Fourth Department, correctly held that the emergency instruction was properly charged to the jury. (*Caristo v Sanzone*, 96 NY2d 172; *Rivera v New York City Tr. Auth.*, 77 NY2d 322; *Palmer v Rouse*, 232 AD2d 909; *Ferrer v Harris*, 55 NY2d 285; *Durham v Melly*, 14 AD2d 389; *Insurance Co. of State of Pa. v Just Mgt. Corp.*, 55 AD3d 676; *Artesa v City of Utica*, 23 AD3d 1148; *Amaro v City of New York*, 40 NY2d 30; *Kuci v Manhattan & Bronx Surface Tr. Operating Auth.*, 88 NY2d 923; *Benitez v Olson*, 6 AD3d 560.) II. The Appellate Division, Fourth Department, properly held that Supreme Court's refusal to give the emergency instruction in favor of plaintiff was not reversible error. (*Quain v Buzzetta Constr. Corp.*, 69 NY2d 376; *Sweeney v Linde*, 59 AD3d 948.) III. The Appellate Division, Fourth Department, correctly held that Supreme Court properly instructed the jury on the unmarked crosswalk. (*Quain v Buzzetta Constr. Corp.*, 69 NY2d 376; *Fan v Buzzitta*, 42 AD2d 40; *Vanbenschoten v Pitarys*, 284 AD2d 912; *Hodge v Losquadro Fuel Corp.*, 29 AD3d 861; *Cillo v Resjefal Corp.*, 16 AD3d 339; *Interstate Cigar Co. v Dynaire Corp.*, 176 AD2d 699; *Mahon v Giordano*, 30 AD2d 792.) IV. Derek Klink was not negligent as a matter of law. (*Quain v Buzzetta Constr. Corp.*, 69 NY2d 376; *Olson v Dougherty*, 128 AD2d 920; *Fannon v Metropolitan Transp. Auth.*, 133 AD2d 211; *Shachnow v Myers*, 229 AD2d 432; *Nazario v Stalica*, 272 AD2d 903; *McLean v Dessert*, 267 AD2d 962; *Gianniosis v LID Mgt. & Finishing*

Serv. Co., 194 AD2d 413; *Mancuso v Compucolor, Inc.*, 172 AD2d 153; *Johnson v Ahmed*, 63 AD3d 1108; *Finkel v Benoit*, 211 AD2d 749.) V. Plaintiff concedes that this Court has no power to review the Appellate Division, Fourth Department's holding rejecting plaintiff's contention that the verdict was against the weight of the evidence.

OPINION OF THE COURT

Chief Judge LIPPMAN.

Defendant Klink was the driver of an automobile that struck plaintiff's decedent, Irene Lifson, while she was crossing the street, causing her death. Pursuant to Klink's claim that the accident occurred while he was temporarily blinded by sun glare, the trial court instructed the jury on the emergency doctrine in his favor. We find that, under these circumstances, it was error to give the jury the emergency instruction.

Both Lifson and Klink worked in the MONY Plaza, a large office complex in Syracuse containing two 20-story high-rise office towers. MONY Plaza is located across the street from the Harrison Street Garage, where many of the employees park their cars during the work day. There is, as a result, a substantial amount of pedestrian traffic crossing Harrison Street between the towers and the garage, particularly during rush hours. Pedestrians would commonly cross Harrison Street where the MONY Towers' exit lines up with the entrance to the garage, despite the absence of a marked crosswalk at that location.

On February 29, 2000, the day of the accident, Klink retrieved his car after work. At approximately 4:05 P.M., he was attempting to make a left-hand turn onto Harrison Street from Harrison Place. Harrison Street is a three-lane, one-way road, with traffic running from east to west. Klink had been proceeding north on Harrison Place, which forms a "T" intersection with Harrison Street and was waiting to turn to the west. Although Klink worked at the MONY Towers, he testified that he was not familiar with driving this particular route because he parked in different locations throughout the city, rather than in the same place every day.

Klink testified that he stopped at the stop sign to make the left turn onto Harrison Street, but that his view of oncoming traffic was partially obstructed by parked cars in the left-hand lane of Harrison Street and he had to "creep up" in order to see the approaching vehicles. He had noticed that there were pedestrians crossing Harrison Street to his left, but he also

asserted that he had looked in that direction and “cleared the road” before making the turn. He further testified that he had been looking to his right, toward the oncoming traffic when he started turning. He maintained that, when he looked back to his left, mid-turn, he was blinded by the sun, “all of a sudden.” His reaction was to look down and to his right and, when he looked up, the first object he saw was Ms. Lifson. Although he applied the brakes, he was unable to avoid hitting her, having seen her only a fraction of a second prior to impact. At the time of the accident, Ms. Lifson had been wearing a red coat. There was no evidence that Ms. Lifson darted out in front of Klink’s car, or that Klink was traveling at an excessive rate of speed.

Plaintiff commenced this action against Klink and the City of Syracuse¹ alleging causes of action in negligence and failure to study/plan for pedestrian traffic.² The ensuing trial was limited to the issue of liability. As noted, pursuant to Klink’s request and over plaintiff’s objection, the trial court gave the jury an emergency doctrine instruction in Klink’s favor. The instruction generally conveyed to the jury that it had to determine whether Klink was in fact confronted with an emergency situation not of his own making and, if so, whether his conduct in response to that situation was that of a reasonably prudent person. The jury was free to reject both of those propositions, but if it determined that he had faced an emergency situation and acted reasonably, it was to find for Klink.

The jury returned a verdict attributing negligence to the City of Syracuse and Ms. Lifson and apportioning fault at 15% and 85%, respectively. Klink was found not negligent and the action was dismissed as against him.

The Appellate Division affirmed, finding that the emergency instruction was properly given, as there was a reasonable view of the evidence showing that the sun glare was a sudden and unforeseen occurrence (72 AD3d 1523 [2010]). One Justice dissented and would have found that Klink was not entitled to an emergency instruction because the sun glare should have been anticipated and was not unexpected in light of the circumstances surrounding the accident, including the sunny weather and the time of day. We granted plaintiff leave to appeal and now reverse.

1. The action is not final as to the City of Syracuse and the City is not a party to this appeal.

2. The action was discontinued as against a third defendant (CGU Insurance) by stipulation dated October 14, 2002.

The common-law emergency doctrine

“recognizes that when an actor is faced with a sudden and unexpected circumstance which leaves little or no time for thought, deliberation or consideration, or causes the actor to be reasonably so disturbed that the actor must make a speedy decision without weighing alternative courses of conduct, the actor may not be negligent if the actions taken are reasonable and prudent in the emergency context, provided the actor has not created the emergency” (*Caristo v Sanzone*, 96 NY2d 172, 174 [2001] [internal quotation marks and citation omitted]).

The doctrine recognizes that a person confronted with such an emergency situation “cannot reasonably be held to the same accuracy of judgment or conduct as one who has had full opportunity to reflect, even though it later appears that the actor made the wrong decision” (*Rivera v New York City Tr. Auth.*, 77 NY2d 322, 327 [1991] [citations omitted]). We have, however, acknowledged that the

“rationale for this doctrine . . . has been somewhat eroded by the evolution from contributory negligence to comparative negligence. With the advent of the ability of juries to allocate fault and apportion damages, the viability of the doctrine has been questioned by some jurisdictions, with a few states going so far as to abolish it” (*Caristo*, 96 NY2d at 174).

The trial judge must make the threshold determination whether a reasonable view of the evidence supports the existence of a qualifying emergency (*see Caristo*, 96 NY2d at 175). When reviewing the determination that an emergency instruction was warranted, we evaluate the evidence in the light most favorable to the party requesting the charge (*see Caristo*, 96 NY2d at 175).

In *Caristo*, the trial court gave an emergency instruction in favor of the defendant, who had been driving in icy conditions when his car slid down a hill, past a stop sign and hit the plaintiff’s vehicle. We reversed and ordered a new trial, finding no view of the evidence to support the conclusion that defendant faced a qualifying emergency. Specifically, since defendant had been aware of the poor and deteriorating weather conditions that had existed for at least two hours, the resulting icy

conditions on the road could not be considered “sudden and unexpected” (see *Caristo*, 96 NY2d at 175).

By contrast, in *Ferrer v Harris* (55 NY2d 285 [1982]) we found that the defendant driver, whose vehicle struck a child who ran out into the street, was entitled to an emergency doctrine charge. The defendant had testified that he was driving well below the posted speed limit and that he stopped abruptly when he saw the child step off the sidewalk and run into the street between the parked cars. We determined that “it [was] more than conceivable that a jury could conclude that this defendant was faced with an emergency” (*Ferrer*, 55 NY2d at 292).

[1] The situation presented in this case bears closer resemblance to that in *Caristo*. While Klink did not drive this particular route often, he was familiar with the general area since he worked in the MONY Towers. Klink was about to turn to the west at a time of day that the sun would be setting. It is well known, and therefore cannot be considered a sudden and unexpected circumstance, that the sun can interfere with one’s vision as it nears the horizon at sunset, particularly when one is heading west. This is not to say that sun glare can never generate an emergency situation but, under the circumstances presented, there is no reasonable view of the evidence under which sun glare constitutes a qualifying emergency.

[2] Moreover, the error in giving the emergency instruction was not harmless. The improper charge permitted the jury to consider Klink’s action under an extremely favorable standard. Because the application of that instruction to the facts presented could have affected the outcome of the trial, it was not harmless error (see e.g. *Garricks v City of New York*, 1 NY3d 22, 27 [2003]).

Plaintiff’s remaining contentions are without merit.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, the amended complaint reinstated as against defendant Derek Klink, and the case remitted to Supreme Court for further proceedings consistent with this opinion.

SMITH, J. (dissenting). Plaintiff’s argument here rests on the seemingly obvious proposition that no one should be surprised to find the sun setting in the west. I admit that sunset is a foreseeable event. Yet surely everyone who has driven a car knows that good drivers are sometimes surprised to find the sun in their eyes. Drivers cannot be expected to have always at the

forefront of their minds the time of day, the season of the year, the direction they are traveling, the weather conditions and the presence or absence of obstruction in a particular spot. Therefore, sun glare, as the majority appears to acknowledge, can sometimes present an emergency situation (majority op at 498).

In deciding whether an emergency instruction was properly given, the issue is not whether the emergency was foreseeable; it is whether it was sudden and unexpected. Our cases illustrate the distinction. In *Ferrer v Harris* (55 NY2d 285 [1982]), the defendant driver was passing a park where he knew that children played, and it was obviously foreseeable that a child would step in front of his car; but the event was sudden and unexpected when it happened, and the driver was therefore entitled to an emergency instruction. In *Amaro v City of New York* (40 NY2d 30 [1976]), plaintiff was a firefighter who was injured in a firehouse while responding to a fire alarm; we held that the alarm, foreseeable as it was for that plaintiff in that location, was sudden and unexpected and that the plaintiff was properly accorded the benefit of an emergency charge. In *Kuci v Manhattan & Bronx Surface Tr. Operating Auth.* (88 NY2d 923, 924 [1996]), the defendant's employee, a bus driver, was familiar with the intersection where the accident occurred and knew "that cars frequently turned right from the left lane in front of buses in this area." We nevertheless held that it was error to deny an emergency charge, because the driver's general awareness that such turns often happen "would not preclude a jury from deciding that, as to the events in issue in this case, the driver did not anticipate being suddenly cut off by this particular car" (*id.*).

Caristo v Sanzone (96 NY2d 172 [2001]) appears to be the only case in which we have held an emergency instruction was improperly given. There, the defendant was driving in bad weather—a mixture of snow, frozen rain and hail. The claimed emergency was that he encountered a sheet of ice. We held, five to two, that in view of the driver's knowledge of the weather conditions "the presence of ice on the hill cannot be deemed a sudden and unexpected emergency" (*id.* at 175). *Caristo* thus holds that no one driving through such conditions, while exercising reasonable care, could be surprised to find that the road was icy.

A similar holding is not justified here. The record, read most favorably to Klink, shows that he was driving on a city street, where buildings sometimes do and sometimes do not block the

sun, and that he was unfamiliar with the route. A jury could surely find that he did not calculate the direction of his travel, the time of day and the time of year so precisely that he expected to find the sun in his eyes when he turned. The emergency instruction was properly given.

Judges CIPARICK, GRAFFEO, PIGOTT and JONES concur with Chief Judge LIPPMAN; Judge SMITH dissents in a separate opinion in which Judge READ concurs.

Order, insofar as appealed from, reversed, etc.

[958 NE2d 93, 934 NYS2d 59]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v ANGEL
ROSARIO, Respondent.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v LUIS
PARADA, Appellant.

Argued September 7, 2011; decided October 18, 2011

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 22, 2009. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (William A. Wetzel, J.), which had convicted defendant, upon a jury verdict, of course of sexual conduct against a child in the first degree, rape in the first and second degrees and incest in the third degree, and (2) remanded the matter for a new trial.

APPEAL, in the second above-entitled action, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered November 19, 2009. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Gregory Carro, J.), which had convicted defendant, upon a jury verdict, of course of sexual conduct against a child in the first degree.

People v Rosario, 68 AD3d 600, affirmed.

People v Parada, 67 AD3d 581, affirmed.

HEADNOTES

Crimes — Witnesses — Prior Consistent Statement — Prompt Outcry Exception

1. In the prosecution of defendant for rape and related crimes involving his daughter, a note alleging the sexual abuse written by the teenaged complainant to her boyfriend approximately five months after the abuse ended and one year before she reported the abuse to the police did not fall within the prompt outcry exception to the inadmissibility of prior consistent statements of an unimpeached witness. As a general rule, evidence that a victim of sexual assault promptly complained about the incident is admissible to corroborate the allegation that an assault took place. Promptness is a relative concept dependent on the facts—what might qualify as prompt in one case might not in another. Here, too much time elapsed between the last instance of alleged sexual abuse and the note for the evidence to qualify as a prompt outcry. The concept of promptness necessarily suggests an immediacy not ordinarily present when months go by, especially when the complainant is a teenager, not a child.

Crimes — Witnesses — Prior Consistent Statement — Rebuttal of Recent Fabrication Charge

2. In the prosecution of defendant for rape and related crimes involving his daughter, a note alleging the sexual abuse written by the teenaged complainant to her boyfriend approximately five months after the abuse ended and one year before she reported the abuse to the police was not admissible in the People's direct case to rebut a defense claim of recent fabrication. Generally, a witness's trial testimony may not be bolstered with prior consistent statements, but otherwise inadmissible evidence may become admissible where the adverse party has "opened the door" to it by offering evidence, or making an argument based on the evidence, which might otherwise mislead the factfinder. When a witness's testimony is assailed—either directly or inferentially—as a recent fabrication, the witness may be rehabilitated with a prior consistent statement made at a time predating the motive to fabricate. Here, defense counsel in her opening statement first described defendant as a strict father with high academic expectations of complainant and then gave a factual account of the events of the day that complainant first reported the abuse to the police, which was the same day complainant went out with her boyfriend against defendant's wishes. Counsel concluded the description of how complainant's parents eventually found her after a frantic search with the comment "[s]o the story begins." The prosecution claimed that defense counsel suggested a recent fabrication by use of the word "story." Fabrication might have been an obvious, and indeed the only, defense here, but defense counsel did not make any remarks in her opening statement that created a misleading impression that opened the door for the People to elicit evidence of the note in their direct case.

Crimes — Witnesses — Prior Consistent Statement — Prompt Outcry Exception

3. In the prosecution of defendant for course of sexual conduct against a child in the first degree, statements regarding the abuse that the then six- or seven-year-old complainant made to a female cousin while the abuse was still occurring were properly admitted into evidence under the prompt outcry exception to the inadmissibility of prior consistent statements of an unimpeached witness. As a general rule, evidence that a victim of sexual assault promptly complained about the incident is admissible to corroborate the allegation that an assault took place, and promptness is a relative concept dependent on the facts. Although complainant's cousin was only one year older than complainant, there is no reason to disallow prompt outcry testimony where a child victim discloses sexual abuse to a peer. Moreover, complainant told her cousin of the abuse a few weeks after defendant anally sodomized her, and complainant made that disclosure before the sexual abuse ended.

Crimes — Witnesses — Prior Consistent Statement — Harmless Error

4. In the prosecution of defendant for course of sexual conduct against a child in the first degree, the trial court's improper admission under the prompt outcry exception of statements regarding the abuse that complainant made to her aunt more than two years after the abuse ended was harmless error. Although the case rested on the testimony of an 11-year-old witness who was recounting events that had occurred several years in the past, complainant described the events in age-appropriate terms and provided details that she could not have gleaned from watching television or movies, as defense counsel suggested. She had no motive to implicate defendant, who had been her babysitter when the abuse occurred. Moreover, defendant never pointed out any

specific inconsistencies in complainant's testimony. His vagueness claims boiled down to complainant's uncertainty about the dates when the acts occurred—hardly surprising given that the abuse occurred over the course of two years and involved a child.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 654, 659, 664, 665, 703;
 AM JUR 2d, Evidence §§ 685–687; AM JUR 2d, Rape §§ 61, 63.
 CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:115, 194:119; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:117, 207:169.
 LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 27.6.
 NY JUR 2d, Criminal Law: Procedure §§ 2147, 2149, 2377, 3569, 3570, 3572, 3573.

ANNOTATION REFERENCE

Time element as affecting admissibility of statement or complaint made by victim of sex crime as *res gestae*, spontaneous exclamation, or excited utterance. 89 ALR3d 102.

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POINTS OF COUNSEL

Cyrus R. Vance, Jr., District Attorney, New York City (Matthew C. Williams and Richard Nahas of counsel), for appellant in the first above-entitled action. Evidence of the victim's disclosure to her boyfriend of defendant's sexual abuse was properly admitted both as a prompt outcry and to rebut the defense claim that she fabricated the allegations of sexual abuse on the day she reported them to the police. (*People v O'Sullivan*, 104 NY 481; *Baccio v People*, 41 NY 265; *People v McDaniel*, 81 NY2d 10; *People v Rice*, 75 NY2d 929; *People v Shelton*, 1 NY3d 614; *People v Aguirre*, 262 AD2d 175; *People v Bonilla*, 200 AD2d 369; *Matter of Gregory AA.*, 20 AD3d 726; *People v Vanterpool*, 214 AD2d 429; *People v James*, 247 AD2d 251, 93 NY2d 620.)

Law Offices of London & Robin, New York City (Meredith S. Heller and Ira D. London of counsel), for respondent in the first

above-entitled action. I. The Appellate Division properly held that the trial court had erred in admitting testimony as “prompt outcry” when the statement was not made at the first suitable opportunity and there was no reasonable explanation for the months-long delay. (*People v Van Ness*, 43 AD3d 553; *People v McClean*, 69 NY2d 426; *People v McDaniel*, 81 NY2d 10; *People v Rice*, 75 NY2d 929; *People v O’Sullivan*, 104 NY 481; *People v Banks*, 27 AD3d 953; *People v Allen*, 13 AD3d 892; *Matter of Gregory AA.*, 20 AD3d 726; *People v Vanterpool*, 214 AD2d 429.) II. The Appellate Division properly held that the trial court erred in admitting testimony under the “recent fabrication” exception to the hearsay rule when the prior statements did not predate the declarant’s motive to lie and defense counsel did not open the door to their admission. (*People v McClean*, 69 NY2d 426; *People v Davis*, 44 NY2d 269; *People v McDaniel*, 81 NY2d 10; *People v Seit*, 86 NY2d 92; *People v Melendez*, 55 NY2d 445; *People v Rojas*, 97 NY2d 32; *People v Massie*, 2 NY3d 179; *People v Mann*, 31 NY2d 253; *People v Lago*, 60 AD3d 784; *People v Jones*, 258 AD2d 383.)

Glenn A. Garber, P.C., New York City (*Glenn A. Garber* and *Angharad Vaughan* of counsel), for appellant in the second above-entitled action. I. The complainant’s statements at the child advocacy center detailing the alleged sexual abuse, during an exam conducted at the behest of law enforcement the day before the complainant and the examining nurse testified before the grand jury, more than two years after the alleged abuse, were not sufficiently related to medical diagnosis and treatment to be admissible hearsay, and should have been excluded. (*People v Rogers*, 8 AD3d 888; *People v Bailey*, 252 AD2d 815; *People v Ballerstein*, 52 AD3d 1192; *Williams v Alexander*, 309 NY 283; *People v Kennedy*, 68 NY2d 569; *People v Cratsley*, 86 NY2d 81; *Johnson v Lutz*, 253 NY 124; *Matter of Leon RR*, 48 NY2d 117; *People v Bradley*, 15 AD3d 840; *People v Jackson*, 124 AD2d 975.) II. It was harmful error for the state’s expert to testify that behaviors including tantrums and rebelliousness are indicative of child sexual abuse, and for the prosecutor to argue that the complainant’s manifestation of these behaviors proved that the allegations of abuse were true. (*People v Shay*, 210 AD2d 735; *De Long v County of Erie*, 60 NY2d 296; *Dougherty v Miliken*, 163 NY 527; *People v Carroll*, 95 NY2d 375; *Chambers v Mississippi*, 410 US 284; *People v Hudy*, 73 NY2d 40; *People v Taylor*, 75 NY2d 277; *People v Keindl*, 68 NY2d 410; *People v Banks*, 75 NY2d 277; *People v Stuckey*, 50 AD3d 447.) III. The complainant’s statements to her aunt detailing the alleged

abuse, two years after the period of alleged abuse ended, were not admissible as “prompt outcry,” and it was harmful error to permit the complainant and the aunt to improperly bolster the complainant’s credibility with testimony about these prior statements. (*Crawford v Nilan*, 289 NY 444; *People v Seit*, 86 NY2d 92; *People v McClean*, 69 NY2d 426; *People v McDaniel*, 81 NY2d 10; *People v Rice*, 75 NY2d 929; *People v Deitsch*, 237 NY 300; *People v O’Sullivan*, 104 NY 481; *People v Leon*, 209 AD2d 342; *People v Crimmins*, 36 NY2d 230; *People v Baker*, 23 NY2d 307.) IV. The trial court erred by permitting the complainant’s uncorroborated testimony that she reported the alleged abuse to her eight-year-old cousin who promised to keep it a secret, as such report was not a “prompt outcry,” and constituted improper bolstering of the complainant’s credibility. (*People v McDaniel*, 81 NY2d 10; *People v O’Sullivan*, 104 NY 481.) V. It was an abuse of discretion and harmful error to permit a detective on redirect to relate the entire statement by the complainant graphically describing the alleged sexual abuse, in response to defense counsel’s impeachment on a specific, narrow point in the complainant’s statement to police, where no limiting instruction was given and the prosecutor utilized this testimony as substantive evidence. (*People v Massie*, 2 NY3d 179.) VI. The cumulative impact of numerous evidentiary errors and improper argument by the prosecutor rendered the trial fundamentally unfair and deprived defendant-appellant of a fair trial and due process of law, where the only evidence of guilt was the uncorroborated testimony of the 11-year-old complainant and all of the errors had the direct effect of bolstering the complainant’s credibility. (*People v Crimmins*, 36 NY2d 230; *People v Calabria*, 94 NY2d 519; *People v Dowdell*, 88 AD2d 239; *People v Ortiz*, 116 AD2d 531; *People v Nevedo*, 202 AD2d 183; *People v McDaniel*, 81 NY2d 10; *People v McClean*, 69 NY2d 426; *People v Allweiss*, 48 NY2d 40; *People v Rice*, 75 NY2d 929.)

Cyrus R. Vance, Jr., District Attorney, New York City (Sheila O’Shea and Eleanor J. Ostrow of counsel), for respondent in the second above-entitled action. I. Defendant’s challenges to the admission of the complainant’s prior statements are partially waived and partially unpreserved; in any event, those statements were properly admitted. (*People v McDaniel*, 81 NY2d 10; *People v Williams*, 75 NY2d 858; *People v Stuckey*, 50 AD3d 447; *People v Aguirre*, 262 AD2d 175; *People v Vasquez*, 221 AD2d 575; *People v Vanterpool*, 214 AD2d 429; *People v Clarke*, 81 NY2d 777; *People v Kelly*, 5 NY3d 116; *People v Melendez*, 55 NY2d 445; *People v Rojas*, 97 NY2d 32.) II. Contrary to

defendant's unpreserved claims, Dr. Treacy's expert testimony and the prosecutor's summation remarks concerning that testimony were entirely appropriate. Moreover, even if the People's use of that testimony was improper in any respect, the error was harmless. (*People v Clarke*, 81 NY2d 777; *People v Taylor*, 75 NY2d 277; *De Long v County of Erie*, 60 NY2d 296; *People v Abney*, 13 NY3d 251; *People v Lee*, 96 NY2d 157; *People v Carroll*, 95 NY2d 375; *People v Cintron*, 75 NY2d 249; *People v Keindl*, 68 NY2d 410; *People v Gregory*, 78 AD3d 1246; *People v Torres*, 78 AD3d 866.)

OPINION OF THE COURT

READ, J.

The issue for us to decide in these two cases is whether prior consistent statements alleging sexual abuse were properly admitted under the prompt outcry rule or, alternatively in the *Rosario* case, to rebut a claim of recent fabrication. In both appeals, we affirm the Appellate Division, which concluded that the prior consistent statement was inadmissible in *Rosario*, and admissible in *Parada*.

I.

Rosario

Complainant, who was 16 at the time of trial, testified that her father, defendant Angel Rosario, began to abuse her sexually when she was about nine years old. Over the next four or five years, he would frequently rub his body against hers when he encountered her alone in the family's apartment, pressing his penis against her. He would make complainant perform oral sex on him, and once put his mouth on her vagina when she was in her bedroom, watching the Disney Channel on television. When complainant was 13 years old, defendant penetrated her vagina with his penis. Then in early 2004, when complainant was 14 years old and in ninth grade, she struggled with and resisted defendant when he forced sexual intercourse on her. Complainant says that she told defendant "This is never going to happen again," and that he did not touch her sexually after this encounter. At no time did defendant ejaculate, and, in every instance, the penetration was slight. Complainant did not tell

anyone in her extended family¹ about defendant's sexual advances because she was scared that she would not be believed and would get into trouble, and she was fearful about how her mother would react.

By January 2004, about the time the abuse stopped, complainant had started dating. In May 2004, her boyfriend noticed that she was upset and asked her what was wrong. They were in the school courtyard at the time. Because she "had difficulty saying" what was bothering her, complainant's boyfriend suggested that she write it down. Complainant then took a piece of paper from her book bag and wrote the following note, which she handed to her boyfriend for him to read:

"Well, um I kind of get sexually harassed by my Dad since I was I think 10. And im not very proud of it + I havent told nebody cause he's my dad n i didn't want him 2 go away + pwease don't tell ne1 [and] lately ive bin pushing him off n stuff so like yeah. please don't say anything."

When complainant's boyfriend responded by "look[ing] at [her] like, are you serious? Can this really happen and why didn't you tell anybody" she felt "embarrassed and ashamed." Complainant's boyfriend testified that he slipped the note into his pocket, unbeknownst to complainant; she testified that he crumpled up the note and threw it away as they left the courtyard. Complainant was not sure when she wrote the note, but thought it "must have been May" or perhaps "earlier"; her boyfriend asserted that this episode took place in May 2004. He located the thought-to-be-lost note (which was admitted into evidence) in February 2006, and produced it for the District Attorney two days before he testified on June 8, 2006.

On June 24, 2005, about a year after she wrote the note, complainant argued with defendant when he refused to let her go to the movies with her boyfriend. Having gotten friendly with Police Officers Anthony Flores and Slade Bradley, who ran the Explorers Program sponsored by the New York Police Department,² complainant stopped by the stationhouse to talk to Officer Flores. When he was not there, she went to the movies with her boyfriend, in defiance of defendant. But once at the

1. Complainant testified that she saw her maternal grandparents, who lived across the street, daily; she was also close to her paternal uncle, who lived in Puerto Rico and whom she saw on holidays.

2. This is a program designed to educate teenagers about law enforcement.

movies, she got nervous about getting into “severe trouble” and being “hit” by defendant, a stern disciplinarian who inflicted corporal punishment when displeased with her behavior.

Before returning home, complainant called Officer Flores (whom defendant had also contacted, fearing that his daughter had run away from home after their argument). Officer Flores picked complainant up at the movies and returned with her to the stationhouse. Once there, complainant spoke with both Officers Flores and Bradley (a woman), telling them that defendant had sexually abused her. According to complainant, she decided to report “what was going on” at that point in time because she was tired of “all of the stuff that went on in [her] house” and did not want to be molested anymore. The officers took complainant to meet with a detective in the Manhattan Special Victims Squad, to whom she repeated her claim of sexual abuse. Defendant was arrested and subsequently indicted for first-degree course of sexual conduct against a child (Penal Law § 130.75 [1] [b] [being at least 18 years old and engaging in two or more acts of sexual conduct over a period of time not less than three months in duration with a child less than 13 years old]), first-degree rape (Penal Law § 130.35 [1] [engaging in sexual intercourse by forcible compulsion]) and other lesser charges.

At trial, defendant denied his daughter’s accusations; his wife testified that she had never noticed any change in her daughter’s personality or behavior toward defendant. In summation, the defense argued that complainant—portrayed as a willful only child, angry at defendant for restricting her freedom and anxious about the punishment he would mete out for her disobedience on June 24, 2005—embroidered a tale of mistreatment by her father with a claim of sexual abuse (perhaps in response to a suggestive question posed by Officer Bradley) and then found herself “backed into a corner.” The jury convicted defendant of all the charges submitted to it, including first-degree course of sexual conduct against a child, and first- and second-degree rape. The trial judge sentenced defendant to an aggregate term of 15 years in prison, to be followed by five years of postrelease supervision.

The Appellate Division reversed the judgment, holding that the note did not qualify as a prompt outcry “in view of the months-long delay between the charged conduct and the writing of the note, especially in the absence of a sufficient explanation for the complainant’s not confiding in someone else earlier” (68

AD3d 600, 601 [1st Dept 2009]). The court further concluded that the note was not admissible as a proper rehabilitative response to a defense claim of recent fabrication for two reasons: “It was offered on the People’s direct case . . . in the course of the complainant’s direct testimony, *in anticipation of* a defense of recent fabrication”; and at the time

“the note was admitted into evidence, the defense had done nothing to specify to the jury . . . when and how the complainant had decided to make a false accusation against defendant [and] could as easily have claimed that the complainant’s motivation . . . arose years earlier, in response to defendant’s controlling and overbearing conduct over the years, rather than on June 24, 2005” (*id.* at 602 [emphasis added]).

A Judge of this Court granted the People permission to appeal (15 NY3d 809 [2010]).

Parada

Complainant testified that defendant Luis Parada sexually abused her when he babysat her after school and during school breaks from mid-2002 until early 2004 at the apartment where she resided with her mother and four brothers and the man with whom her mother then had a relationship, a childhood friend of defendant. Specifically, complainant, who was six or seven when the alleged abuse took place and 11 at the time of trial, testified that defendant twice anally sodomized her, causing rectal bleeding that she once reported to her mother (although not its cause), and also touched and penetrated her vagina with his finger, forced her to touch his penis and would lie on top of her on occasions when he was alone with her, or only her infant brother was also present in the apartment. According to complainant, defendant would tell her not to tell anyone because it was their “secret” or “something bad w[ould] happen.” While defendant was still babysitting her, though, complainant disclosed to a female cousin, who was one year older, that defendant had “put his front private part in[to her butt].” Complainant made her cousin “pinky promise” not to tell anyone because she “thought they wouldn’t believe [her].”

Defendant’s babysitting duties ended sometime after complainant’s mother and his friend broke up in early 2004, and complainant’s mother moved in with her brother and sister-in-law, whose children included the cousin in whom complainant

had earlier confided. According to complainant's mother, in early 2005, defendant telephoned her, saying that "he wanted to know how the kids were doing and . . . to come over and see [them]." She invited defendant to her brother's apartment, and he offered to take complainant and her younger brother to the Museum of Natural History. Complainant, described by her mother as "more stunned than happy" to see defendant, asked her cousin to go along on this trip because she "did not want to go alone with [defendant]." After the museum visit, complainant let her mother know that she did not want to see defendant again.

In mid-May 2006, complainant revealed to her paternal aunt that defendant had "touched her" when he babysat her. At complainant's insistence, her aunt agreed to keep this a secret. On another occasion, complainant again talked to her aunt about "what [had] happened to her." Then in late June 2006, while mother and daughter were in the kitchen washing and drying the dishes after dinner, complainant's mother initiated a conversation with her about boys, telling complainant "not [to] let[] anyone touch her" or "put their hands on [her] body." She assured complainant that "if anyone ever[] put[] their hands on" her, she should tell her mother, who would protect her. At that point, complainant blurted out that "someone" had already touched her. After her mother mentioned the names of two adult males, complainant "broke down and started crying" and "said it was [defendant]." Complainant's mother contacted the police the next day, and defendant was arrested and eventually indicted for first-degree course of sexual conduct against a child (Penal Law § 130.75 [1] [a] [engaging in two or more acts of sexual conduct over a period of time not less than three months in duration with a child less than 11 years old]).

Prior to defendant's jury trial, the People moved to introduce into evidence complainant's statements to her cousin and aunt about defendant's sexual abuse. Defendant objected that these disclosures did not constitute prompt outcry. The trial judge decided that the testimony could come in, however, and complainant and her aunt testified as described. Defendant took the stand and professed innocence. His expert, a psychiatrist with experience in evaluating child victims of sexual abuse, testified that children may allege molestation to get even with someone in their environment, and sometimes "confabulate" or "introduce fantasy" into their statements. The jury convicted defendant of the charged offense, and Supreme Court

subsequently sentenced him to 20 years in prison followed by five years of postrelease supervision.

The Appellate Division, with two Justices dissenting, affirmed the judgment, ruling that the trial judge properly admitted complainant's revelation to her cousin as a prompt outcry because "it was made during the period wherein [complainant] was being sexually abused" (67 AD3d 581, 582 [1st Dept 2009]). The court further concluded that while Supreme Court erroneously admitted complainant's disclosures to her aunt, the error was harmless. Finally, the court declined to reach, in the interest of justice, defendant's unpreserved challenges to the admission of certain prior consistent statements that complainant made to a pediatric nurse who examined her and a detective who interviewed her, and portions of the People's summation and, alternatively, rejected these challenges on the merits or considered any error to be harmless. Further, "[t]o the extent the existing record permit[ted]," the court concluded that defendant received effective assistance of counsel (*id.* at 583).

The dissenting Justices would have exercised discretion in the interest of justice to decide defendant's unpreserved arguments, which they considered meritorious. In their view, the "cumulative effect" of the various unpreserved and preserved "evidentiary errors on a conviction that rest[ed] essentially on the credibility of an 11-year-old child" was not harmless (*id.* at 586). A dissenting Justice granted defendant permission to appeal to us.

II.

As a general rule, "evidence that a victim of sexual assault promptly complained about the incident is admissible to corroborate the allegation that an assault took place" (*People v McDaniel*, 81 NY2d 10, 16 [1993]). The prompt outcry rule—an exception to the inadmissibility of the prior consistent statements of an unimpeached witness—"permits evidence that a timely complaint was made," but does not allow further testimony as to the "details of the incident" (*People v Rice*, 75 NY2d 929, 932 [1990]).³ In a classic exposition of the original reasoning underlying the prompt outcry rule, the Court stated that

"[i]t is a general rule that the evidence of a witness can never be corroborated or confirmed by proof

3. When the note was admitted into evidence in *Rosario*, defense counsel did not object that its contents were inadmissible. In any event, the note contained few details, and no descriptions of any specific alleged act of "sexual harass[ment]."

that the witness stated the same facts testified to in court on some occasion when not under oath. Such statements, like all hearsay evidence, are excluded as unsatisfactory and incompetent. But there is an exception to the rule in the case of rape. The outrage in such a case upon a virtuous female is so great that there is a natural presumption that at the first suitable opportunity she would make disclosure of it; and she would be so far discredited if she did not make disclosure, for the purpose of confirming her evidence where she is a witness, such disclosure may be received. But where the disclosure is not recent, as soon as suitable opportunity is furnished, the reason for receiving the evidence does not exist, and the principle justifying its reception does not apply” (*People v O’Sullivan*, 104 NY 481, 486 [1887] [disclosure made 11 months after the commission of the alleged rape was too remote to qualify as a prompt outcry]).

As we recognized in *McDaniel*, though, “[t]he contemporary rationale for permitting prompt outcry evidence is that some jurors would inevitably doubt the veracity of a victim who failed to promptly complain of a sexual assault” (*McDaniel*, 81 NY2d at 16).⁴ Finally, we have made clear that “promptness is a relative

4. In some instances, the People may seek to counter any potential juror misconception in this regard by calling an expert to explain why a victim of sexual abuse might not promptly report the crime (*see People v Spicola*, 16 NY3d 441, 460-463 [2011] [expert testified about a range of behaviors observed in cases of validated child sexual abuse, some of which may seem counterintuitive to a lay person, including delayed reporting of abuse]). Judge Smith suggests that we should also expand our traditional prompt outcry rule, as several other states have done, in an effort to help the jury decide whether an alleged victim is telling the truth or lying, and would decide these cases by applying his new rule (*see concurring/dissenting op* at 516, 519). But defendants and the People disputed only whether the outcry was, in fact, sufficiently prompt under New York law; the People did not ask the trial court to broaden the rule. In a related vein, we note that the Supreme Judicial Court of Massachusetts resolved *Commonwealth v King* (445 Mass 217, 834 NE2d 1175 [2005]) on the basis of its traditional fresh complaint doctrine, which was similar, but not identical, to our prompt outcry rule. The Court *sua sponte*, in the exercise of its power to regulate evidentiary presentations not implicating constitutional rules, reexamined and prospectively revised its traditional fresh complaint doctrine only after soliciting and receiving numerous amicus briefs discussing whether modification or elimination was in order (445 Mass at 237 n 16, 248, 248 n 29, 834 NE2d at 1194 n 16, 1201, 1201 n 29).

concept dependent on the facts—what might qualify as prompt in one case might not in another” (*id.* at 17).

Rosario

[1] Applying these principles to the facts in *Rosario*, too much time (perhaps as long as five months) elapsed between the last instance of alleged sexual abuse and the note for this evidence to qualify as a prompt outcry. Although there is no hard-and-fast rule as to the timeliness of a prompt outcry, the concept of promptness necessarily suggests an immediacy not ordinarily present when months go by, especially when the complainant is a teenager, not a child (*see e.g. id.* at 14 [daughter told her mother about a nighttime sexual assault the following morning]; *Rice*, 75 NY2d at 931 [victim reported her rape to the police after her assailant fled]; *People v Stearns*, 72 AD3d 1214 [3d Dept 2010] [victim told her former boyfriend of rape the following morning]; *People v Aller*, 33 AD3d 621 [2d Dept 2006], *lv denied* 8 NY3d 918 [2007] [victim told her mother of the sexual assault within 12 hours of the attack]).

The People also argue in *Rosario* that, even if not a prompt outcry, the note and the testimony about it were admissible to rebut a claim of recent fabrication. Generally, a witness’s trial testimony may not be bolstered with prior consistent statements (*McDaniel*, 81 NY2d at 16) because “an untrustworthy statement is not made more trustworthy by repetition” (*People v McClean*, 69 NY2d 426, 428 [1987]; *see also* DuBois, *A Matter of Time: Evidence of a Victim’s Prompt Complaint in New York*, 53 Brook L Rev 1087, 1092-1093 [1988] [explaining that the inadmissibility of an unimpeached witness’s prior consistent statements is “based on the theory that simple ‘repetition does not imply veracity’”; that such statements are “presumed to lack probative value”; that “their introduction hinders trial efficiency”; and that their use in a criminal case “may prejudice the defendant by unduly bolstering the credibility of the prosecution’s witness” (internal quotation marks omitted)]). Nevertheless, “otherwise inadmissible evidence may become admissible where the adverse party has ‘opened the door’ to it by offering evidence, or making an argument based on the evidence, which might otherwise mislead the factfinder” (*People v Massie*, 2 NY3d 179, 180 [2004]). When a “witness[s] testimony is assailed—either directly or inferentially—as a recent fabrication, the witness may be rehabilitated” with a prior consistent statement made at a time predating the motive to fabricate (*McDaniel*, 81 NY2d at 18; *see also People v Seit*, 86 NY2d 92, 96 [1995]; *McClean*, 69 NY2d at 428).

According to the People, defense counsel in her opening statement implicitly accused complainant of lying, thus opening the door to admission of evidence about the note in their direct case. Defense counsel in her opening statement first described defendant as a strict father, plagued by health problems, with high academic expectations of his daughter; she acknowledged that defendant smoked marijuana. She gave a factual account of the events of June 24, 2005, which were not in dispute, and complainant's parents' frantic efforts to locate her, commenting that "[e]ventually they [complainant's parents] find her. She had gone to the movies with her boyfriend and saw *Batman* that day. It's now late in the evening. So the story begins." Finally, defense counsel asked the jurors to keep an open mind; reminded them that the allegations were serious; and described defendant as a dedicated and loving family man "devastated by this situation."

[2] The People single out defense counsel's use of the word "story," claiming that she suggested a recent fabrication by "discuss[ing] in detail the events of [June 24, 2005] and . . . telling the jury that the 'story' began after the police found [complainant] that day."⁵ Fabrication may have been an obvious (indeed, the only) defense here, as is often the case where a claim of sexual abuse is contested. But we cannot say that any remarks made by defense counsel in her opening statement created a misleading impression that opened the door for the People to elicit evidence of the note in their direct case (*see Massie*, 2 NY3d at 184 ["(A) trial court should decide 'door-opening' issues in its discretion, by considering whether, and to what extent, the evidence or argument said to open the door is incomplete and misleading, and what if any otherwise inadmissible evidence is reasonably necessary to correct the misleading impression"]).⁶

5. As a matter of fact, defense counsel did not mention the police in her opening statement at all. The closest she came was mentioning that the Rosarios called "the Explorer's Program" (after calling complainant's grandmother and friends and "friends involved in the afterschool program") when trying to locate their daughter on June 24, 2005.

6. Judge Smith suggests that the jurors could not have been "so dull-witted" as to "miss the point" that defense counsel was trying to make a connection between the father-daughter argument on June 24, 2005 and complainant's accusation (concurring/dissenting op at 521). But defense counsel did not relate complainant's accusation to this particular father-daughter dispute as opposed to defendant's strictness and demands of complainant in general (or, for that matter, his use of corporal punishment

(n. cont'd)

Parada

[3] To the extent that defendant now asserts that disclosure to a child can never constitute a prompt outcry, he did not raise such a claim at trial; he argued only that complainant's statement to her cousin was not sufficiently prompt. In any event, we see no reason to disallow prompt outcry testimony where a child victim discloses sexual abuse to a peer (*see People v Aguirre*, 262 AD2d 175 [1st Dept 1999] [child disclosed to her best friend]). And complainant told her cousin of the abuse a few weeks after defendant anally sodomized her.⁷ Importantly, as the Appellate Division noted, complainant made this disclosure before the sexual abuse ended.

[4] Finally, the admission of complainant's disclosures to her aunt was harmless error. True, this case rested on the testimony of an 11-year-old witness who was recounting events that had occurred several years in the past. But complainant described the events in age-appropriate terms and provided details that she could not have gleaned from watching television or movies, as defense counsel suggested. She had no motive to implicate defendant. And while he repeatedly describes complainant's testimony as "vague and inconsistent," defendant never points out any specific inconsistencies. His vagueness claims boil down to complainant's uncertainty about the dates when these acts occurred—hardly surprising given that the abuse occurred over the course of two years and involved a child.

Defendant's remaining arguments, to the extent preserved, are without merit.

Accordingly, the orders of the Appellate Division in *People v Parada* and *People v Rosario* should be affirmed.

SMITH, J. (dissenting in *People v Rosario* and concurring in *People v Parada*). In each of these cases, defendant was convicted of sexually abusing a young girl. In each case, a long time passed before the abuse was reported to the authorities. Evidence was admitted in each case showing that, during that time, the victim confided the secret to someone: the victim in *Rosario* told her boyfriend, and the victim in *Parada* told her

when she did not meet his expectations). In short, it was not obvious from defense counsel's opening statement that the note predated complainant's alleged motive to lie.

7. When the prosecutor asked complainant at trial when she made the disclosure to her cousin, she answered "That was like a few weeks ago when he did this to me," apparently meaning that defendant had anally sodomized her a few weeks before the disclosure.

aunt. The majority holds that it was error to admit the evidence of these disclosures.

I disagree. I admit that neither disclosure qualifies as a “prompt outcry,” according to the nineteenth century rule that our cases have followed to date. But I believe that the limits of that rule have become obsolete. The critical question in these cases is whether the victims were telling the truth or lying—and it is simply unfair, to the People and to the victims, to conceal from the jury powerful evidence that shows they were telling the truth. I would therefore adopt a broader version of the prompt outcry rule, permitting the jury to know of any disclosure made by the victim about the crime before the crime was reported to the authorities.

Applying that rule, I would reverse the order of the Appellate Division in *People v Rosario* and reinstate the conviction; in *People v Parada*, I would hold that there was no error in admitting the evidence, thus making it unnecessary to reach the question of harmless error. In *Rosario*, I also vote to reverse for another reason: I believe the evidence was properly admitted under the recent fabrication exception to the hearsay rule.

I

The People, as well as those accused of crimes, are entitled to a fair trial. I think it important to understand just how unfair the trials in these two cases would have been without the evidence that the majority holds should not have been admitted.

In *Rosario*, the unfairness is particularly stark. Without the evidence that is in dispute, the jury would have known only that the victim reported her father’s abuse to the police on the same day that she had a fight with him because he forbade her to go to the movies with her boyfriend. Any fairminded juror considering these facts would have to recognize the possibility that the accusation was invented in anger—and thus might well have a reasonable doubt that the accusation was true.

But a juror who voted to acquit for that reason would have been grossly misled. The victim made the same accusation, reluctantly and in confidence, in a note to her boyfriend, a year earlier, at a time when she was actually trying to protect her father “cause he’s my dad n i didn’t want him 2 go away.” I find the note very convincing evidence that the victim was telling the truth—and conclusive evidence that she did not invent the abuse after an argument with her father a year later. There is no common sense reason for keeping this evidence from the jury.

The injustice in *Parada* is less extreme because—as the majority’s harmless error finding reflects—the case against Parada was strong even without the disputed evidence. But I do not find it as hard as the majority does to imagine an acquittal if the evidence had been kept out. If that had happened, no witness except the victim’s mother would have testified to having heard the victim disclose the abuse before the authorities were involved. The victim testified to the “pinky promise” disclosure to her cousin, but the cousin was not called as a witness. There was no forensic evidence of abuse. Defendant testified, in what seems from the transcript a straightforward and convincing way, that he had never done and never would do any of the things the victim accused him of. It seems possible to me that a juror could have thought his denial raised a reasonable doubt; that the victim and her mother might for some reason (perhaps to protect the true abuser) have concocted a false story.

But a juror who heard the testimony of the victim’s aunt would have been much less likely to harbor such a doubt. The aunt—a woman in her early 20s, with whom the victim had lived off and on—testified that she frequently observed the victim crying for no apparent reason. When the victim was 11, a month before any report to the authorities, this led to the following conversation, as the aunt recounted it:

“I took [the victim] in to the living room with me, I sat down with her and I asked her what was going on, why was she crying like that, she should have no reason to be crying so much.

“At that point she told me that she had said to me before remember I had something to tell you and I didn’t say anything to you. I told her yes I do remember, and she told me that the problem was that Buddy was touching me

“Q. When she told you that Buddy had touched her when she lived at the apartment, describe her demeanor when she told you that, her tone of voice?

“A. She said it low, at the same time she was trying to still catch her breath from crying and she was just crying and she was with her head down like she wanted to took a look at me and tell me to my face.

“Q. Was she still hugging you?

“A. Yes, she was still hugging me.

“Q. Were you hugging her?

“A. Yes.

“Q. Had you ever seen her like this before?

“A. No, not like that . . .

“Q. Did she ask you to keep this a secret?

“A. Yes.”

Short of imagining a conspiracy of which the aunt was a member, it is hard for me to see how a jury that heard that testimony would think the victim a liar. And again, there is no common sense reason why the jury should not have heard it.

II

In general, the hearsay rule prohibits the admission into evidence of out-of-court statements to prove the truth of the matter stated. This rule applies even to prior statements of a testifying witness that are consistent with the witness's testimony. As the majority explains (majority op at 513), the reason generally given for the exclusion of prior consistent statements is that “an untrustworthy statement is not made more trustworthy by repetition” (*People v McClean*, 69 NY2d 426, 428 [1987]). While this is undoubtedly true, it is also true that jurors are smart enough to know it, and thus in most cases so-called “bolstering” testimony does little harm. Indeed, the most cogent objection to it seems to be that it is generally a waste of time—that it “hinders trial efficiency,” as a law review article quoted by the majority suggests (majority op at 513).

Since the admission of prior consistent statements is rarely prejudicial, courts should be, and often are, willing to relax the rule excluding such statements when their admission will advance the efforts of a factfinder to learn the truth. The prompt outcry rule unquestionably advances those efforts. It was originally justified by the realization that jurors were likely to be suspicious of a rape victim who did not make outcry promptly. The majority quotes (majority op at 512) our explanation for the rule a century and a quarter ago:

“The outrage in such a case upon a virtuous female is so great that there is a natural presumption that at the first suitable opportunity she would make disclosure of it; and she would be so far discredited if she did not make the disclosure, for the purpose of confirming her evidence where she is a witness, such disclosure may be received” (*People v O'Sullivan*, 104 NY 481, 486 [1887]).

Obviously, our understanding of the “natural” reaction of a rape victim has changed since 1887. It is now well-known that, in many cases, it is difficult for the victim to report the crime or to accuse her attacker. And delayed reporting, often understandable in the case of adult victims, is even more so in the case of children abused by adults. No one, surely, would endorse today our statement in *O’Sullivan* that “[a] disclosure in a case of rape has no legal value whatever unless it is the natural result of the horror and sense of wrong which would prompt every virtuous female to make outcry at the first suitable opportunity” (*id.* at 490). This change in our understanding, however, is not a reason to abandon the prompt outcry exception to the hearsay rule (see *People v McDaniel*, 81 NY2d 10, 16-17 [1993]). It is a reason to expand it.

Remote as we are from nineteenth century visions of the natural reaction of an “outraged female,” the question “why didn’t she complain sooner?” is still asked, and will and should continue to be asked, in trials for rape and other forms of sexual abuse. The question is asked not because there can be no good answer to it, but because anyone interested in the truth will want to know what the answer is. When part of the answer is that the victim *did* complain sooner, to a friend or relative in confidence, the jury should know it. To avoid discussion of the question—to pretend that a delay in reporting sexual abuse is totally irrelevant—would be both unfair and self-defeating, because the question will be in jurors’ minds even if lawyers and witnesses do not talk about it.

Recognizing the importance of disclosure evidence in sexual abuse cases, a number of state courts have expanded the traditional prompt outcry rule. Massachusetts has discarded the “requirement of ‘promptness’ or ‘freshness,’ ” finding that it “no longer withstands scrutiny as a cure to the problem of juror stereotyping in cases of sexual assault” (*Commonwealth v King*, 445 Mass 217, 242, 834 NE2d 1175, 1197 [2005]). California has revised its law to hold that proof of an extrajudicial complaint may be admissible “whether it was made promptly after the incident or . . . at a later date” (*People v Brown*, 8 Cal 4th 746, 750, 883 P2d 949, 951 [1994]). And Connecticut, discarding dictum in an earlier case, has rejected the rule that a complaint must have “been made at a ‘natural’ time” (*State v Parris*, 219 Conn 283, 284, 292, 592 A2d 943, 944, 948 [1991]).

I propose that we join those states in recognizing that contemporary understanding of the complexities of reporting

sex crimes calls for a broader exception to the hearsay rule. The rule I would adopt is a simple one: When a victim testifies to an act of rape or sexual abuse, every disclosure of the alleged crime by the victim before it was reported to the authorities should be admissible, subject of course to a trial court's normal power to exclude evidence that is repetitive, unnecessarily inflammatory or otherwise prejudicial. To me, the good that such a rule can do is obvious, and I do not see how it can do any harm.

III

Even if our prompt outcry rule is not broadened, I would reinstate Rosario's conviction, because I believe the victim's note to her boyfriend was properly admitted under the recent fabrication exception to the hearsay rule. Under that exception, when a witness's statement is attacked, directly or by inference, as a recent fabrication, a prior consistent statement made before the alleged motive to fabricate arose is admissible to rebut the attack (*People v McClean*, 69 NY2d at 428).

Rosario's argument here, which the majority accepts, is essentially that the People had to wait for him to make the recent fabrication argument before they rebutted it. As a general rule, of course, the People cannot offer hearsay "in anticipation of" a defense of recent fabrication, to use Supreme Court's unfortunate description of its own ruling in this case. But here, there was more than just "anticipation"—there was certainty. As the majority seems to acknowledge (majority op at 514), a recent fabrication defense was Rosario's only real alternative to a guilty plea. The victim testified that Rosario abused her. If she was not lying, how could there be any reasonable doubt of his guilt?

Before the trial court's ruling admitting the victim's prior consistent statement, Rosario's counsel had made clear enough, though only by implication, that she would pursue the obvious and only line of defense. During voir dire, counsel suggested to prospective jurors "that sometimes a minor . . . might be motivated to make something up if she backs herself in a compromising position"; and "that . . . there are issues between parents and children to the extent that a child might act out and make a false report of something." During her opening statement, defense counsel narrated in meticulous detail the events of the day the victim first complained to the police. Counsel told the jury that the victim wanted to go to the movies with her boyfriend; that her father didn't approve of her going out with a boy; that she was "angry" and "whining about it";

that she then left the house and did not come back; and that she was not found until late in the evening. “So the story begins,” defense counsel said. She did not tell the rest of the story—she did not explicitly link the father-daughter argument to the accusation to the police that was made the same day—but she did not need to. Could there be a juror so dull-witted as to miss the point?

Now that Rosario’s conviction has been reversed, there must be a new trial. One of two things, it seems to me, must happen. Perhaps Rosario’s defense counsel will argue recent fabrication plainly enough to open the door to the prior consistent statement; in that event, the second trial will in substance be a duplicate of the first, with a different jury considering the same issue on the same evidence. Or perhaps defense counsel will tiptoe through the whole second trial as successfully as she did through her opening statement at the first trial, never quite saying “the victim made all this up because she was mad at her father,” but leaving the jury to draw the inference. If that is the case, the jury may acquit Rosario because it believes the victim fabricated her story in anger—though the simple, incontrovertible fact is that she did not.

No good purpose is served by reversing Rosario’s conviction. It should be reinstated.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, PIGOTT and JONES concur with Judge READ; Judge SMITH dissents and votes to reverse in a separate opinion.

In *People v Rosario*: Order affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, PIGOTT and JONES concur with Judge READ; Judge SMITH concurs in result in a separate opinion.

In *People v Parada*: Order affirmed.

[958 NE2d 106, 934 NYS2d 72]

In the Matter of CARLOS RUEDA, M.D., Chairman, Department of Psychiatry, Montefiore North Medical Center, Respondent, v CHARMAINE D., Appellant.

Argued September 7, 2011; decided October 18, 2011

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered August 17, 2010. The Appellate Division, with two Justices dissenting, affirmed so much of an order of the Supreme Court, Bronx County (Mary Ann Brigantti-Hughes, J.), as had granted a petition to retain respondent at the Montefiore North Medical Center.

Matter of Rueda v Charmaine D., 76 AD3d 443, affirmed.

HEADNOTES

Incapacitated and Mentally Disabled Persons — Involuntary Commitment — Standing of Emergency Room Psychiatrist to Seek Commitment

1. Petitioner emergency room psychiatrist was “supervising the treatment of or treating” respondent patient within the meaning of Mental Hygiene Law § 9.27 (b) (11), and so had standing to seek an involuntary commitment of respondent pursuant to section 9.27. The psychiatrist was “a qualified psychiatrist who [wa]s either supervising the treatment of or treating [the patient] for a mental illness in a facility licensed or operated by the office of mental health.” While it is possible to read the words “treatment” and “treating” either broadly, to include a relatively brief physician-patient relationship existing in an emergency room, or more narrowly to exclude it, the broader reading would better serve the purpose of the statute, which is to grant standing to those having a sincere and legitimate interest in the well-being of the patient, and to exclude those whose lack of a significant relationship with the allegedly mentally ill person might create a suspicion that they were simply meddling or acting out of spite. Emergency room psychiatrists are unlikely to abuse the section 9.27 commitment process. Although a regulation of the Department of Mental Hygiene distinguishes “treatment” from such other services as “examination,” “diagnosis,” and “care” (14 NYCRR 72.3 [g]), there was no reason to believe that the Legislature had that regulatory definition in mind when it used the words “supervising the treatment of or treating” in Mental Hygiene Law § 9.27 (b) (11). Moreover, the regulation is expressly limited to its immediate context.

Incapacitated and Mentally Disabled Persons — Involuntary Commitment — Standing of Emergency Room Psychiatrist to Seek Commitment — Emergency Procedure

2. Petitioner emergency room psychiatrist, who applied to have respondent patient involuntarily admitted to a hospital pursuant to Mental Hygiene Law § 9.27, was not required to resort to the emergency procedure contained in

Mental Hygiene Law § 9.39. Involuntary admission under section 9.27 is appropriate where there is a need for “involuntary care and treatment” of a person with a mental illness for which treatment is essential to that person’s welfare, and the person’s judgment is so impaired that he or she is unable to understand the need for treatment. Commitment under section 9.39 is applicable to an emergency situation in which “immediate observation, care, and treatment in a hospital is appropriate” and there is a likelihood of serious harm if the patient is not committed. Section 9.39 has less elaborate procedures than section 9.27, but authorizes a shorter commitment period. Accordingly, section 9.27 describes the general procedure for involuntary hospital admissions while section 9.39 describes a special procedure for emergencies. It does not make sense that those seeking commitment should be required to use the emergency procedure where the non-emergency procedure is adequate. To insist that commitment be pursued under the section having less extensive procedural requirements does not advance the goal of assuring that the rights of those alleged to be mentally ill are fully protected.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Mentally Impaired Persons §§ 6, 7, 9–11, 14, 24.
McKINNEY’S, Mental Hygiene Law § 9.27 (b) (11); § 9.39.
NY JUR 2d, Infants and Other Persons Under Legal Disability §§ 89, 96–98.

ANNOTATION REFERENCE

See ALR Index under Incompetent or Insane Persons; Psychiatry and Psychology.

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POINTS OF COUNSEL

Mental Hygiene Legal Service First Judicial Department, New York City (Namita Gupta, Marvin Bernstein, Diane G. Temkin and Sadie Zea Ishee of counsel), for appellant. I. The Appellate Division erred by finding that a non-treating psychiatrist is a proper applicant under Mental Hygiene Law § 9.27. (*New York City Health & Hosps. Corp. v Brian H.*, 51 AD3d 412; *Matter of M.B.*, 6 NY3d 437; *Matter of Marie H.*, 25 AD3d 704; *Snell v Apfel*, 177 F3d 128; *Bailey v Pataki*, 636 F Supp 2d 288; *Addington v Texas*, 441 US 418.) II. Erroneously admitting an individual under Mental Hygiene Law § 9.27 instead of Mental Hygiene Law § 9.39 deprives the individual of her statutory and

due process rights to a 15-day retention and Mental Hygiene Law § 9.39 hearing. (*Morgan v City of New York*, 32 AD3d 912; *Vitek v Jones*, 445 US 480; *Matter of Pilgrim Psychiatric Ctr. [Christian F.]*, 197 AD2d 204; *Addington v Texas*, 441 US 418; *Matter of Smith v Butler Hosp.*, 144 Misc 2d 554; *Project Release v Prevost*, 551 F Supp 1298, 722 F2d 960; *Matter of Nancy H.*, 177 Misc 2d 30; *Matter of Gladstone*, 143 Misc 2d 646; *New York City Health & Hosps. Corp. v Brian H.*, 51 AD3d 412; *Matter of Boggs v New York City Health & Hosps. Corp.*, 132 AD2d 340, 70 NY2d 972.)

Abrams, Fensterman, Fensterman, Eisman, Greenberg, Formato & Einiger, LLP, Lake Success (*Eric Broutman* of counsel), for respondent. I. A plain reading of Mental Hygiene Law § 9.27 indicates that an emergency room psychiatrist is “either supervising the treatment of or treating” a person with mental illness. (*Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475; *A.J. Temple Marble & Tile v Union Carbide Marble Care*, 87 NY2d 574; *Cole v Mandell Food Stores*, 93 NY2d 34; *People v Cruz*, 48 NY2d 419; *People v Duggins*, 3 NY3d 522.) II. The legislative history of Mental Hygiene Law § 9.27 contemplates expanding the list of applicants beyond those who have a close relationship with the patient. III. Concluding that an emergency room psychiatrist may be an applicant pursuant to Mental Hygiene Law § 9.27 does not disrupt the statutory scheme. (*People v Finnegan*, 85 NY2d 53, 516 US 919.) IV. Charmaine D.’s due process rights were not offended by her admission pursuant to Mental Hygiene Law § 9.27. (*Algarin v New York City Dept. of Correction*, 460 F Supp 2d 469; *Foucha v Louisiana*, 504 US 71; *Addington v Texas*, 441 US 418; *O’Connor v Donaldson*, 422 US 563.)

Eric T. Schneiderman, Attorney General, Albany (*Kate H. Nepveu, Barbara D. Underwood, Andrea Oser and Peter H. Schiff* of counsel), for New York State Office of Mental Health, amicus curiae. When a patient meets the standards for admission provided in both Mental Hygiene Law § 9.27 and § 9.39, physicians have discretion to decide which admissions statute best serves the needs of the patient and the public. (*New York City Health & Hosps. Corp. v Brian H.*, 51 AD3d 412; *Matter of Thomas G.*, 50 AD3d 1139; *Matter of Boggs v New York City Health & Hosps. Corp.*, 132 AD2d 340; *Project Release v Prevost*, 722 F2d 960.)

Moritt Hock & Hamroff LLP, Garden City (*Seth P. Stein and Robert L. Schonfeld* of counsel), for New York State Psychiatric

Association, Inc., amicus curiae. I. An emergency room psychiatrist can apply for the retention of a person with mental illness pursuant to Mental Hygiene Law § 9.27. II. The Appellate Division, First Department, majority decision best preserves the ability of psychiatrists to treat patients. (*Youngberg v Romeo*, 457 US 307; *Mark G. v Sabol*, 93 NY2d 710; *Matter of North Shore Univ. Hosp. v Rosa*, 194 AD2d 727; *P.C. v McLaughlin*, 913 F2d 1033.)

Michael A. Cardozo, Corporation Counsel, New York City (*Drake A. Colley* and *Edward F.X. Hart* of counsel), for New York City Health and Hospitals Corporation, amicus curiae. I. The legislative history of Mental Hygiene Law § 9.27 demonstrates that the Legislature intended to expand the role of those who could apply for a patient's admission to a hospital. (*Project Release v Prevost*, 551 F Supp 1298, 722 F2d 960.) II. If adopted, appellant's position would endanger the community by preventing the admission of dangerous mentally ill individuals and would render care and treatment burdensome in portions of the state. (*Matter of Moran Towing & Transp. Co. v New York State Tax Commn.*, 72 NY2d 166; *Violandi v City of New York*, 184 AD2d 364; *Lee v City of New York*, 162 AD2d 34.)

OPINION OF THE COURT

SMITH, J.

We hold that an emergency room psychiatrist was “supervising the treatment of or treating” a patient within the meaning of Mental Hygiene Law § 9.27 (b) (11), and so had standing to seek an involuntary commitment of the patient pursuant to section 9.27. The psychiatrist was not required to resort to the emergency procedure contained in Mental Hygiene Law § 9.39.

I

Charmaine D. was brought to the emergency room at Jacobi Medical Center. Dr. Amita Shetty, an attending psychiatrist, found Charmaine to be acutely agitated, trying to take her clothes off, and in need of medications and restraints. The doctor learned that Charmaine had a history of bipolar disorder and had been hospitalized four times before. Dr. Shetty concluded that Charmaine was “currently paranoid, grandiose with decreased insight and judgment, poor impulse control, unable to care for self and a potential danger to self” and applied to have her admitted involuntarily to a hospital pursuant to Mental Hygiene Law § 9.27.

Dr. Shetty's application was accompanied by certificates of two other doctors who had examined Charmaine. The patient was transferred (apparently for insurance reasons) to Montefiore North Medical Center, where she was admitted after a fourth doctor confirmed that she needed involuntary care and treatment.

Five days after Charmaine was admitted to Montefiore, petitioner, the director of the psychiatry department at that hospital, applied to Supreme Court for an order that she be retained for 30 days. Charmaine moved to dismiss the retention proceeding, arguing, among other things, that her original commitment was defective because Dr. Shetty was not a proper applicant under Mental Hygiene Law § 9.27. She argued that the only option available to the Jacobi emergency room doctors was to seek her commitment under Mental Hygiene Law § 9.39.

Supreme Court denied the motion to dismiss and ordered Charmaine retained. The Appellate Division, with two Justices dissenting, affirmed (*Matter of Rueda v Charmaine D.*, 76 AD3d 443 [1st Dept 2010]).* Charmaine appeals to us as of right, pursuant to CPLR 5601 (a).

As we understand Charmaine's position, she makes two distinct, though related, arguments: that an emergency room psychiatrist-patient relationship is not enough to create standing for the psychiatrist to seek an involuntary commitment under Mental Hygiene Law § 9.27 (b) (an argument rejected by all five Appellate Division Justices); and that Dr. Shetty could proceed only under Mental Hygiene Law § 9.39, not section 9.27 (an argument the Appellate Division dissenters accepted). We reject both arguments, and affirm the Appellate Division's order.

II

[1] Mental Hygiene Law § 9.27 authorizes the involuntary commitment of mentally ill people who need hospitalization. Standing to apply for a section 9.27 commitment is governed by section 9.27 (b), which lists 11 categories of qualified applicants, including "any person with whom the person alleged to be mentally ill resides" (§ 9.27 [b] [1]); the allegedly mentally ill

* The case was moot when it reached the Appellate Division, because the period of retention had expired, but the Appellate Division correctly held that this case justifies application of the mootness exception for important and recurring questions (*Mental Hygiene Legal Servs. v Ford*, 92 NY2d 500, 505-506 [1998]).

person's parent, spouse, sibling or child, "or the nearest available relative" (§ 9.27 [b] [2]); "the director of community services . . . of the city or county in which any such person may be" (§ 9.27 [b] [5]); and the director of a hospital where the person is hospitalized (§ 9.27 [b] [6]). Petitioner here claims that Dr. Shetty had standing under Mental Hygiene Law § 9.27 (b) (11), which authorizes an application by "a qualified psychiatrist who is either supervising the treatment of or treating such person for a mental illness in a facility licensed or operated by the office of mental health." We agree with petitioner.

As a matter of ordinary English, it is possible to read the words "treatment" and "treating" either broadly, to include the relatively brief physician-patient relationship that exists in an emergency room, or more narrowly to exclude it. Charmaine argues for the narrower reading, interpreting section 9.27 (b) to require that all applicants have or supervise a close relationship with the person proposed for commitment; she says that only a psychiatrist involved in the "prior treatment" of the person should qualify. But we think the broader reading of the statute will better serve its purpose.

The list of proposed applicants in section 9.27 (b) seems to us a legislative attempt to describe categories of people likely to have a sincere and legitimate interest in the well-being of the person they are seeking to have committed. The relationship need not be an intimate one; a local director of community services, for example, may not know the person in question at all. The main point of the list, as we interpret it, is to exclude those whose lack of a significant relationship with the allegedly mentally ill person might create a suspicion that they are simply meddling, or acting out of spite. Emergency room psychiatrists are unlikely so to abuse the section 9.27 commitment process. The statute (which we describe more fully in section III below) contains other safeguards: an application under section 9.27 must be accompanied by two other physicians' certifications (Mental Hygiene Law § 9.27 [a]), and a physician who is a member of the psychiatric staff of the receiving hospital must confirm that the patient needs involuntary care and treatment (Mental Hygiene Law § 9.27 [e]). These provisions should be adequate to protect against ill-founded attempts at commitment.

Charmaine relies on a regulation of the Department of Mental Hygiene, 14 NYCRR 72.3 (g), which defines the term "service" to include several categories, including "treatment," which is distinguished from such other services as "examination,"

“diagnosis,” and “care.” “Treatment” is defined in the regulation as “the service of applying the techniques of professional disciplines such as psychiatry, psychology, social work, or psychiatric nursing in a planned program to improve the functional competence of mentally disabled persons” (14 NYCRR 72.3 [g] [4]). But we see no reason to believe that the Legislature had this regulatory definition in mind when it used the words “supervising the treatment of or treating” in Mental Hygiene Law § 9.27 (b) (11). The regulation is expressly limited to its immediate context: it is contained in 14 NYCRR chapter IV, part 72, whose title is “Definitions Pertaining to This Chapter.” To apply it in the different context of section 9.27 (b) (11) would require courts to examine minutely what happened in an emergency room, in order to decide whether it was part of a “planned program” to improve the patient’s “functional competence.” We do not read the legislation to require any such inquiry.

III

Charmaine’s second argument is that she could have properly been committed only under Mental Hygiene Law § 9.39. The Appellate Division dissent accepted this argument, concluding that a section 9.27 commitment is not available where the prerequisites of section 9.39 are met. The argument requires us to examine the two sections in more detail.

Section 9.27 is entitled “Involuntary admission on medical certification.” It provides a method by which the director of a hospital “may receive and retain therein as a patient any person alleged to be mentally ill and in need of involuntary care and treatment” (Mental Hygiene Law § 9.27 [a]). An admission under section 9.27 requires the execution of three separate documents: an “application” and “certificates of two examining physicians” (Mental Hygiene Law § 9.27 [a], [b]). It also requires that, when the patient is brought to a hospital, the director of that hospital “shall cause such person to be examined forthwith by a physician who shall be a member of the psychiatric staff of such hospital other than the original examining physicians,” and authorizes admission “if such person is found to be in need of involuntary care and treatment” (Mental Hygiene Law § 9.27 [e]). Thus in the normal case—as in this one—four people must agree that involuntary admission is appropriate if the section 9.27 procedures are used.

The substantive prerequisite for admission under section 9.27—a need for “involuntary care and treatment”—is defined in Mental Hygiene Law § 9.01:

“ ‘in need of involuntary care and treatment’ means that a person has a mental illness for which care and treatment as a patient in a hospital is essential to such person’s welfare and whose judgment is so impaired that he is unable to understand the need for such care and treatment.”

A person committed under section 9.27 can be retained without court authorization for up to 60 days; a court order is necessary after that, unless the patient remains in the hospital voluntarily (Mental Hygiene Law § 9.33 [a]). At any time during the 60-day period, the patient or someone representing him or her may apply for a hearing “on the question of need for involuntary care and treatment” (Mental Hygiene Law § 9.31 [a]), which must be held no more than five days after a notice of request for a hearing is received (Mental Hygiene Law § 9.31 [c]). If it is determined at the hearing that the patient “is not mentally ill or not in need of retention,” the court shall order his or her release (*id.*).

Mental Hygiene Law § 9.39 is entitled “Emergency admissions for immediate observation, care, and treatment.” It is apparent from this title, and from several other provisions of section 9.39, that it is designed for emergency situations, in which section 9.27’s procedures might not be adequate to protect the patient or the public. Thus, section 9.39 can be employed only where a person is “alleged to have a mental illness for which *immediate* observation, care, and treatment in a hospital is appropriate” (Mental Hygiene Law § 9.39 [a] [emphasis added]). Section 9.39 can be employed only where the alleged mental illness “is likely to result in serious harm” to the mentally ill person or to others (*id.*). No such requirement is found in section 9.27. “Likelihood to result in serious harm” is precisely, and stringently, defined:

“ ‘Likelihood to result in serious harm’ as used in this article shall mean:

“1. substantial risk of physical harm to himself as manifested by threats of or attempts at suicide or serious bodily harm or other conduct demonstrating that he is dangerous to himself, or

“2. a substantial risk of physical harm to other persons as manifested by homicidal or other violent behavior by which others are placed in reasonable

fear of serious physical harm” (Mental Hygiene Law § 9.39 [a]).

Designed as it is for special cases where “immediate” action is necessary to prevent harm, section 9.39 requires procedures less elaborate than those of section 9.27. Section 9.39 does not require an “application,” or the pre-admission certification of two physicians; a person shall be admitted under section 9.39 “only if a staff physician of the hospital upon examination of such person finds that such person qualifies under the requirements of this section” (Mental Hygiene Law § 9.39 [a]). The patient can be retained no more than 48 hours unless another physician, who is a member of the hospital’s psychiatric staff, confirms the finding (*id.*). A person committed under section 9.39, like one committed under section 9.27, may apply to a court on five days’ notice to be released, but that person can be retained under section 9.39 if the court finds “reasonable cause to believe” that the requirements of the section are met (*id.*).

In keeping with its emergency nature, a section 9.39 commitment is good only for 15 days. The patient can be retained against his or her will after that time only “pursuant to the provisions governing involuntary admission on application supported by medical certification”—i.e., pursuant to section 9.27 (Mental Hygiene Law § 9.39 [b]).

[2] In sum, section 9.27 describes the general procedure for involuntary hospital admissions; section 9.39, a special procedure for emergencies. Charmaine’s theory that she could be committed only under section 9.39, not section 9.27, seems to us inconsistent with the relationship between the two sections. It does not make sense that those seeking commitment should be *required* to use the emergency procedure where the non-emergency procedure is adequate.

Indeed, it is ironic that Charmaine, having argued that the list of persons permitted to file an “application” under section 9.27 should be read restrictively to exclude Dr. Shetty, also argues that the doctor should have proceeded under section 9.39, which does not require an “application” at all. To insist that commitment be pursued under the section having less extensive procedural requirements does not advance the goal of assuring that the rights of those alleged to be mentally ill are fully protected. Also, to accept Charmaine’s argument would create strange results in the case of mentally ill people who clearly meet the substantive standard for commitment under section 9.27 (that hospitalization “is essential to such person’s

welfare”) but might or might not meet the more stringent standard of section 9.39, which requires a “substantial risk of physical harm,” as shown by suicide threats or dangerous conduct. Under the theory of the Appellate Division dissent, a section 9.27 commitment must fail if the patient’s problems are found to be so severe that immediate commitment is necessary.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order affirmed, without costs.

[959 NE2d 463, 935 NYS2d 526]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SHAHID MUHAMMAD, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v GREGORY HILL, Appellant.

Argued September 13, 2011; decided October 20, 2011

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered October 2, 2009. The Appellate Division affirmed a judgment of the Supreme Court, Erie County (Joseph S. Forma, J.), which had convicted defendant, upon a jury verdict, of assault in the first degree.

APPEAL, in the second above-entitled action, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 11, 2010. The Appellate Division affirmed a judgment of the Supreme Court, Erie County (M. William Boller, J.), which had convicted defendant, upon a jury verdict, of assault in the second degree.

People v Muhammad, 66 AD3d 1332, affirmed.

People v Hill, 70 AD3d 1487, modified.

HEADNOTES

Crimes — Verdict — Inconsistent Verdict — Legal Repugnancy Test

1. A verdict as to a particular count in a criminal prosecution shall be set aside as repugnant only when it is inherently inconsistent when viewed in light of the elements of each crime as charged to the jury without regard to the accuracy of those instructions and without regard to the particular facts of the case. The underlying purpose of this rule is to ensure that an individual is not convicted of a crime on which the jury has actually found that the defendant did not commit an essential element. A person cannot be convicted of a crime if a jury has necessarily decided that one of the essential elements was not proven beyond a reasonable doubt. A jury may, however, freely reject evidence and exercise its mercy function by rendering a verdict that appears to be factually illogical, as it is free to extend leniency and may decide not to convict a defendant of one or more charges notwithstanding the court's legal instructions. In light of the difficulty in assessing the basis of jury determinations, the repugnancy test prohibits consideration of the particular facts of the case. Rather, the instructions to the jury will be examined only to determine whether the jury, as instructed, must have reached an inherently self-contradictory verdict.

Crimes — Verdict — Inconsistent Verdict — Assault Conviction and Weapon Possession Acquittal Not Legally Repugnant

2. In criminal prosecutions in which one defendant was accused of shooting his victim and the other defendant was accused of striking his victim in the head with a hammer, the jury verdicts convicting defendants of assault but acquitting them of criminal possession of a weapon were not legally repugnant. In the first prosecution the jury charge explained that the elements of second-degree weapon possession were (1) possession (2) of a loaded firearm (3) with the intent to use it unlawfully against another; and that the elements of first-degree assault were (1) causing serious physical injury (2) by means of a deadly weapon (3) with the intent to inflict serious physical injury. In the second prosecution the jury was charged that third-degree weapon possession required (1) knowing possession (2) of a hammer (3) with intent to use it unlawfully against another; and that second-degree assault required (1) causing physical injury (2) by means of a dangerous instrument (3) with the intent to cause physical injury. Based on the instructions that were given to the juries and viewed from a theoretical perspective without regard to the evidence presented at these trials, it was possible for those juries to acquit defendants of weapon possession but convict them of assault because the former crime contained an essential element that the latter did not: possession. The weapon counts required that defendants physically possess their respective weapons or exercise dominion or control over them (*see* Penal Law § 10.00 [8]; § 265.02 [1]; § 265.03 [1] [b]). The assault counts, however, required that defendants injure the victims “by means of” the weapons (Penal Law § 120.05 [2]; § 120.10 [1]) and that result could have been accomplished without possessing those instruments. However, as jurors may need additional guidance in weapon possession prosecutions in multicount indictments, it would be better practice for a jury to be instructed that the intent element is satisfied if the defendant intended to use the weapon unlawfully against another at any time during the period of possession.

Crimes — Identification of Defendant — Expert Testimony on Reliability of Eyewitness Identifications

3. In the prosecution of defendant for allegedly shooting the victim during a street altercation in which the only evidence connecting defendant to the crime was the identification of defendant by the victim, who had known defendant for years prior to the shooting, it was not an abuse of discretion as a matter of law for the trial court to deny defendant’s request to introduce expert testimony on the topic of eyewitness identifications. As a general rule, it is an abuse of discretion to deny a motion for expert testimony on eyewitness identifications in a case that depends solely on the accuracy of eyewitness testimony if there is no corroborating evidence connecting the defendant to the commission of the charged crime and the proposed testimony satisfies the general criteria for the admissibility of expert proof. Although this was a single eyewitness case with no corroborating evidence and the shooter did not have any unusual or distinctive features or physical characteristics, the victim testified that he knew defendant for over a decade prior to the shooting, spoke to him shortly before the altercation and recognized defendant at the time of the attack. That prior relationship took any issue regarding human memory formation and recollection out of the case, and an average juror would have been capable of assessing whether a person in the victim’s situation had an adequate opportunity to observe someone he had known for so long. Moreover, the defense never directly challenged the victim’s ability to observe or recall who shot him, but instead sought to characterize his testimony implicating

defendant as a lie, which further removed the scope of the proposed expert testimony from the issues presented to the jury.

Crimes — Appeal — Matters Reviewable — Affirmance on Ground Not Decided Adversely to Appellant

4. In a criminal prosecution where defendant moved to suppress evidence that was obtained during a warrantless search of his home and in a vestibule outside of his abode and the trial court found that defendant consented to the police officers' entry into his apartment, that statements he made to them were voluntary and that he had no reasonable expectation of privacy in the vestibule, the Appellate Division's conclusion that exigent circumstances justified the search was an improper rationale for affirming the denial of the motion to suppress. Under CPL 470.15 (1), an appellate court cannot affirm an order on a ground not decided adversely to the appellant by the trial court. Because the suppression court did not deny the motion on the ground that there were exigent circumstances, that issue was not decided adversely to defendant and it could not be invoked by the Appellate Division. As a result, the matter was remitted to the Appellate Division for consideration of the suppression issues that were properly raised but not determined by it.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 774, 775; AM JUR 2d, Assault and Battery §§ 15, 22, 81; AM JUR 2d, Evidence §§ 612, 614; AM JUR 2d, Expert and Opinion Evidence §§ 335-337; AM JUR 2d, Searches and Seizures §§ 14, 133; Trial §§ 1557-1559; AM JUR 2d, Weapons and Firearms §§ 9, 10.

CARMODY-WAIT 2d, Verdict and Postverdict Proceedings §§ 202:11-202:13; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:111, 207:112, 207:132.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 10.1, 10.6, 24.4, 24.10, 27.5.

McKINNEY'S, CPL 470.15 (1); Penal Law § 10.00 (8); § 120.05 (2); § 120.10 (1); § 265.02 (1); § 265.03 (1) (b).

NY JUR 2d, Criminal Law: Procedure §§ 1599, 1617, 1618, 1620, 2191, 2203, 2841, 2842, 3584, 3585; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 19, 395, 396, 417, 419, 420, 1873, 1877.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Assault and Battery; Exclusion and Suppression of Evidence; Expert and Opinion Evidence; Verdicts; Weapons and Firearms.

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POINTS OF COUNSEL

Law Office of Thomas J. Eoannou, Buffalo (*Jeremy D. Schwartz* of counsel), for appellant in the first above-entitled action. I. The jury's verdict, finding defendant guilty of count two, assault in the first degree, and not guilty of count three, criminal possession of a weapon in the second degree, was repugnant. (*People v Tucker*, 55 NY2d 1; *People v Loughlin*, 76 NY2d 804; *People v Williams*, 87 AD2d 876; *People v Bennette*, 23 AD3d 489.) II. The trial court erred in denying defendant's motion for authorization and use at trial of an expert witness on the issue of eyewitness identity. (*People v Lee*, 96 NY2d 157; *People v LeGrand*, 8 NY3d 449; *People v Abney*, 13 NY3d 251.)

Frank A. Sedita, III, District Attorney, Buffalo (*Michelle Cianciosa*, *J. Michael Marion* and *Donna A. Milling* of counsel), for respondent in the first above-entitled action. I. The verdict was not repugnant. (*People v Tucker*, 55 NY2d 1; *People v Williams*, 87 AD2d 876.) II. The court properly exercised its discretion in denying defendant's application for an expert on identification. (*People v Lee*, 96 NY2d 157.)

Legal Aid Bureau of Buffalo, Inc., Buffalo (*Nicholas T. Texido*, *David C. Schopp* and *Barbara J. Davies* of counsel), for appellant in the second above-entitled action. I. The jury's verdict was repugnant where appellant was convicted of intentionally striking the victim with a hammer but acquitted of possessing the hammer with unlawful intent. (*People v Tucker*, 55 NY2d 1; *People v Afrika*, 291 AD2d 880; *People v Haymes*, 34 NY2d 639; *People v Sackes*, 11 AD3d 364; *People v Smith*, 235 AD2d 558; *People v Brewer*, 186 AD2d 88; *People v Cole*, 35 AD3d 911.) II. The court erred in denying suppression of appellant's statements made to police after officers unlawfully entered his home without a warrant, exigent circumstances, or consent. Further, the court erred in refusing to suppress bloody sheets found in appellant's hallway. (*Payton v New York*, 445 US 573; *People v Burr*, 70 NY2d 354; *Wong Sun v United States*, 371 US 471; *Nix v Williams*, 467 US 431; *People v Wood*, 31 NY2d 975; *People v Vennor*, 176 AD2d 1217; *People v Mealer*, 57 NY2d 214.)

Frank A. Sedita, III, District Attorney, Buffalo (*Michael J. Hillery* and *Donna A. Milling* of counsel), for respondent in the second above-entitled action. I. The verdict was not repugnant. (*People v Tucker*, 55 NY2d 1; *People v Sackes*, 11 AD3d 364, 4 NY3d 748; *People v Haymes*, 34 NY2d 639.) II. The court was correct in denying suppression of defendant's statements to

police. (*People v Hallman*, 92 NY2d 840; *People v Molnar*, 98 NY2d 328.)

OPINION OF THE COURT

GRAFFEO, J.

The primary issue in these appeals is whether the jury verdicts convicting defendants of assault but acquitting them of criminal possession of a weapon are legally repugnant. For the reasons that follow, we hold that the verdicts are valid.

I

People v Muhammad:

Defendant Shahid Muhammad was indicted for attempted murder in the second degree (Penal Law §§ 110.00, 125.25 [1]), assault in the first degree (Penal Law § 120.10 [1]) and criminal possession of a weapon in the second degree (Penal Law § 265.03 [1] [b]) for allegedly shooting another man several times during a street altercation. The victim, who had known Muhammad for years prior to the shooting, was the only eyewitness. Before trial, defense counsel sought permission to introduce expert testimony on the topic of eyewitness identifications. The trial court denied the request on the basis that the jurors were capable of evaluating the victim's opportunity to observe the shooter and weigh the significance of his initial failure to identify the gunman to police.

At the conclusion of proof, the judge charged the jury that Muhammad could be convicted of first-degree assault if he "caused serious physical injury to [the victim] by means of a deadly weapon, and that he did so with an intention to cause such serious physical injury" to the victim. On the count of second-degree weapon possession, the jury was instructed that the People had to prove that Muhammad "possessed a loaded firearm. Two. That he did so knowingly. Three. That the gun was operable. Four. That he possessed this firearm with the intent to use it unlawfully against" the victim.

After deliberation, the jury acquitted Muhammad of attempted murder and second-degree weapon possession but found him guilty of first-degree assault. Before the jury was discharged, defense counsel objected to the verdict on the ground that the weapon possession acquittal was repugnant to the conviction for assault. The trial court rejected that argument, stating that the jury was allowed to infer that Muhammad

“possessed the gun without a criminal intent, or an intent to use it unlawfully earlier in the evening prior to deciding to shoot” the victim.

The Appellate Division affirmed (66 AD3d 1332 [4th Dept 2009]), holding that the verdict was not repugnant because the trial court’s instructions “ ‘did not preclude the jury from concluding that defendant initially possessed the loaded pistol without intending to use it unlawfully against another, but decided to fire the gun at [the victim] as events unfolded’ ” (*id.* at 1333, quoting *People v Afrika*, 291 AD2d 880, 881 [4th Dept 2002], *lv denied* 98 NY2d 648 [2002]).

A Judge of this Court granted defendant leave to appeal (13 NY3d 940 [2010]).

People v Gregory Hill:

Defendant Gregory Hill was indicted for assault in the second degree (Penal Law § 120.05 [2]) and criminal possession of a weapon in the third degree (Penal Law § 265.02 [1]) for allegedly hitting an acquaintance in the head with a hammer after he became angry when the contents of an ashtray and beer were spilled on his couch. Prior to jury deliberations, the trial court instructed the jurors that to convict Hill of second-degree assault, they had to find that he “caused physical injury to [the victim] by means of a dangerous instrument; and, two, that the Defendant did so with the intent to cause physical injury” to the victim. On the count of third-degree weapon possession, the jurors were charged that the People had to prove that “Hill possessed a hammer; two, that the Defendant did so knowingly; and, three, that the Defendant did so with intent to use such hammer unlawfully against another.”

The jury subsequently issued two notes indicating that their deliberations had resulted in a deadlock and the trial court responded with *Allen* charges. The jury ultimately found Hill not guilty of third-degree weapon possession but guilty of second-degree assault. Before the jury was discharged, defense counsel objected to the verdict on repugnancy grounds, claiming that Hill could not have intentionally assaulted the victim with a hammer unless he also possessed the hammer with the intent to use it unlawfully against the victim. The trial court disagreed, denied the motion and discharged the jury.

In affirming the judgment (70 AD3d 1487 [4th Dept 2010]), the Appellate Division concluded that the verdict was not repugnant because the trial court’s charge did not preclude the

jury from deciding that Hill did not have an intent to use the hammer unlawfully when he initially possessed it. The court found Hill's other arguments to be meritless.

A Judge of this Court granted Hill leave to appeal (15 NY3d 774 [2010]).

II

Defendants contend that the verdicts were legally repugnant because it is impossible to intentionally injure a person with a weapon that a jury has found the accused did not possess with the intent to use unlawfully. Their argument is focused on the intent elements of assault and weapon possession, claiming that it is inconsistent for a jury to find that a defendant did not possess a weapon with an intent to use the weapon unlawfully against another person and, at the same time, determine that a defendant intended to inflict serious physical injury with the weapon. The People, in contrast, adopt the rationale of the Appellate Division and claim that the jury instructions in these cases allowed the jurors to consider the state of mind of the accused at the time the weapon was initially possessed or acquired and before the formation of an intent to use it unlawfully against another.

The issue of repugnant verdicts has long been grappled with by the courts in our nation (*see e.g. Dunn v United States*, 284 US 390 [1932, Holmes, J.]). The U.S. Supreme Court settled this question for federal courts when it unanimously held that the Federal Constitution does not prohibit a jury from rendering a verdict that is inherently inconsistent (*see e.g. United States v Powell*, 469 US 57, 63 [1984], citing *Harris v Rivera*, 454 US 339, 346 [1981] [a jury has the “unreviewable power . . . to return a verdict of not guilty for impermissible reasons”]). The Supreme Court has further declined to address repugnancy under its supervisory powers over the federal criminal process because, among other reasons, “[s]uch an individualized assessment of the reason for the inconsistency would be based either on pure speculation, or would require inquiries into the jury’s deliberations that courts generally will not undertake” (*Powell*, 469 US at 66, quoted in *People v Rayam*, 94 NY2d 557, 563 [2000]). Hence, federal courts do not review verdicts under the theory of repugnancy.

[1] New York, in contrast, has chosen a more moderate approach that extends better protection against verdicts that are inherently repugnant on the law. Our standard for judging

whether a verdict is legally repugnant was articulated in 1981 in *People v Tucker* (55 NY2d 1 [1981]). We held that “a verdict as to a particular count shall be set aside” as repugnant “only when it is inherently inconsistent when viewed in light of the elements of each crime as charged to the jury” (*id.* at 4) without regard to the accuracy of those instructions (*see id.* at 7; *see also People v Green*, 71 NY2d 1006, 1008 [1988]; *People v Hampton*, 61 NY2d 963, 964 [1984]). The underlying purpose of this rule is to ensure that an individual is not convicted of “a crime on which the jury has actually found that the defendant did not commit an essential element, whether it be one element or all” (*Tucker*, 55 NY2d at 6). A person cannot be convicted of a crime if a jury has necessarily decided that one of the essential elements was not proven beyond a reasonable doubt.¹

We recognized in *Tucker* that a jury “may freely reject evidence and exercise its mercy function” by rendering a verdict that appears to be factually illogical (*id.* at 8). A jury is therefore free to extend leniency and may decide not to convict a defendant of one or more charges notwithstanding the court’s legal instructions. In light of the difficulty in assessing the basis of jury determinations, we devised a repugnancy test in *Tucker* that prohibits consideration of the particular facts of the case (*Tucker*, 55 NY2d at 4, 6-7; *see e.g. People v Rayam*, 94 NY2d at 561; *People v Johnson*, 70 NY2d 819, 820 [1987] [a repugnancy claim must be “(e)xamined against the elements of the crimes as charged by the trial court and without regard to the particular facts of the case’’]).² Thus, under the *Tucker* rule, “[t]he instructions to the jury will be examined only to determine whether the jury, as instructed, must have reached an inherently self-contradictory verdict” (*Tucker*, 55 NY2d at 8; *see also People v Trappier*, 87 NY2d 55, 58 [1995]).

Tucker is essentially a variant of the “theoretical impossibility” test that is applied in the realm of lesser included offenses (*see e.g. People v Davis*, 14 NY3d 20, 22-23 [2009]). Under this comparable approach, a verdict is repugnant only if it is legally

1. The remedy for this type of error is dismissal of the repugnant conviction (*see e.g. People v Hampton*, 61 NY2d at 964; *People v Carbonell*, 40 NY2d 948, 948-949 [1976]).

2. This precedent refutes the dissent’s assertion that *Tucker* “does not mandate that we evaluate the elements of a crime charged in the abstract” (dissenting op at 553). Indeed, *Tucker* itself rejected a repugnancy approach that would allow a court to examine the entire record in favor of a test that considers only the elements as charged to the jury (*see People v Rayam*, 94 NY2d at 561). This erroneous premise infects the dissent’s entire rationale.

impossible—under all conceivable circumstances—for the jury to have convicted the defendant on one count but not the other. If there is a possible theory under which a split verdict could be legally permissible, it cannot be repugnant, regardless of whether that theory has evidentiary support in a particular case (see *People v Vargus*, 79 AD3d 526, 527 [1st Dept 2010], *lv denied* 16 NY3d 800 [2011]). In this context, the apparently illogical nature of the verdict—as opposed to its impossibility—is viewed as a mistake, compromise or the exercise of mercy by the jury, none of which undermine a verdict as a matter of law (see generally *People v Horne*, 97 NY2d 404, 413 [2002]; *People v Rayam*, 94 NY2d at 561-563; *People v Goodfriend*, 64 NY2d 695, 697 [1984]; *People v Tucker*, 55 NY2d at 7).

We further explained in *Tucker* how the repugnancy analysis should operate (see 55 NY2d at 6 n 2). As an example, *Tucker* cited a case where charge 1 requires proof of elements A, B and C; charge 2 requires proof of elements A, B, C and D. If the jury convicts a defendant on the second charge, thereby finding that all four elements have been proven beyond a reasonable doubt, but acquits on the first charge, the verdict is repugnant since the acquittal “would necessarily involve a finding that at least one of the essential elements of charge 2”—either A, B or C—was not proven beyond a reasonable doubt (*id.*). As an extension of that hypothetical, if in another case the elements of charge 1 were A, B, C and E (rather than D), an acquittal on that count would not necessarily negate guilt on charge 2 because the jury could have found that element E—which was not an element of charge 2—was not proven by the People beyond a reasonable doubt, but elements A, B, C and D were. Under the latter scenario, there is no legal repugnancy.

The crimes at issue in *Tucker* also provide insight into the proper analytical framework to review repugnancy. Tucker was charged with four counts of robbery, one count of grand larceny and one count of criminal possession of a weapon. The jury acquitted him of counts one (robbery while armed with a deadly weapon) and two (use or threatened use of a dangerous weapon), but convicted him of counts three (displaying what appeared to be a handgun), four (being aided by another person actually present) and six (possession of a loaded firearm).³ The trial court’s charge on counts one and two explained that the People

3. Count five, charging grand larceny, was not considered by the jury because it was a lesser included offense of the first four counts.

had to prove that the firearm was operable, but that element was omitted from the instructions on the weapon possession charge in count six.⁴

We observed that the jury could have found—“however illogically” (55 NY2d at 8)—that the People did not prove operability. Under that theoretical proposition, we reasoned “there would have been no inherent inconsistency in the acquittals on counts 1 and 2, both of which require[d] a finding of operability, and the conviction on count 6,” which did not (*id.* at 9). Nor was there any inherent inconsistency between the acquittals and the conviction on count three (displaying what appears to be a firearm) because the People were not required to prove operability under the third count and the jury could have found that Tucker failed to prove the affirmative defense that the gun was inoperable (*see id.*). Consequently, the verdict in *Tucker* was deemed not repugnant.

[2] We reach a similar conclusion in the two appeals before us. In *Muhammad*, the jury charge explained that the elements of second-degree weapon possession were (1) possession (2) of a loaded firearm (3) with the intent to use it unlawfully against another; and that the elements of first-degree assault were (1) causing serious physical injury (2) by means of a deadly weapon (3) with the intent to inflict serious physical injury. In *Hill*, the jury was charged that third-degree weapon possession required (1) knowing possession (2) of a hammer (3) with intent to use it unlawfully against another; and that second-degree assault required (1) causing physical injury (2) by means of a dangerous instrument (3) with the intent to cause physical injury.⁵

Based on the instructions that were given to the juries and viewed from a theoretical perspective without regard to the evidence presented at these trials, it was possible for these juries to acquit defendants of weapon possession but convict them of assault because the former crime contains an essential element that the latter does not: possession. The weapon counts required that defendants physically possess their respective weapons or

4. Operability was therefore akin to the hypothetical “element E” in the preceding paragraph.

5. Both defendants raised a repugnancy claim before the jurors were discharged (*see e.g. People v Carter*, 7 NY3d 875, 876 [2006]). The preservation requirement is important because if a trial court finds that an announced verdict is repugnant, it may explain the inconsistency to the jurors and direct them to reconsider their decision (*see CPL 310.50 [2]; People v Loughlin*, 76 NY2d 804, 806 [1990]).

exercise dominion or control over them (*see* Penal Law § 10.00 [8]; § 265.02 [1]; § 265.03 [1] [b]). The assault counts, however, required that defendants injure the victims “by means of” the weapons (Penal Law § 120.05 [2]; § 120.10 [1]) and that result could have been accomplished without possessing those instruments.⁶ There are many circumstances under which it would be rational for a jury to find that a defendant assaulted someone but did not concomitantly possess a weapon. For example, if an assailant throws someone in front of a moving bus or subway train, he can commit assault without “possessing” the bus or subway.⁷ Other examples of assault without possession of an injury-causing instrumentality include a situation where the People fail to prove that a handgun was operable but show that the accused used it as a dangerous instrument to pistol whip the victim and cause physical injury, or if the accused impaled a person on a weapon without having physical control over it. Hence, in theory, it is possible for a jury to find—without being legally repugnant—that a defendant intentionally caused injury by means of a weapon without also possessing the item. That reasoning controls in these cases.

Because our repugnancy analysis requires that we review the elements of the offenses as charged to the jury without regard to the proof that was actually presented at trial, we cannot say that the convictions were repugnant. Since a hypothetical jury could have acquitted defendants of weapon possession based on the possession element, it cannot be assumed—as a matter of law—that the juries necessarily found that defendants lacked an intent to use the weapons unlawfully against another.⁸ The acquittals on the weapon possession counts did not inherently negate the intent to cause serious physical injury element of first-degree assault or the intent to cause physical injury element of second-degree assault. Under the *Tucker* test, we

6. *See e.g. People v Galvin* (65 NY2d 761, 762 [1985]).

7. Contrary to the dissent’s suggestion (*see* dissenting op at 552), our point is not that these situations would never result in a weapon possession charge, but that it is theoretically possible for a person to injure another “by means of” a weapon without necessarily possessing it.

8. *Cf. People v Loughlin* (76 NY2d at 806-807 [convictions of criminally negligent homicide and vehicular assault meant that the jury necessarily found that the defendant killed a victim with criminal negligence and drove while intoxicated for purposes of determining that an acquittal on vehicular manslaughter was repugnant to the vehicular assault conviction because the jury could not find that the defendant both did and did not drive under the influence]).

conclude that, based on the instructions that were issued to the juries, the verdicts in these cases need not be invalidated.

Although the Appellate Division reached the correct result, it did not apply the *Tucker* analysis but instead attempted to reconcile the verdicts based on the proof that was actually presented in these cases. Nevertheless, the Appellate Division's reasoning demonstrates why we cannot accept defendants' invitation to assume that these juries were irrational. The Appellate Division believed that the jury charges on weapon possession—which were essentially identical to the charge recommended by the pattern Criminal Jury Instructions (CJI)—allowed the jurors to consider whether defendants had an unlawful intent to use the weapons at the time they were initially acquired or possessed, before they were used unlawfully. And, the parties did not ask for and the trial courts did not charge the expanded intent instruction. If they had, the juries would have been told that it was permissible to convict defendants of weapon possession if the requisite mens rea was formed at any time that the weapons were in their control—including the instant the weapons were used against the victims (*see e.g.* CJI2d[NY] Culpable Mental States—Intent [“The intent can be formed, and need only exist, at the very moment the person engages in prohibited conduct or acts to cause the prohibited result, and not at any earlier time”])).

Because the jurors were not informed about this principle, it is entirely conceivable that they misunderstood the timing factor of the mens rea requirement and separated the charges into two different temporal periods—weapon possession before the attacks occurred (i.e., prior to the formation of an intent to injure); and assault once the attacks began—instead of realizing that both crimes could have occurred simultaneously and that the intent to use the weapons unlawfully could reasonably be inferred from their criminal use. This would not have been the first time a jury was confused about the continuing nature of a weapon possession offense (*see e.g. People v Haymes*, 34 NY2d 639, 640 [1974], *cert denied* 419 US 1003 [1974]). From a practical perspective, the Appellate Division's approach may very well explain the reasoning of the jurors in these cases. But from a legal standpoint, the question is not whether there was proof that these defendants possessed weapons innocently at some point and later developed an unlawful intent—it is whether a theoretical defendant charged with the same offenses (as framed by the actual jury instruction) could have been guilty of one but not the other.

In the absence of demonstrable legal repugnancy—i.e., a factual finding by the jury that the People necessarily failed to prove an element of a convicted offense—it is simply impossible for us to know why the jurors acquitted defendants of weapon possession (*see generally United States v Powell*, 469 US at 66). Such sheer conjecture about what actually occurred in the minds of the jurors during deliberations is the reason why our precedent precludes judges from “intrud[ing] into the jury’s deliberative process” (*Tucker*, 55 NY2d at 7) and requires repugnancy to be analyzed from a theoretical perspective. Jurors are allowed to compromise, make mistakes, be confused or even extend mercy when rendering their verdicts—a principle not acknowledged by the dissent.

Indeed, verdicts of this nature are not uncommon.⁹ This suggests that jurors may need additional guidance in some weapon possession prosecutions. In Hill’s case, for example, the jury may have thought that he possessed his weapon—a common household hammer—for an extended period of time with the intent to use it as a tool rather than as an instrument of harm, and acquitted him on that basis. Even assuming this to be true, however, an initial period of innocent possession, no matter how long in duration, is not determinative of a person’s guilt for weapon possession because a criminal intent can arise moments before the item is used for a criminal purpose—but Hill’s jury may have been unaware of this fact.

Although as a Court we are divided on whether the convictions here were valid, we are unanimous in recommending that it would be a better practice for counsel to request and trial judges to add additional language to the jury instructions for weapon possession in multicount indictments. For example, the suggested CJI charge for fourth-degree weapon possession states that “INTENT means conscious objective or purpose . . . a person acts with intent to use a (*specify*) unlawfully against another when his or her conscious objective or purpose is to use it unlawfully against another” (CJI2d[NY] Penal Law § 265.01

9. See e.g. *People v Francois* (85 AD3d 813, 814 [2d Dept 2011]); *People v Gross* (71 AD3d 1526, 1526-1527 [4th Dept 2010], *lv denied* 15 NY3d 774 [2010]); *People v Malave* (52 AD3d 1313, 1314 [4th Dept 2008], *lv denied* 11 NY3d 790 [2008]); *People v Bennette* (23 AD3d 489 [2d Dept 2005]); *People v Sackes* (11 AD3d 364, 365 [1st Dept 2004], *lv denied* 4 NY3d 748 [2004]); *People v Afrika* (291 AD2d 880, 881 [4th Dept 2002], *lv denied* 98 NY2d 648 [2002]); *People v Mabry* (288 AD2d 326 [2d Dept 2001], *lv denied* 97 NY2d 706 [2002]); *People v Fuller* (200 AD2d 498 [1st Dept 1994], *lv denied* 83 NY2d 871 [1994]).

[2]). The potential for the jury to misunderstand the nature of the mens rea requirement could be minimized by explaining that the intent element is satisfied if the defendant intended to use the weapon unlawfully against another at any time during the period of possession, including when the weapon was allegedly used for the alleged unlawful act. This language, or some other version of the relevant portion of the expanded intent charge in the CJI, would provide more useful instruction to jurors on the governing principles of law.

We stress that the issue before us is whether the verdicts were *legally* repugnant, not whether they were *factually* repugnant. If the juries in these cases had been specifically informed that defendants' intent at the moment of the attacks was relevant to the weapon possession counts, we might agree that a split verdict would be factually irreconcilable. Where that is true, the trial judge may not be required to accept the verdicts, even if they are not legally repugnant. The parties have not identified anything in the Criminal Procedure Law or our precedent that restricts a trial judge's discretion to address the jury when a verdict appears to be inconsistent with the evidence presented. If such a concern arises, the judge can point out the apparent inconsistency to the jurors, issue further appropriate instructions and ask them to continue deliberations. But a failure to take such action would not be an abuse of discretion as a matter of law since factual repugnancy—which can be attributed to mistake, confusion, compromise or mercy—does not provide a reviewing court with the power to overturn a verdict under *Tucker* and its progeny.

III

Defendant Muhammad also contends that the trial court abused its discretion as a matter of law when it denied his motion to present expert testimony on eyewitness identifications because the victim was the only witness who implicated defendant and the identification was not corroborated. The People assert that it was not an abuse of discretion to deny the motion because the primary theory of the defense was not that the reliability of the identification was suspect, but that the victim lied about the identity of the shooter, and as such an expert was unnecessary since the victim had known defendant for many years and had spoken to him shortly before the incident occurred.

As a general rule, it is an abuse of discretion to deny a motion for expert testimony on eyewitness identifications in a case that

depends solely on the accuracy of eyewitness testimony if there is no corroborating evidence connecting the defendant to the commission of the charged crime and the proposed testimony satisfies the general criteria for the admissibility of expert proof (see *People v Abney*, 13 NY3d 251, 267 [2009]; *People v LeGrand*, 8 NY3d 449, 452 [2007]). Our concern in recent years has arisen from psychological studies that have addressed the potential for misidentification when a person observes an assailant—usually a stranger—for the first time in a highly stressful environment (see *People v Santiago*, 17 NY3d 661 [2011] [decided today]).

[3] Although *Muhammad* is a single eyewitness case (see *People v Abney*, 13 NY3d at 268) with no corroborating evidence (cf. *People v Allen*, 13 NY3d at 269; *People v Young*, 7 NY3d 40, 46 [2006]; *People v Lee*, 96 NY2d 157, 163 [2001]), and the shooter did not have any “unusual or distinctive features or physical characteristics” (*People v Abney*, 13 NY3d at 268), the victim testified that he knew defendant for over a decade prior to the shooting, spoke to him shortly before the altercation and recognized defendant at the time of the attack (compare *People v Allen*, 13 NY3d at 262-263 [witnesses had known the defendant from the neighborhood for several months and immediately recognized him during the robbery], with *People v Santiago*, 17 NY3d at 664 [the defendant and victim were strangers] and *People v LeGrand*, 8 NY3d at 452-453 [the defendant was not previously known to the witnesses and was not identified until seven years after the crime]). This prior relationship took any issue regarding human memory formation and recollection out of the case, rendering the victim’s ability to perceive his attacker as the only aspect on which expert testimony was even potentially relevant. As the trial judge aptly recognized, an average juror would have been capable of assessing whether a person in the victim’s situation had an adequate opportunity to observe someone he had known for so long. Moreover, the defense never directly challenged the victim’s ability to observe or recall who shot him, but instead sought to characterize his testimony implicating defendant as a lie, thereby further removing the scope of the proposed expert testimony from the issues presented to the jury.

On these facts, we hold that it was not an abuse of discretion as a matter of law for the trial court to deny defendant’s request for expert testimony.

IV

As a final matter, defendant Hill maintains that Supreme Court erroneously denied his motion to suppress evidence that was obtained during a warrantless search of his home and in a vestibule outside of his abode. The court found that defendant consented to the police officers' entry into his apartment, that statements he made to them were voluntary and that he had no reasonable expectation of privacy in the vestibule. The Appellate Division affirmed, concluding that exigent circumstances justified the search.

[4] The Appellate Division's rationale for affirming the denial of the motion to suppress was improper. We recently reiterated that, under CPL 470.15 (1), an appellate court cannot affirm an order "on a ground not decided *adversely* to the appellant by the trial court" (*People v Concepcion*, 17 NY3d 192, 195 [2011]). Because the suppression court did not deny the motion on the ground that there were exigent circumstances, that issue was not decided adversely to defendant and it could not be invoked by the Appellate Division. As a result, this matter is remitted to that court for consideration of the suppression issues that were properly raised but not determined by it.

Accordingly, in *People v Muhammad*, the order of the Appellate Division should be affirmed. In *People v Hill*, the order of the Appellate Division should be modified by remitting to that court for further proceedings in accordance with this opinion and, as so modified, affirmed.

CIPARICK, J. (dissenting). When an acquittal of one crime, as charged, negates the existence of an essential element of another crime, as charged, for which a defendant has been convicted, the conviction must be set aside. This is the lesson from *People v Tucker* (55 NY2d 1 [1981]), wherein we enunciated a standard for determining whether a jury verdict is legally repugnant. Because I believe the jury verdicts in these cases were clearly repugnant under that standard, I respectfully dissent and would vote to reverse the convictions in both cases.

In *Tucker*, we recognized that, in reviewing the validity of a jury verdict, "[t]he critical concern is that an individual not be convicted for a crime on which the jury has actually found that the defendant did not commit an essential element, whether it be one element or all" (55 NY2d at 6). We went on to say that "[a]llowing such a verdict to stand is not merely inconsistent with justice, but is repugnant to it" (*id.*). In determining

whether a jury verdict is repugnant, a court must look “to the record only to review the jury charge so as to ascertain what essential elements were described by the trial court” (*id.* at 7). We stated that, “[u]nder this approach, a conviction will be reversed only in those instances where acquittal on one crime as charged to the jury is conclusive as to a necessary element of the other crime, as charged, for which the guilty verdict was rendered” (*id.*).

We concluded in *Tucker* that the jury verdict in that case was not repugnant. There, in a multiple count indictment, a grand jury had charged the defendant with four counts of robbery, one count of grand larceny and one count of criminal possession of a weapon. Following its deliberations, the jury acquitted the defendant of count one, first-degree robbery under the theory that the defendant forcibly stole property while armed with a deadly weapon (*see* Penal Law § 160.15 [2]) and count two, first-degree robbery under the theory that the defendant forcibly stole property while using or threatening the immediate use of a dangerous instrument (*see* Penal Law § 160.15 [3]). The jury, however, convicted the defendant of count three, first-degree robbery under the theory that the defendant forcibly stole property and displayed what appeared to be a firearm (*see* Penal Law § 160.15 [4]) and count four, second-degree robbery under the theory that the defendant forcibly stole property while being aided by another person actually present (*see* Penal Law § 160.10 [1]). It also convicted the defendant of count six, third-degree criminal possession of a weapon under the theory that the defendant possessed a loaded firearm (*see* former Penal Law § 265.02 [4]).¹

On appeal in *Tucker*, the defendant contended, in part, that the jury’s decision to convict him of the weapon possession count under count six, but acquit him of armed robbery under count one could only mean that the jury concluded “no forcible stealing occurred” (*id.* at 5 [internal quotation marks omitted]). According to the defendant, since the jury determined that the evidence did not support a finding that he forcibly stole property under count one, the jury’s decision to convict him of the robbery charges under counts three and four, which likewise required proof of this essential element, rendered the verdict repugnant (*see id.*).

1. As the majority notes (*see* majority op at 540 n 3), the jury in *Tucker* did not consider the grand larceny count (the property, regardless of its value, is taken from the person of another) since it was a lesser included offense of the robbery charges.

In rejecting the defendant's interpretation of the verdict, we examined the specific elements of the court's charge. We noted that, although the court instructed that the People had to prove that the firearm was operable to sustain a robbery conviction under counts one and two, the court omitted that element from its instructions on the weapon possession charge under count six (*see id.* at 8-9). Accordingly, the jury's finding that the defendant possessed a loaded firearm did not necessarily translate into a finding that such firearm was operable (*see id.* at 9 n 6). Thus, contrary to the defendant's assertions on appeal, the jury's decision to acquit him of the robbery charges under counts one and two did not mean that the jury had to necessarily find that the evidence did not support the element of forcible stealing. Rather, "[i]n considering counts 1 and 2, the jury could [have] conclude[d] that the prosecutor failed to prove beyond a reasonable doubt that the gun was capable of firing, and therefore acquit[ted]" on that basis (*id.* at 9). We further observed that such a finding was not inconsistent with a finding of guilt with respect to count three (displaying what appeared to be a firearm) because operability of the firearm was not a required element of this offense (*see id.*). In sum, having analyzed the essential elements of each offense, as charged by the trial court, we concluded that there were no inherent inconsistencies in the verdict that would render it repugnant.

Contrary to the majority's conclusion, the same cannot be said about the verdicts at issue here. In *People v Muhammad*, defendant was indicted, as relevant here, for assault in the first degree (Penal Law § 120.10 [1]) and criminal possession of a weapon in the second degree (Penal Law § 265.03 [1] [b]) for allegedly shooting a man five times with a loaded firearm. In its instructions to the jury, the trial court explained that defendant Muhammad had been charged with first-degree assault under the theory that "with the intent to cause serious physical injury to another person, caused such injury to [the victim] *by shooting him with a deadly weapon*, to wit: A handgun" (emphasis added). The court instructed that, in order for the jury to find Muhammad guilty of this crime, it had to find that he (1) "caused serious physical injury to [the victim] *by means of a deadly weapon*" and (2) "that he did so with an intention to cause such serious physical injury to [the victim]" (emphasis added). The trial court, in addressing the jury on the second-degree weapon possession count, indicated that Muhammad had been charged under the theory that he "possessed a loaded

firearm, to wit: A handgun, with the intention to use it unlawfully against [the victim].” The trial court told the jury that, to find Muhammad guilty of this count, it had to find that he “[one] possessed a loaded firearm. Two. That he did so knowingly. Three. That the gun was operable. Four. That he possessed this firearm with the intent to use it unlawfully against [the victim].”

Employing our analysis in *Tucker*, I conclude that the jury’s verdict convicting Muhammad of assault but acquitting him of weapon possession was repugnant. In convicting Muhammad of the assault count, the jury, based on the court’s instructions, had to find that, in causing serious physical injury to the victim by means of a deadly weapon, he necessarily possessed a loaded and operable firearm. After all, as the trial court explained in its charge, Muhammad was indicted under a theory that he shot the victim. Thus, it should go without saying that Muhammad could not have shot the victim with a firearm if he did not possess one. The jury, in rendering its guilty verdict on the assault count, also had to find that Muhammad intended to cause serious physical injury to the victim by means of such firearm. Yet, in acquitting Muhammad of the weapon possession count, the jury had to find that the People either failed to prove that he possessed a loaded firearm, that it was operable or that he intended to use it unlawfully. Any one of these findings requires a reversal of the assault count under our standard in *Tucker*. For example, if the jury found that Muhammad either did not possess the loaded firearm or that the firearm was inoperable, it, at the same time, could not have concluded that Muhammad shot the victim and caused the victim serious physical injury. Alternatively, if the jury concluded that Muhammad did not intend to use the firearm unlawfully, it could not simultaneously have found that he intended to cause the victim serious physical injury, an unlawful act, by means of the loaded firearm.

My analysis in *People v Hill* is no different. Here, the defendant was indicted for assault in the second degree (Penal Law § 120.05 [2]) and criminal possession of a weapon in the third degree (Penal Law § 265.02 [1]) for allegedly striking a man in the head with a hammer. In the court’s instruction to the jury, it indicated that, in order to find Hill guilty of second-degree assault, the jury had to find that he “[one] caused physical injury to [the victim] by means of a dangerous instrument; and two, that [Hill] did so with the intent to cause physical injury to [the victim]” (emphasis added). In defining the elements of second-

degree assault, the court explained that a “dangerous instrument” is “any instrument . . . which, *under the circumstances in which it is used* . . . is readily capable of causing death or other serious physical injury” (emphasis added). Turning to the third-degree weapon possession count, the court explained to the jury that, in order for Hill to be guilty of this offense, it had to find that “[one, Hill] possessed a hammer; two, that [he] did so knowingly; and, three, that [he] did so with intent to use such hammer unlawfully against another.”

Again, applying *Tucker*, I conclude that the jury’s verdict convicting Hill of assault, but acquitting him of the weapon possession under the circumstances of this case is repugnant. In convicting Hill of the assault count, the jury, based on the court’s instructions, had to find that, in causing physical injury to the victim by means of a dangerous instrument, he necessarily possessed the hammer. Significantly, in directing the jury to consider whether the hammer at issue was a “dangerous instrument,” the court instructed the jury to examine the circumstances in which such hammer was used. Since Hill was indicted under a theory that he struck the victim in the head with a hammer, the jury had to conclude that he possessed a hammer in order to find him guilty of assault, as charged. The jury, likewise, in rendering a guilty verdict on the assault count, had to find that Hill intended to cause the victim physical injury by means of such hammer. Yet, as in *Muhammad*, in acquitting Hill of the weapon possession count, the jury had to find that the People either failed to prove that he possessed the hammer or he did not intend to use it unlawfully against another. Either one of these findings requires a reversal of the assault count under our standard in *Tucker*. If the jury, for example, found that Hill did not possess the hammer, it could not have concluded that Hill struck the victim and caused him physical injury. Alternatively, if the jury concluded that Hill did not intend to use the hammer unlawfully against another, it could not simultaneously have found that he intended to cause the victim physical injury, an unlawful act, by means of the hammer.

Today, the majority pronounces that our repugnancy standard under *Tucker* “prohibits consideration of the particular facts of [a] case” (majority op at 539). According to the majority, *Tucker* stands for the proposition that if a conceivable circumstance exists—without regard to the facts—where a person could be convicted of one crime and acquitted of another, the verdict at

issue cannot be repugnant (*see id.* at 539-540). Applying their rule, the majority attempts to identify hypothetical situations where a defendant could theoretically be found guilty of assault by means of a dangerous instrument and concomitantly be found not guilty of a weapon possession charge. Their examples are inapposite.

In one category of hypotheticals, the majority considers cases where an assailant is found guilty of assault by means of a dangerous instrument for acts such as pushing a victim in front of a moving bus or subway or by impaling a victim on a weapon (*see id.* at 542). In those cases, the majority correctly points out the dangerous instruments at issue—the bus, subway or weapon—were not in the assailant’s possession. Under the facts of those examples, however, a defendant would not have been indicted on a weapon possession charge since it would clearly be unwarranted as there was no evidence the assailant physically possessed or exercised dominion or control over the instrument at issue (*see* Penal Law § 10.00 [8]; *see also* *People v Galvin*, 65 NY2d 761, 762 [1985]). Since the assailant could not properly be charged with weapon possession in the examples cited above, no jury would have the occasion to consider whether, much less find that, such possession occurred in the first instance.²

The other hypothetical cited by the majority posits that it is conceivable to convict of assault by means of a dangerous instrument but acquit of weapon possession when, “the People fail to prove that a handgun was operable but show that the accused used it as a dangerous instrument to pistol whip the victim and cause physical injury” (majority op at 542). I do not disagree. In this example, by convicting the accused of assault, the jury would necessarily have to find that he possessed the handgun. After all, under the majority’s facts, the accused was charged under a theory that he pistol whipped the victim. The jury, however, would not be required to return a guilty verdict on the weapon possession count because it could find that, although the accused possessed the handgun, the People failed to prove an element not essential for a finding of guilt under the assault count: that the gun was operable (*see Tucker*, 55 NY2d at 7).

2. While I agree with the majority that it is “theoretically possible for a person to injure another ‘by means of’ a weapon without necessarily possessing it” (majority op at 542 n 7), it was not possible in these cases. The inquiry under *Tucker* is whether the juries, as charged, could have found that defendants committed assault “by means of” a weapon without possessing one, not whether it is theoretically possible, in the abstract, to do so.

This example, however, is clearly distinguishable from the cases before us. Unlike this hypothetical, the juries' acquittals of the weapon possession counts in *Muhammad* and *Hill*, necessarily negated the existence of one or more of the essential elements required to sustain a conviction for assault, as charged.

In a sense, the majority, by invoking a different set of facts to illustrate an example where a jury could render a verdict, convicting a defendant of assault but acquitting him of weapon possession, that is not repugnant, invites us to consider what they claim *Tucker* proscribes: consideration of the particular facts of a case. This is an unworkable rule and inconsistent with our holding in *Tucker*. While *Tucker* instructs a court not "to intrude into the jury's deliberative process by speculating on how the jury perceived and weighed the evidence" (55 NY2d at 7) it does not mandate that we evaluate the elements of a crime charged in the abstract. Rather, a review of the jury charge to ascertain what essential elements were described by the trial court will invariably include a review of the trial court's description of the factual theory of the case.³ To hold otherwise would permit courts to conjure inapplicable scenarios that depart from an analysis of the charge at issue in a particular case and sanction verdicts that, under *Tucker*, are undoubtedly repugnant. The majority's analysis today takes us far afield from the standard announced in *Tucker* that assures "an individual not be convicted for a crime on which the jury has *actually* found that the defendant did not commit an essential element" (55 NY2d at 6 [emphasis added]).

The Appellate Division's basis for affirming these convictions is likewise unpersuasive. In both *Muhammad* and *Hill*, the Appellate Division applied a temporal test on the issue of intent and concluded that the jury charges on weapon possession did not preclude the juries from finding that defendants, at some point in time prior to the assault, possessed their respective weapons without the intent to use them unlawfully. In my view, that is an unfair reading of the charges submitted to the juries. The trial court's instructions on weapon possession, in both cases, asked the juries simply to consider whether defendants formed the intent to use the weapons at issue unlawfully. The

3. Contrary to the majority's assertion, a court's review of the elements, as charged, in the context of the factual theory of a case, also as charged, "would [not] allow a court to examine the entire record" to determine whether a jury has returned a repugnant verdict (majority op at 539 n 2). Regrettably, the majority misreads my analysis in the same way it misreads *Tucker*.

charges did not direct the jurors to consider the intent of defendants prior to the incidences for which they were indicted. Thus, in convicting defendants of assault, as charged, the juries had to find that defendants possessed the weapons at issue with intent to commit the unlawful act of causing physical injury at the date and time of the occurrence. Therefore, the juries' decisions to acquit on the weapon possession counts necessarily negated an essential element of assault, rendering these verdicts repugnant.

The majority notes that "verdicts of this nature are not uncommon" (majority op at 544) and cites numerous cases where such verdicts have been upheld (*see* majority op at 544 n 9). The genesis of this rationale is probably rooted in a memorandum opinion of this Court, which predated our decision in *Tucker*, where we stated "[t]he record clearly shows that the jury did not understand the continuing nature of the possession element and grounded its acquittal on its finding that at the time defendant acquired the gun he did not intend to use it unlawfully" (*People v Haymes*, 34 NY2d 639, 640 [1974]). Rather than sanctioning this practice, we should instruct our trial courts, going forward, not to accept verdicts of this nature in these types of cases. It should be noted that in both of these cases, following the rendering of the verdicts, trial counsel requested that the courts reinstruct the juries. The courts, in both instances, denied the requests.

To the extent that there is juror confusion on the issue of intent, our trial courts, as the majority observes (*see* majority op at 544-545) should supplement their instructions on the issue of intent and explain that "intent can be formed, and need only exist, at the very moment the person engages in prohibited conduct or acts to cause the prohibited result, and not at any earlier time" (CJI2d[NY] Culpable Mental States—Intent). In sum, the fact that verdicts of this nature routinely occur should not serve as the basis for creating an overly abstract rule, adopted by the majority today, that departs from our precedent in *Tucker* solely in an effort to preserve these convictions.

Accordingly, I would vote to reverse the orders of the Appellate Division and dismiss the indictments in both cases.

Judges READ, SMITH and PIGOTT concur with Judge GRAFFEO; Judge CIPARICK dissents and votes to reverse in a separate opinion in which Chief Judge LIPPMAN and Judge JONES concur.

PEOPLE v MUHAMMAD [17 NY3d 532]

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Dissenting opinion by CIPARICK, J.

In *People v Muhammad*: Order affirmed.

In *People v Hill*: Order modified, etc.

[958 NE2d 111, 934 NYS2d 77]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DONDI
CREDLE, Appellant.

Argued September 6, 2011; decided October 25, 2011

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 22, 2009. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Brenda Soloff, J., at dismissal motion; Eduardo Padro, J., at trial and sentence), which had convicted defendant, upon a jury verdict, of criminal sale of a controlled substance in the third degree and criminal sale of a controlled substance in or near school grounds.

People v Credle, 66 AD3d 572, reversed.

HEADNOTE

Grand Jury — Resubmission of Charges — Inconclusive Vote of First Panel — Court Authorization for Resubmission

Defendant's motion to dismiss the indictment against him was granted where the prosecutor submitted charges against defendant to a second grand jury, without court permission, after the first grand jury was unable to muster 12 votes either to indict defendant or dismiss the charges against him and instead voted "no affirmative action" on the counts submitted to it. While CPL 190.75 (3), read literally, requires the People to obtain judicial permission for the resubmission of charges only where the charges have been actually dismissed by a grand jury, a charge may, under certain circumstances, be deemed "dismissed" when a prosecutor prematurely takes the charge from the grand jury. The critical question as to whether there had been a dismissal triggering the requirement of judicial authorization for resubmission is the extent to which the grand jury considered the evidence and the charge and there was no question here that the presentation and consideration of the charges against defendant were sufficiently far along. Furthermore, the taking of an inconclusive vote cannot rationally immunize from judicial scrutiny a prosecutor's decision to wrest a case from the grand jury. The issue is not what may be inferred from an action or inaction of the grand jury, but what may be inferred from the action of the prosecutor in unilaterally withdrawing a fully submitted case from the first grand jury and shortly thereafter re-presenting the charges to a second panel. It would not be consistent with the purpose of the statute if the prosecutor were cast as arbiter of whether the decision to withdraw a fully committed matter from the grand jury's consideration was compatible with that body's decisional prerogative.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Grand Jury § 39.

CARMODY-WAIT 2d, Commencing the Prosecution; Grand Jury §§ 178:261, 178:264, 178:266.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 15.2, 15.6.

McKINNEY's, CPL 190.75 (3).

NY JUR 2d, Criminal Law: Procedure §§ 1215, 1217, 1220.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Grand Jury.

FIND SIMILAR CASES ON WESTLAW®

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Query: re-submit! /s second /3 grand /2 jury & judicial /4 authoriz!

POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Jonathan M. Kirshbaum* and *Robert S. Dean* of counsel), for appellant. After a first grand jury presentation resulted in insufficient votes for either an indictment or dismissal, and the jurors voted “no affirmative action,” the People were required to seek court authorization under CPL 190.75 (3) to re-present the case to a second grand jury. (*People v Wilkins*, 68 NY2d 269; *People v Montanez*, 90 NY2d 690; *People v Gelman*, 93 NY2d 314; *People v Milton*, 11 Misc 3d 1073[A], 2006 NY Slip Op 50543[U], 40 AD3d 1125; *People v Aarons*, 2 NY3d 547; *People v Pomie*, 11 Misc 3d 798; *People ex rel. Flinn v Barr*, 259 NY 104; *People v Pryor*, 5 AD3d 222; *People v Kirby*, 92 AD2d 848, 61 NY2d 671.)

Cyrus R. Vance, Jr., *District Attorney*, New York City (*Beth Fisch Cohen*, *Ellen Stanfield Friedman* and *Susan Axelrod* of counsel), for respondent. The People properly presented the case against defendant to a second grand jury without having obtained permission of the court, after they submitted the case for a vote to the first grand jury and that grand jury was unable to garner enough votes either to indict or to dismiss the charges. (*People v Wilkins*, 68 NY2d 269; *People v Aarons*, 2 NY3d 547; *People v Morrison*, 34 AD3d 398; *People v Ramirez*, 46 AD3d 290; *People v Milton*, 40 AD3d 1125, 9 NY3d 879.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

Criminal Procedure Law § 190.75 (3) provides that once charges submitted to a grand jury have been dismissed, “[they]

may not again be submitted to a grand jury unless the court in its discretion authorizes or directs the people to resubmit such charge[s] to the same or another grand jury.” Although the statute, read literally, requires the People to obtain judicial permission for the resubmission of charges only where the charges have been actually dismissed, it has long been the law that a charge may, under certain circumstances, be deemed “dismissed” within the meaning of CPL 190.75 (3) when a prosecutor prematurely takes the charge from the grand jury (see *People v Wilkins*, 68 NY2d 269 [1986]). This is such a case.

On the morning of April 17, 2006, the prosecution presented drug sale charges against defendant Credle and his codefendant to a grand jury. The grand jury indicted the codefendant but could not muster 12 votes either to indict Credle or dismiss the charges against him. Indeed, it appears that, after taking two inconclusive votes, the jury was given the option, which it took, of voting “no affirmative action” on the counts submitted as to Credle. On the afternoon of the same day, without requesting court permission to do so, the prosecutor resubmitted the charges against Credle to a second grand jury, which returned an indictment.

Credle timely moved to dismiss the indictment, arguing that, under *Wilkins* (*supra*), the prosecutor’s withdrawal of the fully presented case from the first grand jury amounted to a dismissal and, accordingly, that court permission for re-presentation of the charges had been required. The People responded that, under *People v Aarons* (2 NY3d 547 [2004]), 12 votes were required for a grand jury dismissal, and that since the first grand jury had not mustered 12 votes to dismiss the counts against Credle, there had been no dismissal and no consequently arising obligation on the People’s part to seek judicial permission for resubmission of the same counts. The motion court agreed with the People. On the appeal from the ensuing judgment convicting Credle, upon a jury verdict, of criminal sale of a controlled substance in the third degree and criminal sale of a controlled substance at or near school grounds, the Appellate Division, in the course of affirming Credle’s convictions, rejected his argument that the withdrawal of the presented counts from the first grand jury constituted a dismissal under *Wilkins*. It held instead, in purported reliance on *Aarons*, that “as a matter of statutory interpretation, a failure

of a grand jury to agree on either an indictment or a dismissal is not a dismissal, and thus does not require leave to re-present” (66 AD3d 572, 573 [1st Dept 2009]). A Judge of this Court granted defendant leave to appeal (15 NY3d 803 [2010]), and we now reverse.

In *Wilkins* (68 NY2d at 274) we held that although “the required concurrence of 12 grand jurors to a dismissal (CPL 190.25 [1]) was not [there] obtained because the question was not put to a vote,” a dismissal could, and in that case should, have been inferred from the action, not of the grand jury, for it did not act, but of the prosecutor in withdrawing the case at a time when, although all of the People’s witnesses had testified and the only prosecutorial function that remained was to instruct the jury on the law, the grand jury had asked for two additional witnesses (*id.* at 272). We explained that if a prosecutor could by withdrawing a case avoid the requirement of judicial authorization for resubmission, prosecutors would be free to re-present the same charges without limitation until they hit upon an apparently receptive panel. While such practice had been permitted at common law, it was the purpose of CPL 190.75 and its predecessor enactment (Code of Criminal Procedure § 270; see *People ex rel. Flinn v Barr*, 259 NY 104, 107-108 [1932]) to reign it in. The grand jury was, after all, an institution intended to check the accusatory power of the prosecutor’s office, and the circumvention of a grand jury by means of unlimited and unsupervised re-presentation of matters that had not actually been dismissed by it, but merely withdrawn unilaterally by the prosecutor, was incompatible with and erosive of the grand jury’s essential role. Determined that “the ‘beneficent purpose’ of [the statute] . . . ‘should not be nullified by a narrow technical construction which would[, while apparently following the letter of the law,] destroy its spirit’ ” (*Wilkins*, 68 NY2d at 275, quoting *Barr*, 259 NY at 109), this Court in *Wilkins* reaffirmed that a prosecutor’s withdrawal of a grand jury matter could under certain circumstances be tantamount to a dismissal. In so doing, we allowed that subsequent prosecutorial decisions respecting the re-presentation of withdrawn charges could, notwithstanding the absence of an actual dismissal by vote of the grand jury, be subject to the strictures of CPL 190.75 (3)—namely, that dismissed counts may not be re-presented without judicial leave and that they may be re-presented only once.

We were clear in *Wilkins* that the motive of the prosecutor in taking a case from a grand jury—the presence or absence of

prosecutorial good faith with respect to a grand jury's prerogative to dispose of matters before it—was not determinative of whether there had been a dismissal triggering the requirement of judicial authorization for resubmission (68 NY2d at 273). Rather, the critical question in deciding whether a dismissal had been effected by a prosecutor's termination of grand jury deliberations before the grand jury had itself disposed of the matter in one of the five ways permitted by CPL 190.60,* was "the extent to which the Grand Jury considered the evidence and the charge" (*Wilkins*, 68 NY2d at 274). Plainly, under this formulation, not every withdrawal by a prosecutor will be treated as a dismissal (see e.g. *People v Gelman*, 93 NY2d 314, 319-320 [1999]).

Here, however, there is no question that the presentation and consideration of the charges against defendant was, by any measure, sufficiently far along to render the subsequent withdrawal of those charges from the first grand jury a dismissal under *Wilkins*. The People do not dispute this. They argue instead that once a matter has been put to a grand jury vote it cannot be dismissed except by a vote of 12 grand jurors—that *Wilkins* has no application where a matter has been withdrawn subsequent to an inconclusive vote. It is plain, however, that the inference of an improper withdrawal preclusive of unauthorized re-presentation is not diminished and, in fact, may well be strengthened after the grand jury, by voting inconclusively, has evinced reluctance to indict. The taking of an inconclusive vote, then, cannot rationally immunize from judicial scrutiny a prosecutor's decision to wrest a case from a grand jury. While *Aarons* does, of course, require 12 votes for a dismissal by action of the grand jury, and that condition was not met when the case was voted by the first grand jury, it does not follow that there was no dismissal under *Wilkins*.

In *Aarons* the issue was whether the re-presentation of charges to the same grand jury, after an initial vote in which

* The dispositional options available to a grand jury pursuant to CPL 190.60 are to

- "1. Indict a person for an offense, as provided in section 190.65;
- "2. Direct the district attorney to file a prosecutor's information with a local criminal court, as provided in section 190.70;
- "3. Direct the district attorney to file a request for removal to the family court, as provided in section 190.71 of this article.
- "4. Dismiss the charge before it, as provided in section 190.75;
- "5. Submit a grand jury report, as provided in section 190.85."

there had not been 12 votes to indict or to dismiss, was permitted without leave of the court pursuant to CPL 190.75 (3). We held that leave was not required because the inconclusive vote was not, as the defendant contended, a dismissal. In ruling that a grand jury could not dismiss an indictment except by a vote of 12, our principal concern was to avoid the possibility of an inadvertent dismissal (*id.* at 551). We were not presented in *Aarons*, as we are here, with the *Wilkins* problem of what significance should attach to a prosecutor's withdrawal of charges and re-presentment to a different grand jury. Indeed, the prosecutor in *Aarons* had not withdrawn the charges, but rather was faulted by the defendant for continuing to present them to the same grand jury until their disposition, notwithstanding an intervening indecisive vote. Here, in contrast to *Aarons*, the issue is not what may be inferred from an action or inaction of the grand jury, but what may be inferred from the action of the prosecutor in unilaterally withdrawing a fully submitted case from the first grand jury and shortly thereafter re-presenting the charges to a second panel. It is doubtless true that the grand jury did not dismiss the charges against defendant with the 12 votes required by *Aarons*. The gravamen of defendant's claim, however, is that the prosecutor effected the dismissal by taking back from the grand jury a matter fully committed to it to be disposed of pursuant to CPL 190.60. This is a claim governed by *Wilkins*, not *Aarons*.

It should be stressed that the relevant question for present purposes is not whether re-presentation should in the end be allowed but who should decide the issue—whether it should be the prosecutor or the court that judges if re-presentation of a fully submitted but undisposed of count is appropriate. *Wilkins* requires that the court make that judgment “‘to carry out the policy which [CPL 190.75 (3)] was enacted to accomplish’” (*Wilkins*, 68 NY2d at 275, quoting *Barr*, 259 NY at 108). Plainly, it would not be consistent with the statutory purpose if the prosecutor were cast as arbiter of whether his or her decision to withdraw a fully committed matter from the grand jury's consideration was compatible with the grand jury's decisional prerogative. The first grand jury to consider the counts against Credle may have been genuinely “hung,” but it is also possible that its less than compliant response to the prosecutor's presentation motivated the prosecutor's decision to take the case back. This was quintessentially a situation in which the court, and not the prosecutor, should have decided whether

re-presentation to a second grand jury was appropriate. Of course, as we said in *Wilkins*, if the reasons for the withdrawal are “legitimate” (68 NY2d at 276) and the underlying circumstances do not provide clear indication that the first grand jury’s decisional authority was being subverted, leave to re-present should be granted as a matter of course.

Accordingly, the order of the Appellate Division should be reversed and the indictment dismissed with leave to the People to apply for an order permitting resubmission of the charges to another grand jury.

PIGOTT, J. (dissenting). I respectfully dissent because, in my view, the People’s perfectly logical withdrawal of this case from a deadlocked grand jury is not the functional equivalent of a dismissal. Therefore, the People were not required to obtain court authorization before re-presentation of the case to another grand jury.

After the People presented their case against defendant to a grand jury, it turned out that the grand jury was unable to garner the 12 votes needed to either indict defendant or dismiss the charges. Despite the People answering additional questions, a rereading of certain testimony and its being instructed a second time, the grand jury remained deadlocked, and eventually returned a vote of “no affirmative action.” Since no action was taken, the People were clearly within their right to withdraw the case and present it to a second grand jury. This is what they did, and defendant was subsequently indicted on three drug-related offenses.

Defendant’s argument that the grand jury’s finding of “no affirmative action” was tantamount to dismissal finds no support in the law; after all, the grand jury did not dismiss the charges. In my view, Supreme Court and the Appellate Division were correct in their reliance on our decision in *People v Aarons* (2 NY3d 547 [2004]), holding that the grand jury’s inability to obtain sufficient votes either to indict or dismiss did not constitute a dismissal and, therefore, court approval was unnecessary before the People’s re-presentation to another grand jury.

CPL 190.60 permits a grand jury to choose among five possible dispositions: it may indict, direct the district attorney to file a prosecutor’s information with a local criminal court, direct the district attorney to file a request for removal to the family court, *dismiss the charge before it, as provided in section 190.75*, or submit a report (*see* CPL 190.60 [1]-[5] [emphasis supplied]).

When a grand jury dismisses a charge pursuant to CPL 190.75, it is required to “file its finding of dismissal with the court by which it was impaneled” (CPL 190.75 [1]), and, in such a circumstance, that charge “may not again be submitted to a grand jury unless the court in its discretion authorizes or directs the people to resubmit such charge to the same or another grand jury” (CPL 190.75 [3]).

The majority’s conclusion that the People’s withdrawal of their case from the first grand jury was tantamount to a dismissal is simply not found in the law. To be sure, although an “inconclusive vote” is an indication of a grand jury’s “reluctance to indict” (majority op at 560), such an “inconclusive vote” is just as equally indicative of a reluctance to dismiss. The majority’s holding reduces the number of votes to dismiss to 11 despite the statute requiring 12. Assuming the People secure court authorization to resubmit, should the second proceeding result in an inconclusive result due to any of many factors, including failure to muster a quorum for example, the matter “may not again be submitted to a grand jury” (CPL 190.75 [3]). The target of the presentation will never be indicted for those crimes and the matter will be dismissed. The statute does not contemplate such a draconian consequence.

In my view, our decision in *Aarons* is controlling. There we held that, “in order to dismiss a charge, there must be a formal vote of the grand jury and 12 of its members must concur in that result” (*Aarons*, 2 NY3d at 549; see CPL 190.25 [1] [stating that grand jury proceedings are not valid unless there is a quorum of 16 members and “every . . . affirmative official action or decision” has the concurrence of 12 members]). Our rationale in *Aarons* is applicable here, namely, that the language of CPL 190.60 (4) and 190.75 plainly indicates that “the dismissal of a charge is for the grand jury to decide as part of its deliberations,” and, therefore, “a dismissal cannot occur absent the grand jury’s actual conclusion that a dismissal is warranted” (*id.* at 551 [emphasis supplied]). It therefore stands to reason that “a concurrence of 12 jurors is necessary to effectuate a dismissal” (*id.* at 552).

There is no language in CPL 190.60 or 190.75 from which it can be inferred that the Legislature intended that a grand jury’s inability to take any action pursuant to CPL 190.60 constitutes a dismissal by default. Indeed, CPL 190.75 (1)’s directive that the grand jury foreman file the grand jury’s finding of dismissal signifies that dismissal is a decision that must be made

affirmatively by the grand jury, and cannot be inferred by the grand jury's inability to reach a decision.

Nor is our decision in *People v Wilkins* (68 NY2d 269 [1986]) controlling. There we held that the People's unilateral withdrawal of a case from the first grand jury after presentation of evidence, *but before permitting it to vote*, was equivalent to a dismissal, requiring the People to obtain court authorization before resubmission to the second grand jury (*see id.* at 271). We rejected the People's argument that they had the inherent authority to withdraw matters from the grand jury unilaterally in such circumstances, noting that such authority, if abused, would allow the People to withdraw from grand jury consideration all but the simplest cases, thereby enabling the People to resubmit them "after further preparation or a more compliant Grand Jury is impaneled" (*id.* at 275).

The concerns we expressed in *Wilkins* are absent here. Unlike *Wilkins*, the People submitted their case to a vote. It was not until the grand jury was unable to garner 12 votes to take any action authorized pursuant to CPL 190.60 that the People withdrew the case. There is no suggestion that the People withdrew the case in order to find a more compliant grand jury. It is evident that the first grand jury, having been unable to reach a decision after two attempts, was deadlocked. At that point, there being no directive in the statutory scheme as to what procedure the People should follow, the People did the logical thing and presented the matter to a second grand jury.

Accordingly, I would affirm the order of the Appellate Division.

Judges CIPARICK, GRAFFEO and JONES concur with Chief Judge LIPPMAN; Judge PIGOTT dissents and votes to affirm in a separate opinion in which Judges READ and SMITH concur.

Order reversed, etc.

[958 NE2d 77, 934 NYS2d 43]

GREENBERG, TRAGER & HERBST, LLP, Appellant, v HSBC BANK
USA et al., Respondents. (And a Third-Party Action.)

Argued September 7, 2011; decided October 13, 2011

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 20, 2010. The Appellate Division affirmed an order of the Supreme Court, New York County (Charles E. Ramos, J.), entered April 24, 2009, and an order of that court entered April 28, 2009. The order entered April 24, 2009 had (1) granted the motion by defendant Citibank, N.A. for summary judgment dismissing the complaint as against it, and (2) dismissed the complaint as against that defendant. The order entered April 28, 2009 had (1) granted the motion by defendant HSBC Bank USA for summary judgment dismissing the complaint as against it, and (2) dismissed the complaint as against that defendant.

Greenberg, Trager & Herbst, LLP v HSBC Bank USA, 73 AD3d 571, affirmed.

HEADNOTES

Banks and Banking — Negligence — Duty Owed by Payor Bank to Noncustomer Depositor of Check

1. In an action to recover damages for the loss plaintiff sustained when a check that it had deposited into its account with defendant depository bank was subsequently dishonored and returned as counterfeit by defendant payor bank, plaintiff's claims against defendant payor bank for failing to detect that the check was fraudulent when it was initially presented with the check were properly dismissed. Defendant did not owe plaintiff a duty to have procedures in place to detect counterfeit checks. The duty of a payor bank to a noncustomer depositor of a check is derived solely from UCC 4-301 and 4-302, which set forth the applicable deadline—midnight of the next banking day—for the bank to either pay the item, return the item, or send a written notice of dishonor or nonpayment. Here, defendant returned the check within its midnight deadline as “sent wrong” due to an unrecognized routing number. Although the check was rerouted and eventually dishonored and returned as counterfeit, plaintiff could not establish any duty owing from defendant that was breached.

Banks and Banking — Liability of Collecting Bank — Negligent Misrepresentation

2. In an action to recover damages for the loss plaintiff sustained when a check that it had deposited into its account with defendant depository bank was subsequently dishonored and returned as counterfeit by defendant payor

bank, plaintiff's claim against defendant depositary bank for negligent misrepresentation as a result of defendant informing plaintiff that the check had "cleared" and the funds were available for transfer was properly dismissed. Liability for negligent misrepresentation has been imposed only on those persons who possess unique or specialized expertise, or who are in a special position of confidence and trust with the injured party such that reliance on the negligent misrepresentation is justified. However, an arm's length borrower-lender relationship, even a long-standing relationship, does not support a cause of action for negligent misrepresentation. Although UCC 4-201 refers to a collecting bank as the "agent" of the owner of the item, the purpose of that statute was not to impose a fiduciary duty on a collecting bank. Moreover, regardless of whether the relationship between the parties would preclude all possible claims for negligent misrepresentation, the claim plaintiff asserted could not succeed. Plaintiff's claim was based on the alleged oral statement by defendant's representative that the check had "cleared"—an ambiguous remark that might have been intended to mean only that the amount of the check was available in plaintiff's account. Reliance on that statement as assurance that final settlement had occurred was, under the circumstances, unreasonable as a matter of law.

Banks and Banking — Liability of Collecting Bank — Negligence

3. In an action to recover damages for the loss plaintiff sustained when a check that it had deposited into its account with defendant depositary bank was subsequently dishonored and returned as counterfeit by defendant payor bank, plaintiff's claim against defendant depositary bank for negligence based on defendant's failure to inform plaintiff and charge its account back pursuant to UCC 4-212 (1) when the check was first returned to defendant marked "sent wrong" because of an unrecognized routing number was properly dismissed. Plaintiff alleged that the return of the check was a dishonor of the check that triggered defendant's duty to inform plaintiff and charge back its account by midnight of the next banking day. However, the duty a collecting bank owes to a depositor is that of ordinary care in handling the item (*see* UCC 4-202), and the record demonstrated that defendant acted with such care. When the check was returned "sent wrong," known in the banking industry as an "administrative return," defendant repaired the routing number and resubmitted the check to a different Federal Reserve Bank. Treating a check returned in that manner as an administrative return, repairing the routing number and re-presenting the check is the custom and practice of the banking industry, and plaintiff offered no evidence that defendant acted unreasonably.

Estoppel — Equitable Estoppel — Loss Sustained by Depositor of Counterfeit Check

4. In an action to recover damages for the loss plaintiff law firm sustained when a check from a client that plaintiff had deposited into its account with defendant depositary bank was subsequently dishonored and returned as counterfeit by defendant payor bank, plaintiff could not prevail against defendants under the theory of equitable estoppel. Under the doctrine of equitable estoppel, when innocent parties suffer from the acts of a third person, the party that enabled the third person must bear the loss. Here, however, neither defendant breached any duty owed to plaintiff. Plaintiff was in the best position to guard against the risk of a counterfeit check by knowing its client. Moreover, the UCC is clear that, until there is final settlement of the check, the risk of loss lies with the depositor.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Banks and Financial Institutions §§ 730, 962, 963, 966, 969, 974; AM JUR 2d, Bills and Notes §§ 288, 289, 324, 337; AM JUR 2d, Estoppel and Waiver §§ 26–31, 39, 42–44; AM JUR 2d, Fraud and Deceit §§ 12, 16, 26, 128–130.

McKINNEY'S, UCC 4–201, 4–202, 4–212 (1); 4–301, 4–302.

NY JUR 2d, Banks and Financial Institutions §§ 439–441, 451, 460–462, 468, 469, 473, 474; NY JUR 2d, Estoppel, Ratification, and Waiver §§ 3, 8, 9, 30; NY JUR 2d, Fraud and Deceit §§ 12, 14, 16, 17, 130, 131.

WHITE AND SUMMERS, UNIFORM COMMERCIAL CODE §§ 20-1 to 20-8.

ANNOTATION REFERENCE

Construction and effect of UCC 4–301 and 4–302 making payor bank accountable for failure to act promptly on item presented for payment. 22 ALR4th 10.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: negligen! /p duty /s counterfeit /2 check

POINTS OF COUNSEL

Greenberg, Trager & Herbst, LLP, New York City (*Kalvin Kamien*, *Richard J. Lambert* and *Paul V. Lucas* of counsel), for appellant. I. The First Department committed reversible error in holding that Citibank, N.A. has no obligation to have a reasonable procedure for the detection of counterfeit Citibank bank checks and that Citibank has absolute immunity for negligence in failing to detect counterfeit bank checks. (*Putnam Rolling Ladder Co. v Manufacturers Hanover Trust Co.*, 74 NY2d 340; *Monreal v Fleet Bank*, 95 NY2d 204; *JP Morgan Chase Bank, N.A. v Pinzler*, 28 Misc 3d 1214[A], 2010 NY Slip Op 51324[U].) II. Since Citibank was in the best position to detect that the Citibank check was counterfeit, and Citibank's negligence in failing to detect the counterfeit check caused Greenberg, Trager & Herbst, LLP's (GTH) loss, the First Department should have ruled that Citibank is liable to GTH for GTH's loss on principles of equity and estoppel. (*Swiss Credit Bank v Chemical Bank*, 422 F Supp 1305; *Bunge Corp. v Manufacturers Hanover Trust Co.*, 31 NY2d 223; *Fireman's Fund Ins. Co. v Bank of N.Y.*, 146

AD2d 95; *Banco Mercantil de Sao Paulo v Nava*, 120 Misc 2d 517; *Marine Midland Bank v Umber*, 96 Misc 2d 835; *Hall v Bank of Blasdell*, 306 NY 336; *Chemical Bank of Rochester v Haskell*, 51 NY2d 85; *JP Morgan Chase Bank, N.A. v Pinzler*, 28 Misc 3d 1214[A], 2010 NY Slip Op 51324[U].) III. HSBC Bank USA was grossly negligent and/or negligent in failing to advise Greenberg, Trager & Herbst, LLP that the Citibank check had been dishonored and returned by Citibank, N.A. (*Dobroshi v Bank of Am., N.A.*, 65 AD3d 882; *Cristallina v Christie, Manson & Woods Intl.*, 117 AD2d 284; *American Motorists Ins. Co. v Keep Servs., Inc.*, 63 AD3d 865; *Putnam Rolling Ladder Co. v Manufacturers Hanover Trust Co.*, 74 NY2d 340; *Monreal v Fleet Bank*, 95 NY2d 204; *Aikens Constr. of Rome v Simons*, 284 AD2d 946; *Herzog, Engstrom & Koplovitz v Union Natl. Bank*, 226 AD2d 1004; *New York Credit Men's Adj. Bur. v Manufacturers Hanover Trust Co.*, 41 AD2d 912; *Broadway Natl. Bank v Barton-Russell Corp.*, 154 Misc 2d 181; *JP Morgan Chase Bank, N.A. v Pinzler*, 28 Misc 3d 1214[A], 2010 NY Slip Op 51324[U].) IV. Since HSBC Bank USA committed multiple acts of negligence and malfeasance in failing to notify Greenberg, Trager & Herbst, LLP (GTH) of the returned Citibank check, HSBC is liable to GTH for GTH's loss on principles of equity and estoppel. (*Bunge Corp. v Manufacturers Hanover Trust Co.*, 31 NY2d 223; *Fireman's Fund Ins. Co. v Bank of N.Y.*, 146 AD2d 95; *Swiss Credit Bank v Chemical Bank*, 422 F Supp 1305; *Hall v Bank of Blasdell*, 306 NY 336; *Chemical Bank of Rochester v Haskell*, 51 NY2d 85; *Banco Mercantil de Sao Paulo v Nava*, 120 Misc 2d 517; *Putnam Rolling Ladder Co. v Manufacturers Hanover Trust Co.*, 74 NY2d 340; *Monreal v Fleet Bank*, 95 NY2d 204.) V. The First Department improperly amended the UCC by judicial fiat in holding that a bank may allege an "administrative return" (a concept not recognized by the UCC) to avoid its statutory duty under the UCC to advise a depositor by the midnight deadline that a check has been dishonored and returned in order to have the right to charge back the check amount to the customer's account. (*Bright Homes v Wright*, 8 NY2d 157; *Davis v Davis*, 71 AD3d 13; *Manufacturers Hanover Trust Co. v Akpan*, 91 Misc 2d 622.)

Phillips Lytle LLP, Buffalo (Preston L. Zarlock and Patricia A. Mancabelli of counsel), and Michael R. Mendola for HSBC Bank USA, respondent. I. HSBC Bank USA had an absolute right to revoke the provisional credit and charge-back appellant's account. (*Gluck v JPMorgan Chase Bank*, 12 AD3d 305; *Peter Marino, Ltd. v Bank of N.Y.*, 250 AD2d 485; *Josephs v*

Bank of N.Y., 302 AD2d 318; *Mahopac Natl. Bank v Gelardi*, 299 AD2d 460; *Hanna v First Natl. Bank of Rochester*, 87 NY2d 107; *Call v Ellenville Natl. Bank*, 5 AD3d 521; *Allen v Carver Fed. Sav. & Loan Assn.*, 123 Misc 2d 704; *Commerce Bank, N.A. v Jones*, 19 Misc 3d 1131[A], 2008 NY Slip Op 50972[U]; *Ridgewood Sav. Bank v Grubb*, 11 Misc 3d 1093[A], 2006 NY Slip Op 50835[U]; *Chase v Morgan Guar. Trust Co.*, 590 F Supp 1137.) II. HSBC Bank USA did not violate any notice obligation to appellant following the Federal Reserve Bank's misrouting of the counterfeit check. (*Hanna v First Natl. Bank of Rochester*, 87 NY2d 107; *Manufacturers Hanover Trust Co. v Akpan*, 91 Misc 2d 622; *Bank of N.Y. v Asati, Inc.*, 184 AD2d 443; *Broadway Natl. Bank v Barton-Russell Corp.*, 154 Misc 2d 181; *Northpark Natl. Bank v Bankers Trust Co.*, 572 F Supp 524; *Snyder v Wetzler*, 84 NY2d 941; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *United States Fid. & Guar. Co. v Federal Reserve Bank of N.Y.*, 590 F Supp 486, 786 F2d 77.) III. Appellant cannot shift the risk of loss to HSBC Bank USA. (*Allen v Carver Fed. Sav. & Loan Assn.*, 123 Misc 2d 704; *Chase v Morgan Guar. Trust Co.*, 590 F Supp 1137; *United States Fid. & Guar. Co. v Federal Reserve Bank of N.Y.*, 590 F Supp 486, 786 F2d 77; *Isaacs v Chartered New England Corp.*, 378 F Supp 370; *Call v Ellenville Natl. Bank*, 5 AD3d 521; *Moughrabie v Citibank, N.A.*, 20 Misc 3d 136[A], 2008 NY Slip Op 51528[U]; *Dobroschi v Bank of Am., N.A.*, 65 AD3d 882, 14 NY3d 785; *Bennice v Lakeshore Sav. & Loan Assn.*, 254 AD2d 731; *Kings Premium Serv. Corp. v Manufacturers Hanover Trust Co.*, 115 AD2d 707; *Aaron Ferer & Sons Ltd. v Chase Manhattan Bank, N.A.*, 731 F2d 112.) IV. The First Department correctly held that appellant raised no triable issue of fact regarding its negligence claim. (*Sheila C. v Povich*, 11 AD3d 120; *Clementoni v Consolidated Rail Corp.*, 30 AD3d 986, 8 NY3d 963; *Pulka v Edelman*, 40 NY2d 781; *Tevdorachvili v Chase Manhattan Bank*, 103 F Supp 2d 632; *Calisch Assoc. v Manufacturers Hanover Trust Co.*, 151 AD2d 446; *Polzer v TRW, Inc.*, 256 AD2d 248; *Quail Ridge Assoc. v Chemical Bank*, 162 AD2d 917; *Wexselblatt v Bank of Boston Intl.*, 666 F Supp 513; *Luxonomy Cars v Citibank, N.A.*, 65 AD2d 549; *Putnam Rolling Ladder Co. v Manufacturers Hanover Trust Co.*, 74 NY2d 340.) V. The First Department correctly determined that appellant was in the best position to avoid the loss. (*Bunge Corp. v Manufacturers Hanover Trust Co.*, 31 NY2d 223; *Swiss Credit Bank v Chemical Bank*, 422 F Supp 1305; *Fireman's Fund Ins. Co. v Bank of N.Y.*, 146 AD2d 95; *Hall v Bank of Blasdell*, 306 NY 336; *Chemical Bank of Rochester v*

Haskell, 51 NY2d 85; *Banco Mercantil de Sao Paulo v Nava*, 120 Misc 2d 517.) VI. HSBC Bank USA had an absolute right to setoff against the IOLA account for the provisional credit. (*United States Trust Co. of N.Y. v McSweeney*, 91 AD2d 7; *Marine Midland Bank-N.Y. v Graybar Elec. Co.*, 41 NY2d 703; 622 W. 113th St. Corp. v *Chemical Bank N.Y. Trust Co.*, 52 Misc 2d 444; *Miles v Bank of Commerce*, 76 Misc 2d 623; *In re Bennett Funding Group, Inc. v Manufacturers & Traders Trust Co.*, 146 F3d 136; *Chemical Bank v Ettinger*, 196 AD2d 711; *Gillman v Chase Manhattan Bank*, 73 NY2d 1.) VII. Appellant waived its claim to punitive damages. (*Schwartz v Aetna Life Ins. & Annuity Co.*, 214 AD2d 975; *Sanderson v Bellevue Maternity Hosp.*, 259 AD2d 888; *Rocanova v Equitable Life Assur. Socy. of U.S.*, 83 NY2d 603; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308; *New York Mar. & Gen. Ins. Co. v Tradeline [L.L.C.]*, 266 F3d 112; *Ladenburg Thalmann & Co. Inc. v Imaging Diagnostic Sys., Inc.*, 176 F Supp 2d 199.)

Zeichner Ellman & Krause LLP, New York City (Barry J. Glickman of counsel), for Citibank, N.A., respondent. I. Citibank, N.A. properly rejected payment of the check as a matter of law pursuant to the UCC—it had no additional duty to notify that the check was counterfeit. (*Pace Publs. v Bank of N.Y.*, 183 AD2d 601; *Campbell v Citibank*, 302 AD2d 150; *Putnam Rolling Ladder Co. v Manufacturers Hanover Trust Co.*, 74 NY2d 340; *Monreal v Fleet Bank*, 95 NY2d 204; *JP Morgan Chase Bank, N.A. v Pinzler*, 28 Misc 3d 1214[A], 2010 NY Slip Op 51324[U].) II. Plaintiff has no negligence nor equity and estoppel claims against Citibank, N.A. as a matter of law. (*Prudential-Bache Sec. v Citibank*, 73 NY2d 263; *Putnam Rolling Ladder Co. v Manufacturers Hanover Trust Co.*, 74 NY2d 340; *Met Frozen Food Corp. v National Bank of N. Am.*, 89 Misc 2d 1033; *Casco Bank & Trust Co. v Bank of New York*, 584 F Supp 763; *Hanna v First Natl. Bank of Rochester*, 87 NY2d 107; *Banco Mercantil de Sao Paulo v Nava*, 120 Misc 2d 517; *Marine Midland Bank v Umber*, 96 Misc 2d 835; *Hall v Bank of Blasdell*, 306 NY 336; *Bunge Corp. v Manufacturers Hanover Trust Co.*, 31 NY2d 223; *Fireman's Fund Ins. Co. v Bank of N.Y.*, 146 AD2d 95.) III. The Appellate Division properly affirmed the dismissal of plaintiff-appellant's improper claims for punitive damages and attorneys fees against Citibank, N.A. (*Laurie Marie M. v Jeffrey T.M.*, 159 AD2d 52, 77 NY2d 981; *Ossandan v Swiss Bank Corp.*, 880 F2d 1319; *Rocanova v Equitable Life Assur. Socy. of U.S.*, 83 NY2d 603; *Luxonomy Cars v Citibank, N.A.*, 65 AD2d 549; *Giblin v Murphy*, 73 NY2d 769; *Silberstein v First Wall St. Capital Corp.*,

128 AD2d 516; *Matter of A.G. Ship Maintenance Corp. v Lezak*, 69 NY2d 1; *Rollin v Grand Store Fixture Co., Inc.*, 231 App Div 47; *Lurman v Jarvie*, 82 App Div 37, 178 NY 559.) IV. The truth is that plaintiff caused its own loss.

OPINION OF THE COURT

CIPARICK, J.

In this dispute between a law firm and two banks, the issues presented are (1) the scope of the duty a payor bank owes to a noncustomer depositor of a counterfeit check and (2) the scope of the duty a depositary bank owes its customer when it acts as a collecting bank during the check collection process. We conclude that neither the depositary/collecting bank nor the payor bank violated any duty owed to the depositor and that summary judgment dismissing the complaint was properly granted.

I.

Plaintiff Greenberg, Trager & Herbst, LLP (GTH) is a law firm primarily involved in construction litigation law. In September 2007, a partner at GTH received an e-mail from a representative of Northlink Industrial Limited (Northlink), a Hong Kong company. The e-mail stated that Northlink was looking for legal representation to, among other things, assist it in the collection of debts owed by its North American customers. A series of e-mails followed discussing the nature of Northlink's desired representation. At some point, GTH indicated a willingness to represent Northlink and requested a \$10,000 retainer. The law firm was informed that a Northlink customer had sent a payment to GTH and that GTH could take its retainer from those funds. A Citibank check for \$197,750 was received by GTH and GTH was instructed, via e-mail, to remit the funds to Northlink while retaining \$10,000 as a retainer. The e-mail also provided wiring instructions to Citibank in Hong Kong. On Friday, September 21, 2007, GTH deposited the check into its attorney trust account at HSBC.

The next business day, Monday, September 24th, the HSBC account reconciliation department processed the check and pursuant to the federal funds availability law provisionally credited GTH's account for \$197,750. HSBC, like most commercial banks, presents its checks through the Federal Reserve Bank. HSBC determines which Federal Reserve Bank should receive

the check for presentment to the appropriate payor bank by utilizing the American Bankers Association routing number located on the bottom of the check. The routing number is part of the microencoding number (MICR) on the bottom of every check. The routing number on the bottom of this check read 026009645. According to HSBC, this routing number indicated that the check should be sent to the Federal Reserve Bank of Philadelphia (FRBP) for presentment to the appropriate payor bank. Accordingly, HSBC sent the check to FRBP for processing. FRBP presented an image replacement document (IRD)¹ of the check to Citibank's Item Processing North Department in Englewood Cliffs, New Jersey (Item Processing North) that same day.

According to Citibank, Item Processing North processes only checks with the following three routing numbers: 021000089, 021272655 and 221172610. If a check contains a routing number other than one of these three routing numbers, the check cannot be processed by Item Processing North because it only has access to account information associated with the three routing numbers. Because the routing number was not recognized by Item Processing North, the automated sorting system directed the IRD to the reject pocket. This happens when there is an issue with the MICR on the check.² An Image Processing North clerk examined the IRD and determined that the routing number was not a number that belonged to Image Processing North. Image Processing North sent the IRD back to FRBP, with the notation "sent wrong." The FRBP sent the IRD back to HSBC.

HSBC received the IRD with the notation "sent wrong" the next day, September 25, 2007.³ According to HSBC, when

1. An image replacement document is a digital representation of the check and maintains the status of a legal check in lieu of the original check.

2. According to Citibank, approximately 2% of scanned checks are redirected to the reject pocket each day. The checks are then manually reviewed to determine why they were rejected.

3. GTH notes that an internal HSBC document states that the check was returned for "Insuff Funds." HSBC explained that this internal document is a printout from HSBC's returned imaging system, which contains a true and accurate copy of the check. The image of the check itself has the notation, from Citibank, "sent wrong." HSBC further explained that when a check image is placed into HSBC's returned image system, descriptive information is associated with it. The default setting for the descriptive information is "insufficient funds." According to HSBC, an operator did not adjust the default setting and, therefore, the descriptive information read "insufficient funds."

(n. cont'd)

a check is returned for reasons other than dishonor, such as a damaged or illegible routing number, it is known in the industry as an “administrative return.” HSBC also noted that when a payor bank dishonors a check, HSBC typically receives an Electronic Advanced Return Notification System (EARNs) notification. HSBC did not receive such a notice on September 24 or 25. Because the check was marked “sent wrong,” HSBC assumed that there was a problem with the routing number that required repairing. HSBC then repaired the routing number by utilizing the partial routing number located on the top right hand corner of the check. HSBC, using the repaired routing number, determined that the check actually belonged to Citibank, Las Vegas. HSBC placed the repaired routing number on the bottom of the check. On September 26, 2007, HSBC sent the check to the Federal Reserve Bank, San Francisco (FRBS). HSBC never informed GTH of the “administrative return” of the check.

On September 27, 2007, a GTH partner called a representative of HSBC inquiring as to whether the check had “cleared” and if the funds were available for disbursement. According to GTH, a five-year banking relationship existed between them.⁴ GTH was informed that the funds were available. Later that day, GTH wired \$187,750 from its account to Hong Kong pursuant to the wiring instructions it received from Northlink. GTH claims that, but for the assurance that the check had “cleared,” it would not have forwarded the funds. On September 28, 2007, HSBC confirmed to GTH that the wire transfer had been consummated.

On October 2, 2007, HSBC received an EARNs notice from Citibank that the check was being dishonored as “RTM [return to maker] Suspect Counterfeit.” An HSBC Branch Manager later contacted GTH, informing them that the check had been dishonored and returned as counterfeit. HSBC then revoked its provisional settlement and charged back GTH’s account.

However, Citibank did not indicate that the check had been returned for insufficient funds, and there is no indication on the image of the check itself that it was returned for insufficient funds. Moreover, there is no evidence that HSBC treated the check as one that had been returned for insufficient funds.

4. The contents of this conversation are disputed, with HSBC having a different recollection of the conversation. For purposes of this summary judgment motion we must accept the version as proffered by GTH.

On October 17, 2007, GTH commenced this action against HSBC and Citibank sounding in conversion and conspiracy;⁵ negligence and negligent misrepresentation by HSBC for failure to inform GTH that the check had been returned and dishonored on September 25, and for informing GTH over the phone that the funds had “cleared” and were available for disbursement; and negligence by Citibank for failing to detect that the check was counterfeit when it was originally presented to Image Processing North on September 24. Both Citibank and HSBC moved for summary judgment dismissing the complaint. Supreme Court ruled from the bench that HSBC had no duty under the Uniform Commercial Code (UCC) to inform GTH that the check had been returned “sent wrong” on September 25th, but rather that the dishonor actually took place when HSBC discovered the check was “Suspect Counterfeit.” The court granted both HSBC and Citibank’s motions and dismissed the complaint in its entirety.

The Appellate Division affirmed, holding that because the check had not been dishonored pursuant to UCC 4-212,⁶ HSBC had no duty to inform GTH of the administrative return of the check. The court further held that, even if an HSBC employee misrepresented that the check had cleared, GTH’s reliance on such a misrepresentation does not give rise to an action for negligent misrepresentation barring a fiduciary relationship, which, it said, does not exist between a bank and its customer. The court additionally found that if the principle of estoppel governs the case, GTH was in the best position to guard against the risk of a counterfeit check by knowing its client. The court finally stated that the personnel at Citibank were not in a position to discern whether the check was counterfeit and had no duty to inform HSBC at that time (*see Greenberg, Trager & Herbst, LLP v HSBC Bank USA*, 73 AD3d 571, 572 [1st Dept 2010]). We granted GTH leave to appeal (15 NY3d 707 [2010]) and now affirm.

5. GTH does not address its claims for conversion or conspiracy on this appeal and these claims appear to have been abandoned.

6. UCC 4-212 (1) states that a collecting bank retains its right to charge back to a customer’s account any provisional credit it has given if, upon an item’s dishonor, the bank “returns the item or sends notification of the facts” by the midnight deadline. The midnight deadline “is midnight on [a bank’s] next banking day following the banking day on which it receives the relevant item” (*see* UCC 4-104 [1] [h]).

II.

The manner in which checks are processed by banks is governed by the Uniform Commercial Code. The UCC defines a “Depository Bank” as “the first bank to which an item is transferred for collection” (UCC 4-105 [a]). A “Collecting Bank” is defined as “any bank handling the item for collection except the payor bank” (UCC 4-105 [d]). A “Payor Bank” is defined as “a bank by which an item is payable as drawn or accepted” (UCC 4-105 [b]). An “Intermediary Bank” is defined as “any bank to which an item is transferred in course of collection except the depository or payor bank” (UCC 4-105 [c]).

In a typical check presentation scenario, a bank customer deposits a check at its bank, the depository bank. After deposit by the customer, the depository bank either presents the check to the payor bank, or as is more commonplace, the depository bank sends the check to a clearing house, which acts as an intermediary bank. Once the depository bank sends the check to the intermediary bank, the depository bank becomes a collecting bank. The intermediary bank then presents the check to the payor bank (at which time the intermediary bank is also a collecting bank). When the check is received by the payor bank, it either pays the check, returns the check or dishonors the check.

The UCC prescribes the duties the various banks owe to a depositor. A collecting bank must use ordinary care in presenting a check or sending a check for presentment, sending notice of dishonor or nonpayment or returning a check, and settling the check when the collecting bank receives final settlement from the payor bank (*see* UCC 4-202 [1]). A collecting bank has until midnight of the next banking day (its “midnight deadline” [UCC 4-104 (h)]) to take the above actions when receiving a check, notice of dishonor or final settlement of the check (*see* UCC 4-202 [2]). In other words, whenever a collecting bank receives a check from a depositor or notice or settlement from the payor bank it must act on it by midnight the next banking day.

A payor bank must, by its “midnight deadline” (UCC 4-104 [h]), pay the item (*see* UCC 4-302), return the item or send written notice of dishonor or nonpayment (*see* UCC 4-301). Final settlement of a check occurs when the payor bank has paid the item or fails to return the check, or sends written notice of dishonor or nonpayment of the check by its midnight deadline (*see* UCC 4-301 [1]; 4-302 [a]).

Pursuant to the Expedited Funds Availability Act (12 USC § 4001 *et seq.*), banks are required to make funds from a deposited check available for the depositor's withdrawal within certain short time periods (*see* 12 USC § 4002 [b] [1]). The purpose of the "[a]ct is to provide faster availability of deposited funds" (*Haas v Commerce Bank*, 497 F Supp 2d 563, 565 [SD NY 2007]). This availability is provisional and the collecting bank has the right to charge back the amount if the check is dishonored or the bank fails to receive a settlement for the check (*see* UCC 4-212).

In this case, GTH deposited the check into its account at HSBC on Friday, September 21, 2007. The next business day, Monday, September 24, 2007, HSBC, within its midnight deadline, sent the check to FRBP for presentation, as well as provisionally making the funds available to GTH. FRBP presented the check to Citibank on that same day. Citibank returned the check as "sent wrong," within its midnight deadline, on September 25, 2007. On September 26, 2007, within its midnight deadline, HSBC repaired the routing number of the check and sent it to the FRBS, which ultimately dishonored it as counterfeit on October 2, 2007.

III.

GTH claims that Citibank was negligent in breaching its obligation to implement effective procedures for detecting counterfeit checks in that it failed to detect that the item was fraudulent when Citibank processed the check at Item Processing North. GTH notes the uncontroverted fact that on September 24, 2007, the day Citibank returned the check in question to the FRBP, Citibank returned at least six other checks, each in the identical amount of \$197,750, which should have put Citibank on notice that something was amiss. Additionally, Citibank admits that the personnel who reviewed checks after being sent to the reject packet were not trained to determine if they were counterfeit. In short, it is clear that Citibank did nothing to determine if the check was counterfeit prior to returning it to FRBP.

To establish a cause of action sounding in negligence, a plaintiff must establish the existence of a duty on defendant's part to plaintiff, breach of the duty and damages (*see Akins v Glens Falls City School Dist.*, 53 NY2d 325, 333 [1981]). Plaintiff alleges that Citibank owed it a duty to have procedures in place to detect counterfeit checks. For this proposition plaintiff cites

Putnam Rolling Ladder Co. v Manufacturers Hanover Trust Co. (74 NY2d 340 [1989]) and *Monreal v Fleet Bank* (95 NY2d 204 [2000]).

[1] The duty of a payor bank (in this case Citibank) to a non-customer depositor of a check is derived solely from UCC 4-301 and 4-302. UCC 4-301 provides in pertinent part:

“(1) Where an authorized settlement for a demand item . . . received by a payor bank . . . has been made before midnight of the banking day of receipt the payor bank may revoke the settlement and recover any payment if before it has made final payment . . . and before its midnight deadline it

“(a) returns the item; or

“(b) sends written notice of dishonor or nonpayment if the item is held for protest or is otherwise unavailable for return.”

UCC 4-302 (a) provides that a payor bank is liable for an item received by the payor bank if it “does not pay or *return the item* or send notice of dishonor until after its midnight deadline” (emphasis added). In this case, it is uncontroverted that Citibank returned the check to FRBP within its midnight deadline.

GTH’s reliance on *Putnam* and *Monreal* is unavailing. Those cases dealt with claims by a customer of a payor bank for that payor bank’s failure to exercise ordinary care with regards to forged checks drawn on the customer’s account and examined the duties owed by a payor bank to its customers (see *Putnam*, 74 NY2d at 343-346; *Monreal*, 95 NY2d at 206-207). These duties are codified in article 4, part 4 of the UCC. Specifically, the duty of a payor bank to exercise ordinary care in paying a customer’s item is found in UCC 4-406 (3).⁷

In this case, GTH is not a customer of Citibank and the duties codified in UCC 4-406 (3) are not applicable here. Moreover, there was never any payment made by Citibank on the check. In short, the only duty Citibank owed GTH was to pay the

7. UCC 4-406 (1) requires that a customer examine its bank statement to determine if there are any unauthorized signatures or alterations on any item and notify its bank promptly. UCC 4-406 (2) states that if the bank establishes that the customer failed to comply with subsection (1) with respect to an item, the customer is precluded from asserting against the bank its unauthorized signature or any alteration of the item. UCC 4-406 (3) provides: “The preclusion under subsection (2) does not apply if the customer establishes lack of *ordinary care* on the part of the bank in paying the item[]” (emphasis added).

check, return the check or send notice of dishonor of the check by midnight of the next banking day after receiving the check. It is uncontroverted that Citibank returned the check within its midnight deadline. Because GTH cannot establish any duty owing from Citibank that was breached, GTH's claims against Citibank were properly dismissed.

IV.

As against HSBC, GTH alleges two causes of action. First, it alleges negligent misrepresentation as a result of HSBC informing GTH that the check had "cleared"⁸ and the funds were available for transfer and second, it alleges negligence for failing to inform GTH and charge back the check on September 26th, when it was originally returned on September 25th by Citibank via FRBP.

As for the claim of negligent misrepresentation, "liability for negligent misrepresentation has been imposed only on those persons who possess unique or specialized expertise, or who are in a special position of confidence and trust with the injured party such that reliance on the negligent misrepresentation is justified" (*Kimmell v Schaefer*, 89 NY2d 257, 263 [1996]). "[T]he relationship between a bank and its depositor is one of debtor and creditor" (*Brigham v McCabe*, 20 NY2d 525, 530 [1967]; see also *Solicitor for Affairs of His Majesty's Treasury v Bankers Trust Co.*, 304 NY 282, 291 [1952]) and "an arm's length borrower-lender relationship . . . does not support a cause of action for negligent misrepresentation" (*Dobroshi v Bank of Am., N.A.*, 65 AD3d 882, 884 [1st Dept 2009]; see also *Aaron Ferer & Sons Ltd. v Chase Manhattan Bank, N.A.*, 731 F2d 112, 123 [2d Cir 1984]; *Korea First Bank of N.Y. v Noah Enters., Ltd.*, 12 AD3d 321, 323 [1st Dept 2004], *lv denied* 4 NY3d 710 [2005]; *River Glen Assoc. v Merrill Lynch Credit Corp.*, 295 AD2d 274, 275 [1st Dept 2002]; *FAB Indus. v BNY Fin. Corp.*, 252 AD2d 367, 367 [1st Dept 1998]). This is true even if there is a long-standing relationship between the customer and a particular bank employee (see *Manufacturers Hanover Trust Co. v Yanakas*, 7 F3d 310, 318 [2d Cir 1993]; *Bennice v Lakeshore Sav. & Loan Assn.*, 254 AD2d 731, 732 [4th Dept 1998]) or "if the parties are familiar or friendly" (*Call v Ellenville Natl. Bank*, 5 AD3d 521, 523 [2004]).

8. We note that GTH, in its own words, asked HSBC if the check had "cleared." "The term 'cleared' is not employed in the UCC and, as commonly used, is not the equivalent of 'final settlement' " (*Call v Ellenville Natl. Bank*, 5 AD3d 521, 524 [2d Dept 2004]).

GTH argues that, pursuant to UCC 4-201, HSBC was an agent of GTH during the period that HSBC was acting as a collecting bank for plaintiff. UCC 4-201 (1) provides, in pertinent part, that “prior to the time that a settlement given by a collecting bank for an item is or becomes final . . . the bank is an agent or sub-agent of the owner of the item and any settlement given for the item is provisional.” GTH thus claims that pursuant to this agency relationship, HSBC owed a fiduciary duty to GTH. HSBC claims that it owed no fiduciary duty, and also relies on a waiver contained in the contract between GTH and HSBC. That contract contained the following provision:

“BALANCE INFORMATION

“Balances may change frequently throughout a business day. You hereby waive any claim against the Bank based on representations made by the Bank, either orally or in writing to you, or your authorized person, or to any other party, regarding balance information.”

Although an agent owes a duty to its principal to disclose all material facts that come to its knowledge regarding the scope of the agency (*see Kirschner v KPMG LLP*, 15 NY3d 446, 480 [2010]), the purpose of UCC 4-201 is not to impose a fiduciary duty on a collecting bank. We have interpreted the statute such that the use of the term “agent” means that the item and any inherent risk in that item remains with the depositor and not the collecting bank (*see Hanna v First Natl. Bank of Rochester*, 87 NY2d 107, 119 [1995] [“(a) collecting bank acts as the agent of its customer, and until such time as the collecting bank receives final payment, the risk of loss continues in the customer, the owner of the item”]; *Long Is. Natl. Bank v Zawada*, 34 AD2d 1016, 1017 [2d Dept 1970] [“(Section 4-201) operates to keep the risk of loss upon the owner of the item rather than the bank and gives to the depository bank a right to reimbursement superior to the owner’s rights to the proceeds and superior to the rights of the owner’s creditors”])).

[2] To resolve this case, we do not need to decide whether the relationship between GTH and HSBC would preclude all possible claims for negligent misrepresentation, but it is clear that the claim GTH asserts here cannot succeed, even accepting as true, as we must at this stage of the litigation, GTH’s version of the conversation with the representative at HSBC. GTH’s claim

is based on the alleged oral statement by the HSBC representative that the check had “cleared”—an ambiguous remark that may have been intended to mean only that the amount of the check was available (as indeed it was) in GTH’s account. Reliance on this statement as assurance that final settlement had occurred was, under the circumstances here, unreasonable as a matter of law.

GTH’s claim of negligence against HSBC alleges that HSBC owed a duty to GTH to inform it and charge its account back pursuant to UCC 4-212 (1) when the check was first returned marked “sent wrong” to HSBC on September 25th. GTH argues that the return of the check was a dishonor of the check, thereby triggering HSBC’s duty to inform GTH and charge back its account by the midnight deadline (i.e., September 26th, the day before GTH wired the funds). UCC 4-212 (1) provides:

“If a collecting bank has made provisional settlement with its customer for an item and itself fails by reason of dishonor, suspension of payments by a bank or otherwise to receive a settlement for the item which is or becomes final, the bank may revoke the settlement given by it, charge back the amount of any credit given for the item to its customer’s account or obtain refund from its customer whether or not it is able to return the items if by its midnight deadline or within a longer reasonable time after it learns the facts it returns the item or sends notification of the facts. These rights to revoke, charge-back and obtain refund terminate if and when a settlement for the item received by the bank is or becomes final.”

However, the duty a collecting bank owes to a depositor is that of ordinary care in handling the item (*see* UCC 4-202). The UCC does not define “ordinary care,” but it should be read as to have its normal tort meaning (*see Putnam*, 74 NY2d at 346). Other courts have determined that while “ordinary care [should] be [understood to have] its normal tort meaning, the realities of the modern banking system cannot be ignored in evaluating a bank’s negligence” (*United States Fid. & Guar. Co. v Federal Reserve Bank of N.Y.*, 590 F Supp 486, 499 [SD NY 1984] [internal quotation marks omitted]). HSBC argues that when the check was returned “sent wrong,” it was, what is known in the banking industry, an “administrative return.” An “administrative return” occurs when the routing number on

the check is damaged or unreadable. When such a return occurs, the bank will do more research, repair the routing number and resubmit the check, which is what happened here. According to HSBC, this type of return is not a dishonor of the check. The check was, in HSBC's view, still being processed.

[3] GTH argues that the UCC does not provide for an "administrative return" of a check and, therefore, the return of the check was a dishonor of the check. HSBC responds that it acted with "ordinary care" because treating a check returned in this manner as an "administrative return," repairing the routing number and re-presenting the check is the custom and practice of the banking industry (*see Trimarco v Klein*, 56 NY2d 98, 105-106 [1982]). HSBC proffered the affidavit of its Assistant Vice-President and First Shift Manager in the Exceptions Processing Department of HSBC as evidence that "administrative returns" occur periodically in the banking industry and are dealt with by repairing the routing number and re-presenting the check. The record demonstrates that HSBC acted with ordinary care (*see Putnam*, 74 NY2d at 347 ["by showing that it acted in accordance with general banking rules or practices, a bank can ensure that its conduct at least prima facie meets an ordinary care standard"]). GTH, by contrast, offered no evidence in support of its claim that the bank acted unreasonably (*see id.* at 346 ["a customer could prove a bank lacked ordinary care by presenting any type of proof that the bank failed to act reasonably"]). GTH relies on HSBC's internal document that noted that the check was returned for insufficient funds as evidence the check was dishonored on September 25th. However, the courts below properly accepted HSBC's explanation that the document stating the check was returned for insufficient funds was a clerical error. In sum, because GTH offered no proof that HSBC failed in its duty to exercise ordinary care in the handling of the check, and no issues of fact remain, the claim for negligence against HSBC likewise fails.

V.

[4] Finally, GTH argues that it should prevail against both defendants under the theory of equitable estoppel. This argument is unavailing. Under the doctrine of equitable estoppel, when innocent parties suffer from the acts of a third person, the party that enabled the third person must bear the loss (*see Bunge Corp. v Manufacturers Hanover Trust Co.*, 31 NY2d 223, 228 [1972]). Here, neither Citibank nor HSBC breached any duty owed to GTH.

GTH argues that the banks were in the best position to determine that the check was counterfeit. However, the Appellate Division held, and we agree, that “[GTH] was in the best position to guard against the risk of a counterfeit check by knowing its ‘client’ ” (*Greenberg*, 73 AD3d at 572). Additionally,

“the UCC has the objective of promoting certainty and predictability in commercial transactions. By prospectively establishing rules of liability that are generally based not on actual fault but on allocating responsibility to the party best able to prevent the loss by the exercise of care, the UCC not only guides commercial behavior but also increases certainty in the marketplace and efficiency in dispute resolution” (*Putnam*, 74 NY2d at 349).

The UCC is clear that, until there is final settlement of the check, the risk of loss lies with the depositor (*see Hanna*, 87 NY2d at 119). Final settlement of a check occurs when the payor bank has:

“(a) paid the item in cash; or

“(b) settled for the item without reserving a right to revoke the settlement and without having such right under statute, clearing house rule or agreement; or

“(c) completed the process of posting the item to the indicated account of the drawer, maker or other person to be charged therewith; or

“(d) made a provisional settlement for the item and failed to revoke the settlement in the time and manner permitted by statute, clearing house rule or agreement” (UCC 4-213 [1]).

It is uncontroverted that since none of the above actions occurred in this case prior to October of 2007, the risk remained with GTH and HSBC retained the right to charge back plaintiff’s account pursuant to UCC 4-212. Since GTH cannot establish that defendants breached any duty owed, the courts below have correctly determined that no triable issues of fact exist and properly awarded summary judgment in favor of the defendant banks.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

PIGOTT, J. (dissenting in part). I believe that HSBC is not entitled to summary judgment on GTH's negligent misrepresentation claim.

Under New York's Uniform Commercial Code, "[i]f a collecting bank has made provisional settlement with its customer for an item and itself fails by reason of dishonor, suspension of payments by a bank or otherwise to receive a settlement for the item which is or becomes final," the bank may revoke the settlement and charge back the amount of any credit given for the item to the customer's account (UCC 4-212 [1]). "The right to charge-back is not affected by . . . failure by any bank to exercise *ordinary care* with respect to the [check] *but any bank so failing remains liable*" (*id.* at 4-212 [4] [b] [emphasis supplied]). Thus, a bank has a duty to exercise ordinary care when dealing with its customers (*Aikens Constr. of Rome v Simons*, 284 AD2d 946, 947 [4th Dept 2001]). The term "ordinary care" is used with its normal tort meaning and not in any special sense relating to bank collections. A customer may prove a bank "lacked ordinary care by presenting any type of proof that the bank failed to act reasonably" (*Putnam Rolling Ladder Co. v Manufacturers Hanover Trust Co.*, 74 NY2d 340, 346 [1989]). Further, section 4-103 (1) states that "[t]he effect of the provisions of this Article may be varied by agreement except that no agreement can disclaim a bank's responsibility for its own lack of good faith or failure to exercise ordinary care or can limit the measure of damages for such lack or failure."

In this case, GTH alleges that on September 27, 2007, David A. Trager, a partner at GTH, telephoned his contact at HSBC, Frances Scott, to inquire about the status of the Citibank check. Trager and Scott had a five-year banking relationship, whereby Trager would call Scott to confirm that checks deposited into GTH's trust account had cleared and were available for disbursement. Scott informed Trager that the Citibank check had "cleared" and that the funds were available to be wired to another account. Relying in good faith on that statement, Trager asked Scott to wire proceeds of the check, which she did.

HSBC makes much of the fact that the word "cleared" is not found in the UCC and the majority finds it to be ambiguous. However, UCC 1-205 entitled "course of dealing and usage of trade," defines "usage of trade" as encompassing "any practice or method of dealing having such regularity of observance in a place, vocation or trade as to justify an expectation that it will be observed with respect to the transaction in question" (UCC

1-205 [2]). The term “cleared” is used liberally in the banking business. Indeed, the Federal Trade Commission in a bulletin addressed to consumers states that “[i]t’s best not to rely on money from *any* type of check . . . unless you know and trust the person you’re dealing with or, better yet—*until the bank confirms that the check has cleared*” (Federal Trade Commission, *FTC Facts for Consumers, Giving the Bounce to Counterfeit Check Scams*, Jan. 2007, available at <http://www.ftc.gov/bcp/edu/pubs/consumer/credit/cre40.pdf>, cached at <http://www.nycourts.gov/reporter/webdocs/cre40.pdf> [emphasis added]). Therefore, I disagree with the majority’s position that relying on this statement was unreasonable as a matter of law (see majority op at 580).^{*} I suspect many business professionals would have done the same thing as Trager.

Viewing the facts in the light most favorable to GTH, which we are required to do on this motion for summary judgment, GTH raises questions of fact as to whether HSBC failed to exercise ordinary care when Scott misrepresented the status of the check to Trager (see *JP Morgan Chase Bank, N.A. v Pinzler*, 28 Misc 3d 1214[A], 2010 NY Slip Op 51324[U] [Sup Ct, NY County 2010]; *JP Morgan Chase Bank, N.A. v Cohen*, 26 Misc 3d 1215[A], 2009 NY Slip Op 52725[U] [Sup Ct, Albany County 2009]).

Counterfeit check scams are pervasive. That Citibank could not recognize one of its own checks as counterfeit is testament to the seriousness of this problem within the banking industry. It is no answer that Citibank and HSBC seemed to stumble along over a period of 10 days resulting in one of their customers being bilked out of \$187,750. This problem has long been known to the banks and a mere recitation of their normal practices does not, in my view, establish the appropriate standard of care in this day and age and certainly not their entitlement to summary judgment.

Equally unavailing is HSBC’s claim that the negligent misrepresentation claim must fail because GTH waived all claims

^{*} If the term “cleared” means anything in common banking usage, it is that final settlement has occurred (see Black’s Law Dictionary [9th ed 2009], clear [defining the term as it relates to a bank as “to pay (a check or draft) out of funds held on behalf of the maker <the bank cleared the employee’s check>”]; defining the term as it relates to “a check or draft” as “to be paid by the drawee bank out of funds held on behalf of the maker <the check cleared yesterday>”]).

concerning GTH's balance information. Even if GTH waived such claims, this is not a debate about who said what to whom about an account balance. Rather, the issue is whether HSBC told GTH that the check had cleared and whether GTH could have relied on HSBC's representations to that effect.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH and JONES concur with Judge CIPARICK; Judge PIGOTT dissents in part in a separate opinion.

Order affirmed, with costs.

[958 NE2d 88, 934 NYS2d 54]

NEW YORK AND PRESBYTERIAN HOSPITAL, as Assignee of Joaquin Benitez, Respondent, v COUNTRY-WIDE INSURANCE COMPANY, Appellant.

Argued September 6, 2011; decided October 13, 2011

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 23, 2010. The Appellate Division affirmed a judgment of the Supreme Court, Nassau County (Thomas P. Phelan, J.), which, upon an order of that court (op 2009 NY Slip Op 33263[U]) granting plaintiffs' motion for summary judgment on the complaint insofar as asserted by plaintiff New York and Presbyterian Hospital, as assignee of Joaquin Benitez, and denying defendant's cross motion for summary judgment dismissing the complaint insofar as asserted by that plaintiff, had awarded plaintiff damages in the principal sum of \$56,235.43.

New York & Presbyt. Hosp. v Country-Wide Ins. Co., 71 AD3d 1009, reversed.

HEADNOTE

Insurance — No-Fault Automobile Insurance — Untimely Submission of Claim

Plaintiff health care services provider, as assignee of a person injured in a motor vehicle accident, could not recover no-fault benefits by timely submitting the required proof of claim to defendant no-fault insurer after the 30-day period for providing written notice of the accident had expired. Pursuant to 11 NYCRR 65-1.1 (d), a no-fault insurer must receive written notice of an accident within 30 days and must also receive proof of claim for health services within 45 days after the services were rendered, and those are independent conditions precedent to a no-fault insurer's liability. While 11 NYCRR 65-3.3 (d) provides that a proof of claim may satisfy the notice of accident requirement, the two regulations cannot be interpreted to mean that a hospital/assignee's timely submission of a proof of claim for health services within 45 days after the date such services were rendered excuses the insured/assignor's failure to give the threshold notice of accident within 30 days of the accident, or that health care service providers are exempt from the written 30-day notice of accident requirement. The proper construction of the subject regulations is that a form that can serve as proof of claim may constitute timely notice of an accident, as permitted by 11 NYCRR 65-3.3 (d), only if such proof of claim is given within the 30-day period prescribed by 11 NYCRR 65-1.1. Furthermore, because no written notice of accident was given to defendant, there was a failure to fully comply with the terms of the no-fault policy and the assignment to plaintiff effectively became worthless.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobile Insurance §§ 395, 396, 523, 559.
COUCH ON INSURANCE (3d ed) §§ 171:57, 186:10, 187:3,
187:30.
11 NYCRR 65-1.1, 65-3.3 (d).
NY JUR 2d, Insurance §§ 1900, 1969-1979.

ANNOTATION REFERENCE

See ALR Index under Automobile Insurance; No-Fault Insurance.

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treatment service & assign!

POINTS OF COUNSEL

Thomas Torto, New York City, and *Jaffe & Koumourdass, LLP* for appellant. A proof of claim which is given beyond the 30-day period immediately after the accident cannot serve as a timely notice of accident under 11 NYCRR 65-1.1. (*New York & Presbyt. Hosp. v American Tr. Ins. Co.*, 45 AD3d 822; *St. Vincent's Hosp. & Med. Ctr. v Country Wide Ins. Co.*, 24 AD3d 748; *Hospital for Joint Diseases v Travelers Prop. Cas. Ins. Co.*, 9 NY3d 312; *Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.*, 90 NY2d 274.)

Joseph Henig, P.C., Bellmore (*Joseph Henig* and *Gregory Henig* of counsel), for respondent. Defendant's reason for the denial of claim was incorrect as a matter of law, as the form NF-5 was submitted timely and served as both the "proof of claim" and the "notice of claim." (*Nyack Hosp. v Metropolitan Prop. & Cas. Ins. Co.*, 16 AD3d 564; *Todaro v GEICO Gen. Ins. Co.*, 46 AD3d 1086; *Matter of John Paterno, Inc. v Curiale*, 88 NY2d 328; *Dermatossian v New York City Tr. Auth.*, 67 NY2d 219.)

OPINION OF THE COURT

JONES, J.

The question before the Court is whether a health care services provider, as assignee of a person injured in a motor vehicle accident, can recover no-fault benefits by timely submitting the

required proof of claim after the 30-day period for providing written notice of the accident has expired. We hold it cannot.

On July 19, 2008, Joaquin Benitez was injured in a traffic accident which took place in Manhattan, and treated at New York and Presbyterian Hospital (Presbyterian) from that date through July 26, 2008. On the date of Benitez's discharge, he and Presbyterian executed an assignment of no-fault benefits form under which he assigned to Presbyterian "all rights[,] privileges and remedies to payment for health care services provided by [Presbyterian] to which [Benitez is] entitled under Article 51 (the No-Fault statute) of the Insurance Law." Benitez and Presbyterian also executed a completed NYS Form NF-5 (i.e., a hospital facility form). Neither Benitez nor Presbyterian provided the required written notice of accident to his no-fault insurer, Country-Wide Insurance Company (Country-Wide), within 30 days of the accident as required by the New York insurance regulations (11 NYCRR 65-1.1).

On August 25, 2008, Presbyterian, as assignee of Benitez, billed Country-Wide (i.e., sought no-fault benefits) for the sum of \$48,697.63. In billing Country-Wide, Presbyterian submitted a number of documents, including the required proof of claim (the NF-5 form). Country-Wide received the bill and other documents on August 28, 2008, 40 days after the accident. Country-Wide denied Presbyterian's claim on the ground it had not received timely notice of the accident under 11 NYCRR 65-1.1 (d), which requires an "eligible insured person" to give written notice to the insurer "in no event more than 30 days after the date of the accident."

Presbyterian brought this action against Country-Wide to compel payment of no-fault benefits in the amount of its bill, plus statutory interest and attorney's fees, alleging it had provided timely notice and proof of claim under 11 NYCRR 65-1.1, which requires an insured person's assignee to submit written proof of claim no later than 45 days after the date health care services are rendered. Presbyterian and Country-Wide each moved for summary judgment.

Supreme Court granted Presbyterian summary judgment, ruling that the hospital satisfied its notice obligation by timely submitting the proof of claim (*Wyckoff Hgts. Med. Ctr. v Country Wide Ins. Co.*, 2009 NY Slip Op 33263[U] [2009]). Citing 11 NYCRR 65-3.3 (d), the Appellate Division affirmed (71 AD3d 1009 [2d Dept 2010]), stating, "[c]ontrary to the insurer's contention, the hospital's submission of a completed hospital

facility form . . . within 45 days after services were rendered satisfied the written notice requirement set forth in 11 NYCRR 65-1.1” (*id.* at 1010). This Court granted Country-Wide leave to appeal and we now reverse.

Country-Wide argues that the Appellate Division decision eviscerates the 30-day written notice of accident requirement and that the aforementioned regulations do not contain any language which provides that submission of a proof of claim for health care services within 45 days excuses the failure to give the threshold notice of accident within 30 days of the accident. In response, Presbyterian construes the stated no-fault regulations as exempting health care providers from the 30-day notice of accident requirement. In Presbyterian’s view, its filing of the hospital facility form within 45 days of the date services were rendered constitutes both “proof of claim” and timely “notice of accident.” For the reasons that follow, we agree with Country-Wide’s position.

The primary goals of New York’s no-fault automobile insurance system are “to ensure prompt compensation for losses incurred by accident victims without regard to fault or negligence, to reduce the burden on the courts and to provide substantial premium savings to New York motorists” (*Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854, 860 [2003]). In furtherance of these objectives, “the Superintendent of Insurance has adopted regulations implementing the No-Fault Law (Insurance Law art 51), including *circumscribed time frames for claim procedures*” (*Hospital for Joint Diseases v Travelers Prop. Cas. Ins. Co.*, 9 NY3d 312, 317 [2007] [emphasis added]).

11 NYCRR 65-1.1 (d), the mandatory personal injury protection endorsement for motor vehicle liability insurance policies, provides:

“*Conditions*

“*Action Against [Insurance] Company.* No action shall lie against the Company unless, as a condition precedent thereto, there shall have been full compliance with the terms of this coverage.

“*Notice.* In the event of an accident, written notice setting forth details sufficient to identify the eligible injured person, along with reasonably obtainable information regarding the time, place and circumstances of the accident, shall be given by, or on

behalf of, each eligible injured person, to the Company, or any of the Company's authorized agents, as soon as reasonably practicable, but in no event more than 30 days after the date of the accident . . .

"Proof of Claim; Medical, Work Loss, and Other Necessary Expenses. In the case of a claim for health service expenses, the eligible injured person or that person's assignee or representative [e.g., a health care services provider] shall submit written proof of claim to the Company, including full particulars of the nature and extent of the injuries and treatment received and contemplated, as soon as reasonably practicable but, in no event later than 45 days after the date services are rendered" (emphasis added).

In addition, 11 NYCRR 65-3.3 (d) states:

"The written notice required by . . . the mandatory and additional personal injury protection endorsement(s) shall be deemed to be satisfied by the insurer's receipt of a completed prescribed application for motor vehicle no-fault benefits (NYS Form N-F 2) forwarded to the applicant pursuant to subdivision 65-3.4(b) of this subpart or by the insurer's receipt of a completed hospital facility form (NYS Form N-F 5)" (emphasis added).

The "notice of accident" and "proof of claim" under 11 NYCRR 65-1.1 are independent conditions precedent to a no-fault insurer's liability (see *Hospital for Joint Diseases*, 9 NY3d at 317 ["These regulations require an accident victim to submit a notice of claim to the insurer as soon as practicable and no later than 30 days after an accident. *Next*, the injured party or the assignee (typically a hospital . . .) must submit proof of claim for medical treatment no later than 45 days after services are rendered" (emphasis added and citations omitted)]). By ruling that the notice of accident condition was satisfied based on the plain language of 11 NYCRR 65-3.3 (d), the Appellate Division disregarded the separate and distinct nature and purpose of these requirements. Even more troubling, such a construction effectively reads the 30-day written notice of accident requirement out of the no-fault regulations. But nothing in 11 NYCRR 65-3.3 (d) explicitly dispenses with the 30-day notice of accident requirement. Rather, 11 NYCRR 65-3.3 (d) merely provides that a NF-5 form may constitute the written notice required under the notice of accident provision.

In other words, these regulations (read alone or in tandem) cannot be interpreted to mean that a hospital/assignee's timely submission of a proof of claim for health services within 45 days of discharge of the injured person excuses the insured/assignor's failure to give the threshold notice of accident within 30 days of the accident, or that health care service providers are exempt from the written 30-day notice of accident requirement. Neither 11 NYCRR 65-1.1 nor 11 NYCRR 65-3.3 (d) contains such language. That is, while 11 NYCRR 65-3.3 (d) allows a completed hospital facility form to satisfy the written notice of accident requirement, the regulation does not provide (or suggest) that a "proof of claim" in that form filed within 45 days of treatment satisfies the 30-day notice of accident requirement where, as here, the form was submitted to Country-Wide *after* the 30-day period has expired.

Although the Department of Insurance has not issued any interpretive statements or opinions regarding the subject regulations, our case law provides some guidance as to the importance of the "notice of accident" and "proof of claim" requirements to the no-fault regulatory scheme. In *Serio*, the Court explained that in 2001, the Superintendent of Insurance, in response to an alarming increase in insurance fraud over the preceding nine years, amended these regulations (*see* 100 NY2d at 861-863). Specifically, the notice of accident requirement was reduced from 90 days to 30 days, and the time to provide proof of claim was reduced from 180 days to 45 days (*id.* at 860, 862) in order to, among other things, prevent the fraud and abuse the Superintendent linked to the lengthy time frames (*id.* at 862)—for example, there were numerous cases where individuals were "exploiting the time lag between the alleged loss and the deadline for submitting proof of the loss, coupled with the reality that insurers are given only 30 days to review and investigate claims before paying them without risk of penalties for denying or delaying a claim" (*id.* at 861). Thus, it is clear that the Superintendent of Insurance—the official responsible for administering the Insurance Law and promulgating the insurance regulations—viewed *both* the "notice of accident" and "proof of claim" as integral requirements/time periods that further the goals of the no-fault system. Moreover, Presbyterian's interpretation of 11 NYCRR 65-3.3 (d) would undercut the anti-fraud purpose of the reduced time periods, particularly in cases where treatment does not occur until months or years after the accident.

Based on the foregoing, the proper construction of the subject regulations is that an NF-5 form (or other form that can serve as proof of claim) may constitute timely notice of an accident, as permitted by 11 NYCRR 65-3.3 (d), only if such proof of claim is given within the 30-day period prescribed by 11 NYCRR 65-1.1. Any other construction is unwarranted and would undermine the importance of the 30-day time period to the no-fault system.

Presbyterian nevertheless argues that interpreting 11 NYCRR 65-3.3 (d) in Country-Wide's favor "would severely impact the hospital's ability to submit a timely bill" in cases where the insurer is not readily identifiable. But the Superintendent has addressed these concerns. The regulations allow late notices of accident if there is "written proof providing clear and reasonable justification for the failure to comply with such time limitation" (11 NYCRR 65-1.1 [d]).* Indeed, the regulations specifically direct carriers to consider whether the injured person was a pedestrian or an occupant of a vehicle who may have difficulty identifying the proper carrier in assessing untimely notices of accident:

"The insurer shall establish standards for review of its determinations that applicants have provided late notice of claim or late proof of claim. In the case of notice of claim, such standards shall include, but not be limited to, appropriate consideration for pedestrians and non-related occupants of motor vehicles who may have difficulty ascertaining the identity of the insurer" (11 NYCRR 65-3.5 [l]).

Finally, as an assignee of all the rights, privileges and remedies to which Benitez was entitled under the No-Fault Law, Presbyterian stood in the shoes of Benitez and acquired no greater rights than he had (see *Matter of International Ribbon Mills [Arjan Ribbons]*, 36 NY2d 121, 126 [1975] [Chief Judge Breitel wrote, "(i)t is elementary ancient law that an assignee never stands in any better position than his assignor"]). Here, because no written notice of accident was given, there was a failure to fully comply with the terms of the no-fault policy,

* See also 11 NYCRR 65-3.3 (e), which provides:

"When an insurer denies a claim based upon the failure to provide timely written notice of claim or timely submission of proof of claim by the applicant, such denial must advise the applicant that late notice will be excused where the applicant can provide reasonable justification of the failure to give timely notice."

which is a condition precedent to insurer liability. As a result, the assignment effectively became worthless (i.e., Benitez assigned nothing to Presbyterian)—you cannot assign your right to benefits if your right to those benefits has not been triggered, or if you had no right to those benefits in the first place.

For the foregoing reasons, the submission of the proof of claim within 45 days of the date health care services are rendered may not serve as timely written notice of accident after the 30-day period for providing such written notice has expired.

Accordingly, the order of the Appellate Division should be reversed, with costs, defendant's motion for summary judgment granted and the complaint dismissed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order reversed, etc.

[958 NE2d 1183, 935 NYS2d 268]

GLORIA DOOMES, Appellant, v BEST TRANSIT CORP. et al., Defendants, and WARRICK INDUSTRIES, INC., Doing Business as GOSHEN COACH, Respondent.

ANA JIMINIAN, Appellant, v BEST TRANSIT CORP. et al., Defendants, and WARRICK INDUSTRIES, INC., Doing Business as GOSHEN COACH, Respondent.

KELLI RIVERA, Appellant, v BEST TRANSIT CORP. et al., Defendants, and WARRICK INDUSTRIES, INC., Doing Business as GOSHEN COACH, Respondent.

Argued September 14, 2011; decided October 18, 2011

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 10, 2009. The Appellate Division (1) reversed, on the law and the facts, (a) so much of a judgment of the Supreme Court, Bronx County (Stanley B. Green, J.), in favor of plaintiff Gloria Doomes, as had awarded plaintiff damages as against defendant Warrick Industries, Inc., (b) so much of a judgment of that court, in favor of plaintiff Ana Jiminian, as had awarded plaintiff damages as against defendant Warrick Industries, Inc., and (c) so much of a judgment of that court, in favor of plaintiff Kelli Rivera, as had awarded plaintiff damages as against defendant Warrick Industries, Inc.; (2) dismissed the complaints as against defendant Warrick Industries, Inc.; and (3) directed the clerk to enter amended judgments accordingly.

Doomes v Best Tr. Corp., 68 AD3d 504, reversed.

HEADNOTES

Statutes — Federal Preemption — Express Preemption

1. In jointly tried personal injury actions arising from a single-vehicle bus accident, plaintiffs' claims seeking to hold defendant bus manufacturer liable for failure to install passenger seatbelts in the bus were not expressly preempted by federal regulations promulgated by the National Highway Traffic Safety Administration. The applicable regulations, as set forth in Federal Motor Vehicle Safety Standard 208 (49 CFR 571.208), do not require the installation of passenger seatbelts in buses with a gross vehicle weight rating of over 10,000 pounds. Although the National Traffic and Motor Vehicle Safety Act does contain a preemption provision limiting the authority of states to prescribe motor vehicle safety standards (*see* 49 USC § 30103 [b]), there is a

saving clause providing that “[c]ompliance with a motor vehicle safety standard prescribed under this chapter does not exempt a person from liability at common law” (49 USC § 30103 [e]). When read in conjunction with the preemption provision, the saving clause permits the commencement of common-law claims; compliance with applicable federal motor vehicle safety standards is not necessarily a preclusive bar.

Statutes — Federal Preemption — Field Preemption

2. In jointly tried personal injury actions arising from a single-vehicle bus accident, plaintiffs’ claims seeking to hold defendant bus manufacturer liable for failure to install passenger seatbelts in the bus were not barred under implied field preemption by federal regulations promulgated by the National Highway Traffic Safety Administration. The applicable regulations, as set forth in Federal Motor Vehicle Safety Standard 208 (49 CFR 571.208), do not require the installation of passenger seatbelts in buses with a gross vehicle weight rating of over 10,000 pounds. Implied field preemption may be found when federal legislation is so comprehensive in its scope that it is inferable that Congress wished fully to occupy the field of its subject matter. Here, the federal statutes were not intended to so greatly envelop the field of motor vehicle safety standards as to leave little room for state participation or operation. Although the National Traffic and Motor Vehicle Safety Act does contain a preemption provision limiting the authority of states to prescribe motor vehicle safety standards (*see* 49 USC § 30103 [b]), there is a saving clause providing that “[c]ompliance with a motor vehicle safety standard prescribed under this chapter does not exempt a person from liability at common law” (49 USC § 30103 [e]). The saving clause represents a purposeful intent to allow meaningful state participation as a finding of preemption would treat all such federal standards as if they were maximum standards, eliminating the possibility that the federal agency seeks only to set forth a minimum standard potentially supplemented through state tort law.

Statutes — Federal Preemption — Conflict Preemption

3. In jointly tried personal injury actions arising from a single-vehicle bus accident, plaintiffs’ claims seeking to hold defendant bus manufacturer liable for failure to install passenger seatbelts in the bus were not barred under implied conflict preemption by federal regulations promulgated by the National Highway Traffic Safety Administration (NHTSA). The applicable regulations, as set forth in Federal Motor Vehicle Safety Standard 208 (49 CFR 571.208), do not require the installation of passenger seatbelts in buses with a gross vehicle weight rating of over 10,000 pounds, which included the bus involved in plaintiffs’ accident. Implied conflict preemption, found when state law conflicts with the federal law, can arise when it is impossible for a private party to comply with both state and federal requirements or where state law stands as an obstacle to the accomplishment and execution of the full purposes and objectives of Congress. Here, defendant could have installed passenger and driver seatbelts without running afoul of federal motor vehicle safety standards, as the pertinent regulations only mandated the inclusion of protective devices at the driver’s seat of a bus and were silent regarding the installation of passenger seatbelts. Moreover, the discretion given to defendant in the regulations to choose between a seatbelt or a complete passenger protection system for the driver had no bearing on the issue of whether passenger seatbelts should have been installed. Although the NHTSA has consistently acknowledged the enhanced safety benefits of seatbelts, it has neither imposed the installation of passenger seatbelts, nor expressed an intention to provide such an option to manufacturers of the size of bus involved in plaintiffs’ accident.

Products Liability — Defectively Designed Product — Modification of Weight Distribution of Bus Chassis

4. In jointly tried personal injury actions arising from a single-vehicle bus accident, plaintiffs' claims against defendant bus manufacturer alleging that the negligent modification of the bus' chassis altered the weight balance, steering, and handling of the bus were not supported by legally sufficient evidence. In addition to showing that the design defect was a proximate cause of their injuries, plaintiffs had the burden of showing that the product, as designed, was not reasonably safe because there was a substantial likelihood of harm and it was feasible to design the product in a safer manner. Plaintiffs' expert opined that the purportedly negligent weight distribution was a substantial factor in causing the accident, but any conclusions as to the bus' weight were based on speculative weight estimates of passengers, fuel, and luggage, and not empirical data. More specifically, plaintiffs' expert testified that the evidence alluded to the inattentiveness of the driver as a contributing factor; that he attempted to calculate the weight of the bus, but there was insufficient information; and he could not tell with certainty whether the proper 60% to 40% apportionment of weight between the rear and front axles existed as his opinions were not from his experience and knowledge of the particular bus. Although the expert discussed various weight ratings for different components of the bus, he failed to present any calculations that would indicate that the weight distribution contributed to the rollover accident.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic §§ 186, 187, 190; AM JUR 2d, Carriers §§ 761, 804, 1140; AM JUR 2d, Products Liability §§ 919, 982, 985, 987.

NY JUR 2d, Carriers §§ 19, 412, 415, 424, 428; NY JUR 2d, Products Liability §§ 8, 61-65.

PROSSER AND KEETON, TORTS (5th ed) §§ 41, 42, 96.

49 USCA § 30103 (b), (e).

WEINBERGER, NEW YORK PRODUCTS LIABILITY 2d, §§ 18:02, 18:03, 18:14, 20:02-20:04.

ANNOTATION REFERENCE

See ALR Index under Buses; Design of Product or Structure; Preemption; Products Liability; Seatbelts.

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POINTS OF COUNSEL

Pollack Pollack Isaac & DeCicco, New York City (Brian J. Isaac of counsel), *Kahn, Gordon, Timko & Rodrigues, P.C.* (Nicholis I. Timko of counsel), *Trolman, Glaser & Lichtman*,

PC. (Jeffrey A. Lichtman, Michael T. Altman and David B. Corley of counsel), *Shramko & DeLuca LLP* (Jonathan D. Shramko of counsel), and Alan M. Shapey for appellants. I. The lack of passenger seatbelts claim was not impliedly preempted by Federal Motor Vehicle Safety Standard 208 (49 CFR 571.208) under governing case law on point; the claim is cognizable based on the savings provision of 49 USC § 30103 (e). (*Chevere v Hyundai Motor Co.*, 4 AD3d 226; *Sprietsma v Mercury Marine*, 537 US 51; *Freightliner Corp. v Myrick*, 514 US 280; *Geier v American Honda Motor Co.*, 529 US 861; *Cipollone v Liggett Group, Inc.*, 505 US 504; *American Telephone & Telegraph Co. v Central Office Telephone, Inc.*, 524 US 214; *Florida Lime & Avocado Growers, Inc. v Paul*, 373 US 132; *Medtronic, Inc. v Lohr*, 518 US 470; *Morales v Trans World Airlines, Inc.*, 504 US 374; *Fidelity Fed. Sav. & Loan Assn. v De la Cuesta*, 458 US 141.) II. Dismissal of the weight distribution claim on the ground of legal insufficiency was erroneous as there was a rational view of the evidence which supported the jury's verdict. (*Cohen v Hallmark Cards*, 45 NY2d 493; *Campbell v City of Elmira*, 84 NY2d 505; *Ramos v City of New York*, 68 AD3d 632; *Ochs v Woods*, 221 NY 335; *Altman v Alpha Obstetrics & Gynecology*, 255 AD2d 276, 93 NY2d 801; *Gunder v Murthy*, 185 AD2d 915; *Dranofsky v Collins*, 271 App Div 932; *Denny v Ford Motor Co.*, 87 NY2d 248; *Scarangella v Thomas Built Buses*, 93 NY2d 655; *Sage v Fairchild-Swearingen Corp.*, 70 NY2d 579.)

Shaub Ahmuty Citrin & Spratt LLP, Lake Success (Steven J. Ahmuty, Jr., and Timothy R. Capowski of counsel), *Nicoletti Hornig & Sweeney*, New York City, and *Camacho Mauro Mulholland, LLP*, for respondent. I. The Safety Act and Federal Motor Vehicle Safety Standard 208 (49 CFR 571.208) preempt plaintiffs' state tort claim that the bus at issue was defective because it was not equipped with seatbelts at the passenger positions. (*Hines v Davidowitz*, 312 US 52; *Gibbons v Ogden*, 9 Wheat [22 US] 1; *Geier v American Honda Motor Co.*, 529 US 861; *Smith v Allwright*, 321 US 649; *Sprietsma v Mercury Marine*, 537 US 51; *Griffith v General Motors Corp.*, 303 F3d 1276, 538 US 1023; *United States of Am. v Chrysler Corp.*, 158 F3d 1350; *Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Freightliner Corp. v Myrick*, 514 US 280; *Paccar, Inc. v National Hwy. Traffic Safety Admin.*, 573 F2d 632, 439 US 862.) II. Assuming arguendo that the seatbelt claim was not preempted, this claim should still be dismissed because plaintiffs failed to adduce legally sufficient evidence of causation to warrant its submission to the jury. (*Parochial Bus Sys. v Board of Educ. of*

City of N.Y., 60 NY2d 539; *Town of Massena v Niagara Mohawk Power Corp.*, 45 NY2d 482; *Dickinson v Dowbrands, Inc.*, 261 AD2d 703; *Caiazzo v Volkswagenwerk A.G.*, 647 F2d 241; *Cornier v Spagna*, 101 AD2d 141; *Garcia v Rivera*, 160 AD2d 274, 77 NY2d 801; *Bilbao v Westinghouse Elec. Corp.*, 300 AD2d 23, 100 NY2d 514; *Tiner v General Motors Corp.*, 909 F Supp 112; *Huddell v Levin*, 537 F2d 726; *Lieber v Ford Motor Corp.*, 5 AD3d 1016.) III. Plaintiffs failed to adduce legally sufficient proof to warrant submission of their “weight distribution” claim to the jury. IV. On the specific facts of this case, the jury verdict finding that the bus was not defective for purposes of plaintiffs’ strict liability design defect claim was fatally inconsistent with its finding that the bus was defective for purposes of their breach of implied warranty claim. (*Giunta v Delta Intl. Mach.*, 300 AD2d 350; *DiMura v City of Albany*, 239 AD2d 828; *Denny v Ford Motor Co.*, 87 NY2d 248, 87 NY2d 969; *Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Fritz v White Consol. Indus.*, 306 AD2d 896; *Barry v Manglass*, 55 NY2d 803; *Bradley v Earl B. Feiden, Inc.*, 30 AD3d 709, 8 NY3d 265.)

Richard P. Schweitzer, P.L.L.C. (*Richard P. Schweitzer*, of the District of Columbia bar, admitted pro hac vice and *Craig M. Cibak* of counsel), for American Bus Association, Inc., amicus curiae. I. Plaintiffs would impose a safety standard that actually conflicts with federal law, and is preempted. (*Geier v American Honda Motor Co.*, 529 US 861; *Freightliner Corp. v Myrick*, 514 US 280; *Sprietsma v Mercury Marine*, 537 US 51; *English v General Elec. Co.*, 496 US 72; *Hines v Davidowitz*, 312 US 52.) II. The costs of requiring a retrofit of in use commercial motor vehicles is prohibitive, and the imposition of such a standard here is in conflict with the federal scheme.

The Mastromarco Firm, PLLP, Annapolis, Maryland (*Dan R. Mastromarco* of counsel), for United Motorcoach Association, Inc., amicus curiae. Federal Motor Vehicle Safety Standard 208 (49 CFR 571.208) preempts plaintiffs-appellants’ lawsuit in the instant action. (*Geier v American Honda Motor Co.*, 529 US 861; *Hodges v Delta Airlines, Inc.*, 44 F3d 334; *Morales v Trans World Airlines, Inc.*, 504 US 374; *Crosby v National Foreign Trade Council*, 530 US 363; *Hines v Davidowitz*, 312 US 52; *Medtronic, Inc. v Lohr*, 518 US 470; *Freightliner Corp. v Myrick*, 514 US 280; *Sprietsma v Mercury Marine*, 537 US 51.)

Jones Day, New York City (*David M. Cooper* of counsel), and *Jones Day*, Pittsburgh, Pennsylvania (*Charles H. Moellenberg*,

Jr., and *Leon F. DeJulius, Jr.*, of counsel), for Product Liability Advisory Council, Inc., amicus curiae. Federal Motor Vehicle Safety Standard 208 (49 CFR 571.208) preempts plaintiffs' design defect claim because it conflicts with the regulatory objective of preserving manufacturer choice of safety options. (*Geier v American Honda Motor Co.*, 529 US 861; *Burlington Truck Lines, Inc. v United States*, 371 US 156; *Fidelity Fed. Sav. & Loan Assn. v De la Cuesta*, 458 US 141; *Griffith v General Motors Corp.*, 303 F3d 1276; *Sprietsma v Mercury Marine*, 537 US 51; *Hurley v Motor Coach Indus., Inc.*, 222 F3d 377; *Juliano v Toyota Motor Sales, U.S.A., Inc.*, 20 F Supp 2d 573.)

OPINION OF THE COURT

JONES, J.

In these personal injury actions arising from a single-vehicle bus accident, two questions are presented for our review. First, whether plaintiffs' seatbelt claims, seeking to hold defendant liable for failure to install passenger seatbelts on the bus, were preempted by federal regulations promulgated by the National Highway Traffic Safety Administration (NHTSA). Second, whether plaintiffs' weight distribution claim, alleging that the negligent modification of the bus' chassis altered the weight balance, steering, and handling of the bus, was supported by legally sufficient evidence. We hold that plaintiffs' seatbelt claims are not preempted by federal regulation, and that plaintiffs' weight distribution claim is not supported by legally sufficient evidence.

I

On April 23, 1994, a bus carrying approximately 21 passengers was returning from a visit to Adirondack Correctional Facility in Ray Brook, New York. The bus was equipped with a seatbelt for the driver, but not for the passengers. During the trip along the New York State Thruway, the driver, defendant Wagner M. Alcivar, "dozed off" while the bus was traveling approximately 60 miles per hour. The bus veered across the highway from the right-hand lane into the passing lane, and encountered a median strip and a sloping embankment. Alcivar awakened, but his belated attempts to regain control of the bus were futile as the vehicle rolled over several times, injuring many of the passengers.

Plaintiffs Gloria Doomes, individually and as mother and natural guardian of two infants; Ana Jiminian, individually and as

parent of two infants; Kelly Rivera; Sharon Rodriguez; and Heriberto Santiago commenced actions against defendants Best Transit Corp. (Best), the owner of the bus; Ford Motor Company (Ford), the manufacturer of the chassis and cab of the bus; Warrick Industries, Inc. (Warrick), the manufacturer who completed the construction of the bus; J&R Tours, the prior owner of the bus; and Alcivar, the bus driver.¹ Plaintiffs alleged that the absence of passenger seatbelts and the improper weight distribution of the bus, created by the negligent modification of the bus' chassis, caused the injuries.

Prior to trial, Supreme Court dismissed the claims against J&R Tours, plaintiffs settled with Ford, and Alcivar was deported. Warrick moved to preclude any evidence that the bus was defective or that it was negligent due to a lack of seatbelts on the ground that Federal Motor Vehicle Safety Standard (FMVSS) 208 (49 CFR 571.208), which did not require the installation of passenger seatbelts, preempted any claims of liability for failure to install such seatbelts. Supreme Court reserved decision on the motion.

Following trial, a jury determined that Best and Alcivar were negligent in the operation of the bus, and that Warrick defectively manufactured the bus and breached the warranty of fitness for ordinary purposes by modifying the chassis and altering the weight distribution of the bus. It also determined that Best negligently operated the bus without passenger seatbelts and Warrick breached the warranty of fitness for ordinary purposes by failing to install seatbelts. These failures were deemed substantial factors in causing the accident, and the absence of seatbelts was determined as a substantial factor in causing injury to all plaintiffs. Consequently, with respect to fault for the accident, the jury apportioned 60% liability to Best and Alcivar, and 40% liability to Warrick. As for fault for the lack of passenger seatbelts, the jury assigned Best 20% liability and Warrick 80% liability.² The defendants moved to set aside the verdict pursuant to CPLR 4404 and Supreme Court granted the motion to the extent of ordering a new trial on damages unless plaintiffs stipulated to a reduction in damages. Plaintiffs so

1. Plaintiffs Doomes and Jiminian also named as a defendant, Operation Prison Gap, a company that leased buses from Best and provided transportation to prisons. Operation Prison Gap never appeared in the action and a default judgment was entered against it.

2. The jury awarded Doomes \$8 million, Rodriguez \$2.5 million, Santiago \$1 million, Rivera \$5 million, and Jiminian \$10 million.

stipulated, and Supreme Court also reduced awards for past pain and suffering pursuant to General Obligations Law § 15-108.³

The Appellate Division reversed the judgments and dismissed the complaints as against Warrick (68 AD3d 504 [1st Dept 2009]). The court held the seatbelts claims preempted, reasoning that these claims conflicted with the federal goal of establishing a uniform regulatory scheme for transit safety. With respect to plaintiffs' weight distribution claim, the court determined that the evidence was legally insufficient to establish that Warrick's modification of the chassis was a proximate cause of the accident.

This Court granted plaintiffs leave to appeal, and we now reverse.

II

Under the Supremacy Clause of the United States Constitution (US Const, art VI, cl 2), preemption analysis requires us "to ascertain the intent of Congress" (*Matter of People v Applied Card Sys., Inc.*, 11 NY3d 105, 113 [2008], quoting *California Fed. Sav. & Loan Assn. v Guerra*, 479 US 272, 280 [1987]). Express preemptive intent is discerned from the plain language of a statutory provision (see *Balbuena v IDR Realty LLC*, 6 NY3d 338, 356 [2006]). Implied preemption may be found in two distinct ways when either "the Federal legislation is so comprehensive in its scope that it is inferable that Congress wished fully to occupy the field of its subject matter (field preemption), or because State law conflicts with the Federal law" (*Guice v Charles Schwab & Co.*, 89 NY2d 31, 39 [1996] [internal quotation marks omitted]).

Plaintiffs contend that the Appellate Division erred in finding preemption because the relevant portions of FMVSS 208, compelling only the inclusion of a driver seatbelt, neither reflects a pervasive scheme of regulation nor makes compliance with federal and state standards impossible. Moreover, it is argued that the United States Supreme Court's recent decision in *Williamson v Mazda Motor of America, Inc.* (562 US —, 131 S Ct 1131 [2011]) disposes of this appeal in plaintiffs' favor. Warrick

3. Supreme Court entered the following judgments, with interest, in favor of plaintiffs: Rivera, \$2,728,194.30; Jiminian, \$3,874,654.59; and Doomes, \$3,388,992.38. Rodriguez and Santiago settled for \$850,000 and \$550,000, respectively, and are beyond the scope of this appeal.

claims that the statute affords manufacturers the option to choose among different protective devices for installation at the driver's seat, and this availability of discretion places this appeal squarely within the holding of *Geier v American Honda Motor Co.* (529 US 861 [2000]).

First turning to express preemption, the pertinent statutory clause of the National Traffic and Motor Vehicle Safety Act (Safety Act) provides that

“[w]hen a motor vehicle safety standard is in effect under this chapter, a State or a political subdivision of a State may prescribe or continue in effect a standard applicable to the same aspect of performance of a motor vehicle or motor vehicle equipment only if the standard is identical to the standard prescribed under this chapter. However, the United State Government, a State, or a political subdivision of a State may prescribe a standard for a motor vehicle or motor vehicle equipment obtained for its own use that imposes a higher performance requirement than that required by the otherwise applicable standard under this chapter” (49 USC § 30103 [b]).

In *Geier*, the Supreme Court considered the preemptive effect of a pre-1994 edition of the above preemption clause that similarly limited the authority of states to prescribe motor vehicle safety standards (*see* former 15 USC § 1392 [d]). However, rather than parsing the precise significance of the plain language of the provision, the Supreme Court concluded that Congress did not intend the preemption clause to be construed so broadly as to preclude state claims because the “saving” clause explicitly reserved a right to assert common-law claims (*see* 529 US at 867-868).

[1] As relevant here, the instant saving clause provides that “[c]ompliance with a motor vehicle safety standard prescribed under this chapter does not exempt a person from liability at common law” (49 USC § 30103 [e]). When read in conjunction with the preemption provision, the saving clause permits the commencement of common-law claims; compliance with applicable federal motor vehicle safety standards is not necessarily a preclusive bar. Accordingly, the presence of the saving clause limits a potentially broad reading of the preemption provision and does not expressly prohibit plaintiffs’ seatbelt claims.

[2] With respect to implied “field preemption,” it does not appear that the federal statutes were intended to so greatly

envelop the field of motor vehicle safety standards as to leave little room for state participation or operation. Certainly, the guidelines, as the Appellate Division noted, are consonant “with the federal goal of establishing uniform standards” (68 AD3d at 506). And, the preemption clause constrains states from enacting guidelines that deviate from federal standards (*see* 49 USC § 30103 [b]). However, the goal of uniformity cannot be singularly pursued at the expense of the Safety Act’s primary purpose to “reduce traffic accidents and deaths and injuries to persons resulting from traffic accidents” (former 15 USC § 1381; *see also* 49 CFR 571.208 [S2]). This is evinced by the presence of the saving clause which expressly allows the commencement of state common-law claims (*see* 49 USC § 30103 [e]). As the Supreme Court has reasoned previously, “the saving clause reflects a congressional determination that occasional nonuniformity is a small price to pay for a system in which juries not only create, but also enforce, safety standards” (*Geier*, 529 US at 871). Further, the saving clause represents a purposeful intent to allow meaningful state participation as a finding of preemption would “treat all such federal standards as if they were *maximum* standards, eliminating the possibility that the federal agency seeks only to set forth a *minimum* standard potentially supplemented through state tort law” (*Williamson*, 562 US at —, 131 S Ct at 1139 [emphasis added]). Consequently, there is no implied “field preemption” as the explicit permission of common-law claims indicates that the federal statutes promulgated under the Safety Act are not so pervasive as to encompass the entire scheme of motor vehicle safety guidelines.

[3] The significant point of contention between the parties is whether plaintiffs’ seatbelt claims are barred under implied conflict preemption. We conclude they are not.

Implied conflict preemption can arise in two situations: when “it is ‘impossible for a private party to comply with both state and federal requirements’ . . . or where state law ‘stands as an obstacle to the accomplishment and execution of the full purposes and objectives of Congress’ ” (*Freightliner Corp. v. Myrick*, 514 US 280, 287 [1995]). The Supreme Court has made clear that a state law will be preempted under the latter form of implied conflict preemption only where it would frustrate “a *significant objective* of the federal regulation” (*Williamson*, 562 US at —, 131 S Ct at 1136 [emphasis added]).

Here, the gross vehicle weight rating (GVWR) of the bus at issue was over 10,000 pounds, placing it within the ambit of

S4.4.2.1 and S4.4.2.2 of FMVSS 208 (*see* 49 CFR 571.208). S4.4.2.1 states: “First option—complete passenger protection system—*driver only*. The vehicle shall meet the crash protection requirements of S5, with respect to an anthropomorphic test dummy in the driver’s designated seating position, by means that require no action by vehicle occupants” (emphasis added). S4.4.2.2 provides, in relevant part: “Second option—belt system—*driver only*. The vehicle shall, at the driver’s designated seating position, have either a Type 1 or Type 2 seat belt assembly that conforms to § 571.209 of this part and S7.2 of this Standard” (emphasis added). A plain reading of S4.4.2.1 and S4.4.2.2 shows that they only mandate the inclusion of protective devices at the driver’s seat of a bus and are absolutely silent regarding the installation of passenger seatbelts. This does not make it impossible to comply with both the federal standards and the gravamen of plaintiffs’ seatbelt claims, which seek liability for the failure to install such protective devices (*see Sprietsma v Mercury Marine*, 537 US 51, 67-68 [2002]; *Freightliner*, 514 US at 289). Quite simply, Warrick could have installed passenger and driver seatbelts without running afoul of federal motor vehicle safety standards. Hence, plaintiffs’ seatbelt claims are not preempted under the first category of implied conflict preemption.

Warrick primarily contends that FMVSS 208 affords manufacturers of buses with a GVWR over 10,000 pounds the latitude to choose among certain safety devices as S4.2.2.1 and S4.2.2.2 specifically provide manufacturers the discretion to opt between either a seatbelt or “complete passenger protection system” for the driver. And, as a result of this deliberate provision of choice between differing protective devices for the driver’s seat, Warrick argues that plaintiffs’ claims are preempted under the holding of *Geier*. However, this position is founded on an erroneous premise and an overly expansive reading of *Geier*.

As an initial matter, Warrick incorrectly contends that its ability to choose between safety devices for the *driver’s seat* should preempt common-law claims seeking the inclusion of passenger seatbelts. That it had the discretion to choose the type of protective device for the driver’s seat has no bearing on the issue of whether passenger seatbelts should have been installed, particularly when the relevant portions of FMVSS 208 are silent regarding passenger seatbelts.

Moreover, *Geier* does not have the expansive effect Warrick seeks. In that case, the Supreme Court concluded that the

plaintiffs' state claims, which sought immediate installation of airbags, were preempted because they conflicted with an expressed intent by the Department of Transportation to permit manufacturers to select from an array of protective devices and gradually incorporate them into motor vehicles.⁴ Absent such a deliberate policy or intent, *Geier*'s holding, which is limited to its particular facts and regulations, should not be applied to any case where manufacturers are merely provided some form of choice.

Indeed, the case before us is more analogous to the Supreme Court's recent decision in *Williamson*, which held that the plaintiff's seatbelt claims were not preempted. In that case, the plaintiff's decedent, who was situated on a rear inner seat of a passenger vehicle, was killed in a motor vehicle accident while wearing a lap belt; and the complaint alleged that a lap-and-shoulder belt should have been installed. The relevant FMVSS regulation required the installation of lap-and-shoulder belts at seats next to the doors or frames of passenger vehicles. But for rear inner seats, manufacturers were permitted to choose between lap belts and lap-and-shoulder belts (*see* 562 US at —, 131 S Ct at 1134). The defendant manufacturer argued that the plaintiff's seatbelt claims were preempted because they would interfere with the explicit provision of choice in the federal regulation.

The Supreme Court first limited the holding of *Geier* to its particular facts as the "history [of the regulation], the agency's contemporaneous explanation, and the Government's current understanding of the regulation convinced us that manufacturer choice was an important regulatory objective. And since the tort suit stood as an obstacle to the accomplishment of that objective, we found the tort suit pre-empted" (562 US at —, 131 S Ct at 1137). Second, although like *Geier* the relevant regulations in *Williamson* permitted manufacturers a choice, the Supreme Court concluded that there were critical differences between the regulations in the two cases.⁵ It was explained that "[w]hile an

4. The FMVSS regulation in *Geier* intentionally encouraged a variety of safety devices because the Department of Transportation hoped that this variety would result in better information about the comparative effectiveness of the devices and the eventual development of "alternative, cheaper, and safer passive restraint systems" (*Geier*, 529 US at 879).

5. Unlike the airbag regulation in *Geier*, the federal agency in *Williamson* "was not concerned about consumer acceptance; it was convinced that lap-and-shoulder belts would increase safety; it did not fear

(n. cont'd)

agency could base a decision to pre-empt on its cost-effectiveness judgment, we are satisfied that the rule-making record at issue here discloses no such pre-emptive intent” (562 US at —, 131 S Ct at 1139). Here, an examination of the relevant federal regulations confirms the lack of preemptive intent with respect to passenger seatbelts for buses with a GVWR over 10,000 pounds.

The NHTSA has consistently acknowledged the enhanced safety benefits of seatbelts, but it has neither imposed the installation of passenger seatbelts, nor expressed an intention to provide such an option to manufacturers of the type of bus involved in the instant appeal. In 1973, the gravamen of the regulation pertained to the modification of passenger seats because they were a significant factor in causation of injury “[b]y being too weak, too low, and too hostile” (38 Fed Reg 4776, 4776 [1973]). Any discussion of seatbelts did not reflect an intention to provide a discretionary option to manufacturers, but rather, considered its impact on the structure of passenger seats. “If a seat is equipped with belts, the performance characteristics of the seats are modified in some respects” (*id.* at 4776-4777).

In 1988 and 1989, the proposed rule-making regulations considered the installation of lap-shoulder belts in “passenger cars, light trucks, multipurpose passenger vehicles (e.g., passenger vans and utility vehicles), and small buses” (53 Fed Reg 47982, 47982 [1988]; 54 Fed Reg 46257, 46257 [1989]), but did not consider the inclusion of such protective devices for buses with a GVWR over 10,000 pounds. Again, the NHTSA acknowledged the efficacy of passenger seatbelts in enhancing safety as “a number of studies, evaluating thousands of cases, show that lap belts in the rear seat are effective in preventing deaths and reducing injuries. NHTSA knows of no comprehensive studies by any person or organization that suggests that rear seat lap belts are anything less than effective” (53 Fed Reg 47982, 47984). But in both 1988 and 1989, buses of the type involved

additional safety risks arising from use of those belts; it had no interest in assuring a mix of devices; and, though it was concerned about additional costs, that concern was diminishing” (*Williamson*, 562 US at —, 131 S Ct at 1138).

Rather, “the more important reason why DOT did not require lap-and-shoulder belts for rear inner seats was that it thought that this requirement would not be cost-effective” (562 US at —, 131 S Ct at 1139).

in the instant accident were specifically excluded from consideration.⁶ Any “option of installing either lap-only belts or lap/shoulder belts in rear seats” was limited to other forms of vehicles (54 Fed Reg 46257, 46258).

Further, any contention that manufacturers impliedly had an option to install rear passenger seatbelts in buses over 10,000 pounds, because the NHTSA was cognizant of the safety benefits of rear passenger seatbelts, is belied by the plain language of FMVSS 208 and the federal regulations which simply do not consider the inclusion of such protective devices for vehicles of this type.⁷ As such, like *Williamson*, there is simply no preemptive intent to be discerned from the regulations with respect to state common-law claims seeking the inclusion of passenger seatbelts in buses of this type.

In sum, we find neither express nor implied preemption of plaintiffs’ seatbelt claims.

III

[4] Warrick asserts that the Appellate Division correctly concluded that the evidence was legally insufficient with respect to plaintiffs’ weight distribution claim because it was speculative. We find this position persuasive.

Generally, in a strict products liability claim, “the manufacturer of a defective product is liable to any person injured or damaged if the defect was a substantial factor in bringing about

6. “4. *Vehicle Types NOT Covered by This Proposal*

“a. Vehicles with a Gross Vehicle Weight Rating of More Than 10,000 Pounds

“NHTSA has traditionally used gross vehicle weight ratings as dividing lines for the purposes of applying occupant crash protection standards. These groupings reflect the differences in the vehicles’ functions and crash responses and exposure. This proposal would also use such a dividing line, by addressing only vehicles with a gross vehicle weight rating of 10,000 pounds or less” (53 Fed Reg 47982, 47987; 54 Fed Reg 46257, 46261).

7. The NHTSA has not considered the inclusion of passenger seatbelts for buses with a GVWR over 10,000 pounds until recently. In its notice of proposed rulemaking of August 18, 2010, the NHTSA reviewed the nature of injuries caused by rollover accidents and espoused a goal of “reduc[ing] occupant ejections” (75 Fed Reg 50958, 50959 [2010]). To that end, it has considered a definition of “motorcoach” that would specifically apply to “buses above 10,000 lb [gross vehicle weight rating]” (*id.* at 50966). In the event the definition includes buses with a GVWR over 10,000 pounds, the inclusion of seatbelts is being considered as they are “estimated to be 77 percent effective in preventing fatal injuries in rollover crashes, primarily by preventing ejection” (*id.* at 50971).

his injury or damages” (*Voss v Black & Decker Mfg. Co.*, 59 NY2d 102, 106-107 [1983]). A claim of strict products liability can assert either a (1) manufacturing defect, (2) a design defect, or (3) a failure to provide adequate warning regarding the use of a product (*see id.*). Here, where plaintiffs allege a design defect based on the negligent modification of the weight distribution of the bus’ chassis, the relevant inquiry is “whether the product, as designed, was not reasonably safe” (*id.* at 107). Accordingly, plaintiffs carry the burden of showing “that the product, as designed, was not reasonably safe because there was a substantial likelihood of harm and it was feasible to design the product in a safer manner” (*id.* at 108). Moreover, plaintiffs must show that the design defect was a proximate cause of their injuries (*id.* at 109).

For the chassis at issue, Ford specified an overall GVWR of 11,500 pounds with a gross rear axle rating of 7,810 pounds, and a gross front axle rating of 4,600 pounds. Warrick modified the chassis, extending its length from 138 inches to 186 inches. It also increased the overall gross vehicle weight rating from 11,500 pounds to 13,500 pounds by adding a leaf spring to the gross rear axle, increasing its rating from 7,810 pounds to 9,300 pounds. The front axle remained untouched. Plaintiffs contend that a proper apportionment of weight between the axles is 60% (rear axle) and 40% (front axle), but as modified, the bus chassis had an improper distribution of 68% and 32%, respectively. Moreover, Warrick failed to install a tag axle that would compensate for the modification and enhance steering and handling.

Plaintiffs’ expert opined that the purportedly negligent weight distribution was a substantial factor in causing the accident, but any conclusions as to the bus’ weight were based on speculative weight estimates of passengers, fuel, and luggage, and not empirical data (*see Fotiatis v Cambridge Hall Tenants Corp.*, 70 AD3d 631, 632 [2d Dept 2010]; *Briggs v 2244 Morris L.P.*, 30 AD3d 216, 216 [1st Dept 2006]). More specifically, plaintiffs’ expert testified that the evidence alluded to the inattentiveness of the driver as a contributing factor; that he attempted to calculate the weight of the bus, but there was insufficient information; and he could not tell with certainty whether the proper 60% to 40% weight ratio existed as his opinions were not from his “experience and knowledge of [the] particular bus.” While plaintiffs’ expert discussed various weight ratings for different components of the bus, he failed to present any calculations

that would indicate that the weight distribution contributed to the rollover accident. Therefore, any findings that the weight distribution adversely affected steering and handling were conclusory and based on speculative data that failed to establish a causal relationship to the accident (*see Cotter v Pal & Lee Inc.*, 86 AD3d 463, 466-467 [1st Dept 2011]).

Accordingly, the order of the Appellate Division should be reversed, with costs, and the case remitted to the Appellate Division for consideration of issues raised but not determined on the appeal to that court.

PIGOTT, J. (dissenting, in part). Under implied conflict preemption, the issue upon which all parties agree this case rises or falls, state common-law claims are barred in situations where it is “impossible for a private party to comply with both state and federal requirements” (*English v General Elec. Co.*, 496 US 72, 78-79 [1990]) or where the state law “stands as an obstacle to the accomplishment and execution of the full purposes and objectives of Congress” (*Hines v Davidowitz*, 312 US 52, 67 [1941]). It seems evident to me that plaintiffs’ state common-law negligence and products liability claims as they relate to the lack of passenger seatbelts do just that by “standing as an obstacle to the accomplishment and execution of the full purposes and objectives” of the National Traffic and Motor Vehicle Safety Act of 1966 and the Federal Motor Vehicle Safety Standards (FMVSS).

Whether or not a state law “stands as an obstacle to the accomplishment” of a federal regulation’s “significant objective” is determined by examining the history of the regulation, “the promulgating agency’s contemporaneous explanation of its objectives, and the agency’s current views of the regulation’s pre-emptive effect” (*Williamson v Mazda Motor of America, Inc.*, 562 US —, —, 131 S Ct 1131, 1136 [2011], citing *Geier v American Honda Motor Co.*, 529 US 861 [2000]). FMVSS 208 provides that buses like the one in this case, which have a gross vehicle weight rating of over 10,000 pounds, must meet one of the two following requirements pursuant to 49 CFR 571.208 (S4.4.2):

“S4.4.2.1. First option—complete passenger protection system—*driver only*. The vehicle shall meet the crash protection requirements of S5, with respect to an anthropomorphic test dummy in the driver’s designated seating position, by means that require no action by vehicle occupants.

“S4.4.2.2. Second option—belt system—*driver only*.

The vehicle shall, at the driver’s designated seating position, have either a Type 1 or a Type 2 seat belt assembly that conforms to § 571.209 of this part and S7.2 of this Standard” (emphasis supplied).

The history of this regulation as it relates to the passenger seatbelt requirements in buses such as we have in this case demonstrates that the National Highway Traffic Safety Administration (NHTSA) made considered policy judgments based on safety, cost and practicability in distinguishing between those buses that must have passenger seatbelts and those that don’t. For instance, although NHTSA has not mandated passenger seatbelts for buses in excess of 10,000 pounds (large buses), it has concluded that buses weighing 10,000 pounds or less (small buses) must have them (*see* 49 CFR 571.208 [S4.4.3.2]).

The regulations for large and small buses must be viewed as part of NHTSA’s overall regulatory scheme. Because NHTSA purposefully made these distinctions, it is clear that it did not leave unregulated the field of passenger seatbelts in large buses. Rather it made a conscious decision that seatbelts in these vehicles were unnecessary for passenger safety given their size and function.

This becomes apparent in a review of the regulation’s history as it relates to the inclusion of seatbelts in buses. There is a reason for this 10,000 pound dividing line; such “groupings reflect the differences in the vehicles’ functions and crash responses and exposure” (53 Fed Reg 47982, 47987 [1988]). Indeed, it is the safety concerns here that distinguish this case from *Williamson* because, in the latter case, the United States Supreme Court concluded that the Department of Transportation did not require lap-and-shoulder belts in rear aisle seats because of its belief that such restraints would cause “entry and exit problems for occupants” and were not cost effective, *not* because of safety concerns (*Williamson*, 562 US at —, 131 S Ct at 1138-1139).

Here, it is apparent that safety was paramount in NHTSA’s decision. NHTSA at one time proposed a standard that would have required buses like the one in this case to contain passenger seatbelts (*see* 38 Fed Reg 4776 [1973]), only to retract that proposal because the seating in such buses, as designed, was deemed adequate for safety purposes (*see* 39 Fed Reg 27585 [1974]). This retraction was referred to by NHTSA’s chief

counsel in 1992, who commented that pending legislation in New York that would have required intercity buses operating within the state to install passenger seatbelts in buses weighing more than 10,000 pounds was likely preempted by federal law:

“NHTSA expressly determined that there is not a safety need for safety belts or another type of occupant crash protection at these seating positions. See, 39 FR 27585, July 30, 1974. With respect to these large buses, the New York bill would be preempted to the extent that it requires seat belts to be installed at seating positions other than the driver’s seating position” (Letter from NHTSA to C.N. Littler, Motor Coach Industries, Aug. 19, 1992, at 1-2).

Based on the foregoing, it is clear that NHTSA has concluded that larger buses are safer than smaller buses, and that the latter should have passenger seatbelts while the former need not. In holding that plaintiffs’ claim is not preempted, this Court has, in essence, required that motor carriers of large buses must comply with small bus regulations. I don’t find that to be Congress’ intent.

It is evident from the regulatory scheme that NHTSA made considered policy judgments in promulgating a standard that did not mandate passenger seatbelts on large buses. This was not a failure to regulate on NHTSA’s part, as is evidenced by its regulation requiring seatbelts on small buses. When these regulations are considered in light of NHTSA’s reasons for using a 10,000 pound dividing line, it is fair to say that NHTSA intended to be the decision maker in this area, which would preempt common-law tort suits like the one at bar, which stand as an obstacle to the Act’s objectives of safety and cost (*see* 49 USC § 30111 [a] [providing that “(t)he Secretary of Transportation shall prescribe motor vehicle safety standards . . . (that) shall be practicable, meet the need for motor vehicle safety, and be stated in objective terms”]).* Not only that, the imposition of

* As recently as August 2010, NHTSA issued a Notice of Proposed Rule-making discussing amending FMVSS 208 “to require lap/shoulder seat belts for each passenger seating position in *new* motorcoaches,” the main purpose of the proposed rule being to “reduce occupant ejections” (75 Fed Reg 50958, 50958-50959 [2010] [emphasis supplied]). NHTSA noted that although it “was not proposing at this time that used buses be required to be retrofitted with

(n. cont’d)

a common-law requirement that large bus carriers must, in essence, comply with the small bus regulations is completely at odds with Congress' goal of uniformity in the motor vehicle industry (HR Rep No. 1776, 89th Cong, 2d Sess, at 17 [1966]; S Rep No. 1301, 89th Cong, 2d Sess, at 12 [1966], reprinted in 1966 US Code Cong & Admin News, at 2720 ["The centralized, mass production, high volume character of the motor vehicle manufacturing industry in the United States requires that motor vehicle safety standards be not only strong and adequately enforced, *but that they be uniform throughout the country*" (emphasis supplied)]). Therefore, I would affirm the order of the Appellate Division.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ and SMITH concur with Judge JONES; Judge PIGOTT dissents in part and votes to affirm in a separate opinion.

Order reversed, etc.

the lap/shoulder belt system" given that "[t]he service life of a motorcoach can be 20 years or longer," it estimated that the cost of retrofitting could range from \$6,000 to \$34,000 per vehicle (*id.* at 50960).

[959 NE2d 479, 935 NYS2d 542]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v JOHN
GRANT, Respondent.

Argued September 14, 2011; decided October 20, 2011

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered February 2, 2010. The Appellate Division affirmed so much of an order of the Supreme Court, Richmond County (Leonard P. Rienzi, J.), as had granted that branch of defendant's omnibus motion which was to dismiss the indictment to the extent of reducing the charge of robbery in the first degree to robbery in the third degree.

People v Grant, 70 AD3d 711, affirmed.

HEADNOTE

Crimes — Robbery — First-Degree Robbery — Proof of Actual Possession of Dangerous Instrument

A defendant's statement that he is in possession of a dangerous instrument, standing alone, does not supply sufficient proof to establish actual possession of a dangerous instrument at the time of the crime to support a charge of first-degree robbery (Penal Law § 160.15 [3]). Rather, that type of statement—whether in the form of a verbal threat or a handwritten note—only establishes the threat of physical force necessary to support the charge of third-degree robbery. The People must furnish additional proof, separate and apart from a defendant's statement, that would permit a rational factfinder to infer that a defendant was in actual possession of a dangerous instrument. It is the actual "employment" of a dangerous instrument that elevates the use or threat of physical force to first-degree robbery. Accordingly, where defendant approached a bank teller and passed her a handwritten note demanding money and stating "I have A Gun," Supreme Court properly reduced a count of the indictment charging first-degree robbery to third-degree robbery, since absent some other corroboration that defendant actually possessed a dangerous instrument, the grand jury could not rationally have drawn the guilty inference that defendant committed first-degree robbery.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Robbery §§ 24, 33, 38, 61.

McKINNEY's, Penal Law § 160.15 (3).

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 985, 986, 992, 993, 999.

ANNOTATION REFERENCE

See ALR Index under Robbery.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: robbery /4 first & evidence /s possess! /4 dangerous /2 instrument weapon

POINTS OF COUNSEL

Daniel M. Donovan, Jr., District Attorney, Staten Island (Morie I. Kleinbart and David Frey of counsel), for appellant. Defendant's explicit statement that he had a gun and would shoot if the bank teller would not comply with his demand for money was competent to prove defendant's actual possession of a dangerous instrument. (*People v Pena*, 50 NY2d 400, 449 US 1087; *People v Bello*, 92 NY2d 523; *People v Jennings*, 69 NY2d 103; *People v Swamp*, 84 NY2d 725; *People v Deegan*, 69 NY2d 976; *People v Pettigrew*, 14 NY3d 406; *People v Peralta*, 3 AD3d 353; *People v Brewster*, 100 AD2d 134; *Reed v McCord*, 160 NY 330; *People v Caban*, 5 NY3d 143.)

Steven M. Statsinger, New York City, for respondent. Since the People introduced no evidence, apart from the threat, that John Grant actually possessed a firearm, and did not instruct the grand jury that actual possession was an element of the offense, the decision appealed from should be affirmed. (*People v Ford*, 11 NY3d 875; *People v Pena*, 50 NY2d 400; *People v Jennings*, 69 NY2d 103; *People v Swamp*, 84 NY2d 725; *People v Mayo*, 36 NY2d 1002; *People v Deegan*, 69 NY2d 976; *People v Hilton*, 145 AD2d 352; *People v Moore*, 185 AD2d 825; *People v Robare*, 109 AD2d 923; *People v Stefano*, 134 AD2d 906.)

OPINION OF THE COURT

CIPARICK, J.

In this appeal, we are called upon to determine whether defendant's written statement threatening to shoot a robbery victim with a gun constitutes legally sufficient evidence that he was in actual possession of a dangerous instrument at the time of the crime to support the charge of robbery in the first degree (Penal Law § 160.15 [3]). We hold that such statement, by itself, is legally insufficient.

Defendant was indicted on one count of first-degree robbery and on one count of grand larceny in the fourth degree (Penal Law § 155.30 [1]). During the grand jury proceeding, the People adduced evidence that on the afternoon of May 22, 2008, defendant entered a Staten Island bank, approached a teller assigned to one of the stations in the front and passed her a

handwritten note. The note, written on the back of a deposit slip, stated, “I have A Gun Fill bag, Dont say anything, or I’ll shoot.” The teller, who did not testify in the grand jury that she saw a weapon, complied with the note’s directive and filled defendant’s bag with the money she had at her station. The teller returned the bag containing \$1,810 to defendant, but retained the demand note. Once defendant walked out of the bank with the money, the teller locked the doors and notified the police.

Sometime thereafter, a detective responded to the scene. The detective retrieved video stills from the bank’s surveillance equipment depicting defendant. An investigation ensued and four months later, the police took defendant into custody and placed him in a lineup. The teller viewed the lineup and identified defendant as the perpetrator of the bank robbery.

In an omnibus motion, defendant sought a dismissal of the two-count indictment or a reduction of its counts. Citing our decision in *People v Pena* (50 NY2d 400 [1980]), defendant argued that the demand note indicating that he was armed with a loaded gun was insufficient to establish the element of actual possession of a dangerous instrument necessary to sustain the first-degree robbery charge. The People opposed the motion, contending that “[d]efendant’s own statement—an admission against penal interest—was that he had a loaded gun, capable of being used to shoot the teller, and thus was readily capable of causing death or other serious physical injury.” Alternatively, the People suggested that actual possession of a dangerous instrument was not an element of first-degree robbery under subdivision (3) of the statute and invited the motion court to determine that we decided *Pena* incorrectly.

Supreme Court, after inspecting the minutes from the grand jury proceeding, upheld the fourth-degree grand larceny charge, but reduced the first-degree robbery count to robbery in the third degree (Penal Law § 160.05). Relying on *Pena*, it concluded that defendant’s written statement threatening that he had a gun and that he would shoot, “without more,” was legally insufficient to support a charge of first-degree robbery.

The Appellate Division, with one Justice dissenting, affirmed the order of Supreme Court. The court held that the People failed to establish that defendant was in “actual possession” of a dangerous instrument and that he was “readily capable of causing death or other serious physical injury” (*People v Grant*, 70 AD3d 711, 712 [2d Dept 2010]).

The dissenting Justice would have reversed the order of Supreme Court and reinstated the indictment for first-degree robbery. The Justice disagreed with the “proposition that a defendant’s own words in the course of a robbery can never establish his or her actual possession of an unseen dangerous instrument” (*id.* at 715). The dissenting Justice granted the People’s application for leave to appeal to our Court (14 NY3d 895 [2010]) and we now affirm.

“To dismiss [or reduce] an indictment on the basis of insufficient evidence before a Grand Jury, a reviewing court must consider ‘whether the evidence viewed in the light most favorable to the People, if unexplained and uncontradicted, would warrant conviction by a petit jury’ ” (*People v Bello*, 92 NY2d 523, 525 [1998], quoting *People v Jennings*, 69 NY2d 103, 114 [1986]). The Legislature has defined legally sufficient evidence as “competent evidence which, if accepted as true, would establish every element of an offense charged” (CPL 70.10 [1]). “In the context of a Grand Jury proceeding, legal sufficiency means *prima facie* proof of the crimes charged, not proof beyond a reasonable doubt” (*Bello*, 92 NY2d at 526). Thus, a reviewing court must determine “‘whether the facts, if proven, and the inferences that logically flow from those facts supply proof of every element of the charged crimes,’ and whether ‘the Grand Jury could rationally have drawn the guilty inference’ ” (*id.*, quoting *People v Deegan*, 69 NY2d 976, 979 [1987]).

With this framework in place, we now examine the elements necessary to establish the charge of first-degree robbery under Penal Law § 160.15 (3). The statute provides that

“[a] person is guilty of robbery in the first degree when he forcibly steals property and when, in the course of the commission of the crime or of immediate flight therefrom, he or another participant in the crime . . .

“[u]ses or threatens the immediate use of a dangerous instrument.”

On appeal, defendant does not challenge that the evidence presented to the grand jury, if true, supplies proof that he forcibly stole property as defined by the Penal Law.¹ Rather, he contends

1. “A person forcibly steals property and commits robbery when, in the course of committing a larceny, he uses or threatens the immediate use of physical force” (Penal Law § 160.00).

that the grand jury did not consider sufficient evidence establishing that he was in actual possession of a dangerous instrument at the time of the incident. The People, in turn, have abandoned their argument made in the motion court that actual possession of a dangerous instrument is not a required element of first-degree robbery under subdivision (3) of the statute. They maintain, however, that defendant's handwritten note furnishes sufficient proof that he was in actual possession of a loaded gun. We agree with defendant.

In *Pena*, the defendants challenged the legal sufficiency of their convictions for first-degree robbery, charged under the theory that, acting in concert, they forcibly stole property and used or threatened immediate use of a dangerous instrument (*see* 50 NY2d at 405; *see also* Penal Law § 160.15 [3]). There, defendants Pena and Turrell accosted a man in a park, looking for money (*see* 50 NY2d at 406). With his hand enclosed in a brown paper bag, Turrell thrust his arm toward the victim and threatened to shoot if he ran away (*see id.*). It appeared to the victim that Turrell was holding a gun (*see id.*). Meanwhile, Pena instructed the victim to surrender his coat and demanded \$10 from him (*see id.*). Before the defendants retreated, they cautioned the victim that if he contacted the police, he would be killed (*see id.*). The victim ignored the defendants' warning and notified the police (*see id.*). The victim accompanied the police on a search and, a short time thereafter, he sighted the defendants standing side-by-side three blocks from the park (*see id.*). Pena was wearing the victim's coat and was holding the same type of brown paper bag that Turrell wielded during the robbery (*see id.*). The police arrested the defendants and recovered the bag that Pena was holding, which contained a knife (*see id.*). The People introduced both the bag and the knife into evidence at trial (*see id.*).

In analyzing the legal sufficiency of the evidence in *Pena*, we noted as a threshold matter that first-degree robbery, as charged under subdivision (3) of the statute, required a finding “that Turrell actually possessed a dangerous instrument at the time of the crime” (*id.* at 407). We observed that the statute, as amended, mandated this showing “on the theory that it was the *employment* of such an instrumentality that was significant” to sustain the charge (*id.* at 407 n 2).² Viewing the evidence in the light most favorable to the People, we concluded that all the

2. In *People v Ford* (11 NY3d 875 [2008]), we recently reaffirmed the principles we announced in *Pena* and concluded “that the use or threatened

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circumstantial proof adduced at trial established a prima facie case that Turrell had a knife in his possession at the time of the robbery and that he, alongside Pena, used that knife to threaten the victim and forcibly steal property (*see id.* at 409).

Following our decision in *Pena*, all four departments of the Appellate Division have adopted the rule that “[a] defendant’s statement that he has a weapon or a threat that he will kill or harm his alleged victim is insufficient, without more, to sustain a conviction for an offense requiring proof that the defendant used or threatened to use a dangerous instrument” (*People v Peralta*, 3 AD3d 353, 355 [1st Dept 2004]). For example, in *People v Hilton* (147 AD2d 427 [1st Dept 1989]), the victim testified that when she opened the door to her mother’s apartment, she saw the defendant standing within an arm’s length of her (*see id.* at 429). She further explained that the defendant claimed to have a gun and threatened to kill her and her daughter if she did not acquiesce to his demands for money (*see id.*). Neither the victim nor her daughter saw any weapon (*see id.*). Under these facts, the court concluded that the People “failed to prove by sufficient evidence that defendant actually possessed” a dangerous instrument (*id.* at 430; *see also People v Moore*, 185 AD2d 825, 826 [2d Dept 1992]; *People v White*, 155 AD2d 934, 934 [4th Dept 1989]; *People v Robare*, 109 AD2d 923, 924 [3d Dept 1985]).

Until today, we have not had the occasion to determine whether a defendant’s statement that he possesses a dangerous instrument, standing alone, constitutes legally sufficient evidence that he is in actual possession of such weapon to support the charge of first-degree robbery under subdivision (3) of the statute. In *Ford*, a case we decided nearly three years ago, the defendant attempted to challenge the legal sufficiency of his first-degree robbery conviction on this basis. There, in the course of the robbery at issue, the defendant stated that he had a knife while simultaneously moving his hand toward his pants pocket (*see* 11 NY3d at 878). We examined the proof adduced at trial “in light of the court’s charge as given without exception” and observed that the court did not instruct the jury that it had to find the defendant in actual possession of the knife at the time of the robbery (*id.*). Constrained by the court’s unchallenged charge (*see People v Sala*, 95 NY2d 254, 260-261 [2000]),

use” language of first-degree robbery under Penal Law § 160.15 (3) “requires proof of actual possession” of a dangerous instrument (11 NY3d at 877 n 1 [internal quotation marks omitted]).

we concluded that the defendant’s “acts, considered together, provide[d] legally sufficient evidence to establish that defendant used or threatened the immediate use of a knife in the course of the robbery” (11 NY3d at 878 [internal quotation marks omitted]).³ However, given our disposition in *Ford*, we “express[ed] no opinion as to whether the proof in [that] case was sufficient to establish actual possession” (*id.* at 878 n 2).

We now hold, in accord with Appellate Division precedent, that a defendant’s statement that he is in possession of a dangerous instrument, standing alone, does not supply sufficient proof to establish actual possession of a dangerous instrument at the time of the crime to support the charge of first-degree robbery. Rather, we conclude that this type of statement—whether in the form of a verbal threat or a handwritten note—only establishes the threat of physical force necessary to support the charge of third-degree robbery. Accordingly, the People must furnish additional proof, separate and apart from a defendant’s statement, that would permit a rational factfinder to infer that a defendant was in actual possession of a dangerous instrument (*see Bello*, 92 NY2d at 526). To hold otherwise would blur the distinction created in the carefully calibrated statutory scheme between the lesser included offense of third-degree robbery, a class D nonviolent felony (*see* Penal Law § 160.05), and the aggravated charge of first-degree robbery, a class B violent felony (*see* Penal Law § 160.15 [3]; § 70.02 [1] [a]).⁴ Indeed, as we stated in *Pena*, it is the actual “employment” of a dangerous instrument that elevates the use or threat of physical force to first-degree robbery (*see* 50 NY2d at 407 n 2).

3. Following our decision in *Ford*, the criminal jury instructions for first-degree robbery under Penal Law § 160.15 (3) were amended. The instruction now includes language that the People must prove defendant “possessed a dangerous instrument” (CJI2d[NY] Penal Law § 160.15 [3] [rev Jan. 5, 2009]).

4. It is important to note the significant sentencing disparity between a conviction for first-degree robbery and third-degree robbery wherein offenses of increasing severity expose a defendant to correspondingly increased punishment. Following a conviction for first-degree robbery, a first time felony offender is subject to a minimum determinate sentence of five years imprisonment and a maximum imprisonment sentence of 25 years, followed by five years postrelease supervision (*see* Penal Law § 70.02 [3] [a]; § 70.45 [2]). A defendant convicted of third-degree robbery, by contrast, is subject to an indeterminate term of imprisonment not to exceed seven years (*see* Penal Law § 70.00 [2] [d]). The statutory scheme also permits a court to impose a sentence of five years probation (*see* Penal Law § 65.00 [3] [a] [i]) or a definite sentence not to exceed one year (*see* Penal Law § 70.00 [4]).

Applying this standard to the facts in this case, we agree with the courts below that the evidence presented to the grand jury did not support the charge of first-degree robbery under subdivision (3) of the statute. The only proof that the People introduced in the grand jury that defendant was in actual possession of a dangerous instrument—here, a gun—was the handwritten demand note he passed to the victim (*see e.g. Hilton*, 147 AD2d at 429; *cf. Pena*, 50 NY2d at 409). Absent some other corroboration that defendant actually possessed a dangerous instrument, “the Grand Jury could [not] rationally have drawn the guilty inference” that defendant committed the crime of first-degree robbery (*Bello*, 92 NY2d at 526). Therefore, Supreme Court properly reduced that count of the indictment to third-degree robbery.⁵

Accordingly, the order of the Appellate Division should be affirmed.

GRAFFEO, J. (dissenting). The issue in this case is whether the evidence before the grand jury was legally sufficient to establish the charge of first-degree robbery under Penal Law § 160.15 (3). The proof to support the element that defendant actually possessed a dangerous instrument consisted of his own statements made in the course of the bank robbery, when he indicated that he was armed with a gun and would shoot if his demand for money was not satisfied. Because I disagree with the majority’s conclusion that this evidence of possession was legally insufficient, I respectfully dissent.

As relevant here, a person is guilty of robbery in the first

5. It appears that the dissent’s discomfort with our analysis stems from the fact that, in *Pena*, we “engrafted” an actual possession of a dangerous instrument requirement to support a conviction for first-degree robbery under subdivision (3) of the statute (dissenting op at 621). According to the dissent, the statute, as amended in 1967, “strongly suggested that the Legislature did not intend for actual possession to remain an element” (dissenting op at 623 n 3). As the dissent concedes, the People no longer advance that argument on appeal (*see id.*).

In any event, the dissent posits that defendant’s admission, “I have A Gun Fill bag, Dont say anything, or I’ll shoot,” made in the course of the robbery, supplies adequate proof that he actually possessed an operable gun. Under that rationale, the evidence presented would also supply sufficient proof that defendant was “armed with a deadly weapon” (Penal Law § 160.15 [2]). Tellingly, the People did not instruct the grand jury to consider this offense following their presentation of evidence. Their decision not to submit this charge comes as no surprise since the crux of their argument before the motion court was that actual possession of a dangerous instrument was not a required element under subdivision (3).

degree when he forcibly steals property and “[u]ses or threatens the immediate use of a dangerous instrument” during the commission of the crime (Penal Law § 160.15 [3]). A dangerous instrument means “any instrument, article or substance . . . which, under the circumstances in which it is used, attempted to be used or threatened to be used, is readily capable of causing death or other serious physical injury” (Penal Law § 10.00 [13]). Although Penal Law § 160.15 (3) does not expressly require actual possession of a dangerous instrument as an element of the crime, we engrafted such a requirement in *People v Pena* (50 NY2d 400 [1980], *cert denied* 449 US 1087 [1981]). More recently, we left open the question posed here—whether a defendant’s statement identifying the type of dangerous instrument he possesses coupled with a threat to use it constitutes legally sufficient evidence of possession under the first-degree robbery statute (*see People v Ford*, 11 NY3d 875, 878 n 2 [2008]).

As the majority points out, there is Appellate Division authority supporting a special rule for Penal Law § 160.15 (3) cases, which has been articulated as follows: “A defendant’s statement that he has a weapon or a threat that he will kill or harm his alleged victim is insufficient, without more, to sustain a conviction for an offense requiring proof that the defendant used or threatened to use a dangerous instrument” (*People v Peralta*, 3 AD3d 353, 355 [1st Dept 2004], *lv denied* 2 NY3d 764 [2004]).¹ Although the majority embraces such a rule, this approach is both unwarranted and inconsistent with our precedents.

Certainly, the rule described in *Peralta* cannot be traced to our decision in *Pena*. In *Pena*, defendant Turrell made a verbal threat—telling the victim “if you run, I’ll shoot you”—while brandishing his arm inside of a brown paper bag (*Pena*, 50 NY2d at 406). At trial, however, the People’s theory was that the dangerous instrument Turrell possessed during the robbery was not a gun but the knife later recovered from defendant Pena, who was holding a paper bag with a knife when the two were apprehended shortly after the crime. The People therefore did not rely on Turrell’s statement to establish possession of a weapon since a knife had been recovered from one of the suspects. And, although we concluded that actual possession of

1. Ironically, it was not necessary to formulate this rule in *Peralta* because there was no such admission in that case. Rather, the defendant there was alleged to have placed a “hard object” against the victim’s back, but there was no allegation of any admission made by the defendant indicating that he possessed a weapon (*Peralta*, 3 AD3d at 354).

a dangerous instrument was a required element in *Pena*, we did not suggest that an admission corresponding to the weapon alleged to have been possessed would be viewed as insufficient to support the conviction.

Moreover, the *Peralta* rule is contrary to the well-established principle that “[a]dmissions by a party of any fact material to the issue are always competent evidence against him, wherever, whenever, or to whomsoever made” (*People v Chico*, 90 NY2d 585, 589 [1997] [internal quotation marks and citations omitted]; see also *People v Casey*, 95 NY2d 354, 362 [2000]). Indeed, an admission constitutes “direct proof” of the matter asserted (*People v Rosner*, 67 NY2d 290, 295 [1986]; see also *People v Licitra*, 47 NY2d 554, 558-559 [1979], *rearg denied* 53 NY2d 938 [1981]; Prince, Richardson on Evidence § 8-202, at 511 [Farrell 11th ed] [recognizing that “an admission is received on trial as evidence of the fact stated”]).

Consistent with these precedents, I believe that a grand jury can rationally draw the inference that *Pena*’s actual possession requirement is satisfied where a defendant, by his own statements or admissions, claims to possess a weapon, identifies the type of weapon and includes a threat to use the weapon to cause harm to the victim if the victim does not comply with the demand. The proof presented to the grand jury in this case satisfied these criteria. Defendant handed the bank teller a note stating, “I have A Gun Fill bag, Dont say anything, or I’ll shoot.” In effect, defendant admitted that he possessed a weapon—a gun—and threatened to fire the gun if his demands were not met. I see no principled reason why a jury could not reasonably credit defendant’s admission that he was carrying a gun, the only element disputed by defendant. Consequently, under the circumstances of this case, I would hold that “the evidence viewed in the light most favorable to the People, if unexplained and uncontradicted, would warrant conviction by a petit jury” (*People v Bello*, 92 NY2d 523, 525 [1998] [internal quotation marks and citations omitted]).²

2. To the extent the People were required to show that the gun was operable to satisfy the “dangerous instrument” requirement of Penal Law § 160.15 (3), defendant’s threat to shoot constituted legally sufficient evidence of its operability (see *People v Dodt*, 61 NY2d 408, 415 [1984]; *United States v Marshall*, 427 F2d 434, 437 [2d Cir 1970]; see also *People v Pettigrew*, 14 NY3d 406, 409 [2010]).

To be sure, there may be cases in which a defendant's statement is too vague to establish possession of a dangerous instrument. For example, a defendant's threat to injure or kill a robbery victim, without more, would clearly be deficient. The evidence would also fall short where a defendant does not indicate the type of weapon he is claiming to possess or fails to adequately communicate the threat. In this case, however, defendant clearly asserted that he possessed a gun and would shoot if the bank teller did not empty her money drawer.

This is also not a case in which the defendant was apprehended at the scene immediately after the crime with no weapon in his possession. Here, defendant was not arrested until months after the bank robbery, which gave him ample opportunity to dispose of the gun.

Finally, this Court has already departed from the plain language of Penal Law § 160.15 (3) by adding an actual possession requirement in *Pena*.³ The majority now takes a further step away from the language of the statute by precluding the first-degree prosecution of individuals who undeniably “threaten[] the immediate use of a dangerous instrument” during the course of a robbery. This is so because the majority's conclusion that a jury, as a matter of law, may not rely on a defendant's own statements to find actual possession of a weapon under Penal Law § 160.15 (3) effectively means that a defendant must actually produce the weapon in clear view during the course of the robbery⁴ or be arrested at the scene while still in possession of the weapon. Hence, the majority is rewarding those who conceal dangerous instruments during robberies and avoid apprehension long enough to rid themselves of their

3. Although the Court in *Pena* examined some of the earlier legislative history underlying Penal Law § 160.15 (3) (*see Pena*, 50 NY2d at 407 n 2), it failed to discuss what is in my view the most pertinent legislative amendment. The 1965 version of the statute provided that a person was guilty of first-degree robbery if, during the course of the robbery, he “[i]s armed with and uses or threatens the immediate use of a dangerous instrument” (L 1965, ch 1030 [emphasis added]). Clearly, the 1965 version contained an actual possession requirement. In 1967, however, the Legislature amended the statute by deleting the phrase “[i]s armed with” (*see* L 1967, ch 791, § 22), resulting in the current wording of the statute that strongly suggested that the Legislature did not intend for actual possession to remain an element. That being said, the People do not ask us on this appeal to revisit *Pena*.

4. Penal Law § 160.15 (4) separately specifies that a person is guilty of first-degree robbery if he displays what appears to be a firearm during the commission of the crime.

weapons since they can be charged only with third-degree robbery. Why encourage weapon concealment and create this disparity when it is required neither by the language of the statute nor the *Pena* rule?

Because I conclude that defendant's admission provided legally sufficient evidence, not only of a threat to use a dangerous instrument but also of his actual possession of the dangerous instrument, I would reverse and reinstate the indictment for first-degree robbery.

Chief Judge LIPPMAN and Judges PIGOTT and JONES concur with Judge CIPARICK; Judge GRAFFEO dissents and votes to reverse in a separate opinion in which Judges READ and SMITH concur.

Order affirmed.

[958 NE2d 540, 934 NYS2d 362]

ALLEN SIMON et al., Respondents, v SOL M. USHER et al., Appellants, and SHELDON ALTER et al., Respondents.

Argued September 15, 2011; decided October 20, 2011

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 4, 2010. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Bronx County (Mary Ann Brigantti-Hughes, J.), which had granted the motion of defendants Usher, Chait, Hartsdale Medical Group, P.C. and White Plains Hospital Center to change venue from Bronx County to Westchester County, and (2) denied the motion. The following question was certified by the Appellate Division: “Was the order of this Court, which reversed the order of the Supreme Court, properly made?”

Simon v Usher, 73 AD3d 415, reversed.

HEADNOTE

Trial — Place of Trial — Demand for Change of Venue — Timeliness of Motion

A defendant who serves a demand for change of venue by mail is entitled to a five-day extension of the 15-day time period prescribed by CPLR 511 (b) to move for change of venue pursuant to CPLR 2103 (b) (2), which provides that “where a period of time prescribed by law is measured from the service of a paper and service is by mail, five days shall be added to the prescribed period.” Thus, defendants’ motion for change of venue made 20 days after their service of a demand for change of venue by mail was timely. While plaintiffs contended that CPLR 2103 (b) (2)’s five-day extension for time periods measured from service by mail did not apply because defendants’ motion did not constitute response papers, that provision contains no language restricting its application to instances where a party is responding to papers served by an adversary. Moreover, since a defendant is permitted to move to change venue only in the event that the plaintiff does not consent in writing within five days after defendant’s service of the demand, the motion to change venue was effectively a response to plaintiff’s lack of consent to the change of venue.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Venue §§ 47, 61, 62.

CARMODY-WAIT 2d, Place of Trial or Venue §§ 48:56, 48:71.

McKINNEY’S, CPLR 511 (b); 2103 (b) (2).

NY JUR 2d, Courts and Judges §§ 1046, 1047, 1057, 1058;

NY JUR 2d, Process and Papers § 138.

SIEGEL, NY PRAC §§ 123, 202.

ANNOTATION REFERENCE

See ALR Index under Change of Venue; Mail and Mailing; Process and Service of Process and Papers.

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POINTS OF COUNSEL

Kopff, Nardelli & Dopf LLP, New York City (*Martin B. Adams* of counsel), for appellants. I. A defendant who mails a demand to change venue is entitled under CPLR 2103 (b) (2) to an additional five days above and beyond the 15-day statutory time period under CPLR 511 to move to change venue as of right. (*Matter of Saunders v Smith*, 99 AD2d 671; *Cahen v Boyland*, 1 NY2d 8; *Oliver v Alcog*, 155 AD2d 1001; *O'Connor v Lansdown Entertainment*, 231 AD2d 970; *Thompson v Cuadrado*, 277 AD2d 151; *Singh v Becher*, 249 AD2d 154.) II. Public policy supports a ruling that a motion to change venue as of right is timely where defendant serves by mail a demand to change venue and the motion is served within 20 days of service of the demand to change venue. III. The trial court properly transferred venue and the place of trial from Bronx County to Westchester County, as respondents reside in Westchester County, and the basis for respondents' selection of venue in Bronx County was improper. (*Toms v Estate of Hughes*, 177 AD2d 994; *Simpson v Sears, Roebuck & Co.*, 212 AD2d 473.)

Gair, Gair, Conason, Steigman, Mackauf, Bloom & Rubinitz, New York City (*Howard S. Hershenhorn* and *Rhonda E. Kay* of counsel), for Allen Simon and another, respondents. I. Absent specific provision to the contrary, the party who mails a document is not entitled to the extra five days under CPLR 2103 (b) (2). (*Sultana v Nassau Hosp.*, 188 AD2d 647; *Corradetti v Dales Used Cars*, 102 AD2d 272; *Thompson v Cuadrado*, 277 AD2d 151; *Trustees of Columbia Univ. v Bruncati*, 77 Misc 2d 547; *Matter of Harvey v New York State Dept. of Env'tl. Conservation*, 235 AD2d 625; *Trump v Cheng*, 2009 NY Slip Op 30014[U].) II. Application of CPLR 511 (b) as written will not result in hardship or prejudice to defendants moving to change venue as of right. (*Too Pyo Hong v Byung Wha Yoo*, 231 AD2d 657.)

Rende, Ryan & Downes, LLP, White Plains (*Roland T. Koke*

of counsel), for Sheldon Alter and others, respondents. I. The lower court decision which changed venue from Bronx County to Westchester County should be reinstated. (*Binder v Metropolitan St. Ry. Co.*, 68 App Div 281; *Peerless Motor Co. v Hambleton*, 219 App Div 268; *Chason v Airways Hotel*, 18 Misc 2d 96; *Hughes v Nigro*, 108 AD2d 722; *Williams v Albany Med. Ctr. Hosp.*, 86 AD2d 915; *Vacant Lots v Town Bd. of Town of Liberty*, 116 AD2d 865; *Podolsky v Nevele Winter Sports*, 233 AD2d 605; *Tri-City Furniture Dist. v Reubens*, 79 AD2d 886.) II. Since defendant seeking to move venue has a choice to file a motion in the county where the venue is desired in the event plaintiff fails to meaningfully oppose the demand, the motion is responsive and thus entitled to an extension of time under the Civil Practice Law and Rules.

OPINION OF THE COURT

JONES, J.

The question presented for our review is whether the five-day extension under CPLR 2103 (b) (2) applies to the 15-day time period prescribed by CPLR 511 (b) to move for change of venue when a defendant serves its demand for change of venue by mail. We hold that it does.

On July 17, 2009, plaintiffs Allen and Barbara Simon commenced this medical malpractice action against defendants in Supreme Court, Bronx County. Defendants Sol M. Usher, Sol M. Usher, M.D., P.C., Maxwell M. Chait, White Plains Hospital Center and Hartsdale Medical Group, P.C., (collectively, the Usher defendants) served their verified answers and demands to change venue to Westchester County on August 20, 2009. Twenty days later, on September 9th, the Usher defendants moved to change venue to Westchester County on the grounds that, except for Usher and Usher, M.D., P.C., all of the defendants and the plaintiffs reside in Westchester County; Usher's and Usher, M.D., P.C.'s primary offices are in Westchester County; and plaintiff Allen Simon received the medical care at issue in Westchester County. The remaining defendants Sheldon Alter, Mid-Westchester Medical Associates, LLP, Westchester Medical Group, PC. and Marianne Monahan served their answer on September 3rd and filed an affirmation in support of the motion to change venue on September 15th.

Supreme Court granted the motion to change venue to Westchester because "none of the parties to this action reside in Bronx County." The Appellate Division unanimously reversed

and denied the motion (73 AD3d 415 [2010]). The court, among other things, rejected the Usher defendants' motion for a change of venue as untimely because it was made 20 days after service of the demand. It concluded that CPLR 2103 (b) (2)'s five-day extension for time periods measured from service by mail did not apply to CPLR 511. The Appellate Division granted the Usher defendants leave to appeal to this Court and certified the following question for review: "Was the order of this Court, which reversed the order of the Supreme Court, properly made?" (2010 NY Slip Op 92286[U] [2010]). We answer the certified question in the negative and now reverse.

When construing a statute, we must begin with the language of the statute and "give effect to its plain meaning" (*Kramer v Phoenix Life Ins. Co.*, 15 NY3d 539, 550 [2010]). Pursuant to CPLR 511 (a), a defendant shall serve with the answer, or prior to service of the answer, a demand "for change of place of trial on the ground that the county designated for that purpose is not a proper county." Subsection (b) permits defendant to "move to change the place of trial within fifteen days after service of the demand, unless within five days after such service plaintiff serves a written consent to change the place of trial to that specified by the defendant." CPLR 2103 (b) (2) provides "where a period of time prescribed by law is measured from the service of a paper and service is by mail, five days shall be added to the prescribed period." "The extension provided in CPLR 2103 (b) (2) constitutes legislative recognition of and compensation for delays inherent in mail delivery" (*Sultana v Nassau Hosp.*, 188 AD2d 647, 648 [2d Dept 1992]).

Here, defendants who served their motion papers by mail 20 days after they served their demand to change venue are entitled to a five-day extension of the 15-day period prescribed in CPLR 511 (b). Plaintiffs, citing *Sultana*, contend that defendants cannot rely upon section 2103 (b) (2) for the five-day extension because the motion did not constitute response papers. Section 2103 (b) contains no language restricting its application to instances where a party is responding to papers served by an adversary. Moreover, defendants are permitted to move to change venue only in the event that plaintiffs do not consent in writing within five days after service of the demand. Although the motion papers are not directly responding to papers served by plaintiffs, defendants are effectively responding to plaintiffs' lack of consent to the change of venue. Simply put, defendants' motion papers are not initiatory and, because the demand was

served by mail, defendants were entitled to the benefit of section 2103 (b) (2)'s five-day extension.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the case remitted to that court for consideration of issues raised but not determined on the appeal to that court, and the certified question answered in the negative.

PIGOTT, J. (dissenting). While I fear adding further confusion to what, up until now, seemed to be a fairly simple statute, I respectfully dissent from the judicial creation of what I will label an “anticipatory five-day rule” amending CPLR 2103 (b) (2).

On July 17, 2009, plaintiffs commenced this medical malpractice action against multiple defendants by filing their summons and complaint in Supreme Court, Bronx County, basing their choice of venue on the fact that defendant Sol M. Usher had a place of business in the Bronx. Defendants answered by mail on August 20, 2009 and, pursuant to CPLR 511 (b), simultaneously served a demand for a change of venue from Bronx County to Westchester County. Plaintiffs did not respond within five days after the date of service of the demand, i.e. by August 25, 2009. This permitted defendants, if they so chose, to move to change the place of trial by filing a motion in either Bronx or Westchester County on or before September 4, 2009. However, defendants' motion was served by mail on September 9, 2009.

Plaintiffs objected, and I think properly so, that the motion was untimely, under CPLR 511 (b), which provides that a defendant that has served a written demand for a change of venue “may move to change the place of trial *within fifteen days after service of the demand*, unless within five days after such service plaintiff serves a written consent” (emphasis added). Defendants enlisted CPLR 2103 (b) (2), to argue that their motion was timely because it was served within 20 days of service of their demand, despite the fact that CPLR 511 specifies 15 days. Supreme Court, Bronx County, granted defendants' motion to change the venue, but the Appellate Division reversed, and denied the motion, holding that defendants “were not entitled to the five-day extension in CPLR 2103 (b) (2) for time periods measured from service by mail” (73 AD3d 415 [1st Dept 2010]).

Under CPLR 2103 (b) (2), the statute being mangled here, “where a period of time prescribed by law is measured from the service of a paper and service is by mail, five days shall

be added to the prescribed period.” The legislative history of the statute makes it abundantly clear that its purpose is to give a party, on whom a paper has been served by mail, additional time to *respond*, because of the delays inherent in mailing. The five-day extension was created in the early 1980s (L 1982, ch 20, § 1, eff Jan. 1, 1983); it had been three days before. At that time, the Advisory Committee on Civil Practice clearly described the extension as applying to a party’s “responding time” or “responding period” (1982 Rep of Advisory Comm on Civ Prac, reprinted in 1982 McKinney’s Session Laws of NY, at 2651). The Committee wrote that “[t]he traditional three days by which a *responding period* is extended when the paper to be *responded to* is served by mail has proved too short in recent years, as the mails have been increasingly delayed” (*id.* at 2651-2652 [emphasis added]). The legislative intent could not be more obvious. The purpose of CPLR 2103 (b) (2) was to compensate for mail delays, and allow an adverse party more time to assemble responsive papers.

The Appellate Division has understood this, writing that “[t]he extension provided in CPLR 2103 (b) (2) constitutes legislative recognition of and compensation for delays inherent in mail delivery” (*Sultana v Nassau Hosp.*, 188 AD2d 647, 648 [2d Dept 1992], quoting *Corradetti v Dales Used Cars*, 102 AD2d 272, 273 [3d Dept 1984]) and “does not . . . benefit the party making the service by mail” (*Thompson v Cuadrado*, 277 AD2d 151, 152 [1st Dept 2000]; see also *Matter of Harvey v New York State Dept. of Envtl. Conservation*, 235 AD2d 625 [3d Dept 1997]). Consistently, Professor Siegel, recognizing the intent of CPLR 2103, has noted that the statute

“provides that whenever a period of time is measured from the service of a paper and the paper is served by mail, *the party required to take the responsive step* gets 5 additional days. This recognizes that the service was deemed complete upon posting and it compensates for the delay in mail delivery The 5 days are added to the stated period when any mail-served paper *requires a responsive step* within a stated period” (Siegel, NY Prac § 202, at 346 [5th ed] [emphases added]).

It is noteworthy that the Legislature, in the context of measuring time from the service of a judgment or order, has taken the trouble to add a provision that clarifies that “[w]here

service of the judgment or order to be appealed from and written notice of its entry is made by mail . . . [under CPLR 2103], the additional days provided by such paragraphs shall apply to this action, regardless of which party serves the judgment or order with notice of entry” (CPLR 5513 [d]). This 1999 amendment to CPLR 5513 gives an additional five days to take an appeal when a notice of entry is served by mail, regardless of which party serves the notice of entry. The Legislature has not acted to alter statutes other than CPLR 5513, so as to make corresponding clarifications in areas other than appeals.

Here, defendants benefitted from the rule that papers are deemed served upon mailing—in this case on August 20. Plaintiffs, who would have received the papers some days after that, would have known that, while the statute requires a response within five days, i.e. by August 25, they could add five days and serve their response, if they chose to make one, on or before August 30. The five-day timetable is indisputably subject to extension under CPLR 2103 (b) (2), because it is a *responsive* deadline (*Podolsky v Nevele Winter Sports*, 233 AD2d 605, 605-606 [3d Dept 1996]; *Hughes v Nigro*, 108 AD2d 722, 723 [2d Dept 1985]). Defendants, on the other hand, were “not directly responding” to any papers, as the majority concedes (majority op at 628). Having no doubt marked plaintiffs’ August 30 deadline on their calendar, defendants had until September 4, to serve, by mail if they chose, their motion for change of place of trial. That they did not is, in my view, fatal to their motion.

Defendants argue that plaintiffs’ reading of CPLR 2103 (b) (2) creates practical difficulties for litigants. Given that plaintiffs have 10 days to decide about consent, the 15-day deadline for the motion means that defendants may have only five days between a service by mail of consent to change of venue and the motion deadline. If the mailing delay is three days, the time for preparing and filing the motion would end up being two days. Giving both parties the benefits of the extended period might be a good idea, practically. But one need only refer to CPLR 2214 (b), which allows reply papers to be served by mail *one* day before the return date of a motion, to know that the rules have not always been drafted with practicality in mind. In such a situation, an appellate court may signal the practical difficulties to the Legislature, so that it may consider amending the statute. But it is up to the Legislature to enact such a law.

In light of the legislative history and standard interpretations of CPLR 2103 (b) (2) in case law and commentary, I think it

clear that section 2103 (b) benefits only the party responding to the service, and I would therefore affirm the order of the Appellate Division.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ and SMITH concur with Judge JONES; Judge PIGOTT dissents and votes to affirm in a separate opinion.

Order reversed, etc.

[959 NE2d 498, 935 NYS2d 561]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v MAKEDA
DAVIS, Respondent.

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v FAYOLA
McINTOSH, Respondent.

Argued September 6, 2011; decided October 25, 2011

SUMMARY

APPEAL, in the first above-entitled action, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered January 5, 2010. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Michael J. Obus, J., at inspection/dismissal motion; Edward J. McLaughlin, J., at jury trial and sentence), which had convicted defendant, upon a jury verdict, of assault in the first degree (two counts) and assault in the second degree, and (2) dismissed the indictment, with leave to the People to apply for an order permitting resubmission of the charges to another grand jury.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 27, 2010. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Michael J. Obus, J., at dismissal motion; Laura A. Ward, J., at jury trial and sentence), which had convicted defendant, upon a jury verdict, of assault in the second degree, and (2) dismissed the indictment, with leave to the People to apply for an order permitting resubmission of the charges to another grand jury.

People v Davis, 72 AD3d 53, reversed.

People v McIntosh, 73 AD3d 653, reversed.

HEADNOTES

**Grand Jury — Resubmission of Charges — Withdrawal of Case —
Court Authorization Not Required Where Defendant was Not
Target in First Grand Jury Proceedings**

1. In an assault prosecution arising from an altercation allegedly instigated by defendant and joined in by a codefendant, wherein the People presented evidence to a first grand jury before defendant had been arrested and then withdrew their case due to witness unavailability, the People were not required under CPL 190.75 (3) to obtain court authorization before submitting charges

against defendant to a second grand jury because the People had instructed the first grand jury that only the codefendant was the target in the first grand jury presentation. The People never sought an indictment from the first grand jury against defendant and therefore, there were no charges against defendant to be withdrawn. Although the complainant testified before the first grand jury that defendant also participated in the attack, the introduction of that testimony was unavoidable given that the attack was a joint attack. Moreover, the People advised the first grand jury that it was to consider the evidence only against the codefendant.

Grand Jury — Resubmission of Charges — Withdrawal of Case — Court Authorization Not Required Where First Grand Jury Had Not Fully Considered Evidence and Charges

2. In an assault prosecution arising from an altercation allegedly participated in by defendant and a codefendant, the People's withdrawal of their case from a first grand jury after presenting evidence against defendant only did not constitute the functional equivalent of a dismissal under CPL 190.75 (3) that would have required the People to obtain court authorization before re-presenting charges against defendant to a second grand jury. The Appellate Division erred in focusing on the legal sufficiency of the People's case against defendant at the time the case was withdrawn from the first grand jury. The essential issue in deciding whether a prevote withdrawal of charges from a grand jury should be treated as a de facto dismissal for purposes of CPL 190.75 (3) is the extent to which the grand jury considered the evidence and the charge. A withdrawal of charges constitutes the functional equivalent of a dismissal only in limited circumstances, where the withdrawal is fundamentally inconsistent with the objectives underlying CPL 190.75, which include curtailing prosecutorial excess in resubmitting charges repeatedly until a grand jury votes an indictment and maintaining the independence of the grand jury. Here, it could not be said that those proceedings had progressed to the point where that grand jury had fully considered the evidence and the charges against defendant. It was clear that the People intended to present additional witnesses, stating before presenting any evidence that it would be a continuing case. Moreover, 10 days later, at the end of the grand jury's term, there was at least one witness the People intended to present who was unavailable to testify. There was no evidence that the People withdrew their case in order to present it to a more compliant grand jury.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Indictments and Informations §§ 32, 56, 57.
CARMODY-WAIT 2d, Commencing the Prosecution; Grand Jury §§ 178:264–178:266.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 15.7.
MCKINNEY's, CPL 190.75 (3).
NY JUR 2d, Criminal Law: Procedure §§ 1215, 1217, 1218, 1220.

ANNOTATION REFERENCE

See ALR Index under Grand Jury; Indictments and Informations.

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POINTS OF COUNSEL

Cyrus R. Vance, Jr., District Attorney, New York City (Susan Gliner and Alan Gadlin of counsel), for appellant in the first and second above-entitled actions. As the trial court found, judicial authorization was not required before submitting the case to a second grand jury when the People presented the case to a first grand jury, announced that the case would be presented on more than one day, but were able to present only one witness during that session, and then had to withdraw the case due to witness unavailability. The Appellate Division erred when it found otherwise only because a legally sufficient case had been presented to the first grand jury. (People v Wilkins, 68 NY2d 269; People v Montanez, 90 NY2d 690; People v Cade, 74 NY2d 410; People v Gelman, 93 NY2d 314; People v Aarons, 2 NY3d 547; People v Santmyer, 255 AD2d 871.)

The Freyberg Law Group, New York City (Mark L. Freyberg and Joel G. Kosman of counsel), for respondent in the first above-entitled action. The District Attorney violated CPL 190.75 by withdrawing an essentially completed case from the first grand jury and then resubmitting it, without leave of the court, to a second grand jury. (People v Huston, 88 NY2d 400; People v Wilkins, 68 NY2d 269; People ex rel. Flinn v Barr, 259 NY 104; People v Gelman, 93 NY2d 314; People v Bello, 92 NY2d 523; People v Deegan, 69 NY2d 976; People v Jennings, 69 NY2d 103; People v Schulz, 4 NY3d 521; People v McKinnon, 15 NY3d 311; Matter of Blancero v Brown, 216 AD2d 384, 86 NY2d 705.)

Office of the Appellate Defender, New York City (Lily Goetz, Richard M. Greenberg and Joseph M. Nursey of counsel), for respondent in the second above-entitled action. The prosecution abused the grand jury process by re-presenting the case against Fayola McIntosh to a second grand jury panel, without judicial authorization, after unilaterally withdrawing the essentially completed case from another grand jury panel four months earlier. (People v Wilkins, 68 NY2d 269; People v Franco, 86 NY2d 493; People v Jones, 206 AD2d 82; People v Hemstreet, 234 AD2d 609; People v Dykes, 86 AD2d 191; People v Aarons, 2 NY3d 547; People v Gelman, 93 NY2d 314; People v Arroyo, 54 NY2d 567; People v Beckwith, 289 AD2d 956.)

OPINION OF THE COURT

PIGOTT, J.

The primary issue on these appeals is whether the People's withdrawal of their case from the first grand jury presentation due to witness unavailability constituted the functional equivalent of a dismissal pursuant to CPL 190.75 and our holding in *People v Wilkins* (68 NY2d 269 [1986]). We conclude that under the circumstances of each case it did not.

I.

The assault charges lodged against defendants Makeda Davis and Fayola McIntosh stem from a June 11, 2006 altercation at a nightclub allegedly instigated by Davis and joined in by McIntosh resulting in Lynn Walker sustaining severe injuries. McIntosh was arrested shortly after the incident; Davis was not apprehended until some time later.

On June 20, 2006, before police located and arrested Davis, the People began presenting evidence to a grand jury. Before calling the complainant, the People advised the jury that they were presenting evidence against McIntosh only and that "[t]his will be a continued case," meaning that not all evidence would be submitted in one session.

Walker then testified that Davis, an acquaintance of hers, assaulted her. She further testified that McIntosh, also an acquaintance, joined in the assault. Ten days later, on June 30, 2006, the People advised the grand jury that they were withdrawing the case due to witness unavailability and the fact that it was this grand jury's last day.

Four months later, the People presented evidence to another grand jury, this time naming both Davis and McIntosh as targets, and asking it to consider the same charges against both defendants. The People called three witnesses: Walker, the attending physician who treated Walker the night of the incident, and an eyewitness. The grand jury indicted both defendants on two counts of assault in the first degree and one count of assault in the second degree.

Supreme Court denied defendants' motions to dismiss the indictment on the ground that the People should have obtained court authorization pursuant to CPL 190.75 (3) before re-presenting the case to a second grand jury. Following trial, Davis was convicted of all three assault counts. McIntosh was acquitted of the first-degree assault counts, but convicted of assault in

the second degree. Davis and McIntosh brought separate appeals, claiming that the People should have obtained court authorization pursuant to CPL 190.75 (3) before re-presenting their cases to a second grand jury.

In *People v Davis*, the Appellate Division, with two Justices dissenting, reversed the judgment of conviction and dismissed the indictment, but granted the People leave to apply for an order of Supreme Court permitting them to resubmit the charges to another grand jury, holding that the People's prevote withdrawal of the case from the first grand jury constituted "the functional equivalent of a dismissal" under this Court's holding in *People v Wilkins*, requiring the People to obtain court permission before re-presentment (72 AD3d 53, 65 [1st Dept 2010]).

In *People v McIntosh*, the Appellate Division unanimously reversed, relying on its rationale in *Davis*, and dismissed the indictment, once again with leave for the People to seek leave to resubmit the charges to another grand jury (73 AD3d 653 [2010]). A Justice of the Appellate Division granted the People leave to appeal in *Davis* (2010 NY Slip Op 71696[U] [2010]), and a Judge of this Court granted the People leave to appeal in *McIntosh* (15 NY3d 807 [2010]), and we now reverse in both.

II.

As relevant to these cases, CPL 190.60 (4) provides that once a grand jury hears and examines the evidence, it may among other options, dismiss the charge before it, as provided in section 190.75. A grand jury *must* dismiss a charge lodged against a designated person where the evidence before it is legally insufficient to demonstrate that such person committed the crime charged or any other offense, or where it is not satisfied that there is reasonable cause to believe such person committed such crime or any other offense (*see* CPL 190.75 [1] [a], [b]). In such a case, the dismissed charges may be re-presented to another grand jury but only after the People obtain court authorization (*see* CPL 190.75 [3]). This rule was enacted to "curb abuses that resulted from the common-law rule that allowed prosecutors to resubmit charges to successive Grand Juries *ad infinitum* until one voted an indictment" (*People v Montanez*, 90 NY2d 690, 693 [1997] [emphasis added], citing *Wilkins*, 68 NY2d 269, 273 [1986], *supra*).

Not every dismissal is the result of a grand jury's explicit action pursuant to CPL 190.60 and 190.75, however. In *Wilkins*, we held that the People's prevote withdrawal of charges from

the grand jury, after the presentation was complete but before the grand jury was charged on the law, was the functional equivalent of a dismissal for purposes of CPL 190.75 (3), requiring the People to obtain court authorization before resubmission. There we held that the essential issue in deciding whether the People's withdrawal from the grand jury should be treated as a de facto dismissal was "the extent to which the Grand Jury considered the evidence and the charge" (68 NY2d at 274). The People's first presentation in *Wilkins* "was, as far as the prosecution was concerned, complete," and we concluded that because all of the witnesses had testified and the only thing left for the People to do was charge the jury on the law, the People's "unilateral withdrawal so late in the game must be deemed a dismissal, regardless of the good faith of the withdrawal" (*id.* at 274, 275).

We have made clear that *Wilkins* applies in only "limited circumstances" where the People's withdrawal of a case from the grand jury "is fundamentally inconsistent with the objectives underlying CPL 190.75" (*People v Gelman*, 93 NY2d 314, 319 [1999]). Such objectives include curtailing prosecutorial excess in resubmitting charges repeatedly until a grand jury votes an indictment (*see Wilkins*, 68 NY2d at 275), and maintaining the independence of the grand jury (*see Montanez*, 90 NY2d at 694).

III.

[1] In *Davis*, the order of the Appellate Division should be reversed, because the People had instructed the first grand jury that only McIntosh was the target of the proceedings. Although Walker testified before the first grand jury that Davis also participated in the attack, the introduction of such testimony was unavoidable given the fact that this was a joint attack. At that point, Davis had not been arrested. Moreover, the People advised the grand jury that it was to consider the evidence only against McIntosh. Since the People never sought an indictment from the first grand jury against Davis, *Wilkins* is irrelevant since there were no charges against Davis to be withdrawn (*see People v Santmyer*, 255 AD2d 871, 871 [4th Dept 1998]).

IV.

[2] With respect to McIntosh, it is undisputed that she was a target of both grand jury presentations. In this case, however, the Appellate Division erred in focusing on the legal sufficiency of the People's case against McIntosh at the time they withdrew

it rather than on “the extent to which the Grand Jury considered the evidence and the charge” (*Wilkins*, 68 NY2d at 274). Here, it cannot be said that the proceedings before the first grand jury had progressed to the point where it had fully considered the evidence and the charges against McIntosh. It is clear from the record that the People intended to present additional witnesses, stating before presenting any evidence that it would be a continuing case. Moreover, 10 days later, at the end of the grand jury’s term, there was at least one witness the People intended to present who was unavailable to testify. There is no evidence in this record that would raise the primary concern of this Court’s holding in *Wilkins*, namely that the People withdrew their case in order to present it to a more compliant grand jury. The People’s withdrawal of the charges under these circumstances does not constitute a dismissal under *Wilkins*, and the People were not therefore required to obtain court authorization before re-presenting the case to another grand jury.

Accordingly, the orders of the Appellate Division in both *Davis* and *McIntosh* should be reversed, and the cases remitted to the Appellate Division for consideration of the facts and issues raised but not determined on the appeals to that court.

Chief Judge LIPPMAN (concurring in *Davis* and dissenting in *McIntosh*). Although I join in the majority’s decision to reverse in *Davis* upon the very narrow ground that Davis was expressly not a target of the first presentation, I part company with the majority as to its disposition in *McIntosh*, which I believe rests upon a misreading of *People v Wilkins* (68 NY2d 269 [1986]).

It is not debatable that under *Wilkins* the crucial consideration in determining whether judicial permission for re-presentation is required pursuant to CPL 190.75 (3) is “the extent to which the Grand Jury considered the evidence and the charge” (68 NY2d at 274). The majority, after duly quoting this formulation, directly concludes that permission for re-presentation was not required with respect to the charges against *McIntosh* because “it cannot be said that the proceedings before the first grand jury had progressed to the point where it had *fully* considered the evidence and charges against [her]” (majority op at 639 [emphasis added]). Although it is clear that when there is full consideration of the charges, a prosecutor’s withdrawal of a matter will be deemed a dismissal triggering the application of CPL 190.75 (3) (see *People v Credle*, 17 NY3d 556

[2011] [decided herewith]), nowhere in *Wilkins* is *full* consideration of the evidence and charge made a necessary condition of judicial supervision of a prosecutor's decision to resubmit charges to a second grand jury. To the contrary, the *Wilkins* Court observed that "the presentation need not be complete for consideration equivalent to a dismissal to occur" (68 NY2d at 274) and specifically noted that it had been "clearly held" in *Matter of McGinley v Hynes* (75 AD2d 897 [2d Dept 1980], *revd on other grounds* 51 NY2d 116 [1980], *cert denied* 450 US 918 [1981]) that "the Grand Jury had heard and considered enough to render the withdrawal of the case equivalent to a dismissal, *even though the prosecutor conceded that he had not finished presenting his case and certainly could not at that point have formally instructed the Grand Jury on the law*" (*Wilkins*, 68 NY2d at 274-275 [emphasis added]). While we did observe in *Wilkins* that the presentation there at issue had progressed further than had the presentation in *McGinley*, and that it was, in contrast to the presentation in *McGinley*, complete "as far as the prosecution was concerned" (*id.* at 274), we did not thereby hold that the effect of a withdrawal should turn upon whether the presenting prosecutor was of the view that he or she had completed presenting a matter. Our observation merely served to show that the presentation in *Wilkins* had exceeded by far the benchmark established by *McGinley*, where the prosecutor "concededly" had not finished his presentation.

There is no question that where a grand jury has not considered the evidence and charge against a particular target at all, the matter's withdrawal may not be deemed a dismissal as against that individual (*People v Gelman*, 93 NY2d 314, 319 [1999]). What is less clear, and what neither *Wilkins*, at one end of the spectrum, nor *Gelman* at the opposite extreme are particularly helpful in ascertaining, is precisely when the prosecutor has crossed the rubicon—the point at which the prosecutor has placed before a grand jury sufficient evidence of a targeted individual's commission of a crime that the prosecutor's act of wresting the matter back from the grand jury should be considered a dismissal within the meaning of CPL 190.75 (3). The Appellate Division in *Davis* (*see* 72 AD3d 53, 60 [2010]) and at least one commentator (*see* Preiser, Practice Commentaries, McKinney's Cons Laws of NY, Book 11A, CPL 190.75, at 141), have understood the decisive inquiry to be whether there was at the time of the withdrawal sufficient evidence of the submitted offenses before the grand jury to support an indictment against a particular target. While that test is imperfect for denying the

inference in situations where it might well be warranted—since the withdrawal of a count that would likely have been dismissed had it been voted would seem a natural candidate for a *Wilkins* dismissal—the sufficiency test has the virtue of clarity and would avoid the prospect of dismissal in situations where the prosecutor simply had not been able to present a prima facie case before the first grand jury. Certainly it is a test preferable to one in which the prosecutor’s subjective satisfaction with the fullness of his or her presentation is the measure. In any case, once a prosecutor has presented to a particular grand jury evidence sufficient to justify the indictment of a particular individual for a specified offense, it would seem entirely fair and consistent with the governing statutory design that there should arise a presumption that the matter will be disposed of by action of that first grand jury, which is to say that the matter will be concluded by that grand jury in one of the five ways authorized by CPL 190.60. In those hypothetically rare situations in which this does not occur and the first grand jury’s consideration of a matter is terminated not by its own statutorily authorized action but by the unilateral action of the prosecutor, the concerns underlying CPL 190.75 (3) are fully implicated and court supervision is necessary to assure that the action of the prosecutor has not impermissibly stripped the grand jury of its independent prerogative to judge whether a matter should be the subject of an indictment.

At the time of the withdrawal of the McIntosh matter, the prosecutor had presented considerable evidence implicating McIntosh in the charged offenses. While the presentation may not have been complete from the prosecutor’s perspective, that, as noted, cannot under *Wilkins* be dispositive of whether the matter’s withdrawal should be viewed as a dismissal triggering the applicability of CPL 190.75 (3). There is no question that the prosecutor had elected to commit the matter to the grand jury and that in pursuance of that election substantial evidence of McIntosh’s participation in the alleged wrongdoing was presented to and considered by the grand jury. Indeed, the Appellate Division found that the People had made “a full presentation of a legally sufficient case” against their named target (72 AD3d at 63). Having progressed so far, the prosecutor was not, under *Wilkins*, free to withdraw the case and re-present it to a second panel without leave of the court. It may be that the withdrawal was prompted only by the circumstance that the grand jury’s term was drawing to a close and there was still

evidence that the prosecutor wished to present. The prosecutor, however, did not ask the grand jury to extend its term, as she could have (*see* CPL 190.15 [1]) and, in any event, the issue in judging whether a dismissal should be inferred is not the prosecutor's good faith or lack of it—an issue that might be highly pertinent to a subsequent decision as to whether re-presentation should be allowed—but rather whether the presentation had progressed to the point that the grand jury should in the ordinary discharge of its responsibilities and function have disposed of the charges proposed as to the target in one of the statutorily authorized ways. Manifestly, that point had been reached and, that being the case, a judge, and not the prosecutor, should have decided in the first instance whether the circumstances of the withdrawal justified an exception to the policy against serial submissions of the same counts that CPL 190.75 (3) exists to enforce.

If an inference of dismissal under *Wilkins* could be avoided simply by a prosecutorial assertion of dissatisfaction with the fullness of the first presentation—an assertion undoubtedly easily made in very many cases given the fairly undemanding standard of evidentiary sufficiency applicable where indictments are concerned and the consequently tactically thin grand jury presentations often made—*Wilkins* would be effectively undone. Consistent with its limiting purpose (*see People v Credle, supra*), all that *Wilkins* purports to require as a condition of a “dismissal” within the meaning of CPL 190.75 (3) is that the grand jury “‘knew about and considered the charge’” (68 NY2d at 274, quoting *People v Nelson*, 298 NY 272, 276 [1948]). Plainly, those threshold criteria were met during the initial presentation against defendant McIntosh.

Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur with Judge PIGOTT; Chief Judge LIPPMAN in a separate concurring opinion in which Judges CIPARICK and JONES concur.

In *People v Davis*: Order reversed, etc.

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT; Chief Judge LIPPMAN dissents in a separate opinion in which Judges CIPARICK and JONES concur.

In *People v McIntosh*: Order reversed, etc.

[958 NE2d 865, 934 NYS2d 737]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v COREY
E. BECOATS, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JASON
L. WRIGHT, Appellant.

Argued September 15, 2011; decided October 20, 2011

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 26, 2010. The Appellate Division modified, on the law, a judgment of the Supreme Court, Monroe County (Francis A. Affronti, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree and robbery in the first degree. The modification consisted of reducing the conviction of murder in the second degree to manslaughter in the second degree and vacating the sentences imposed on the murder and robbery counts. The Appellate Division affirmed the judgment as modified and remitted the matter to Supreme Court, Monroe County for sentencing on the manslaughter conviction and resentencing on the robbery conviction.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 12, 2009. The Appellate Division modified, on the law, a judgment of the Supreme Court, Monroe County (Francis A. Affronti, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree and robbery in the first degree. The modification consisted of reducing the conviction of murder in the second degree to manslaughter in the second degree and vacating the sentences imposed on the murder and robbery counts. The Appellate Division affirmed the judgment as modified and remitted the matter to Supreme Court, Monroe County for sentencing on the manslaughter conviction and resentencing on the robbery conviction.

People v Becoats, 71 AD3d 1578, affirmed.

People v Wright, 63 AD3d 1700, reversed.

HEADNOTES**Crimes — Appeal — Preservation of Issue for Review — Mode of Proceedings Error**

1. In the prosecution of defendants upon an indictment that included a single count of robbery in the first degree asserting that defendants “forcibly stole property, to wit, a gun and/or a pair of sneakers” from the victim and caused him serious physical injury, defendants’ claim that the count was duplicitous was unpreserved for appellate review and did not fall within the narrow exception for so-called “mode of proceedings” errors. The general rule is that the Court of Appeals does not consider claims of error not preserved by appropriate objection in the court of first instance (CPL 470.05, 470.35). The exception for mode of proceedings errors is reserved for the most fundamental flaws, and mistakenly charging more than one crime in one count of an indictment is not a fundamental error in this sense. A defendant who wants the charges separated must seek that relief at trial.

Crimes — Trial — Adjournment

2. In the prosecution of defendants for fatally beating and forcibly stealing from the victim in which the only evidence of the attackers’ identity was the testimony of two eyewitnesses, the trial court did not abuse its discretion by refusing to grant an adjournment on the eve of trial to allow the defense to obtain the testimony of a witness in federal custody who claimed that he was present for a portion of the beating, that he did not see one of the defendants while there, and that one of the other two eyewitnesses had participated in the beating. Twenty days before the trial was scheduled to begin, defense counsel received a letter from the prosecutor regarding the prisoner’s claims made during an interview that had taken place two days before the letter was sent to defense counsel by regular mail. Sometime thereafter, defense counsel contacted the United States Marshal’s office to determine if the prisoner could be made available but did not seek an order or begin any other proceeding to obtain the prisoner’s testimony, either at trial or by deposition. On the last business day before trial defense counsel filed papers asking the trial court for an adjournment so that the prisoner could be “secured at trial.” Although the witness’s testimony seemed very significant, and the People could have acted more speedily than they did, the trial court was justified in finding that defense counsel did not act with reasonable diligence. Even assuming an initial six-day delay was excused by counsel’s involvement in another trial, there were almost two weeks between the date that counsel learned where the prisoner was being held and the trial date in which counsel could have sought, and perhaps obtained, an order requiring the prisoner’s testimony. It was unclear from the record whether counsel really wanted the prisoner’s testimony, or simply wanted delay, or was hoping to create an issue for appeal. It was for the trial court to assess whether, under all the circumstances, an adjournment in the hope of obtaining the prisoner’s testimony was justified.

Crimes — Verdict — Choice between Factually Supported Theory and Factually Unsupported Theory

3. In the prosecution of defendants upon an indictment that included a single count of robbery in the first degree asserting that defendants “forcibly stole property, to wit, a gun and/or a pair of sneakers” from the victim and caused him serious physical injury, the evidence was sufficient to support a finding that defendants forcibly stole the sneakers and a new trial was not required. Assuming, as the Appellate Division held, that the evidence was insufficient to prove that defendants intended permanently to deprive the

victim of possession and use of the gun, as the record showed only that defendants took the victim's gun to beat him with it and then abandoned it at the scene, the evidence was sufficient to support a conviction for robbery of the sneakers. While no witness actually saw the sneakers removed from the victim's feet, defendants and one other man were seen beating the victim unconscious in a field and then emerging from the field as a group with one of them carrying a pair of sneakers. The inference that the sneakers came from the beating victim was a strong one, and a jury could have found, beyond a reasonable doubt, that the attackers did not merely chance upon a pair of abandoned sneakers in the field. Moreover, a new trial was not necessary because the robbery verdict might have been based on the taking of the gun. Where jurors are given a choice between a factually supported and factually unsupported theory, it is assumed that they have chosen the one with factual support, since jurors are well equipped to analyze the evidence.

Crimes — Fair Trial — Exclusion of Exculpatory Evidence

4. In the prosecution of defendants for fatally beating and forcibly stealing from the victim in which the only evidence of the attackers' identity was the testimony of two eyewitnesses, the trial court committed reversible error by refusing to allow one of the eyewitnesses to testify about a meeting, attended by the other eyewitness and one of the two defendants, that took place the day before the attack at which the participants discussed "what to do with" the victim. The defendant who wasn't present for the meeting sought to question the witness about the conversation, and since that defendant was not offering any declaration for its truth but sought only to prove his absence from the planning session and the participation in it by one of the People's key witnesses, the proffered evidence raised no hearsay problem. Moreover, the relevance of the meeting to defendant's defense was not outweighed by its possible prejudice to his codefendant. In a case wholly dependent on the testimony of two eyewitnesses—both of whom had criminal records that might have made the jury doubt their word—proof that one of the two had actually participated in planning the crime might have been decisive. Rather than deprive defendant of important exculpatory evidence, other means might have been found to protect defendant without being unfair to his codefendant.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Appellate Review §§ 208, 575, 576, 755–757;
AM JUR 2d, Indictments and Informations §§ 200–204;
AM JUR 2d, Trial §§ 22, 253, 256, 1538, 1543.
CARMODY-WAIT 2d, Commencing the Prosecution; Grand
Jury § 178:308; CARMODY-WAIT 2d, Conduct of Trial, in
General § 190:5; CARMODY-WAIT 2d, Testimony of Wit-
nesses §§ 195:105, 195:106; CARMODY-WAIT 2d, Verdict
and Postverdict Proceedings § 202:30; CARMODY-WAIT
2d, Appeals in Criminal Cases §§ 207:18, 207:21, 207:33,
207:169, 207:170, 207:172, 207:222, 207:233.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 19.3,
24.4, 24.10, 27.5.
MCKINNEY'S, CPL 470.05, 470.35.
NY JUR 2d, Criminal Law: Procedure §§ 1245, 2228, 2304,

2305, 2600, 2833, 3454–3456, 3469, 3637, 3642, 3644, 3647.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Continuance and Adjournment; Exculpatory Evidence; Indictments and Informations; New Trial; Verdicts.

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POINTS OF COUNSEL

Easton Thompson Kasperek Shiffryn LLP, Rochester (Donald M. Thompson and Brian Shiffryn of counsel), and Kristin Splain, Conflict Defender, for appellant in the first above-entitled action. I. The trial court's refusal to grant an adjournment so that Mr. Corey Becoats could secure the presence of a critical witness violated Mr. Becoats's constitutional rights to a fair trial, to present a defense, and to confrontation and constituted an abuse of discretion. (*Matter of Anthony M.*, 63 NY2d 270; *People v Singleton*, 41 NY2d 402; *People v Spears*, 64 NY2d 698; *People v Foy*, 32 NY2d 473; *People v Matz*, 23 NY2d 196; *People v Ballott*, 20 NY2d 600; *People v Snyder*, 297 NY 81; *Chambers v Mississippi*, 410 US 284; *Singleton v Lefkowitz*, 583 F2d 618, *cert denied sub nom. Abrams v Singleton*, 440 US 929; *Washington v Texas*, 388 US 14.) II. The People failed to prove that Mr. Corey Becoats committed the crime of robbery. (*People v Williams*, 84 NY2d 925; *People v Hines*, 97 NY2d 56; *People v Lynch*, 95 NY2d 243; *People v Ficarrota*, 91 NY2d 244; *People v Bleakley*, 69 NY2d 490; *People v Cabey*, 85 NY2d 417; *People v Gray*, 86 NY2d 10; *People v Jennings*, 69 NY2d 103; *Van Vechten v American Eagle Fire Ins. Co.*, 239 NY 303; *People v Wright*, 63 AD3d 1700.) III. It was reversible error to submit to the jury the robbery count charging Mr. Corey Becoats with robbing a gun and/or sneakers from the victim. (*People v Charles*, 61 NY2d 321; *People v Wells*, 7 NY3d 51; *People v Keindl*, 68 NY2d 410; *People v Bauman*, 12 NY3d 152; *People v First Meridian Planning Corp.*, 86 NY2d 608; *Hamling v United States*, 418 US 87; *People v Reed*, 265 AD2d 56; *People v Wright*, 63 AD3d 1700; *Griffin v United States*, 502 US 46; *Yates v United States*, 354 US 298.) IV. The trial court's evidentiary rulings which erroneously permitted improper and prejudicial testimony and impermissibly prohibited the admission of relevant testimony

singularly and cumulatively deprived Mr. Corey Becoats of his due process right to a fair trial as guaranteed by the United States and New York Constitutions. (*People v Johnson*, 93 NY2d 254; *People v Geraci*, 85 NY2d 359; *People v Rivera*, 160 AD2d 267; *People v Leon*, 121 AD2d 1; *People v Pitts*, 218 AD2d 715; *People v Kornegay*, 164 AD2d 868; *Matter of Holtzman v Hellenbrand*, 92 AD2d 405; *People v Johns*, 297 AD2d 645; *People v Melendez*, 55 NY2d 445; *People v James*, 177 AD2d 595.)

Michael C. Green, District Attorney, Rochester (*Kelly Christine Wolford* of counsel), for respondent in the first above-entitled action. I. The trial court did not abuse its discretion in denying defendant's request for an adjournment to secure the attendance of a witness. (*People v Foy*, 32 NY2d 473; *Matter of Anthony M.*, 63 NY2d 270; *People v Singleton*, 41 NY2d 402; *Gilmore v United States*, 129 F2d 199; *Stone v Morris*, 546 F2d 730.) II. Defendant's conviction of robbery in the first degree is supported by legally sufficient evidence. (*People v Hawkins*, 11 NY3d 484; *People v Gray*, 86 NY2d 10; *People v Hines*, 97 NY2d 56; *People v James*, 75 NY2d 874; *People v Cochran*, 302 AD2d 276; *People v Danielson*, 9 NY3d 342; *People v Sala*, 95 NY2d 254; *People v Dekle*, 56 NY2d 835; *People v Rooney*, 57 NY2d 822; *People v Charles*, 61 NY2d 321.) III. The question of whether the charge of robbery in the first degree is duplicitous cannot be reviewed by this Court and is otherwise without merit. (*People v Hawkins*, 11 NY3d 484; *People v Patterson*, 39 NY2d 288; *People v Robinson*, 36 NY2d 224; *People v Kelly*, 5 NY3d 116; *People v Gray*, 86 NY2d 10; *People v Kadarko*, 14 NY3d 426; *People v O'Rama*, 78 NY2d 270; *People v Kisoon*, 8 NY3d 129; *People v Starling*, 85 NY2d 509; *People v Klipfel*, 160 NY 371.) IV. Defendant received effective assistance of counsel under both the New York and Federal Constitutions. (*People v Schulz*, 4 NY3d 521; *Strickland v Washington*, 466 US 668; *People v Flores*, 84 NY2d 184; *People v Kroemer*, 204 AD2d 1017; *People v Baldi*, 54 NY2d 137; *People v Satterfield*, 66 NY2d 796; *Rosario v Ercole*, 601 F3d 118; *People v Turner*, 5 NY3d 476; *People v Rivera*, 71 NY2d 705; *People v Grayson*, 266 AD2d 740.) V. Defendant received a fair trial and none of the claimed errors raised before the Appellate Division require reversal. (*People v Wilson*, 195 AD2d 493; *People v Rivera*, 160 AD2d 267; *People v Geraci*, 85 NY2d 359; *People v Corby*, 6 NY3d 231; *People v De Vito*, 56 NY2d 846.) VI. Defendant is not entitled to relief based on his attempt to "join" in the claims raised in the brief of co-defendant Jason Wright. (*People v Teeter*, 47 NY2d 1002; *People v Ford*, 66 NY2d 428.)

Jonathan I. Edelstein, New York City, for appellant in the second above-entitled action. I. The evidence against defendant was insufficient to support his conviction of robbery in the first degree. (*People v Schulz*, 4 NY3d 521; *Jackson v Virginia*, 443 US 307; *People v Ficarrota*, 91 NY2d 244; *People v Garland*, 125 AD2d 328; *People v Parker*, 96 AD2d 1063; *People v Montgomery*, 39 AD2d 889; *People v Jennings*, 69 NY2d 103; *People v Ford*, 66 NY2d 428; *People v Cleague*, 22 NY2d 363; *People v Moore*, 291 AD2d 336.) II. The robbery charge was duplicitous. (*People v Patterson*, 39 NY2d 288; *People v Van Dyne*, 12 AD3d 120; *People v Ray*, 71 NY2d 849; *People v Agramonte*, 87 NY2d 765; *People v Brown*, 7 NY3d 880; *People v Martinez*, 81 NY2d 810; *People v Cruz*, 96 NY2d 857; *People v Keindl*, 68 NY2d 410; *People v Bauman*, 12 NY3d 152; *People v Barnes*, 64 AD3d 890.) III. A new trial is required because it is impossible to tell whether the robbery conviction was predicated upon a legal or illegal theory. (*Yates v United States*, 354 US 298; *United States v Joseph*, 542 F3d 13; *People v Martinez*, 83 NY2d 26; *Griffin v United States*, 502 US 46.) IV. Defendant received ineffective assistance of counsel at trial. (*Strickland v Washington*, 466 US 668; *People v Baldi*, 54 NY2d 137; *Kyles v Whitley*, 514 US 419; *People v Lewis*, 2 NY3d 224; *Lockhart v Fretwell*, 506 US 364; *People v Caban*, 5 NY3d 143; *People v Turner*, 5 NY3d 476; *Murray v Carrier*, 477 US 478; *Henry v Poole*, 409 F3d 48; *Rosario v Ercole*, 601 F3d 118.) V. The remaining issues raised before the Appellate Division require reversal. (*Mutual Life Ins. Co. v Hillmon*, 145 US 285; *People v James*, 93 NY2d 620; *People v D'Arton*, 289 AD2d 711; *People v Slaughter*, 189 AD2d 157; *Chambers v Mississippi*, 410 US 284; *People v Rivera*, 160 AD2d 267; *People v Leon*, 121 AD2d 1; *People v Randolph*, 18 AD3d 1013; *People v Schwartzman*, 24 NY2d 241; *People v Arroyave*, 49 NY2d 264.)

Michael C. Green, District Attorney, Rochester (*Kelly Christine Wolford* of counsel), for respondent in the second above-entitled action. I. Defendant's conviction of robbery in the first degree is supported by legally sufficient evidence. (*People v Hawkins*, 11 NY3d 484; *People v Gray*, 86 NY2d 10; *People v Hines*, 97 NY2d 56; *People v James*, 75 NY2d 874; *People v Cochran*, 302 AD2d 276; *People v Danielson*, 9 NY3d 342; *People v Sala*, 95 NY2d 254; *People v Dekle*, 56 NY2d 835; *People v Rooney*, 57 NY2d 822; *People v Charles*, 61 NY2d 321.) II. The question of whether the charge of robbery in the first degree is duplicitous cannot be reviewed by this Court and is otherwise without merit. (*People v Hawkins*, 11 NY3d 484; *People v Patterson*, 39 NY2d 288; *People*

v Robinson, 36 NY2d 224; *People v Kelly*, 5 NY3d 116; *People v Gray*, 86 NY2d 10; *People v Kadarko*, 14 NY3d 426; *People v O’Rama*, 78 NY2d 270; *People v Kisoon*, 8 NY3d 129; *People v Starling*, 85 NY2d 509; *People v Sanchez*, 84 NY2d 440.) III. Defendant is not entitled to a new trial based on his claim that the jury could have convicted him on an “illegal theory.” (*People v Baumann & Sons Buses, Inc.*, 6 NY3d 404; *People v Hawkins*, 11 NY3d 484; *People v Dekle*, 56 NY2d 835; *People v Rooney*, 57 NY2d 822; *People v Spann*, 56 NY2d 469; *People v Charles*, 61 NY2d 321; *People v Cash J.Y.*, 60 AD3d 1487.) IV. Defendant received effective assistance of counsel under both the New York and Federal Constitutions. (*People v Schulz*, 4 NY3d 521; *Strickland v Washington*, 466 US 668; *People v Flores*, 84 NY2d 184; *People v Kroemer*, 204 AD2d 1017; *People v Baldi*, 54 NY2d 137; *People v Satterfield*, 66 NY2d 796; *Rosario v Ercole*, 601 F3d 118; *People v Turner*, 5 NY3d 476; *People v Rivera*, 71 NY2d 705; *People v Garcia*, 75 NY2d 973.) V. Defendant received a fair trial and none of the claimed errors raised before the Appellate Division require reversal. (*People v Corby*, 6 NY3d 231; *People v Wilson*, 195 AD2d 493; *People v Rivera*, 160 AD2d 267; *Matter of Anthony M.*, 63 NY2d 270; *People v Brink*, 57 AD3d 1484; *People v Doud*, 280 AD2d 955, 96 NY2d 799; *People v Canada*, 28 AD3d 1230; *People v Dawson*, 249 AD2d 977, 93 NY2d 872; *People v Gissendanner*, 48 NY2d 543; *People v Bassett*, 55 AD3d 1434.)

OPINION OF THE COURT

SMITH, J.

Defendants, Corey Becoats and Jason Wright, appeal their convictions for manslaughter and robbery. We reject most of their arguments, but conclude that Wright is entitled to a new trial because of an error in excluding evidence he tried to present in his defense.

I

The People sought to prove that defendants, acting with a third man, Sherrod Carter (who had not been apprehended at the time of the trial), beat Hayden Spears to death, and forcibly stole property from him. Two witnesses described an incident in which the three attackers first argued with Spears in the street, and then began to hit him with their fists, a stick or hammer, and a gun that Wright removed from the victim’s pants. Spears fled down the street, bleeding and staggering, but the three caught up with him and resumed the beating, Becoats now

using a broken bottle. The fracas moved into a nearby field, where the witnesses lost sight of it. Later, the attackers came back out of the field; Wright was carrying a pair of sneakers. Spears was found near death in the field. He died of blunt force trauma.

The two witnesses who claimed to have seen the attack were Lorraine Small and Nicholas Carter, Sherrod Carter's brother. Both had significant criminal records. There was forensic evidence consistent with the witnesses' accounts of the event, but there was no evidence of the attackers' identity except the eye-witness testimony.

A jury convicted both defendants of second degree (depraved indifference) murder and first degree robbery. The Appellate Division modified by reducing the murder convictions to manslaughter in the second degree, and otherwise affirmed (*People v Wright*, 63 AD3d 1700 [4th Dept 2009]; *People v Becoats*, 71 AD3d 1578 [4th Dept 2010]). A Judge of this Court granted defendants leave to appeal (15 NY3d 811 [2010]; 15 NY3d 802 [2010]). We now affirm as to Becoats, but reverse and order a new trial as to Wright.

II

[1] The indictment included a single count of robbery in the first degree, asserting that defendants "forcibly stole property, to wit, a gun and/or a pair of sneakers from Hayden Spears" and caused serious physical injury to Spears. Becoats and Wright claim that this count was duplicitous—i.e., that the robbery of the gun and the robbery of the sneakers were separate crimes that should have been charged in separate counts. They did not make this argument in the trial court, however, and we hold that we may not consider it.

The general rule, of course, is that this Court does not consider claims of error not preserved by appropriate objection in the court of first instance (CPL 470.05, 470.35; *People v Patterson*, 39 NY2d 288, 294-295 [1976] [citations omitted]). Defendants seek to bring this case within the narrow exception for so-called "mode of proceedings" errors, but the exception does not apply here.

We said in *Patterson*: "A defendant in a criminal case cannot waive, or even consent to, error that would affect the organization of the court or the mode of proceedings pr[e]scribed by law" (39 NY2d at 295). We added:

“the purpose of this narrow, historical exception is to ensure that criminal trials are conducted in accordance with the mode of procedure mandated by Constitution and statute. Where the procedure adopted by the court below is at a basic variance with the mandate of law, the entire trial is irreparably tainted” (*id.* at 295-296).

Not every procedural misstep in a criminal case is a mode of proceedings error. That term is reserved for the most fundamental flaws. Examples are the shifting of the burden of proof from prosecution to defense (*id.* at 296), and the delegation of the trial judge’s function to his or her law secretary (*People v Ahmed*, 66 NY2d 307, 312 [1985]). Mistakenly charging more than one crime in one count of an indictment is not a fundamental error in this sense. A defendant who wants the charges separated must seek that relief at trial.

To allow an unpreserved claim of duplicity to be raised on appeal would open the door to abuse. Defendants accused of multiple offenses may not much care how many counts they face, or may prefer to face one count (and thus one conviction) rather than several. Under the rule defendants here seek, it would be possible for them to make that choice at trial by letting a duplicitous indictment stand without objection, and make the opposite choice on appeal; they might thus obtain a new trial on the basis of an error they consciously decided not to challenge because they thought it insignificant, or welcomed it. To expand the definition of “mode of proceedings” error too freely would create many such anomalous results.

We therefore do not consider defendants’ argument that the indictment here was duplicitous. We express no opinion about the argument’s merit.

III

[2] Defendants complain of the trial court’s refusal to grant an adjournment, on the eve of trial, to allow the defense to obtain the testimony of a witness in federal custody. We hold that the court did not abuse its discretion.

The trial was scheduled to begin on September 12, 2005. On August 23, 20 days before trial, Becoats’s counsel received a letter from the prosecutor dated August 19. The letter said that the prosecution had recently learned of, and interviewed, a witness named Michael Bishop, a federal prisoner. Bishop, according to the letter, had told prosecutors on August 17 “that he was present for a portion of the beating of Hayden Spears. He

stated that he observed Sherrod Carter, Nick Carter and Jason Wright take place [*sic*] in the beating. He also stated that he did not see Corey Becoats when he was present at the scene.”

Becoats’s counsel was on trial in another case when the prosecutor’s letter arrived. He responded on August 29 by asking where Bishop was located, and who his lawyer was. The prosecutor replied on August 31, identifying Bishop’s lawyer and the federal prison in Ohio where Bishop was being held.

Becoats’s lawyer, according to his submissions below, “immediately contacted” Bishop’s lawyer and then “followed up” by making contact with the United States Marshal’s office. He was advised, he told the court, “that no guarantee could be made that the prisoner would be produced in a state court proceeding” and that in any event “the U.S. Marshal’s office had to be given at least 30 days notice” if there was to be a “remote possibility” that Bishop would be made available.

The exact date of the conversation between Becoats’s lawyer and the Marshal’s office is not in the record. The lawyer apparently did nothing as a result of the conversation until September 9—the last business day before the trial—and even then he did not seek an order or begin any other proceeding to obtain Bishop’s testimony, either at trial or by deposition. Instead, he filed papers with the trial court describing the sequence of events, asserting that the prosecution had “dragged its feet in providing the information to the defense,” and asking for “an adjournment in the proceeding so that [Bishop] can be secured at trial.” The adjournment was not granted.

We cannot say that the trial court abused its discretion in denying the adjournment. It is true that the witness’s testimony, as described by the prosecutor, seemed very significant, and it is also true that the People could have acted more speedily than they did. It is not clear why, having interviewed Bishop on August 17, the People waited two days and then sent a letter to defense counsel by regular mail. If defense counsel had acted with reasonable diligence after receiving that letter, and had nevertheless been unable to obtain Bishop’s testimony in time for trial, it might well have been an abuse of discretion for the court to deny an adjournment (*see People v Foy*, 32 NY2d 473 [1973]).

The trial court was justified in finding, however, that defense counsel did not act with reasonable diligence. Even assuming that the delay from August 23 to August 29 is excused by

counsel's involvement in another trial, there were almost two weeks between August 31 (when counsel got a response to his August 29 inquiry) and the trial date in which counsel could have sought, and perhaps obtained, an order requiring Bishop's testimony. Counsel chose not to do so, but instead to complain about the People's conduct and ask for an adjournment. It is unclear from the record whether counsel really wanted Bishop's testimony, or simply wanted delay, or was hoping to create an issue for appeal. It was for the trial court to assess whether, under all the circumstances, an adjournment in the hope of obtaining Bishop's testimony was justified, and we see no basis in the record to second-guess the trial court's conclusion.

The dissent acknowledges doubt about whether counsel "did all that he possibly could to obtain Bishop's appearance" (dissenting op at 658-659). Nevertheless, our dissenting colleagues would order a new trial for Becoats, apparently because the possibility that Becoats was deprived of critical, exculpatory testimony seems unacceptable. But that is no more than a possibility on this record. Bishop's account of the facts may have turned out to be much less helpful to Becoats than it seems from the prosecutor's letter; counsel may have had sound strategic reasons for doing no more than he did. On the other hand, if Becoats really has been prejudiced by his counsel's inaction, our holding today does not prevent him from demonstrating that on a motion brought under CPL article 440.

IV

[3] As we mentioned above, the indictment charged defendants with forcibly stealing from Spears a gun "and/or" a pair of sneakers. Defendants argue that the evidence is insufficient as to both items to support a conviction for robbery. They also argue that if the evidence was sufficient as to one item but not the other, a new trial is necessary. We reject both of these arguments.

As to the gun, the Appellate Division agreed with defendants that the evidence was insufficient. The record shows only that defendants took Spears's gun to beat him with and then abandoned it at the scene. This, the Appellate Division held, was insufficient to prove that defendants intended permanently to deprive Spears of possession and use of the gun (*see People v Jennings*, 69 NY2d 103, 118-121 [1986]). We assume that this aspect of the Appellate Division's decision is correct.

The Appellate Division nevertheless affirmed defendants' robbery convictions, concluding that the evidence was sufficient to

support a finding that they forcibly stole the sneakers. Defendants argue otherwise, saying that there is no proof the sneakers were taken from the victim, Spears. Defendants point out that no witness actually saw the sneakers removed from Spears's feet; the end of the encounter between Spears and his attackers took place in a field out of the witnesses' sight. No witness mentioned what kind of footwear Spears had on that day, and no one specifically said that he lacked shoes when he was found (though an investigator who observed his body at the hospital said there was "a lot of dirt and sand on his feet"). The sneakers that Wright brought out of the field, defendants say, could have come from anywhere.

We think the evidence was sufficient to support the verdict as to the sneakers. When three men beat a fourth man unconscious in a field, and emerge from the field as a group with one of them carrying a pair of sneakers, the inference that the sneakers came from the beating victim is a strong one. It is theoretically possible, of course, that Spears's attackers chanced upon an abandoned pair of sneakers in the field, but a jury could find, beyond a reasonable doubt, that that is not what happened. Defendants now argue, in the alternative, that the evidence fails to show that they used force "for the purpose of" taking Spears's sneakers (*see* Penal Law § 160.00), but that argument was not made below and is not preserved for our review (*see People v Hawkins*, 11 NY3d 484, 492 [2008]).

We also reject defendants' argument that a new trial is required because the robbery verdict might have been based on the taking of the gun. As the United States Supreme Court held in *Griffin v United States* (502 US 46, 56 [1991]), a general verdict need not be set aside merely "because one of the possible bases of conviction was . . . unsupported by sufficient evidence." It is different when a flawed *legal* theory is given to the jury as an alternative basis for decision; if jurors are given the option of convicting on legally inadequate grounds, "there is no reason to think that their own intelligence and expertise will save them from that error" (*id.* at 59). But where jurors are given a choice between a factually supported and factually unsupported theory, it is assumed that they have chosen the one with factual support, "since jurors *are* well equipped to analyze the evidence" (*id.*). We made clear in *People v Martinez* (83 NY2d 26, 36 [1993]) that we accept the distinction between legal and factual inadequacy made in the *Griffin* case.

V

We come finally to the issue that we conclude requires reversal of Wright's conviction.

[4] As we have mentioned, the only evidence linking defendants to the attack on Spears came from two witnesses who said they saw the attack, Lorraine Small and Nicholas Carter. In a deposition given to police about a week after the event, Small told them that she had overheard a conversation in which an attack on Spears was being planned. According to Small, Nicholas Carter took part in the conversation, and Wright was not present. The jury never learned of this conversation; Wright tried to put it in evidence, but the trial court would not let him do so. In this, we conclude, the trial court erred.

According to Small's deposition, she was on her front porch on the day before the crime when she heard a group talking in front of a neighboring house. She said that the group included five people, whom she named: Sherrod Carter, Nicholas Carter and Becoats were among them, but Wright was not. They were talking, according to Small, about "what to do with" Spears. Some said they should beat him. Sherrod Carter said "no I ain't gonna beat him, I'm gonna kill him," adding "I'm gonna murder that motherfucker." At that point, according to Small, "Nick told him to stop talking so loud."

Wright sought at trial to question Small about this conversation, which was helpful to him in two ways—showing both his absence from the planning session and the participation in it by one of the People's key witnesses. The trial court ruled that the statements Small overheard should be excluded on hearsay grounds.

This ruling was mistaken. Wright argues, perhaps correctly, that Sherrod Carter's statement that he was going to kill Spears was within the "statement of present intention" exception to the hearsay rule (*Mutual Life Ins. Co. v Hillmon*, 145 US 285, 294-296 [1892]; *People v James*, 93 NY2d 620, 627-636 [1999]). But Wright did not even need to rely on a hearsay exception, because he was not offering Sherrod's statement, or any other out-of-court declaration, for its truth; Wright had no interest in proving that Sherrod actually intended to kill Spears. Wright wanted only to prove that he was not part of this meeting, and that Nicholas Carter was. His proffer raised no hearsay problem.

The People do not defend the exclusion of the statement on hearsay grounds, but argue that the trial court had discretion to

exclude it because its relevance to Wright's defense was outweighed by its possible prejudice to Becoats. We disagree.

The evidence could have been very valuable to Wright. In a case wholly dependent on the testimony of two eyewitnesses—both of whom had criminal records that might have made the jury doubt their word—proof that one of the two had actually participated in planning the crime might have been decisive. It could have supplied the basis for an argument that Nicholas Carter was one of the criminals, and was falsely accusing Wright to conceal his own involvement. Admittedly, Small's accusation of Wright would remain—but the jury might not have convicted Wright on her word alone.

As for the prejudice to Becoats, there may have been none. As we have said, the testimony may well have been admissible against Becoats under *Hillmon* and *James*. But even if it was not, that does not provide a good enough reason for depriving Becoats's codefendant of important exculpatory evidence. Other means might have been found—perhaps by carefully limiting the scope of the questions and answers—to protect Wright without being unfair to Becoats.

Defendants' remaining arguments lack merit.

Accordingly, in *People v Becoats*, the order of the Appellate Division should be affirmed. In *People v Wright*, the order of the Appellate Division should be reversed, and the case remitted to Supreme Court for a new trial.

Chief Judge LIPPMAN (dissenting in *Becoats*): While I am in agreement with the majority's resolution of the other issues in the case, I do not agree that the denial of defendant Becoats' motion for an adjournment was under the circumstances within the permissible range of the trial court's discretion. Indeed, it appears at the very least highly incongruous to conclude as the majority has, on the one hand, that defendant Wright's convictions must be reversed upon the ground that erroneously excluded, potentially "decisive" evidence, showed that one of the two prosecution witnesses, Nicholas Carter, "had actually participated in planning the crime," (majority op at 656) and, on the other, that the trial court's decision denying defendant Becoats one adjournment to present a witness who would testify that he had actually seen Nicholas Carter, and not Becoats, take part in the crimes, was not also sufficient cause for a new trial.

Both prosecution witnesses had extensive criminal records. Nicholas Carter, in fact, testified in exchange for a very generous

plea offer allowing him to satisfy pending class A-II and B drug felony charges with a probationary sentence. At trial, he recounted that on the evening in question he had been running a bath when his niece informed him that there was a fight going on across the street. He claimed to have watched the fight as it progressed up Joseph Place, and to have seen defendants pull the victim, Spears, into an abutting field, where they were joined by Nicholas Carter's brother, Sherrod Carter. At this point, Nicholas went inside to take his bath. He testified that, when his bath was over, he observed Sherrod, Becoats and Wright coming out of the field. Wright, he said, was holding a pair of boots.

On August 23, 2005, 20 days before the trial was scheduled to begin, defendant Becoats' attorney received a letter from the Monroe County Assistant District Attorney assigned to the case. The Assistant opened his communication by indicating that he was writing, "pursuant to [the prosecutor's] ongoing **Brady** obligation." The letter then advised that the District Attorney's office had learned on August 15, 2005 that a federal inmate named Michael Bishop had information about the Spears case. An interview had been conducted by the District Attorney on August 17, 2005 during which Bishop stated that he had been present during part of the Spears beating and that although he observed Sherrod Carter, *Nick Carter* and Jason Wright beating Spears, he did not see Corey Becoats at the scene.

On August 29, 2005, Becoats' attorney made a letter inquiry of the Assistant District Attorney as to the place of Bishop's incarceration and the identity of his lawyer. The sought information was provided two days later. After speaking with Bishop's attorney, Becoats' counsel asked the United States Marshal's office about the feasibility of transporting Bishop from the federal correctional facility in Youngstown, Ohio where he was incarcerated to Becoats' upcoming Monroe County trial. The Marshal's office was noncommittal, indicating that a state court "body order" would be processed in due course and that minimally 30 days notice was required for production of a federal prisoner at a state proceeding.

On September 9, 2005, Becoats' attorney requested an adjournment of the trial so that Bishop could be produced to testify. On September 12, 2005, before any ruling upon defendant's adjournment request had been made, the People disclosed for the first time that they intended to call Nicholas Carter as a witness. Inasmuch, however, as Nicholas Carter had been

implicated in the Spears beating by Bishop, and Bishop's anticipated testimony would not merely be exculpatory as to Becoats but would demonstrate that one of the two prosecution witnesses had a motive falsely to implicate others, counsel for Becoats, now joined by counsel for Wright, renewed his request for an adjournment to permit Bishop's production in court. The trial court nonetheless denied the adjournment, because it was of the view that counsel could have sought a judicial subpoena earlier.

Although our inquiry in judging the propriety of the adjournment denial is limited to determining whether the denial constituted an abuse of discretion—a very tolerant standard that purposefully insulates most judicial decisions respecting the management of a trial from retrospective appellate scrutiny—the range of permissible judicial discretion is generally understood to contract significantly in situations where the adjournment is necessary to the exercise of a fundamental right (*see People v Foy*, 32 NY2d 473, 476-477 [1973]; *People v Spears*, 64 NY2d 698, 699-700 [1984]). Fully implicated by defendant Becoats' adjournment request was his fundamental right to present witnesses in his defense (*see Chambers v Mississippi*, 410 US 284, 302 [1973]) and his closely allied right to compulsory process to secure the attendance of such witnesses. Also implicated was his right to confront a key witness against him—Nicholas Carter. I do not believe that, given the basic protections that were at stake, all of which were essential to the fairness and probity of the impending trial, the court, under the circumstances, had discretion to deny Becoats' adjournment request.

No one disputes that if Bishop had testified in accordance with the account of the crime he gave the Assistant District Attorney on August 17, 2005 he would have provided evidence to the effect that, although he had been present during part of the victim's beating he did not see Becoats and, moreover, that one of the two prosecution witnesses to the relevant events was himself a participant in the beating he claimed to have witnessed from afar. The obvious materiality of this evidence to Becoats' defense is impossible to overstate. Becoats' counsel did not learn about Bishop's version of the incident until relatively shortly before trial and did not know that Nicholas Carter would testify for the prosecution until, literally, the day of the trial's scheduled commencement. It is possible to quibble about whether he did all that he possibly could to obtain Bishop's

appearance for the scheduled trial, but it is clear that a day here or there would not have made a difference and that an adjournment would, in any event, have been necessary to secure Bishop's production from the federal facility in Ohio where he was incarcerated. Undoubtedly, rescheduling the trial would have been inconvenient for the court, but it would not have been more than that—there was no contention a postponement would have precluded the presentation of any testimony or other evidence. Nor was there any reason to suppose that Bishop's attendance could not have been secured within a reasonable time. He was, after all, an identified witness in a federal prison, and there exist established procedures to obtain the attendance of federally incarcerated witnesses in state court proceedings (*see* CPL 650.30). While those procedures rely for effect upon the voluntary cooperation of federal authorities, there was no reason to suppose that such cooperation would not have been forthcoming.

This was not a situation in which the defendant sought “endlessly [to] pursue an elusive witness” (*Foy*, 32 NY2d at 478), but one in which the defendant requested a single adjournment to secure the attendance at trial of an identified exculpatory witness whose existence and location had been ascertained by the prosecution in the performance of its *Brady* obligations. “[M]ere inconvenience is not sufficient ground for denying an adjournment when to do so would abridge a basic right” (*id.* at 477; *see also Singleton v Lefkowitz*, 583 F2d 618, 623 [2d Cir 1978], *cert denied sub nom. Abrams v Singleton*, 440 US 929 [1979]).* Inasmuch as there was no more compelling ground identified for the denial at issue and that denial undoubtedly abridged basic rights, leaving substantial doubt as to the reliability of the verdict, defendant Becoats should, like his codefendant, be afforded a new trial.

Judges CIPARICK, GRAFFEO, READ and PIGOTT concur with Judge SMITH; Chief Judge LIPPMAN dissents in a separate opinion in which Judge JONES concurs.

In *People v Becoats*: Order affirmed.

* This was a federal habeas proceeding in which Singleton prevailed upon the claim, previously rejected by this Court (*People v Singleton*, 41 NY2d 402 [1977]), that the trial court had abused its discretion in denying him a continuance to secure the attendance of a material witness in his defense.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ,
PIGOTT and JONES concur.

In *People v Wright*: Order reversed, etc.

[958 NE2d 874, 934 NYS2d 746]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v EDWIN
SANTIAGO, Appellant.

Argued September 13, 2011; decided October 20, 2011

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 6, 2010. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Edward J. McLaughlin, J.; *see* 2 Misc 3d 652), which had convicted defendant, upon a jury verdict, of assault in the first degree.

People v Santiago, 75 AD3d 163, reversed.

HEADNOTES

Crimes — Identification of Defendant — Expert Testimony on Reliability of Eyewitness Identification

1. In an assault prosecution, Supreme Court abused its discretion in denying defendant's pretrial motion to admit expert testimony on the psychological factors affecting the reliability of eyewitness identification where the only evidence at the time of the ruling was the victim's identification of the assailant's partially concealed face. Where a case turns on the accuracy of eyewitness identifications and there is little or no corroborating evidence connecting the defendant to the crime, the trial court must decide whether proposed expert testimony on eyewitness identification is (1) relevant to the witness's identification of defendant, (2) based on principles that are generally accepted within the relevant scientific community, (3) proffered by a qualified expert and (4) on a topic beyond the ken of the average juror. Supreme Court erred in refusing to allow testimony on studies showing that eyewitness confidence is a poor predictor of identification accuracy and on studies regarding confidence malleability. The studies were relevant in this case where the victim's identification was the sole evidence at the pretrial motion and she expressed her recognition with subjective certainty. In addition, these principles are generally accepted within the relevant scientific community, and are beyond the ken of the average juror. For similar reasons, Supreme Court erred when it excluded expert testimony on the effects of postevent information on eyewitness memory.

Crimes — Identification of Defendant — Expert Testimony on Reliability of Eyewitness Identification

2. In an assault prosecution, Supreme Court abused its discretion in denying the Hispanic defendant's pretrial motion to admit proposed expert testimony on inaccuracy of eyewitness identifications of Hispanic people by non-Hispanic Caucasians where the only evidence at the time of the ruling was the victim's identification of defendant. Where a case turns on the accuracy of eyewitness identifications and there is little or no corroborating evidence connecting the defendant to the crime, the trial court must decide

whether proposed expert testimony on eyewitness identification is (1) relevant to the witness's identification of defendant, (2) based on principles that are generally accepted within the relevant scientific community, (3) proffered by a qualified expert and (4) on a topic beyond the ken of the average juror. Given that the People did not dispute that the victim was a non-Hispanic Caucasian, the proposed testimony appeared to be relevant and was beyond the ken of the average juror. Furthermore, Supreme Court should also have given more adequate consideration to whether the proposed expert testimony concerning exposure time, lineup fairness, the forgetting curve, and simultaneous versus sequential lineups was relevant and beyond the ken of the average juror, and if necessary held a hearing pursuant to *Frye v United States* (293 F 1013 [DC Cir 1923]) to determine whether those factors were generally accepted as reliable within the relevant scientific community. By contrast, testimony concerning weapon focus, the effects of lineup instructions, wording of questions, and unconscious transference would have been irrelevant and, thus, was properly excluded. The victim was not aware that her assailant had a weapon, and the record contained no evidence of improper lineup instructions, suggestive wording, or the presence of defendant's image in photographs the victim saw prior to identifying him in the photographic array she viewed.

Crimes — Identification of Defendant — Expert Testimony on Reliability of Eyewitness Identifications — Corroborating Evidence

3. In an assault prosecution in which the evidence was the eyewitness identification of defendant by the victim and two witnesses, Supreme Court abused its discretion when, after the defense had rested, the court denied defendant's renewed request to call an expert witness on eyewitness identification. Where a case turns on the accuracy of eyewitness identifications and there is little or no corroborating evidence connecting the defendant to the crime, the trial judge must proceed to a second-stage analysis to determine the admissibility of such expert testimony. Here, the testimony of the other two eyewitnesses did not produce sufficient corroborating evidence to connect defendant with the crime. Like the victim, one witness saw only part of the perpetrator's face and identified defendant as the perpetrator with only 80% confidence. It was also possible that his out-of-court identification, using photographs of a prior lineup, was tainted by his memory of the photograph of defendant he had seen in a newspaper. Moreover, the identification of defendant by the other witness may have been influenced by his memory of a police artist's sketch of the assailant, calling into question the independence of that evidence from the victim's own identification. Under all of the circumstances, the corroborating evidence was insufficient to obviate the second-stage analysis. In addition, Supreme Court should have given specific consideration to the proposed expert testimony concerning unconscious transference. That testimony would have been relevant, given that one witness saw a photograph of defendant and the other witness saw a sketch of the perpetrator based on the victim's description, and familiarity with those images may have influenced their eyewitness identifications.

Crimes — Harmless and Prejudicial Error — Refusal to Permit Expert Testimony on Reliability of Eyewitness Identifications

4. In an assault prosecution in which the evidence was the eyewitness identification of defendant by the victim and two witnesses, Supreme Court's errors in refusing to permit expert testimony on the reliability of eyewitness identifications were not harmless, since the proof of defendant's guilt was not overwhelming. Trial error is only harmless when there is overwhelming proof of the defendant's guilt and no significant probability that the jury would have acquitted the defendant were it not for the error.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 654, 659, 699–701; AM JUR 2d, Evidence §§ 571, 573; AM JUR 2d, Expert and Opinion Evidence §§ 335–337.
CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:175, 194:205; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:117, 207:169, 207:170.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.
NY JUR 2d, Criminal Law: Procedure §§ 668, 672, 2188, 2191, 2203, 2206, 3569, 3570, 3572, 3573, 3637, 3640.

ANNOTATION REFERENCE

Admissibility, at criminal prosecution, of expert testimony on reliability of eyewitness testimony. 46 ALR4th 1047.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: eyewitness /3 identification & expert /s confidence

POINTS OF COUNSEL

Legal Aid Society, Criminal Appeals Bureau, New York City (Jeffrey I. Dellheim and Steven Banks of counsel), for appellant. It was an abuse of discretion for the trial court to deny the defense request to call an identification expert, since there was no corroborating evidence connecting appellant to the crime, and there were grave weaknesses in the identification evidence. (*People v LeGrand*, 8 NY3d 449; *People v Abney*, 13 NY3d 251; *People v Young*, 7 NY3d 40; *Ferensic v Birkett*, 501 F3d 469; *United States v Brownlee*, 454 F3d 131; *United States v Smithers*, 212 F3d 306; *United States v Rodríguez-Berríos*, 573 F3d 55; *United States v Rodríguez-Felix*, 450 F3d 1117; *United States v Martin*, 391 F3d 949; *United States v Hall*, 165 F3d 1095.)

Cyrus R. Vance, Jr., *District Attorney*, New York City (Patrick J. Hynes and Alan Gadlin of counsel), for respondent. The trial court exercised sound discretion in ruling that expert testimony on psychological factors that may affect the accuracy of eyewitness identifications was not required in this case. (*People v LeGrand*, 8 NY3d 449; *People v Banks*, 16 Misc 3d 929; *People v Lee*, 96 NY2d 157; *People v Kello*, 96 NY2d 740; *People v Abney*, 13 NY3d 251; *People v Young*, 7 NY3d 40; *People v Zohri*, 82 AD3d 493, 16 NY3d 901; *United States v Williams*, 522 F3d 809; *People*

v Maldonado, 97 NY2d 522; *United States v Libby*, 461 F Supp 2d 3.)

OPINION OF THE COURT

PIGOTT, J.

In this case, turning on the accuracy of eyewitnesses' recognition of an assailant's partially concealed face, we consider whether two additional eyewitness identifications sufficiently corroborated the victim's identification of the defendant, so as to render expert testimony on eyewitness recognition memory unnecessary. We conclude that they did not, and that it was error to exclude much of the proposed testimony.

I.

In the early morning of January 10, 2003, a woman waiting for a train at a Manhattan subway station was attacked by a stranger. She had noticed the man when, after they made eye contact on the platform, he stepped behind a pillar before approaching her. When he was an arm's length away from her, the man asked whether she was "working." When she inquired what he meant, he asked if she was an escort. After she looked away and said "No," the man began assaulting her. She closed her eyes while raising her hands to protect herself. She could not tell whether her assailant had a weapon. After about 10 seconds, the attack stopped, and the assailant fled.

The victim was assisted by workers at the station, who, along with the police, searched fruitlessly for the assailant. An ambulance transported her to a hospital where she was treated. At the hospital, the victim gave detectives a description of her attacker, a Hispanic male, late 20s or early 30s, five feet, eight inches to five feet, nine inches tall, with a mustache and a goatee. To one detective, the victim described her assailant's "brown[/]yellow mustache."

The man was wearing a winter jacket, a hooded sweatshirt or "hoodie," jeans, and a "winter hat." The jacket, hoodie and hat together covered the assailant's head in such a way that his face was concealed "[f]rom the middle of his top lip, down, and from the top of his eyebrows up." The victim could not see her assailant's hair, except for his eyebrows and mustache. On the day after the attack, the victim was interviewed by a police artist who created a sketch of the perpetrator.

Police detectives visited the subway station in search of eyewitnesses. Edwin Rios, who had seen the assault, described

the assailant as a Hispanic male in his mid to late 20s, with a goatee, wearing a hood. The assailant had passed Rios after the attack, carrying a knife. Later, police located another witness, Pablo Alarcon, who had noticed the assailant beforehand because the man's facial expression made Alarcon nervous. After the attack, Alarcon saw the assailant put a knife away as he fled. Alarcon also described the perpetrator as a Hispanic male with a goatee. Police officers showed Rios a copy of the artist's sketch of the perpetrator; Rios thought it was "[m]ore or less" accurate.

On January 19, 2003, a plainclothes police officer patrolling a subway station in Brooklyn noticed a man in a winter jacket, jeans and winter cap selling Metrocard "swipes." Later, the officer saw the same man engaged in the same activity at the next stop. The officer arrested the man, defendant Edwin Santiago, and his photograph made its way to the detective squad investigating the January 10 attack.

An array comprising photographs of six men and including defendant's arrest photograph was shown to Alarcon on January 22. He claimed not to recognize defendant or any of the other men in the array. The victim viewed the photographic array on January 24. She testified that, when she saw the photograph of Santiago, it felt as if her "heart stopped and [she] got really scared and [] said that that was him."

Santiago, who had been released, was rearrested the following day, at a shelter for the homeless. A photograph taken after the second arrest shows Santiago with a dark mustache and goatee. He was 30 years old and five feet, five inches in height.

On January 26, the victim identified Santiago in a six-person lineup. According to the victim, when she saw defendant, she felt "really scared"—it was, once again, as if her "heart stopped" and she "knew it was him." On the same day, Alarcon viewed the lineup. As he later explained at defendant's suppression hearing and trial, he recognized defendant as the perpetrator of the attack with an "eighty percent" feeling of confidence in his identification, but, because he was concerned about his immigration status, he told the police that he did not recognize anyone. The following day, Alarcon saw a photograph of Santiago in handcuffs, accompanied by police officers, in a Spanish-language newspaper; the article made it clear that Santiago had been identified by the victim of the subway attack and arrested.

Santiago was indicted by a grand jury on a first-degree assault charge on February 6, 2003.

II.

No physical evidence linked defendant to the assault. As it appeared at the time of the indictment, the People's case would be built entirely on the victim's identification. Attempting to secure expert testimony from Professor Steven Penrod on the psychological factors affecting the accuracy of eyewitness identification, Santiago filed a motion in limine on June 26. The People countered by arguing, among other things, that much of the proposed expert testimony was within the common understanding of jurors, or inapplicable to the facts of the case.

Supreme Court granted defendant's motion to the extent of ordering a *Frye* hearing (*see Frye v United States*, 293 F 1013 [DC Cir 1923]), to determine whether the principles Professor Penrod proposed to describe in his testimony had gained general acceptance in their scientific fields. During subsequent motion practice, defendant gave provisional summaries of Penrod's expected testimony. He would testify concerning studies that support various principles proposed by psychologists in the field of eyewitness recognition—*exposure time* (the amount of time available for viewing a perpetrator affects the witness's ability to identify the perpetrator); *cross-racial and cross-ethnic inaccuracy* (non-Hispanic Caucasian eyewitnesses are generally less accurate in identifying Hispanic people than in identifying other non-Hispanic Caucasians); *weapon focus* (a victim's focus on the weapon used in an assault can affect ability to observe and remember the attacker); *lineup fairness* (similarity of fillers to the suspect increases identification accuracy); *lineup instructions* (police instructions indicating that the police believe the perpetrator to be in the lineup increase the likelihood of false identification); *forgetting curve* (the rate of memory loss for an event is greatest right after the event and then levels off over time); *postevent information* (eyewitness testimony about an event often reflects not only what the witness actually saw but also information the witness obtained later); *wording of questions* (eyewitness testimony about an event can be affected by how questions put to the witness during investigation are worded); *unconscious transference* (eyewitnesses sometimes identify as the culprit an individual familiar to them from other situations or contexts); *simultaneous versus sequential lineups* (witnesses are more likely to make mistakes when they view simultaneous lineups than when they view sequential lineups); *eyewitness confidence issues* (an eyewitness's confidence level is not a good predictor of eyewitness accuracy, but eyewitness

confidence is the major determinant in whether an identification is believed by jurors), and *confidence malleability* (eyewitnesses' confidence levels can be influenced by factors unrelated to identification accuracy).

After defendant's case was transferred to a different Supreme Court Justice, defendant renewed his motion to admit expert testimony. On December 19, 2003, Supreme Court denied defendant's motion, without holding a *Frye* hearing. While noting that there was "no corroboration of the victim's identification," Supreme Court nonetheless ruled that the case was not "an appropriate one for an expert identification witness" (2 Misc 3d 652, 653 [Sup Ct, NY County 2003]). Supreme Court found that the case did not involve a cross-racial identification as contemplated by the psychological literature, and that weapon focus was not relevant because the victim was not aware of any weapon. Supreme Court further reasoned that testimony about how lineup instructions can influence an identification would be inappropriate, because the victim here "must have realized that the person whose photograph she selected would be in the lineup" (*id.* at 654). The court rejected expert testimony on postevent information, the forgetting curve, the wording of questions, and eyewitness confidence issues (including confidence malleability), on the ground that "by helping to create the sketch and approving its final version, the victim went on the record, for better or worse, about the facial features of her attacker long before any of those topics potentially could influence her line-up identification" (*id.* at 654). The court found evidence about simultaneous versus sequential lineups inappropriate on the basis that "[j]urors are not experts on constitutional law and procedure, and cannot be educated about those topics during a trial" (*id.* at 655). In addition, Supreme Court noted that, in *Frye* hearings in other cases, postevent information and unconscious transference had been found to be not generally accepted within the relevant scientific community.¹ Supreme Court concluded by inviting the parties to "suggest ways to address, during jury selection and in the final instructions, the topic of a witness's confidence if one side feels that the court's charge on 'certainty' is not adequate to cover 'confidence' " (*id.* at 655). Defense counsel objected to the ruling.

1. We decided otherwise, with respect to postevent information, in *People v LeGrand* (8 NY3d 449, 458 [2007]).

III.

On December 21, 2003, Alarcon told an assistant district attorney that he had in fact recognized someone in the January 2003 lineup. Shown photographs of that lineup, he identified defendant as the person he had recognized from the attack. On January 20, 2004, Rios was shown a new lineup, in which he identified Santiago.

Following a suppression hearing, at which his motions were denied, Santiago was tried before a jury. The victim identified Santiago at the trial, insisting that there was no doubt in her mind that he was her assailant. Rios and Alarcon also identified defendant; the latter repeated that he was only “eighty percent sure” of his identification. The jury heard about the prior photographic and lineup identifications.

After the defense rested, Santiago renewed his objection to Supreme Court’s refusal to admit the expert testimony, moving to reopen his case. Supreme Court denied the motion.

Defense counsel’s summation stressed that certainty of identification was not equivalent to accuracy of identification. As promised, Supreme Court’s final charge told the jury to “[k]eep in mind that the witness’s confidence or lack of confidence in his or her testimony is not necessarily indicative of accuracy of identification.”

On February 5, 2004, the jury found Santiago guilty of assault in the first degree. Supreme Court convicted him accordingly, sentencing him to 25 years imprisonment, to be followed by five years postrelease supervision.

Santiago timely appealed, raising several issues he has since abandoned, as well as the argument we now consider—his claim that Supreme Court abused its discretion in denying his request for expert testimony on eyewitness identification. On May 6, 2010, a fractured Appellate Division affirmed Supreme Court’s judgment (75 AD3d 163 [2010]). Two Justices concluded that there was no abuse of discretion; another concurred, in an opinion expressing the view that any error was harmless. The two dissenting Justices would have held that Supreme Court abused its discretion, and one of the dissenting Justices granted defendant leave to appeal to this Court (2010 NY Slip Op 81574[U] [2010]). We now reverse.

IV.

A trial court may, in its discretion, admit, limit, or deny the testimony of an expert on the reliability of eyewitness identification,

weighing a request to introduce such expert testimony “against other relevant factors, such as the centrality of the identification issue and the existence of corroborating evidence” (*People v Lee*, 96 NY2d 157, 163 [2001]). Because mistaken eyewitness identifications play a significant role in many wrongful convictions, and expert testimony on the subject of eyewitness recognition memory can educate a jury concerning the circumstances in which an eyewitness is more likely to make such mistakes, “courts are encouraged . . . in appropriate cases” to grant defendants’ motions to admit expert testimony on this subject (*People v Drake*, 7 NY3d 28, 31 [2006], citing *People v Young*, 7 NY3d 40 [2006]).

In *People v LeGrand* (8 NY3d 449 [2007]), we set out standards governing the discretion of trial courts in regard to the admission of expert testimony on eyewitness identification. *LeGrand* established a two-stage inquiry for considering a motion to admit such testimony. The first stage is deciding whether the case “turns on the accuracy of eyewitness identifications and there is little or no corroborating evidence connecting the defendant to the crime” (*LeGrand*, 8 NY3d at 452). If the trial court finds itself with such a case, then it must proceed to the second stage, which involves the application of four factors. The court must decide whether the proposed “testimony is (1) relevant to the witness’s identification of defendant, (2) based on principles that are generally accepted within the relevant scientific community, (3) proffered by a qualified expert and (4) on a topic beyond the ken of the average juror” (*id.*). If, on the other hand, sufficient evidence corroborates an eyewitness’s identification of the defendant, then there is no obligation on the part of the trial court to proceed to the second stage of analysis, because testimony concerning eyewitness identifications is unnecessary (*see e.g. Young*, 7 NY3d at 45).

In *LeGrand*, one witness to a murder, who saw the perpetrator close up, identified the defendant as the killer in a photographic array and in a lineup, conducted seven years later. Two other witnesses, who identified the defendant at trial after they had failed to identify him in a photographic array, had seen his photograph in the array again in the district attorney’s office the night before they testified. No physical evidence connected defendant to the killing. Defendant sought to introduce expert testimony on research concerning factors that may influence the perception and memory of eyewitnesses and the reliability of their identifications. The trial court, after a *Frye* hearing,

precluded the testimony on the ground that the expert's conclusions were not generally accepted in the relevant scientific community.

We held that, with respect to much of the requested expert testimony on eyewitness identifications, the hearing court abused its discretion in failing to admit the testimony. In particular, we ruled that there was sufficient evidence to confirm that the principles underlying the expert's proposed testimony regarding the lack of correlation between confidence and accuracy of identification, confidence malleability, and the effect of postevent information on identification accuracy were generally accepted by social scientists and psychologists working in the field, and that testimony concerning these issues should not have been precluded (*LeGrand*, 8 NY3d at 458). By contrast, we ruled that there was insufficient evidence to confirm that the principles underlying the expert's testimony on weapon focus were generally accepted by the relevant scientific community, so that this testimony was properly excluded (*id.*).

We returned to the theme of expert testimony on eyewitness identification in *People v Abney* and *People v Allen* (13 NY3d 251 [2009]). In *Abney*, a teenage girl was robbed of a necklace, on a subway station stairway, by a stranger wielding a large knife. The only evidence against defendant was the eyewitness identifications (in a photographic array and in a lineup) of the girl. Defendant requested permission to elicit expert testimony about the effects of event stress, exposure time, event violence and weapon focus, cross-racial identification, lineup instructions, and double-blind lineups. In *Allen*, two masked men robbed a barbershop; one carried a knife. Two witnesses recognized the robber with the knife as an individual whom they knew from the neighborhood, and then identified defendant as that person in a photographic array. Defendant sought to elicit testimony from an expert concerning the effects of event stress, weapon focus, lack of correlation between confidence and accuracy, and unconscious transference. In both cases, expert testimony on eyewitness identifications was excluded.

In *Abney*, where "it was clear that there was no evidence other than [the victim's] identification to connect defendant to the crime, and she did not describe him as possessing any unusual or distinctive features or physical characteristics" (13 NY3d at 268), we held that the trial court abused its discretion in failing to allow expert testimony on the subject of witness confidence and in refusing to hold a *Frye* hearing with regard to

the expert's proposed testimony on the effect of event stress, exposure time, event violence and weapon focus, and cross-racial identification.²

In *Allen*, on the other hand, the case against defendant did not depend exclusively on one eyewitness's identification, and we ruled that the trial court acted within its discretion.

"*Allen* is not a 'case [that] turns on the accuracy of eyewitness identifications [where] there is little or no corroborating evidence connecting the defendant to the crime' (*LeGrand*, 8 NY3d at 452). Critically, [a second eyewitness] independently identified defendant as the knife-wielding robber who searched him and stood nearby throughout the course of the robbery. And defendant was not a stranger to either [eyewitness]." (13 NY3d at 269.)

Whether a victim's or other eyewitness's identification of a defendant is sufficiently corroborated by other eyewitness identifications, so that the trial court need not proceed to the second stage of the *LeGrand* analysis, is dependent on the circumstances of the case. In *LeGrand*, no physical evidence linked the defendant to the crime, and the two doubtful eyewitness identifications did not sufficiently corroborate the identification of the eyewitness who saw the perpetrator close up. However, even when the evidence that a defendant was the perpetrator of a crime consists entirely of eyewitness identifications, the case is not necessarily one in which "there is little or no corroborating evidence" (8 NY3d at 452). Thus, in *Allen*, we held that the second eyewitness's identification of the defendant constituted evidence corroborating an eyewitness identification (13 NY3d at 269). We reached that conclusion because the corroborating identification possessed strong indicia of accuracy. In particular, the defendant in *Allen* was known to the second eyewitness, who recognized him during the robbery (*id.*).

V.

In the present case, when Supreme Court denied Santiago's in limine motion in December 2003, the evidence disclosed by the People consisted of the victim's identifications of him in a photographic array and a lineup. At that time, as Supreme Court

2. However, we ruled that expert testimony on lineup instructions and double-blind lineups would have been irrelevant to the victim's identification of defendant.

noted, the case turned on the accuracy of a single eyewitness identification and there was *no* corroborating evidence connecting the defendant to the crime. The issue therefore becomes whether the four factors enumerated in the second stage of the *LeGrand* analysis apply to the proposed testimony.

[1] Supreme Court abused its discretion when it refused to allow testimony on studies showing that eyewitness confidence is a poor predictor of identification accuracy and on studies regarding confidence malleability. Undoubtedly, such testimony is relevant to this case in which the primary evidence against defendant—the only evidence at the time of Supreme Court’s first ruling—was the victim’s identification, and she expressed her recognition with subjective certainty. Moreover, the principles concerning confidence about which the expert was to testify are generally accepted within the relevant scientific community, and are beyond the ken of the average juror (*Abney*, 13 NY3d at 268; *LeGrand*, 8 NY3d at 458). For similar reasons, Supreme Court abused its discretion when it excluded expert testimony on the effects of postevent information on eyewitness memory (*see LeGrand*, 8 NY3d at 458).³

[2] Given that the People did not dispute that the victim is a non-Hispanic Caucasian, the proposed testimony on inaccuracy of identifications of Hispanic people by non-Hispanic Caucasians appears relevant, and is beyond the ken of the average juror. Supreme Court should also have given more adequate consideration to whether the proposed testimony concerning exposure time, lineup fairness, the forgetting curve, and simultaneous versus sequential lineups was relevant to this case and beyond the ken of the average juror, and if necessary held a *Frye* hearing, to determine whether these factors are generally accepted as reliable within the relevant scientific community.⁴

By contrast, testimony concerning weapon focus, the effects of lineup instructions, wording of questions, and unconscious transference would have been irrelevant. The victim was not aware that her assailant had a weapon, and the record contains no evidence of improper lineup instructions, suggestive wording, or the presence of defendant’s image in photographs the

3. While we had not yet decided *LeGrand* at the time Supreme Court reached its decision, the trial court should have held a *Frye* hearing to investigate the scientific acceptability of the principles related to eyewitness confidence and postevent information.

4. We note that the fact that the victim assisted in the creation of an artist’s sketch of her attacker does not render the expert testimony irrelevant.

victim saw prior to identifying him in the photographic array she viewed. In these respects, exclusion was proper.

VI.

A separate question is whether Supreme Court abused its discretion when, after the defense had rested, the court denied defendant's renewed request to call an expert witness on eyewitness identification. By this time, the People had introduced evidence of Alarcon's and Rios's identifications of defendant, in addition to the victim's.

[3] The People argue that, because of this additional evidence, this is not a case in which "there is little or no corroborating evidence connecting the defendant to the crime" (*LeGrand*, 8 NY3d at 452), and consequently it could not have been an abuse of discretion to exclude the requested expert testimony. We disagree.

Here, as in *LeGrand*, several factors call the corroborating identifications into question. Like the victim, Alarcon saw only part of the perpetrator's face. Alarcon identified defendant as the perpetrator with only 80% confidence. It is also possible that Alarcon's December 2003 identification, using the photographs of the January 2003 lineup, was tainted by his memory of the photograph of defendant he had seen in the Spanish-language newspaper. Moreover, Rios's identification of defendant may have been influenced by his memory of the police artist's sketch of the assailant, calling into question the independence of this evidence from the victim's own identification. Taking into account all these circumstances, we do not consider the corroborating evidence sufficient to obviate the second stage of the *LeGrand* analysis.

Supreme Court, therefore, having erred in certain respects in denying defendant's pretrial motion to admit expert testimony regarding eyewitness testimony, erred in the same respects in denying defendant's end-of-trial motion to reopen the case and admit the expert testimony. Moreover, in its second ruling, Supreme Court should have given specific consideration to the proposed testimony concerning unconscious transference. That testimony would have been relevant, given that Alarcon saw a photograph of Santiago, and Rios saw a sketch of the perpetrator based on the victim's description, and familiarity with these images may have influenced these eyewitnesses' identifications.

[4] Finally, Supreme Court's errors were not harmless. Trial error is only harmless when there is overwhelming proof of the

defendant's guilt and no significant probability that the jury would have acquitted the defendant were it not for the error (*People v Crimmins*, 36 NY2d 230, 242 [1975]). Here, the proof of defendant's guilt was not overwhelming; therefore, the errors cannot be regarded as harmless. We need not decide the probability that the verdict would have been different if the expert testimony had not been excluded.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order reversed, etc.

[958 NE2d 884, 934 NYS2d 756]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CARLOS VENTURA, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DAMIAN GARDNER, Appellant.

Argued September 8, 2011; decided October 25, 2011

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 10, 2009. The Appellate Division granted a motion by the prosecution to dismiss an appeal from a judgment of the Supreme Court, Queens County (John Latella, J.), which had convicted defendant, upon a jury verdict, of criminal possession of stolen property in the third degree, unauthorized use of a vehicle in the third degree, and unlawfully operating a motor vehicle on a public highway.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 26, 2010. The Appellate Division granted a motion by the prosecution to dismiss an appeal from a judgment of the Supreme Court, Queens County (Stephen Knopf, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a controlled substance in the seventh degree.

People v Ventura, 2009 NY Slip Op 82726(U), reversed.

People v Gardner, 2010 NY Slip Op 66809(U), reversed.

HEADNOTE

Crimes — Appeal — Dismissal of Appeal — Involuntarily Deported Defendant — Abuse of Discretion by Appellate Division

The Appellate Division abused its discretion in dismissing, pursuant to CPL 470.60 (1), defendants' direct appeals from their judgments of conviction prior to their hearing and disposition where defendants filed timely notices of appeal but were involuntarily deported while their appeals were pending. Defendants had an absolute right to seek appellate review of their convictions (CPL 450.10), and while courts have been inclined to dismiss appeals of physically absent defendants who have voluntarily absconded, defendants' involuntary removal from the country lacked the scornful or contemptuous traits that compel courts to dismiss appeals filed by those who elude criminal proceedings. The importance of the fundamental right to appeal makes access to

intermediate appellate courts imperative. Intermediate appellate courts possess expansive power, given their fact-finding function as well as the ability to reach unpreserved issues pursuant to their “interest of justice” authority, and they play a uniquely critical role in the fair administration of justice, especially when a defendant’s path of appeal is often foreclosed after a final determination by the intermediate appellate court. While intermediate appellate courts have broad authority to dismiss pending appeals under CPL 470.60 (1), that discretionary power cannot be accorded such an expansive view as to curtail defendants’ basic entitlement to appellate consideration. Moreover, the perceived inability to obey the mandate of the court was not implicated, as disposition of the discrete appellate issues in question would result in either an affirmance or outright dismissal of defendants’ convictions, neither of which would require their continued legal participation.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Aliens and Citizens §§ 1530, 1536; AM JUR 2d, Appellate Review §§ 596, 604, 605.

CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:122, 207:123, 207:127, 207:170.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 27.5.

NY JUR 2d, Criminal Law: Procedure §§ 3575, 3577, 3578, 3584, 3637.

ANNOTATION REFERENCE

See ALR Index under Aliens; Appeal and Error; Deportation.

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Query: dismiss! /5 appeal /s deport! & interest /3 justice

POINTS OF COUNSEL

Appellate Advocates, New York City (*Erin R. Collins* and *Lynn W.L. Fahey* of counsel), for appellant in the first above-entitled action. Appellant was entitled to have the Appellate Division consider his appeal, which raised only a dismissal issue, despite his involuntary deportation. (*People v Pride*, 3 NY2d 545; *Griffin v Illinois*, 351 US 12; *Evitts v Lucey*, 469 US 387; *People v Crimmins*, 36 NY2d 230; *People v Rivera*, 39 NY2d 519; *People v Montgomery*, 24 NY2d 130; *People v Harrison*, 85 NY2d 794; *People v Borum*, 8 NY2d 177; *People v Bleakley*, 69 NY2d 490; *In re Winship*, 397 US 358.)

Richard A. Brown, District Attorney, Kew Gardens (*Karen Wigle Weiss* and *John M. Castellano* of counsel), for respondent

in the first above-entitled action. The Appellate Division properly exercised its discretion by dismissing defendant's appeal because he was not available to obey the mandate of the court. (*People v Diaz*, 7 NY3d 831; *People v Genet*, 59 NY 80; *People v Parmaklidis*, 38 NY2d 1005; *People v Del Rio*, 14 NY2d 165, 379 US 939; *People v Watson*, 99 NY2d 570; *People v Johnson*, 99 NY2d 570; *People v Mongen*, 76 NY2d 1015; *People v Headley*, 72 NY2d 931; *People v Jiminez*, 71 NY2d 963; *People v Sullivan*, 28 NY2d 900.)

Appellate Advocates, New York City (*Erica Horwitz* and *Lynn W.L. Fahey* of counsel), for appellant in the second above-entitled action. Appellant, a first offender with an American wife and young child, who was convicted of misdemeanor drug possession based on the same evidence for which he was acquitted of felony charges, was entitled to have the Appellate Division consider his appeal, which raised only a dismissal issue, despite his involuntary deportation. (*People v Pride*, 3 NY2d 545; *Griffin v Illinois*, 351 US 12; *Evitts v Lucey*, 469 US 387; *People v Bleakley*, 69 NY2d 490; *People v Callahan*, 80 NY2d 273; *People v Pollenz*, 67 NY2d 264; *In re Winship*, 397 US 358; *Speiser v Randall*, 357 US 513; *Davis v United States*, 160 US 469; *People v Antommarchi*, 80 NY2d 247.)

Richard A. Brown, District Attorney, Kew Gardens (*Karen Wigle Weiss* and *John M. Castellano* of counsel), for respondent in the second above-entitled action. The Appellate Division properly exercised its discretion to dismiss defendant's appeal. (*People v Diaz*, 7 NY3d 831; *People v Genet*, 59 NY 80; *People v Parmaklidis*, 38 NY2d 1005; *People v Del Rio*, 14 NY2d 165, 379 US 939; *People v Watson*, 99 NY2d 570; *People v Johnson*, 99 NY2d 570; *People v Mongen*, 76 NY2d 1015; *People v Headley*, 72 NY2d 931; *People v Jiminez*, 71 NY2d 963; *People v Sullivan*, 28 NY2d 900.)

Immigrant Defense Project, New York City (*S. Isaac Wheeler* of counsel), for Immigrant Defense Project and another, amici curiae in the first and second above-entitled actions. I. The routine dismissal of appeals in reliance on *People v Diaz* (7 NY3d 831 [2006]) critically undervalues the importance of intermediate appellate review for noncitizen defendants. (*Evitts v Lucey*, 469 US 387; *Griffin v Illinois*, 351 US 12; *Mojica v Reno*, 970 F Supp 130; *United States v Pantin*, 155 F3d 91; *Pino v Landon*, 349 US 901; *Marino v Immigration & Naturalization Serv.*, 537 F2d 686; *Planes v Holder*, 652 F3d 991; *Garcia-Maldonado v*

Gonzales, 491 F3d 284; *United States v Saenz-Gomez*, 472 F3d 791; *Walcott v Chertoff*, 517 F3d 149.) II. Denial of intermediate appellate review to defendants seeking a new trial erroneously presumes that a deported defendant would not be able to reenter the country for a new trial. (*People v Diaz*, 7 NY3d 831; *People v Rosario*, 26 AD3d 212; *People v Zapata*, 31 AD3d 1047; *Pickering v Gonzales*, 465 F3d 263; *Saleh v Gonzales*, 495 F3d 17; *Renteria-Gonzalez v Immigration & Naturalization Serv.*, 322 F3d 804; *Discipio v Ashcroft*, 417 F3d 448; *Cardoso-Tlaseca v Gonzales*, 460 F3d 1102; *Luna v Holder*, 637 F3d 85; *Pruidze v Holder*, 632 F3d 234.) III. The complexities of immigration law and the paucity of records of immigration court proceedings counsel against a rule requiring the intermediate courts to determine whether a conviction was a but-for cause of appellant's removal. (*Drax v Reno*, 338 F3d 98; *Martinez v Mukasey*, 551 F3d 113; *Garcia v Holder*, 638 F3d 511; *Brown v Ashcroft*, 360 F3d 346; *United States v Hamdi*, 432 F3d 115.)

OPINION OF THE COURT

JONES, J.

In these criminal proceedings, the Appellate Division, pursuant to CPL 470.60 (1), dismissed defendants' direct appeals from their judgments of conviction prior to their hearing and disposition. Both defendants filed timely notices of appeal, but were involuntarily deported by the Department of Homeland Security's Immigration and Customs Enforcement (ICE) while their appeals were pending. The common issue presented is whether the Appellate Division abused its discretion in dismissing these appeals. We hold it did.

Following a jury trial, defendant Carlos Ventura was convicted of criminal possession of stolen property in the third degree, unauthorized use of a vehicle in the third degree, and unlawful operation of a motor vehicle on a public highway. Ventura filed a timely notice of appeal and submitted an appellate brief asserting that the evidence was legally insufficient to establish that he knowingly operated a stolen motor vehicle, and that his conviction was against the weight of the evidence.

On July 23, 2008, Ventura, a citizen of the Dominican Republic and a legal permanent resident of the United States, was paroled to the custody of ICE. He was subsequently deported on September 12, 2008, prior to the resolution of his appeal which was scheduled for oral argument on January 8, 2009. After defense counsel apprised the prosecution and the Appellate

Division of the deportation, the People moved to dismiss the appeal on grounds that Ventura was “unavailable to obey [the court’s] mandate.” The Appellate Division granted the motion to dismiss. A Judge of this Court granted defendant leave to appeal.

Defendant Damian Gardner was convicted of criminal possession of a controlled substance in the seventh degree. He filed a timely notice of appeal and appellate brief, contending that the evidence was legally insufficient to prove guilt beyond a reasonable doubt. Gardner, a first-time offender, completed a 60-day term of incarceration and was transferred to the custody of ICE. On February 26, 2009, prior to the determination of his appeal, Gardner was deported to Jamaica. The People’s motion to dismiss Gardner’s pending appeal, on the ground that he was no longer subject to the mandate of the court, was granted. A Judge of this Court granted defendant leave to appeal.

Defendants contend that the dismissal of their appeals was fundamentally unfair because their deportations were not purposeful absences that would disentitle them to appellate review. The prosecution responds that the Appellate Division did not err as it adhered to precedent and well settled principles compelling the dismissal of appeals pursued by physically absent defendants. We find the People’s position unavailing as these appeals present circumstances materially distinguishable from our precedent. As such, we reverse in both cases.

Pursuant to CPL 450.10, which codifies a criminal defendant’s common-law right to appeal to an intermediate appellate court, Ventura and Gardner had an absolute right to seek appellate review of their convictions (*see People v Montgomery*, 24 NY2d 130, 132 [1969] [“every defendant has a fundamental right to appeal his conviction”]). By dismissing the appeals because of the ostensible inability of defendants to obey the mandate of the court, the Appellate Division abused its discretion. Generally, courts have been inclined to dismiss appeals pursued by physically absent defendants because they voluntarily absconded, forfeiting their right to appeal. This Court has previously reasoned that “it [is] essential to any step, on behalf of a person charged with [a] felony after indictment found, that he should be in custody; either actual . . . or constructive” as “[t]he whole theory of criminal proceedings is based upon the idea of the defendant being in the power, and under the control of the court, in his person” (*People v Genet*, 59 NY 80, 81 [1874]). Accordingly, dismissals have been predicated primarily

on a policy-based rationale that courts should not aid in the deliberate evasion of justice through continued consideration of appeals (*Degen v United States*, 517 US 820, 824 [1996]; *Ortega-Rodriguez v United States*, 507 US 234, 242 [1993]; *People v Sullivan*, 28 NY2d 900 [1971]; *People v Hernandez*, 266 AD2d 116 [1st Dept 1999]; *People v Johnson*, 191 AD2d 279 [1st Dept 1993]).*

Here, this policy concern is not present. Ventura and Gardner were involuntarily removed from the country and their extrication lacked the scornful or contemptuous traits that compel courts to dismiss appeals filed by those who elude criminal proceedings. Rather, they, and other similarly situated defendants, have a greater need to avail themselves of the appellate process in light of the tremendous ramifications of deportation.

More significantly, the complete lack of intermediate appellate review materially distinguishes the instant appeals from prior cases. The People allude to this Court's precedent in *People v Del Rio* (14 NY2d 165 [1964]), *People v Parmaklidis* (38 NY2d 1005 [1976]) and *People v Diaz* (7 NY3d 831 [2006]) as plainly dispositive of the instant appeals. However, in those cases, the dismissed appeals were pending before this Court and the defendants had already received considered intermediate appellate review, in satisfaction of their statutory right. While it was within this Court's discretion, as a court of permissive appellate jurisdiction, to dismiss those appeals, the Appellate Divisions do not enjoy such unencumbered latitude. The invariable importance of the fundamental right to an appeal, as well as the distinct role assumed by the Appellate Divisions within New York's hierarchy of appellate review (*see* NY Const, art VI, § 5;

* "Neither of these appeals implicate the so-called fugitive disentitlement doctrine, which allows appellate courts to dismiss appeals of fugitive defendants who are at large while their appeals are pending, the rationale being that the defendant's escape entitles the defendant to call upon the resources of the Court for determination of his claims. Considerations underlying the doctrine include, among other things, that the courts should not expend resources hearing an appeal when any judgment they would issue could not be enforced, nor should courts be required to adjudicate the merits of a criminal case after the convicted defendant who has sought review escapes from the restraints placed upon him pursuant to the conviction" (*People v Taveras*, 10 NY3d 227, 232 [2008] [citations and internal quotation marks omitted]).

see e.g. CPLR 5501 [c]), makes access to intermediate appellate courts imperative.

As we have previously recognized:

“Unlike this court which, with few exceptions, passes on only questions of law, intermediate appellate courts are empowered to review questions of law and questions of fact. They do so in both civil cases and criminal cases. Indeed, this unique factual review power is the linchpin of our constitutional and statutory design intended to afford each litigant at least one appellate review of the facts” (*People v Bleakley*, 69 NY2d 490, 493-494 [1987] [citations omitted]).

While the avenues of appeal to this Court are limited and its purview strictly prescribed, the intermediate appellate courts possess expansive power given their fact-finding function as well as their ability to reach unpreserved issues pursuant to their “interest of justice” authority (see CPL 470.15 [6]). As such, these broad review abilities empower the Appellate Divisions to play a uniquely critical role in the fair administration of justice, especially when a defendant’s path of appeal is often foreclosed after a final determination by the intermediate appellate court (see Karger, Powers of the New York Court of Appeals § 1:1 [3d ed rev 2005]).

The People direct us to an apparent point of tension stemming from the discretionary authority of the Appellate Divisions to dismiss appeals prior to their disposition. CPL 470.60 (1) provides that

“[a]t any time after an appeal has been taken and before determination thereof, the appellate court in which such appeal is pending may, upon motion of the respondent or upon its own motion, dismiss such appeal upon the ground of mootness, lack of jurisdiction to determine it, failure of timely prosecution or perfection thereof, or other substantial defect, irregularity or failure of action by the appellant with respect to the prosecution or perfection of such appeal.”

While we acknowledge the broad authority of the intermediate appellate courts to dismiss pending appeals (see *Taveras*, 10 NY3d at 233), this discretionary power cannot be accorded such an expansive view as to curtail defendants’ basic entitlement to

appellate consideration. As a matter of fundamental fairness, all criminal defendants shall be permitted to avail themselves of intermediate appellate courts as “the State has provided an absolute right to seek review in criminal prosecutions” (*Montgomery*, 24 NY2d at 132).

Finally, in our view, the perceived inability to obey the mandate of the court is not implicated here. In other jurisdictions, defendants who continue prosecution of their appeals through representation of counsel are not deemed unavailable to obey the mandate of the court (*see People v Puluc-Sique*, 182 Cal App 4th 894, 899, 106 Cal Rptr 3d 365, 369 [Ct App 2010]). Moreover, disposition of the discrete appellate issues would result in either an affirmance or outright dismissal of the convictions; neither outcome would require the continued legal participation of defendants.

Accordingly, the orders should be reversed and the cases remitted to the Appellate Division for consideration of the merits of the appeal to that court.

READ, J. (dissenting in *Ventura* and concurring in *Gardner*). Criminal Procedure Law § 470.60 vests the Appellate Division with discretion to dismiss a pending appeal, subject to our review for legal error or abuse of discretion only. The majority now holds that it is *always* an abuse of discretion for the Appellate Division to dismiss the criminal appeal of an involuntarily deported noncitizen on the sole basis of unavailability. I respectfully dissent. While I concur in the result in *Gardner* on abuse-of-discretion grounds, I would affirm in *Ventura*.

I.

The majority offers three rationales for its holding: (1) involuntarily deported noncitizen defendants have a “great[] need” for their appeals to be heard because of the “tremendous ramifications of deportation” (majority op at 680); (2) every criminal defendant possesses a statutory right to intermediate appellate review (*id.* at 682); and (3) in other jurisdictions, involuntarily deported noncitizens “who continue prosecution of their appeals through representation of counsel are not deemed unavailable to obey the mandate of the court” (*id.*). These suggested rationales do not furnish a basis for us to replace the Appellate Division’s statutorily conferred discretion to dismiss a pending criminal appeal with a categorical rule that strips the

court of this discretion when the defendant happens to be an involuntarily deported noncitizen.¹

First, deportation indisputably entails “tremendous ramifications.” By definition, someone who is involuntarily deported would have preferred to continue to reside in this country, presumably because of the unwelcome “ramifications” of removal. But that is not a reason for a criminal appeal to go forward in those cases where the appeal’s outcome would have no bearing on the defendant’s immigration status—i.e., cases in which the conviction being appealed did not cause the defendant’s deportation² or prevent or complicate his potential return to the United States. Where the Appellate Division has information indicating that such a causal connection exists, I agree that it would be an abuse of discretion to dismiss the appeal on the sole basis of the defendant’s unavailability. But absent such information, the Appellate Division may, if it so chooses, dismiss the appeal of a defendant who is involuntarily physically absent from the jurisdiction, and we are not authorized to second-guess this discretionary decision.

Second, no one disputes that all defendants have “an absolute right to seek appellate review of their convictions” at the Appellate Division (majority op at 679). But this right is qualified by the Appellate Division’s “broad discretion” to dismiss a criminal appeal, “whether on a party’s motion or *sua sponte*, for any reason that will cause or has caused substantial interference with the appellate process” (Preiser, Practice Commentaries, McKinney’s Cons Laws of NY, Book 11A, CPL 470.60, at 352), as already noted.

1. Defendants did not advocate for the categorical rule fashioned by the majority. They instead argued only that “a defendant who has a pending direct appeal prior to deportation *and raises only dismissal issues* is entitled to have that appeal decided on the merits by the Appellate Division” (emphasis added). As a result, the People had no notice that the Court was considering the unqualified rule it has now adopted, and consequently no opportunity to brief us about any practical problems or infelicitous effects of such a rule.

2. There would seem to be little chance for this to happen, though, because the Second Circuit has traditionally followed the finality rule whereby an alien has the right to exhaust all direct appeals before the underlying criminal conviction can serve as the basis for removal (see *Walcott v Chertoff*, 517 F3d 149, 155 [2d Cir 2008] [(t)he decision to appeal a conviction . . . suspends an alien’s deportability . . . until the conviction becomes final”). Amici curiae contend, however, that the case law in the Second Circuit is less settled than *Walcott* seems to indicate, and that United States immigration authorities may be expected to continue to seek to remove defendants whose appeals are pending in the Appellate Division and, in any event, often transfer such defendants to other jurisdictions where the finality rule has been eliminated.

In *People v Diaz* (7 NY3d 831 [2006]), we ourselves exercised the discretion afforded “the appellate court” by Criminal Procedure Law § 470.60 (1) to dismiss the appeal of an involuntarily deported noncitizen on the ground that he was not presently available to obey the court’s mandate. As was also the case with defendants Ventura and Gardner, the dismissal in *Diaz* was without prejudice to a subsequent motion to reinstate the appeal in the event the defendant was permitted to reenter the country and returned to New York.

Apparently unwilling to overrule a recent precedent, the majority observes that we are “a court of permissive appellate jurisdiction” while the Appellate Division “do[es] not enjoy such unencumbered latitude” and assumes a “distinct role . . . within New York’s hierarchy of appellate review” because of its “fact-finding function [and] ability to reach unpreserved issues” (majority op at 681). But Criminal Procedure Law § 470.60 (1) makes no distinction on any basis (much less differences in appellate review powers) between our discretionary authority to dismiss a pending criminal appeal and the Appellate Division’s.

Finally, the majority cites only one decision of an intermediate appellate court in a sister state—*People v Puluc-Sique* (182 Cal App 4th 894, 106 Cal Rptr 3d 365 [2010])—as evidence that other jurisdictions adhere to the new rule it has fashioned, and even this case is not on point. In *Puluc-Sique*, the People argued that the court was required to dismiss the defendant’s appeal because deportation placed him beyond the jurisdiction of California’s courts (182 Cal App 4th at 899, 106 Cal Rptr 3d at 369). The court rejected this proposition, but did not adopt the majority’s position—i.e., that a court may *never* dismiss the criminal appeal of an involuntarily deported noncitizen on the sole basis of unavailability. Instead, the court concluded that “[a]ppellate disentitlement is a *discretionary* doctrine that must be applied in a manner that takes into account *the equities of the individual case*,” and that the equities present in this particular individual case did not favor dismissal of the defendant’s appeal (182 Cal App 4th at 901, 106 Cal Rptr 3d at 370 [emphasis added]).

Indeed, although the arguably relevant out-of-state cases are few in number, not one of our sister states takes the approach adopted by the majority. Instead, these decisions appear to turn on whether the conviction being appealed caused the defendant’s deportation or prevented or complicated his potential return to the United States. For example, over 20 years ago the

Supreme Court of Washington in *State v Ortiz* (113 Wash 2d 32, 774 P2d 1229 [1989]) reversed the intermediate appellate court's judgment dismissing an involuntarily deported noncitizen's criminal appeal, but on the basis that the conviction sought to be appealed precluded the defendant's return to this country (*see also Cuellar v State*, 13 SW3d 449, 451 [Tex App 2000] [appeal of narcotics conviction is not moot where conviction prevents individual from reentering United States or obtaining visa]; *People v Garcia*, 89 P3d 519, 520 [Colo App 2004] [appeal dismissed as moot "because defendant is no longer in the United States and is subject to a permanent bar on attempted reentry into this country, he will not serve his sentence here, and thus, the outcome of the appeal has no practical effect upon him"]).

Here, defendant Damian Gardner was deported for overstaying his visa. The People informed the Appellate Division, however, that defendant's wife, an American citizen, had "filed an I-485 petition [with the United States Immigration and Customs Enforcement] requesting that defendant's immigration status be adjusted, but that the petition was denied *because of defendant's criminal record*"; and that "*defendant's conviction did affect his immigration status* in that his wife's petition may have been granted had he not been convicted of *the crime in this case*" (emphasis added). In light of these circumstances, I conclude that the Appellate Division abused its discretion when it dismissed Gardner's appeal on the sole basis of his unavailability to obey the court's mandate. Conversely, there is nothing in the record to suggest that the conviction for which defendant Carlos Ventura sought review—as opposed to his unrelated, and unappealed, judgment of conviction and sentence for burglary—caused his deportation or would prevent or complicate his potential return to the United States. Nor is there any other information in the record that would support a determination on our part that the Appellate Division abused its discretion when it dismissed Ventura's appeal on the ground that he was unavailable to obey the court's mandate.

II.

The majority's decision seems to be motivated, at least in part, by a suspicion that the Appellate Divisions have interpreted *Diaz* to endorse the dismissal of the criminal appeals of involuntarily deported noncitizen defendants on unavailability grounds in all cases, without exception. To the extent this is so (and I do

not see evidence of it), the proper corrective for blanket dismissals is not a rule requiring the blanket denial of dismissals, which is what the majority has created. Criminal Procedure Law § 470.60 sets the standard: the Appellate Division possesses discretion to consider dismissal motions on their individual merits, subject to our review for legal error or abuse of discretion. Even assuming that we may properly curb the Appellate Division's discretion in a way that section 470.60 does not, this would seem to be very poor policy: especially in an era of increasing case loads and fiscal constraints, the Appellate Division should be able to decide not to spend its time on an appeal whose outcome would have no practical effect because the defendant has been deported from this country and enjoys no discernible prospects for reentry.

Chief Judge LIPPMAN and Judges CIPARICK and SMITH concur with Judge JONES; Judge READ dissents and votes to affirm in a separate opinion in which Judges GRAFFEO and PIGOTT concur.

In *People v Ventura*: Order reversed, etc.

Chief Judge LIPPMAN and Judges CIPARICK and SMITH concur with Judge JONES; Judge READ concurs in result in a separate opinion in which Judges GRAFFEO and PIGOTT concur.

In *People v Gardner*: Order reversed, etc.

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